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This section of the FEDERAL REGISTER contains regulatory documents having general applicability and legal effect, most of which are keyed to and codified in the Code of Federal Regulations, which is published under 50 titles pursuant to 44 U.S.C. 1510.

The Code of Federal Regulations is sold by the Superintendent of Documents. Prices of new books are listed in the first FEDERAL REGISTER issue of each week.

OFFICE OF PERSONNEL MANAGEMENT

5 CFR Parts 831 and 842

RIN 3206-A166

Retirement Eligibility for Nuclear Materials Couriers Under CSRS and FERS

AGENCY: Office of Personnel Management.

ACTION: Interim rule with request for comments.

SUMMARY: The Office of Personnel Management (OPM) is issuing interim rules applicable to nuclear materials couriers employed under the Civil Service Retirement System (CSRS) and the Federal Employees' Retirement System (FERS). These interim rules are pursuant to the Strom Thurmond National Defense Authorization Act for Fiscal Year 1999 enacted on October 17, 1998. The Act provides early retirement and enhanced annuity benefits for nuclear materials couriers employed by the United States Department of Energy under CSRS and FERS; requires an increase in the percentage rate of withholdings from the basic pay of nuclear material couriers; and establishes mandatory retirement of nuclear materials couriers at age 57. These regulations are necessary to put the new retirement provisions into effect.

DATES: Interim rules effective January 18, 2000; comments must be received on or before March 20, 2000.

ADDRESSES: Send comments to Mary Ellen Wilson; Office of Personnel Management; RIS/RPD, Room 4351; 1900 E Street, N.W.; Washington, DC 20415-3200; or deliver to OPM, Room 4351, 1900 E Street, N.W., Washington, DC. Comments may also be submitted by electronic mail to combox@opm.gov.

FOR FURTHER INFORMATION CONTACT: Kenneth R. Brown, (202) 606-0299.

SUPPLEMENTARY INFORMATION: Sections 8336(c) and 8412(d) of title 5, U.S. Code have been amended by section 3154 of the Strom Thurmond National Defense Authorization Act for Fiscal Year 1999, Public Law 105-261, 112 Stat. 1920, to authorize immediate retirement benefits at age 50 for Federal employees who have completed 20 years of Federal civilian service as a nuclear materials courier with the United States Department of Energy. Section 8412(d) of title 5, U.S. Code has also been amended by Public Law 105-261 to authorize immediate retirement at any age for Federal employees who have completed 25 years of service as a nuclear materials courier with the United States Department of Energy. These amendments apply only to individuals who are employed as a nuclear materials courier after October 17, 1998, the date of enactment of Public Law 105-261.

Under Public Law 105-261 the enhanced basic annuity computations provided by sections 8339(d) (CSRS) and 8415(d) (FERS) of title 5, U.S. Code are now applicable to nuclear materials couriers. Beginning with the first pay period that began after October 17, 1998, nuclear material couriers became subject to the same percentage rate of withholdings from basic pay applicable to law enforcement officers and firefighters. Effective October 17, 1999, nuclear materials couriers are also subject to the mandatory separation (at age 57) provisions of sections 8335(b) (CSRS) and 8425(b) (FERS) of title 5, U.S. Code.

For purposes of the Civil Service Retirement System and the Federal Employees' Retirement System, *nuclear materials courier* means an employee of the Department of Energy, the duties of whose position are primarily to transport, and provide armed escort and protection during transit of, nuclear weapons, nuclear weapon components, strategic quantities of special nuclear materials or other materials related to national security; and includes an employee who is transferred directly to a supervisory or administrative position within the same Department of Energy organization, after performing the above-described duties for at least 3 years.

Section 3154 of Public Law 105-261, 112 Stat. 1920, establishes a separate class of employees who can earn enhanced basic annuity computations provided by sections 8339(d) (CSRS) and 8415(d) (FERS) of title 5, U.S. Code. Although a "nuclear materials courier" is not a "law enforcement officer," the procedure that the Secretary of Energy must follow to make a "nuclear materials courier" coverage determination is similar to the procedures currently used by an agency head in a "law enforcement officer" coverage determination under 5 C.F.R. part 831, subpart I.

Waiver of General Notice of Proposed Rulemaking

Under 5 U.S.C. 553(b)(3)(B), I find that good cause exists for waiving the general notice of proposed rulemaking, and for making these rules effective in less than 30 days. These regulations will affect the eligibility for immediate retirement, the computation of annuity, employee deductions from basic pay, agency contributions, and mandatory separation for nuclear materials couriers under the Civil Service Retirement System and the Federal Employees' Retirement System on and after October 17, 1998. Publication of a general notice on proposed rulemaking would be contrary to the public interest because it would delay the retirement of nuclear materials couriers under the provisions of Public Law 105-261 and would hinder the Department of Energy's effective management of the nuclear materials courier workforce.

Regulatory Flexibility Act

I certify that this regulation will not have a significant economic impact on a substantial number of small entities because the regulation will only affect retirement benefits of retired nuclear materials couriers and their survivors.

Executive Order 12866, Regulatory Review

This rule has been reviewed by the Office of Management and Budget in accordance with Executive Order 12866.

List of Subjects in 5 CFR Parts 831 and 842

Administrative practice and procedure, Air traffic controllers, Alimony, Claims, Disability benefits, Firefighters, Government employees, Income taxes, Intergovernmental

relations, Law enforcement officers, Pensions, Reporting and recordkeeping requirements, Retirement.

U.S. Office of Personnel Management.

Janice R. Lachance,
Director.

Accordingly, OPM is amending 5 CFR parts 831 and 842 as follows:

PART 831—RETIREMENT

1. The authority citation for part 831 is revised to read as follows:

Authority: 5 U.S.C. 8347; § 831.102 also issued under 5 U.S.C. 8334; § 831.106 also issued under 5 U.S.C. 552a; § 831.114 also issued under 5 U.S.C. 8336(d)(2) and section 7001 of Pub. L. 105–174, 112 Stat. 58, as amended by section 651 of Pub. L. 106–58, 113 Stat. 430; § 831.201(b)(1) also issued under 5 U.S.C. 8347(g); § 831.201(b)(6) also issued under 5 U.S.C. 7701(b)(2); § 831.201(g) also issued under sections 11202(f), 11232(e), and 11246(b) of Pub. L. 105–33, 111 Stat. 251; § 831.201(g) also issued under sections 7(b) and 7(e) of Pub. L. 105–274, 112 Stat. 2419; § 831.201(i) also issued under sections 3 and 7(c) of Pub. L. 105–274, 112 Stat. 2419; § 831.204 also issued under section 102(e) of Pub. L. 104–8, 109 Stat. 102, as amended by section 153 of Pub. L. 104–134, 110 Stat. 1321; § 831.303 also issued under 5 U.S.C. 8334(d)(2); § 831.502 also issued under section 1(3), E.O. 11228, 3 CFR 1964–1965 Comp. p. 317; § 831.663 also issued under 5 U.S.C. 8339(j) and (k)(2); §§ 831.663 and 831.664 also issued under section 11004 (c)(2) of Pub. L. 103–66, 107 Stat. 412; § 831.682 also issued under section 201(d) of Pub. L. 99–251, 100 Stat. 23; subpart L also issued under 5 U.S.C. 8337; subpart V also issued under 5 U.S.C. 8343a and section 6001 of Pub. L. 100–203, 101 Stat. 1330–275; § 831.2203 also issued under section 7001(a)(4) of Pub. L. 101–508, 104 Stat. 1388–328.

2. Section 831.502 is amended by revising paragraph (b)(1) and the introductory text to paragraph (c) to read as follows:

§ 831.502 Automatic separation; exemption.

(b)(1) The head of the agency, when in his or her judgment the public interest so requires, may exempt a law enforcement officer, firefighter or nuclear materials courier from automatic separation until that employee becomes 60 years of age.

(c) When a department or agency lacks authority and wishes to secure an exemption from automatic separation for one of its employees other than a Presidential appointee, beyond the age(s) provided by statute, *i.e.*, age 60 for a law enforcement officer, firefighter or nuclear materials courier, age 61 for an air traffic controller, and age 62 for

an employee of the Alaska Railroad in Alaska or an employee who is a citizen of the United States employed on the Isthmus of Panama by the Panama Canal Commission, the department or agency head shall submit a recommendation to that effect to OPM.

3. Subpart H—is added to read as follows:

Subpart H—Nuclear Materials Couriers

- 831.801 Applicability and purpose.
- 831.802 Definitions.
- 831.803 Conditions for coverage in primary positions.
- 831.804 Conditions for coverage in secondary positions.
- 831.805 Evidence.
- 831.806 Requests from individuals.
- 831.807 Withholdings and contributions.
- 831.808 Mandatory separation.
- 831.809 Reemployment.
- 831.810 Review of decisions.
- 831.811 Oversight of coverage determinations.

Subpart H—Nuclear Materials Couriers

§ 831.801 Applicability and purpose.

(a) This subpart contains regulations of the Office of Personnel Management (OPM) to supplement 5 U.S.C. 8336(c), which establishes special retirement eligibility for nuclear materials couriers employed under the Civil Service Retirement System; 5 U.S.C. 8334(a)(1) and (c), pertaining to deductions, contributions, and deposits; 5 U.S.C. 8335(b), pertaining to mandatory retirement; and 5 U.S.C. 8339(d), pertaining to computation of annuity.

(b) The regulations in this subpart are issued pursuant to the authority given to OPM in 5 U.S.C. 8347 to prescribe regulations to carry out 5 U.S.C., chapter 83, subchapter III, and in 5 U.S.C. 1104 to delegate authority for personnel management to the heads of agencies.

§ 831.802 Definitions.

In this subpart—
Agency head means the Secretary of Energy. For purposes of this subpart, *agency head* is also deemed to include the designated representative of the Secretary of Energy, except that the designated representative must be a department headquarters-level official who reports directly to the Secretary of Energy, or to the Deputy Secretary of Energy, and who is the sole such representative for the entire department.

Nuclear materials courier means an employee of the Department of Energy, the duties of whose position are primarily to transport, and provide armed escort and protection during transit of, nuclear weapons, nuclear weapon components, strategic quantities of special nuclear materials or

other materials related to national security, including an employee engaged in this activity who is transferred directly to a supervisory or administrative position within the same Department of Energy organization, after performing this activity for at least 3 years. (See 5 U.S.C. 8331(27).)

Primary duties are those duties of a position that—

(1)(i) Are paramount in influence or weight; that is, constitute the basic reasons for the existence of the position;

(ii) Occupy a substantial portion of the individual's working time over a typical work cycle; and

(iii) Are assigned on a regular and recurring basis.

(2) Duties that are of an emergency, incidental, or temporary nature cannot be considered *primary* even if they meet the substantial portion of time criterion. In general, if an employee spends an average of at least 50 percent of his or her time performing a duty or group of duties, they are his or her primary duties.

Primary position means a position that is in an organization of the Department of Energy and whose primary duties are to transport, and provide armed escort and protection during transit of, nuclear weapons, nuclear weapon components, strategic quantities of special nuclear materials or other materials related to national security.

Secondary position means a position that:

(1) Is clearly in the nuclear materials transportation field;

(2) Is in an organization of the Department of Energy having a nuclear materials transportation mission; and

(3) Is either—

(i) Supervisory; *i.e.*, a position whose primary duties are as a first-level supervisor of nuclear materials couriers in primary positions; or

(ii) Administrative; *i.e.*, an executive, managerial, technical, semiprofessional, or professional position for which experience in a primary nuclear materials courier position is a prerequisite.

§ 831.803 Conditions for coverage in primary positions.

(a) An employee's service in a position that has been determined by the Secretary of the Department of Energy to be a primary nuclear materials courier position is covered under the provisions of 5 U.S.C. 8336(c).

(b) An employee who is not in a primary position, nor covered while in a secondary position, and who is detailed or temporarily promoted to a

primary position is not covered under the provisions of 5 U.S.C. 8336(c).

§ 831.804 Conditions for coverage in secondary positions.

(a) An employee's service in a position that has been determined by the Secretary of the Department of Energy to be a secondary nuclear materials courier position following 3 years of service in a primary nuclear materials courier position is covered under the provisions of 5 U.S.C. 8336(c) if all of the following criteria are met:

(1) The employee is transferred directly (*i.e.*, without a break in service exceeding 3 days) from a primary position to a secondary position; and

(2) If applicable, the employee has been continuously employed in secondary positions since transferring from a primary position without a break in service exceeding 3 days, except that a break in employment in secondary positions which begins with an involuntary separation (not for cause), within the meaning of 5 U.S.C. 8336(d)(1), is not considered in determining whether the service in secondary positions is continuous for this purpose.

(b) An employee who is not in a primary position, nor covered while in a secondary position, and who is detailed or temporarily promoted to a secondary position is not covered under the provisions of 5 U.S.C. 8336(c).

§ 831.805 Evidence.

(a) The Secretary of Energy's determination under § 831.803 that a position is a primary position must be based solely on the official position description of the position in question, and any other official description of duties and qualifications. The official documentation for the position must establish that it satisfies the requirements defined in § 831.802.

(b) A determination under § 831.804 must be based on the official position description and any other evidence deemed appropriate by the agency head for making the determination.

(c) If an employee is in a position not subject to the one-half percent higher withholding rate of 5 U.S.C. 8334(a)(1), and the employee does not, within 6 months after entering the position or after any significant change in the position, formally and in writing seek a determination from the employing agency that his or her service is properly covered by the higher withholding rate, the agency head's determination that the service was not so covered at the time of the service is presumed to be correct. This presumption may be rebutted by a preponderance of the evidence that the

employee was unaware of his or her status or was prevented by cause beyond his or her control from requesting that the official status be changed at the time the service was performed.

§ 831.806 Requests from individuals.

(a) An employee who requests credit for service under 5 U.S.C. 8336(c) bears the burden of proof with respect to that service, and must provide the employing agency with all pertinent information regarding duties performed.

(b) An employee who is currently serving in a position that has not been approved as a primary or secondary position, but who believes that his or her service is creditable as service in a primary or secondary position may request the agency head to determine whether or not the employee's current service should be credited and, if it qualifies, whether it should be credited as service in a primary or secondary position. A written request for current service must be made within 6 months after entering the position or after any significant change in the position.

(c) A current or former employee (or the survivor of a former employee) who believes that a period of past service in an unapproved position qualifies as service in a primary or secondary position and meets the conditions for credit may request the agency head to determine whether or not the employee's past service should be credited and, if it qualifies, whether it should be credited as service in a primary or secondary position. A written request for past service must be made no later than December 31, 2000.

(d) The agency head may extend the time limit for filing under paragraph (b) or (c) of this section when, in the judgment of such agency head, the individual shows that he or she was prevented by circumstances beyond his or her control from making the request within the time limit.

§ 831.807 Withholdings and contributions.

(a) During the service covered under the conditions established by § 831.803 and § 831.804, the Department of Energy will deduct and withhold from the employee's base pay the amount required under 5 U.S.C. 8334(a) for such positions and submit that amount, together with agency contributions required by 5 U.S.C. 8334(a), to OPM in accordance with payroll office instructions issued by OPM.

(b) If the correct withholdings and/or Government contributions are not submitted to OPM for any reason whatsoever, including cases in which it is finally determined that past service of

a current or former employee was subject to the higher deduction and Government contribution rates, the Department of Energy must correct the error by submitting the correct amounts (including both employee and agency shares) to OPM as soon as possible. Even if the Department of Energy waives collection of the overpayment of pay under any waiver authority that may be available for this purpose, such as 5 U.S.C. 5584, or otherwise fails to collect the debt, the correct amount must still be submitted to OPM without delay as soon as possible.

(c) Upon proper application from an employee, former employee or eligible survivor of a former employee, the Department of Energy will pay a refund of erroneous additional withholdings for service that is found not to have been covered service. If an individual has paid to OPM a deposit or redeposit, including the additional amount required for covered service, and the deposit or redeposit is later determined to be erroneous because the service was not covered service, OPM will pay the refund, upon proper application, to the individual, without interest.

(d) The additional employee withholding and agency contribution for covered or creditable service properly made as required under 5 U.S.C. 8334(a)(1) or deposited under 5 U.S.C. 8334(c) are not separately refundable, even in the event that the employee or his or her survivor does not qualify for a special annuity computation under 5 U.S.C. 8339(d).

(e) While an employee who does not hold a primary or secondary position is detailed or temporarily promoted to a primary or secondary position, the additional withholdings and agency contributions will not be made. While an employee who does hold a primary or secondary position is detailed or temporarily promoted to a position which is not a primary or secondary position, the additional withholdings and agency contributions will continue to be made.

§ 831.808 Mandatory separation.

(a) Effective on and after October 17, 1999, the mandatory separation provisions of 5 U.S.C. 8335(b) apply to all nuclear materials couriers in primary and secondary positions. A mandatory separation under 5 U.S.C. 8335(b) is not an adverse action under part 752 of this chapter or a removal action under part 359 of this chapter. Section 831.502 provides the procedures for requesting an exemption from mandatory separation.

(b) In the event an employee is separated mandatorily under 5 U.S.C.

8335(b), or is separated for optional retirement under 5 U.S.C. 8336(c), and OPM finds that all or part of the minimum service required for entitlement to immediate annuity was in a position which did not meet the requirements of a primary or secondary position and the conditions set forth in this subpart, such separation will be considered erroneous.

§ 831.809 Reemployment.

An employee who has been mandatorily separated under 5 U.S.C. 8335(b) is not barred from reemployment in any position except a primary position after age 60. Service by a reemployed annuitant is not covered by the provisions of 5 U.S.C. 8336(c).

§ 831.810 Review of decisions.

The following decisions may be appealed to the Merit Systems Protection Board under procedures prescribed by the Board:

(a) The final decision of the Department of Energy issued to an employee, former employee, or survivor as the result of a request for determination filed under § 831.806; and

(b) The final decision of the Department of Energy that a break in service referred to in § 831.804(a)(2) did not begin with an involuntary separation within the meaning of 5 U.S.C. 8336(d)(1).

§ 831.811 Oversight of coverage determinations.

(a) Upon deciding that a position is a nuclear materials courier position, the agency head must notify OPM (Attention: Associate Director for Retirement and Insurance) stating the title of each position, the number of incumbents, and whether the position is primary or secondary. The Director of OPM retains the authority to revoke the agency head's determination that a position is a primary or secondary position, or that an individual's service in any other position is creditable under 5 U.S.C. 8336(c).

(b) The Department of Energy must establish a file containing each coverage determination made by the agency head under § 831.803 and § 831.804, and all background material used in making the determination.

(c) Upon request by OPM, the Department of Energy will make available the entire coverage determination file for OPM to audit to ensure compliance with the provisions of this subpart.

(d) Upon request by OPM, the Department of Energy must submit to OPM a list of all covered positions and any other pertinent information requested.

PART 842—FEDERAL EMPLOYEES RETIREMENT SYSTEM—BASIC ANNUITY

4. The authority citation for Part 842 is revised to read as follows:

Authority: 5 U.S.C. 8461(g); §§ 842.104 and 842.106 also issued under 5 U.S.C. 8461(n); § 842.104 also issued under sections 3 and 7(c) of Pub. L. 105–274, 112 Stat. 2419; § 842.105 also issued under 5 U.S.C. 8402(c)(1) and 7701(b)(2); § 842.106 also issued under section 102(e) of Pub. L. 104–8, 109 Stat. 102, as amended by section 153 of Pub. L. 104–134, 110 Stat. 1321; § 842.107 also issued under sections 11202(f), 11232(e), and 11246(b) of Pub. L. 105–33, 111 Stat. 251; § 842.107 also issued under section 7(b) of Pub. L. 105–274, 112 Stat. 2419; § 842.108 also issued under section 7(e) of Pub. L. 105–274, 112 Stat. 2419; § 842.213 also issued under 5 U.S.C. 8414(b)(1)(B) and section 7001 of Pub. L. 105–174, 112 Stat. 58, as amended by section 651 of Pub. L. 106–58, 113 Stat. 430; §§ 842.604 and 842.611 also issued under 5 U.S.C. 8417; § 842.607 also issued under 5 U.S.C. 8416 and 8417; § 842.614 also issued under 5 U.S.C. 8419; § 842.615 also issued under 5 U.S.C. 8418; § 842.703 also issued under section 7001(a)(4) of Pub. L. 101–508, 104 Stat. 1388; § 842.707 also issued under section 6001 of Pub. L. 100–203, 101 Stat. 1300; § 842.708 also issued under section 4005 of Pub. L. 101–239, 103 Stat. 2106 and section 7001 of Pub. L. 101–508, 104 Stat. 1388; subpart H also issued under 5 U.S.C. 1104.

5. In section 842.208 the heading and paragraph (a) are revised to read as follows:

§ 842.208 Firefighters, law enforcement officers, and nuclear materials couriers.

(a) An employee who separates from service, except by removal for cause on charges of delinquency or misconduct, is entitled to an annuity—

(1) After completing any combination of service as a firefighter, law enforcement officer or nuclear materials courier totaling 25 years; or

(2) After becoming age 50 and completing any combination of service as a firefighter, law enforcement officer or nuclear materials courier totaling 20 years.

* * * * *

6. Section 842.405 is revised to read as follows:

§ 842.405 Air traffic controllers, firefighters, law enforcement officers, and nuclear materials couriers.

The annuity of an air traffic controller retiring under § 842.207 or a law enforcement officer, firefighter or nuclear materials courier retiring under § 842.208 is—

(a) One and seven-tenths percent of average pay multiplied by 20 years; plus

(b) One percent of average pay multiplied by the years of service exceeding 20 years.

7. Subpart I is added to read as follows:

Subpart I—Nuclear Materials Couriers

- 842.901 Applicability and purpose.
- 842.902 Definitions.
- 842.903 Conditions for coverage in primary positions.
- 842.904 Conditions for coverage in secondary positions.
- 842.905 Evidence.
- 842.906 Requests from individuals.
- 842.907 Withholding and contributions.
- 842.908 Mandatory separation.
- 842.909 Review of decisions.
- 842.910 Oversight of coverage determinations.

Subpart I—Nuclear Materials Couriers

§ 842.901 Applicability and purpose.

(a) This subpart contains regulations of the Office of Personnel Management (OPM) to supplement—

(1) 5 U.S.C. 8412(d) and (e), which establish special retirement eligibility for law enforcement officers, firefighters, air traffic controllers, and nuclear materials couriers employed under the Federal Employees Retirement System (FERS);

(2) 5 U.S.C. 8422(a), pertaining to deductions;

(3) 5 U.S.C. 8423(a), pertaining to Government contributions; and

(4) 5 U.S.C. 8425, pertaining to mandatory retirement.

(b) The regulations in this subpart are issued pursuant to the authority given to OPM in 5 U.S.C. 8461(g) to prescribe regulations to carry out the provisions of 5 U.S.C. chapter 84 and in 5 U.S.C. 1104 to delegate authority for personnel management to the heads of agencies.

§ 842.902 Definitions.

Agency head means the Secretary of Energy. For purposes of this subpart, *agency head* is also deemed to include the designated representative of the Secretary of Energy, except that the designated representative must be a department headquarters-level official who reports directly to the Secretary of Energy, or to the Deputy Secretary of Energy, and who is the sole such representative for the entire department.

Employee means an employee as defined by 5 U.S.C. 8401(11).

Nuclear materials courier means an employee of the Department of Energy, the duties of whose position are primarily to transport, and provide armed escort and protection during transit of, nuclear weapons, nuclear weapon components, strategic quantities of special nuclear materials or other materials related to national

security, including an employee engaged in this activity who is transferred directly to a supervisory or administrative position within the same Department of Energy organization, after performing this activity for at least 3 years. (See 5 U.S.C. 8331(27).)

Primary duties means those duties of a position that—

(1)(i) Are paramount in influence or weight; that is, constitute the basic reasons for the existence of the position;

(ii) Occupy a substantial portion of the individual's working time over a typical work cycle; and

(iii) Are assigned on a regular and recurring basis.

(2) Duties that are of an emergency, incidental, or temporary nature cannot be considered "primary" even if they meet the substantial portion of time criterion. In general, if an employee spends an average of at least 50 percent of his or her time performing a duty or group of duties, they are his or her primary duties.

Primary position means a position that is in an organization of the Department of Energy and whose primary duties are to transport, and provide armed escort and protection during transit of, nuclear weapons, nuclear weapon components, strategic quantities of special nuclear materials or other materials related to national security.

Secondary position means a position that—

(1) Is clearly in the nuclear materials transportation field;

(2) Is in an organization of the Department of Energy having a nuclear materials transportation mission; and

(3) Is either—

(i) Supervisory; that is, a position whose primary duties are as a first-level supervisor of nuclear materials couriers in primary positions; or

(ii) Administrative; that is, an executive, managerial, technical, semiprofessional, or professional position for which experience in a primary nuclear materials courier position is a prerequisite.

§ 842.903 Conditions for coverage in primary positions.

(a) An employee's service in a position that has been determined by the Secretary of the Department of Energy to be a primary nuclear materials courier position is covered under the provisions of 5 U.S.C. 8412(d).

(b) An employee who is not in a primary position, nor covered while in a secondary position, and who is detailed or temporarily promoted to a primary position is not covered under the provisions of 5 U.S.C. 8412(d).

§ 842.904 Conditions for coverage in secondary positions.

(a) An employee's service in a position that has been determined by the Secretary of the Department of Energy to be a secondary nuclear materials courier position following 3 years of service in a primary nuclear materials courier position is covered under the provisions of 5 U.S.C. 8412(d) if all of the following criteria are met:

(1) The employee is transferred directly (i.e., without a break in service exceeding 3 days) from a primary position to a secondary position; and

(2) If applicable, the employee has been continuously employed in secondary positions since transferring from a primary position without a break in service exceeding 3 days, except that a break in employment in secondary positions which begins with an involuntary separation (not for cause), within the meaning of 5 U.S.C. 8414(b)(1)(A), is not considered in determining whether the service in secondary positions is continuous for this purpose.

(b) An employee who is not in a primary position, nor covered while in a secondary position, and who is detailed or temporarily promoted to a secondary position is not covered under the provisions of 5 U.S.C. 8412(d).

§ 842.905 Evidence.

(a) The Secretary of Energy's determination under § 842.903 that a position is a primary position must be based solely on the official position description of the position in question, and any other official description of duties and qualifications. The official documentation for the position must establish that it satisfies the requirements defined in § 842.902.

(b) A determination under § 842.904 must be based on the official position description and any other evidence deemed appropriate by the agency head for making the determination.

(c) If an employee is in a position not subject to the one-half percent higher withholding rate of 5 U.S.C. 8422(a)(3), and the employee does not, within 6 months after entering the position or after any significant change in the position, formally and in writing seek a determination from the employing agency that his or her service is properly covered by the higher withholding rate, the agency head's determination that the service was not so covered at the time of the service is presumed to be correct. This presumption may be rebutted by a preponderance of the evidence that the employee was unaware of his or her status or was prevented by cause beyond his or her control from

requesting that the official status be changed at the time the service was performed.

§ 842.906 Requests from individuals.

(a) An employee who requests credit for service under 5 U.S.C. 8412(d) bears the burden of proof with respect to that service, and must provide the employing agency with all pertinent information regarding duties performed.

(b) An employee who is currently serving in a position that has not been approved as a primary or secondary position, but who believes that his or her service is creditable as service in a primary or secondary position may request the agency head to determine whether or not the employee's current service should be credited and, if it qualifies, whether it should be credited as service in a primary or secondary position. A written request for current service must be made within 6 months after entering the position or after any significant change in the position.

(c) A current or former employee (or the survivor of a former employee) who believes that a period of past service in an unapproved position qualifies as service in a primary or secondary position and meets the conditions for credit may request the agency head to determine whether or not the employee's past service should be credited and, if it qualifies, whether it should be credited as service in a primary or secondary position. A written request for past service must be made no later than December 31, 2000.

(d) The agency head may extend the time limit for filing under paragraph (b) or (c) of this section when, in the judgment of such agency head, the individual shows that he or she was prevented by circumstances beyond his or her control from making the request within the time limit.

§ 842.907 Withholding and contributions.

(a) During service covered under the conditions established by § 842.903 (a) or (b), the Department of Energy will deduct and withhold from the employee's base pay the amounts required under 5 U.S.C. 8422(a)(3) and submit that amount to OPM in accordance with payroll office instructions issued by OPM.

(b) During service described in paragraph (a) of this section, the employing agency must submit to OPM the Government contributions required under 5 U.S.C. 8423(a) in accordance with payroll office instructions issued by OPM.

(c) If the correct withholding and/or Government contributions are not timely submitted to OPM for any reason

whatsoever, including cases in which it is finally determined that past service of a current or former employee was subject to the higher deduction and Government contribution rates, the employing agency must correct the error by submitting the correct amounts (including both employee and agency shares) to OPM as soon as possible. Even if the agency waives collection of the overpayment of pay under any waiver authority that may be available for this purpose, such as 5 U.S.C. 5584, or otherwise fails to collect the debt, the correct amount must still be submitted to OPM as soon as possible.

(d) Upon proper application from an employee, former employee or eligible survivor of a former employee, an employing agency or former employing agency will pay a refund of erroneous additional withholdings for service that is found not to have been covered service. If an individual has paid to OPM a deposit or redeposit, including the additional amount required for covered service, and the deposit is later determined to be erroneous because the service was not covered service, OPM will pay the refund, upon proper application, to the individual, without interest.

(e) The additional employee withholding and agency contributions for covered service properly made are not separately refundable, even in the event that the employee or his or her survivor does not qualify for a special annuity computation under 5 U.S.C. 8415(d).

(f) While an employee who does not hold a primary or secondary position is detailed or temporarily promoted to such a position, the additional withholdings and agency contributions will not be made.

(g) While an employee who holds a primary or secondary position is detailed or temporarily promoted to a position that is not a primary or secondary position, the additional withholdings and agency contributions will continue to be made.

§ 842.908 Mandatory separation.

(a) Effective on and after October 17, 1999, the mandatory separation provisions of 5 U.S.C. 8425 apply to all nuclear materials couriers including those in secondary positions. A mandatory separation under 5 U.S.C. 8425 is not an adverse action under part 752 of this chapter or a removal action under part 359 of this chapter.

(b) Exemptions from mandatory separation are subject to the conditions set forth under 5 U.S.C. 8425. An exemption may be granted at the sole discretion of the head of the employing

agency or by the President in accordance with 5 U.S.C. 8425(c).

(c) In the event that an employee is separated mandatorily under 5 U.S.C. 8425, or is separated for optional retirement under 5 U.S.C. 8412 (d) or (e), and OPM finds that all or part of the minimum service required for entitlement to immediate annuity was in a position that did not meet the requirements of a primary or secondary position and the conditions set forth in this subpart or, if applicable, in part 831 of this chapter, such separation will be considered erroneous.

§ 842.909 Review of decisions.

The following decisions may be appealed to the Merit Systems Protection Board under procedures prescribed by the Board:

(a) The final decision of the Department of Energy issued to an employee, former employee, or survivor as the result of a request for determination filed under § 842.906; and

(b) The final decision of the Department of Energy that a break in service referred to in § 842.904(a)(2) did not begin with an involuntary separation within the meaning of 5 U.S.C. 8414(b)(1)(A).

§ 842.910 Oversight of coverage determinations.

(a) Upon deciding that a position is a nuclear materials courier position, the agency head must notify OPM (Attention: Associate Director for Retirement and Insurance) stating the title of each position, the number of incumbents, and whether the position is primary or secondary. The Director of OPM retains the authority to revoke the agency head's determination that a position is a primary or secondary position, or that an individual's service in any other position is creditable under 5 U.S.C. 8412(d).

(b) The Department of Energy must establish a file containing each coverage determination made by the agency head under § 842.903 and § 842.904, and all background material used in making the determination.

(c) Upon request by OPM, the Department of Energy will make available the entire coverage determination file for OPM to audit to ensure compliance with the provisions of this subpart.

(d) Upon request by OPM, the Department of Energy must submit to OPM a list of all covered positions and any other pertinent information requested.

[FR Doc. 00-1051 Filed 1-14-00; 8:45 am]

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DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

7 CFR Part 959

[Docket No. FV00-959-1 FR]

Onions Grown in South Texas; Decreased Assessment Rate

AGENCY: Agricultural Marketing Service, USDA.

ACTION: Final rule.

SUMMARY: This rule decreases the assessment rate established for the South Texas Onion Committee (Committee) for the 1999-2000 and subsequent fiscal periods from \$0.05 to \$0.04 per 50-pound container or equivalent of onions handled. The Committee is responsible for local administration of the marketing order which regulates the handling of onions grown in South Texas. Authorization to assess onion handlers enables the Committee to incur expenses that are reasonable and necessary to administer the program. The fiscal period began August 1 and ends July 31. The assessment rate will remain in effect indefinitely unless modified, suspended, or terminated.

EFFECTIVE DATE: January 19, 2000.

FOR FURTHER INFORMATION CONTACT:

Cynthia Cavazos, Marketing Assistant, McAllen Marketing Field Office, Fruit and Vegetable Programs, AMS, USDA, 1313 E. Hackberry; telephone: (956) 682-2833, Fax: (956) 682-5942; or George Kelhart, Technical Advisor, Marketing Order Administration Branch, Fruit and Vegetable Programs, AMS, USDA, room 2525-S, P.O. Box 96456, Washington, DC 20090-6456; telephone: (202) 720-2491, Fax: (202) 720-5698.

Small businesses may request information on complying with this regulation by contacting Jay Guerber, Marketing Order Administration Branch, Fruit and Vegetable Programs, AMS, USDA, P.O. Box 96456, room 2525-S, Washington, DC 20090-6456; telephone (202) 720-2491, Fax: (202) 720-5698, or E-mail: Jay.Guerber@usda.gov.

SUPPLEMENTARY INFORMATION: This rule is issued under Marketing Agreement No. 143 and Order No. 959, both as amended (7 CFR part 959), regulating the handling of onions grown in South Texas, hereinafter referred to as the "order." The marketing agreement and order are effective under the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601-674), hereinafter referred to as the "Act."

The Department of Agriculture (Department) is issuing this rule in conformance with Executive Order 12866.

This rule has been reviewed under Executive Order 12988, Civil Justice Reform. Under the marketing order now in effect, South Texas onion handlers are subject to assessments. Funds to administer the order are derived from such assessments. It is intended that the assessment rate issued herein will be applicable to all assessable onions beginning August 1, 1999, and continue until amended, suspended, or terminated. This rule will not preempt any State or local laws, regulations, or policies, unless they present an irreconcilable conflict with this rule.

The Act provides that administrative proceedings must be exhausted before parties may file suit in court. Under section 608c(15)(A) of the Act, any handler subject to an order may file with the Secretary a petition stating that the order, any provision of the order, or any obligation imposed in connection with the order is not in accordance with law and request a modification of the order or to be exempted therefrom. Such handler is afforded the opportunity for a hearing on the petition. After the hearing the Secretary would rule on the petition. The Act provides that the district court of the United States in any district in which the handler is an inhabitant, or has his or her principal place of business, has jurisdiction to review the Secretary's ruling on the petition, provided an action is filed not later than 20 days after the date of the entry of the ruling.

This rule decreases the assessment rate established for the Committee for the 1999–2000 and subsequent fiscal periods from \$0.05 to \$0.04 per 50-pound container or equivalent of onions handled.

The South Texas onion marketing order provides authority for the Committee, with the approval of the Department, to formulate an annual budget of expenses and collect assessments from handlers to administer the program. The members of the Committee are producers and handlers of South Texas onions. They are familiar with the Committee's needs and with the costs for goods and services in their local area and are thus in a position to formulate an appropriate budget and assessment rate. The assessment rate is formulated and discussed in a public meeting. Thus, all directly affected persons have an opportunity to participate and provide input.

For the 1997–98 and subsequent fiscal periods, the Committee recommended, and the Department approved, an

assessment rate of \$0.05 per 50-pound container or equivalent that would continue in effect from fiscal period to fiscal period unless modified, suspended, or terminated by the Secretary upon recommendation and information submitted by the Committee or other information available to the Secretary.

The Committee, in a mail vote, unanimously recommended 1999–2000 expenses of \$271,000 for personnel, office, compliance, promotion, and research expenses. These expenses were approved in July 1999. The assessment rate and specific funding for research and promotion projects were to be recommended at a later Committee meeting.

The Committee subsequently met on September 16, 1999, and recommended 1999–2000 expenditures of \$301,000 and an assessment rate of \$0.04 per 50-pound container or equivalent of onions. In comparison, last year's budgeted expenditures were \$271,000. The assessment rate of \$0.04 is \$0.01 lower than the rate currently in effect. The Committee voted to lower its assessment rate because at the current rate of assessment, income would have exceeded anticipated expenses by about \$74,000 and the projected reserve on July 31, 2000 (\$458,720), would have exceeded the level the Committee believed to be adequate to administer the program.

The major expenditures recommended by the Committee for the 1999–2000 fiscal period include \$97,200 for administrative expenses, \$34,800 for compliance, \$36,000 for promotion, and \$133,000 for research projects. Budgeted expenses for these items in 1998–99 were \$94,000, \$36,000, \$33,000, and \$108,000, respectively.

The assessment rate recommended by the Committee was derived by dividing anticipated expenses by expected shipments of South Texas onions. Onion shipments for the year are estimated at 7.5 million 50-pound equivalents, which should provide \$300,000 in assessment income. Income derived from handler assessments, along with interest income and funds from the Committee's authorized reserve, should be adequate to cover budgeted expenses. Funds in the reserve (currently \$384,720) will be kept within the maximum permitted by the order (approximately two fiscal periods' expenses; \$ 959.43).

The assessment rate established in this rule will continue in effect indefinitely unless modified, suspended, or terminated by the Secretary upon recommendation and information submitted by the

Committee or other available information.

Although this assessment rate will be in effect for an indefinite period, the Committee will continue to meet prior to or during each fiscal period to recommend a budget of expenses and consider recommendations for modification of the assessment rate. The dates and times of Committee meetings are available from the Committee or the Department. Committee meetings are open to the public and interested persons may express their views at these meetings. The Department will evaluate Committee recommendations and other available information to determine whether modification of the assessment rate is needed. Further rulemaking will be undertaken as necessary. The Committee's 1999–2000 budget and those for subsequent fiscal periods will be reviewed and, as appropriate, approved by the Department.

Pursuant to requirements set forth in the Regulatory Flexibility Act (RFA), the Agricultural Marketing Service (AMS) has considered the economic impact of this rule on small entities. Accordingly, AMS has prepared this final regulatory flexibility analysis.

The purpose of the RFA is to fit regulatory actions to the scale of business subject to such actions in order that small businesses will not be unduly or disproportionately burdened. Marketing orders issued pursuant to the Act, and the rules issued thereunder, are unique in that they are brought about through group action of essentially small entities acting on their own behalf. Thus, both statutes have small entity orientation and compatibility.

There are approximately 80 producers of South Texas onions in the production area and approximately 37 handlers subject to regulation under the marketing order. Small agricultural producers have been defined by the Small Business Administration (SBA) (13 CFR 121.601) as those having annual receipts less than \$500,000, and small agricultural service firms are defined as those whose annual receipts are less than \$5,000,000.

Most of the handlers are vertically integrated corporations involved in producing, shipping, and marketing onions. For the 1998–99 marketing year, onions produced on 13,782 acres were shipped by the industry's 37 handlers with the average and median volume handled being 147,669 and 102,478 fifty-pound bag equivalents, respectively. In terms of production value, total revenues for the 37 handlers were estimated to be \$43.7 million, with average and median revenues being \$1.1 million, and \$820,000, respectively.

The South Texas onion industry is characterized by producers and handlers whose farming operations generally involve more than one commodity, and whose income from farming operations is not exclusively dependent on the production of onions. Alternative crops provide an opportunity to utilize many of the same facilities and equipment not in use when the onion production season is complete. For this reason, typical onion producers and handlers either produce multiple crops or alternate crops within a single year.

Based on the SBA's definition of small entities, the Committee estimates that all the 37 handlers regulated by the order would be considered small entities if only their spring onion revenues are considered. However, revenues from other productive enterprises would likely push a large number of these handlers above the \$5,000,000 annual receipt threshold. All of the 80 producers may be classified as small entities based on the SBA definition if only their revenue from spring onions is considered. When revenues from all sources is considered, a majority of the producers would not be considered small entities because receipts would exceed \$500,000.

This rule decreases the assessment rate established for the Committee and collected from handlers for the 1999–2000 and subsequent fiscal periods from \$0.05 to \$0.04 per 50-pound container or equivalent of onions. The Committee recommended 1999–2000 expenditures of \$301,000 and an assessment rate of \$0.04 per 50-pound container or equivalent. The assessment rate of \$0.04 is \$0.01 lower than the 1998–99 rate. The quantity of assessable onions for the 1999–2000 fiscal period is estimated at 7.5 million 50-pound equivalents. Income derived from handler assessments, along with interest income and funds from the Committee's authorized reserve, should be adequate to cover budgeted expenses.

The major expenditures recommended by the Committee for the 1999–2000 fiscal period include \$97,200 for administrative expenses, \$34,800 for compliance, \$36,000 for promotion, and \$133,000 for research projects. Budgeted expenses for these items in 1998–99 were \$94,000, \$36,000, \$33,000, and \$108,000, respectively.

The Committee voted to lower its assessment rate because at the current rate of assessment, income would have exceeded anticipated expenses by about \$74,000 and the projected reserve on July 31, 2000 (\$458,720), would have exceeded the level the Committee

believed to be adequate to administer the program.

The Committee's recommended 1999–2000 expenditures of \$301,000, include increases in administrative and office salaries, and research programs. Prior to arriving at this budget, the Committee considered information from various sources, including the Research Subcommittee and the Market Development Subcommittee. Alternative expenditure levels were discussed by these groups, based upon the relative value of various research projects to the onion industry. The assessment rate of \$0.04 per 50-pound carton or equivalent of assessable onions was then determined by dividing the total recommended budget by the quantity of assessable onions, estimated at 7.5 million 50-pound equivalents for the 1999–2000 fiscal period. This is approximately \$1,000 below the anticipated expenses, which the Committee determined to be acceptable. Funds from the Committee's reserve would be used to make up the expected deficit.

A review of historical production and marketing information indicates that the grower price for the 1999 marketing season could range between \$7.00 and \$12.00 per 50-pound container or equivalent of onions. Therefore, the estimated assessment revenue for the 1999–2000 fiscal period as a percentage of total grower revenue could range between .571 and .333 percent.

This action decreases the assessment obligation imposed on handlers. Assessments are applied uniformly on all handlers, and some of the costs may be passed on to producers. However, decreasing the assessment rate reduces the burden on handlers, and may reduce the burden on producers. In addition, the Committee's meeting was widely publicized throughout the South Texas onion industry and all interested persons were invited to attend the meeting and participate in Committee deliberations on all issues. Like all Committee meetings, the September 16, 1999, meeting was a public meeting and all entities, both large and small, were able to express views on this issue.

This rule imposes no additional reporting or recordkeeping requirements on either small or large South Texas onion handlers. As with all Federal marketing order programs, reports and forms are periodically reviewed to reduce information requirements and duplication by industry and public sector agencies.

The Department has not identified any relevant Federal rules that duplicate, overlap, or conflict with this rule.

A proposed rule concerning this action was published in the **Federal Register** on November 26, 1999 (64 FR 66411). Copies of the proposed rule were also mailed or sent via facsimile to all onion handlers. Finally, the proposal was made available through the Internet by the Office of the Federal Register. A 30-day comment period ending December 27, 1999, was provided for interested persons to respond to the proposal. No comments were received.

A small business guide on complying with fruit, vegetable, and specialty crop marketing agreements and orders may be viewed at the following web site: <http://www.ams.usda.gov/fv/moab.html>. Any questions about the compliance guide should be sent to Jay Guerber at the previously mentioned address in the **FOR FURTHER INFORMATION CONTACT** section.

After consideration of all relevant material presented, including the information and recommendation submitted by the Committee and other available information, it is hereby found that this rule, as hereinafter set forth, will tend to effectuate the declared policy of the Act.

Pursuant to 5 U.S.C. 553, it also found and determined that good cause exists for not postponing the effective date of this rule until 30 days after publication in the **Federal Register** because the 1999–2000 fiscal period began August 1, 1999, and the marketing order requires that the rate of assessment for each fiscal period apply to all assessable onions handled during such fiscal period. This action decreases the rate beginning with the 1999–2000 fiscal period. Further, handlers are aware of this rule which was recommended at a public meeting. Also, a 30-day comment period was provided for in the proposed rule, and no comments were received.

List of Subjects in 7 CFR Part 959

Marketing agreements, Onions, Reporting and recordkeeping requirements.

For the reasons set forth in the preamble, 7 CFR part 959 is amended as follows:

PART 959—ONIONS GROWN IN SOUTH TEXAS

1. The authority citation for 7 CFR part 959 continues to read as follows:

Authority: 7 U.S.C. 601–674.

2. Section 959.237 is revised to read as follows:

§ 959.237 Assessment rate.

On and after August 1, 1999, an assessment rate of \$0.04 per 50-pound

container or equivalent is established for South Texas onions.

Dated: January 11, 2000.

Robert C. Keeney,

Deputy Administrator, Fruit and Vegetable Programs.

[FR Doc. 00-1049 Filed 1-14-00; 8:45 am]

BILLING CODE 3410-02-P

FEDERAL RESERVE SYSTEM

12 CFR Part 269a

[Docket No. R-1056]

Labor Relations for the Federal Reserve System

AGENCY: Board of Governors of the Federal Reserve System.

ACTION: Interim rule with request for comments; policy statement.

SUMMARY: The Board of Governors of the Federal Reserve System (the Board) has an internal "Policy on Labor Relations for the Board of Governors of the Federal Reserve System," which was revised in 1983 through notice and comment. The Board has determined that its regulation entitled "Policy on Labor Relations for the Federal Reserve Banks" should be applied to the Board policy insofar as that regulation provides procedures for processing charges of unfair labor practices. In addition, the Board is amending the references in its policy to the "Federal Reserve System Labor Relations Panel" to read "Federal Reserve Board Labor Relations Panel" which is the correct name of this panel. Further, the Board is also amending part 269a by correcting cross-references to another Board regulation.

DATES: This interim rule is effective January 19, 2000. Submit comments on or before March 20, 2000.

ADDRESSES: Comments, which should refer to Docket No. R-1056, may be mailed to the Board of Governors of the Federal Reserve System, 20th and C Streets, NW, Washington, DC 20551; Attention: Ms. Jennifer J. Johnson, Secretary, or may be delivered to the Board's mail room between 9 a.m. and 5 p.m. All comments received may be inspected in Room MP-500 of the Martin Building between 9 a.m. and 5 p.m., Monday through Friday, except as provided in 12 CFR 261.11(a) of the Board's Rules Regarding Availability of Information.

FOR FURTHER INFORMATION CONTACT:

Richard M. Ashton, Associate General Counsel (202-452-3750), Legal Division, Board of Governors of the Federal Reserve System. For the hearing impaired only, Telecommunication

Device for the Deaf (TDD), Diane Jenkins (202-452-3544), Board of Governors of the Federal Reserve System, 20th and C Street NW, Washington, DC 20551.

SUPPLEMENTARY INFORMATION: Under the authority provided in the Federal Reserve Act, the Board has recognized the rights of its employees to organize and bargain collectively through recognized representatives and to be free from unfair labor practices. See Sections 10(4) and 11(l) (providing the Board exclusive authority over employment at the Board). The Board has adopted a "Policy on Labor Relations for the Board of Governors of the Federal Reserve System" which prohibits unfair labor practices and sets up the Federal Reserve Board Labor Relations Panel (Board Panel) to adjudicate charges of unfair labor practices. The policy authorizes the Board to issue rules to remedy unfair labor practices listed in the policy. The policy provides that the Board Panel will adhere to the rules and regulations promulgated by the Board for this purpose.

The Board has also adopted a "Policy on Labor Relations for the Reserve Banks," which is very similar in many respects to the Board Policy. 12 CFR part 269. The Board policy, like the Reserve Bank policy, prohibits certain unfair labor practices. The Bank policy, which establishes a Federal Reserve System Labor Relations Panel, also contains procedures for presenting and remedying unfair labor practices. Like the Board policy, the Bank policy, including the unfair labor practice procedures, was adopted after public notice and opportunity for comment. 48 FR 18820 (April 26, 1983); 48 FR 32331 (July 15, 1983).

An unfair labor practice charge under the Board policy has recently been filed. The Board has determined that the procedures for adjudicating unfair labor practice claims and other matters provided in its "Policy on Labor Relations for the Reserve Banks" should be applied to the processing of charges of unfair labor practice filed under the Board policy.

Accordingly, the Board is amending the Board policy to provide that in processing charges of unfair labor practices under that policy, 12 CFR part 269a and 269b of the Bank policy will govern. Thus, where the Bank policy refers to "bank," the reference will be read as referring to the "Board" and where it refers to the "Federal Reserve System Labor Relations Panel," the reference will be read as referring to the Board Panel. In addition, the Board is correcting all references in its policy to the "Federal Reserve System Labor

Relations Panel" to read "Federal Reserve Board Labor Relations Panel" which is the correct name of this panel. Further, references in part 269a to part 292, which was removed and redesignated in 1983 into part 269b after notice and public comment, will be revised to refer to the correct sections in part 269b.

Pursuant to 5 U.S.C. 553(d)(3), the Board has determined that it is unnecessary, and would be impracticable, to defer the effective date of this action until after public comments have been received and considered, although the Board will consider all public comments received and make changes in its procedures based on those comments where appropriate. The Board has also determined, pursuant to 5 U.S.C. 553(d)(3), that good cause exists to make this action effective immediately rather than to defer its effective date for 30 days. The procedures here adopted for use by the Board Panel were issued for the System Panel in 1983 following notice and public comment and the substance of the unfair labor practice provisions in the Board and the Reserve Bank policies are essentially the same. 48 FR 32331 (July 15, 1983). A pending matter under the Board policy requires that those procedures be used by the Board Panel without delay in the interest of fairness.

The Board is amending its "Policy on Labor Relations for the Board of Governors of the Federal Reserve System" published on July 15, 1983 (48 FR 32334) as set forth below:

Policy on Labor Relations for the Board of Governors of the Federal Reserve System

1. Section 6, paragraph (d), of this policy is amended to read as follows:

Section 6 Unfair Labor Practices

(d) The Federal Reserve Board Labor Relations Panel will follow the rules in 12 CFR parts 269a and 269b for the prevention and remedy of the unfair labor practices listed in this Policy. For purposes of this Policy, the reference in § 269b.110 to § 269.6 will be read as referring to section 6 of this Policy. References in parts 269a and 269b to a Federal Reserve Bank will be read as referring to the Board. References in parts 269a and 269b to the Federal Reserve System Labor Relations Panel will be read as referring to the Federal Reserve Board Labor Relations Panel.

2. Every reference in the policy to the "Federal Reserve System Labor Relations Panel" is removed and the

words "Federal Reserve Board Labor Relations Panel" are added in their place.

List of Subjects in 12 CFR Part 269a

Federal Reserve System, Labor-management relations.

For the reasons set out in the preamble, 12 CFR part 269a is amended as set forth below:

PART 269a—DEFINITIONS

1. The authority citation for 12 CFR part 269a continues to read as follows:

Authority: Sec. 11, 38 Stat. 261 (12 U.S.C. 248).

§ 269a.4 [Amended]

2. In § 269a.4, remove the reference to "§ 292.210" and add the reference to "§ 269b.210" in its place.

§ 269.5 [Amended]

3. In § 269a.5, remove the reference to "§ 292.420 *et seq.*" and add the reference to "§ 269b.420 *et seq.*" in its place and remove the reference to "§ 292.442" and add the reference to "§ 269b.442" in its place.

By order of the Board of Governors of the Federal Reserve System, January 11, 2000.

Jennifer J. Johnson,

Secretary of the Board.

[FR Doc. 00-997 Filed 1-14-00; 8:45 am]

BILLING CODE 6210-01-P

DEPARTMENT OF COMMERCE

Economic Development Administration

13 CFR Parts 308 and 314

[Docket No. 991208327-9327-01]

RIN 0610-ZA12

Requirements for Economic Adjustment Grants-Revolving Loan Fund Projects and Property

AGENCY: Economic Development Administration (EDA), Department of Commerce (DoC).

ACTION: Interim rule with request for comments.

SUMMARY: The Economic Development Administration (EDA) is amending its regulations consistent with recommendations of its Revolving Loan Fund Task Force, and comments received on EDA's interim-final rule to implement the comprehensive amendment to the Public Works and Economic Development Act of 1965, as amended by the Economic Development Administration Reform Act of 1998.

EDA has clarified and simplified requirements and incorporated into the

body of the rules, requirements unique to EDA for Revolving Loan Fund (RLF) projects previously appearing in Appendices A-D to 13 CFR part 308.

DATES: Effective date: January 18, 2000.

Comment date: Comments are due on or before March 20, 2000.

ADDRESSES: Send comments to Edward M. Levin, Chief Counsel, Economic Development Administration, U.S. Department of Commerce, Herbert C. Hoover Building, 1401 Constitution Avenue, NW, Room 7005, Washington, DC 20230.

FOR FURTHER INFORMATION CONTACT:

Edward M. Levin, Chief Counsel, Telephone Number 202-482-4687, fax 202-482-5671, e-mail elevin@doc.gov

SUPPLEMENTARY INFORMATION:

Background

The Economic Development Administration (EDA) was reauthorized for a five-year period by legislation enacted on November 13, 1998, creating stability and opportunities for EDA to better serve economically distressed communities across the country. On February 3, 1999, EDA published an interim-final rule, Economic Development Administration Regulation: Revision to Implement the Economic Development Reform Act of 1998, Pub. L. 105-393, (64 FR 5347-5486). The public was invited to submit comments on the interim-final rule for a period of sixty (60) days ending April 5, 1999. EDA had postponed the revision of the RLF requirements until recently so that the RLF Task Force recommendations and public comments could be incorporated.

RLF Task Force Recommendations

EDA's Revolving Loan Fund Task Force was established to consider contemporary issues of interest to the RLF community and to make recommendations for appropriate reforms and policies that resulted from such consideration. The solicitation of comments to the Task Force was widely publicized and included published articles in weekly and monthly newsletters and web sites of several national economic development organizations. The all-Federal Task Force, which included representatives from each of EDA's six regional offices and three other Federal Agencies, considered more than sixty comments and suggestions submitted by RLF operators and economic development organizations. Resulting Task Force recommendations involving the clarification of policies or regulatory changes, some of which were also suggested by those commenting on EDA's interim-final rule, are included in

this interim-final rule. These recommendations were that EDA:

1. Consider providing start-up technical assistance funding to train first time grantees and to cover the costs for administering borrower technical assistance programs associated with RLFs.

We have added a provision as new § 308.4(c)(2)(iv) to allow the use of in-kind local matching funds for such purposes.

2. Provide clear criteria for determining when RLFs graduate from a semi-annual to annual reporting status.

We have added specific requirements for graduating RLFs from a semi-annual to annual RLF reporting status, in new § 308.14(a).

3. Consider allowing loan loss reserves to be maintained by EDA RLFs.

Because EDA RLFs are capitalized by grant funds (rather than by a loan which must be repaid to the Agency), EDA believes that there is no need for RLF recipients to maintain a cash reserve against loan losses that may occur. However, EDA does agree that a loan loss reserve appearing as non-cash financial statement entries should be permitted. We have added this provision as new § 308.15(a)(2).

4. Provide more flexibility in EDA's effective utilization of funds policy (also known as the excess retention policy) so that smaller RLFs would be able to accumulate larger amounts of loan repayments to handle larger loans.

EDA has retained its basic rule, but has added a new § 308.19 clarifying the current authority to permit necessary and reasonable variances from this and other provisions that do not conflict with other legal requirements.

5. Allow all EDA funds to be disbursed for new loans, while permitting loan repayments to accumulate.

EDA does not agree with the requested change. EDA's existing practice is consistent with Federal requirements concerning disbursement of grant funds. However, the allowance of in-kind local share for RLFs has required that EDA articulate new requirements for disbursing EDA funds for RLF projects. EDA has addressed all RLF disbursement related issues in newly added § 308.16.

6. Commenters suggested that part 308, Appendix A, Economic Adjustment Program Revolving Loan Fund *Plan Guidelines*; Appendix B, Economic Adjustment Program Revolving Loan Fund Grants *Standard Terms and Conditions*; Appendix C, Economic Adjustment Program Revolving Loan Fund Grants *Administrative Manual*; and Appendix D, Economic Adjustment

Program Revolving Loan Fund Grants *Audit Guidelines* be simplified and combined into a single user-friendly RLF manual and that requirements that are specific to EDA be incorporated into EDA's final rule.

We concur. Accordingly, we have removed Appendices A–D to part 308, and have incorporated requirements unique to EDA's RLF program into 13 CFR part 308.

The new condensed RLF manual to replace the *Plan Guidelines, Standard Terms and Conditions*, and *Administrative Manual* is anticipated to be forthcoming early in calendar year 2000. The *Audit Guidelines* are being incorporated into the Compliance Supplement to OMB Circular A–133.

Comments on Regulatory Text

Several similar comments were received by the RLF Task Force on the Regulatory Text. Comments on regulatory text not otherwise addressed by the RLF Task Force (see above) were as follows:

A Commenter suggested that EDA make geographic eligibility criteria more flexible for regional use, noting that rural economic trade centers are often not eligible for EDA RLF grants even though they impact the adjacent jurisdictions.

EDA does not concur that additional flexibility is required. Existing regulations at § 300.2 and § 301.2 adequately address applicant eligibility and establish area eligibility criteria sufficient to qualify distressed places consistent with statutory requirements.

A commenter suggested that there be a reduction in the amount or percentage of non-Federal match needed to capitalize and recapitalize an RLF.

EDA does not concur since current requirements are consistent with EDA's statutory and regulatory requirements. Local share requirements are explained in 13 CFR 301.4(b) and new § 308.16(f).

A commenter suggested that RLFs be allowed to pledge RLF loans to regional banks in order to borrow additional funds and to guarantee another lender's loans. Another commenter suggested that EDA encourage and assist in secondary market transactions as a method of increasing an RLF's lending capacity, provided that such transactions would not be a replacement for RLF recapitalization grants.

EDA supports development of a secondary market for RLF loans. To further explore these issues, EDA is currently conducting an RLF secondary market (securitization) pilot project. Additional information on the pilot project can be found on EDA's Web Site, at <http://www.doc.gov/eda>.

A commenter suggested that EDA allow unlimited use of RLF program income for purposes such as local match for other grants, loan loss reserves (such as for USDA's Intermediary Relending Program) or equity contributions.

Although RLF recipients are provided wide latitude in using RLF income, which is defined in newly added § 308.8, EDA does not concur with the suggestion concerning unlimited use of RLF program income. Under 15 CFR parts 14 and 24, EDA applies the principle that program income should be used in furtherance of the purpose of the project, in this case, the EDA RLF project.

Limitations on the use of program income, consistent with 15 CFR parts 14 and 24 and longstanding EDA RLF practice, are in newly added § 308.12(a).

A commenter suggested that ceilings on administrative costs be revised or eliminated.

EDA has clarified these requirements by adding new § 308.14(c).

A commenter suggested limiting EDA's RLF reporting requirements to ten years.

While a 10 year rule does not apply to RLFs, EDA has clarified reporting requirements in new § 308.14.

Commenters suggested that EDA's property management regulations be revised to include provisions formerly found in appendices to part 308 which are unique to EDA. These provisions addressed suspension and termination of RLFs and the treatment of proceeds of liquidated RLF loans.

We concur and have changed §§ 314.4 and 314.10 accordingly.

A commenter suggested including personal guarantees as one of the required standard loan documents.

EDA concurs with this common and prudent lending practice and has included personal guarantees as a required standard loan document in a new § 308.15(b)(2)(vii).

Savings Clause

The rights, duties, and obligations of all parties pursuant to parts, sections and portions thereof of the Code of Federal Regulations removed by this rule will continue in effect, except that EDA may waive administrative or procedural requirements of provisions removed by this rule.

Executive Order 12866 and 12875

This rule has been determined to be significant for purposes of E.O. 12866, Regulatory Planning and Review. In addition, it has been determined that, consistent with the requirements of E.O. 12875, Enhancing Intergovernmental Partnership, this final rule will not

impose any unfunded mandates upon state, local, and tribal governments.

Regulatory Flexibility Act

Since notice and an opportunity for comment are not required to be given for the rule under 5 U.S.C. 553 or any other law, under sections 603(a) and 604(a) of the Regulatory Flexibility Act (5 U.S.C. 601–612) no initial or final Regulatory Flexibility Analysis is required, and none has been prepared.

Paperwork Reduction Act

This rule imposes no new information collection or record keeping requirements under the Paperwork Reduction Act of 1980 (44 U.S.C. 3501 *et seq.*), as amended, and has been cleared under OMB's clearance process under OMB approval numbers 0610–0095 valid until August 31, 2002.

Administrative Procedure Act and Regulatory Flexibility Act

Executive Order 12612 (Federalism Assessment)

This action has been reviewed in accordance with the principles and criteria contained in E.O. 12612. It has been determined that this final rule does not have significant Federalism implications to warrant a full Federalism Assessment under the principles and criteria contained in E.O. 12612.

List of Subjects

13 CFR Part 308

Business and industry, Community development, Community facilities, Grant programs-business, Grant programs-community development, American Indians, Manpower training programs, Mortgages, Research, Technical assistance.

13 CFR Part 314

Community development, Grant programs-community development.

For the reasons set forth in the preamble, 13 CFR Chapter III, parts 308 and 314 are amended to read as follows:

PART 308—REQUIREMENTS FOR ECONOMIC ADJUSTMENT GRANTS

1. The authority citation for part 308 continues to read as follows:

Authority: 42 U.S.C. 3211; Department of Commerce Organization Order 10–4.

2. Part 308 is amended by designating §§ 308.1 through 308.6 as Subpart A and adding a heading for Subpart A to read as follows:

Subpart A—General

3. Section 308.3 is amended by removing paragraph (c).

4. Section 308.4 is amended by revising paragraph (c)(2)(ii) and (iii) and adding paragraph (c)(2)(iv) to read as follows:

§ 308.4 Selection and evaluation factors.

* * * * *

(c) * * *

(2) * * *

(ii) The types of financing activities anticipated;

(iii) The capacity of the RLF organization to manage lending, create networks between the business community and other financial providers, and contribute to the adjustment strategy; and

(iv) Use of in-kind match. When in-kind match is included in a project, such match will be used for borrower technical assistance or general RLF administrative costs (e.g. the training of new RLF staff).

* * * * *

5. Appendices A–D to part 308 are removed.

6. Subpart B is added to read as follows:

Subpart B—Special Requirements for Revolving Loan Fund Projects and Uses of Grant Funds.

308.7 Revolving Loan Funds established for business lending.

308.8 Definitions.

308.9 Revolving Loan Fund Plan.

308.10 Pre-loan requirements.

308.11 Lending areas and modification of lending areas.

308.12 Revolving Loan Fund income.

308.13 Records and retention.

308.14 Revolving Loan Fund semi-annual and annual reports.

308.15 Prudent management of Revolving Loan Funds.

308.16 Disbursement of funds to Revolving Loan Funds.

308.17 Effective utilization of Revolving Loan Funds.

308.18 Uses of capital.

308.19 Variances.

§ 308.7 Revolving Loan Funds established for business lending.

EDA grants to capitalize or recapitalize Revolving Loan Funds are most commonly used for business lending, but may also be established for public infrastructure lending or other authorized purposes involving lending. The RLF requirements in this subpart B are applicable to RLFs established for business lending. Appropriate modifications of these requirements will be addressed in special award conditions to accommodate non-business RLF awards.

§ 308.8 Definitions.

As used in this part:

Closed loan means any loan for which all required documentation has been executed, received, and reviewed.

Guaranteed loan means a loan made and serviced by a lending institution under the agreement that a third party (e.g., a governmental agency) will purchase the guaranteed portion if the borrower defaults.

Program income means gross income received by the grant RLF recipient or the sub-recipient directly generated by a grant supported activity, or earned only as a result of the grant agreement during the grant period. Program income includes principal repayments and RLF income.

Prudent lending practices means generally accepted underwriting and lending practices for public loan programs based on sound judgment to protect Federal and lender interests. Such practices cover loan processing, documentation, loan approval, collections, servicing, administrative procedures, collateral protection, and recovery actions. Prudent lending practices include compliance with local laws and filing requirements to perfect and maintain security interests in RLF collateral.

Recapitalization grants are additional grant funds awarded to increase the capital base of an RLF.

RLF capital includes the funds which capitalized the RLF plus such earnings and fees generated by RLF activities as may be added to the RLF capital base to be used for lending. The original sources of capital for EDA RLFs are normally comprised of EDA grant funds and local cash matching share.

RLF income means interest earned on outstanding loan principal, interest earned on accounts holding RLF funds not needed for immediate lending, all loan fees and loan-related charges received from RLF borrowers, and other income generated from RLF operations. The RLF recipient may use RLF income only to capitalize the RLF and/or to cover eligible and reasonable costs necessary to administer the RLF, unless otherwise provided for in the grant agreement or approved in writing by EDA. RLF income excludes principal repayments.

Secondary market includes those entities that purchase an interest in a loan from an original lender.

Securitization refers to the technique of securing an investment of new capital with the stream of income generated by one or more (usually a large group of) existing loans. EDA broadly defines securitization transactions to include techniques such as the sale of loans,

pledging the future income stream of a loan, and similar activities, to access investor capital to increase available funds for lending.

§ 308.9 Revolving Loan Fund Plan.

RLF recipients must manage RLFs in accordance with an RLF Plan (Plan) as described in this part. For RLF recipients other than states, the Plan must be submitted to and approved by EDA and passed by resolution of the organizations' governing board prior to the grant award; political subdivisions of states may be exempted from this requirement with EDA approval.

(a) *Format and content.* (1) The title page of the Plan should show the RLF recipient organization's name and the date the Plan was adopted.

(2) Part I of the Plan, titled Revolving Loan Fund Strategy, summarizes the area CEDS and business development objectives, and describes the RLF's financing strategy, policy and portfolio standards. Organization of the material and the level of detail provided in the subsections of Part I may be varied to improve the narrative flow, provided the substantive content is adequately covered.

(3) Part II of the Plan, titled Operational Procedures, serves as the internal operating manual for the RLF.

(b) *Evaluation of Plans.* EDA will use the following criteria in evaluating Plans:

(1) The Plan must flow from and be consistent with the EDA-approved CEDS for the area.

(2) The Plan must be an internally consistent, coherent statement of the strategic purpose of the particular RLF and the various considerations influencing the selection of its financing strategy, policies, and loan selection criteria encompassing:

(i) A financing strategy that demonstrates a knowledgeable analysis of the local capital market and the financing needs of the targeted businesses; and

(ii) Financing policies and portfolio standards that are consistent with EDA policies and requirements.

(3) The strategic objectives defined must be sufficiently meaningful, though not necessarily quantified, so that progress toward them can be assessed over time.

(4) The administrative procedures for operating the RLF must be consistent with generally accepted prudent lending practices for public lending institutions.

§ 308.10 Pre-loan requirements.

(a) RLF recipients must adopt procedures to review the impacts of prospective loan proposals on the

physical environment. The Plan must provide for the disapproval of any loan project that adversely (without mitigation) impacts flood plains, wetlands, significant historic or cultural properties, drinking water resources, or nonrenewable natural resources. In administering the RLF, the RLF recipient must adopt procedures to comply, and ensure that potential borrowers comply, with applicable laws and regulations including, but not limited to §§ 316.1, 316.3, 316.7, 316.8, 316.15, and 317 of this chapter.

(b) RLF recipients are responsible for ensuring compliance with the applicable requirements of this chapter prior to providing any loan assistance under the RLF. RLF recipients are responsible for ensuring that prospective borrowers, consultants, or contractors are aware of and comply with the Federal statutory and regulatory requirements that apply to activities carried out with RLF loans. RLF recipients must develop loan agreements that include applicable Federal requirements to ensure compliance. RLF recipients must adopt procedures to diligently correct instances of non-compliance, including the calling of loans, if necessary. RLF recipient loan documents and procedures must protect and hold the Government harmless from and against all liabilities that the Government may incur as a result of providing an award to assist (directly or indirectly) in site preparation or construction as well as the renovation or repair of any facility or site. This applies to the extent that such liabilities are incurred because of ground water, surface, soil or other conditions caused by operations of the RLF recipient or any of its predecessors on the property.

§ 308.11 Lending areas and modification of lending areas.

(a) The economic activity and benefits of RLF loans must be located within the eligible areas identified in the grant award. The determination of eligibility of a new area will be made in accordance with § 301.2 of this chapter.

(1) Where such RLFs have a grant condition that permits new areas that subsequently become eligible to be added to the lending area, may add such areas with EDA approval. RLFs that were awarded assistance (RLF capitalization or recapitalization) before February 11, 1999, whether fully disbursed or not, and fully disbursed RLFs that were awarded assistance (RLF capitalization or recapitalization) on or after February 11, 1999.

(2) In the case of existing RLFs that are not fully disbursed that were

awarded assistance (RLF capitalization or recapitalization) on or after February 11, 1999, the area proposed to be added must also be eligible to receive an EDA grant rate equal to or greater than that of the original grant.

(b) Whenever an area is added, modification to the RLF Plan incorporating the new area and outlining the RLF lending strategy is required. Once approved, area eligibility is retained indefinitely.

§ 308.12 Revolving Loan Fund income.

(a) RLF income can be used to pay for eligible and reasonable administrative costs for the project. RLF recipients are expected to add RLF income to the RLF capital base where practicable. To determine the appropriate amount of RLF income to return to the RLF capital base, RLF operators must consider the costs necessary to operate an RLF program, the availability of other monetary resources, the portfolio risk level and projected capital erosions from loan losses and inflation, the community's (or area's) commitment to the RLF, and the anticipated demand for RLF loans.

(b) RLF income that is not used for administrative costs during the selected twelve-month reporting period in which it is earned, must be added to the RLF capital base for lending purposes at the end of the twelve-month reporting period. Only RLF income earned during a current period may be used for current administrative expenses. RLF income may not be withdrawn from an RLF in a subsequent period for any uses, other than lending, without the written consent of EDA.

(c) In accounting for RLF income, any net proceeds from the sale, collection, or liquidation of a defaulted loan, up to the amount of the unpaid principal, will be treated as repayments of RLF principal and placed in the RLF for lending purposes only. Any proceeds in excess of the unpaid principal will be treated as RLF income.

(d) RLF recipients must comply with applicable OMB cost principles and with RLF Audit Guidelines (as found in OMB Circular A-133, Single Audit Act Requirements for State and Local Governments, Indian tribal governments, Institutions of Higher Education and Other Nonprofit Organizations or the Compliance Supplement, as appropriate) when charging costs against RLF income.

(e) When a RLF recipients uses RLF income to cover all or part of RLF administrative costs it must complete an RLF Income and Expense Statement required under § 308.14(c) of this chapter.

§ 308.13 Records and retention.

(a) *Loan files and related documents and records.* Loan files and related documents and records must be retained by RLF recipients over the life of the loan and for a three year period from the date of final disposition of the loan. The date of final disposition of the loan is defined as the date of:

(1) Full payment of the principal, interest, fees, penalties, and other costs associated with the loan; or

(2) Final settlement or write-off of any unpaid amounts associated with the loan.

(b) *Administrative records.* RLF recipients must:

(1) Maintain adequate accounting records and source documentation to substantiate the amount and percent of RLF income expended for eligible RLF administrative costs.

(2) Retain records of administrative costs incurred for activities and equipment relating to the operation of the RLF for three years from the actual submission date of the last semi-annual or annual report which covers the period that such costs were claimed, or for five years from the date the costs were claimed, whichever is less.

(3) Make any retained records, even those retained for longer than the period described, available for inspection. The record retention periods, described in this § 308.13, are minimum periods and such prescription is not intended to limit any other record retention requirement of law or agreement. In any event, EDA will not question claimed administrative costs that are more than three years old, unless fraud is an issue.

§ 308.14 Revolving Loan Fund semi-annual and annual reports.

(a) *Frequency of reports.* All RLF recipients, including existing RLFs that receive recapitalization grants, must submit semi-annual reports until they qualify or requalify for "Annual Report" status. RLF recipients may apply for "Annual Report" status if:

(1) All grant funds have been disbursed for at least one year;

(2) Accurate semi-annual reports have been submitted on-time for the preceding two years;

(3) Required periodic audits have been completed and submitted to EDA for the most recent audit period within the last two years; and

(4) EDA determines that the RLF is in compliance with all applicable RLF requirements.

(b) *Report contents.* RLF recipients must certify as part of the semi-annual or annual report to EDA that the RLF is being operated in accordance with the Plan referenced in § 308.9 of this part.

RLF recipients must request EDA approval of modifications to the Plan at any time there is evidence that such modifications are needed to ensure effective use of the RLF as a strategic financing tool.

(c) *RLF income statement.* (1) RLF recipients using RLF income equivalent to 50 percent or more or at least \$100,000 of RLF income for RLF administrative expenses during the selected twelve month period, must submit a completed RLF Income and Expense Statement per § 308.12(e) to the appropriate EDA Regional Office within 90 days of either September 30 or the RLF recipient's fiscal year end, whichever period is selected by the RLF recipient. RLF recipients using less than 50 percent and less than \$100,000 of RLF income for administrative expenses in the twelve-month period will retain the RLF Income and Expense Statement for three years. RLF recipients are required to make this statement available to EDA personnel upon request.

(2) *Performance Measures.* RLF recipients will submit to EDA as part of the semi-annual or annual report, the information identified as the Core Performance Measures in the special conditions accompanying the grant award. EDA will advise RLF recipients in writing, within a reasonable time for submission, in the event there are any modifications in the information required to be submitted.

§ 308.15 Prudent management of Revolving Loan Funds.

(a) *Accounting principles.* (1) RLFs are expected to be operated in accordance with the generally accepted accounting principles (GAAP) and the provisions outlined in OMB Circular A-133 and Compliance Supplements as applicable.

(2) In accordance with GAAP, a loan loss reserve may be reflected in the financial statements to show the fair value of an RLF's loan portfolio provided it is non-funded and represents non-cash entries.

(b) *Loan and accounting system documents.* (1) RLF recipients are required to provide certification by an independent accountant familiar with the RLF recipient's accounting system that its accounting system is adequate to identify, safeguard, and account for all RLF funds, including RLF income.

(2) RLF recipients are required to certify that standard RLF loan documents necessary for lending are in place and that these documents have been reviewed by its legal counsel for adequacy and compliance with the terms and conditions of the grant and applicable state and local laws. The

standard loan documents must include, at a minimum, the following:

- (i) Loan application,
- (ii) Loan agreement,
- (iii) Promissory note,
- (iv) Security agreement(s),
- (v) Deed of Trust or Mortgage (as applicable),
- (vi) Agreement of prior lien holder (as applicable), and
- (vii) Personal Guaranty Agreement (for officers or owners of corporate borrowers, as applicable).

(c) *Interest rates.* A RLF recipient can make loans and loan guarantees to eligible borrowers at interest rates and under conditions determined by the RLF recipient to be most appropriate in achieving the goals of the RLF. However, the minimum interest rate an RLF can charge is four (4) percentage points below the current money center prime rate quoted in the Wall Street Journal or the maximum interest rate allowed under state law, whichever is lower. In no event may the interest rate be less than four (4) percent. However, should the prime interest rate exceed fourteen (14) percent, the minimum RLF interest rate is not required to be raised above ten (10) percent if doing so compromises the ability of the RLF recipient to implement its financing strategy.

(d) *Private leveraging.* (1) RLF loans must be used to leverage private investment of at least two dollars for every one dollar of RLF investment. This leveraging requirement applies to the portfolio as a whole, rather than to individual loans and is effective for the life of the RLF. Private investment, to be classified as leveraged, must be made concurrently with an RLF loan as part of the same business development project and may include:

- (i) Capital invested by the borrower or others,
 - (ii) Financing from private entities, or
 - (iii) The unguaranteed portion and 90 percent of the guaranteed portions of SBA 7(a) and SBA 504 debenture loans.
- (2) Private investments do not include equity build-up in a borrower's assets or prior capital investments by a borrower unless the investment is made within nine months of the RLF loan and is recognized by the RLF recipient.

(e) *Conflict of interest.* (1) No officer, employee, or member of the RLF recipient's Board of Directors, or other Board (hereinafter referred to as "other board") that advises, approves, recommends or otherwise participates in decisions concerning loans or the use of RLF grant funds, or person related to the officer, another employee, or any member of the Board by immediate family, law, or business arrangement,

may receive any benefits resulting from the use of the RLF loan or grant funds. In addition, the RLF recipient may not lend RLF funds to an employee of the RLF recipient or any member of the RLF recipient's Board of Directors, or a member of any other Board. Immediate family is defined as parents, grandparents, siblings, children and grandchildren, but does not include more distant relatives, including cousins, unless they live in the same household. Exception: A benefit or loan may be conferred if the officer, employee, or Board member affected first discloses to the RLF recipient on the public record the proposed or potential benefit and receives the RLF recipient's written determination that the benefit involved is not so substantial as to reflect adversely upon or affect the integrity of the RLF recipient's decision process or the services of the officer, employee or board member.

(2) An officer, employee or board member of the RLF recipient will not solicit or accept, directly or indirectly, any gift, gratuity, favor, entertainment or any other thing of monetary value, for himself or for another person, from any person or organization seeking to obtain a loan or any portion of the grant funds.

(3) Former board members and/or officers are ineligible to apply for or receive an RLF loan for a period of one year from the date of termination of his/her services. Exception: A benefit or loan may be conferred if the officer, or Board member affected first discloses to the RLF recipient on the public record the proposed or potential benefit and receives the RLF recipient's written determination that the benefit involved is not so substantial as to reflect adversely upon the integrity of the RLF recipient's decision process.

§ 308.16 Disbursement of funds to Revolving Loan Funds.

(a) *Timing of request for disbursement.* A RLF recipient must request disbursements from EDA only at the time and in the amount immediately needed to close a loan or disburse funds to a borrower. Grant funds must be requested only for immediate use, *i.e.*, when the intent is to disburse the funds within 14 days of receipt.

(b) *Amount of disbursement.* As each new loan is made, the grant RLF recipient may request a disbursement of grant funds only for the difference, if any, between the amount of funds available for relending (from repayments of loan principal and RLF income) and the amount of the new loan, less an amount for local matching funds as may be required to be disbursed concurrent with the grant.

However, RLF income received during the grant period may be held to cover eligible administrative expenses and need not be disbursed in order to draw additional grant funds.

(c) *Interest-bearing accounts.* All RLF grant funds disbursed by EDA to reimburse RLF recipients for loan obligations already incurred must be held in interest bearing accounts by RLF recipients until disbursed to the borrower.

(d) *Pre-disbursement requirements.* RLF recipients are required to provide:

(1) Evidence to EDA that they have fidelity bond coverage for persons authorized to handle funds under the grant award in an amount sufficient to protect the interests of EDA and the RLF. Note that such insurance coverage must exist at all times during the life of the RLF; and

(2) Certification in accordance with § 308.15(b)(1) of this part.

(e) *Delays.* (1) If grant funds are requested and the loan disbursement is subsequently delayed, a RLF recipient may hold the funds up to 30 days from the date of receipt. In the event that a loan disbursement is delayed beyond 30 days from the date of receipt of the Federal disbursement, the undisbursed funds must be returned to the Government for credit to the RLF recipient's account. Returned funds will be available to the RLF recipient for future draw down. When returning prematurely drawn funds, checks should identify on their face the name of the grantor agency—"EDA" followed by the grant award number and the words "Premature Draw."

(2) The interest earned on prematurely withdrawn funds must be returned to the Government (with the exception of \$100 per year which may be retained for administrative expenses by states, local governments and Indian tribes in accordance with 15 CFR Part 24, and \$250 for those subject to 15 CFR Part 14 as appropriate) and should be remitted promptly, but no less frequently than quarterly. All checks submitted should state "EDA" on their face and the award number followed by the word "INTEREST" in order to identify the check in question as remittance of interest income.

(f) *Local share.* (1) When some portion of the local share of the RLF project is cash, it may only be used for lending. If the RLF project has an all-cash matching share, EDA's funds will be disbursed as needed for loan closing. The cash matching funds must be used either in proportion to the EDA funds, or at a faster rate than EDA funds.

(2) When an RLF project has a combination of in-kind and cash

matching share, the non-federal cash together with the Federal cash constitute the funds available for making loans and will be disbursed proportionately as needed for loan closing, provided that the last 20 percent of the Federal funds may not be disbursed until all local in-kind match has been expended. The full amount of the local cash matching share will be expected to remain for use in the RLF.

(3) Upon repayment, local cash share funds are treated the same as EDA funds. Repayments of principal must be placed in the RLF for relending and interest payments must be used either for relending or for eligible RLF administrative costs. The local cash matching share must be available when needed for lending and must be under the control of the RLF recipient for the duration of the RLF for use in accordance with the terms of the grant.

§ 308.17 Effective utilization of Revolving Loan Funds.

(a) *Loan closing and disbursement schedule.* (1) RLF loan activity must be sufficient to draw down grant funds in accordance with the time schedule for loan closings and disbursements to eligible RLF borrowers as prescribed in the award conditions. The time schedule requires that the initial round of lending (*i.e.*, the grant disbursement phase) be completed within three years of the grant award.

(2) If a RLF recipient substantially fails to meet the prescribed time schedules for loan closings and disbursements, EDA may terminate the undisbursed balance of the award. Exceptions may be granted where:

(i) Funds are needed to close and disburse funds on loans approved prior to the deadline and will be disbursed within 45 days of the deadline,

(ii) Funds are needed to meet continuing disbursement obligations on loans closed prior to the deadline, or

(iii) EDA has approved a time schedule extension.

(b) *Time schedule extension.* (1) RLF recipients are responsible for contacting EDA as soon as conditions become known that may materially affect their ability to meet the approved time schedules. RLF recipients must submit a written request to EDA for continued use of grant funds beyond a missed deadline. Extension requests must provide good reason for the delay and demonstrate that:

(i) The delay was unforeseen or generally beyond the control of the RLF recipient;

(ii) The need for the RLF still exists;

(iii) The current and planned use and the anticipated benefits of the RLF will

remain consistent with the current CEDS and the RLF Plan;

(iv) The achievement of a new proposed time schedule is reasonable; and

(v) An explanation why no further delays are foreseen.

(2) EDA is under no obligation to grant a time extension, and in the event an extension is denied, EDA may deobligate (terminate) all or part of the unused portion of the grant.

(c) *Capital Utilization Standard.* (1) During the revolving phase, RLF recipients must manage their repayment and lending schedules such that at least 75 percent of the RLF's capital is loaned out or committed at all times. RLF income earned during a current reporting period is not included as RLF capital when calculating the capital utilization percentage. Exception:

(i) RLF recipients that anticipate making large loans relative to the size of the capital base, may propose RLF Plans that call for holding more than 25 percent.

(ii) EDA may require an RLF with a capital base in excess of \$4 million to adopt a Plan that maintains a proportionately higher percentage of their funds loaned out.

(2) When the percentage of loaned out capital falls below the applicable standard, the dollar amount of the funds equivalent to the difference between the actual percentage of capital loaned out and the standard is referred to as "excess funds."

(i) *Sequestration of excess funds.* If the capital utilization standard is not met for two consecutive reporting intervals, EDA may require the RLF recipient to deposit "excess funds" in an interest bearing account; the portion of the interest earned on that account, attributable to the EDA grant, will be remitted to the U.S. Treasury. EDA approval is required to withdraw sequestered funds.

(ii) *Persistent noncompliance.* A RLF recipient will normally be provided a reasonable period of time to lend "excess funds" and achieve the standard. However, if a RLF recipient fails to achieve the standard after a reasonable period of time as determined by EDA, the grant may be subject to sanctions for suspension and/or termination.

§ 308.18 Uses of capital.

Generally, eligible loans to borrowers include loans for fixed assets, the acquisition of equipment, working capital, or other authorized uses. The EDA grant and the local cash matching funds will be used only for the purpose of making loans under an RLF. To

preclude borrowers from using RLF funds inappropriately, the purpose of each RLF loan should be clearly stated in the loan agreement. RLFs established for business lending must conform to the following:

(a) *Loan guarantees.* Prior to full disbursement of grant funds, the RLF recipient may not use the RLF to guarantee loans made by other lenders. In the revolving phase, after the full disbursement of grant funds, the RLF may be used to guarantee loans of private lenders provided the RLF recipient has obtained EDA's prior written approval of its proposed loan guarantee activities. The Plan for any loan guarantee activities should include the following information:

(1) The maximum guarantee percentage that will be offered;

(2) A certification from the RLF attorney that the guarantee agreement is valid under state law. At a minimum, the guarantee agreement must address the following:

(i) The maximum reserve requirement;

(ii) The rights and duties of each party in regard to loan collections, servicing, delinquencies and defaults;

(iii) Foreclosures;

(iv) Bankruptcies;

(v) Collateral disposition and the call provisions of the guarantee; and

(vi) Interest income and loan fees, if any, which will accrue to the RLF.

(b) *Restrictions on RLF capital.* RLF capital may not be used to:

(1) Acquire an equity position in a private business;

(2) Subsidize interest payments on an existing loan;

(3) Provide the equity contribution required of borrowers under other Federal loan programs;

(4) Enable an RLF borrower to acquire an interest in a business, either through the purchase of stock or through the acquisition of assets, unless the need for RLF financing is sufficiently justified and documented in the loan write-up. Acceptable justification could include acquiring a business to substantially save it from imminent foreclosure, or acquiring it to facilitate a significant expansion or increased investment. In any case, the resulting economic benefits should be clearly consistent with the strategic objectives of the RLF;

(5) Provide loans to a borrower for the purpose of investing in interest bearing accounts, certificates of deposit, or other investments not related to the objectives of the RLF;

(6) Refinance existing debt unless:

(i) There is sound economic justification and the RLF recipient sufficiently documents in the loan

write-up that the RLF is not replacing private capital solely for the purpose of reducing the risk of loss to an existing lender(s) or to lower the cost of financing to a borrower, or

(ii) An RLF uses RLF income sources and/or recycled RLF funds to purchase the rights of a prior lien holder during an in-process foreclosure action in order to preclude a significant loss on an RLF loan. This action may be undertaken only if there is a high probability of receiving compensation within 18 months from the sale of assets sufficient to cover an RLF's expenses plus a reasonable portion of the outstanding loan obligation; or

(7) Finance any activity that serves to relocate jobs from one commuting area to another. (Commuting area is that area defined by the distance people travel to work in the locality of the project receiving RLF financial assistance.) An RLF's standard loan agreement must include a provision for calling the loan if it is determined that:

(i) The business used the RLF loan to relocate jobs from another commuting area, or

(ii) The activity financed was subsequently moved to a different commuting area to the detriment of local workers.

(c) *Credit otherwise available.* Unless otherwise provided for in the grant agreement or modified in writing by EDA, a borrower is not eligible for RLF financing if credit is otherwise available on terms and conditions that permit the completion or successful operation of the project activity to be financed. The RLF recipient is responsible for determining that each borrower meets this requirement and for documenting the basis for its determination in the loan write-up.

§ 308.19 Variances.

EDA may approve variances to the requirements of subpart B of this part provided they:

(a) Are consistent with the goals of the Economic Adjustment Program and with an RLF's strategy,

(b) Are necessary and reasonable for the effective implementation of the RLF,

(c) Are economically and financially sound,

(d) Do not conflict with applicable legal requirements, and

(e) Do not change the scope of the award after the period of availability of the funds for obligation has expired.

PART 314—PROPERTY

1. The authority citation for part 314 continues to read as follows:

Authority: 42 U.S.C. 3211; 19 U.S.C. 2341–2355; 42 U.S.C. 6701; 42 U.S.C. 184;

Department of Commerce Organization Order 10–4.

2. Section 314.4 is amended by adding paragraph (c) to read as follows:

§ 314.4 Unauthorized use.

* * * * *

(c) *RLF grant projects.* (1) EDA may suspend or terminate any RLF grant for cause based on, but not limited to, the following:

(i) Failure to make loans in accordance with the RLF Plan, including the time-schedule for loan closings;

(ii) Failure to obtain prior EDA approval for such changes to the RLF Plan, including provisions for administering the RLF;

(iii) Failure to submit progress, financial or audit reports as required by the terms and conditions of the grant agreement;

(iv) Failure to comply with prohibitions against conflict-of-interest for any transactions involving the use of RLF funds; or

(v) Failure to operate the RLF in accordance with the RLF Plan and the terms and conditions of the grant agreement.

(2) Whenever an RLF recipient fails in its fiduciary responsibilities or is unable or unwilling to perform as trustee of the grant, EDA may suspend, terminate or transfer the grant to an eligible successor with jurisdiction over the project area, to administer it as such trustee (replacement grantee).

(3) Whenever EDA terminates any RLF grant for cause, in whole or in part, it has the right to recover residual funds and assets of the RLF grant in accordance with the legal rights of the parties.

(4) If there is a partial termination of an RLF grant, the full amount of the original non-federal matching share is expected to be retained in the RLF for lending purposes unless otherwise provided for in the grant agreement or agreed to in writing by EDA.

3. Section 314.10 is amended by adding paragraph (c) to read as follows:

§ 314.10 Revolving Loan Funds.

* * * * *

(c) In the event of the sale, collection, or liquidation of RLF loans, any proceeds, net of repaid principal and reasonable administrative costs incurred, up to the amount of the outstanding loan principal, must be returned to the RLF for relending. Any net proceeds from loan sales above the outstanding loan principal is considered RLF income and must either be added to the RLF capital base for lending or

used to cover eligible costs for administering the RLF in accordance with the rules for use of RLF income. The net transaction proceeds must be used for additional loans as part of the RLF project.

Dated: January 10, 2000.

Chester J. Straub, Jr.,

Acting Assistant Secretary for Economic Development.

[FR Doc. 00-898 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-24-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR part 71

[Airspace Docket No. 99-ASW-32]

Revision of Class D Airspace; Hobbs, NM

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Direct final rule; request for comments.

SUMMARY: This amendment revises the Class D airspace at Hobbs, NM. The need to clarify the legal description of the Hobbs, NM Class D airspace in order to prevent confusion among users of the airspace has made this rule necessary. This action is intended to provide adequate controlled airspace extending upward from 700 feet or more above the surface for Instrument Flight Rules (IFR) operations in the vicinity of Hobbs, NM. **DATES:** Effective 0901 UTC, April 20, 2000.

Comments must be received on or before March 3, 2000.

ADDRESSES: Send comments on the rule in triplicate to Manager, Airspace Branch, Air Traffic Division, Federal Aviation Administration, Southwest Region, Docket No. 99-AWS-32, Fort Worth, TX 76193-0520.

The official docket may be examined in the Office in the Regional Counsel, Southwest Region, Federal Aviation Administration, 2601 Meacham Boulevard, Room 663, Fort Worth, TX, between 9:00 AM and 3:00 PM, Monday through Friday, except Federal holidays. An informal docket may also be examined during normal business hours at the Airspace Branch, Air Traffic Division, Federal Aviation Administration, Southwest Region, Room 414, Fort Worth, TX.

FOR FURTHER INFORMATION CONTACT: Donald J. Day, Airspace Branch, Air Traffic Division, Southwest Region, Federal Aviation Administration, Fort

Worth, TX 76193-0520, telephone 817-222-5593.

SUPPLEMENTARY INFORMATION: This amendment to 14 CFR part 71 revises the Class D airspace at Hobbs, NM. Upon a comparison of the description of the Hobbs, NM Class D airspace as described in Federal Aviation Administration Order 7400.9G, *Airspace Designations and Reporting Points*, dated September 1, 1999 and the Albuquerque Sectional Aeronautical Chart, dated November 4, 1999, the FAA discovered a discrepancy in the Hobbs, NM Class D airspace. This rule clarifies the legal description of the Hobbs, NM Class D airspace in order to prevent confusion among users of the airspace. This action is intended to provide adequate controlled airspace extending upward from 700 feet or more above the surface for Instrument Flight Rules (IFR) operations in the vicinity of Hobbs, NM.

Class D airspace designations are published in Paragraph 5000 of FAA Order 7400.9G, dated September 1, 1999, and effective September 16, 1999, which is incorporated by reference in 14 CFR § 71.1. The Class D airspace designation listed in this document will be published subsequently in the order.

The Direct Final Rule Procedure

The FAA anticipates that this regulation will not result in adverse or negative comment and therefore is issuing it as a direct final rule. A substantial number of previous opportunities provided to the public to comment on substantially identical actions have resulted in negligible adverse comments or objections. Unless a written adverse or negative comment, or a written notice of intent to submit an adverse or negative comment is received within the comment period, the regulation will become effective on the date specified above. After the close of the comment period, the FAA will publish a document in the **Federal Register** indicating that no adverse or negative comments were received and confirming the date on which the final rule will become effective. If the FAA does receive, within the comment period, an adverse or negative comment, or written notice of intent to submit such a comment, a document withdrawing the direct final rule will be published in the **Federal Register**, and a notice of proposed rulemaking may be published with a new comment period.

Comments Invited

Although this action is in the form of a final rule and was not preceded by a notice of proposed rulemaking, comments are invited on this rule. Interested persons are invited to

comment on this rule by submitting such written data, views, or arguments as they may desire. Communications should identify the Rules Docket number and be submitted in triplicate to the address specified under the caption **ADDRESSES**. All communications received on or before the closing date for comments will be considered, and this rule may be amended or withdrawn in light of the comments received. Factual information that supports the commenter's ideas and suggestions is extremely helpful in evaluating the effectiveness of this action and determining whether additional rulemaking action is needed.

Comments are specifically invited on the overall regulatory, economic, environmental, and energy aspects of the rule that might suggest a need to modify the rule. All comments submitted will be available, both before and after the closing date for comments, in the Rules Docket for examination by interested persons. A report that summarizes each FAA-public contact concerned with the substance of this action will be filed in the Rules Docket.

Commenters wishing the FAA to acknowledge receipt of their comments submitted in response to this rule must submit a self-addressed, stamped postcard on which the following statement is made: "Comments to Docket No. 99-AWS-32." The postcard will be date stamped and returned to the commenter.

Agency Findings

The regulations adopted herein will not have substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various level of government. Therefore, it is determined that this final rule will not have federalism implications under Executive Order 13232.

Further, the FAA have determined that this regulation is noncontroversial and unlikely to result in adverse or negative comments and only involves an established body of technical regulations that requires frequently and routine amendments to keep them operationally current. Therefore, I certify that this regulation (1) Is not a "significant regulatory action" under Executive Order 12866; (2) Is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) If promulgated, will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act. Since this rule involves

routine matters that will only affect air traffic procedures and air navigation, it does not warrant preparation of a Regulatory Flexibility Analysis because the anticipated impact is so minimal.

List of Subjects in 14 CFR Part 71

Airspace, Incorporation by reference, Navigation (air).

Adoption of the Amendment

Accordingly, pursuant to the authority delegated to me, the Federal Aviation Administration amends 14 CFR part 71 as follows:

PART 71—DESIGNATION OF CLASS A, CLASS B, CLASS C, CLASS D, AND CLASS E AIRSPACE AREAS; AIRWAYS; ROUTES; AND REPORTING POINTS

1. The authority citation for 14 CFR part 71 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40103, 40113, 40120; E.O. 10854; 24 FR 9565, 3 CFR, 1959–1963 Comp., p. 389.

§ 71.1 [Amended]

2. The incorporation by reference in 14 CFR 71.1 of the Federal Aviation Administration Order 7400.9G, *Airspace Designations and Reporting Points*, dated September 1, 1999, and effective September 16, 1999, is amended as follows:

Paragraph 5000 class D airspace areas.

* * * * *

ASW NM D Hobbs, NM [Revised]

Lea County (Hobbs) Airport, NM
(Lat. 32°41'15"N., long. 103°13'02"W.)
Lea County ILS Localizer
(Lat. 32°41'39"N., long. 103°12'27"W.)

That airspace extending upward from the surface to and including 6,200 feet MSL within a 4.2-mile radius of Lea County (Hobbs) Airport and within 1.3 miles each side of the Lea County ILS Localizer northeast course extending from the 4.2-mile radius to 5.3 miles northeast of the airport. This Class D airspace area is effective during the specific dates and times established in advance by a Notice to Airmen. The effective date and time will thereafter be continuously published in the Airport/Facility Directory.

* * * * *

Issued in Fort Worth, TX on December 8, 1999.

JoEllen Csilio,

*Assistant Manager, Air Traffic Division,
Southwest Region.*

[FR Doc. 00–113 Filed 1–14–00; 8:45 am]

4910–13–M

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 71

[Airspace Docket No. 99–ASO–17]

Amendment to Class E Airspace; Puerto Rico, PR

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: This amendment modifies Class E airspace at Puerto Rico, PR. This amendment will increase the size of the Puerto Rico, PR, Class E airspace area to include the airspace within Warning Areas W–370A, W–373A and W–373C, in order to facilitate the handling, reduce the coordination and increase the safety of United States military aircraft returning to Roosevelt Roads Naval Station below 5,500 feet mean sea level (MSL), which is the floor of the overlying San Juan Low Class E airspace area, in instrument meteorological conditions (IMC) from the Warning Areas.

EFFECTIVE DATE: 0901 UTC, April 20, 2000.

FOR FURTHER INFORMATION CONTACT: Nancy B. Shelton, Manager, Airspace Branch, Air Traffic Division, Federal Aviation Administration, P.O. Box 20636, Atlanta, Georgia 30320; telephone (404) 305–5586.

SUPPLEMENTARY INFORMATION:

History

On November 24, 1999, the FAA proposed to amend part 71 of the Federal Aviation Regulations (14 CFR part 71) by amending Class E airspace at Puerto Rico, PR, (64 FR 226). This amendment modifies Class E airspace at Puerto Rico, PR. Designations for Class E airspace extending upward from 700 feet or more above the surface of the earth are published in FAA Order 7400.9G, dated September 1, 1999, and effective September 16, 1999, which is incorporated by reference in 14 CFR part 71.1. The Class E designation listed in this document will be published subsequently in the Order.

Interested parties were invited to participate in this rulemaking proceeding by submitting written comments on the proposal to the FAA. No comments objecting to the proposal were received.

The Rule

This amendment to part 71 of the Federal Aviation Regulations (14 CFR part 71) amends Class E airspace at Puerto Rico, PR.

The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore, (1) Is not a “significant regulatory action” under Executive Order 12866; (2) Is not a “significant rule” under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) Does not warrant preparation of a Regulatory Evaluation, as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation it is certified that this rule will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 71

Airspace, Incorporation by reference, Navigation (air).

Adoption of the Amendment

In consideration of the foregoing, the Federal Aviation Administration amends 14 CFR part 71 as follows:

PART 71—DESIGNATION OF CLASS A, CLASS B, CLASS C, CLASS D AND CLASS E AIRSPACE AREAS; AIRWAYS; ROUTES; AND REPORTING POINTS

1. The authority citation for 14 CFR part 71 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40103, 40113, 40120; EO 10854, 24 FR 9565, 3 CFR, 1959–1963 Comp., p. 389.

§ 71.1 [Amended]

2. The incorporation by reference in 14 CFR 71.1 of Federal Aviation Administration Order 7400.9G, *Airspace Designations and Reporting Points*, dated September 1, 1999, and effective September 16, 1999, is amended as follows:

Paragraph 6005 Class E airspace areas extending upward from 700 feet or more above the surface of the earth.

* * * * *

ASO PR E5 Puerto Rico, PR [Revised]

San Juan Fernando Luis Ribas Dominicci Airport, PR
(Lat. 18°27'41"N., long. 66°05'89"W.)

That airspace extending upward from 1200 feet or more above the surface of the earth beginning at lat. 18°50'N., long. 68°00'W.; to lat. 18°45'23"N., long. 66°54'58"W.; to lat. 18°33'N., long. 64°22'W.; to lat. 17°20'N., long. 64°22'W.; to lat. 17°29'N., long. 64°54'W.; to lat. 17°29'53"N., long. 64°55'39"W.; to lat. 17°29'53"N., long. 66°18'20"W.; to lat. 17°44'53"N., long. 66°16'49"W.; to lat. 17°47'16"long. 66°16'56"W.; to lat.

17°42'N., long. 68°00'W.; to the point of beginning; excluding that airspace within Warning Area W-371; and that airspace extending upward from 2,700 feet above the surface of the earth beginning at lat. 18°33'N., long. 64°22'W.; to lat. 18°25'23"N., long. 62°52'W.; to lat. 17°47'N., long. 62°23'W.; to lat. 17°22'N., long. 62°59'W.; to lat. 16°58'N., long. 63°00'W.; to lat. 17°20'N., long. 64°22'W.; to the point of beginning; and that airspace extending upward from 2,700 feet above the surface of the earth beginning at lat. 18°45'23"N., long. 66°54'58"W.; to lat. 19°00'N., long. 5°45'W.; to lat. 18°45'N., long. 64°22'W.; to lat. 18°33'N., long. 64°22'W.; to the point of beginning.

* * * * *

Issued in College Park, Georgia, on January 6, 2000.

Nancy B. Shelton,

Acting Manager, Air Traffic Division Southern Region.

[FR Doc. 00-1052 Filed 1-14-00; 8:45am]

BILLING CODE 4910-13-M

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 71

[Airspace Docket No. 99-AEA-16.FR]

Amendment to Class E Airspace: Brownsville, PA

AGENCY: Federal Aviation Administration (FAA) DOT.

ACTION: Final rule.

SUMMARY: This action establishes Class E airspace extending upward from 700 feet Above Ground Level (AGL) at Brownsville Hospital Heliport, Brownsville, PA. Development of a Standard Instrument Approach Procedure (SIAP), 294 Helicopter Point in Space approach has made this action necessary. Controlled airspace extending upward from 700 Feet Above Ground Level (AGL) is needed to accommodate the SIAP at the heliport. **EFFECTIVE DATE:** 0901 UTC February 8, 2000.

FOR FURTHER INFORMATION CONTACT: Mr. Francis Jordan, Airspace Specialist, Airspace Branch, AEA-520, Air Traffic Division, Eastern Region, Federal Aviation Administration, Federal Building #111, John F. Kennedy International Airport, Jamaica, New York 11430, telephone: (718) 553-4521.

SUPPLEMENTARY INFORMATION:

History

On November 23, 1999, a notice proposing to amend Part 71 of the Federal Aviation Regulations (14 CFR Part 71) by establishing Class E airspace

extending upward from 700 feet above the surface at Brownsville Hospital Heliport, Brownsville, PA was published in the **Federal Register** (64 FR 65668). Interested parties were invited to participate in this rulemaking proceeding by submitting written comments on the proposal to the FAA. No comments to the proposal were received. The rule is adopted as proposed.

The coordinates for the airspace docket are based on North American Datum 83. Class E airspace areas designations for airspace extending upward from 700 feet AGL are published in paragraph 6005 of FAA Order 7400.9G, dated September 10, 1999 and effective September 16, 1999, which is incorporated by reference in 14 CFR 71.1. The Class E airspace designation listed in this document will be amended in the order.

The Rule

This amendment to Part 71 of the Federal Aviation Regulations (14 CFR 71) provides controlled Class E airspace extending upward from 700 feet AGL for aircraft executing an SIAP at Brownsville Hospital Heliport.

The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routing amendments are necessary to keep them operationally current. Therefore, this regulation: (1) Is not a "significant regulatory action" under Executive Order 12866; (2) Is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) Does not warrant preparation of a Regulatory Evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation it is certified that this rule will not have significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

List of Subjects in 14 CFR Part 71

Airspace, Incorporation by reference, navigation (air).

Adoption of the Amendment

In consideration of the foregoing, the Federal Aviation Administration amends 14 CFR part 71 as follows:

PART 71—[AMENDED]

1. The authority citation for 14 CFR Part 71 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40103, 40113, 40120; EO 10854, 24 FR 9565, 3 CFR, 1959-1963 Comp., p. 389.

§ 71.1 [Amended]

The incorporation by reference in 14 CFR 71.1 of Federal Aviation Administration Order 7400.9G, Airspace Designations and Reporting Points, dated September 10, 1999, and effective September 16, 1999, is amended as follows:

Paragraph 6005 Class E airspace areas extending upward from 700 feet or more above the surface of the earth.

* * * * *

That airspace extending upward from 700 feet above the surface within a 6 mile radius of Brownsville Hospital Heliport.

Issued in Jamaica, New York on January 10, 2000.

Franklin D. Hatfield,

Manager, Air Traffic Division, Eastern Region.

[FR Doc. 00-1053 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-13-M

DEPARTMENT OF TRANSPORTATION

Coast Guard

33 CFR Part 117

[CGD13-99-008]

RIN 2115 AE47

Drawbridge Operations Regulations; Willamette River, OR

AGENCY: Coast Guard, DOT.

ACTION: Final rule.

SUMMARY: The Coast Guard is changing the operating regulations for all the Multnomah County drawbridges and the Union Pacific drawbridge across the Willamette River at Portland, Oregon. The draws will open on signal except from 7 a.m. to 9 a.m. and from 4 p.m. to 6 p.m. Monday through Friday, except for certain holidays. This rule adds a requirement for one-hour or two-hour notices for lifts of the upper deck of the Steel Bridge at certain times each day, consistent with the notice requirements for the Burnside and Morrison Bridges immediately upstream. The hours for the one hour notice requirement are changed to accord with the new hours for the above closed periods.

DATES: This final rule is effective on February 17, 2000.

ADDRESSES: Comments and material received from the public, as well as documents as indicated in this preamble as being available in the docket, are part of docket CGD13-99-008 and are available for inspection or photocopying at the office of the Commander (oan),

Thirteenth Coast Guard District, 915 Second Avenue, Seattle, Washington 98174-1067 between 7:45 a.m. and 4:15 p.m., Monday through Friday, except Federal holidays.

FOR FURTHER INFORMATION CONTACT: John E. Mikesell, Chief, Plans and Programs Section, Aids to Navigation and Waterways Management Branch, Telephone (206) 220-7272.

SUPPLEMENTARY INFORMATION:

Regulatory Information

On May 25, 1999, we published a notice of proposed rulemaking entitled Drawbridge Operation Regulations; Willamette River, Oregon, in the *Federal Register* {64 FR 28125}. We received one letter commenting on the proposed rule. No public hearing was requested and none was held.

Background

The purpose of this rulemaking is to extend by one half-hour the daily Monday through Friday periods during which the draws need not open for the passage of vessels. By moderately changing the closed periods Monday through Friday by one hour per day, the Coast Guard intends to assist traffic flow in the city of Portland without unreasonably hindering navigation on the Willamette River. These closed periods for the drawspans will coincide better with the actual periods of peak road traffic.

The Willamette River bears commercial navigation including tour boats, tug and tows, derrick barges, as well as recreational craft. No one has objected to the proposed rule. The changes are not great enough to have a significant impact on waterway use.

Discussion of Comments and Changes

The Coast Guard received one letter in response to the notice of proposed rulemaking. The Oregon Department of Transportation (ODOT), operator of the upper deck of the Steel Bridge, requested the Coast Guard to apply the advance notice for opening requirements that are in effect for the Morrison and Burnside Bridges to the upper deck of the Steel Bridge.

The notice requirement for the upper deck of the Steel Bridge was not published in the notice of proposed rulemaking. However, the notice requirement for the upper deck of the Steel Bridge would be consistent with the notice requirements for the Burnside and Morrison Bridges of Multnomah County, which are nearby, upstream of the Steel Bridge. In order to uphold consistency within 33 CFR 117.897, the notice requirement for the upper deck of the Steel Bridge is added in this final

rule. This minor aspect of the final rule will not unreasonably hinder navigation. Almost all vessels that would require the upper deck of the Steel Bridge to lift would also need the draws of the Morrison and Burnside to open for their passage as well. This notice requirement is not applied to the lower deck because it is usually in the raised position except for the passage of trains.

In addition, the hours for the one hour notice are changed to coincide in a reasonable way with the new times for the closed periods. This was not mentioned in the proposed rule but will have no significant effect on navigation. The hours for one hour notice were 8 a.m. to 4:30 p.m. and are now 8 a.m. to 5 p.m.

The Steel Bridge, owned by the Union Pacific Railroad, is an unusual vertical lift structure. The bridge, including the drawspan, has two decks, one over the other. The lower deck bears rail traffic while the upper deck supports light commuter rail and automotive traffic. The upper deck is operated by ODOT. Many vessels are able to pass the Steel Bridge when only the lower deck is lifted. This is done by telescoping its steel uprights into the vertical elements of the upper truss. Lifts of the upper deck with lower deck telescoped are needed far less often than those of the lower deck. The lower deck, when down, provides only about 26 feet of vertical clearance at ordinary low water level. At the same river level, 72 feet is provided with the lower deck lifted and 161 feet with both decks fully raised.

Regulatory Evaluation

This final rule is not a "significant regulatory action" under 3(f) of Executive Order 12866 and does not require an assessment of potential costs and benefits under section 6(a)(3) of that Order. The Office of Management and Budget has not reviewed it under that Order. It is not "significant" under the regulatory policies and procedures of the Department of Transportation (DOT) (44 FR 11040, February 26, 1979). The Coast Guard expects the economic impact of this rule to be so minimal that a full regulatory evaluation under paragraph 10(e) of the regulatory policies and procedures of DOT is unnecessary. The final rule should improve commuter traffic flow by minimally increasing the times when commercial navigation cannot pass through the open draw spans.

Small Entities

Under the Regulatory Flexibility Act (5 U.S.C. 601-612), we considered whether this final rule, would have a

significant economic impact on a substantial number of small entities. "Small entities" include small businesses, not-for-profit organizations that are independently owned and operated and are not dominant in their fields, and governmental jurisdictions with populations less than 50,000. This rule will effect the following entities, some of which may be small entities: the owners or operators of vessels intending to transit through the portion of the Willamette over which the subject bridges pass. The changes to the regulations are minimal. The effects may be mitigated by planning passages of the Willamette according to the operating schedule of the drawbridges. Furthermore, many of the small entities would not require these bridges to open for their passage. The Coast Guard certifies under 5 U.S.C. 605(b) that this rule will not have a significant impact on a substantial number of small entities.

Collection of Information

This final rule calls for no new collection of information under the Paperwork Reduction Act of 1995 (44 U.S.C. 3501-3520).

Federalism

We have analyzed this final rule in accordance with the principles and criteria contained in Executive Order 13132, and have determined that this final rule does not have implications for federalism under that Order.

Unfunded Mandates Reform Act

The Unfunded Mandates Reform Act of 1995 (2 U.S.C. 1531-1538) governs the issuance of federal regulations that require unfunded mandates. An unfunded mandate is a regulation that requires a State, local, or tribal government or the private sector to incur direct costs without the federal government's having first provided the funds to pay those unfunded mandate costs. This rule will not impose an unfunded mandate.

Taking of Private Property

This rule will not effect a taking of private property or otherwise have taking implications under E.O. 12630, Governmental Actions and Interference with Constitutionally Protected Property Rights.

Civil Justice Reform

This rule meets applicable standards in sections 3(a) and 3(b)(2) of E.O. 12988, Civil Justice Reform, to minimize litigation, eliminate ambiguity, and reduce burden.

Protection of Children

We have analyzed this rule under E.O. 13045, Protection of Children from Environmental Health Risks and Safety Risks. This rule is not an economically significant rule and does not concern an environmental risk to health or risk to safety that may disproportionately affect children.

Environment

The Coast Guard considered the environmental impact of this rule and concluded that, under Section 2.B.2., Figure 2-1, paragraph 32(e) of Commandant Instruction M16475.1C, this rule is categorically excluded from further environmental documentation because promulgation of changes to drawbridge regulations have been found not to have a significant effect on the environment. A written "Categorical Exclusion Determination" is not required.

List of Subjects in 33 CFR Part 117

Bridges.

For the reasons set out in the preamble, the Coast Guard amends 33 CFR part 117, as follows:

PART 117—DRAWBRIDGE OPERATION REGULATIONS

1. The authority citation for part 117 continues to read as follows:

Authority: 33 U.S.C. 499; 49 CFR 1.46; 33 CFR 1.05-1(g); section 117.255 also issued under the authority of Pub. L. 102-587, 106 Stat. 5039.

2. Revise § 117.897(a)(1), introductory text, to read as follows:

§ 117.897 Willamette River.

(a) * * *

(1) The draws shall open on signal except that from 7 a.m. to 9 a.m. and 4 p.m. to 6 p.m. Monday through Friday the draws of the Broadway, Steel (upper deck only), Burnside, Morrison, and Hawthorne Bridges need not open for the passage of vessels. These closed periods are not effective on New Year's Day, Memorial Day, Fourth of July, Labor Day, Thanksgiving Day, and Christmas Day. At least one hour's notice shall be given for openings of the Steel Bridge (upper deck only), Burnside Bridge and Morrison Bridge, Monday through Friday, from 8 a.m. to 5 p.m. At all other times at least two hours notice shall be given. Notice shall be given by marine radio, telephone, or other means to the drawtender at the Broadway Bridge for vessels bound upstream and to the drawtender at the Hawthorne Bridge for vessels bound downstream. During Rose Festival Week

or when the water elevation reaches and remains above +12 feet, the draws will open on signal without advance notice, except during the normal closed periods identified in this paragraph (a)(1).

Opening signals are as follows:

* * * * *

Dated: December 21, 1999.

Paul M. Blayney,

Rear Admiral, Coast Guard, Commander, Thirteenth Coast Guard District.

[FR Doc. 00-1030 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-15-U

DEPARTMENT OF TRANSPORTATION

Coast Guard

33 CFR Part 117

[CGD01-00-001]

Drawbridge Operation Regulations: Chelsea River, MA

AGENCY: Coast Guard, DOT.

ACTION: Notice of temporary deviation from regulations.

SUMMARY: The Commander, First Coast Guard District, has issued a temporary deviation from the drawbridge operation regulations for the P.J. McArdle Bridge, mile 0.3, across the Chelsea River between Chelsea and East Boston, Massachusetts. This deviation from the regulations allows the bridge owner to keep the bridge in the closed position from 7 a.m. to 9 a.m. and from 4 p.m. to 6 p.m., Monday through Friday; except that, if high tide occurs during the closed period, the bridge must open promptly and fully for the passage of vessels when a request to open is given. This action is necessary to facilitate vehicular and pedestrian traffic during emergency repairs to the electrical system at the bridge.

DATES: This deviation is effective January 6, 2000, through March 5, 2000.

FOR FURTHER INFORMATION CONTACT: John McDonald, Project Officer, First Coast Guard District, at (617) 223-8364.

SUPPLEMENTARY INFORMATION: The P.J. McArdle Bridge, mile 0.3, across the Chelsea River between Chelsea and East Boston, Massachusetts, has a vertical clearance of 21 feet at mean high water, and 30 feet at mean low water in the closed position. The existing operating regulations in 33 CFR 117.593 require the bridge to open on signal at all times.

The bridge owner, the City of Boston, requested a temporary deviation from the operating regulations to facilitate vehicular and pedestrian traffic during electrical repairs at the bridge. The submarine electrical cable for the bridge

was damaged during harbor dredging operations requiring emergency repairs to be implemented in order to restore bridge operation and facilitate marine traffic.

A temporary auxiliary operating system has been installed to open the bridge; however, it operates very slowly. Bridge openings may exceed an hour and a half which will create significant traffic delays until the bridge repairs are completed. This deviation is expected to help facilitate vehicular and pedestrian traffic during the week day rush hour periods.

This deviation to the operating regulations allows the City of Boston to keep the bridge in the closed position from 7 a.m. to 9 a.m. and from 4 p.m. to 6 p.m., Monday through Friday; except that, if high tide occurs during the closed period, the bridge must open promptly and fully for the passage of vessels when a request to open is given.

In accordance with 33 CFR 117.35(c), this work will be performed with all due speed in order to return the bridge to normal operation as soon as possible. This deviation from the operating regulations is authorized under 33 CFR 117.35.

Dated: January 7, 2000.

Robert F. Duncan,

Captain, U.S. Coast Guard, Acting Commander, First Coast Guard District.

[FR Doc. 00-1029 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-15-U

GENERAL SERVICES ADMINISTRATION

41 CFR Part 301-51

[FTR Interim Rule 8]

RIN 3090-AG92

Federal Travel Regulation; Mandatory Use of the Travel Charge Card; Correction

AGENCY: Office of Governmentwide Policy, GSA.

ACTION: Interim rule; correction.

SUMMARY: This document makes corrections to FTR Interim Rule 8 appearing in the **Federal Register** of Friday, July 16, 1999 (64 FR 38528), which amends the Federal Travel Regulation (FTR) provisions pertaining to payment by the Government of expenses connected with official Government travel.

EFFECTIVE DATE: July 16, 1999.

FOR FURTHER INFORMATION CONTACT: Jim Harte, Travel and Transportation Management Policy Division, telephone (202) 501-1538.

SUPPLEMENTARY INFORMATION: In document 99-18291 beginning on page 38528 in the issue of Friday, July 16, 1999, make the following corrections:

PART 301-5—[CORRECTED]

1. On page 38528, in the second column, correct amendatory instruction 1. to read as follows:

“1. The authority citation for part 301-51 continues to read as follows:

Authority: 5 U.S.C. 5707.”

2. On page 38528, second column, add new amendatory instruction 1a. immediately after amendatory instruction 1. to read as follows:

“1a. Part 301-51 is amended by revising subpart A to read as follows:

3. On page 38528, second column, correct the heading “PART 301-51—PAYING TRAVEL EXPENSES” to read “Subpart A—General”.

4. On page 38528, third column, fourth line, remove the words “Authority: 5 U.S.C. 5707.”.

5. On page 38528, third column, add “Subpart A—General” immediately preceding § 301-51.1.

Dated: January 11, 2000.

Peggy G. DeProspero,

Deputy Director, Travel and Transportation Management Policy Division.

[FR Doc. 00-1025 Filed 1-14-00; 8:45 am]

BILLING CODE 6820-34-P

FEDERAL COMMUNICATIONS COMMISSION

47 CFR Part 51

[CC Docket No. 96-98; FCC 99-238]

Revision of the Commission's Rules Specifying the Portions of the Nation's Local Telephone Networks That Incumbent Local Telephone Companies Must Make Available to Competitors

AGENCY: Federal Communications Commission.

ACTION: Final rule.

SUMMARY: This document revises rules applicable to incumbent local exchange carriers (LECs) to permit competitive carriers to access portions of the incumbent LECs' networks on an unbundled basis. Unbundling allows competitors to lease portions of the incumbent LECs' network to provide telecommunications services. These rule changes are intended to remove uncertainty regarding the incumbent LECs' unbundling obligations under the Telecommunications Act of 1996 and are expected to accelerate the development of local exchange competition.

DATES: Effective February 17, 2000.

FOR FURTHER INFORMATION CONTACT:

Claudia Fox, Attorney Advisor, Common Carrier Bureau, Policy and Program Planning Division, 202-418-1580.

SUPPLEMENTARY INFORMATION: This is a summary of the Commission's Third Report and Order, (Third) and Fourth Further Notice of Proposed Rulemaking (Fourth FNPRM) in CC Docket No. 96-98 (62 FR 45611, August 28, 1997) FCC 99-238, adopted September 15, 1999, and released November 5, 1999. The final rules associated with the Third R&O are effective 30 days after publication in the **Federal Register** except to the extent specified in the following regulations: the requirement to provide access on an unbundled basis to dark fiber as set forth in § 51.319(a)(1); the requirement to provide access on an unbundled basis to subloops and inside wire as set forth in § 51.319(a)(2); the requirement to provide access on an unbundled basis to packet switching in the limited circumstances set forth in § 51.319(c)(5); the requirement to provide access on an unbundled basis to dark fiber transport as set forth in § 51.319(d)(1)(ii); the requirement to provide access on an unbundled basis to the Calling Name Database, 911 Database, and E911 Database as set forth in § 51.319(e)(2)(i); and the requirement to provide access on an unbundled basis to loop qualification information as set forth in § 51.319(g). The Commission also adopted a Fourth Further Notice of Proposed Rulemaking (Fourth FNPRM) in CC Docket No. 96-98 on September 15, 1999 and released it on November 5, 1999. The Fourth FNPRM seeks comment on certain issues associated with a requesting carrier's ability to use unbundled network elements to provide exchange access service. A complete summary of the Fourth FNPRM is published in the **Federal Register** separately from this summary of the Third R&O in CC Docket No. 96-98. Any final rules that the Commission eventually adopts in connection with the Fourth FNPRM will also be published in the **Federal Register** as required. On November 24, 1999, the Commission adopted and released a Supplemental Order in CC Docket No. 96-98, FCC 99-370, that modifies the Third R&O and Fourth FNPRM with regard to the use of unbundled network elements to provide exchange access services. The complete text of the Third R&O and Fourth FNPRM, the Erratum and the Supplemental Order are available for inspection and copying during normal business hours in the FCC Reference Information Center,

Courtyard Level, 445 12th Street, S.W., Washington, D.C., and also may be purchased from the Commission's copy contractor, International Transcription Services (ITS, Inc.), CY-B400, 445 12th Street, S.W., Washington, D.C. It is also available via the internet at the Commission's home page, <http://www.fcc.gov/ccb/Orders/index6.html>.

Synopsis of the Third Report and Order and Supplemental Order

1. The Commission adopts a Third Report and Order (Third R&O) in CC Docket No. 96-98 specifying which portions of their networks incumbent LECs must lease to competitive carriers on an unbundled basis. Specifically, the Commission defines the standard it will use, as set forth in section 251(d)(2) of the Telecommunications Act of 1996 (1996 Act), to determine which network elements the incumbent LEC must unbundle. It then applies that standard to individual network elements to determine if incumbent LECs must provide unbundled access to them. The Third R&O and accompanying rules will benefit consumers by accelerating the development of competitive choices for local telecommunications services.

2. The rules changes were needed to respond to a U.S. Supreme Court decision (*AT&T v. Iowa Utils. Bd.*, 119 S.Ct. 721 (1999)) that affirmed the Commission's implementation of the local competition requirements of the 1996 Act, but that required the Commission to re-evaluate the standard that it uses to determine which network elements the incumbent LECs must unbundle. The standard is set out in section 251(d)(2) of the 1996 Act. It requires the Commission, in determining what network elements should be made available for purposes of section 251(c) of the 1996 Act, to consider whether access to such network elements that are proprietary in nature is “necessary,” and whether the failure to provide access to such network elements would “impair” the ability of a telecommunications carrier seeking access to an element to provide the services that it seeks to offer. The Commission's original rules implementing section 251(d)(2) (Order, 61 FR 45476, August, 29, 1996) required incumbent LECs to unbundle a network element if (1) access to the element was “necessary”, which it defined as a prerequisite to competition, or if (2) a requesting carrier's ability to offer competitive service was impaired, which it defined as occurring if the quality of service that the carrier could provide without access to the element declined, or the cost of providing the service increased. The Supreme Court

directed the Commission to give more substance the “necessary” and “impair” standards by considering more than “any” increase in cost or decrease in quality associated with denying access to an incumbent LEC’s network element and to consider the availability of elements outside the incumbent LEC’s network.

3. As a result, the Third R&O adopts a standard that gives substance to the terms “necessary” and “impair” in section 251(d)(2), evaluates alternative elements that are available through self-provisioning by a requesting carrier or through third party suppliers, and that is rationally related to the goals of the 1996 Act. The Third R&O confirms that the “necessary” standard of section 251(d)(2)(A) is a higher standard that applies to proprietary network elements or to proprietary functions within an element, and that the “impair” standard applies to non-proprietary network elements. The Third R&O adopts a limited definition of the phrase “proprietary in nature” that tracks the intellectual property categories of patent, copyright, and trade secrets. If an incumbent LEC can demonstrate that it has invested resources (time, material, or personnel) to develop proprietary information or network elements that are protected by patent, copyright, or trade secret law, the product of such an investment is “proprietary in nature” within the meaning of section 251(d)(2)(A). The definition excludes elements that are based on widely accepted industry documents or on standards commonly used by a standards-setting body (e.g. ITU, ANSI, IEEE) or by vendors.

4. The Third R&O also finds that there are several circumstances which, if they exist with regard to information or functionalities that the incumbent LEC claims are proprietary, will permit the Commission to order unbundling of the proprietary information or functionality even if unbundled access to the element is not strictly “necessary,” as long as the “impair” standard is met. These circumstances are: (1) Where an incumbent LEC, for the primary purpose of causing a particular network to be evaluated under the stricter “necessary” standard in order to avoid its unbundling obligation, implements only a minor modification to the network element to make the element proprietary; (2) where an incumbent LEC cannot demonstrate that the information or functionality that it claims is proprietary differentiates its services from its competitors’ services, or is otherwise competitively significant; or (3) where lack of access to the proprietary element would

jeopardize the goal of the 1996 Act to bring rapid competition to the greatest number of consumers.

5. The Third R&O concludes that a proprietary network element is “necessary” within the meaning of section 251(d)(2)(A) if, taking into consideration the availability of alternative elements outside the incumbent’s network, including self-provisioning by a requesting carrier or acquiring an alternative from a third-party supplier, lack of access to that element would, as an practical, economic, and operational matter, preclude a requesting carrier from providing the services it seeks to offer.

6. The Third R&O concludes that the failure to provide access to a network element would “impair” the ability of a requesting carrier to provide the services it seeks to offer if, taking into consideration the availability of alternative elements outside the incumbent’s network, including self-provisioning by a requesting carrier or acquiring an alternative from a third-party supplier, lack of access to that element materially diminishes a requesting carrier’s ability to provide the services it seeks to offer.

7. In order to determine whether an alternative element is available as a practical, economic, and operational matter, the Third R&O considers the following factors associated with a requesting carrier’s ability to actually provide service using the alternative element: cost, timeliness, quality, ubiquity, and operational issues. In determining which network elements the incumbent LECs should be required to unbundle, the Third R&O also considers factors that promote the goals of the 1996 Act. Specifically, the Order considers whether unbundling a particular element would: (1) Promote rapid introduction of competition in all markets; (2) promote facilities-based competition, investment, and innovation; (3) reduce regulation; (4) create certainty in the market; and (5) allow for administrative practicality.

8. The Third R&O applies the “necessary” and “impair” standards to identify a minimum list of seven network elements that should be unbundled on a national basis, subject to discrete geographic and product market exceptions: (1) Loops; (2) subloops; (3) network interface devices; (4) circuit switching; (5) interoffice transmission facilities; (6) signaling and call-related databases; (7) operations support systems. Given the rapid changes in technology, competition, and the economic conditions of the telecommunications market, the Third R&O concludes that the Commission

will periodically revisit the issue of what elements are subject to the unbundling obligations of the Act. It also concludes that the goals of the Act will better be served if network elements identified by the Commission are not removed from the unbundling obligations of the Act on a state-by-state basis, at this time.

9. *Loops*: The Third R&O requires incumbent LECs to provide unbundled access to the local loop nationwide, including high-capacity lines, xDSL-capable loops, dark fiber, and inside wire owned by the incumbent LEC. “xDSL” refers to broadband services based on digital subscriber line technology, and are referred to as “advanced” services. The Third R&O finds that lack of access to unbundled loops impairs a carrier’s ability to provide the services it seeks to offer because requiring carriers to self-provision loops would materially raise entry costs, delay broad-based entry, and limit the scope and quality of the competitor’s offerings. Neither self-provisioning loops nor obtaining loops from third-party sources is an adequate alternative for loops that a carrier can obtain from an incumbent LEC under the section 251(c) unbundling obligation. The Third R&O also concludes that access to the full capabilities of incumbent LECs’ loop plant nationwide will further the goals of the Act. Specifically, requiring access to unbundled loops will promote the rapid development of competition and bring the benefits of competition to greater numbers of consumers, and will also encourage competition for broadband services.

10. The Third R&O defines the loop network element to include all features, functions, and capabilities of the transmission facilities, including dark fiber and attached electronics (except those used for the provision of advanced services, such as digital subscriber line access multiplexers (DSLAMs)) owned by the incumbent LEC, between an incumbent LEC’s central office and the loop demarcation point at the customer premises. Dark fiber is fiber that has not been activated through connection to the electronics that “light” it, and thereby render it capable of carrying communications services. DSLAMs split voice (low band) and data (high band) signals carried over a copper twisted pair. The Third R&O modifies the definition of loop contained in the Commission’s First Report and Order in CC Docket No. 96–98 to include dark fiber and attached electronics. The Commission’s previous definition did not specify whether dark fiber fell within the definition of the loop.

11. In order to secure access to the loop's full functions and capabilities, the Third R&O requires incumbent LECs to condition loops, and finds that incumbent LECs may charge for such conditioning. Loop conditioning is necessary to allow requesting carriers to offer advanced services. The terms "conditioned," "clean copper," "xDSL-capable" and "basic" loops all describe copper loops from which bridge taps, low-pass filters, range extenders, and similar devices have been removed. Thus, incumbent LECs cannot resist or refuse a competitive carrier's request to condition loops on the grounds that they themselves are not planning to offer xDSL to that customer. The Third R&O defers to the states to ensure that the costs incumbents impose on competitors for line conditioning are in compliance with the Commission's pricing rules for nonrecurring costs. The Third R&O also finds no basis for placing a restriction on what services a carrier may offer using the loop network element.

12. Nothing in the Third R&O disturbs the Commission's previous finding that incumbent LECs must provide cross connect facilities between an unbundled loop and a requesting carrier's collocated equipment, and that they must provide cross connect facilities according to sections 252(d)(1) and 251(c)(3) at any technically feasible point that a requesting carrier seeks access to the loop. Charges for cross connect facilities must meet the cost-based standard provided in section 252(d)(1), and the terms and conditions of providing cross connect facilities must be reasonable and nondiscriminatory under section 251(c)(3). The Third R&O declines to identify loop spectrum as a separate unbundled network element in this Order.

13. *Subloops*: The Third R&O requires incumbent LECs to provide unbundled access to subloops nationwide. It concludes that self-provisioning subloop elements, like the loop itself, would materially raise entry costs, delay broad-based entry, and limit the scope and quality of the competitive LEC's service offerings. It finds that lack of access to unbundled subloops at technically feasible points throughout the incumbent's loop plant will impair a competitor's ability to provide the services it seeks to offer. The Third R&O also finds that access to unbundled subloop elements allows competitive LECs to self-provision part of the loop, and thus, over time, to deploy their own loop facilities, and eventually to develop competitive loops. If requesting carriers can reduce their reliance on the

incumbent by interconnecting their own facilities closer to the customer, their ability to provide service using their own facilities will be greatly enhanced, thereby furthering the goal of the 1996 Act to promote facilities-based competition.

14. The Third R&O defines subloops as portions of the loop that can be accessed at terminals in the incumbent's outside plant. An accessible terminal is a point on the loop where technicians can access the wire or fiber within the cable without removing a splice case. Points of access include a technically feasible point near the customer premises, such as the pole or pedestal, the network interface device ("NID"), or the minimum point of entry to the customer premises (MPOE). Another point of access is the feeder distribution interface (FDI), which is where the trunk line, or "feeder," leading back to the central office, and the "distribution" plant, branching out to the subscribers, meet, and "interface." A third point of access is the main distribution frame in the incumbent's central office.

15. The Third R&O establishes a rebuttable presumption that subloops can be unbundled at any accessible terminal in the outside loop plant. If parties are unable to reach an agreement pursuant to voluntary negotiations about the availability of space or the technical feasibility of unbundling the subloop at one of the points identified above, the incumbent will have the burden of demonstrating to the state, in the context of a section 252 arbitration proceeding, that there is no space available or that it is not technically feasible to unbundle the subloop at these points. To the extent there is not currently a single point of interconnection that can be feasibly accessed by a requesting carrier, the Third R&O encourages parties to cooperate in any reconfiguration of the network necessary to create one. If parties are unable to negotiate a reconfigured single point of interconnection at multi-unit premises, the Commission requires the incumbent to construct a single point of interconnection that will be fully accessible and suitable for use by multiple carriers. Any disputes regarding the implementation of this requirement, including the provision of compensation to the incumbent LEC under forward-looking pricing principles, shall be subject to the usual dispute resolution process under section 252.

16. The Third R&O also establishes a further rebuttable presumption that, once one state has determined that it is technically feasible to unbundle

subloops at a designated point, it will be presumed that it is technically feasible for any incumbent LEC in any other state to unbundle the loop at the same point everywhere. If the conditions surrounding a request for unbundling at a similar point differ to such an extent that it is not technically feasible for the incumbent to provide unbundled access to that subloop element, the incumbent will have the burden of demonstrating in a section 252 arbitration proceeding that such an arrangement is indeed not technically feasible under those different conditions.

17. *Network Interface Device (NID)*: The Third R&O requires incumbent LECs to provide access to the NID nationwide. It concludes that lack of unbundled access to the incumbent's NID impairs the ability of requesting carriers to provide the services that they seek to offer. Requiring a requesting carrier to self-provision NIDs for all customers it seeks to serve would materially raise the cost of entry, delay broad facilities-based market entry, and materially limit the scope and quality of the competitor's service offerings. Unbundling the NID will accelerate the development of alternative networks, because it will allow requesting carriers efficiently to connect their facilities with the incumbent's loop plant. Thus, the Commission's decision to unbundle NIDs is consistent with the 1996 Act's goals of rapid introduction of competition and the promotion of facilities-based entry.

18. The Third R&O defines the NID to include all features, functions, and capabilities of the facilities used to connect the loop distribution plant to the customer premises wiring, regardless of the particular design of the NID mechanism. Specifically, it defines the NID to include any means of interconnection of customer premises wiring to the incumbent LEC's distribution plant, such as a cross-connect device used for that purpose.

19. *Local Circuit Switching*: The Third R&O requires incumbent LECs to provide local switching as an unbundled network element nationwide, except for local circuit switching used to serve end users with four or more lines in access density zone 1 in the top 50 Metropolitan Statistical Areas (MSAs), provided that the incumbent LEC provides nondiscriminatory, cost-based access to combinations of loop and transport unbundled network elements, known as the enhanced extended link (EEL) throughout density zone 1. The Third R&O finds that requesting carriers are not impaired without access to unbundled switching for end users with

four or more lines within density zone 1 in the top 50 MSAs. It concludes that, as a general matter, unbundled local circuit switching meets the "impair" standard set forth in section 251(d)(2), and that lack of access to unbundled local switching materially raises entry costs, delays broad-based entry, and limits the scope and quality of the new entrant's service offerings. The Third R&O also finds that unbundling local circuit switching is consistent with the 1996 Act's goals of rapid introduction of competition and the promotion of facilities-based entry. Requiring incumbent LECs to provide access to unbundled switching, and to use unbundled switching in combination with other network elements, will allow requesting carriers to serve the broadest number of customers without incurring collocation and switch provisioning delays.

20. The Third R&O defines local circuit switching as including the basic function of connecting lines and trunks. In addition to line-side and trunk-side facilities, the definition of the local circuit switching element encompasses all the features, function and capabilities of the switch. The Third R&O rejects the argument of an incumbent LEC that switch routing tables are "proprietary," within the meaning of section 251(d)(2)(A), and requires them to be unbundled as part of the local circuit switching element.

21. To the extent the market shows that requesting carriers are not serving a market segment with self-provisioned switches, the Third R&O finds that this fact is probative evidence that requesting carriers are impaired without access to unbundled local circuit switching for a discrete market segment. Conversely, to the extent that the market shows that requesting carriers are generally providing service in particular situations with their own switches, the Third R&O finds this fact to be probative evidence that requesting carriers are not impaired without access to unbundled local circuit switching. It thus concludes that it is appropriate to create an exception to the switching unbundling obligation in certain circumstances in the top 50 MSAs, as defined by the Office of Management and Budget, because most of the switches competitors have deployed are within the confines of the top 50 MSAs. The Third R&O also finds that requesting carriers have deployed greater numbers of switches in areas of high customer density within the top 50 MSAs. It therefore concludes that it is appropriate to create an exception to the local circuit switching unbundling obligation only in density zone 1, as

these density zones were defined on January 1, 1999, within the top 50 MSAs. Incumbent LECs assign their central offices to density zones based on traffic volume.

22. The conclusion that competitors are not impaired in certain circumstances without access to unbundled switching in density zone 1 in the top 50 MSAs also is predicated upon the availability of the EEL throughout density zone 1. The EEL allows requesting carriers to serve their customers by extending a customer's loop from the central office that serves the customer to a different end office in which the competitive LEC is already collocated. The EEL therefore allows requesting carriers to aggregate loops at fewer collocations and increase their efficiencies by transporting aggregated loops over efficient high-capacity facilities to their central switching location. The Third R&O also concludes that a rule that provides requesting carriers with access to unbundled local switching for requesting carriers when they serve customers with three lines or less captures a significant portion of the mass market.

23. *Packet Switching:* The Third R&O does not require incumbent LECs to unbundle packet switching functionality except in limited circumstances. It defines packet switching as the function of routing individual data units ("packets") based on address or other routing information contained in the packets. The definition of packet switching includes the necessary electronics (e.g. routers and DSLAMs). The record demonstrates that competitors are actively deploying facilities to serve medium and large business segments of the market, and hence they cannot be said to be impaired in their ability to offer service at least to these segments without access to the incumbent's facilities. In the residential and small business segments of the market, competitors may be impaired in their ability to offer service without access to incumbent LEC facilities due to the cost and timeliness of obtaining collocation in every central office where the requesting carrier provides service with unbundled loops. Given the nascent nature of the advanced services marketplace, however, the Third R&O does not order unbundling of packet switching functionality as a general matter. The Third R&O further declines to unbundle specific packet switching technologies incumbent LECs may have deployed in their networks.

24. The Third R&O requires incumbent LECs to provide unbundled access to packet switching in one

limited circumstance. Specifically, where a requesting carrier is unable to install its DSLAM at the remote terminal or obtain spare copper loops necessary to offer the same level of quality for advanced services as the incumbent LEC, incumbent LECs must provide requesting carriers with access to unbundled packet switching where the incumbent has placed its own DSLAM in a remote terminal. The incumbent LEC will be relieved of this unbundling obligation only if it permits a requesting carrier to collocate its DSLAM in the incumbent's remote terminal on the same terms and conditions that apply to its own DSLAM. Incumbents may not unreasonably limit the deployment of alternative technologies when requesting carriers seek to collocate their own DSLAMs in the remote terminal.

25. *Interoffice Transmission Facilities:* The Third R&O requires incumbent LECs to provide unbundled access to dedicated and shared interoffice transmission facilities. Incumbent LECs must offer unbundled access to dedicated interoffice transmission facilities, or transport, including dark fiber. The Third R&O concludes that that state commissions are free to establish reasonable limits governing access to dark fiber if incumbent LECs can show that they need to maintain fiber reserves. Dedicated interoffice transmission facilities are defined as incumbent LEC transmission facilities dedicated to a particular customer or carrier that provide telecommunications between wire centers owned by the incumbent LECs or requesting telecommunications carriers, or between switches owned by incumbent LECs or requesting telecommunications carriers. Dedicated transport transmission facilities include all technically feasible capacity-related services such as DS1-DS3 and OC3-OC96 dedicated transport services, and those provided by electronics that are necessary components of the functionality of capacity-related services and are used to originate and terminate telecommunications services.

26. The Third R&O finds that unbundling high-capacity dedicated transport offerings will encourage competition and facilitate the deployment of advanced services. Accordingly, it requires that incumbent LECs unbundle DS1 through OC192 dedicated transport offerings and such higher capacities as evolve over time. The intention is to ensure that the definition of interoffice transmission facilities will apply to new, as well as current technologies, and to ensure that competitors will continue to be able to

access these facilities as unbundled network elements as long as that access is required pursuant to section 251(d)(2). Although the Third R&O concludes that an incumbent LEC's unbundling obligation extends throughout its ubiquitous transport network, including ring transport architectures, it does not require incumbent LECs to construct new transport facilities to meet specific competitive LEC point-to-point demand requirements for facilities that the incumbent LEC has not deployed for its own use.

27. Incumbent LECs must also offer unbundled access to shared transport where unbundled local circuit switching is provided. Shared transport is defined as transmission facilities shared by more than one carrier, including the incumbent LEC, between end office switches, between end office switches and tandem switches, and between tandem switches in the incumbent LEC's network.

28. The Third R&O finds that requesting carriers are impaired without access to the incumbent LECs' unbundled dedicated and shared transport network. In particular, self-provisioning ubiquitous interoffice transmission facilities, or acquiring these facilities from non-incumbent LEC sources, materially increases a requesting carrier's costs of entering a market or of expanding the scope of its service, delays broad-based entry, and materially limits the scope and quality of a requesting carrier's service offerings. The Third R&O finds that requiring incumbent LECs to unbundle interoffice transmission facilities is consistent with the goal of the 1996 Act to facilitate rapid entry into the local exchange market. The Third R&O notes that the Commission will closely monitor the developments in the transport market, or a particular segment of this market, is supplying requesting carriers with effective alternatives to the incumbent LEC's unbundled network elements when the Commission reexamines its unbundling rules in three years.

29. *Signaling and Call-Related Databases:* The Third R&O requires incumbent LECs to offer unbundled access to signaling links and signaling transfer points (STPs) in conjunction with unbundled switching, and on a stand-alone basis. The signaling network element includes, but is not limited to, signaling links and STPs. The Third R&O concludes that without unbundled access to the incumbent LECs' signaling networks, a requesting carrier's ability to provide the services

it seeks to offer is materially diminished. Requiring a requesting carrier to obtain signaling from alternative sources would materially diminish its ability to provide the services it seeks to offer, due to the quality differences between the signaling networks available from the incumbent LEC and those available from alternative providers of signaling. It also concludes that unbundling the incumbent LECs' signaling networks will promote the development of facilities-based competition and thereby encourage investment and innovation in new technologies and telecommunications services. Unbundling the incumbent LECs' signaling networks will give competitive LECs incentive to deploy their own switches, because they can be connected to the ubiquitous incumbent LECs' signaling networks.

30. The Third R&O requires incumbent LECs to offer unbundled access to call-related databases, including, but not limited to, the Line Information database (LIDB), Toll Free Calling database, Number Portability database, Calling Name (CNAM) database, Advanced Intelligent Network (AIN) databases, and the AIN platform and architecture. The Third R&O clarifies that the definition of call-related databases includes, but is not limited to, the CNAM database, as well as the 911 and E911 databases. It identifies specifically the CNAM, 911 and E911 databases as being illustrative of call-related databases, and not as a comprehensive list of all call-related databases.

31. Because certain services created in the AIN platform and architecture are proprietary, the Third R&O finds that if competitive LECs receive unbundled access to incumbent LECs' AIN platforms, access to AIN service software should not be unbundled because such access is not "necessary" within the meaning of section 251(d)(2)(A) of the 1996 Act. With the exception of AIN service software, the Third R&O analyzes call-related databases under the "impair" standard. It finds that lack of access to call-related databases on an unbundled basis would materially impair the ability of a requesting carrier to provide the services it seeks to offer in the local telecommunications market. It finds that there are no alternatives of comparable quality and ubiquity available to requesting carriers, as an economic, operational, and practical matter, for the incumbent LECs' call-related databases. The Third R&O notes that the analysis of call-related databases is intertwined with the analysis of signaling, because

signaling is necessary to obtain access to certain call-related databases. Thus, the decision to unbundle the signaling network leads to a decision to unbundle call-related databases as well. Requiring incumbent LECs to provide access to call-related databases, including access to the AIN databases, will also foster investment and innovation in the local telecommunications marketplace.

32. *Operations Support Systems:* The Third R&O requires incumbent LECs to offer unbundled access to their operations support systems (OSS). It defines OSS as consisting of pre-ordering, ordering, provisioning, maintenance and repair, and billing functions supported by an incumbent LEC's databases and information. The Third R&O also clarifies that an incumbent LEC must provide the requesting carrier with nondiscriminatory access to the same detailed information about the loop that is available to the incumbent. In addition, the Third R&O concludes that an incumbent LEC should not be permitted to deny a requesting carrier access to loop qualification information for particular customers simply because the incumbent is not providing xDSL or other services from a particular end office. An incumbent LEC must provide access to the underlying loop information and may not filter or digest such information to provide only that information that is useful in the provision of a particular type of xDSL service that the incumbent chooses to offer. Instead, the incumbent LEC must provide access to the underlying loop qualification information contained in its engineering records, plant records, and other back office systems. If an incumbent LEC has not compiled such information for itself, the Third R&O does not require the incumbent to conduct a plant inventory and construct a database on behalf of requesting carriers.

33. The Third R&O concludes that lack of access to the incumbent LEC's OSS impairs the ability of requesting carriers to provide the services they seek to offer. The incumbents' OSS provides access to key information that is unavailable outside the incumbents' networks and is critical to the ability of other carriers to provide local exchange and exchange access service.

34. *Operator Services and Directory Assistance:* The Third R&O finds that incumbent LECs are not required to offer unbundled access to their operator services and directory assistance (OS/DA), except in the limited circumstance where an incumbent LEC does not provide customized routing, including compatible signaling protocol, to a

requesting carrier to allow it to route traffic to alternative OS/DA providers. Operator services are any automatic or live assistance to a consumer to arrange for billing or completion of a telephone call. Directory assistance is a service that allows subscribers to retrieve telephone numbers of other subscribers.

35. The Third R&O finds that where incumbent LECs provide customized routing, including compatible signaling protocol, lack of access to the incumbents' OS/DA service on an unbundled basis does not materially diminish a requesting carrier's ability to offer telecommunications service. The record provides significant evidence of a wholesale market in the provision of OS/DA services and opportunities for self-provisioning OS/DA services. Moreover, the evidence regarding the differences in cost, timeliness, quality, interoperability and ubiquity between the incumbent LEC's OS/DA service and alternative OS/DA services, provided either through self-provisioning or third-party alternatives, does not demonstrate that lack of unbundled access to the incumbent's OS/DA service would materially diminish a requesting carrier's ability to offer the services it seeks to provide. The non-discrimination requirements of section 251(b)(3) of the 1996 Act, coupled with evidence of multiple providers of OS/DA service in the marketplace, provide strong evidence that competitors are not impaired without access to the incumbent LEC's OS/DA service as an unbundled network element. The Third R&O also finds that declining to require incumbent LECs to unbundle OS/DA service is consistent with the goals of the Act, because it will reduce competitors' reliance on the incumbent LEC's network and create new opportunities for competitors of OS/DA service to differentiate their services through increased quality and lower prices.

36. In instances where the requesting carrier obtains the unbundled switching element from the incumbent, the lack of customized routing, including compatible signaling protocol, effectively precludes requesting carriers from using alternative OS/DA providers and, consequently, would materially diminish the requesting carrier's ability to provide the services it seeks to offer. Thus, the Third R&O requires incumbent LECs, to the extent they have not accommodated technologies used for customized routing, to offer OS/DA as an unbundled network element.

37. *Other Issues:* The Third R&O concludes that the prices, terms, and conditions set forth under sections 251 and 252 of the 1996 Act do not

presumptively apply to the network elements on the competitive checklist of section 271. In circumstances where a checklist network element is no longer unbundled, the Commission has determined that a competitor is not impaired in its ability to offer services without access to that element. Such a finding in the case of switching for large volume customers is predicated in large part upon the fact that competitors can acquire switching in the marketplace at a price set by the marketplace. Under these circumstances, it would be counterproductive to mandate that the incumbent offers the element at forward-looking prices. Rather, the market price should prevail, as opposed to a regulated rate which, at best, is designed to reflect the pricing of a competitive market.

38. A number of parties, including competitive LECs and state commissions, argue that the Commission should either identify a new network element comprised of the unbundled loop, multiplexing/concentrating equipment, and dedicated transport, (the enhanced extended link or "EEL"), or, alternatively, reinstate §§ 51.315(c) through (f) of the Commission's Rules (47 CFR 51.315(c) through (f)), which require incumbent LECs to provide unbundled loop and transport elements on a combined basis. The Third R&O declines to define the EEL as a separate network element in this Order. The Eighth Circuit Court of Appeals is currently reviewing whether §§ 51.315(c) through (f) should be reinstated, and the Commission states in the Third R&O that it therefore sees no reason to decide whether the EEL should be a separate network element in light of the Eighth Circuit's review of those rules. The Third R&O also declines to reinstate §§ 51.315(c) through (f), based on the pending Eighth Circuit litigation.

39. The Third R&O also clarifies that under existing law (47 CFR 51.309(a), 51.315(b)), a requesting carrier is entitled to obtain existing combinations of loop and transport between the end user and the incumbent LEC's serving center on a restricted basis at unbundled network element prices. In particular, any requesting carrier that is collected in a serving wire center is free to order loops and transport to that serving wire center as unbundled network elements because those elements meet the unbundling standard. Moreover, to the extent those unbundled network elements are already combined as a special access circuit, the incumbent may not separate them under rule 51.315(b), which was reinstated by the Supreme Court. In such circumstances,

it would be impermissible for an incumbent LEC to require that a requesting carrier provide a certain amount of local service over such facilities.

40. Moreover, where the requesting carrier is collocated and has self-provisioned transport or obtained transport from an alternative provider, but is purchasing unbundled loops, that carrier may provide only exchange access over those facilities. Thus, for instance, a requesting carrier is entitled to purchase unbundled loops in order to provide advanced services (e.g., interstate special access xDSL service).

41. The Third R&O also clarifies that interexchange carriers are entitled to use unbundled dedicated transport from their point of presence to a serving wire center in order to provide local telephone exchange service. Such carriers are entitled to obtain such dedicated transport links pursuant to the unbundling standard.

42. The Third R&O concludes that the record is insufficient to allow the Commission to determine whether or how its rules should apply in the discrete situation involving the use of dedicated transport links between the incumbent LEC's serving wire center and an interexchange carrier's switch or point of presence (referred to as "entrance facilities"). The Commission believes that it should explore fully the policy ramifications of applying its rules in a way that potentially could cause a significant reduction of the incumbent LEC's special access revenues prior to full implementation of access charge and universal service reform. Therefore, it sets certain discrete issues for further comment as described below in the Fourth Further Notice of Proposed Rulemaking in this docket.

Paperwork Reduction Act of 1995 Analysis

43. The actions contained in this Third R&O have been analyzed with respect to the Paperwork Reduction Act of 1995 and found to impose no burden on the public.

Final Regulatory Flexibility Analysis

44. As required by the Regulatory Flexibility Act (RFA), an Initial Regulatory Flexibility Analysis (IRFA) was incorporated in the Notice in CC Docket 96-98 (64 FR 20238, April 26, 1999). The Commission sought written public comments on the proposals in the Notice, including comments on the IRFA. The Commission's Final Regulatory Flexibility Analysis (FRFA) in the Third R&O conforms to the RFA.

Need for, and Objectives of the Third Report and Order

45. This R&O responds to the Supreme Court's January, 1999 decision that directs the Commission to revise the standards used to determine which network elements incumbent LECs must unbundle pursuant to section 251 of the Act. More specifically, this Third R&O gives substance to the "necessary" and "impair" standards set in section 251(d)(2) of the Act. Applying these standards, and considering the availability of the elements outside of the incumbent's network, this Third R&O adopts a list of network elements that must be unbundled on a national basis, subject to certain discrete geographic and product market exceptions. It also announces that the Commission will reexamine the national list of unbundled elements in three years. It reaffirms a state commission's authority to require incumbent LECs to unbundle additional elements, as long as the unbundling obligations: (1) are consistent with the requirements of section 251; (2) do not substantially prevent implementation of the requirements of that section and the purposes of the Act; and (3) are consistent with the national policy framework established in the Third R&O. Finally the Third R&O reaffirms that incumbent LECs are obligated to offer combinations of loop, multiplexing/concentrating equipment, and dedicated transport if they are currently combined.

Summary of Significant Issues Raised by the Public Comments in Response to the IRFA

46. No comments were submitted in direct response to the IRFA. The Commission did, however, receive some general small-business-related comments which are discussed throughout the Third R&O and are summarized in subsection 5 of the FRFA, *infra*.

Description and Estimate of the Number of Small Entities to Which Rules Will Apply

47. In the FRFA to the Commission's Local Competition First Report and Order, the Commission adopted the analysis and definitions set forth in determining the small entities affected by the Third R&O for purposes of this FRFA. The RFA directs agencies to provide a description of and, where feasible, an estimate of the number of small entities that will be affected by rules (5 U.S.C. 603(b)(3)). The RFA generally defines the term "small entity" as having the same meaning as

the terms "small business," "small organization," and "small governmental jurisdiction." (5 U.S.C. 601(6)). The RFA defines a "small business" to be the same as a "small business concern" under the Small Business Act, unless the Commission has developed one or more definitions that are appropriate to its activities. (5 U.S.C. 601(3)). Under the Small Business Act, a "small business concern" is one that: (1) is independently owned and operated; (2) is not dominant in its field of operation; and (3) meets any additional criteria established by the Small Business Administration (SBA (15 U.S.C. 632)). Below, the Commission describes and estimates the number of small entities that may be affected by the rules adopted in the Third R&O.

48. The Commission has included small incumbent LECs in this RFA analysis. As noted, a "small business" under the RFA is one that, *inter alia*, meets the pertinent small business size standard (e.g., a telephone communications business having 1,500 or fewer employees), and "is not dominant in its field of operation." (5 U.S.C. 601(3)). The SBA's Office of Advocacy contends that, for RFA purposes, small incumbent LECs are not dominant in their field of operation because any such dominance is not national in scope. The Commission has therefore included small incumbent LECs in this RFA analysis, although it emphasizes that this RFA action has no effect on the Commission's analyses and determinations in other non-RFA contexts.

49. The United States Bureau of the Census (the Census Bureau) reports that at the end of 1992, there were 3,497 firms engaged in providing telephone services, as defined therein, for at least one year. (United States Department of Commerce, Bureau of the Census, 1992 Census of Transportation, Communications and Utilities: Establishment and Firm Size, at Firm Size 1-123 (1995) (1992 Census)). These firms include a variety of different categories of carriers, including LECs, interexchange carriers, competitive access providers, wireless providers, operator service providers, pay telephone operators, wireless providers, and resellers. At least some of these 3,497 telephone service firms may not qualify as small entities because they are not "independently owned and operated." (15 U.S.C. 632(a)(1)). For example, a wireless provider that is affiliated with a LEC having more than 1,500 employees would not meet the definition of a small business. It seems reasonable to conclude, therefore, that fewer than 3,497 of these telephone

service firms are small entities that may be affected by the Third R&O. Since 1992, however, many new carriers have entered the telephone services marketplace. At least some of these new entrants may be small entities that are affected by the Third R&O.

50. The SBA has developed a definition of small entities for telephone communications companies other than radiotelephone (wireless) companies. The Census Bureau reports that there were 2,321 such telephone companies that had been operating for at least one year at the end of 1992. (1992 Census at Firm Size 1-123). According to the SBA's definition, a wireline telephone company is a small business if it employs no more than 1,500 persons. (13 CFR 121.201, Standard Industrial Classification Code 4812). All but 26 of the 2,321 wireline companies listed by the Census Bureau were reported to have fewer than 1,000 employees. Thus, even if all 26 of those companies had more than 1,500 employees, there would still be 2,295 wireline companies that might qualify as small entities. Although it seems certain that some of these carriers are not independently owned and operated, the Commission is unable at this time to estimate with greater precision the number of wireline carriers and service providers that would qualify as small business concerns under the SBA's definition. Consequently, it estimates that fewer than 2,295 of these wireline companies are small entities that the Third R&O may affect. Since 1992, however, many wireline carriers have entered the telephone services marketplace. Many of these new entrants may be small entities that are affected by the Third R&O.

51. *Incumbent Local Exchange Carriers*. Neither the Commission nor the SBA has developed a definition specifically directed toward small incumbent LECs. The closest applicable definition under SBA rules is for telephone communications companies other than radiotelephone (wireless) companies. The most reliable source of information regarding the number of LECs nationwide of which the Commission is aware appears to be the data that the Commission collects annually in connection with the Telecommunications Relay Service (TRS). According to the Commission's most recent data, 1,410 companies reported that they were engaged in the provision of local exchange services. (Federal Communications Commission, Carrier Locator: Interstate Service Providers, Fig. 1 (January 1999) (Carrier Locator Report)). Although it seems certain that some of these carriers are

not independently owned and operated or have more than 1,500 employees, the Commission is unable at this time to estimate with greater precision the number of small incumbent LECs that would qualify as small business concerns under SBA's definition. Consequently, the Commission estimates that there are fewer than 1,410 small incumbent LECs that may be affected by the decisions and rules adopted in the Third R&O.

Description of Projected Reporting, Recordkeeping, and Other Compliance Requirements

52. Pursuant to sections 251(c) and (d) of the 1996 Act, incumbent LECs, including those that qualify as small entities, are required to provide nondiscriminatory access to unbundled network elements. The only exception to this rule is those carriers that qualify and have gone through the process of obtaining an exemption, suspension or modification pursuant to section 251(f) of the Act. The Third R&O interprets the "necessary" and "impair" standards of section 251(d)(2) in such a way that it fulfills the Supreme Court's requirement that the Commission apply some limiting standard to an incumbent LEC's 251(c) obligations. In the Third R&O, the Commission identifies a minimum set of network elements that incumbent LECs are obligated to offer to requesting carriers on an unbundled basis nationwide: (1) local loops, including dark fiber and high-capacity loops; (2) subloops; (3) network interface devices; (4) local switching, except under certain conditions; (5) interoffice transport; (6) signaling and call-related databases; (7) operations support systems; and (8) in very limited situations, packet switching. State commissions may require incumbent LECs to provide additional network elements on an unbundled basis. The Third R&O also clarifies that incumbent LECs are obligated to provide access to combinations of loop, multiplexing/concentrating equipment and dedicated transport if they are currently combined. Compliance with the rules and decisions adopted in this Third R&O may require the use of engineering, technical, operational, accounting, billing, and legal skills.

Steps Taken to Minimize the Economic Impact of This Order on Small Entities, and Alternatives Considered

53. As the Commission concluded in the original FRFA, and as discussed more thoroughly, the Commission believes that its actions establishing a minimum national list of unbundled network elements in this Third R&O

facilitates the development of competition in the local exchange and exchange access markets. This decision decreases entry barriers and provides reasonable opportunities for all carriers, including small entities, to provide local exchange and exchange access services.

54. National requirements for unbundling allows requesting carriers, including small entities, to take advantage of economies of scale in the network. Requesting carriers, which may include small entities, should have access to the same technologies and economies of scale and scope available to incumbent LECs. Having such access will facilitate competition and help lower prices for all consumers, including individuals and small entities. A minimum national list of unbundled network elements also should facilitate the development of consistent standards and help resolve issues without imposing additional litigation costs on parties, including small entities.

55. Establishing a minimum national list of unbundled network elements facilitates negotiations and reduces regulatory burdens for all parties, including small entities. Adopting a national list lowers requesting carrier's cost by enabling them to implement regional and/or national business plans. In reaching this conclusion, the Commission considered one proposal to adopt national standards that would be applied by state commissions on a market-by-market basis. The Commission concluded that this approach would lead to greater uncertainty in the market and would hinder the development of competition. It also found that it would complicate the negotiation of interconnection agreements and lead to increased litigation. Furthermore, this approach would increase the administrative burden on state commissions and parties arbitrating interconnection agreements before these state commissions. All of these factors would slow the development of competition. Therefore, the Commission adopted a national list.

Report to Congress

56. The Commission will send a copy of the Third R&O, including this FRFA, in a report to be sent to Congress pursuant to the Small Business Regulatory Enforcement Fairness Act of 1996. (5 U.S.C. 801(a)(1)(A)). In addition, the Commission will send a copy of the Third R&O, including the FRFA, to the Chief Counsel for Advocacy of the Small Business Administration. The Third R&O and FRFA, or summaries thereof, are also

published in the **Federal Register**. (5 U.S.C. 604(b)).

Initial Regulatory Flexibility Analysis (IRFA)

57. As required by the RFA, the Commission has prepared an Initial Regulatory Flexibility Analysis (IRFA) of the possible significant economic impact on small entities by the policies and rules proposed in this Fourth Further Notice of Proposed Rulemaking. Written public comments are requested on this IRFA. Comments must be identified as responses to the IRFA and must be filed by the deadlines for comments on the Fourth Further Notice of Proposed Rulemaking provided above in section VII. The Commission will send a copy of the Fourth Further Notice of Proposed Rulemaking, including this IRFA, to the Chief Counsel for Advocacy of the Small Business Administration. (5 U.S.C. 603(a)). In addition, the Fourth Further Notice of Proposed Rulemaking and IRFA, or summaries thereof, are now also published in the **Federal Register**.

Need for, and Objectives of, the Proposed Rules

58. In this proceeding commenters have argued that allowing requesting carriers to obtain combinations of loop and transport unbundled network elements based on forward-looking cost would provide opportunities for arbitrage of special access services. The Commission recognizes that special access has historically been provided by incumbent LECs at prices that are higher than the unbundled network element pricing scheme of section 252(d)(1). Accordingly, in this Fourth Further Notice, the Commission seeks comment on the legal and policy bases for precluding requesting carriers from substituting dedicated transport for special access entrance facilities. The Commission asks whether there is any basis in the statute or our rules under which incumbent LECs could decline to provide entrance facilities at unbundled network element prices.

59. The Commission also invites parties to refresh the record on whether requesting carriers may use unbundled dedicated or shared transport facilities in conjunction with unbundled switching to originate or terminate interstate toll traffic to customers to whom the requesting carrier does not provide local exchange service.

Legal Basis

60. Sections 1 through 4, 10, 201, 202, 251 through 254, 271, and 303(r) of the Communications Act, as amended, 47

U.S.C. 151 through 54, 160, 201, 202, 251 through 54, 271, and 303(r).

Description and Estimate of the Number of Small Entities to Which the Proposed Rules Will Apply

61. In the FRFA in the Third R&O, the Commission has described the entities possibly affected by that decision. The Commission anticipates that the same entities, as well as those described below, could be affected by any action taken in response to the Fourth Further Notice. The Commission therefore incorporates the description and estimates used in the FRFA in the Third R&O and adds the following descriptions.

62. *Competitive Local Exchange Carriers.* Neither the Commission nor SBA has developed a definition of small entities specifically directed toward providers of competitive local exchange services. The most reliable source of information regarding the number of competitive LECs nationwide of which the Commission is aware appears to be the data it collected in the August, 1999 Local Competition Report. According to the Commission's most recent data, 158 companies reported that they were local service competitors holding numbering codes. (Federal Communications Commission, Local Competition Report, August 1999, at 45, table 4.1)). Although it seems certain that some of these carriers are not independently owned and operated, or have more than 1,500 employees, the Commission is unable at this time to estimate with greater precision the number of competitive LECs that would qualify as small business concerns under SBA's definition. Consequently, the Commission estimates that there are fewer than 158 small entity competitive LECs that may be affected by the decisions and rules adopted in response to the Fourth Further Notice of Proposed Rulemaking.

63. *Competitive Access Providers.* Neither the Commission nor SBA has developed a definition of small entities specifically directed toward providers of competitive access services (CAPs). The closest applicable definition under SBA rules is for telephone communications companies other than radiotelephone (wireless) companies. The most reliable source of information regarding the number of CAPs nationwide of which the Commission is aware appears to be the data that we collect annually in connection with the TRS Worksheet. According to the Commission's most recent data, 129 companies reported that they were engaged in the provision of competitive access services. (Carrier Locator Report at Fig.1)). Although it

seems certain that some of these carriers are not independently owned and operated, or have more than 1,500 employees, the Commission is unable at this time to estimate with greater precision the number of competitive LECs that would qualify as small business concerns under SBA's definition. Consequently, the Commission estimates that there are fewer than 129 small entity competitive LECs that may be affected by the decisions and rules adopted in response to the Fourth Further Notice of Proposed Rulemaking.

Description of Projected Reporting, Recordkeeping, and Other Compliance Requirements

64. If the Commission does not establish any restrictions on the use of unbundled network elements or combinations of network elements, no additional compliance requirements are anticipated from further consideration of this issue. If, however, restrictions on access to network elements are imposed, and depending on how the restrictions are imposed, competitive LECs, CAPs and other purchasers of unbundled network elements, including small entities, may be subject to additional reporting, recordkeeping and other compliance requirements. Incumbent LECs, including small incumbent LECs, would also be impacted because they would have to keep track of competitive LEC filings and whether the use of the unbundled network element changed in such a way that a restriction would attach. If restrictions are placed on the use of unbundled network elements or combinations of such elements, compliance with these requests may require the use of engineering, technical, operational, accounting, billing, and legal skills.

Steps Taken to Minimize Significant Economic Impact on Small Entities, and Significant Alternatives Considered

65. If requesting carriers can substitute unbundled network elements, such as transport, for entrance facilities, incumbent LECs, including small entities, may be significantly economically impacted. On the other hand, substituting unbundled network elements for entrance facilities could benefit competitive LECs, CAPs, and other purchasers of unbundled network elements. The Commission will evaluate in this proceeding whether there are legal grounds for restricting such access. If no such grounds exist, and instead if the statute requires unrestricted access to these unbundled network elements or combinations, then the Commission will have no alternative other than

implementation of the statutory requirements for unrestricted access.

Federal Rules that May Duplicate, Overlap, or Conflict With the Proposed Rules

66. *Ordering Clauses.* Effective February 17, 2000, except as specified in the regulations.

67. The Commission will send a copy of this *Third Report and Order*, including the Final Regulatory Flexibility Analysis, to the Chief Counsel for Advocacy of the Small Business Administration.

The Commission will send a copy of this *Fourth Further Notice of Proposed Rulemaking*, including the Initial Regulatory Flexibility Analysis, to the Chief Counsel for Advocacy of the Small Business Administration.

List of Subjects in 47 CFR Part 51

Communications, Common Carriers, Telecommunications.

Federal Communications Commission.

Magalie Roman Salas,
Secretary.

Rule Changes

For the reasons discussed in the preamble, the Federal Communications Commission amends 47 CFR part 51 as follows:

PART 51—INTERCONNECTION

1. The authority citation for part 51 continues to read:

Authority: Sections 1–5, 7, 201–05, 207–09, 218, 225–27, 251–54, 271, 332, 48 Stat. 1070, as amended, 1077; 47 U.S.C. 151 through 55, 157, 201 through 205, 207 through 209, 218, 225 through 227, 251 through 254, 271, and 332, unless otherwise noted.

2. Section 51.5 is amended by revising the following definition to read as follows:

§ 51.5 Terms and definitions.

* * * * *

Pre-ordering and ordering. Pre-ordering and ordering includes the exchange of information between telecommunications carriers about: current or proposed customer products and services; or unbundled network elements, or some combination thereof. This information includes loop qualification information, such as the composition of the loop material, including but not limited to: fiber optics or copper; the existence, location and type of any electronic or other equipment on the loop, including but not limited to, digital loop carrier or other remote concentration devices, feeder/distribution interfaces, bridge

taps, load coils, pair-gain devices, disturbers in the same or adjacent binder groups; the loop length, including the length and location of each type of transmission media; the wire gauge(s) of the loop; and the electrical parameters of the loop, which may determine the suitability of the loop for various technologies.

* * * * *

3. Section 51.317 is revised to read as follows:

§ 51.317 Standards for requiring the unbundling of network elements.

(a) *Proprietary network elements.* A network element shall be considered to be proprietary if an incumbent LEC can demonstrate that it has invested resources to develop proprietary information or functionalities that are protected by patent, copyright or trade secret law. The Commission shall undertake the following analysis to determine whether a proprietary network element should be made available for purposes of section 251(c)(3) of the Act:

(1) Determine whether access to the proprietary network element is "necessary." A network element is "necessary" if, taking into consideration the availability of alternative elements outside the incumbent LEC's network, including self-provisioning by a requesting carrier or acquiring an alternative from a third-party supplier, lack of access to the network element precludes a requesting telecommunications carrier from providing the services that it seeks to offer. If access is "necessary," then, subject to any consideration of the factors set forth under paragraph (c) of this section, the Commission may require the unbundling of such proprietary network element.

(2) In the event that such access is not "necessary," the Commission may require unbundling subject to any consideration of the factors set forth under paragraph (c) of this section if it is determined that:

(i) The incumbent LEC has implemented only a minor modification to the network element in order to qualify for proprietary treatment;

(ii) The information or functionality that is proprietary in nature does not differentiate the incumbent LEC's services from the requesting carrier's services; or

(iii) Lack of access to such element would jeopardize the goals of the 1996 Act.

(b) *Non-proprietary network elements.* The Commission shall undertake the following analysis to determine whether a non-proprietary network element

should be made available for purposes of section 251(c)(3) of the Act:

(1) Determine whether lack of access to a non-proprietary network element "impairs" a carrier's ability to provide the service it seeks to offer. A requesting carrier's ability to provide service is "impaired" if, taking into consideration the availability of alternative elements outside the incumbent LEC's network, including self-provisioning by a requesting carrier or acquiring an alternative from a third-party supplier, lack of access to that element materially diminishes a requesting carrier's ability to provide the services it seeks to offer. The Commission will consider the totality of the circumstances to determine whether an alternative to the incumbent LEC's network element is available in such a manner that a requesting carrier can provide service using the alternative. If the Commission determines that lack of access to an element "impairs" a requesting carrier's ability to provide service, it may require the unbundling of that element, subject to any consideration of the factors set forth under section 51.317(c).

(2) In considering whether lack of access to a network element materially diminishes a requesting carrier's ability to provide service, the Commission shall consider the extent to which alternatives in the market are available as a practical, economic, and operational matter. The Commission will rely upon the following factors to determine whether alternative network elements are available as a practical, economic, and operational matter:

(i) Cost, including all costs that requesting carriers may incur when using the alternative element to provide the services it seeks to offer;

(ii) Timeliness, including the time associated with entering a market as well as the time to expand service to more customers;

(iii) Quality;

(iv) Ubiquity, including whether the alternatives are available ubiquitously;

(v) Impact on network operations.

(3) In determining whether to require the unbundling of any network element under this rule, the Commission may also consider the following additional factors:

(i) Whether unbundling of a network element promotes the rapid introduction of competition;

(ii) Whether unbundling of a network element promotes facilities-based competition, investment, and innovation;

(iii) Whether unbundling of a network element promotes reduced regulation;

(iv) Whether unbundling of a network element provides certainty to requesting

carriers regarding the availability of the element;

(v) Whether unbundling of a network element is administratively practical to apply.

(4) If an incumbent LEC is required to provide nondiscriminatory access to a network element in accordance with § 51.311 and section 251(c)(3) of the Act under § 51.319 of this section or any applicable Commission Order, no state commission shall have authority to determine that such access is not required. A state commission must comply with the standards set forth in this § 51.317 when considering whether to require the unbundling of additional network elements. With respect to any network element which a state commission has required to be unbundled under this § 51.317, the state commission retains the authority to subsequently determine, in accordance with the requirements of this rule, that such network element need no longer be unbundled.

4. Section 51.319 is revised to read as follows:

§ 51.319 Specific unbundling requirements.

(a) *Local loop and subloop.* An incumbent LEC shall provide nondiscriminatory access, in accordance with § 51.311 and section 251(c)(3) of the Act, to the local loop and subloop, including inside wiring owned by the incumbent LEC, on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service.

(1) *Local loop.* The local loop network element is defined as a transmission facility between a distribution frame (or its equivalent) in an incumbent LEC central office and the loop demarcation point at an end-user customer premises, including inside wire owned by the incumbent LEC. The local loop network element includes all features, functions, and capabilities of such transmission facility. Those features, functions, and capabilities include, but are not limited to, dark fiber, attached electronics (except those electronics used for the provision of advanced services, such as Digital Subscriber Line Access Multiplexers), and line conditioning. The local loop includes, but is not limited to, DS1, DS3, fiber, and other high capacity loops. The requirements in this section relating to dark fiber are not effective until May 17, 2000.

(2) *Subloop.* The subloop network element is defined as any portion of the loop that is technically feasible to access at terminals in the incumbent LEC's outside plant, including inside wire. An

accessible terminal is any point on the loop where technicians can access the wire or fiber within the cable without removing a splice case to reach the wire or fiber within. Such points may include, but are not limited to, the pole or pedestal, the network interface device, the minimum point of entry, the single point of interconnection, the main distribution frame, the remote terminal, and the feeder/distribution interface. The requirements in this section relating to subloops and inside wire are not effective until May 17, 2000.

(i) *Inside wire.* Inside wire is defined as all loop plant owned by the incumbent LEC on end-user customer premises as far as the point of demarcation as defined in § 68.3 of this chapter, including the loop plant near the end-user customer premises. Carriers may access the inside wire subloop at any technically feasible point including, but not limited to, the network interface device, the minimum point of entry, the single point of interconnection, the pedestal, or the pole.

(ii) *Technical feasibility.* If parties are unable to reach agreement, pursuant to voluntary negotiations, as to whether it is technically feasible, or whether sufficient space is available, to unbundle the subloop at the point where a carrier requests, the incumbent LEC shall have the burden of demonstrating to the state, pursuant to state arbitration proceedings under section 252 of the Act, that there is not sufficient space available, or that it is not technically feasible, to unbundle the subloop at the point requested.

(iii) *Best practices.* Once one state has determined that it is technically feasible to unbundle subloops at a designated point, an incumbent LEC in any state shall have the burden of demonstrating, pursuant to state arbitration proceedings under section 252 of the Act, that it is not technically feasible, or that sufficient space is not available, to unbundle its own loops at such a point.

(iv) *Rules for collocation.* Access to the subloop is subject to the Commission's collocation rules at §§ 51.321 through 51.323.

(v) *Single point of interconnection.* The incumbent LEC shall provide a single point of interconnection at multi-unit premises that is suitable for use by multiple carriers. This obligation is in addition to the incumbent LEC's obligation to provide nondiscriminatory access to subloops at any technically feasible point. If parties are unable to negotiate terms and conditions regarding a single point of interconnection, issues in dispute,

including compensation of the incumbent LEC under forward-looking pricing principles, shall be resolved under the dispute resolution processes in section 252 of the Act.

(3) *Line conditioning.* The incumbent LEC shall condition lines required to be unbundled under this section wherever a competitor requests, whether or not the incumbent LEC offers advanced services to the end-user customer on that loop.

(i) Line conditioning is defined as the removal from the loop of any devices that may diminish the capability of the loop to deliver high-speed switched wireline telecommunications capability, including xDSL service. Such devices include, but are not limited to, bridge taps, low pass filters, and range extenders.

(ii) Incumbent LECs shall recover the cost of line conditioning from the requesting telecommunications carrier in accordance with the Commission's forward-looking pricing principles promulgated pursuant to section 252(d)(1) of the Act.

(iii) Incumbent LECs shall recover the cost of line conditioning from the requesting telecommunications carrier in compliance with rules governing nonrecurring costs in § 51.507 (e).

(iv) In so far as it is technically feasible, the incumbent LEC shall test and report trouble for all the features, functions, and capabilities of conditioned lines, and may not restrict testing to voice-transmission only.

(b) *Network interface device.* An incumbent LEC shall provide nondiscriminatory access, in accordance with § 51.311 and section 251(c)(3) of the Act, to the network interface device on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service. The network interface device network element is defined as any means of interconnection of end-user customer premises wiring to the incumbent LEC's distribution plant, such as a cross connect device used for that purpose. An incumbent LEC shall permit a requesting telecommunications carrier to connect its own loop facilities to on-premises wiring through the incumbent LEC's network interface device, or at any other technically feasible point.

(c) *Switching capability.* An incumbent LEC shall provide nondiscriminatory access, in accordance with § 51.311 and section 251(c)(3) of the Act, to local circuit switching capability and local tandem switching capability on an unbundled basis, except as set forth in § 51.319(c)(2), to any requesting telecommunications

carrier for the provision of a telecommunications service. An incumbent LEC shall be required to provide nondiscriminatory access in accordance with § 51.311 and section 251(c)(3) of the Act to packet switching capability on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service only in the limited circumstance described in § 51.319(c)(4).

(1) *Local circuit switching capability, including tandem switching capability.* The local circuit switching capability network element is defined as:

(i) Line-side facilities, which include, but are not limited to, the connection between a loop termination at a main distribution frame and a switch line card;

(ii) Trunk-side facilities, which include, but are not limited to, the connection between trunk termination at a trunk-side cross-connect panel and a switch trunk card; and

(iii) All features, functions and capabilities of the switch, which include, but are not limited to:

(A) The basic switching function of connecting lines to lines, lines to trunks, trunks to lines, and trunks to trunks, as well as the same basic capabilities made available to the incumbent LEC's customers, such as a telephone number, white page listing and dial tone, and

(B) All other features that the switch is capable of providing, including but not limited to, customer calling, customer local area signaling service features, and Centrex, as well as any technically feasible customized routing functions provided by the switch.

(2) Notwithstanding the incumbent LEC's general duty to unbundle local circuit switching, an incumbent LEC shall not be required to unbundle local circuit switching for requesting telecommunications carriers when the requesting telecommunications carrier serves end-users with four or more voice grade (DS0) equivalents or lines, provided that the incumbent LEC provides nondiscriminatory access to combinations of unbundled loops and transport (also known as the "Enhanced Extended Link") throughout Density Zone 1, and the incumbent LEC's local circuit switches are located in:

(i) The top 50 Metropolitan Statistical Areas as set forth in Appendix B of the Third Report and Order and Fourth Further Notice of Proposed Rulemaking in CC Docket No. 96-98, and

(ii) In Density Zone 1, as defined in § 69.123 of this chapter on January 1, 1999.

(3) *Local tandem switching capability.* The tandem switching capability network element is defined as:

(i) Trunk-connect facilities, which include, but are not limited to, the connection between trunk termination at a cross connect panel and switch trunk card;

(ii) The basic switch trunk function of connecting trunks to trunks; and

(iii) The functions that are centralized in tandem switches (as distinguished from separate end office switches), including but not limited to, call recording, the routing of calls to operator services, and signaling conversion features.

(4) *Packet switching capability.* (i) The packet switching capability network element is defined as the basic packet switching function of routing or forwarding packets, frames, cells or other data units based on address or other routing information contained in the packets, frames, cells or other data units, and the functions that are performed by Digital Subscriber Line Access Multiplexers, including but not limited to:

(ii) The ability to terminate copper customer loops (which includes both a low band voice channel and a high-band data channel, or solely a data channel);

(iii) The ability to forward the voice channels, if present, to a circuit switch or multiple circuit switches;

(iv) The ability to extract data units from the data channels on the loops, and

(v) The ability to combine data units from multiple loops onto one or more trunks connecting to a packet switch or packet switches.

(5) An incumbent LEC shall be required to provide nondiscriminatory access to unbundled packet switching capability only where each of the following conditions are satisfied. The requirements in this section relating to packet switching are not effective until May 17, 2000.

(i) The incumbent LEC has deployed digital loop carrier systems, including but not limited to, integrated digital loop carrier or universal digital loop carrier systems; or has deployed any other system in which fiber optic facilities replace copper facilities in the distribution section (e.g., end office to remote terminal, pedestal or environmentally controlled vault);

(ii) There are no spare copper loops capable of supporting xDSL services the requesting carrier seeks to offer;

(iii) The incumbent LEC has not permitted a requesting carrier to deploy a Digital Subscriber Line Access multiplexer in the remote terminal, pedestal or environmentally controlled

vault or other interconnection point, nor has the requesting carrier obtained a virtual collocation arrangement at these subloop interconnection points as defined by paragraph (b) of this section; and

(iv) The incumbent LEC has deployed packet switching capability for its own use.

(d) *Interoffice transmission facilities.*

An incumbent LEC shall provide nondiscriminatory access, in accordance with § 51.311 and section 251(c)(3) of the Act, to interoffice transmission facilities on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service. The requirements in this section relating to dark fiber transport are not effective until May 17, 2000.

(1) Interoffice transmission facility network elements include:

(i) Dedicated transport, defined as incumbent LEC transmission facilities, including all technically feasible capacity-related services including, but not limited to, DS1, DS3 and OCn levels, dedicated to a particular customer or carrier, that provide telecommunications between wire centers owned by incumbent LECs or requesting telecommunications carriers, or between switches owned by incumbent LECs or requesting telecommunications carriers;

(ii) Dark fiber transport, defined as incumbent LEC optical transmission facilities without attached multiplexing, aggregation or other electronics;

(iii) Shared transport, defined as transmission facilities shared by more than one carrier, including the incumbent LEC, between end office switches, between end office switches and tandem switches, and between tandem switches, in the incumbent LEC network.

(2) The incumbent LEC shall:

(i) Provide a requesting telecommunications carrier exclusive use of interoffice transmission facilities dedicated to a particular customer or carrier, or use the features, functions, and capabilities of interoffice transmission facilities shared by more than one customer or carrier.

(ii) Provide all technically feasible transmission facilities, features, functions, and capabilities that the requesting telecommunications carrier could use to provide telecommunications services;

(iii) Permit, to the extent technically feasible, a requesting telecommunications carrier to connect such interoffice facilities to equipment designated by the requesting telecommunications carrier, including

but not limited to, the requesting telecommunications carrier's collocated facilities; and

(iv) Permit, to the extent technically feasible, a requesting telecommunications carrier to obtain the functionality provided by the incumbent LEC's digital cross-connect systems in the same manner that the incumbent LEC provides such functionality to interexchange carriers.

(e) *Signaling networks and call-related databases.* An incumbent LEC shall provide nondiscriminatory access, in accordance with § 51.311 and section 251(c)(3) of the Act, to signaling networks, call-related databases, and service management systems on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service.

(1) *Signaling networks.* Signaling networks include, but are not limited to, signaling links and signaling transfer points.

(i) When a requesting telecommunications carrier purchases unbundled switching capability from an incumbent LEC, the incumbent LEC shall provide access from that switch in the same manner in which it obtains such access itself.

(ii) An incumbent LEC shall provide a requesting telecommunications carrier with its own switching facilities access to the incumbent LEC's signaling network for each of the requesting telecommunications carrier's switches. This connection shall be made in the same manner as an incumbent LEC connects one of its own switches to a signaling transfer point.

(2) *Call-related databases.* Call-related databases are defined as databases, other than operations support systems, that are used in signaling networks for billing and collection, or the transmission, routing, or other provision of a telecommunications service.

(i) For purposes of switch query and database response through a signaling network, an incumbent LEC shall provide access to its call-related databases, including but not limited to, the Calling Name Database, 911 Database, E911 Database, Line Information Database, Toll Free Calling Database, Advanced Intelligent Network Databases, and downstream number portability databases by means of physical access at the signaling transfer point linked to the unbundled databases. The requirements in this section relating to the Calling Name Database, 911 Database, and E911 Database are not effective until May 17, 2000.

(ii) Notwithstanding the incumbent LEC's general duty to unbundle call-related databases, an incumbent LEC shall not be required to unbundle the services created in the AIN platform and architecture that qualify for proprietary treatment.

(iii) An incumbent LEC shall allow a requesting telecommunications carrier that has purchased an incumbent LEC's local switching capability to use the incumbent LEC's service control point element in the same manner, and via the same signaling links, as the incumbent LEC itself.

(iv) An incumbent LEC shall allow a requesting telecommunications carrier that has deployed its own switch, and has linked that switch to an incumbent LEC's signaling system, to gain access to the incumbent LEC's service control point in a manner that allows the requesting carrier to provide any call-related database-supported services to customers served by the requesting telecommunications carrier's switch.

(v) An incumbent LEC shall provide a requesting telecommunications carrier with access to call-related databases in a manner that complies with section 222 of the Act.

(3) *Service management systems:*

(i) A service management system is defined as a computer database or system not part of the public switched network that, among other things:

(A) Interconnects to the service control point and sends to that service

control point the information and call processing instructions needed for a network switch to process and complete a telephone call; and

(B) Provides telecommunications carriers with the capability of entering and storing data regarding the processing and completing of a telephone call.

(ii) An incumbent LEC shall provide a requesting telecommunications carrier with the information necessary to enter correctly, or format for entry, the information relevant for input into the incumbent LEC's service management system.

(iii) An incumbent LEC shall provide a requesting telecommunications carrier the same access to design, create, test, and deploy Advanced Intelligent Network-based services at the service management system, through a service creation environment, that the incumbent LEC provides to itself.

(iv) An incumbent LEC shall provide a requesting telecommunications carrier access to service management systems in a manner that complies with section 222 of the Act.

(f) *Operator services and directory assistance.* An incumbent LEC shall provide nondiscriminatory access in accordance with § 51.311 and section 251(c)(3) of the Act to operator services and directory assistance on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications

service only where the incumbent LEC does not provide the requesting telecommunications carrier with customized routing or a compatible signaling protocol. Operator services are any automatic or live assistance to a consumer to arrange for billing or completion, or both, of a telephone call. Directory assistance is a service that allows subscribers to retrieve telephone numbers of other subscribers.

(g) *Operations support systems.* An incumbent LEC shall provide nondiscriminatory access in accordance with § 51.311 and section 251(c)(3) of the Act to operations support systems on an unbundled basis to any requesting telecommunications carrier for the provision of a telecommunications service. Operations support system functions consist of pre-ordering, ordering, provisioning, maintenance and repair, and billing functions supported by an incumbent LEC's databases and information. An incumbent LEC, as part of its duty to provide access to the pre-ordering function, must provide the requesting carrier with nondiscriminatory access to the same detailed information about the loop that is available to the incumbent LEC. The requirements in this section relating to loop qualification information are not effective until May 17, 2000.

[FR Doc. 00-1036 Filed 1-14-00; 8:45 am]

BILLING CODE 6712-01-P

Proposed Rules

Federal Register

Vol. 65, No. 11

Tuesday, January 18, 2000

This section of the FEDERAL REGISTER contains notices to the public of the proposed issuance of rules and regulations. The purpose of these notices is to give interested persons an opportunity to participate in the rule making prior to the adoption of the final rules.

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. 99-NM-227-AD]

RIN 2120-AA64

Airworthiness Directives; McDonnell Douglas Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87), Model MD-88 Airplanes, and Model MD-90-30 Series Airplanes

AGENCY: Federal Aviation Administration, DOT.

ACTION: Notice of proposed rulemaking (NPRM).

SUMMARY: This document proposes the adoption of a new airworthiness directive (AD) that is applicable to certain McDonnell Douglas Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, Model MD-88 airplanes, and Model MD-90-30 series airplanes. This proposal would require installation of a pipe support and clamps on the hydraulic lines in the aft fuselage; replacement of the hydraulic pipe assembly in the aft fuselage with a new pipe assembly; and installation of drain tube assemblies and diverter assemblies in the area of the auxiliary power unit (APU) inlet; as applicable. This proposal is prompted by reports of smoke and odor in the passenger cabin and cockpit due to hydraulic fluid leaking into the APU inlet, and subsequently, into the air conditioning system. The actions specified by the proposed AD are intended to prevent such hydraulic fluid leakage due to fatigue vibration and cracking in the flared radius of a hydraulic pipe in the aft fuselage, which could result in smoke and odors in the passenger cabin or cockpit.

DATES: Comments must be received by March 3, 2000.

ADDRESSES: Submit comments in triplicate to the Federal Aviation

Administration (FAA), Transport Airplane Directorate, ANM-114, Attention: Rules Docket No. 99-NM-227-AD, 1601 Lind Avenue, SW., Renton, Washington 98055-4056. Comments may be inspected at this location between 9:00 a.m. and 3:00 p.m., Monday through Friday, except Federal holidays.

The service information referenced in the proposed rule may be obtained from Boeing Commercial Aircraft Group, Long Beach Division, 3855 Lakewood Boulevard, Long Beach, California 90846, Attention: Technical Publications Business Administration, Dept. C1-L51 (2-60). This information may be examined at the FAA, Transport Airplane Directorate, 1601 Lind Avenue, SW., Renton, Washington; or at the FAA, Transport Airplane Directorate, Los Angeles Aircraft Certification Office, 3960 Paramount Boulevard, Lakewood, California.

FOR FURTHER INFORMATION CONTACT:

Albert Lam, Aerospace Engineer, Systems and Equipment Branch, ANM-130L, FAA, Transport Airplane Directorate, Los Angeles Aircraft Certification Office, 3960 Paramount Boulevard, Lakewood, California 90712-4137; telephone (562) 627-5346; fax (562) 627-5210.

SUPPLEMENTARY INFORMATION:

Comments Invited

Interested persons are invited to participate in the making of the proposed rule by submitting such written data, views, or arguments as they may desire. Communications shall identify the Rules Docket number and be submitted in triplicate to the address specified above. All communications received on or before the closing date for comments, specified above, will be considered before taking action on the proposed rule. The proposals contained in this notice may be changed in light of the comments received.

Comments are specifically invited on the overall regulatory, economic, environmental, and energy aspects of the proposed rule. All comments submitted will be available, both before and after the closing date for comments, in the Rules Docket for examination by interested persons. A report summarizing each FAA-public contact concerned with the substance of this proposal will be filed in the Rules Docket.

Commenters wishing the FAA to acknowledge receipt of their comments submitted in response to this notice must submit a self-addressed, stamped postcard on which the following statement is made: "Comments to Docket Number 99-NM-227-AD." The postcard will be date stamped and returned to the commenter.

Availability of NPRMs

Any person may obtain a copy of this NPRM by submitting a request to the FAA, Transport Airplane Directorate, ANM-114, Attention: Rules Docket No. 99-NM-227-AD, 1601 Lind Avenue, SW., Renton, Washington 98055-4056.

Discussion

The FAA has received several reports of smoke and odor in the passenger cabin on McDonnell Douglas Model DC-9-82 (MD-82) series airplanes due to failure of a hydraulic pipe in the aft fuselage accessory compartment. Investigation revealed that hydraulic fluids leaked into the bilge area of the tailcone and out of the existing drains and were ingested into the air intake area of the auxiliary power unit (APU), and subsequently, into the air conditioning system. Further investigation revealed that the leaking fluid was due to fatigue vibration and cracking in the flared radius of a hydraulic pipe in the aft fuselage. This condition, if not corrected, could result in smoke and odors in the passenger cabin or cockpit.

The subject hydraulic pipe assembly on McDonnell Douglas Model DC-9-81 (MD-81), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, Model MD-88 airplanes, and Model DC-90-30 series airplanes is similar to those on the affected Model DC-9-82 (MD-82) airplanes. Therefore, all of these airplanes may be subject to the same unsafe condition.

Explanation of Relevant Service Information

The FAA has reviewed and approved McDonnell Douglas Service Bulletin MD80-29-056, dated June 18, 1996 [for Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes], which describes procedures for installation of a pipe support and clamps on the hydraulic lines in the aft fuselage.

The FAA also has reviewed and approved McDonnell Douglas Service

Bulletin MD80-29-062, Revision 01, dated August 3, 1999 [for Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, and Model MD-88 airplanes], which describes procedures for replacement of the hydraulic pipe assembly in the aft fuselage with a new pipe assembly having a greater wall thickness.

In addition, the FAA has reviewed and approved McDonnell Douglas Service Bulletins MD80-53-286, dated September 3, 1999 [for Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, and Model MD-88 airplanes], and MD90-53-018, dated September 3, 1999 (for Model MD-90-30 series airplanes), which describe procedures for installation of drain tube assemblies and diverter assemblies in the area of the APU inlet.

Accomplishment of the actions specified in the service bulletins listed above is intended to adequately address the identified unsafe condition.

Explanation of Requirements of Proposed Rule

Since an unsafe condition has been identified that is likely to exist or develop on other products of this same type design, the proposed AD would require accomplishment of the actions specified in the service bulletins described previously.

Differences Between Proposed Rule and Service Bulletins

Operators should note that, although McDonnell Douglas Service Bulletins MD80-29-056, dated June 18, 1996; MD80-53-286, dated September 3, 1999; and MD90-53-018, dated September 3, 1999; recommend accomplishing the modifications at the earliest practical maintenance period (after the release of the service bulletin), the FAA has determined that such an interval would not address the identified unsafe condition in a timely manner. In developing an appropriate compliance time for this proposed AD, the FAA considered not only the manufacturer's recommendation, but the degree of urgency associated with addressing the subject unsafe condition, the average utilization of the affected fleet, and the time necessary to perform the modifications. In light of all of these factors, the FAA finds that an 18-month compliance time for initiating the proposed actions to be warranted, in that it represents an appropriate interval of time allowable for affected airplanes to continue to operate without compromising safety.

Cost Impact

There are approximately 1,126 airplanes of the affected design in the worldwide fleet. The FAA estimates that 634 airplanes of U.S. registry would be affected by this proposed AD.

It would take approximately 2 work hours per airplane [for 512 Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes] to accomplish the proposed installation of the pipe support and clamps, at an average labor rate of \$60 per work hour. Required parts would cost approximately \$226 per airplane. Based on these figures, the cost impact of this installation proposed by AD on U.S. operators is estimated to be \$177,152, or \$346 per airplane.

It would take approximately 2 work hours per airplane [for 634 Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, and Model MD-88 airplanes] to accomplish the proposed replacement, at an average labor rate of \$60 per work hour. Required parts would cost approximately \$520 per airplane. Based on these figures, the cost impact of this replacement proposed by this AD on U.S. operators is estimated to be \$405,760, or \$640 per airplane.

It would take approximately 14 work hours per airplane (for 22 Model MD-90-30 series airplanes) to accomplish the proposed installation of drain tube assemblies and diverter assemblies, at an average labor rate of \$60 per work hour. Required parts would cost approximately \$4,503 per airplane. Based on these figures, the cost impact of the proposed AD on U.S. operators is estimated to be \$117,546, or \$5,343 per airplane.

The cost impact figures discussed above are based on assumptions that no operator has yet accomplished any of the proposed requirements of this AD action, and that no operator would accomplish those actions in the future if this AD were not adopted.

Regulatory Impact

The regulations proposed herein would not have substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government. Therefore, in accordance with Executive Order 12612, it is determined that this proposal would not have sufficient federalism implications to warrant the preparation of a Federalism Assessment.

For the reasons discussed above, I certify that this proposed regulation (1) is not a "significant regulatory action"

under Executive Order 12866; (2) is not a "significant rule" under the DOT Regulatory Policies and Procedures (44 FR 11034, February 26, 1979); and (3) if promulgated, will not have a significant economic impact, positive or negative, on a substantial number of small entities under the criteria of the Regulatory Flexibility Act. A copy of the draft regulatory evaluation prepared for this action is contained in the Rules Docket. A copy of it may be obtained by contacting the Rules Docket at the location provided under the caption **ADDRESSES**.

List of Subjects in 14 CFR Part 39

Air transportation, Aircraft, Aviation safety, Safety.

The Proposed Amendment

Accordingly, pursuant to the authority delegated to me by the Administrator, the Federal Aviation Administration proposes to amend part 39 of the Federal Aviation Regulations (14 CFR part 39) as follows:

PART 39—AIRWORTHINESS DIRECTIVES

1. The authority citation for part 39 continues to read as follows:

Authority: 49 U.S.C. 106(g), 40113, 44701.

§ 39.13 [Amended]

2. Section 39.13 is amended by adding the following new airworthiness directive:

MCDONNELL DOUGLAS: Docket 99-NM-227-AD.

Applicability: Models and series of airplanes as listed in the applicable McDonnell Douglas service bulletin(s) specified in Table 1 of this AD, certificated in any category.

TABLE 1

Model of airplane	McDonnell Douglas service bulletin(s)
DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes.	MD80-29-056, dated June 18, 1996; MD80-29-062, Revision 01, dated August 3, 1999; and MD80-53-286, dated September 3, 1999.
MD-88 airplanes	MD80-29-062, Revision 01, dated August 3, 1999 and MD80-53-286, dated September 3, 1999.
MD-90-30 series airplanes.	MD90-53-018, dated September 3, 1999.

Note 1: This AD applies to each airplane identified in the preceding applicability provision, regardless of whether it has been modified, altered, or repaired in the area subject to the requirements of this AD. For airplanes that have been modified, altered, or repaired so that the performance of the requirements of this AD is affected, the owner/operator must request approval for an alternative method of compliance in accordance with paragraph (e) of this AD. The request should include an assessment of the effect of the modification, alteration, or repair on the unsafe condition addressed by this AD; and, if the unsafe condition has not been eliminated, the request should include specific proposed actions to address it.

Compliance: Required as indicated, unless accomplished previously.

To prevent hydraulic fluid leakage into the auxiliary power unit (APU) inlet due to fatigue vibration and cracking in the flared radius of a hydraulic pipe in the aft fuselage, which could result in smoke and odors in the passenger cabin or cockpit; accomplish the following:

Installation a Pipe Support and Clamps

(a) For Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, as listed in McDonnell Douglas Service Bulletin

MD80-29-056, dated June 18, 1996: Within 18 months after the effective date of this AD, install a pipe support and clamps on the hydraulic lines in the aft fuselage in accordance with the service bulletin.

Replacement of the Hydraulic Pipe Assembly

(b) For Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, and Model MD-88 airplanes, as listed McDonnell Douglas Service Bulletin MD80-29-062, Revision 01, dated August 3, 1999: Within 18 months after the effective date of this AD, replace the hydraulic pipe assembly in the aft fuselage with a new pipe assembly having a greater wall thickness, in accordance with the service bulletin. Except for Model MD-88 airplanes that have been modified in accordance with McDonnell Douglas MD-80 Service Bulletin 29-54, dated February 2, 1993, or Revision 2, dated December 17, 1993, the requirements of this paragraph must be accomplished concurrently with the requirements of paragraph (a) of this AD.

Installation of Drain Tube Assemblies and Diverter Assemblies

(c) For Model DC-9-81 (MD-81), DC-9-82 (MD-82), DC-9-83 (MD-83), and DC-9-87 (MD-87) series airplanes, as listed in McDonnell Douglas Service Bulletin MD80-53-286, dated September 3, 1999; and Model MD-9-30 series airplanes, as listed in McDonnell Douglas Service Bulletin MD90-53-018, dated September 3, 1999: Within 18 months after the effective date of this AD, install drain tube assemblies and diverter assemblies in the area of the APU inlet, in accordance with the applicable service bulletin.

Spares

(d) As of the effective date of this AD, no person shall install a hydraulic pipe assembly, part number 7936907-603, on any airplane.

Alternative Methods of Compliance

(e) An alternative method of compliance or adjustment of the compliance time that provides an acceptable level of safety may be used if approved by the Manager, Los Angeles Aircraft Certification Office (ACO), FAA, Transport Airplane Directorate.

Operators shall submit their requests through an appropriate FAA Principal Maintenance Inspector, who may add comments and then send it to the Manager, Los Angeles ACO.

Note 2: Information concerning the existence of approved alternative methods of compliance with this AD, if any, may be obtained from the Los Angeles ACO.

Special Flight Permits

(f) Special flight permits may be issued in accordance with sections 21.197 and 21.199 of the Federal Aviation Regulations (14 CFR 21.197 and 21.199) to operate the airplane to a location where the requirements of this AD can be accomplished.

Issued in Renton, Washington, on January 11, 2000.

Donald L. Riggin,

Acting Manager, Transport Airplane Directorate, Aircraft Certification Service.
[FR Doc. 00-1118 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-13-U

DEPARTMENT OF THE INTERIOR

Minerals Management Service

30 CFR Part 206

RIN 1010-AC24

Public Workshop on Proposed Rule—Establishing Oil Value for Royalty Due on Indian Leases

AGENCY: Minerals Management Service, Interior.

ACTION: Notice of Public Workshop.

SUMMARY: The Minerals Management Service (MMS) is giving notice of a public workshop concerning the supplementary proposed Indian oil value rule published in the **Federal Register** on January 5, 2000, (65 FR 403). The proposed rule would amend the royalty valuation regulations for crude oil produced from Indian leases.

DATES: The public workshop will be held in Lakewood, Colorado, on February 8, 2000, beginning at 9 a.m. and ending at 3 p.m., Mountain time.

ADDRESSES: The workshop will be held at the Minerals Management Service, Royalty Management Program, Denver

Federal Center, Auditorium, Building 85, Kipling Street (between 6th Avenue and Alameda Pkwy), Lakewood, CO 80215, telephone number (303) 231-3585.

FOR FURTHER INFORMATION CONTACT: Mr. Peter Christnacht, Royalty Valuation Division, Royalty Management Program, Minerals Management Service, P.O. Box 25165, MS 3151, Denver, Colorado, 80225-0165, telephone number (303) 275-7252; or, Mr. David S. Guzy, Chief, Rules and Publications Staff, Royalty Management Program, Minerals Management Service, P.O. Box 25165, MS 3021, Denver, Colorado 80225-0165, telephone number (303) 231-3432, fax number (303) 231-3385, e-mail David.Guzy@mms.gov.

SUPPLEMENTARY INFORMATION: The workshop will be open to the public in order to discuss the supplementary proposed rule and gather comments. We encourage members of the public to attend this meeting. Those wishing to make formal presentations should sign up upon arrival. The sign-up sheet will determine the order of speakers. For building security measures, each person will be required to sign in and may be required to present a picture identification to gain entry to the meeting.

Dated: January 11, 2000.

Lucy Querques Denett,

Associate Director for Royalty Management.

[FR Doc. 00-1099 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-MR-P

ENVIRONMENTAL PROTECTION AGENCY

40 CFR Part 52

[CA 181-0199; FRL-6525-6]

Disapproval of Implementation Plans; California State Implementation Plan Revision, South Coast Air Quality Management District

AGENCY: Environmental Protection Agency (EPA).

ACTION: Proposed rule.

SUMMARY: The EPA is proposing to disapprove Rule 1623 of the South Coast Air Quality Management District (SCAQMD) which has been submitted as a revision to the State Implementation Plan (SIP). Rule 1623—Credits for Lawn and Garden Equipment provides a mechanism for issuing mobile source emission reduction credits (MSERCs) to entities who voluntarily either sell or replace old engine-powered lawn and garden

equipment with new low- or zero-emission lawn and garden equipment. The EPA is proposing disapproval because Rule 1623 does not meet several federal requirements including the requirement that emission reductions be real, quantifiable, enforceable, and surplus. This action is being taken under section 110 of the Clean Air Act, as amended in 1990 (the Act).

DATES: Comments must be received on or before February 2, 2000.

ADDRESSES: Comments may be mailed to: Air Planning Office, (AIR-2), Air Division, U.S. Environmental Protection Agency, Region IX, 75 Hawthorne Street, San Francisco, CA 94105-3901.

Copies of the rule revisions and EPA's evaluation report of the rule are available for public inspection at EPA's Region 9 office during normal business hours. Copies of the submitted rule revisions are also available for inspection at the following locations:

California Air Resources Board, 2020 L Street, Sacramento, CA 95814
South Coast Air Quality Management District, 21865 E. Copley Drive, Diamond Bar, California 91765-4182

FOR FURTHER INFORMATION CONTACT:

Roxanne Johnson, Air Planning Office (AIR-2), Air Division, U.S. Environmental Protection Agency, Region IX, 75 Hawthorne Street, San Francisco, CA 94105-3901, (415) 744-1225.

SUPPLEMENTARY INFORMATION:

I. Applicability

The rule being proposed for disapproval and exclusion from the California SIP is: South Coast Air Quality Management District (SCAQMD) Rule 1623—Credits for Clean Lawn and Garden Equipment. This rule was submitted by the California Air Resources Board to EPA on August 28, 1996.

II. Background

The Act broadly encourages, and under certain circumstances Title I of the Act mandates, States to develop and facilitate market-based approaches for achieving the environmental goals of the Act for attainment and maintenance of the National Ambient Air Quality Standards (NAAQS), and to meet associated emission reduction milestones. EPA has developed comprehensive guidance and rules (as required by the Act) for States and individual sources to follow in designing and adopting such programs for inclusion in SIPs. The Economic Incentive Program (EIP) Rules (40 CFR part 51, subpart U) provide a broad framework for the development and use

of a wide variety of incentive strategies for stationary, area, and/or mobile sources. One such approach is the generation and trading of emission reduction credits (ERCs), which historically have been allowed under guidance provided in the 1986 Emission Trading Policy Statement (see 51 FR 43631, December 4, 1986). In certain areas where emission control costs for stationary sources may be high relative to mobile source control costs, creating EIPs which allow for the trading of emission reduction credits from mobile sources to stationary sources can be beneficial.

This document addresses EPA's proposed action for SCAQMD Rule 1623—Credits for Clean Lawn and Garden Equipment. SCAQMD adopted Rule 1623 on May 10, 1996.

Rule 1623 provides a mechanism by which stationary source emission and ridesharing requirements (Rule 2202 companies) can be met through the use of volatile organic compound (VOC), oxides of nitrogen (NO_x), carbon monoxide (CO), and particulate matter (PM) emission reductions generated from mobile sources. Any entity interested in participating in Rule 1623 could implement one of three strategies to generate credits: (1) Before January 1, 1999, permanently scrap and replace existing lawn and garden equipment with equipment which meets the 1995 California Emission Standards for Utility and Lawn and Garden Engines; (2) permanently scrap and replace existing gasoline-powered lawn and garden equipment with new low- or zero-emission equipment; or (3) after May 10, 1996 and prior to January 1, 1999, direct sale to an end user of new low-emission lawn and garden equipment, or on or after January 1, 1991, direct sale to an end user of new zero-emission equipment.

Rule 1623 is a voluntary program, and the exact emission reductions are unknown. EPA can only approve Rule 1623 in the SIP, if the reductions are surplus and are quantifiable. Rule 1623 lacks documentation supporting that the implementation of Rule 1623 will result in an accelerated rate of equipment retirement beyond that which would occur from normal retirement and turnover. This is necessary to show that the claimed reductions are in fact surplus.

EPA sent a letter (dated November 5, 1999) to the SCAQMD Executive Officer relaying some of the significant deficiencies in their submitted Rule. Our letter to SCAQMD also restated that SCAQMD may wish to withdraw Rule 1623 from EPA's consideration for inclusion in the SIP under section 110

of the Act while we jointly develop solutions to the issues EPA had identified. The following is EPA's evaluation and proposed action for this rule.

III. EPA Evaluation and Proposed Action

In determining the approvability of a rule, EPA must evaluate the rule for consistency with the requirements of the CAA and EPA regulations, as found in section 110 of the CAA and 40 CFR part 51 (Requirements for Preparation, Adoption, and Submittal of Implementation Plans). The EPA interpretation of these requirements have formed the basis for today's action.

For the purpose of assisting State and local agencies in developing economic incentive programs, EPA prepared guidance applicable to these programs in Subpart U—Economic Incentive Programs, found at 40 CFR 51.490 to 51.494 (EIP). In general, these guidance documents have been set forth to ensure that rules are fully enforceable and strengthen or maintain the SIP. The EIP is based on the underlying requirements of the Act and specifies requirements for these types of programs. EPA released a Draft EIP Guidance document in September 1999 for public comment. The 1994 EIP rule still remains in effect for mandatory ¹ EIPs. When the Draft EIP Guidance is final, it will update the guidance the 1994 EIP rule provides for developing discretionary EIPs.

There is currently no version of SCAQMD Rule 1623—Credits for Clean Lawn and Garden Equipment in the SIP. The submitted Rule includes the following provisions:

- Purpose.
- Applicability.
- Definitions.
- Requirements.
- Issuance of MSERCs.
- Rendering Engines Inoperable.
- MSERC Calculation.
- Use of MSERCs.
- Recordkeeping Requirements.
- Compliance Auditing and Enforcement.
- Requirements for Public Notice.
- Appeal of Disapproval of MSERC Issuance.
- Relationship to Intercredit Trading.

EPA has evaluated the submitted rule and has determined that it is not consistent with the CAA, EPA regulations, and EPA policy. EPA believes Rule 1623 allows much Executive Officer discretion (e.g., Executive Officer may revise the credit

¹ A mandatory EIP is a program that the Clean Air Act requires a State to adopt. A discretionary EIP is a program that a State or Tribe elects to adopt.

life, approves conversion of MSERCs to RTCs, audits files, etc.). Additionally, Rule 1623 did not demonstrate that the implementation of Rule 1623 will result in an accelerated rate of equipment retirement beyond that which would occur from normal retirement and turnover. This is necessary to show that the claimed reductions are in fact surplus. Therefore, SCAQMD Rule 1623—Credits for Clean Lawn and Garden Equipment is being proposed for disapproval under section 110(k)(3) of the CAA as not meeting the requirements of section 110(a) and part D.

EPA's concerns with Rule 1623 which lead to our proposed disapproval are:

- The lack of real, quantifiable, enforceable, and surplus emission reductions generated under the program (see 40 CFR 51.493 and section I.C. of the preamble to the EIP—59 FR 16690–16717, April 7, 1994) being used as substitutes for more credible means of control at stationary sources,
- The lack of a mechanism to review Rule 1623's program effectiveness (see 40 CFR 51.493(f)).

EPA believes that some of these concerns individually are adequate to propose disapproval of Rule 1623; taken together, they compel EPA's action. For a detailed discussion of our concerns, please see the TSD, October, 1999.

This revision is not required by the Act. Therefore, this proposed disapproval action does not impose sanctions for failure to meet Act requirements.

The EPA is soliciting public comment on the proposed action discussed in this document or on other relevant matters. These comments will be considered before taking final action. Interested parties may participate in the Federal rulemaking procedure by submitting written comments to the EPA Regional Office listed in the ADDRESSES section of this document.

As Rule 1623 is a substitute for existing requirements, EPA does not believe that our disapproval of the program will have any effect on air quality in the South Coast Air Basin. Regulated entities which may have been using Rule 1623 to comply with control technology requirements have the opportunity to apply control or otherwise comply directly (in the case of ridesharing requirements) in lieu of purchasing credits generated under Rule 1623.

IV. Administrative Requirements

A. Executive Order 12866

The Office of Management and Budget (OMB) has exempted this regulatory

action from Executive Order 12866, Regulatory Planning and Review.

B. Executive Order 12875

Under Executive Order 12875, Enhancing the Intergovernmental Partnership, EPA may not issue a regulation that is not required by statute and that creates a mandate upon a State, local or tribal government, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by those governments, or EPA consults with those governments. If EPA complies by consulting, Executive Order 12875 requires EPA to provide to the Office of Management and Budget a description of the extent of EPA's prior consultation with representatives of affected State, local and tribal governments, the nature of their concerns, copies of any written communications from the governments, and a statement supporting the need to issue the regulation. In addition, Executive Order 12875 requires EPA to develop an effective process permitting elected officials and other representatives of State, local and tribal governments "to provide meaningful and timely input in the development of regulatory proposals containing significant unfunded mandates." Today's rule does not create a mandate on State, local or tribal governments. The rule does not impose any enforceable duties on these entities. Accordingly, the requirements of section 1(a) of Executive Order 12875 do not apply to this rule.

C. Executive Order 13045

Protection of Children from Environmental Health Risks and Safety Risks (62 FR 19885, April 23, 1997), applies to any rule that: (1) Is determined to be "economically significant" as defined under Executive Order 12866, and (2) concerns an environmental health or safety risk that EPA has reason to believe may have a disproportionate effect on children. If the regulatory action meets both criteria, the Agency must evaluate the environmental health or safety effects of the planned rule on children, and explain why the planned regulation is preferable to other potentially effective and reasonably feasible alternatives considered by the Agency. This rule is not subject to Executive Order 13045 because it does not involve decisions intended to mitigate environmental health or safety risks.

D. Executive Order 13084

Under Executive Order 13084, Consultation and Coordination with Indian Tribal Governments, EPA may

not issue a regulation that is not required by statute, that significantly or uniquely affects the communities of Indian tribal governments, and that imposes substantial direct compliance costs on those communities, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by the tribal governments, or EPA consults with those governments. If EPA complies by consulting, Executive Order 13084 requires EPA to provide to the Office of Management and Budget, in a separately identified section of the preamble to the rule, a description of the extent of EPA's prior consultation with representatives of affected tribal governments, a summary of the nature of their concerns, and a statement supporting the need to issue the regulation. In addition, Executive Order 13084 requires EPA to develop an effective process permitting elected officials and other representatives of Indian tribal governments to provide meaningful and timely input in the development of regulatory policies on matters that significantly or uniquely affect their communities." Today's rule does not significantly or uniquely affect the communities of Indian tribal governments. Accordingly, the requirements of section 3(b) of Executive Order 13084 do not apply to this rule.

E. Regulatory Flexibility Act

The Regulatory Flexibility Act (RFA) generally requires an agency to conduct a regulatory flexibility analysis of any rule subject to notice and comment rulemaking requirements unless the agency certifies that the rule will not have a significant economic impact on a substantial number of small entities. Small entities include small businesses, small not-for-profit enterprises, and small governmental jurisdictions. This final rule will not have a significant impact on a substantial number of small entities because SIP approvals under section 110 and subchapter I, part D of the Clean Air Act do not create any new requirements but simply approve requirements that the State is already imposing. Therefore, because the Federal SIP approval does not create any new requirements, I certify that this action will not have a significant economic impact on a substantial number of small entities. Moreover, due to the nature of the Federal-State relationship under the Clean Air Act, preparation of flexibility analysis would constitute Federal inquiry into the economic reasonableness of state action. The Clean Air Act forbids EPA to base its actions concerning SIPs on such

grounds. *Union Electric Co., v. U.S. EPA*, 427 U.S. 246, 255–66 (1976); 42 U.S.C. 7410(a)(2).

F. Unfunded Mandates

Under section 202 of the Unfunded Mandates Reform Act of 1995 (“Unfunded Mandates Act”), signed into law on March 22, 1995, EPA must prepare a budgetary impact statement to accompany any proposed or final rule that includes a Federal mandate that may result in estimated annual costs to State, local, or tribal governments in the aggregate; or to private sector, of \$100 million or more. Under section 205, EPA must select the most cost-effective and least burdensome alternative that achieves the objectives of the rule and is consistent with statutory requirements. Section 203 requires EPA to establish a plan for informing and advising any small governments that may be significantly or uniquely impacted by the rule.

EPA has determined that the approval action promulgated does not include a Federal mandate that may result in estimated annual costs of \$100 million or more to either State, local, or tribal governments in the aggregate, or to the private sector. This Federal action approves pre-existing requirements under State or local law, and imposes no new requirements. Accordingly, no additional costs to State, local, or tribal governments, or to the private sector, result from this action.

List of Subjects in 40 CFR Part 52

Environmental protection, Air pollution control, Intergovernmental relations, Oxides of nitrogen, Ozone, Particulate matter, Reporting and recordkeeping requirements, Volatile organic compounds.

Authority: 42 U.S.C. 7401–7671q.

Dated: January 7, 2000.

Felicia Marcus,

Regional Administrator, Region IX.

[FR Doc. 00–1090 Filed 1–14–00; 8:45 am]

BILLING CODE 6560–50–P

ENVIRONMENTAL PROTECTION AGENCY

40 CFR Part 52

[TX–100–7390; FRL–6524–4]

Approval and Promulgation of Implementation Plans; Texas; Permitting of New and Modified Sources in Nonattainment Areas

AGENCY: Environmental Protection Agency (EPA).

ACTION: Proposed rule.

SUMMARY: The EPA proposes to approve revisions to the Texas State Implementation Plan (SIP). The revisions concern the permitting of new major sources and major modifications in areas which do not meet the national ambient air quality standards (NAAQS) promulgated by EPA (nonattainment areas). The EPA proposes to approve these revisions to satisfy the provisions of the Clean Air Act (Act) which relate to the permitting of new and modified sources which are located in nonattainment areas.

DATES: Comments must be received on or before February 17, 2000.

ADDRESSES: Written comments should be addressed to Ms. Jole C. Luehrs, Chief, Air Permits Section, at the EPA Region 6 Office listed below. Copies of documents relevant to this action are available for public inspection during normal business hours at the following locations. Anyone wanting to examine these documents should make an appointment with the appropriate office at least two working days in advance.

Environmental Protection Agency, Region 6, Air Planning Section (6PD–L), 1445 Ross Avenue, Dallas, Texas 75202–2733.

Texas Natural Resource Conservation Commission, Office of Air Quality, 12124 Park 35 Circle, Austin, Texas 78753.

FOR FURTHER INFORMATION CONTACT:

Stanley M. Spruiell of EPA Region 6 Air Permits Section at (214) 665–7212 at the address above, or at spruiell.stanley@epa.gov.

SUPPLEMENTARY INFORMATION:

Throughout this document, wherever we, us, or our are used, we mean EPA.

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I. General Overview of The Texas Nonattainment Permitting Regulations

We propose to approve the recodification of and revisions to the Texas SIP relating to revisions to Title 30, Texas Administrative Code (TAC) Chapter 116, “Control of Air Pollution by Permits for New Construction or Modification,” as indicated in Table 1 below:

TABLE 1.—SIP REGULATIONS SUBMITTED BY TEXAS TO EPA

Section in 30 TAC chapter 116	Title/(Subject)
116.12	Nonattainment Review Definitions.
116.150	New Major Source or Major Modification in Ozone Nonattainment Area.
116.151	New Major Source or Major Modification in Nonattainment Area Other than Ozone.
116.170	Applicability for Reduction Credits.
116.170(1)	(Emission reductions not required by State Implementation Plan or other Federal requirements).

TABLE 1.—SIP REGULATIONS SUBMITTED BY TEXAS TO EPA—Continued

Section in 30 TAC chapter 116	Title/(Subject)
116.170(3)	(Offset provisions for emission increases from rocket engine or motor firing).

This proposal includes portions of revisions submitted by the Governor of Texas to EPA on the following dates:

- August 31, 1993
- November 1, 1995
- July 18, 1996
- April 13, 1998
- March 16, 1999

We are taking this rulemaking action under sections 110, 301 and part D of

the Act. As explained in the following section, we are acting only on those parts of these submittals which relate to permitting sources in nonattainment areas.

A. What Are We Proposing To Approve in This Action?

We propose to approve regulations submitted by Texas that satisfy

provisions of the Act that pertain to permitting major sources and major modifications in areas in Texas that do not meet the ambient air quality standards adopted by EPA.

Table 2 below identifies the regulations that we propose to approve:

TABLE 2.—REGULATIONS THAT EPA PROPOSES TO APPROVE

Recodified 30 TAC chapter 116	Submittal dates of recodified section	Title or description	Former rule
116.12	August 31, 1993	Nonattainment Review Definitions	101.1.
	July 18, 1996		
	April 13, 1998		
	March 16, 1999		
116.150	August 31, 1993	New Major Source or Major Modification in Ozone Nonattainment Areas	116.3(a)(7) and (8).
	November 1, 1995		
	April 13, 1998		
	March 16, 1999		
116.151	August 31, 1993	New Major Source or Major Modification in Nonattainment Area Other than Ozone.	116.3(a)(10).
	April 13, 1998		
116.170	August 31, 1993	Applicability for Reduction Credits	116.3(c).

We propose to approve only those provisions of the individual SIP submittals which relate to the permitting sources in nonattainment areas. We will act on the remaining provisions in a separate action.

B. Who Is Affected by This Action?

These State regulations apply to each owner and/or operator who constructs or modifies a stationary source in a nonattainment area in Texas if the stationary source is major for the air

pollutant for which the area is nonattainment. A stationary source is major if it emits, or has the potential to emit, the nonattaining pollutant, or precursor thereto, in amounts greater than the major source threshold for the nonattaining pollutant.

C. What Are the Major Source Thresholds for Nonattainment Pollutants?

The major source threshold varies, depending on the pollutant and the

classification of the nonattainment area. Any owner or operator who proposes to construct a major stationary source must obtain a permit which complies with the regulations that we are proposing to approve herein. Table 3 below lists the major source threshold for each pollutant.

TABLE 3.—MAJOR SOURCE THRESHOLDS

Pollutant: Classification	Major source threshold	Where specified in the Act
Ozone:		
marginal	100 TPY	Section 302(j)
moderate	100 TPY	Section 302(j)
serious	50 TPY	Section 182(c)
severe	25 TPY	Section 182(d)
CO:		
Moderate	100 TPY	Section 302(j)
Serious	50 TPY	Section 187(c)(1)
PM-10:		
Moderate	100 TPY	Section 302(j)
Serious	70 TPY	Section 189(b)(3)
SO ₂	100 TPY	Section 302(j)
NO _x	100 TPY	Section 302(j)
Lead	100 TPY	Section 302(j)

Table 3 refers to classifications for areas designated nonattainment for ozone, carbon monoxide (CO), and particulate matter less than 10 micrometers (PM-10). These nonattainment classifications are defined in the Act as follows:

- Section 181(a) defines five area classifications for ozone. These five classifications are marginal, moderate, serious, severe, and extreme. Texas has no extreme ozone nonattainment areas and does not address such areas in its regulations.

- Section 186(a) defines two area classifications for CO. These two classifications are moderate and serious.

- Section 188 defines two area classifications for PM-10. These two classifications are moderate and serious. A detailed description of the individual area classifications for ozone, CO, and PM-10 nonattainment areas is contained in EPA's General Preamble for the Implementation of Title I of the 1990 Amendments, 57 FR 13498 (April 16, 1992).

D. What is a Major Modification?

A major modification is any physical change, or change in the method of

operating a major stationary source which significantly increases net emissions of the air pollutant, or precursor, for which the area is nonattainment and which the source is a major source before the modification.

Any owner or operator who proposes a major modification must obtain a permit that complies with the regulations that we are proposing to approve. Table 4 below lists the significance level for each pollutant which is used in determining whether a net emissions increase is a major modification.

TABLE 4.—SIGNIFICANCE LEVELS FOR MAJOR MODIFICATIONS

Pollutant: Classification	Significance level	Where specified in the Act or Regulations
Ozone:		
Marginal	40 tons per year (TPY)	40 CFR 51.165(a)(x)
Moderate	40 TPY	40 CFR 51.165(a)(x)
Serious	25 TPY	Section 182(c)(6) of the Act
Severe	25 TPY	Section 182(c)(6) of the Act
CO:		
Moderate	100 TPY	40 CFR 51.165(a)(x)
Serious	50 TPY	(a)
PM-10:		
Moderate	15 TPY	(a)
Serious	15 TPY	(a)
SO ₂	40 TPY	40 CFR 51.165(a)(x)
NO _x	40 TPY	40 CFR 51.165(a)(x)
Lead	0.6 TPY	40 CFR 51.165(a)(x)

^a No significance level is specified in the Act nor in the regulations. The significance levels specified in Table 3 are the significance levels the we approved for Texas on September 27, 1995 (60 FR 49781).

E. What Are the Requirements for Permitting New and Modified Sources in Nonattainment Areas?

The Act sets out the air quality planning requirements for

nonattainment NSR in part D of title I. We have issued a "General Preamble" which describes our preliminary views for reviewing SIPs and SIP revisions submitted under part D.¹ This includes SIP submittals with nonattainment area

permitting requirements in section 173 of the Act. Table 5 below identifies these requirements and how Texas addresses the requirements in its revised regulations.

TABLE 5.—SUMMARY OF REQUIREMENTS FOR PERMITTING MAJOR SOURCES AND MAJOR MODIFICATIONS IN NONATTAINMENT AREAS

The Act Citation and description of requirement	Where addressed in recodified State Regulation	Former State regulation before recodification ^a
§ 173(a)(1)(A). Base emissions offsets on the same emissions baseline used in the demonstration of reasonable further progress.	§ 116.150(a)(4); § 116.151(3)	§ 116.3(a)(7)(C); § 116.3(a)(10)(D)
§ 173(a)(2). Apply Lowest Achievable Emission Rate (LAER)	§ 116.150(a)(1); § 116.151(1)	§ 116.3(a)(7)(A); § 116.3(a)(10)(A)
§ 173(a)(3). Demonstrate that all other major stationary sources under the same ownership or operation in the State are complying with the Act.	§ 116.150(a)(2); § 116.151(2)	§ 116.3(a)(7)(B); § 116.3(a)(10)(B)
§ 173(a)(4). State cannot issue a permit if the EPA Administrator finds that the State is not adequately enforcing the provisions of the applicable implementation plan for the nonattainment area in which the source proposes to construct or modify.	The EPA has made no such determination for Texas. If EPA makes this determination in the future, EPA will address this matter with Texas at that time.	
§ 173(a)(5):		

¹ See 57 FR 13498 (April 16, 1992) and 57 FR 18070 (April 28, 1992).

TABLE 5.—SUMMARY OF REQUIREMENTS FOR PERMITTING MAJOR SOURCES AND MAJOR MODIFICATIONS IN NONATTAINMENT AREAS—Continued

The Act Citation and description of requirement	Where addressed in recodified State Regulation	Former State regulation before recodification ^a
- Analyze alternative sites, sizes, production processes, and environmental control techniques for proposed sources - Demonstrate that the benefits of the proposed source significantly outweigh the environmental and social costs associated with its location, construction, or modification	§ 116.150(a)(4); § 116.151(4)	§ 116.3(a)(7)(D); § 116.3(a)(10)(E)
§ 173(b) Prohibits use of growth allowance included in a SIP prior to the Act Amendments of 1990 in an area which receives notice that such plan is substantially inadequate.	Not Applicable	Not Applicable
§ 173(c)(1). A sources may obtain offsets in another nonattainment area under the following conditions: - The area in which the offsetting reductions originate has an equal or higher nonattainment classification, and - The emissions from the nonattainment area where the offsetting reductions originate will contribute to a National Ambient Air Quality Standards (NAAQS) violation in the area in which the source would construct.	§ 116.150(a)(3); § 116.151(3)	§ 116.3(a)(7)(C); § 116.3(a)(10)(D)
§ 173(c)(1). A new or modified major stationary source must offset a proposed emissions increase with real reductions in actual emissions.	§ 116.150(a)(3); § 116.151(3); § 116.12(14)—Definition of "Offset ratio".	§ 116.3(a)(7)(C); § 116.3(a)(10)(D)
§ 173(c)(2). Must not use emission reductions otherwise required by the Act	§ 116.170(1)	§ 116.3(c)(1)
§ 173(e). A State may allow any existing or modified source that tests rocket engines or motors to use alternative or innovative means to offset emissions increases from firing and related cleaning. ^b	§ 116.170(3)	§ 116.3(c)(3)

^aAll Sections cited in this column are Sections that EPA approved on September 27, 1995 (60 FR 49781).

^bThis type of source may use alternative or innovative offsetting if it satisfies the following conditions:

(a) the proposed modification is for expansion of a facility already permitted for such purposes as of November 15, 1990;

(b) the source has used all available offsets and all reasonable means to obtain offsets and sufficient offsets are not available;

(c) the source has obtained a written finding by the appropriate, sponsoring Federal agency that the testing is essential to national security; and

(d) the source will comply with an alternative measure designed to offset any emissions increases not directly offset by the source.

The Act further provides an alternative to the above. The permitting authority may require an emission fee amounting to no more than 1.5 times the average cost of stationary control measures adopted in that area during the previous three years.

II. Review of Texas' Regulations for Permitting Major Sources and Major Modifications in Ozone Nonattainment Areas

A. What Does the Current Texas SIP Require?

We approved the Texas SIP for permitting major sources and major modifications in ozone nonattainment areas on September 27, 1995 (60 FR 49781). We approved the regulations after we determined that they meet the

requirements of title I, part D, subpart 2 of the Act.

The current SIP addresses ozone nonattainment area permitting in section 116.3(a)(7). This section includes the provisions described in Table 5 of this preamble and meets the requirements of sections 173 and 182 of the Act.

Section 182 of the Act provides special provisions for ozone nonattainment areas. This section

specifies individual major source thresholds for marginal, moderate, serious, severe and extreme ozone nonattainment areas. See Table 3 in section I.C of this preamble for a list of the individual major source thresholds.

Section 182 also specifies the offset ratios that are required for marginal, moderate, serious, severe and extreme ozone nonattainment areas. Table 6 below lists the applicable offset ratio for each type of ozone nonattainment area.

TABLE 6.—OFFSET RATIOS FOR EACH TYPE OF OZONE NONATTAINMENT AREA

Ozone nonattainment classification	Offset ratio	Clean Air Act citation for offset ratio
marginal	1.10 to 1	Section 182(a)(4).
moderate	1.15 to 1	Section 182(b)(5).
serious	1.20 to 1	Section 182(c)(10).
severe	1.30 to 1	Section 182(d)(2).
Extreme	1.50 to 1	Section 182(e)(1).

The current SIP includes major source thresholds and the offset ratios in Table I of Section 116.12. In Table I, the applicable offset ratio of volatile organic compounds (VOC) or NO_x is the same as required by the above stated sections of the Act.

Finally, the current SIP includes provisions pertaining to the use of emission reduction credits as offsets and special provisions for offsetting emissions increases at facilities which test rocket engines and motors in section 116.3(c)(1) and (3).

B. What SIP revisions did Texas submit?

Texas recodified Chapter 116 and submitted the recodified regulation to EPA in August 31, 1993. The recodified regulation also revised Texas' provisions for implementing section 182(c)(6) of the Act.

Subsequent to the recodification, Texas submitted revisions to waive the requirement to address NO_x as a precursor to ozone on November 1, 1995; July 18, 1996; and April 13, 1998. On April 13, 1998, Texas submitted a revision to further modify its provisions for implementing section 182(c)(6) and to incorporate the provisions of sections 182(c)(7) and (8) of the Act.

Texas also submitted revised definitions of “major modification,” “net emissions increase,” and “potential to emit”; and submitted new definitions for “*de minimis threshold test*,” “offset ratio,” “project net,” and “stationary source”

We will discuss the Texas nonattainment permitting provisions as outlined below:

- Section C discusses Texas’ plan to implement the NO_x waivers approved by EPA under section 182(f) of the Act,
- Section D discusses Texas’ regulation for implementing section 182(c)(6), (7) and (8) of the Act, and
- Section E discusses the new and revised nonattainment permitting definitions.

C. Summary of Texas 182(f) NO_x Waivers

1. What Does Section 182(f) of the Act Require?

Section 182(f) sets forth the presumption that NO_x is an ozone precursor unless the Administrator makes a finding of nonapplicability or grants a waiver pursuant to criteria contained therein. Specifically, section 182(f) provides that requirements applicable for major stationary sources of VOC shall apply to major stationary sources of NO_x, unless otherwise determined by the Administrator, based upon certain determinations related to the benefits or contribution of NO_x control to air quality, ozone attainment, or ozone air quality.

2. Did We Approve NO_x waivers in Texas?

We approved petitions submitted by Texas under section 182(f) to waive NO_x provisions in Texas, as follows:

- On November 28, 1994, we conditionally approved two petitions from Texas, each dated June 17, 1994. This action exempted Dallas-Fort Worth (DFW)² and El Paso (ELP)³ ozone nonattainment areas from NO_x control

requirements of section 182(f) of the Act. See 59 FR 60709.

- On April 19, 1995, we approved a petition from Texas dated August 17, 1994. This action temporarily exempted the Houston-Galveston (HGA)⁴ and Beaumont-Port Arthur (BPA)⁵ ozone nonattainment areas from the NO_x control requirements of section 182(f) of the Act. These temporary exemptions expired December 31, 1996. See 60 FR 19515.

- On May 23, 1997, we approved a petition from Texas dated March 8, 1996, to extend the NO_x waiver in HGA and BPA until December 31, 1997. See 62 FR 28344.

- On April 20, 1999, we approved a petition from Texas dated November 13, 1998, to rescind the conditional NO_x exemption for the DFW ozone nonattainment area. Texas petitioned for rescission of the exemption after EPA reclassified DFW from a moderate ozone nonattainment area to a serious ozone nonattainment area. The modeling for this serious ozone nonattainment area SIP shows that control of NO_x sources will help the area to attain the air quality standard for ozone. See 64 FR 19283.

3. What Is the Current Status of Texas NO_x Waivers?

On December 31, 1997, the NO_x waiver in HGA and BPA expired. On February 12, 1998, we published a document in the **Federal Register** concerning Texas’ decision not to petition for further extension of the NO_x exemption in the HGA and BPA areas. See 63 FR 7071. Since the extension of the temporary exemption expired on December 31, 1997, the State must implement the numerous requirements relating to NO_x in the HGA and BPA areas. Accordingly, any NSR permits that Texas had not deemed to be complete prior to January 1, 1998, must comply with the NO_x NSR requirements, consistent with the policy set forth in the EPA’s NSR Supplemental Guidance memorandum dated September 3, 1992, from John Seitz, Director, EPA’s Office of Air Quality Planning and Standards.

On February 18, 1998, we published our finding that the DFW nonattainment area has not attained the 1-hour ozone NAAQS by the applicable attainment date in the Act for moderate ozone nonattainment areas, November 15, 1996. We based the finding on the review of monitored air quality data

from 1994 through 1996 for compliance with the 1-hour ozone NAAQS. As a result of this finding, the DFW ozone nonattainment area was reclassified by operation of law as a serious ozone nonattainment area, effective March 20, 1998. Texas was required to submit a new SIP, no later than March 20, 1999, addressing attainment of that standard by November 15, 1999. Texas submitted a revised plan on March 16, 1999, in satisfaction of this requirement.

In its revised plan, Texas again recognizes NO_x as an ozone precursor in the DFW nonattainment area. Texas also forwarded a petition to us on November 13, 1998, requesting that we withdraw the waiver for NO_x that we had approved on November 28, 1994, for the DFW nonattainment area. On April 20, 1999, we approved this petition and reinstated NO_x as an ozone precursor in the DFW nonattainment area.

4. Texas Rule Changes To Accommodate Section 182(f) NO_x Waivers

Texas submitted the following SIP revisions to incorporate the section 182(f) NO_x waivers and subsequent reinstatement for NO_x as an ozone precursor:

- On November 1, 1995, Texas submitted revisions to section 116.150 to implement the NO_x waivers approved for the DAL, ELP, HGA, and BPA ozone nonattainment areas. On July 18, 1996, Texas, submitted revisions to Table I in section 116.12⁶ to remove NO_x as an ozone precursor, consistent with EPA’s approval of the NO_x waivers.

- On April 13, 1998, Texas submitted revisions to sections 116.12 (Table I) and 116.150(c), to reinstate NO_x as an ozone precursor in the HGA and BPA areas following the expiration of the temporary waivers for those areas on December 31, 1997.

- On March 16, 1999, Texas submitted revisions to sections 116.12 (definition of “major modification” and Table I) and 116.150(b), to reinstate NO_x as an ozone precursor in the DFW area.

The above described revisions to section 116.150 are discussed in the following paragraphs.

- a. What are Texas’ provisions for addressing NO_x Waivers in DFW and ELP? Texas addresses the NO_x waivers for DFW and ELP in section 116.150(b) submitted November 1, 1995. Section 116.150(b) is consistent with the NO_x

⁶ Table I of section 116.12 specifies the various classifications of nonattainment along with the associated emission levels which designate a major modification for those areas. A detailed discussion of the changes to Table I is included in section of the preamble describing the submitted definition of “major modification.”

² Includes the following Texas counties: Collin, Dallas, Denton, and Tarrant Counties in Texas

³ Includes El Paso County in Texas.

⁴ Includes the following Texas counties: Brazoria, Chambers, Fort Bend, Galveston, Harris, Liberty, Montgomery, and Waller.

⁵ Includes the following Texas counties: Hardin, Jefferson, and Orange Counties.

waiver approved by EPA on November 28, 1994. Following the redesignation of DFW to a serious ozone nonattainment area, Texas revised section 116.150(b) to revoke applicability of the NO_x waiver in DFW. As revised, section 116.150(b) now only identifies ELP as the only area in Texas where a section 182(f) waiver continues to apply. Texas submitted these revisions to section 116.150(b) on March 16, 1999.

b. What are Texas' provisions for addressing NO_x Waivers in HGA and BPA? Texas addresses the NO_x waivers for HGA and BPA in section 116.150(c) submitted November 1, 1995. This Section temporarily removes the requirements relating to NO_x emissions (as an ozone precursor) in these areas.

Section 116.150(c) exempts NO_x from otherwise applicable nonattainment area permitting requirements⁷ (except for NO_x offsets). The requirements for obtaining NO_x offsets continue to apply, and will be included in the source's permit. However, the requirement to obtain such offsets is held in abeyance until January 1, 1998.

Section 116.150(c) further requires a source to document any proposed increase of NO_x equal to or greater than 40 TPY and submit documentation of netting calculations associated with the proposed increase, and the source must otherwise comply with the requirements of sections 116.150(a)(1)–(4). The requirements of sections 116.150(a)(1)–(4) are discussed in sections I.C and II.D of this preamble.

Texas submitted further revisions to section 116.150(c) on April 13, 1998. This submittal reinstates the NSR requirements for NO_x in HGA and BPA, effective January 1, 1998. The submittal further provides that sources with NO_x offsets in the HGA and BPA areas held in abeyance shall obtain the required NO_x offsets no later than January 1, 2000.

The provisions of section 116.150(b) and (c), submitted November 1, 1995; and revisions submitted April 13, 1998, and March 16, 1999; are consistent with the NO_x waivers approved by EPA for DFW, ELP, HGA, and BPA on November 28, 1994; April 19, 1995; and May 23, 1997; pursuant to section 182(f) of the Act. The revisions submitted April 13, 1998, reinstate the NO_x requirements in HGA and BPA consistent with the December 31, 1997, expiration of the NO_x waiver in those areas. The

revisions submitted March 16, 1999, reinstate the NO_x requirements in DFW.

D. Texas' NSR Provisions for Implementing Special Provisions for Ozone Nonattainment Area Permitting Under Sections 182(c)(6), (7), and (8).

Sections 182(c)(6), (7), and (8) of the Act apply in serious and severe ozone nonattainment areas.⁸ Section 182(c)(6) sets forth procedures for determining whether a physical or operational change at an existing major stationary source would be subject to the nonattainment area permit requirements. Section 182(c)(7) and (8) establish special provisions for permitting sources if the source internally offsets its proposed increase resulting from a major modification. Following is a discussion of how Texas' regulations meet the provisions of sections 182(c)(6), (7), and (8) of the Act.

Section 1 below addresses the *de minimis* rule in section 182(c)(6) of the Act. Section 2 addresses the special provisions in sections 182(c)(7) and (8) of the Act.

1. The *De Minimis* Rule in Section 182(c)(6) of the Act

a. What is the *de minimis* rule?

Section 182(c)(6) of the Act applies in serious and severe ozone nonattainment areas. It specifies an approach for determining whether a proposed modification is subject to nonattainment NSR.¹⁰ It states that increased emissions of VOC (and presumably NO_x) resulting from any modification of a major stationary source:

“ . . . shall not be considered *de minimis* for purposes of determining the applicability of the permit requirements established by this chapter unless the increase in net emissions of such air pollutant from such source does not exceed 25 tons when aggregated with all other net increases in emissions from the source over any period of 5 consecutive calendar years which includes the calendar year in which such increase occurred . . . ”

⁸ Section 181(a) defines five area classifications for ozone based on ambient ozone concentrations (ozone design values). These five classifications (in ascending order of severity) are marginal, moderate, serious, severe, and extreme.

A detailed description of the individual area classifications for ozone nonattainment areas is contained in the EPA's General Preamble for the Implementation of Title I of the 1990 Amendments.

⁹ Subsection 182(c) of the Act, including paragraphs (6), (7), and (8) therein, sets forth special provisions applicable in serious ozone nonattainment areas. Subsection 182(d) of the Act incorporates the provisions of subsection 182(c) as applicable requirements for severe ozone nonattainment areas.

¹⁰ A thorough analysis of the *de minimis* rule in section 182(c)(6) and EPA's interpretations of this section is contained in the proposed NSR reform rulemaking published July 23, 1996 (61 FR 38298).

This provision changes the process for determining applicability at existing major sources as follows:

- It changes the significance level for VOC emissions from 40 TPY to “greater than 25 TPY,” i.e., 25 TPY or less is *de minimis*.
- It specifies a slightly different “contemporaneous” period, and
- It departs from the “non-aggregation” policy¹¹ to require netting over the contemporaneous period in all instances where there is a net increase in emissions from the proposed modification standing alone.

Neither the Act itself nor the current Federal regulation defines what constitutes a “net increase” as provided in the *de minimis* rule. However, in the proposed NSR reform rulemaking (see footnote 10), we proposed a procedure for determining the net increase in emissions under section 182(c)(6) and applicability of the *de minimis* rule. Under this proposal, a source determines applicability of nonattainment new source review (NNSR) as follows:

(1) It determines the “increase in net emissions” from the proposed modification. The net emissions from the proposed modification (referred to here as the “project net”) is the sum of all proposed creditable emissions increases and decreases proposed at the source between: (A) the date of application for the modification and (B) the date the modification begins emitting. An increase or decrease is creditable if it meets the criteria described in 40 CFR 51.165(a)(1)(vi).

(2) If the project net is an emissions increase, then the source aggregates the project net emissions increase with all other “net increases in emissions from the source” over a period of five consecutive calendar years which includes the year in which the source increase occurs. We refer to this aggregation as the contemporaneous net. If the contemporaneous net increase is greater than 25 TPY, then the proposed modification is subject to NNSR. (The

¹¹ EPA's nonaggregation policy provides that a proposed modification resulting in a *de minimis* increase is not major. This applies when the proposed increase in emissions standing alone without considering any decreases associated with the proposed modification is less than the applicable significance threshold. See Table 4 for a list of the significance thresholds. In such case, a source does not consider previous contemporaneous emission increases and decreases to determine if its proposed project is major. This policy is discussed in detail in an EPA memorandum dated June 3, 1983 entitled “Net Emission Increase Under PSD” from Sheldon Myers, Director, Office of Air Quality Planning and Standards. Section 182(c)(6) of the Act is a departure from this interpretation.

⁷ Section 116.150(c) exempts NO_x from the application of lowest achievable emission rate, statewide compliance by all sources under common control with the applicant, and alternate site analysis, which are otherwise required by section 116.150(a)(1), (2), and (4), respectively.

“contemporaneous period” is discussed in greater detail in section II.D.3.)

b. *How does the current Texas SIP address the de minimis rule?* On September 27, 1995 (60 FR 49781), we approved revisions to Texas Chapter 116—“Control of Air Pollution by Permits for New Construction or Modification” which included provisions pertaining to permitting major sources and major modifications in nonattainment areas. We approved these revisions based upon our determination that they satisfy the provisions of title I, part D of the Act.

The Texas SIP currently incorporates the *de minimis* rule as codified in the Act. As approved, the *de minimis* rule applies in moderate, serious, and severe ozone nonattainment areas in Texas. Under the current SIP-approved rule when a source proposes a physical or operational change at an existing major source it must determine the contemporaneous net emissions increase. The source makes this determination by aggregating the proposed increase with all other creditable increases and decreases during the previous five calendar years, including the calendar year of the proposed change.

A source must currently undergo NNSR if the contemporaneous net increase in VOC or NO_x equals or exceeds 40 TPY in moderate ozone nonattainment areas or 25 TPY of VOC or NO_x in serious and severe ozone nonattainment areas. See 30 TAC section 101.1 (definition of “*de minimis* threshold”), section 116.3(a)(7), and Table I in section 116.12.

c. *What changes did Texas make to its de minimis rule?* On August 31, 1993, Texas submitted a recodification of and revisions to Chapter 116 to EPA. The recodification and revisions submitted April 13, 1998, include provisions which implement the *de minimis* rule.

As submitted, Texas made two changes to section 116.150 (formerly section 116.3a(7)) which relate to the *de minimis* rule in section 182(c)(6) of the Act. These changes are:

- (1) The proposed project triggers contemporaneous netting (the “netting trigger”) unless at least one of the following conditions are met:
 - the proposed increase is less than five TPY without consideration of other decreases at the source, or
 - the “project net”¹² is zero or less.

(2) Texas specifies a different contemporaneous time period over which a source may aggregate creditable

increases and decreases to determine its contemporaneous net emission increase.

On the basis of information gathered in 1995, we believe that the submitted regulation meets the *de minimis* requirements of section 182(c)(6) of the Act, even with provisions that are not verbatim to the Act. The basis for this conclusion is discussed in the following sections of this preamble. Section 2 addresses the five TPY netting trigger and section 3 addresses the contemporaneous period.

2. Texas Five TPY Netting Trigger

a. *How does a source trigger contemporaneous netting under Texas’ regulations?* As submitted August 31, 1993, section 116.150(a) requires the *de minimis* threshold test (which includes contemporaneous netting) for all proposed VOC and NO_x emission increases that equal or exceed five TPY in moderate, serious, and severe ozone nonattainment areas. On April 13, 1998, Texas submitted revisions to sections 116.12 and 116.150 to include a second netting trigger based upon the “project net.” The April 13, 1998, submittal also revised section 116.12 to add a new definition of “project net” (section 116.12(16) consistent with EPA’s policy as described in the NSR reform proposal. This revision provides a second netting trigger. A source may trigger contemporaneous netting on the basis of any increase in the “project net.” Texas defines the project net as the total increase in emissions resulting from a proposed physical or operational change at a stationary source minus any creditable source wide decreases proposed at the source between the date of application for the modification and the date the resultant modification begins emitting. If the project net is an increase, then the source aggregates the project net with all other creditable increases and decreases in emissions from the source over the contemporaneous period to determine the “contemporaneous net.” As revised, section 116.150 now provides that a proposed project triggers contemporaneous netting unless the project results in either: (1) less than five TPY increase from the proposed project or (2) no increase in project net.

b. *Does the five TPY netting trigger meet the Act?* As adopted by Texas, the five TPY netting trigger is the sum of all increases which occur as the result of the proposed project without consideration (unlike the Federal counterpart) of any decreases. If these project increases equal or exceed five TPY, the source must perform contemporaneous netting, unless the project net is zero or less. For reasons

below, we conclude that the Texas five TPY netting trigger meets the Act.

Under *Alabama Power Company v. Costle*, 636 F.2d 323 (D.C. Cir. 1979), the court held that we have the authority to recognize and exempt inconsequential or trivial increases except where Congress has unambiguously expressed an intention to preclude them. As discussed in the proposed NSR reform rulemaking, we have determined that the term “net increase” in this context is ambiguous. We believe that Texas has met its burden of demonstrating that the netting trigger of a five TPY increase irrespective of decreases would “yield a gain on trivial or no value,” *id.* at 357 and is appropriate to exempt as *de minimis*. As explained below, the particular circumstances of this case demonstrate why this increase meets the Act’s *de minimis* rule.

In June 1995, we reviewed several permits issued by Texas in the Houston/Galveston area (a severe ozone nonattainment area) to assess Texas’ five TPY netting trigger comparing it to the project net which triggers the requirement to perform contemporaneous netting. In this study, we evaluated which projects triggered contemporaneous netting under Texas’ five TPY trigger to those which triggered contemporaneous netting based upon the project net increase. The study revealed that all projects which triggered contemporaneous netting under the project net would have triggered contemporaneous netting under the five TPY increase.

The data reviewed in 1995 indicate that the five TPY netting trigger meets the *Alabama Power* test and thus the statutory project net. Facts which indicate this conclusion are discussed below.

- The data show that it is unlikely that a source will be able to indefinitely schedule projects with less than five TPY increases. A project with a five TPY increase is an extremely small project. It would be impractical for a source to indefinitely avoid nonattainment NSR by constructing a series of projects less than five TPY.

- If a source triggers the requirement to perform contemporaneous netting, it must include all creditable increases and decreases in the calculation of the contemporaneous net emissions increase. This includes any emission increases less than five TPY which did not undergo nonattainment NSR.

- The increases are inherently conservative. This is evident when one examines the procedure for calculating the creditable increases of a particular change. This creditable increase is the change:

¹² Texas submitted a revision on April 13, 1998, to include a provision to trigger contemporaneous netting on the basis of any increase in “project net.”

- From the old level of actual emissions
- To the new potential to emit (PTE) or the new allowable emission rate, whichever is lower.

This is known as the “actual to potential” method for determining the creditable increase. Typically, an emissions unit’s actual emissions is less than its PTE because the unit does not actually operate at maximum production rate for an entire year. Thus the actual increase is less than the creditable increase. The creditable increase consequently represents a “worst case” scenario which the source cannot exceed without violating its permit.

No matter how insignificant, the structure of the Texas program necessarily requires the State to quantify and track these increases for they remain perpetually within the contemporaneous window. Thus the State assures compliance with the NAAQS. Further, these increases are counted as minor source growth under section 173(a)(1)(A) of the Act.

- Finally, we have approved a similar five TPY netting trigger in Louisiana’s nonattainment SIP. Louisiana’s nonattainment regulations apply in the Baton Rouge Area, a serious ozone nonattainment area. The *de minimis* provisions of section 182(c)(6) of the Act apply to this area. Louisiana’s regulations likewise trigger contemporaneous netting whenever a major source of VOC equals or exceeds five TPY. We approved this regulation after careful consideration of all aspects

of its regulations, including the five TPY netting trigger. See 62 FR 52948, published October 10, 1997.

These facts form the basis for the conclusion that the five TPY netting trigger adopted by Texas is equivalent to and satisfies the requirement of section 182(c)(6) of the Act and therefore meets the Act.

3. Texas Definition of “Contemporaneous Period” under Section 182(c)(6) of the Act

a. What is the contemporaneous period in section 182(c)(6) of the Act? Section 182(c)(6) of the Act provides that a particular physical change or change in the method of operation is *de minimis* only if the increase in net emissions of VOC or NO_x resulting from such project does not exceed 25 TPY when aggregated with all other net increases in emissions of VOC or NO_x from the source over any period of five consecutive calendar years which includes the calendar year in which such increase occurred.

b. What is the contemporaneous period in the current Texas SIP? The currently approved SIP addresses the applicable contemporaneous period in the definition of “*de minimis* threshold” in section 101.1 of the General Rules, Table I of section 116.12, and in section 116.3(a)(7) of Chapter 116. The SIP requires the following:

—Section 101.1 defines the term “*de minimis* threshold” as an emission level determined by aggregating the proposed increase with all other creditable increases and decreases during the

previous five calendar years, including the calendar year of the proposed change. The total of this aggregation is *de minimis* if it is less than the applicable major modification level (in TPY) for the specific nonattainment area.

—Section 116.3(a)(7) requires—a source to apply the *de minimis* threshold test to any proposed increase of VOC or NO_x in moderate, serious, and severe ozone nonattainment areas.

—The *de minimis* test thresholds are the same as the major modification levels stated in Table I, but aggregated over the applicable five-year netting period.

—The source must evaluate past net increases even when the proposed increase is below the major modification level.

—Table I of section 116.12 specifies the various classifications of nonattainment along with the associated emission levels which designate a major modification for those areas. Table I specifies the *de minimis* thresholds as 40 TPY of VOC in marginal and moderate ozone nonattainment areas and 25 TPY of VOC in serious and severe ozone nonattainment areas. We approved these provisions on September 27, 1995.

c. What changes did Texas make to its contemporaneous period? As submitted August 31, 1993, Texas defined the term “contemporaneous period” as described in the Table 7 below:

TABLE 7. DESCRIPTION OF TEXAS’ CONTEMPORANEOUS PERIODS

Pollutant	Contemporaneous period begins	Contemporaneous period ends
If source has PTE less than 250 TPY		
VOC	Five years before commencement of construction	Date that new or modified source begins operation.
NO _x	Latter of	Date that new or modified source begins operation.
	—November 15, 1992, or	
	—Five years before commencement of construction	
If source has PTE equal to or greater than 250 TPY		
VOC	The earlier of	Date that new or modified source begins operation.
	—Five years before commencement of construction	
	—November 15, 1992	
NO _x	November 15, 1992	Date that new or modified source begins operation.

On April 13, 1998, Texas submitted a revision to definition of “contemporaneous period.” Texas revised the definition to delete the start of the contemporaneous period at five years prior to commencement of construction for a source with a PTE of 250 TPY or greater. This change is

administrative in that it recognizes that as of the date of the adoption of the revision (March 18, 1998), all permit applications would be submitted after November 15, 1997, and the applicable contemporaneous period would begin on November 15, 1992. This change does not affect applications which were

submitted prior to November 15, 1997, which must consider all creditable increases and decreases which occur five years prior to the commencement of construction.

d. Does Texas’ contemporaneous period meet the requirements of the Act? The Texas definition of

“contemporaneous period” does not track but meets the Act. To determine whether Texas’ definition “contemporaneous period” meets the Act, we reviewed several permit files for sources permitted with increases of VOC in Harris County, Texas (within the Houston/Galveston region, a severe ozone nonattainment area). Following a thorough review of the data, we have concluded that Texas’ definition of “contemporaneous period” requires the same netting period established in section 182(c)(6) of the Act and more.

A source with a PTE greater than or equal to 250 TPY performs contemporaneous netting over a period which begins on the earlier of the date five years prior to commencement of construction or November 15, 1992. The contemporaneous period ends when the proposed increase in emission actually occurs. After November 15, 1997, the beginning date of the contemporaneous period is “tagged” at November 15, 1992, for all complete permit applications submitted after November 15, 1997. Thus, after November 15, 1997, a proposed modification considers all creditable increases and decreases which occur between November 15, 1992, and the date that the proposed increase in emissions occurs. This will result in a longer contemporaneous period than specified in section 182(c)(6) of the Act. This means that sources must demonstrate that the contemporaneous net is satisfied over an even longer period than that required by the Act.

For sources greater than 250 TPY, the tagged netting window simplifies the netting process and facilitates a source’s ability to plan for the future by providing stability in the increases and decreases that are creditable for netting. Such sources have numerous options available for expansion by shutting down older, inefficient, units or adding emission controls to the units. Furthermore, these sources undertake numerous modifications each year. These numerous modifications, combined with a “moving” five year contemporaneous period would make the netting exercise difficult because increases and decreases are continually moving in and out of the netting window.

The 1995 evaluation indicated a trend towards reductions in net emissions as time passes. The data further indicate that all physical and operational changes which we reviewed would have netted out of review under both Texas’ tagged contemporaneous period and under the five year contemporaneous period specified in section 182(c)(6) of the Act.

This trend towards achieving lower net emissions indicates that the netting mechanism used by Texas is achieving beneficial results inherent in reducing emissions. The reductions occur as a result of lowering the significance threshold from 40 TPY to 25 TPY¹³ and from lowering the netting trigger (which triggers the requirement for a source to perform contemporaneous netting), from 40 TPY to five TPY.

In addition, the tagged contemporaneous period used by Texas is more conservative than the five year period in the Act. The following information illustrates the conservative nature of the tagged contemporaneous period:

- The tagged contemporaneous period benefits the environment by encouraging emission reductions that would not otherwise occur. Whenever a source proposes a physical or operational change, it must demonstrate that its net emissions increase in emissions of VOC on NO_x are below the applicable modification level in Table I of section 116.12. Otherwise it must undergo nonattainment review. A major source which undergoes several projects whose contemporaneous net emissions increase is less than 25 TPY does not undergo nonattainment review. Over time such source must demonstrate, with each physical or operational change, that the net emissions increase is less than the applicable modification level (Table I of section 116.12) over an expanding contemporaneous period which begins November 15, 1992. By retaining increases in the tagged contemporaneous period (which would otherwise drop out after five years) a source must continue to account for increases that did not undergo nonattainment review and were not offset through the nonattainment review permitting process. This growing data base of increases will necessarily provide incentive for a source to achieve additional reductions to net against these increases. This results in greater environmental benefits than would otherwise occur in the five year moving contemporaneous period required by the Act.

- Decreases are more likely to be removed from the contemporaneous

period than increases. There are many ways that decreases may be removed from creditability for netting. Examples of decreases which will drop out of the contemporaneous period, because they are no longer “creditable” are:

- A decrease that is subsequently used as reasonably available control technology.
- decreases used to offset increases which undergo NNSR
- decreases used in the demonstration of attainment of the national ambient air quality standard or in the demonstration of reasonable further progress. See 30 TAC 116.12(13) in Texas’ rules and 40 CFR 51.165(a)(1)(vi)(C)(3).

Increases, however, may only be removed from consideration in subsequent netting if: (1) they undergo nonattainment permitting and (2) are offset at the appropriate ratio specified in Table I of section 116.12.

Consistent with the above discussion, we believe that the tagged contemporaneous period adopted by Texas meets the requirements of the Act. We request comments on this proposal to approve Texas tagged contemporaneous period for major sources with a PTE greater than 250 TPY of VOC.

For sources with a PTE less than 250 TPY, Texas adopted a contemporaneous period which begins five years prior to commencement of construction and ends when the proposed emission increase occurs. Texas adopted a “moving” contemporaneous period rather than the tagged contemporaneous period because these smaller sources do not have as many netting opportunities as the larger sources. The moving window provides smaller sources with greater flexibility for growth. The contemporaneous period is identical to the contemporaneous period specified in 40 CFR 52.21(b)(3)(ii) for determining applicability under the Federal regulations for prevention of significant deterioration of air quality. This contemporaneous period more closely approximates the contemporaneous period in section 182(c)(6) of the Act, which requires contemporaneous netting over a period of five consecutive calendar years.

Our evaluation of data for several Texas sources indicated that all projects which netted out of nonattainment review using Texas’ definition of “contemporaneous period,” would have netted out of review using the netting period in the Act. The Technical Support Document for today’s proposal contains the data gathered by us and our evaluation thereof. We conclude that the

¹³ Prior to November 15, 1992, the applicable significance threshold for VOC was 40 TPY. See 40 CFR 51.165(a)(1)(x). The requirement to perform contemporaneous netting was triggered whenever a particular physical or operational change equaled or exceeded 40 TPY. The source would then add the proposed increase to all other contemporaneous increases and decreases to determine the net emissions increase. If the resulting net emissions increase was 40 TPY or more, the proposed increase was subject to permitting requirements applicable in ozone nonattainment areas.

contemporaneous period adopted by Texas meets the Act.

Texas further provides that for major sources of NO_x in ozone nonattainment areas in which NO_x is an ozone precursor, the contemporaneous period for NO_x shall begin no earlier than November 15, 1992. In serious and severe ozone nonattainment areas, the contemporaneous period is different from the netting period in section 182(c)(6) of the Act. Prior to November 15, 1997, Texas' definition will provide for a shorter contemporaneous period than the five consecutive calendar years specified in the Act. However, Texas recognized the need to incorporate a transition period because the Act does not require NO_x to be regulated as an ozone precursor until after November 15, 1992.

We believe that the conclusions made for VOC will hold equally well for the emissions of NO_x. Earlier discussions herein illustrate that since November 15, 1992, a declining trend in the net increases of VOC emissions in ozone nonattainment areas. Factors which contribute to this trend are the lower significance threshold of 25 TPY and the five TPY netting trigger. We believe that this trend will hold true for net increases of NO_x and well as for VOC. After November 15, 1997, NO_x increases will be treated the same as VOC

increases. At that time, the reasoning for proposing approval of the contemporaneous period for VOC will hold true for proposing to approve the contemporaneous period for NO_x. For sources with a PTE of 250 TPY or more of NO_x, the tagged contemporaneous period will continue to apply after November 15, 1997. As discussed earlier in this preamble, the tagged contemporaneous period will result in additional incentives for sources to reduce emissions of NO_x than would otherwise occur in a moving five-year window. The trend towards lower emissions in an ozone nonattainment area should mitigate any affects caused by not including increases and decreases of NO_x which occurred prior to November 15, 1992.

For the reasons described above, we consider the definition of "contemporaneous period" to be consistent with the Act and proposes to approve this definition as submitted. We request comments concerning Texas' definition of "contemporaneous period."

4. Special Modification Rules in Sections 182(c) (7) and (8) of the Act

a. What does the Act require in sections 182(c)(7) and (8)? These sections establish special rules for a major stationary source located in a

serious or severe ozone nonattainment area. These sections apply to a major source which undergoes a physical or operational change that is not considered *de minimis* under section 182(c)(6). These subsections offer sources options that may be more desirable than would otherwise apply. Specifically, sections 182(c)(7) and (8) allow a major source to internally offset its proposed increase of VOC or NO_x¹⁴ at a ratio of 1.3 to 1. Obtaining this internal offset allows a source to:

- Avoid NSR entirely if the source emits, or has the potential to emit, less than 100 tpy of the offset pollutant under section 182(c)(7), or
- Avoid application of Lowest Achievable Emission Rate if the source emits, or has the potential to emit, 100 tpy or more of the offset pollutant under section 182(c)(8).

A summary of the provisions of sections 182(c)(7) and (8) is in Table 8 located in paragraph b below. Table 8 also compares Texas regulations with the Act.¹⁵

b. What SIP revisions did Texas make to address Sections 182(c)(7) and (8)? On April 13, 1998, Texas submitted revisions to Section 116.150 which implement the special rules in sections 182(c)(7) and (8) of the Act. Section 116.150 provides the following as shown in Table 8 below:

TABLE 8.—DESCRIPTION OF SPECIAL REQUIREMENTS FOR PERMITTING MODIFICATIONS IN SERIOUS AND SEVERE OZONE NONATTAINMENT AREAS

Potential to emit	Section of Act	State regulation	Provision of Act	Provisions of state rule
Less than 100 TPY of VOC or NO _x .	§ 182(c)(7)	§ 116.150(a)(3)(A)	Project is not a modification subject to NNSR if source elects to internally offset the same pollutant at an offset ratio of at least 1.3 to 1 the proposed increase of VOC or NO _x .	NNSR is not required if the project increases are offset with internal offsets the same pollutant at a ratio of at least 1.3 to 1.
		§ 116.150(a)(1)	Best available control technology (BACT) is substituted for LAER, if a source elects not to use internal offsets.	If a source elects to use internal offsets, it can substitute BACT for LAER, which is more stringent than required by the Act.
Greater than or equal to 100 TPY of VOC or NO _x .	§ 182(c)(8)	§ 116.150(a)(3)(B)	The requirements of LAER otherwise required by section 173(a)(2) of the Act do not apply, if the source elects to internally offset the same pollutant at 1.3 to 1 such proposed increase of VOC or NO _x ^a .	Source can substitute BACT for LAER, if the project increases are offset with internal offsets of the same pollutant at a ratio of at least 1.3 to 1.
		§ 116.150(a)(3)(B)	A source which elects to avoid LAER by satisfying the provisions of section 182(c)(8) may use the 1.3 to 1 internal offset ratio in lieu of the general offset ratio.	Internal offsets used as described above can also be applied to satisfy the offset requirement.

^a Applies to a proposed increase of VOC or NO_x from a any discrete operation, unit, or other pollutant emitting activity at the source.

¹⁴ Section 182(f)(1) of the Act provides that requirements (which include the requirements of sections 182(c)(6), (7), and (8)) applicable for major stationary sources of VOC shall apply to major stationary sources of NO_x, unless otherwise determined by the Administrator, based upon

certain determinations related to the benefits or contribution of NO_x control to air quality, ozone attainment, or ozone air quality. See section II.C.I of this preamble for further discussion of the requirements of section 182(f)(1).

¹⁵ A thorough analysis of the special rules in section 182(c)(7) and (8) and EPA's interpretations of this section is contained in the proposed NSR reform rulemaking.

c. Does Texas' regulation satisfy sections 182(c)(7) and (8) of the Act? We have evaluated the provisions of sections 116.150(a)(1) and (3)(A) and (B) which Texas adopted to implement the requirements of section 182(c)(7) and (8) of the Act. We have determined that these provisions of the State's regulations implement the special provisions of the Act only for project increases which are offset internally at an offset ratio of 1.3 to 1. These provisions of section 116.150, described in paragraph b of this preamble above, apply to any major source which internally offsets its proposed project increase at a ratio of at least 1.3 to 1. The project increase includes any increase resulting from any discrete operation, unit, or other pollutant emitting activity at the source that is part of the proposed project. These provisions are consistent with the Federal interpretation of section 182(c)(7) and (8) as discussed in paragraph a, above.

E. Other Revisions Affecting NSR Permitting in Nonattainment Areas

Texas submitted revisions to its definitions which apply to its permitting in nonattainment areas. Specifically Texas submitted definitions for:

“*de minimis* threshold test”—new definition

“major modification”—revised definition

“net emissions increase”—revised definition

“offset ratio”—new definition

“potential to emit”—revised definition

“stationary source”—new definition

The evaluation of these definitions is discussed below.

1. Definition of “*de minimis* threshold test”

A new definition of “*de minimis* threshold test” in section 116.12 replaces the former definition of “*de minimis* threshold.” The former definition of “*de minimis* threshold” defined the term as an emissions level, as determined by aggregating the proposed increase with all other creditable increases and decreases¹⁶ during the previous five calendar years, including the calendar year of the proposed change which equals the major modification level for the specific nonattainment area. Texas now defines “*de minimis* threshold test” consistent with the *de minimis* rule. Section

¹⁶ To be creditable, an increase or decrease must meet the criteria in the definition of “net emissions increase” in section 116.12. The definition of “net emissions increase” is discussed in section II.E.3 of this preamble.

II.D.1–2 of this preamble contains further discussion of the *de minimis* rule. To summarize, the definition requires a source to add the proposed increase with all other creditable emission increases and decreases during the contemporaneous period, and compare the sum with the major modification column in Table I (following the definition of “major modification”) for the specific nonattainment area. A major source must undergo nonattainment review if the sum exceeds the major modification level in Table I.

The procedure described above is the same as the procedure for determining “net emissions increase” in 40 CFR 51.165(a)(vi). This section of the Federal rule provides that the net emissions increase is determined by adding the increase in actual emissions from a particular physical change or change in the method of operation at a stationary source with all other increases and decreases in actual emissions at the source that are contemporaneous with the particular change and are otherwise creditable. See 40 CFR 51.165(a)(vi)(A)(1) and (2).

Texas submitted the definition of “*de minimis* threshold test” on August 31, 1993, and minor revisions thereto on April 13, 1998, to clarify that the definition only applies to contemporaneous netting in nonattainment areas. We determine that the definition of “*de minimis* threshold test” is consistent with section 182(c)(6) of the Act.

2. Definition of “Major Modification”

Texas recodified its definition of “major modification” from section 101.1 of its General Rules to section 116.12, and made several revisions thereto. The former rule defined the term as any physical change or change in the method of operation of a facility/stationary source which causes a net increase in its PTE, by the amounts in Table I, of VOC or any air contaminant for which a national ambient air quality standard has been established. The former definition was inconsistent with Texas' definition of “net emissions increase” in section 116.12 which requires such increase to be calculated on an actual emissions basis. It was also not consistent with the Federal definitions of “major modification” and “net emissions increase” in 40 CFR 51.165(a)(1)(ii) and (vi), respectively. The Federal definition bases major modifications upon a net increase in actual emissions.

Texas revised its definition of “major modification” to clarify that a major modification is based upon a net

emissions increase in actual emissions, in order to be consistent with its definition of “net emission increase” and to ensure consistency with the Federal definition of “major modification.” Texas also clarified that a physical change or change in the method of operation at a source not qualifying as an existing major stationary source is subject to nonattainment permitting only if the increase by itself equals or exceeds the emissions specified in the major source column in Table I.

The definition of “major modification” also includes Table I, which specifies the various classifications of nonattainment along with the associated emission levels which designate a major modification for those areas. On September 27, 1995, we approved Table I, as submitted August 31, 1993. See 60 FR 49781. On July 18, 1996; April 13, 1998; and March 16, 1999; Texas submitted revisions to Table I to make it consistent with the section 182(f) NO_x waivers that we approved.¹⁷ The July 18, 1996 submittal revised the Table as follows:

(1) Changed the pollutant designation for the line for ozone nonattainment areas from “VOC/NO_x” to “ozone,” and added a new line for NO_x, and specified a the major source threshold, major modification significance level, and offset ratio for NO_x respectively at “100 TPY”, “40 TPY”, and “1.00 to 1.”

(2) Clarified that the Table only applies to Texas nonattainment area designations specified in 40 CFR 81.344,

(3) Clarified that the major modification threshold applies only to existing major sources and applicability of nonattainment area NSR is evaluated after netting, unless that source chooses to apply nonattainment NSR directly to the project.

(4) Clarified that VOC and NO_x are precursors to ozone and are quantified individually. In counties which have approved exemptions for NO_x under section 182(f) of the Act, only VOC is precursor to ozone,

(5) Removed a reference to Victoria County as county designated as nonattainment for ozone but not classified because of incomplete data.¹⁸

¹⁷ See section II.C of this preamble for further discussion on the NO_x waivers approve in Texas under section 182(f) of the Act.

¹⁸ On November 15, 1990, the CAA Amendments of 1990 were enacted (Public Law 101–549, 104 Stat. 2399, codified at 42 U.S.C. 7401–7671q). The ozone nonattainment designation for Victoria County continued by operation of law according to section 107(d)(1)(C)(i) of the Act, as amended in 1990. See 56 FR 56694, November 6, 1991. Since the State had not yet collected the required three years of ambient air quality data necessary to petition for redesignation to attainment, the

(6) Added a provision that NO_x sources granted the temporary exemption and authorized under section 116.211 of this title (relating to Standard Exemption List) shall require registration for increases in NO_x over the major source/major modification level in Table I.

On April 13, 1998, Texas submitted a revision to Table 1 to remove the provision requiring the registration of NO_x sources granted the temporary exemption and authorized under section 116.211 of this title (relating to Standard Exemption List). This provision is no longer necessary with the expiration of the temporary NO_x waivers. On March 16, 1999, Texas submitted further revisions to Table I consistent with the reinstatement of NO_x as an ozone precursor in the Dallas-Fort Worth ozone nonattainment area. The changes to Table I as submitted April 13, 1998, and March 16, 1999, are discussed in section II.C of this preamble.

We have reviewed these changes and determine that these changes to the definition of "major modification" and to Table I are consistent with the Act.

3. Definition of "Net Emissions Increase"

Texas recodified the definition of "net emissions increase" to section 116.12 and formatted the definition consistent with the definition in 40 CFR 51.165(a)(1)(vi). Texas continues to define "net emissions increase" as the sum of the total increase in actual emissions from a particular physical change or change in the method of operation at a stationary source, plus any source wide creditable contemporaneous increases and decreases minus any source wide creditable contemporaneous decreases.

In the former definition, Texas specified that an increase or decrease was creditable if it occurred within a reasonable time (to be specified by the permitting authority) before the date that the increase from a particular change occurs. In ozone nonattainment areas, Texas specified a period of five

consecutive calendar years (including the calendar year of the proposed increase plus the four preceding calendar years) in former section 116.3(a)(7) to determine if a particular increase in emissions of VOCs or NO_x is subject to nonattainment review. The provisions for permitting major sources and modifications in areas designated nonattainment for criteria pollutants other than ozone (former section 116.3(a)(10)) did not specify a specific time frame in which emissions increases and decreases would be considered to be contemporaneous with a particular change.

In the revised definition, Texas specified that the increase or decrease must actually occur within the contemporaneous period, which Texas has defined separately.¹⁹ We consider the submitted definition of "net emissions increase" to be consistent with the requirements in 40 CFR 51.165(1)(vi) and with the Act.

4. Definition of "Offset Ratio"

Texas adopted the definition of "offset ratio" to satisfy section 173(a)(1)(A) of the Act. The provisions of this definition were previously included in sections 116.3(a)(7)(C) and 116.3(a)(10)(D). In the recodified regulations, the provisions of sections 116.3(a)(7)(C) and 116.3(a)(10)(D), were incorporated into a new sections 116.150(a)(3) and 116.151(c), respectively. In the recodification, Texas removed specific language which defined "offset ratio" from sections 116.3(a)(7)(C) and 116.3(a)(10)(D) and referenced the offset ratios in Table I of section 116.12 (part of the definition of "major modification"). Texas then added the new definition of "offset ratio" and defined it as ratio of total actual reductions of emissions to the total allowable emissions increases of such pollutant from the new source. The definition references the minimum offset ratios in Table I under the definition of major modification.

On April 13, 1998, Texas submitted a revision to the definition of "offset

ratio" and added a sentence which clarifies that creditable offsets must be enforceable, permanent, quantifiable through a replicable methodology, real, and surplus. The revision further specified that the reduction must occur after January 1, 1990, must be represented in the 1990 and subsequent emissions inventory, and not relied upon in issuance of any previous nonattainment permit or permit issued under regulations for the prevention of significant deterioration. This definition is consistent with section 173(a)(1) of the Act.

5. Definition of "Potential to Emit"

Texas recodified the definition of "potential to emit" from section 101.1 of its General Rules into section 116.12, and revised the term to match the definition as presently defined in 40 CFR 51.165(a)(1)(iii). The definition as revised does not conflict with the federal definition or with the Act.

6. Definition of "Stationary Source"

Texas adopted a new definition of "stationary source" consistent with the term as defined in 40 CFR 51.165(a)(1)(i). The submitted definition does not conflict with the Federal definition or with the Act.

III. Individual SIP Submittals Acted Upon in This Document

A. General Discussion

The Governor of Texas submitted revisions to the Texas SIP to us relating to the permitting of new and modified sources in nonattainment areas. We are proposing to approve revisions submitted August 31, 1993; November 1, 1995; July 18, 1996; April 13, 1998; and March 16, 1999. The basis for our proposed approval is discussed in section II of this preamble.

B. Summary of Each Individual SIP Submittal

Table 9 below summarizes each individual SIP submittal that we are proposing to approve in today's action.

TABLE 9. SUMMARY OF EACH INDIVIDUAL SIP SUBMITTAL

Date adopted by state	Date submitted to EPA	Description of SIP submittal
August 16, 1993	August 31, 1993	Provisions of submittal relating to permitting under part D of the Act. This includes: —Section 116.12, —Section 116.150, and —116.151, and —Section 116.170(1) and (3).

nonattainment area was further designated as nonclassifiable incomplete data for ozone. On July 27, 1994, Texas's submitted a maintenance plan for Victoria County and a request to redesignate

Victoria County to attainment. On March 7, 1995, we approved the maintenance plan and redesignated Victoria County from ozone nonattainment to attainment. See 60 FR 12453.

¹⁹Texas definition of "contemporaneous period" is in section 116.12(7). We discuss the definition of "contemporaneous period" in section II.D.3 of this preamble.

TABLE 9. SUMMARY OF EACH INDIVIDUAL SIP SUBMITTAL—Continued

Date adopted by state	Date submitted to EPA	Description of SIP submittal
October 26, 1995	November 1, 1995	Revisions to Section 116.150 to address nonattainment permitting requirements for NO _x (as an ozone precursor) in the Dallas-Fort Worth, El Paso, Houston-Galveston, and Beaumont-Port Arthur ozone nonattainment areas consistent with waivers approved by EPA pursuant to section 182(f) of the Act.
May 15, 1996	July 18, 1996	Revisions to Table I of Section 116.12 to conform to NO _x waivers approved by EPA pursuant to section 182(f) of the Act.
March 18, 1998	April 13, 1998	Revisions to Sections 116.12, Table I of Section 116.12, and 116.150, and 116.151. Texas revised the SIP to reinstate NO _x as an ozone precursor in the Houston-Galveston and Beaumont-Port Arthur ozone nonattainment areas.
February 24, 1999	March 16, 1999	Revisions to Chapter 116, which reinstate the requirement to review NO _x as an ozone precursor in the Dallas-Fort Worth ozone nonattainment area.

C. EPA Action

For the reasons stated herein, we have determined that each of the above SIP submittals or revisions to 30 TAC Chapter 116 satisfies the requirements of Title I of the Act. Sections II and III of this preamble and the TSD for this proposed action contain detailed evaluations of each of the sections submitted by the State of Texas and the basis for EPA's proposal to approve of these sections.

IV. Request for Public Comments

We are requesting comments on all aspects of the requested SIP revision and our proposed rulemaking action. Comments received by date indicated above will be considered in the development of EPA's final rule.

V. Administrative Requirements

A. Executive Order 12866

The Office of Management and Budget (OMB) has exempted this regulatory action from Executive Order 12866, entitled "Regulatory Planning and Review."

B. Executive Order 13132

Executive 13132, entitled "Federalism" (64 FR 43255, August 10, 1999) revokes and replaces Executive Order 12612, "Federalism," and Executive Order 12875, "Enhancing the Intergovernmental Partnership." Executive Order 13132 requires EPA to develop an accountable process to ensure "meaningful and timely input by State and local officials in the development of regulatory policies that have federalism implications." "Policies that have federalism implications" is defined in the Executive Order to include regulations that have "substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government." Under Executive

Order 13132, EPA may not issue a regulation that has federalism implications, that imposes substantial direct compliance costs, and that is not required by statute, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by State and local governments, or EPA consults with State and local officials early in the process of developing the proposed regulation. The EPA also may not issue a regulation that has federalism implications and that preempts State law unless the Agency consults with State and local officials early in the process of developing the proposed regulation.

This proposed rule will not have substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government, as specified in Executive Order 13132, because it merely approves a State rule implementing a Federal standard, and does not alter the relationship or the distribution of power and responsibilities established in the Act.

C. Executive Order 13045

Executive Order 13045, entitled "Protection of Children from Environmental Health Risks and Safety Risks" (62 FR 19885, April 23, 1997), applies to any rule that: (1) is determined to be "economically significant" as defined under Executive Order 12866, and (2) concerns an environmental health or safety risk that EPA has reason to believe may have a disproportionate effect on children. If the regulatory action meets both criteria, the Agency must evaluate the environmental health or safety effects of the planned rule on children, and explain why the planned regulation is preferable to other potentially effective and reasonably feasible alternatives considered by the Agency.

The EPA interprets Executive Order 13045 as applying only to those regulatory actions that are based on health or safety risks, such that the analysis required under section 5-501 of the Order has the potential to influence the regulation. This proposed rule is not subject to Executive Order 13045 because it approves a State program.

D. Executive Order 13084

Under Executive Order 13084, EPA may not issue a regulation that is not required by statute, that significantly or uniquely affects the communities of Indian tribal governments, and that imposes substantial direct compliance costs on those communities, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by the tribal governments, or EPA consults with those governments. If EPA complies by consulting, Executive Order 13084 requires EPA to provide to the OMB, in a separately identified section of the preamble to the rule, a description of the extent of EPA's prior consultation with representatives of affected tribal governments, a summary of the nature of their concerns, and a statement supporting the need to issue the regulation. In addition, Executive Order 13084 requires EPA to develop an effective process permitting elected officials and other representatives of Indian tribal governments "to provide meaningful and timely input in the development of regulatory policies on matters that significantly or uniquely affect their communities."

Today's rule does not significantly or uniquely affect the communities of Indian tribal governments. This action does not involve or impose any requirements that affect Indian tribes. Accordingly, the requirements of section 3(b) of Executive Order 13084 do not apply to this rule.

E. Regulatory Flexibility Act

The Regulatory Flexibility Act, 5 U.S.C. 600 *et seq.*, generally requires an agency to conduct a regulatory flexibility analysis of any rule subject to notice and comment rulemaking requirements unless the agency certifies that the rule will not have a significant economic impact on a substantial number of small entities. Small entities include small businesses, small not-for-profit enterprises, and small governmental jurisdictions. This proposed rule will not have a significant impact on a substantial number of small entities because SIP approvals under section 110 and subchapter I, part D of the Act do not create any new requirements but simply approve requirements that the State is already imposing. Therefore, because the Federal SIP approval does not create any new requirements, I certify that this action will not have a significant economic impact on a substantial number of small entities. Moreover, due to the nature of the Federal-State relationship under the Act, preparation of a flexibility analysis would constitute Federal inquiry into the economic reasonableness of state action. The Act forbids EPA to base its actions concerning SIPs on such grounds. *See Union Electric Co. v. U.S. EPA*, 427 U.S. 246, 255–66 (1976); 42 U.S.C. 7410(a)(2).

F. Unfunded Mandates

Under section 202 of the Unfunded Mandates Reform Act of 1995, signed into law on March 22, 1995, EPA must prepare a budgetary impact statement to accompany any proposed or final rule that includes a Federal mandate that may result in estimated annual costs to State, local, or tribal governments in the aggregate; or to private sector, of \$100 million or more. Under section 205, EPA must select the most cost-effective and least burdensome alternative that achieves the objectives of the rule and is consistent with statutory requirements. Section 203 requires EPA to establish a plan for informing and advising any small governments that may be significantly or uniquely impacted by the rule.

The EPA has determined that the approval action promulgated does not include a Federal mandate that may result in estimated annual costs of \$100 million or more to either State, local, or tribal governments in the aggregate, or to the private sector. This Federal action approves pre-existing requirements under State or local law, and imposes no new requirements. Accordingly, no additional costs to State, local, or tribal

governments, or to the private sector, result from this action.

List of Subjects in 40 CFR Part 52

Environmental protection, Air pollution control, Carbon Monoxide, Hydrocarbons, Incorporation by reference, Lead, Nitrogen oxides, Ozone, Particulate matter, Sulfur oxides, Volatile organic compounds.

Authority: 42 U.S.C. 7401 *et seq.*

Dated: December 16, 1999.

Jerry Clifford,

Acting Regional Administrator, Region 6.

[FR Doc. 00–1081 Filed 1–14–00; 8:45 am]

BILLING CODE 6560–50–P

DEPARTMENT OF TRANSPORTATION

Office of the Secretary

49 CFR Part 40

[Docket OST–99–6578]

RIN 2105–AC49

Procedures for Transportation Workplace Drug and Alcohol Testing Programs

AGENCY: Office of the Secretary, DOT.

ACTION: Notice of public meetings.

SUMMARY: The U.S. Department of Transportation (DOT) is scheduling three public listening sessions on its notice of proposed rulemaking (NPRM) to revise the Department's drug and alcohol testing procedures, published in the **Federal Register** on December 9, 1999 (64 FR 69076). The meetings are scheduled approximately 90 days after the publication of the NPRM to provide the public time to read and review the document. The intent of the meetings is to obtain additional information from the public that was not submitted in formal comments to the docket.

DATES AND ADDRESSES: The public meetings will be held on March 20 and 21, 2000, at the Ronald Reagan Building and International Trade Center, 1300 Pennsylvania Avenue, NW., Washington, DC 20004; on March 28, 2000, at the Hilton Los Angeles Airport, 5711 West Century Boulevard, Los Angeles, CA 90045, telephone number (310) 410–4000, fax (310) 410–6177; and on March 30, 2000, at the Crowne Plaza, Dallas Market Center, 7050 Stemmons Freeway, Dallas, TX 75247, telephone number (214) 630–8500, fax (214) 630–0037. Meeting facilities may accommodate only a limited number of attendees and all participants and commenters must pre-register to ensure entry into the meetings. Registration

procedures are specified under supplemental information below. Other persons will be accommodated as space and time permit.

FOR FURTHER INFORMATION CONTACT: For general meeting information and to register for one of the meetings, contact the DOT contractor, Marti Bludworth, Transportation Safety Institute (TSI), Special Programs Division, DTI–100, 4400 Will Rogers Parkway, Suite 205, Oklahoma City, OK 73108–2057, telephone number (800) 862–4832, extension 323, fax number (405) 946–4268, or e-mail marti_bludworth@tsi.jccbi.gov.

SUPPLEMENTARY INFORMATION:

A. Purpose

The purpose of the meetings is to provide all segments of the transportation industry and the general public with an opportunity to make statements, which have not already been made previously, to the docket. These meetings would also give DOT the opportunity to ask questions and ensure that the public comments are clearly understood by the Department. It may also give the Department the opportunity to clarify issues related to comments that had already been submitted to the docket during the early days of the formal comment period. Questions by commenters and other attendees to the DOT will be permitted as time allows.

B. Procedural Matters

The meeting in Washington, DC will be held for a day and a half to provide ample opportunity for attendees to make comments and for DOT to have additional time, if needed, to ask follow up questions. This geographic location will also provide added opportunity for additional DOT staff and industry representatives from the Capital area to attend the meeting. All facilities will be ADA accessible. The Department will provide sign-language interpreters, if requested. Attendees needing this accommodation should notify TSI no later than February 28, 2000. If no requests are received, this service may not be available.

Because these are listening sessions, DOT will not offer space for vendors or exhibitors to display their products.

All meetings will have limited, first-come-first-served capacity due to physical constraints of the facilities. "First come" will be based on the date that the registration information is received by TSI. Once the capacity of the meeting room is reached, DOT will not be able to ensure entry to subsequent applicants. TSI will confirm

those who are registered as attendees, those who are registered to speak, and those for whom space is not available. Provisions may be made at the meeting sites to grant additional admission to offset "no-shows" who previously registered for attendance.

C. Registration Procedures

All attendees, to include commenters, must pre-register with TSI for these meetings. For all attendees, the following information is requested: Full name, full mailing address, and telephone number (in case the address is not legible or additional information is needed); the name of the city at which you want to attend the meeting; and if you will register at the hotel to take advantage of blocked rooms (Los Angeles and Dallas only). TSI will confirm your attendance by mail.

Commenters must provide the same information listed above and, in addition, indicate which agency, association, company, or institution they are representing and which issue they will address (e.g., Collection, MRO, Laboratory).

For convenience to the public, a form has been developed to simplify registration for these meetings. A copy may be obtained from TSI or from the DOT Fax-On-Demand system, by calling (800) 225-3784 and requesting document number 140; the registration form will be faxed to the requestor. Use of the form will expedite the process of registration and provide quicker notification to attendees.

Please note that attendees at the Washington, DC meeting will have to make arrangements for hotels and other lodging facilities on their own, since the meeting is being held in a Federal building. Names, addresses, and telephone numbers of local hotels can be obtained from TSI and will be included in the registration packet. The hotels in Los Angeles and Dallas have blocked out rooms for attendees at group rates. These will be available on a first-come basis. Room reservations

must be made by the attendees directly with the hotel. Group rates will be available until March 6, 2000, at the Los Angeles and Dallas hotels, after which, they may revert to normal rates.

D. Written Statements

Individuals, whether speaking in a personal or a representative capacity on behalf of an organization, will be limited to a 4-minute statement. The Department will try to accommodate all individuals wishing to present statements at these meetings. If the available time does not permit this, individuals will be scheduled based on the date their registration is received by TSI. However, the Department reserves the right to exclude some individuals from speaking to avoid duplication or if it is necessary to present a balance of viewpoints and issues.

Individuals wishing to make statements are requested to submit three copies of their comments to be received by TSI no later than February 28, 2000; statements received after that date may not be selected. These should be typed for clarity, include the commenters name, address, phone number, and which agency or group you represent. These will be placed into the docket following the meetings and will be available to the public for review. The Department will not be recording the statements read at the meetings. However, the Department plans to record the two scheduled question and answer sessions and any questions asked by the panel of the commenters or the attendees and their answers.

E. Tentative Agenda

The following is a draft agenda and may be modified based on commenters input and type of statements submitted. There will be a question and answer session after the morning session and again after the afternoon session. Questions should be submitted at the meeting site on 3 x 5 cards at the time of registration for the morning sessions and at the registration desk following

lunch, for the afternoon sessions. Please note that the Washington, DC meeting will be scheduled for one and a half days, will start at 9 a.m. both days, and will end at 5 p.m. on the first day and 1 p.m. on the second day. Also, there will be no registration on the previous evening; registration will begin at 7:30 a.m. on the day of the meeting. The Washington, DC meeting agenda will be similar to the one day agenda, with additional time for statements and question and answer sessions.

Tentative Agenda for Los Angeles, CA and Dallas, TX Meetings

Previous evening: Registration 6 p.m.—8 p.m.

7–7:45 Registration
8–8:15 Opening remarks—
administrative announcements
8:15–9 presentation
9–9:45 Collection Issues
9:45–10:15 Break
10:15–11:15 Labor/Management/
Employee Issues
11:15–12 Alcohol Testing Issues
12–12:30 Questions and Answers
12:30–2 LUNCH
2–2:45 Medical Review Officer (MRO)
Issues
2:45–3:30 Substance Abuse
Professional (SAP) Issues
3:30–4 Break
4–4:45 Service Agents/Public Interest
Exclusion Issues
4:45–5:30 Laboratory Issues
5:30–6:30 Questions and Answers;
General Comments and Wrap Up

These meetings are intended to solicit additional information and public views on the NPRM.

Issued this 11th Day of January, 2000, at Washington, DC.

Mary Bernstein,

Director, Office of Drug and Alcohol, Policy and Compliance, Department of Transportation.

[FR Doc. 00–1004 Filed 1–14–00; 8:45 am]

BILLING CODE 4910–62–U

Notices

Federal Register

Vol. 5, No. 11

Tuesday, January 18, 2000

This section of the FEDERAL REGISTER contains documents other than rules or proposed rules that are applicable to the public. Notices of hearings and investigations, committee meetings, agency decisions and rulings, delegations of authority, filing of petitions and applications and agency statements of organization and functions are examples of documents appearing in this section.

DEPARTMENT OF AGRICULTURE

Forest Service

Saltwater Shoreline-based Outfitter Guide Capacity Environmental Impact Statement

AGENCY: Forest Service, USDA.

ACTION: Notice of intent to prepare an Environmental Impact Statement.

SUMMARY: The Department of Agriculture, Forest Service, will prepare an Environmental Impact Statement (EIS) to authorize outfitter/guide (O/G) activities within four Ranger Districts of the Tongass National Forest for a period of five years. The analysis will consider saltwater shoreline-based commercial recreation use on Admiralty Island National Monument and Juneau, Hoonah and Sitka Ranger Districts. The decision to prepare an EIS is a result of initial public involvement that began with a scoping letter in October 1998. During 1998 and 1999 meetings were held with six communities and three organizations within the affected area. A letter summarizing the results of this public involvement and requesting additional comments will be distributed January 2000. The Record of Decision will disclose how the Forest Service has decided to allocate saltwater shoreline-based recreation capacity for O/G and noncommercial recreation uses. The Assistant Forest Supervisor will also decide whether or not to amend the Tongass Land and Resource Management Plan to allocate use levels for long-term management of commercial outfitting and guiding.

The total recreation capacity of the study area has been determined via an analysis of available shoreline capacity based on the Recreation Opportunity Spectrum, Tongass Forest Plan standards and guidelines dealing with encounters, and physical conditions such as anchorages, shoreline facilities, and resource concerns. Proposed

allocations are based on a percentage of the total recreation carrying capacity of individual Use Areas, or subunits within the Use Areas. Use Areas are geographic areas that correspond to Guide Use Areas defined by the Alaska Department of Fish and Game for the administration of guided hunting. Under the Proposed Action, allocation of commercial guided use during the summer season would range from 10 to 40 percent of the total recreation carrying capacity and would depend on considerations such as distance from communities, subsistence use and potential impacts to resources. The Proposed Action would allocate up to 80 percent of this commercial capacity to brown bear hunting guides during both spring and fall hunts, and the remaining commercial capacity to other non-hunting O/G's. A No Action Alternative and other alternatives which respond to significant issues will be developed, analyzed and compared in the Draft EIS.

DATE: To be most useful comments concerning the scope of this project should be received by the end of February 2000.

ADDRESSES: Please send written comments to: Alaska Regional Office, Ecosystem Planning Attn.: Julie Schaefer, Shoreline-based O/G Capacity EIS, P.O. Box 21628, Juneau, AK 99802-1628.

FOR FURTHER INFORMATION CONTACT: Julia Schaefer, Planning Team Leader, Alaska Regional Office, P.O. Box 21628, Juneau, AK 99802-1628, telephone (907) 586-8796 or Marti Marshall, Recreation Specialist, Tongass National Forest, 204 Siginaka Way, Sitka, AK 99835, telephone (907) 747-4234.

SUPPLEMENTARY INFORMATION: During January and February of 2000 the Forest Service will be seeking information, comments, and assistance from Federal, State and local agencies, tribal organizations, individuals, and organizations that may be interested in, or affected by the proposed activities. Comments received as a result of both the earlier public involvement and the current scoping will be included in this analysis. All comments will be analyzed to identify issues to be considered in the Draft EIS. Issues currently identified for analysis in the EIS include potential effects of the allocation to economic opportunities, conflicts between commercial operations, displacement of

resident users, impacts to wildlife habitat, and the effect on subsistence uses.

Based on the results of scooping, alternatives will be developed, analyzed, and compared in the Draft EIS. The Draft EIS will be filed with the Environmental Protection Agency (EPA) in September 2000. Comments on the DEIS will be considered and responded to in the Final EIS, to be completed by January 2001.

The comment period on the draft environmental impact statement will be 45 days from the date the Environmental Protection Agency publishes the notice of availability in the Federal Register. The Forest Service believes, at this early stage, it is important to give reviewers notice of several court rulings related to public participation in the environmental review process. First, reviewers of draft environmental impact statements must structure their participation in the environmental review of the proposal so that it is meaningful and alerts an agency to the reviewer's position and contentions. *Vermont Yankee Nuclear Power Corp. v. NRDC*, 435 U.S. 519, 553 (1978). Also, environmental objections that could be raised at the draft environmental impact statement stage but that are not raised until after completion of the final environmental impact statement maybe waived or dismissed by the courts. *City of Angoon v. Hodel*, 803 F.2d 1016, 1022 (9th Cir. 1986) and *Wisconsin Heritages, Inc. v. Harris*, 490 F. Supp. 1334, 1338 (E.D. Wis. 1980). Because of these court rulings, it is very important that those interested in this proposed action participate by the close of the comment period so that substantive comments and objections are made available to the Forest Service at a time when it can meaningfully consider them and respond to them in the final environmental impact statement. To assist the Forest Service in identifying and considering issues and concerns on the proposed action, comments on the draft environmental impact statement should be as specific as possible. It is also helpful if comments refer to specific pages or chapters of the draft statement. Comments may also address the adequacy of the draft environmental impact statement or the merits of the alternatives formulated and discussed in the statement. Reviewers may wish to

refer to the Council on Environmental Quality Regulations for implementing the procedural provisions of the National Environmental Policy Act at 40 CFR 1503.3 in addressing these points.

Comments received in response to this solicitation, including names and addresses of those who comment, will be considered part of the public record on this Proposed Action and will be available for public inspection and may be released under FOIA. Comments submitted anonymously will be accepted and considered; however, those who submit anonymous comments will not have standing to appeal the subsequent decision (36 CFR Parts 215 or 217).

Responsible Official: Fred Salinas, Assistant Forest Supervisor, Tongass National Forest, 204 Signaka Way, Sitka, Alaska 99835-7316, is the responsible official. In making the decision, the responsible official will consider the comments, responses, disclosure of environmental consequences, and applicable laws, regulations, and policies. The responsible official will state the rationale for the chosen alternative and the Record of Decision.

Dated: January 4, 2000.

Fred S. Salinas,

Assistant Forest Supervisor.

[FR DOC. 00-1108 Filed 1-14-00; 8:45am]

[BILLING CODE 3410-11-M]

DEPARTMENT OF AGRICULTURE

Forest Service

Woodpecker Project Area Environmental Impact Statement

AGENCY: Forest Service, USDA.

ACTION: Notice of intent to prepare an Environmental Impact Statement.

SUMMARY: The Department of Agriculture, Forest Service, will prepare an Environmental Impact Statement (EIS) to provide timber for the Tongass National Forest timber sale program, to enhance recreational opportunities, to develop a road management plan for the project area, and to perform watershed restoration work. The Record of Decision will disclose where, if any, the Forest Service has decided to provide timber harvest units, roads, associated timber harvesting facilities, dispersed recreation sites, and watershed improvements. The proposed action for timber harvest is to provide multiple timber sale opportunities for a total of approximately 13 million board feet (mmbf) of timber. Timber harvest will be accomplished using a variety of

silvicultural prescriptions to meet the standards and guidelines of the Forest Plan. Recreation opportunity enhancement includes dispersed sites for camping and picnicking, and improved turnouts for parking. Watershed improvements includes cordoning exposed roadside banks and decommissioning roads were drainage problems exist. A range of alternatives responsive to significant issues will be developed and will include a no-action alternative. These activities were first identified during the public involvement and analysis for the Mitkof Landscape Design. The proposed 33,000 acre project area is located on parts of Value Comparison Units 447, 448, and 452 on Mitkof Island, Alaska on the Petersburg Ranger District of the Tongass National Forest. Part of this project area is within an Inventoried Roadless Area (Crystal #224 as identified by the Tongass Land and Resource Management Plan).

DATES: Comments concerning the scope of this project should be received by February 7, 2000.

ADDRESSES: Please send written comments to the Petersburg Ranger District, Tongass National Forest, Attn: Woodpecker Project Area EIS, PO Box 1328, Petersburg, AK 99833. The FAX number is (907) 772-5995.

FOR FURTHER INFORMATION CONTACT:

Questions about the proposal and EIS should be directed to Patricia Grantham, District Ranger, Petersburg Ranger District, Tongass National Forest, PO Box 1328, Petersburg, AK 99833; telephone (907) 772-3871 or Cynthia Sever, Interdisciplinary Team Leader, Petersburg Ranger District, PO Box 1328, Petersburg, AK 99833; telephone (907) 772-3871.

SUPPLEMENTARY INFORMATION: Public participation has been an integral component of the study process and will be especially important at several points during the analysis. The proposed activities were first identified during the Mitkof Landscape Design in 1995, which incorporated aspects of collaborative stewardship. During the last year, the Forest Service has been seeking information, comments, and assistance from Federal, State, and local agencies, Federally-recognized Indian tribes, and individuals and organizations that may be interested in, or affected by, the proposed activities. Written scoping comments have been solicited through an informal scoping package that was sent to the project mailing list and available at open houses in Petersburg, AK, and Kake, AK. The scoping process will include: (1) Identification of potential issues; (2)

identification of issues to be analyzed in depth; and, (3) elimination of insignificant issues or those which have been covered by a previous environmental review. For the Forest Service to best use the scoping input, comments should be received by February 7, 2000.

Based on results of scoping and the resource capabilities within the project area, alternatives including a "no action" alternative will be developed for the Draft Environmental Impact Statement. The Draft Environmental Impact Statement is projected to be filed with the Environmental Protection Agency (EPA) in March 2000. Subsistence hearings, as provided for in Title VIII, Section 810 of the Alaska National Interest Lands Conservation Act (ANILCA), will be provided, if necessary, during the comment period on the Draft Environmental Impact Statement. The Final Environmental Impact Statement and Record of Decision are anticipated to be published in July 2000.

The comment period on the Draft Environmental Impact Statement will be 45 days from the date the Environmental Protection Agency publishes the notice of availability in the **Federal Register**.

The Forest Service believes, at this early stage, it is important to give reviewers notice of several court rulings related to public participation in the environmental review process. First, reviewers of Draft Environmental Impact Statements must structure their participation in the environmental review of the proposed so that it is meaningful and alerts an agency to the reviewer's position and contentions. *Vermont Yankee Nuclear Power Corp. v. NRDC*, 435 U.S. 519, 553, (1978). Environmental objections that could have been raised at the Draft Environmental Impact Statement stage may be waived or dismissed by the courts. *City of Angoon v. Hodel*, 803 F.2d 1016, 1022 (9th Cir. 1986) and *Wisconsin Heritages, Inc. v. Harris*, 490 F. Supp. 1334, 1338 (E.D. Wis. 1980). Because of these court rulings, it is very important that those interested in this proposed action participate by the close of the 45-day comment period so that substantive comments and objections are made available to the Forest Service at a time when it can meaningfully consider them and respond to them in the Final Environmental Impact Statement.

To assist the Forest Service in identifying and considering issues and concerns of the proposed action, comments during scoping and comments on the Draft Environmental

Impact Statement should be as specific as possible. It is also helpful if comments refer to specific pages or chapters of the Draft Environmental Impact Statement. Comments may also address the adequacy of the Draft Environmental Impact Statement or the merits of the alternatives formulated and discussed in the statement. Reviewers may wish to refer to the Council on Environmental Quality Regulations for implementing the procedural provisions of the National Environmental Policy Act at 40 CFR 1503.3 in addressing these points. Comments received in response to this solicitation, including names and addresses of those who comment, will be considered part of the public record on this proposed action and will be available for public inspection. Comments submitted anonymously will be accepted and considered; however, those who submit anonymous comments will not have standing to appeal the subsequent decision under 36 CFR Part 215 or 217. Additionally, pursuant to 7 CFR 1.27(d), any person may request the agency to withhold a submission from the public record by showing how the Freedom of Information Act (FOIA) permits such confidentiality. Requesters should be aware that, under FOIA, confidentiality may be granted in only very limited circumstances, such as to protect trade secrets. The Forest Service will inform the requester of the agency's decision regarding the request for confidentiality, and where the request is denied, the agency will return the submission and notify the requester that the comments may be resubmitted with or without name and address within 7 days.

Permits required for implementation include the following:

1. U.S. Army Corps of Engineers

- Approval of discharge of dredged or fill material into the waters of the United States under Section 404 of the Clean Water Act; and
- Approval of the construction of structures or work in navigable waters of the United States under Section 10 of the Rivers and Harbors Act of 1899.

2. Environmental Protection Agency

- National Pollutant Discharge Elimination System (402) Permit; and
- Review Spill Prevention Control and Countermeasure Plan.

3. State of Alaska, Department of Natural Resources

- Tideland Permit and Lease or Easement.

4. State of Alaska, Department of Environmental Conservation

- Solid Waste Disposal Permit; and
- Certification of Compliance with Alaska Water Quality Standards (401 Certification).

RESPONSIBLE OFFICIAL: Carol Jorgensen, Assistant Forest Supervisor, Tongass National Forest, P.O. Box 309, Alaska 99833, is the responsible official. The responsible official will consider the comments, response, disclosure of environmental consequences, and applicable laws, regulations, and policies in making the decision and stating the rationale in the Record of Decision.

Dated: December 29, 1999.

Carol J. Jorgensen,
Assistant Forest Supervisor.

[FR Doc. 00-1109 Filed 1-14-00; 8:45 am]

BILLING CODE 3410-11-M

DEPARTMENT OF AGRICULTURE

Forest Service

California Coast Provincial Advisory Committee (PAC)

AGENCY: Forest Service, USDA.

ACTION: Notice of Meeting.

SUMMARY: The California Coast Provincial Advisory Committee (PAC) will meet on February 2 and 3, 2000, at the Six Rivers National Forest Supervisor's Office in Eureka, California. The meeting will be held from 8:30 a.m. to 5:00 p.m. both days. The Forest Supervisor's Office is located at 1330 Bayshore Way in Eureka. Agenda items to be covered include: (1) Survey and Manage Draft Supplemental Environmental Impact Statement Presentation and Work on the Ground Subcommittee Recommendations; (2) Regional Ecosystem Office (REO) update; (3) Aquatic Conservation Subcommittee recommendations; (4) Megan Fire update; (5) Presentation on EPA's Draft Clean Water Action Plan; (6) Presentation on Natural Resources Conservation Service Erosion Control Plans; (7) Northern spotted owl baseline study final results and recommendations; and (8) Open public comment. All California Coast Provincial Advisory Committee meetings are open to the public. Interested citizens are encouraged to attend.

FOR FURTHER INFORMATION CONTACT:

Direct questions regarding this meeting to Daniel Chisholm, Forest Supervisor, or Phebe Brown, Province Coordinator, USDA, Mendocino National Forest, 825

N. Humboldt Avenue, Willows, CA 95988, (530) 934-3316.

Dated: January 10, 2000.

Daniel K. Chisholm,

Forest Supervisor.

[FR Doc. 00-996 Filed 1-14-00; 8:45 am]

BILLING CODE 3410-11-M

DEPARTMENT OF AGRICULTURE

Natural Resources Conservation Service

Buffalo Rapids Watershed, Montana

AGENCY: Natural Resources Conservation Service, USDA.

ACTION: Notice of Finding Of No Significant Impact.

SUMMARY: Pursuant to Section 102(2)(C) of the National Environmental Policy Act of 1969; the Council on Environmental Quality Guidelines (40 CFS Part 1500); and the Natural Resources Conservation Service Guidelines (7 CFR Part 650); the Natural Resources Conservation Service, U.S. Department of Agriculture, gives notice that an environmental impact statement is not being prepared for the Buffalo Rapids Watershed, Custer, Dawson, and Prairie Counties, Montana.

FOR FURTHER INFORMATION CONTACT:

Shirley Gammon, State Conservationist, Natural Resources Conservation Service, 10 East Babcock, Room 443, Bozeman, Montana, 59715, telephone (406) 587-6813.

SUPPLEMENTARY INFORMATION: The environmental assessment of this federally assisted action indicates that the project will not cause significant local, regional, or national impacts on the environment. As a result of these findings, Shirley Gammon, State Conservationist, has determined that the preparation and review of an environmental impact statement are not needed for this project.

The project concerns a plan for agricultural water management and watershed protection. The planned works of improvement include 19,000 acres of irrigation water management, nutrient management and conservation crop rotation; 2,100 acres of pest management; 500 acres of prescribed grazing; 65 miles of gated pipe; 30 miles of on-farm pipelines; 1,900 acres of center pivots; 1,900 acres of land leveling; 73 miles of lateral pipelines; improvements to 12 feedlots; and 8,000 acres of polyacrylamide application.

The Notice of a Finding of No Significant Impact (FONSI) has been forwarded to the Environmental

Protection Agency and to various federal, state, and local agencies and interested parties. A limited number of copies of the FONSI are available to fill single copy requests at the above address. Basic data developed during the environmental evaluation are on file and may be reviewed by contacting David Heilig.

No administrative action on implementation of the proposal will be taken until 30 days after the date of this publication in the **Federal Register**.

(This activity is listed in the Catalog of Federal Domestic Assistance under No. 10.904—Watershed Protection and Flood Prevention—and is subject to the provisions of Executive Order 12372, which requires entrgovernmental consultation with state and local officials.)

Dated: January 3, 2000.

Shirley Gammon,

State Conservationist.

[FR Doc. 00–1020 Filed 1–14–00; 8:45 am]

BILLING CODE 3410–16–M

DEPARTMENT OF AGRICULTURE

Rural Housing Service

Notice of Request for Extension of a Currently Approved Information Collection

AGENCY: Rural Housing Service, USDA.

ACTION: Proposed collection; comments requested.

SUMMARY: In accordance with the Paperwork Reduction Act of 1995, this notice announces the Rural Housing Service's (RHS) intention to request an extension for a currently approved information collection in support of the regulation for Account Servicing Policies.

DATES: Comments on this notice must be received by March 20, 2000, to be assured of consideration.

FOR FURTHER INFORMATION CONTACT: Janet Stouder, Senior Loan Officer, Multi-Family Housing Portfolio Management Division, Rural Housing Service, USDA, STOP 0782, 1400 Independence Ave. SW, Washington, DC 20250–0782; Telephone (202) 720–9728.

SUPPLEMENTARY INFORMATION: *Title:* Account Servicing Policies.

OMB Number: 0575–0075.

Expiration Date of Approval: February 29, 2000.

Type of Request: Extension of a currently approved information collection.

Abstract: The Rural Housing Service provides supervised credit in the form

of Single Family Housing, Multi-Family Housing, and Community Facility loans and grants. 7 CFR part 1951, subpart A sets forth the policies and procedures, including the collection and use of information, regarding the application of payments on loans made under the programs administered by the agencies and the return of paid-in-full and satisfied promissory notes.

The programs are administered under the provisions of the Consolidated Farm and Rural Development Act (CONACT), as amended. Section 339(a) of the CONACT authorizes the Secretary of Agriculture to make the rules and regulations necessary to carry out the programs authorized within the Act.

Information collection is submitted by Agency borrowers to the local Agency office servicing the county in which their operation is located and is used by agency servicing officials.

Estimate of Burden: Public reporting burden for this collection of information is estimated to average .25 hours per response.

Respondents: Individuals or households and businesses and other for-profit.

Estimated Number of Respondents: 110.

Estimated Number of Responses per Respondent: 1.

Estimated Total Annual Burden on Respondents: 28 hours.

Copies of this information collection can be obtained from Tracy Gillin, Regulations and Paperwork Management Branch, at (202) 692–0039.

Comments: Comments are invited on: (a) Whether the proposed collection of information is necessary for the proper performance of the functions of the Agency, including whether the information will have practical utility; (b) the accuracy of the Agency's estimate of the burden of the proposed collection of information including the validity of the methodology and assumptions used; (c) ways to enhance the quality, utility and clarity of the information to be collected; and (d) ways to minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology. Comments may be sent to Tracy Gillin, Regulations and Paperwork Management Branch, U.S. Department of Agriculture, Rural Development, STOP 0742, 1400 Independence Ave. SW, Washington, DC 20250. All responses to this notice will be summarized and included in the request

for OMB approval. All comments will also become a matter of public record.

Dated: January 10, 2000.

Eileen M. Fitzgerald,

Acting Administrator Rural Housing Service.

[FR Doc. 00–1048 Filed 1–14–00; 8:45 am]

BILLING CODE 3410–XV–U

DEPARTMENT OF COMMERCE

Census Bureau

Census 2000 Evaluation of Non-English Speaking Respondents

ACTION: Proposed collection; Comment request.

SUMMARY: The Department of Commerce, as part of its continuing effort to reduce paperwork and respondent burden, invites the general public and other Federal agencies to take this opportunity to comment on proposed and/or continuing information collections, as required by the Paperwork Reduction Act of 1995, Public Law 104–13 (44 U.S.C. 3506(C)(2)(A)).

DATES: Written comments must be submitted on or before March 20, 2000.

ADDRESSES: Direct all written comments to Linda Engelmeier, Departmental Forms Clearance Officer, Department of Commerce, Room 5027, 14th and Constitution Avenue, NW, Washington, DC 20230 (or via the Internet at LEngelme@doc.gov).

FOR FURTHER INFORMATION CONTACT: Requests for additional information or copies of the information collection instrument(s) and instructions should be directed to Erin Whitworth, U.S. Census Bureau, SFC–2, Rm. 2228, Washington, DC, 20233–0001, 301–457–8024, Erin.M.Whitworth@ccmail.census.gov.

SUPPLEMENTARY INFORMATION:

Abstract

The Census Bureau must provide everyone living or staying in the United States on Census Day the opportunity to be counted in Census 2000. Many programs for non-English speaking respondents have been developed to assist in questionnaire response. These programs include questionnaires and Be Counted forms in Spanish, Korean, Chinese, Tagalog, and Vietnamese; Questionnaire Assistance Centers (QACs), which provide Language Assistance Guides (LAGs) in 49 additional languages; bilingual enumerators during follow-up operations, and Telephone Questionnaire Assistance (TQA) in

Spanish, Korean, Chinese, Tagalog, and Vietnamese. The Census Bureau anticipates that many of the non-English speaking respondents will use these programs. However, others may not use these programs for a variety of different reasons (*i.e.*, lack of awareness, fear, apathy, *etc.*).

The U.S. Census Bureau would like to better understand how non-English speaking respondents cope with the Census. To do this the Census Bureau is proposing to conduct a follow-up interview of long-form respondents that indicate they speak a language other than English at home. The types of information collected during the interview will address their awareness of the QACs, Be Counted forms, and LAGs; their ability to have completed the questionnaire on their own (*i.e.* did the non-English speaking respondent obtain help from a neighbor or someone else that speaks English?); and the language of the interview in Nonresponse Follow-up (NRFU).

II. Method of Collection

The reinterview will be conducted by telephone with specially trained bilingual interviewers. A telephone reinterview of approximately 5,000 cases will be conducted to result in approximately 1,000 completed cases for each of three languages. The reinterview will be done in Spanish, one language to be selected from the remaining four in which there are non-English questionnaires (Korean, Chinese, Tagalog, and Vietnamese), and one other language to be selected from those that have no non-English questionnaires. We plan to select the language groups for which the census process is expected to be most difficult based on linguistic isolation and other potential barriers to enumeration. The prevalence of the non-English language will also be a decision factor. The sample will be post-stratified based on the mode of response (*i.e.*, English form, non-English form, or enumerator form). We will conduct this operation in two waves with the first wave composed of those respondents returning a form through the mail, and the second wave composed of those respondents enumerated in NRFU. In the reinterview, we will attempt to determine: (1) If the respondents were aware of the QACs, LAGs, and Be Counted Forms, (2) Why the respondents did or did not use those services, and (3) For those responding in English yet indicating they do not speak English well, it is desired to know from whom they obtained assistance. The interviews will be performed May–July 2000, after the availability of the

appropriate data files from which the sample will be obtained.

III. Data

OMB Number: Not available.

Form Number: Not available.

Type of Review: Regular Submission.

Affected Public: Individuals.

Estimated Number of Respondents: 5000.

Estimated Time per Response: 20 minutes.

Estimated Total Annual Burden Hours: 1,667 hours.

Estimated Total Annual Cost: There is no cost to the respondent other than the time to provide the requested information.

Respondent's Obligation: Voluntary.

Legal Authority: Title 13, United States Code, Sections 141 and 193.

IV. Request for Comments

Comments are invited on: (a) Whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information shall have a practical utility; (b) the accuracy of the agency's estimate of the burden (including hours and cost) of the proposed collection of information; (c) ways to enhance the quality, utility, and clarity of the information to be collected; and (d) ways to minimize the burden of the collection of information on respondent; including through the use of automated collection techniques or other forms of information technology.

Comments submitted in response to this notice will be summarized and/or included in the request for OMB approval of this information collection; they also will become a matter of public record.

Dated: January 12, 2000.

Madeleine Clayton,

Management Analyst,

Office of the Chief Information Officer.

[FR Doc. 00–1061 Filed 1–14–00; 8:45 am]

BILLING CODE 3510–07–P

DEPARTMENT OF COMMERCE

Bureau of Export Administration

Information Systems Technical Advisory Committee; Notice of Partially Closed Meeting

The information Systems Technical Advisory Committee (ISTAC) will meet on February 3 & 4, 2000, 9 a.m., at the SPAWAR Systems Center, Rosecrans Street (Point Loma area), San Diego, California. Committee members and visitors are asked to check in at Visitor

Reception before the meeting. Both the public session and the closed session will be held in Building 111, Room 266. The Committee advises the Office of the Assistant Secretary for Export Administration on technical questions that affect the level of export controls applicable to information systems equipment and technology.

February 3

Public Session

1. Comments or presentations by the public.
2. An industry proposal on changes to Category 5—telecommunications.
3. Overview of encryption regulations: an industry perspective.
4. Industry presentation on low-power microprocessors.
5. An industry proposal on changes to semiconductor manufacturing equipment controls.
6. Discussion on alternatives to Composite Theoretical Performance (CTP) for measuring computer performance.

February 3 & 4

Closed Session

7. Discussion of matters properly classified under Executive Order 12958, dealing with U.S. export control programs and strategic criteria related thereto.

A limited number of seats will be available for the public session. Reservations are not required. To the extent time permits, members of the public may present oral statements to the Committee. The public may submit written statements at any time before or after the meeting. However, to facilitate distribution of public presentation materials to Committee members, the Committee suggests that public presentation materials or comments be forwarded before the meeting to the address listed below:

Ms. Lee Ann Carpenter, Advisory Committees MS: 3876, U.S. Department of Commerce, 15th St. & Pennsylvania Ave., N.W., Washington, D.C. 20230

The Assistant Secretary for Administration, with the concurrence of the delegate of the General Counsel, formally determined on September 10, 1999, pursuant to section 10(d) of the Federal Advisory Committee Act, as amended, that the series of meetings or portions of meetings of these Committees and of any Subcommittees thereof, dealing with the classified materials listed in 5 U.S.C. 552(c)(1) shall be exempt from the provisions relating to public meetings found in section 10(a)(1) and (a)(3), of the Federal

Advisory Committee Act. The remaining series of meetings or portions thereof will be open to the public.

A copy of the Notice of Determination to close meetings or portions of meetings of these Committees is available for public inspection and copying in the Central Reference and Records Inspection Facility, Room 6020, U.S. Department of Commerce, Washington, D.C. For further information or copies of the minutes call Lee Ann Carpenter, 202-482-2583.

Dated: January 11, 2000.

Lee Ann Carpenter,

Committee Liaison Officer.

FR Doc. 00-1098 Filed 1-14-00; 8:45am]

BILLING CODE 3510-33-M

DEPARTMENT OF COMMERCE

International Trade Administration

[A-401-806]

Stainless Steel Wire Rod From Sweden: Rescission of First Antidumping Duty Administrative Review

AGENCY: Import Administration, International Trade Administration, Department of Commerce.

ACTION: Notice of Rescission of the First Antidumping Duty Administrative Review.

SUMMARY: On November 4, 1999, in response to a September 30, 1999, request made by Fagersta Stainless AB, a producer/exporter of stainless steel wire rod from Sweden, the Department of Commerce published the initiation of an administrative review of the antidumping duty order on stainless steel wire rod from Sweden, covering the period March 5, 1998 through August 31, 1999. This review has now been rescinded as a result of the timely withdrawal of the request for review by Fagersta Stainless AB.

EFFECTIVE DATE: January 18, 2000.

FOR FURTHER INFORMATION CONTACT: Brian Smith or Terre Keaton, AD/CVD Enforcement, Import Administration, International Trade Administration, U.S. Department of Commerce, 14th Street & Constitution Avenue, NW, Washington, DC 20230, telephone: (202) 482-1766 and (202) 482-1280, respectively.

SUPPLEMENTARY INFORMATION: Unless otherwise indicated, all citations to the statute are references to the provisions effective January 1, 1995, the effective date of the amendments made to the Tariff Act of 1930 ("the Act") by the Uruguay Round Agreements Act. In

addition, unless otherwise indicated, all citations to the Department of Commerce's ("the Department's") regulations refer to 19 CFR part 351 (1999).

Background

On September 15, 1998, the Department published an antidumping duty order on stainless steel wire rod from Sweden (63 FR 49329). On September 30, 1999, the above-mentioned producer/exporter requested an administrative review of the antidumping duty order on stainless steel wire rod from Sweden covering the period of March 5, 1998, through August 31, 1999. In accordance with 19 CFR 351.221(c)(1)(i), we published the initiation of the review on November 4, 1999 (64 FR 60161). On December 22, 1999, Fagersta Stainless AB ("Fagersta") withdrew its request for review.

Rescission of Review

The Department's regulations at 19 CFR 351.213(d)(1) provide that the Department may rescind an administrative review if a party that requested a review withdraws the request within 90 days of the date of publication of the notice of initiation of the requested review. Fagersta withdrew its request for an administrative review on December 22, 1999, which is within the 90-day deadline.

Therefore, the Department has determined to grant the request to rescind this administrative review with respect to Fagersta.

This notice also serves as a reminder to parties subject to administrative protective order ("APO") of their responsibility concerning the disposition of proprietary information disclosed under APO in accordance with 19 CFR 351.305(a)(3). Timely written notification of the return or destruction of APO materials or conversion to judicial protective order is hereby requested. Failure to comply with the regulations and the terms of an APO is a sanctionable violation.

This determination is issued and published in accordance with sections 751(a)(1) and 777(i)(1) of the Tariff Act of 1930, as amended.

Dated: January 11, 2000.

Richard W. Moreland,

Deputy Assistant Secretary for Import Administration.

[FR Doc. 00-1100 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE

International Trade Administration

[A-570-601]

Tapered Roller Bearings and Parts Thereof, Finished and Unfinished, From the People's Republic of China; Notice of Extension of Time Limit for 1998-1999 Administrative Review

AGENCY: Import Administration, International Trade Administration, Department of Commerce.

ACTION: Notice of Extension of Time Limit.

SUMMARY: The Department of Commerce is extending the time limit for the preliminary results of the twelfth review of the antidumping duty order on tapered roller bearings and parts thereof, finished and unfinished, from the People's Republic of China. The period of review is June 1, 1998 through May 31, 1999. This extension is made pursuant to section 751(a)(3)(A) of the Tariff Act of 1930, as amended by the Uruguay Round Agreements Act.

EFFECTIVE DATE: January 18, 2000.

FOR FURTHER INFORMATION CONTACT: James Breeden, Import Administration, International Trade Administration, U.S. Department of Commerce, 14th Street and Constitution Avenue, N.W., Washington D.C. 20230; telephone (202) 482-1174.

SUPPLEMENTARY INFORMATION: We have determined that this review will require the analysis of additional factors not present in prior reviews. See the January 5, 2000, Memorandum from Deputy Assistant Secretary for AD/CVD Enforcement Richard W. Moreland to Assistant Secretary for Import Administration Robert S. LaRussa on file in the public file of the Central Records Unit, B-099 of the Department. Because it is not practicable to complete this review within the originally anticipated time limit (*i.e.*, March 2, 2000), the Department of Commerce ("the Department") is extending the time limit for completion of the preliminary results to not later than June 30, 2000, in accordance with section 751(a)(3)(A) of the Tariff Act of 1930, as amended by the Uruguay Round Agreements Act ("the Act").

We are issuing and publishing this notice in accordance with sections 751(a)(1) and 777(i)(1) of the Act.

Dated: January 6, 2000.

Richard W. Moreland,

Deputy Assistant Secretary for AD/CVD Enforcement.

[FR Doc. 00-1102 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE**International Trade Administration**

[A-549-502]

Certain Welded Carbon Steel Pipes and Tubes From Thailand; Notice of Amended Final Results of Antidumping Duty Administrative Review in Accordance With Final Court Decision

AGENCY: Import Administration, International Trade Administration, Department of Commerce.

ACTION: Notice of Amended Final Results of Administrative Review in Accordance with Final Court Decision on Certain Welded Carbon Steel Pipes and Tubes from Thailand.

EFFECTIVE DATE: January 18, 2000.

FOR FURTHER INFORMATION CONTACT: Dana Mermelstein or Javier Barrientos, AD/CVD Enforcement Group III, Office VII, Room 7866, Import Administration, International Trade Administration, U.S. Department of Commerce, 14th Street and Constitution Avenue, NW, Washington, DC 20230; telephone: (202) 482-3208 or (202) 482-2243, respectively.

SUMMARY: On October 6, 1999, the U.S. Court of International Trade (the Court) affirmed the Department of Commerce's (the Department) remand determination of the final results of the antidumping duty administrative review of Certain Welded Carbon Steel Pipes and Tubes from Thailand. As no further appeals have been filed and there is now a final and conclusive court decision in this action, we are amending our final results.

SUPPLEMENTARY INFORMATION:**Background**

On October 16, 1997, the Department published the final results of the administrative review in Certain Welded Carbon Steel Pipes and Tubes from Thailand (62 FR 53808) (*Final Results*), covering the period March 1, 1995 through February 29, 1996.

Respondents challenged the Department's application of the affiliated parties standard, provided in 19 U.S.C. 1677(33) (1994), and our subsequent conclusion that Saha Thai was affiliated with several companies based on common control by various family groupings. In the *Final Results*, the Department had determined pursuant to 19 U.S.C. 1677(33) (1994), that Saha Thai was affiliated with two producers, Thai Tube and Thai Hong; three home market customers; and, two members of the Siam Steel Group. The

Department found that Saha Thai had significantly impeded the review by failing to disclose these affiliations. Thus, for the *Final Results*, the Department determined a dumping margin of 29.89 per-cent for the period of review (POR), based on total adverse facts available. On March 23, 1999, the Court remanded these final results. See *Ferro Union, Inc. v. United States*, 44 F. Supp.2d 1310 (Ct. Int'l Trade 1999) (*Ferro Union*).

The Court found that the Department's interpretation of "family," as stated in 19 U.S.C. § 1677(33)(A), was reasonable and affirmed that interpretation. However, the Court also found that the Department had provided insufficient guidance with respect to its interpretation of the term; specifically, that more distantly-related family members, beyond those listed in the statute, were to be included. Therefore, the Court ordered the Department to reconsider the use of total adverse facts available. The Court also instructed the Department to revisit other factual determinations. See (*Ferro Union*). The Department issued its remand determination on July 6, 1999. See *Remand Determination: Ferro Union, Inc. and Asoma Corporation v. United States*, Court No. 97-11-01973 (hereinafter "*Remand Results*" or "*RR*"), in which the Department calculated a dumping margin based on partial adverse facts available.

On October 6, 1999, the Court affirmed the Department's remand results, upholding the use of partial adverse facts available. See *Ferro Union Inc and Asoma Corporation v. The United States*, Slip Op. 99-104 (CIT, October 6, 1999). Pursuant to the Court's order, we have placed on the record in this case the margin calculation program using partial adverse facts available.

Amendment to Final Results of Review

Because no further appeals have been filed and there is now a final and conclusive decision in the court proceeding, effective as of the publication date of this notice, we are amending the *Final Results*, and establishing the following revised dumping margin:

CERTAIN WELDED CARBON STEEL PIPES AND TUBES FROM THAILAND (POR 1995-1996)

Producer/management/exporter	Weighted-average margin
Saha Thai	9.52 percent.

The "All Others Rate" was not affected by the *Remand Determination*,

and remains at 15.67 per-cent. See *Final Results* FR 62 (37543).

The Department will instruct the Customs Service to assess these revised antidumping duties on all appropriate entries. The Department will issue appraisal instructions directly to the Customs Service.

Dated: January 5, 2000.

Robert S. LaRussa,

Assistant Secretary for Import Administration.

[FR Doc. 00-1103 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE**International Trade Administration**

[C-428-812]

Certain Hot-Rolled Lead and Bismuth Carbon Steel Products From Germany: Rescission of Countervailing Duty Administrative Review and Initiation and Preliminary Results of Changed Circumstances Review and Intent To Revoke Order

AGENCY: Import Administration, International Trade Administration, Department of Commerce.

ACTION: Notice of rescission of countervailing duty administrative review and initiation and preliminary results of changed circumstances review and intent to revoke order.

SUMMARY: In response to a request from Ispat Inland Inc. (Ispat) and Republic Technologies International (RTI) (the successors to the petitioners in this proceeding) and from domestic producer Birmingham Steel Corporation (BSC) (collectively, the domestic producers), the Department of Commerce (the Department) is rescinding the current administrative review of the countervailing duty order on certain hot-rolled lead and bismuth carbon steel products from Germany. This administrative review covers the period January 1, 1998, through December 31, 1998. In addition, in response to a request from the domestic producers, we are initiating a changed circumstances review and issuing this notice of intent to revoke the countervailing duty order on certain hot-rolled lead and bismuth carbon steel products from Germany. The domestic producers requested that the Department revoke the order retroactive to January 1, 1998, because they no longer have an interest in maintaining the order.

EFFECTIVE DATE: January 18, 2000.

FOR FURTHER INFORMATION CONTACT:

Robert Copyak or Richard Herring, AD/CVD Enforcement Office VI, Import Administration, International Trade Administration, U.S. Department of Commerce, 14th Street and Constitution Avenue, N.W., Washington, DC 20230; telephone (202) 482-2613 or (202) 482-1503, respectively.

SUPPLEMENTARY INFORMATION:**The Applicable Statute and Regulations**

Unless otherwise indicated, all citations to the Tariff Act of 1930, as amended (the Act), are references to the provisions effective January 1, 1995, the effective date of the amendments made to the Act by the Uruguay Round Agreements Act (URAA). In addition, unless otherwise indicated, all citations to the Department's regulations are to the regulations codified at 19 CFR Part 351 (April 1999).

Background

On November 24, 1999, the domestic producers requested that the Department conduct a changed circumstances review to revoke the countervailing duty order on certain hot-rolled lead and bismuth carbon steel products from Germany retroactive to January 1, 1998. The domestic producers stated that circumstances have changed such that they no longer have an interest in maintaining the countervailing duty order. They also stated that they represent approximately 85 to 90 percent of the domestic production of the domestic like product to which the order pertains. The domestic producers also requested that, due to the pendency of the ongoing administrative review of the order, the Department complete the changed circumstances review on an expedited basis. On January 5, 2000, the domestic producers submitted a letter withdrawing their request for the administrative review of the period January 1, 1998, through December 31, 1998.

Scope of Review

The products covered are hot-rolled bars and rods of nonalloy or other alloy steel, whether or not descaled, containing by weight 0.03 percent or more of lead or 0.05 percent or more of bismuth, in coils or cut lengths, and in numerous shapes and sizes. Excluded from the scope are other alloy steels (as defined by the Harmonized Tariff Schedule of the United States (HTSUS) Chapter 72, note 1 (f)), except steels classified as other alloy steels by reasons of containing by weight 0.4 percent or more of lead, or 0.1 percent or more of bismuth, tellurium, or

selenium. Also excluded are semi-finished steels and flat-rolled products. Most of the products covered in this review are provided for under subheadings 7213.20.00.00 and 7214.30.00.00 of the HTSUS. Small quantities of these products may also enter the United States under the following HTSUS subheadings: 7213.31.30.00; 7213.31.60.00; 7213.39.00.30; 7213.39.00.60; 7213.39.00.90; 7213.91.30.00; 7213.91.45.00; 7213.91.60.00; 7213.99.00; 7214.40.00.10; 7214.40.00.30; 7214.40.00.50; 7214.50.00.10; 7214.50.00.30; 7214.50.00.50; 7214.60.00.10; 7214.60.00.30; 7214.60.00.50; 7214.91.00; 7214.99.00; 7228.30.80.00; and 7228.30.80.50. HTSUS subheadings are provided for convenience and Customs purposes. The written description of the scope of this proceeding is dispositive.

Rescission of Administrative Review

On January 5, 2000, the domestic producers submitted a letter withdrawing their request for the administrative review of the period January 1, 1998, through December 31, 1998. Given the domestic producers' request for a changed circumstances review and their statement of no further interest in the order retroactive to January 1, 1998, we have determined that it is reasonable to rescind this administrative review. Therefore, in accordance with 19 CFR 351.213(d)(1), we are rescinding this administrative review.

Initiation and Preliminary Results of Changed Circumstances Review and Intent to Revoke Order

Pursuant to section 751(d)(1) of the Act, the Department may revoke, in whole or in part, a countervailing duty order based on a review under section 751(b) of the Act (*i.e.*, a changed circumstances review). Section 751(b)(1) of the Act requires a changed circumstances review to be conducted upon receipt of a request containing sufficient information concerning changed circumstances.

The Department's regulations at 19 CFR 351.216(d) require the Department to conduct a changed circumstances review in accordance with 19 CFR 351.221 if it decides that changed circumstances sufficient to warrant a review exist. Section 782(h) of the Act and 19 CFR 351.222(g)(1)(i) provide further that the Department may revoke an order, in whole or in part, if it concludes that the order under review is no longer of interest to producers accounting for substantially all of the

production of the domestic like product. In addition, in the event that the Department concludes that expedited action is warranted, 19 CFR 351.221(c)(3)(ii) permits the Department to combine the notices of initiation and preliminary results.

Ispat, RTI, and BSC are domestic interested parties as defined by section 771(9)(E) of the Act and 19 CFR 351.102(b). These parties indicated that they represent approximately 85 to 90 percent of the domestic production of the domestic like product to which the order pertains. We preliminarily determine that these parties represent producers accounting for substantially all of the production of the domestic like product. Therefore, based on the affirmative statement by Ispat, RTI, and BSC of no interest in the continued application of the countervailing duty order on certain hot-rolled lead and bismuth carbon steel products from Germany, we are initiating this changed circumstances review. Further, based on the domestic producers' request, we have determined that expedited action is warranted, and we are combining the notices of initiation and preliminary results. We have preliminarily determined that there are changed circumstances sufficient to warrant revocation of the order in whole. Because the statement of no interest dates back to January 1, 1998, we also are hereby notifying the public of our intent to revoke in whole the countervailing duty order on certain hot-rolled lead and bismuth carbon steel products from Germany retroactive to January 1, 1998.

If final revocation of the order occurs, we intend to instruct the Customs Service to end the suspension of liquidation and to refund any estimated countervailing duties collected for all unliquidated entries of certain hot-rolled lead and bismuth carbon steel products from Germany on or after January 1, 1998, in accordance with 19 CFR 351.222(g)(4). We will also instruct the Customs Service to pay interest on such refunds in accordance with section 778 of the Act. The current requirement for a cash deposit of estimated countervailing duties will continue until publication of the final results of this changed circumstances review.

Public Comment

Any interested party may request a hearing within 10 days of publication of this notice. Any hearing, if requested, will be held no later than 28 days after the date of publication of this notice. Written comments from interested parties may be submitted not later than 14 days after the date of publication of

this notice. Rebuttal comments to written comments, limited to issues raised in those comments, may be filed not later than 21 days after the date of publication of this notice. All written comments shall be submitted in accordance with 19 CFR 351.303. Persons interested in attending any public hearing (if requested) should contact the Department for the date and time of the hearing. The Department will publish the final results of this changed circumstances review, including the results of its analysis of issues raised in any written comments or at a hearing.

This notice is in accordance with section 751(b)(1) of the Act and 19 CFR 351.216 and 351.222.

Dated: January 7, 2000.

Robert S. LaRussa,

Assistant Secretary for Import Administration.

[FR Doc. 00-1101 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DS-P

DEPARTMENT OF COMMERCE

International Trade Administration

Export Trade Certificate of Review

ACTION: Notice of Issuance of an Export Trade Certificate of Review, Application No. 99-00006.

SUMMARY: The Department of Commerce has issued an Export Trade Certificate of Review to T.P. International Expo Services Inc. ("TPIES"). This notice summarizes the conduct for which certification has been granted.

FOR FURTHER INFORMATION CONTACT: Morton Schnabel, Director, Office of Export Trading Company Affairs, International Trade Administration, 202-482-5131. This is not a toll-free number.

SUPPLEMENTARY INFORMATION: Title III of the Export Trading Company Act of 1982 (15 U.S.C. 4001-21) authorizes the Secretary of Commerce to issue Export Trade Certificates of Review. The regulations implementing Title III are found at 15 CFR Part 325 (1999).

The Office of Export Trading Company Affairs ("OETCA") is issuing this notice pursuant to 15 CFR 325.6(b), which requires the Department of Commerce to publish a summary of a Certificate in the **Federal Register**. Under Section 305(a) of the Act and 15 CFR 325.11(a), any person aggrieved by the Secretary's determination may, within 30 days of the date of this notice, bring an action in any appropriate district court of the United States to set

aside the determination on the ground that the determination is erroneous.

Description of Certified Conduct

Export Trade

1. *Products*; All products.
2. *Services*; All services.
3. *Technology Rights*. Technology rights including, but not limited to, patents, trademarks, copyrights and trade secrets that relate to Products and Services.
4. *Export Trade Facilitation Services (as they Relate to the Export of Products, Services and Technology Rights)*: Export Trade Facilitation Services, including, but not limited to: professional services in the areas of government relations and assistance with state and federal export programs, foreign trade and business protocol; consulting; market research and analysis; collection of information on trade opportunities; marketing; negotiations; joint ventures; shipping and export management; export licensing; advertising; documentation and services related to compliance with customs requirements; insurance and financing; bonding; warehousing; export trade promotion; trade show exhibitions; organizational development; management and labor strategies; transfer of technology; transportation; and facilitating the formation of shippers' associations.

Export Markets

The Export Markets include all parts of the world except the United States (the fifty states of the United States, the District of Columbia, the Commonwealth of Puerto Rico, the Virgin Islands, American Samoa, Guam, the Commonwealth of the Northern Mariana Islands, and the Trust Territory of the Pacific Islands).

Export Trade Activities and Methods of Operation

TPIES, Inc. may engage in the following activities with respect to Export Markets:

1. Provide and/or arrange for the provision of Export Trade Facilitation Services;
2. Engage in promotion and marketing activities and collect and distribute information on trade opportunities in the Export Markets;
3. Enter into exclusive and/or non-exclusive agreements with distributors, foreign buyers, and/or sales representatives in Export Markets;
4. Enter into exclusive or non-exclusive sales agreements with Suppliers, Export Intermediaries, or other persons for the sale of Products and Services in Export Markets;

5. Enter into exclusive or non-exclusive agreements with Suppliers, Export Intermediaries, or other persons for licensing Technology Rights in Export Markets;

6. Allocate sales, export orders and/or divide Export Markets among Suppliers, Export Intermediaries, or other persons for the sale of Products and Services;

7. Allocate the licensing of Technology Rights in Export Markets among Suppliers, Export Intermediaries, or other persons;

8. Establish the price of Products and Services for sale in Export Markets;

9. Establish the fee for licensing of Technology Rights in Export Markets; and

10. Negotiate, enter into, and/or manage licensing agreements for the export of Technology Rights.

Terms and Conditions of Certificate

1. In engaging in Export Trade Activities and Methods of Operation, TPIES, Inc. will not intentionally disclose, directly or indirectly, to any Supplier any information about any other Supplier's costs, production, capacity, inventories, domestic prices, domestic sales, or U.S. business plans, strategies, or methods that is not already generally available to the trade or public.

2. TPIES, Inc. will comply with requests made by the Secretary of Commerce on behalf of the Secretary or the Attorney General for information or documents relevant to conduct under the Certificate. The Secretary of Commerce will request such information or documents when either the Attorney General or the Secretary of Commerce believes that the information or documents are required to determine that the Export Trade, Export Trade Activities and Methods of Operation of a person protected by this Certificate of Review continue to comply with the standards of Section 303(a) of the Act.

Definitions

1. *Export Intermediary* means a person who acts as a distributor, sales representative, sales or marketing agent, or broker, or who performs similar functions, including providing or arranging for the provision of Export Trade Facilitation Services.

2. *Supplier* means a person who produces, provides, or sells a Product and/or a Service.

Protection Provided by the Certificate

This Certificate protects TPIES, Inc. and its directors, officers, and employees acting on its behalf from private treble damage actions and government criminal and civil suits

under U.S. federal and state antitrust laws for the export conduct specified in the Certificate and carried out during its effective period in compliance with its terms and conditions.

A copy of this certificate will be kept in the International Trade Administration's Freedom of Information Records Inspection Facility Room 4102, U.S. Department of Commerce, 14th Street and Constitution Avenue, NW, Washington, DC 20230.

Dated: January 11, 2000.

Morton Schnabel,

Director, Office of Export Trading Company Affairs.

[FR Doc. 00-1017 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-P

DEPARTMENT OF COMMERCE

International Trade Administration

[Docket No. 000104003-0003-01]

Special American Business Internship Training Program (SABIT)

AGENCY: International Trade Administration, Commerce.

ACTION: Notice.

SUMMARY: In support of the U.S. State Department's Russian Regional Initiative for the Russian Far East, SABIT is launching a special grant program for the region of Sakhalin, Russia. This Notice announces availability of funds for the Special American Business Internship Training Program (SABIT), for training oil and gas managers and engineers (also referred to as "interns") from Sakhalin, Russia. The Department of Commerce, International Trade Administration (ITA) established the SABIT program in September 1990 to assist Russia's transition to a market economy. Since that time, SABIT has been matching business managers, engineers and scientists from Russia with U.S. firms which provide them hands-on training in a U.S. market economy.

Under the SABIT program, qualified U.S. firms will receive funds through a cooperative agreement with ITA to help defray the cost of hosting interns. ITA will interview and recommend eligible interns to participating companies. Interns must be from Sakhalin Region, Russia. The U.S. firms will be expected to provide the interns with a hands-on, non-academic, executive training program designed to maximize their exposure to management or technical operations. At the end of the training program, interns must return to Sakhalin, Russia.

DATES: The closing date for applications is March 3, 2000. An original and two copies of the application (Standard Form 424 (Rev. 4-92) and supplemental material) are to be sent to the address designated in the Application Kit and postmarked no later than the closing date. Applications will be considered on a "rolling" basis as they are received, subject to the availability of funds. If available funds are depleted prior to the closing date, a notice to that effect will be published in the **Federal Register**. Processing of complete applications takes approximately two to three months. All awards are expected to be made by May 2000.

ADDRESSES: Request for Applications: Competitive Application kits will be available from ITA starting on the day this notice is published. To obtain a copy of the Application Kit please E-mail: SABITApply@ita.doc.gov (please state which format, e.g. WordPerfect© 6.1), telephone (202) 482-0073, facsimile (202) 482-2443 (these are not toll free numbers), or send a written request with two self-addressed mailing labels to Application Request, The SABIT Program, HCHB Room 3319, U.S. Department of Commerce, 14th Street and Constitution Avenue, NW., Washington, DC, 20230. Only one copy of the Application Kit will be provided to each organization requesting it, but it may be reproduced by the requester.

FOR FURTHER INFORMATION CONTACT: Liesel C. Duhon, Director, SABIT Program, U.S. Department of Commerce, phone—(202) 482-0073, facsimile—(202) 482-2443. These are not toll free numbers.

SUPPLEMENTARY INFORMATION: SABIT exposes Russian business managers, engineers and scientists to a completely new way of thinking in which demand, consumer satisfaction, and profits drive production. Mid to senior-level executives visiting the U.S. for internship programs with public or private sector companies will be exposed to an environment which will provide them with practical knowledge for transforming their countries' enterprises and economies to the free market. The program provides first-hand, eye-opening experience to managers, engineers and scientists which cannot be duplicated by American managers traveling to their territories.

Managers and Engineers

SABIT assists economic restructuring in Russia by providing top-level business managers and engineers with practical training in American methods of innovation and management in such

areas as strategic planning, financing, production, distribution, marketing, accounting, wholesaling, technology and labor relations. This first-hand experience in the U.S. economy enables interns to become leaders in establishing and operating a market economy in Russia, and creates a unique opportunity for U.S. firms to familiarize key executives from Russia with their products and services. Sponsoring U.S. firms will benefit by establishing relationships with key managers in similar industries who are uniquely positioned to assist their U.S. sponsors to do business in Russia.

The Special American Business Internship Training program's Catalog of Federal Domestic Assistance (CFA) number is 11.114.

Funding Availability

Pursuant to section 632(a) of the Foreign Assistance Act of 1961, as amended (the "Act") funding for the program will be provided by the United States Agency for International Development (A.I.D.). ITA will award financial assistance and administer the program pursuant to the authority contained in section 635(b) of the Act and other applicable Grant rules. The estimated amount of financial assistance available for the program is \$420,000.

Funding Instrument and Project Duration

Federal assistance will be awarded pursuant to a cooperative agreement between ITA and the recipient firm. All internships are three to eighteen (18) months. Eighteen (18) month internships are limited in number and will be available on a case-by-case basis based on the needs identified in the training proposals. In addition, ITA reserves the right to allow an intern to stay for a shorter period of time (no less than one month) if the U.S. company agrees and the intern demonstrates a need for a shorter internship based on his or her management responsibilities. ITA will reimburse companies for the round trip international travel of each intern from the intern's home city in Sakhalin, Russia to one U.S. internship site, upon submission to ITA of the paid travel invoice, payment receipt, or other evidence of payment and the form SF-270, "Request for Advance or Reimbursement." Travel under the program is subject to the Fly America Act. Recipient firms provide \$30 per day directly to interns; ITA will reimburse recipient firms for this stipend of \$30 per day per intern, for up to 18 months, upon submission by company of an end-of-internship report and form SF-270. Recipient firms

provide housing for the interns; ITA will reimburse recipient firms for up to \$500 per month for actual housing costs, at the same time as the stipend, and upon submission by company of an end-of-internship report and form SF-270. In general, each award will have a cap of \$29,000 per intern (for a maximum period of eighteen (18) months) for total cost of airline travel, stipend and housing costs. However, the total payment cannot exceed the award amount. There are no specific matching requirements for the awards. Host firms, however, are expected to bear the costs beyond those covered by the award, including: visa fees, insurance, any food and incidental costs beyond \$30 per day, interpretation, training manuals, any training-related travel within the U.S., and provision of the hands-on training for the interns.

U.S. firms wishing to utilize SABIT in order to be matched with an intern without applying for financial assistance may do so. Such firms will be responsible for all costs, including travel expenses, related to sponsoring the intern. However, prior to acceptance as a SABIT intern, work plans and candidates must be approved by the SABIT Program. Furthermore, program training will be monitored by SABIT staff and evaluated upon completion of training.

Eligibility: Eligible applicants for the SABIT program will include all for-profit or non-profit U.S. corporations, associations, organizations or other public or private entities. Agencies or divisions of the federal government are not eligible.

Project Funding Priorities

Applicant proposal must provide an explanation, including description and extent of involvement, in priority business sector—oil and gas industry.

Evaluation Criteria: Consideration for financial assistance will be given to those SABIT proposals which:

(1) Demonstrate a commitment to the intent and goals of the program to provide practical, on-the-job, non-academic, non-classroom, training. Include a brief objectives section indicating why the Applicant wishes to provide an internship to a manager(s) or engineers(s) from Sakhalin, Russia, and how the proposed internship would further the purpose of the SABIT program as described above. Also, the Applicant should note how the internship to be provided will respond to the priority needs of senior business managers and engineers in Sakhalin, Russia, as determined by ITA.

(2) Present a realistic work plan describing in detail the training program

to be provided to the SABIT intern(s). Work plans must include the proposed internship training activities. The components of the training activities must be described in as much detail as possible, preferably on a week-by-week basis. The description of the training activities should include an account of what the intern's(s') duties and responsibilities will be during the training.

(3) The application should also have a section noting: (a). Whether Applicant is applying to host managers or engineers (and the number of each); (b). The duration of the internship; (c). The location(s) of the internship; (d). The name, address, and telephone number of the designated internship coordinator; (e). Name(s) of division(s) in which the intern(s) will be placed; (f). The individual(s) in the U.S. company under whose supervision the intern will train; (g). the anticipated housing arrangements to be provided for the intern(s). Note that housing arrangements should be suitable for mid- and senior-level professionals, and that each intern must be provided with a private room; (h). A statement that the host firm is solidly committed to interns' return to Russia upon completion of the internships.

(4) Provide a general description of the profile of the intern(s) the Applicant would like to host, including: educational background; occupational/professional background (including number of years and areas of experience); and size and nature of organization at which the intern(s) is/are presently employed.

Evaluation criteria 1-4 will be weighted equally.

ITA does not guarantee that it will match Applicant with the profile provided to SABIT.

Selection Procedures

Each application will receive an independent, objective review by one or more three or four-member independent review panels qualified to evaluate applications submitted under the program. Applications will be evaluated on a competitive, "rolling" basis (first-come, first-served) as they are received in accordance with the selection evaluation set forth above. Awards will be made to those applications which successfully meet the selection criteria. If funds are not available for all those applications which successfully meet the criteria, awards will be made to the first applications received which successfully do so. ITA reserves the right to reject any application; to limit the number of interns per applicant; to limit the duration of training; and to

waive informalities and minor irregularities in applications received. The final selecting official reserves the right to make awards based on U.S. geographic and organization size diversity among applicants, as well as to consider priority business sectors (listed in Project Funding Priorities, above) when making awards. Recipients may be eligible, pursuant to approval of an amendment of an active award, to host additional interns under the program. ITA reserves the right to evaluate applicants based on past performance. The Director of the SABIT Program is the final selecting official for each award.

Additional Information

Applicants must submit: (1) Evidence of adequate financial resources of Applicant organization to cover the costs involved in providing an internship(s). As evidence of such resources, Applicant should submit financial statements audited by an outside organization or an annual report including such statements. If these are not available, a letter should be provided from the Applicant's bank or outside accountant attesting to the financial capability of the firm to undertake the scope of work involved in training an intern under the SABIT program. (2) Evidence of a satisfactory record of performance in grants, contracts and/or cooperative agreements with the Federal Government, if applicable. (Applicants who are or have been deficient in current or recent performance in their grants, contracts, and/or cooperative agreements with the Federal Government shall be presumed to be unable to meet this requirement) (3) A statement that the Applicant will provide medical insurance coverage for interns during their internships. Recipients will be required to submit proof of the interns' medical insurance coverage to the Federal Program Officer, before the interns' arrivals. The insurance coverage must include an accident and comprehensive medical insurance program as well as coverage for accidental death, emergency medical evacuation, and repatriation.

Other Requirements: All applicants are advised of the following:

1. No award of Federal funds shall be made to an Applicant who has an outstanding delinquent Federal debt until either the delinquent account is paid in full, a negotiated repayment schedule is established and at least one payment is received, or other arrangements satisfactory to the Department of Commerce (DOC) are made.

2. A false statement on the application is grounds for denial or termination of funds and grounds for possible punishment by a fine or imprisonment as provided in 18 U.S.C. 1001.

3. Recipients and subrecipients are subject to all Federal laws and Federal and Departmental regulations, policies and procedures applicable to financial assistance awards.

4. Participating companies will be required to comply with all relevant U.S. tax and export regulations. Export controls may relate not only to licensing of products for export, but also to technical data transfer.

5. Applications under this program are not subject to Executive Order 12372, "Intergovernmental Review of Federal Programs."

6. If applicants incur any costs prior to an award being made, they do solely at their own risk of not being reimbursed by the Government. Notwithstanding any verbal or written assurance that may have been received, there is no obligation on the part of DOC to cover pre-award costs.

7. Past performance: Unsatisfactory performance by an applicant under prior Federal awards may result in an application not being considered for funding.

8. No obligation for future funding: If an application is selected for funding, DOC has no obligation to provide any additional future funding in connection with that award. Renewal of an award to increase funding or extend the period of performance is at the total discretion of DOC.

9. Primary Applicant Certifications: All primary applicants must submit a completed Form CD-511, "Certifications Regarding Debarment, Suspension and Other Responsibility Matters; Drug-Free Workplace Requirements and Lobbying," and the following explanations are hereby provided:

(a) Nonprocurement Debarment and Suspension: Prospective participants (as defined at 15 CFR Part 26, Section 105) are subject to 15 CFR Part 26, "Nonprocurement Debarment and Suspension" and the related section of the certification form prescribed above applies.

(b) Drug Free Workplace: Grantees (as defined at 15 CFR Part 26, Section 605) are subject to 15 CFR Part 26, Subpart F, "Government wide Requirements for Drug-Free Workplace (Grants)" and the related section of the certification form prescribed above applies.

(c) Anti-Lobbying: Funds provided under the SABIT program may not be used for lobbying activities. Persons (as defined at 15 CFR Part 28, Section 105)

are subject to the lobbying provisions of 31 U.S.C. 1352, "Limitation on use of appropriated funds to influence certain Federal contracting and financial transactions," and the lobbying section of the certification form prescribed above applies to applications/bids for grants, cooperative agreements, and contracts for more than \$100,000, and loans and loan guarantees for more than \$150,000, or the single family maximum mortgage limit for affected programs, whichever is greater.

(d) Anti-Lobbying Disclosures: Any applicant that has paid or will pay for lobbying in connection with this award using any funds must submit an SF-LLL, "Disclosure of Lobbying Activities," as required under 15 CFR Part 28, Appendix B.

10. All primary applicants must also submit a completed Standard Form 424, "Application for Federal Assistance" and a Standard Form 424B, "Assurances—Non-Construction Programs." Form CD-511 and Standard Forms 424 and 424B are included in the Application Kit supplied by the SABIT office.

11. Lower Tier Certifications: Recipients shall require applicants/bidders for subgrants, contracts, subcontracts, or other lower tier covered transactions at any tier under the award to submit, if applicable, a completed Form CD-512, "Certifications Regarding Debarment, Suspension, Ineligibility and Voluntary Exclusion—Lower Tier Covered Transactions and Lobbying" and disclosure form, SF-LLL, "Disclosure of Lobbying Activities." Form CD-512 is intended for the use of recipients and should not be transmitted to DOC. SF-LLL submitted by any tier recipient or subrecipient should be submitted to DOC in accordance with the instructions contained in the award document.

12. Indirect Costs: Indirect costs are not allowed under the SABIT program.

13. Applicants are hereby notified that any equipment or products authorized to be purchased with funding provided under this program must be American-made to the greatest extent practicable.

14. The following statutes apply to this program: Section 907 of the FREEDOM Support Act, Public Law 102-511, 22 U.S.C. 5812 note (Restriction on Assistance to the Government of Azerbaijan); 7 U.S.C. § 5201 *et seq.* (Agricultural Competitiveness and Trade—the Bumpers Amendment); The Foreign Assistance Act of 1961, as amended, including Chapter 11 of Part I, section 498A (b) Public Law 102-511, 22 U.S.C. 2295a(b), (regarding ineligibility for

assistance); 22 U.S.C. 2420(a), Section 660(a) of The Foreign Assistance Act of 1961, as amended (Police Training Prohibition); and provisions in the annual Foreign Operations, Export Financing, and Related Programs Appropriations Acts, concerning Use of American Resources, Impact on Jobs in the United States and Commerce and Trade (see, *e.g.*, §§ 546, 538 and 513 respectively of the Foreign Operations, Export Financing, and Related Appropriations Act, 1998, Public Law 105-118).

15. *Audit Requirements:* The DOC Office of Inspector General has authority under the Inspector General Act of 1978, as amended, to conduct an audit of any DOC award at any time.

16. *Payments.* As required by the Debt Collections Improvement Act of 1996, all Federal payments to award recipients pursuant to this announcement will be made by electronic funds transfer.

17. The collection of information is approved by the Office of Management and Budget, OMB Control Number 0625-0225. Public reporting for this collection of information is estimated to be three hours per response, including the time for reviewing instructions, and completing and reviewing the collection of information. All responses to this collection of information are voluntary, and will be protected from disclosure to the extent allowed under the Freedom of Information Act. Notwithstanding any other provision of law, no person is required to respond to nor shall a person be subject to the requirements of the Paperwork Reduction Act unless that collection of information displays a current valid OMB Control Number. Send comments regarding the burden estimate or any other aspect of this collection of information, including suggestions for reducing this burden, to the Reports Clearance Officer, International Trade Administration, Department of Commerce, Room 4001, 14th and Constitution Ave., NW, Washington, DC 20230.

For Further Information Contact: Special American Business Internship Training, International Trade Administration, at (202) 482-0073. This is not a toll free-number.

Dated: January 10, 2000.

Liesel C. Duhon,

Director, SABIT Program.

[FR Doc. 00-1005 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-HE-P

DEPARTMENT OF COMMERCE**Patent and Trademark Office****Meeting of the Public Advisory Committee for Trademark Affairs**

AGENCY: Patent and Trademark Office, Commerce.

ACTION: Notice of meeting.

SUMMARY: The Patent and Trademark Office is announcing, in accordance with Section 10(a)(2) of the Federal Advisory Committee Act (Public Law 92-463), an open meeting of the Public Advisory Committee for Trademark Affairs.

DATES: The meeting will be held from 10:00 a.m. until 4:00 p.m. on Friday, February 4, 2000.

ADDRESSES: The meeting will take place at the U.S. Patent and Trademark Office, Commissioner's Conference Room, 9th floor, Crystal Park 2, 2121 Crystal Drive, Arlington, Virginia 22202.

FOR MORE INFORMATION CONTACT: Sharon Marsh by mail marked to her attention and addressed to Office of the Assistant Commissioner for Trademarks, Patent and Trademark Office, 2900 Crystal Drive, South Tower Building, Suite 10B10, Arlington, VA 22202-3513; by telephone at (703) 308-9100, extension 45; by fax at (703) 308-9395; or by e-mail to sharon.marsh@uspto.gov.

SUPPLEMENTARY INFORMATION: The meeting will be open to public observation. Accordingly, seating will be available to members of the public on a first-come-first-served basis. Members of the public will be permitted to make oral comments of three (3) minutes each. Written comments and suggestions will be accepted before or after the meeting on any of the matters discussed. Copies of the minutes will be available upon request. The agenda for the meeting will be the implementation of the Patent and Trademark Office Efficiency Act (Pub. L. 106-113, Title VI, Subtitle G).

Dated: January 11, 2000.

Q. Todd Dickinson,

Assistant Secretary of Commerce and Commissioner of Patents and Trademarks.

[FR Doc. 00-1047 Filed 1-14-00; 8:45 am]

BILLING CODE 3520-16-U

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS**Adjustment of Import Limits for Certain Cotton, Man-Made Fiber, Silk Blend and Other Vegetable Fiber Textiles and Textile Products Produced or Manufactured in Bangladesh**

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs reducing limits.

EFFECTIVE DATE: January 19, 2000.

FOR FURTHER INFORMATION CONTACT: Ross Arnold, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-4212. For information on the quota status of these limits, refer to the Quota Status Reports posted on the bulletin boards of each Customs port, call (202) 927-5850, or refer to the U.S. Customs website at <http://www.customs.ustreas.gov>. For information on embargoes and quota reopenings, call (202) 482-3715.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 11651 of March 3, 1972, as amended.

The current limits for certain categories are being reduced for carryforward used.

A description of the textile and apparel categories in terms of HTS numbers is available in the **CORRELATION:** Textile and Apparel Categories with the Harmonized Tariff Schedule of the United States (see **Federal Register** notice 64 FR 71982, published on December 22, 1999). Also see 64 FR 68333, published on December 7, 1999.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

Committee for the Implementation of Textile Agreements

January 11, 2000.

Commissioner of Customs,
Department of the Treasury, Washington, DC 20229.

Dear Commissioner: This directive amends, but does not cancel, the directive issued to you on December 1, 1999, by the Chairman, Committee for the Implementation of Textile Agreements. That directive concerns imports of certain cotton, man-made fiber, silk blend and other vegetable fiber textiles and textile products, produced or manufactured in Bangladesh and exported

during the twelve-month period which began on January 1, 2000 and extends through December 31, 2000.

Effective on January 19, 2000, you are directed to reduce the limits for the following categories, as provided for under the Uruguay Round Agreement on Textiles and Clothing:

Category	Adjusted twelve-month limit ¹
331	1,410,636 dozen pairs.
334	169,868 dozen.
335	304,998 dozen.
340/640	3,574,242 dozen.
342/642	512,287 dozen.
351/651	813,619 dozen.
352/652	12,138,360 dozen.
634	594,289 dozen.
635	385,030 dozen.
638/639	2,005,161 dozen.
645/646	470,889 dozen.
847	889,895 dozen.

¹ The limits have not been adjusted to account for any imports exported after December 31, 1999.

The Committee for the Implementation of Textile Agreements has determined that these actions fall within the foreign affairs exception of the rulemaking provisions of 5 U.S.C. 553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

[FR Doc. 00-1043 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS**Adjustment of an Import Limit for Certain Wool Textile Products Produced or Manufactured in Costa Rica**

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs reducing a limit.

EFFECTIVE DATE: January 19, 2000.

FOR FURTHER INFORMATION CONTACT: Naomi Freeman, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-4212. For information on the quota status of this limit, refer to the Quota Status Reports posted on the bulletin boards of each Customs port, call (202) 927-5850, or refer to the U.S. Customs website at <http://www.customs.ustreas.gov>. For information on embargoes and quota reopenings, call (202) 482-3715.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 11651 of March 3, 1972, as amended.

The current limit for Category 443 is being reduced for carryforward used.

A description of the textile and apparel categories in terms of HTS numbers is available in the CORRELATION: Textile and Apparel Categories with the Harmonized Tariff Schedule of the United States (see **Federal Register** notice 64 FR 71982, published on December 22, 1999). Also see 64 FR 50495, published on September 17, 1999.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

Committee for the Implementation of Textile Agreements
January 11, 2000.

Commissioner of Customs,
Department of the Treasury,
Washington, DC 20229.

Dear Commissioner: This directive amends, but does not cancel, the directive issued to you on September 13, 1999, by the Chairman, Committee for the Implementation of Textile Agreements. That directive concerns imports of certain cotton, wool and man-made fiber textile products, produced or manufactured in Costa Rica and exported during the twelve-month period which began on January 1, 2000 and extends through December 31, 2000.

Effective on January 19, 2000, you are directed to reduce the current limit for Category 443 to 212,012 numbers¹, as provided for under the Uruguay Round Agreement on Textiles and Clothing. The guaranteed access level for Category 443 remains unchanged.

The Committee for the Implementation of Textile Agreements has determined that this action falls within the foreign affairs exception of the rulemaking provisions of 5 U.S.C. 553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

[FR Doc. 00-1041 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS

Adjustment of Import Limits for Certain Cotton, Wool and Man-Made Fiber Textile Products Produced or Manufactured in Guatemala

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs reducing limits.

EFFECTIVE DATE: January 20, 2000.

FOR FURTHER INFORMATION CONTACT: Naomi Freeman, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-4212. For information on the quota status of these limits, refer to the Quota Status Reports posted on the bulletin boards of each Customs port, call (202) 927-5850, or refer to the U.S. Customs website at <http://www.customs.ustreas.gov>. For information on embargoes and quota re-openings, call (202) 482-3715.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 11651 of March 3, 1972, as amended.

The current limits for certain categories are being reduced for carryforward used.

A description of the textile and apparel categories in terms of HTS numbers is available in the CORRELATION: Textile and Apparel Categories with the Harmonized Tariff Schedule of the United States (see **Federal Register** notice 64 FR 71982, published on December 22, 1999). Also see 64 FR 54868, published on October 8, 1999.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

Committee for the Implementation of Textile Agreements

January 11, 2000.

Commissioner of Customs,
Department of the Treasury,
Washington, DC 20229.

Dear Commissioner: This directive amends, but does not cancel, the directive issued to you on October 4, 1999, by the Chairman, Committee for the Implementation of Textile Agreements. That directive concerns imports of certain cotton, wool and man-made fiber textile products, produced or manufactured in Guatemala

and exported during the period which began on January 1, 2000 and extends through December 31, 2000.

Effective on January 20, 2000, you are directed to reduce the current limits for the following categories, as provided for under the Uruguay Round Agreement on Textiles and Clothing:

Category	Adjusted twelve-month limit ¹
351/651	327,064 dozen.
443	69,115 numbers.

¹ The limits have not been adjusted to account for any imports exported after December 31, 1999.

The guaranteed access levels for the above categories remain unchanged.

The Committee for the Implementation of Textile Agreements has determined that these actions fall within the foreign affairs exception of the rulemaking provisions of 5 U.S.C. 553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

[FR Doc. 00-1042 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS

Adjustment of an Import Limit for Certain Wool Textile Products Produced or Manufactured in the Former Yugoslav Republic of Macedonia

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs reducing a limit.

EFFECTIVE DATE: January 20, 2000.

FOR FURTHER INFORMATION CONTACT: Naomi Freeman, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-4212. For information on the quota status of this limit, refer to the Quota Status Reports posted on the bulletin boards of each Customs port or call (202) 927-5850. For information on embargoes and quota re-openings, call (202) 482-3715.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 11651 of March 3, 1972, as amended.

¹ The limit has not been adjusted to account for any imports exported after December 31, 1999.

The current limit for Category 443 is being reduced for carryforward used.

A description of the textile and apparel categories in terms of HTS numbers is available in the CORRELATION: Textile and Apparel Categories with the Harmonized Tariff Schedule of the United States (see **Federal Register** notice 64 FR 71982, published on December 22, 1999). Also see 64 FR 71115, published on December 20, 1999.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

Committee for the Implementation of Textile Agreements

January 11, 2000.

Commissioner of Customs,
Department of the Treasury, Washington, DC 20229.

Dear Commissioner: This directive amends, but does not cancel, the directive issued to you on December 14, 1999, by the Chairman, Committee for the Implementation of Textile Agreements. That directive concerns imports of certain wool textile products, produced or manufactured in the Former Yugoslav Republic of Macedonia and exported during the twelve-month period beginning on January 1, 2000 and extending through December 31, 2000.

Effective on January 20, 2000, you are directed to reduce the limit for Category 443 to 164,799 numbers¹, as provided for in the agreement between the Governments of the United States and the Former Yugoslav Republic of Macedonia dated November 7, 1997.

The Committee for the Implementation of Textile Agreements has determined that this action falls within the foreign affairs exception to the rulemaking provisions of 5 U.S.C.553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

[FR Doc. 00-1044 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS

Adjustment of Import Limits for Certain Cotton Textile Products Produced or Manufactured in Mauritius

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs reducing limits.

¹ The limit has not been adjusted to account for any imports exported after December 31, 1999.

EFFECTIVE DATE: January 20, 2000.

FOR FURTHER INFORMATION CONTACT:

Naomi Freeman, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-4212. For information on the quota status of these limits, refer to the Quota Status Reports posted on the bulletin boards of each Customs port, call (202) 927-5850, or refer to the U.S. Customs website at <http://www.customs.ustreas.gov>. For information on embargoes and quota re-openings, call (202) 482-3715.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 11651 of March 3, 1972, as amended.

The current limits for certain categories are being reduced for carryforward used.

A description of the textile and apparel categories in terms of HTS numbers is available in the CORRELATION: Textile and Apparel Categories with the Harmonized Tariff Schedule of the United States (see **Federal Register** notice 64 FR 71982, published on December 22, 1999). Also see 64 FR 50497, published on September 17, 1999.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements Committee for the Implementation of Textile Agreements

January 11, 2000.

Commissioner of Customs,
Department of the Treasury, Washington, DC 20229.

Dear Commissioner: This directive amends, but does not cancel, the directive issued to you on September 13, 1999, by the Chairman, Committee for the Implementation of Textile Agreements. That directive concerns imports of certain cotton, wool, man-made fiber, silk blend and other vegetable fiber textiles and textile products, produced or manufactured in Mauritius and exported during the twelve-month period which began on January 1, 2000 and extends through December 31, 2000.

Effective on January 20, 2000, you are directed to reduce the current limits for the following categories, as provided for under the Uruguay Round Agreement on Textiles and Clothing:

Category	Adjusted twelve-month limit ¹
338/339	502,492 dozen.
347/348	1,057,724 dozen.

¹ The limits have not been adjusted to account for any imports exported after December 31, 1999.

The Committee for the Implementation of Textile Agreements has determined that these actions fall within the foreign affairs

exception of the rulemaking provisions of 5 U.S.C. 553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

[FR Doc. 00-1045 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS

Removing Companies From List of Companies From Which Customs Shall Deny Entry to Textiles and Textile Products

January 11, 2000.

AGENCY: Committee for the Implementation of Textile Agreements (CITA).

ACTION: Issuing a directive to the Commissioner of Customs directing Customs not to apply the directive regarding denial of entry to shipments from certain companies.

EFFECTIVE DATE: January 18, 2000.

FOR FURTHER INFORMATION CONTACT:

Martin Walsh, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, (202) 482-3400.

SUPPLEMENTARY INFORMATION:

Authority: Section 204 of the Agricultural Act of 1956, as amended (7 U.S.C. 1854); Executive Order 12475 of May 9, 1984, as amended.

In a notice and letter to the Commissioner of Customs, dated July 27, 1999, and published in the **Federal Register** on July 30, 1999 (64 FR 41395), the Chairman of CITA directed the U.S. Customs Service to deny entry to textiles and textile products allegedly manufactured by certain listed companies; Customs had informed CITA that these companies were found to have been illegally transshipping, closed, or unable to produce records to verify production.

Based on information received since that time, CITA has determined that Artística, Fabrica de Artigos de Vestuário; and Leon Garment Factory Ltd., aka Westburg Lda., two of the listed companies, should not be subject to that directive. Effective on January 18, 2000, Customs should not apply the directive to shipments of textiles and textile products allegedly manufactured by these companies. CITA expects that Customs will conduct on-site

verifications of these companies' textile and textile product production.

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements.

Committee for the Implementation of Textile Agreements.

January 11, 2000.

Commissioner of Customs

Department of Treasury, Washington, DC 20229

Dear Commissioner: In the letter to the Commissioner of Customs, dated July 27, 1999 (64 FR 41395), the Chairman of CITA directed the U.S. Customs Service to deny entry to textiles and textile products allegedly manufactured by certain listed companies; Customs had informed CITA that these companies were found to have been illegally transshipping, closed, or unable to produce records to verify production.

Based on information received since that time, CITA has determined that Artistica, Fabrica de Artigos de Vestuario; and Leon Garment Factory Ltd., aka Westburg Lda., two of the listed companies, should not be subject to that directive. Effective on January 18, 2000, Customs is directed to not apply the directive to shipments of textiles and textile products allegedly manufactured by these companies. CITA expects that Customs will conduct on-site verifications of these companies' textile and textile product production.

CITA has determined that these actions fall within the foreign affairs exception of the rulemaking provisions of 5 U.S.C. 553(a)(1).

Sincerely,

Troy H. Cribb,

Chairman, Committee for the Implementation of Textile Agreements

[FR Doc. 00-1046 Filed 1-14-00; 8:45 am]

BILLING CODE 3510-DR-F

DEPARTMENT OF DEFENSE

Office of the Secretary

Defense Intelligence Agency, Science and Technology Advisory Board Closed Panel Meeting

AGENCY: Department of Defense, Defense Intelligence Agency.

ACTION: Notice.

SUMMARY: Pursuant to the provisions of Subsection (d) of Section 10 of Public Law 92-463, as amended by Section 5 of Public Law 94-409, notice is hereby given that a closed meeting of the DIA Science and Technology Advisory Board has been scheduled as follows:

DATES: 26-27 January 2000, 8:00 a.m. to 16:00 p.m.).

ADDRESSES: The Defense Intelligence Agency, Bolling AFB, Washington, DC 20340.

FOR FURTHER INFORMATION CONTACT: Maj. Donald R. Culp, Jr., USAF, Executive Secretary, DIA Science and Technology Advisory Board, Washington, DC 20340-1328, (202) 231-4930.

SUPPLEMENTARY INFORMATION: The entire meeting is devoted to the discussion of classified information as defined in Section 552b(c)(1), Title 5 of the U.S. Code, and therefore will be closed to the public. The Board will receive briefings on and discuss several current critical intelligence issues and advise the Director, DIA, on related scientific, and technical matters.

Dated: January 11, 2000.

Patricia L. Toppings,

Alternate OSD Federal Register Liaison Officer, Department of Defense.

[FR Doc. 00-1001 Filed 1-14-00; 8:45 am]

BILLING CODE 5001-10-M

DEPARTMENT OF DEFENSE

Office of the Secretary

Revised Non-Foreign Overseas Per Diem Rates

AGENCY: DoD, Per Diem, Travel and Transportation Allowance Committee.

ACTION: Notice of Revised Non-Foreign Overseas Per Diem Rates.

SUMMARY: The Per Diem, Travel and Transportation Allowance Committee is publishing Civilian Personnel Per Diem Bulletin Number 212. This bulletin lists

revisions in the per diem rates prescribed for U.S. Government employees for official travel in Alaska, Hawaii, Puerto Rico, the Northern Mariana Islands and Possessions of the United States. AEA changes announced in Bulletin Number 194 remain in effect. Bulletin Number 212 is being published in the **Federal Register** to assure that travelers are paid per diem at the most current rates.

EFFECTIVE DATE: January 1, 2000.

SUPPLEMENTARY INFORMATION: This document gives notice of revisions in per diem rates prescribed by the Per Diem Travel and Transportation Allowance Committee for non-foreign areas outside the continental United States. It supersedes Civilian Personnel Per Diem Bulletin Number 211. Distribution of Civilian Personnel Per Diem Bulletins by mail was discontinued. Per Diem Bulletins published periodically in the **Federal Register** now constitute the only notification of revisions in per diem rates to agencies and establishments outside the Department of Defense. For more information or questions about per diem rates, please contact your local travel office. The text of the Bulletin follows:

Dated: January 11, 2000.

Patricia L. Toppings,

Alternate OSD Federal Register Liaison Officer, Department of Defense.

BILLING CODE 5001-10-M

Maximum Per Diem Rates for official travel in Alaska, Hawaii, the Commonwealths of Puerto Rico and the Northern Mariana Islands and Possessions of the United States by Federal Government civilian employees.

LOCALITY	MAXIMUM LODGING		M&IE RATE	=	MAXIMUM PER DIEM		EFFECTIVE DATE
	AMOUNT				RATE		
	(A)	+	(B)		(C)		

CHANGE IN CIVILIAN BULLETIN 212: EFFECTIVE 1 JANUARY 2000, TAXES ARE NO LONGER INCLUDED IN PRESCRIBED MAXIMUM LODGING AMOUNTS FOR ALL OVERSEAS NON-FOREIGN AREAS. THE APPROPRIATE SECTIONS OF THE JOINT FEDERAL TRAVEL REGULATIONS AND JOINT TRAVEL REGULATIONS ARE BEING REVISED TO REFLECT THIS. AS OF 1 JANUARY 2000 TAXES ON LODGING ARE SEPARATELY REIMBURSIBLE.

ALASKA

ANCHORAGE [INCL NAV RES]						
05/01 - 09/15	161		68		229	01/01/2000
09/16 - 04/30	80		60		140	01/01/2000
BARROW	115		73		188	03/01/1999
BETHEL	92		65		157	01/01/2000
CLEAR AB	80		54		134	01/01/2000
COLD BAY	140		73		213	01/01/2000
COLDFOOT	135		71		206	10/01/1999
CORDOVA	85		62		147	03/01/1998
CRAIG						
05/01 - 08/31	95		66		161	10/01/1998
09/01 - 04/30	79		64		143	10/01/1998
DEADHORSE	80		67		147	03/01/1999
DENALI NATIONAL PARK						
06/01 - 08/31	125		56		181	01/01/2000
09/01 - 05/31	90		53		143	01/01/2000
DILLINGHAM	100		58		158	01/01/2000
DUTCH HARBOR-UNALASKA	110		71		181	03/01/1999
EARECKSON AIR STATION	80		54		134	01/01/2000
EIELSON AFB						
05/01 - 09/15	149		62		211	01/01/2000
09/16 - 04/30	75		55		130	01/01/2000
ELMENDORF AFB						
05/01 - 09/15	161		68		229	01/01/2000
09/16 - 04/30	80		60		140	01/01/2000
FAIRBANKS						
05/01 - 09/15	149		62		211	01/01/2000
09/16 - 04/30	75		55		130	01/01/2000
FT. RICHARDSON						
05/01 - 09/15	161		68		229	01/01/2000
09/16 - 04/30	80		60		140	01/01/2000
FT. WAINWRIGHT						
05/01 - 09/15	149		62		211	01/01/2000
09/16 - 04/30	75		55		130	01/01/2000
GLENNALLEN	94		54		148	01/01/2000
HEALY						

Maximum Per Diem Rates for official travel in Alaska, Hawaii, the Commonwealths of Puerto Rico and the Northern Mariana Islands and Possessions of the United States by Federal Government civilian employees.

LOCALITY	MAXIMUM LODGING AMOUNT		M&IE RATE		MAXIMUM PER DIEM RATE	EFFECTIVE DATE
	(A)	+	(B)	=	(C)	
06/01 - 08/31	125		56		181	01/01/2000
09/01 - 05/31	90		53		143	01/01/2000
HOMER						
05/15 - 09/15	109		61		170	01/01/2000
09/16 - 05/14	76		58		134	01/01/2000
JUNEAU	95		66		161	01/01/2000
KAKTOVIK	165		75		240	01/01/2000
KAVIK CAMP	125		69		194	03/01/1999
KENAI-SOLDOTNA						
04/01 - 10/01	104		65		169	01/01/2000
11/01 - 03/31	67		61		128	01/01/2000
KENNICOTT	149		68		217	10/01/1998
KETCHIKAN						
04/01 - 10/15	104		71		175	01/01/2000
10/16 - 03/31	80		69		149	01/01/2000
KING SALMON						
05/01 - 10/01	160		88		248	01/01/2000
10/02 - 04/30	100		82		182	01/01/2000
KLAWOCK						
05/01 - 08/31	95		66		161	10/01/1998
09/01 - 04/30	79		64		143	10/01/1998
KODIAK	90		68		158	01/01/2000
KOTZEBUE						
05/01 - 08/31	137		63		200	01/01/2000
09/01 - 04/30	95		54		149	01/01/2000
KULIS AGS						
05/01 - 09/15	161		68		229	01/01/2000
09/16 - 04/30	80		60		140	01/01/2000
MCCARTHY	149		68		217	10/01/1998
METLAKATLA						
05/30 - 10/01	85		52		137	03/01/1999
10/02 - 05/29	78		51		129	03/01/1999
MURPHY DOME						
05/01 - 09/15	149		62		211	01/01/2000
09/16 - 04/30	75		55		130	01/01/2000
NOME	85		58		143	01/01/2000
NUIQSUT	120		47		167	01/01/2000
PETERSBURG	87		57		144	03/01/1999
POINT HOPE	130		70		200	03/01/1999
POINT LAY	105		67		172	03/01/1999
PRUDHOE BAY	80		67		147	03/01/1999
SEWARD						
05/01 - 09/30	122		65		187	03/01/1999

Maximum Per Diem Rates for official travel in Alaska, Hawaii, the Commonwealths of Puerto Rico and the Northern Mariana Islands and Possessions of the United States by Federal Government civilian employees.

LOCALITY	MAXIMUM LODGING AMOUNT	+	M&IE RATE	=	MAXIMUM PER DIEM RATE	EFFECTIVE DATE
	(A)		(B)		(C)	
10/01 - 04/30	86		61		147	03/01/1999
SITKA-MT. EDGECOMBE						
05/16 - 09/15	139		73		212	01/01/2000
09/17 - 05/15	129		72		201	01/01/2000
SKAGWAY						
04/01 - 10/15	104		71		175	01/01/2000
10/16 - 03/31	80		69		149	01/01/2000
SPRUCE CAPE	90		68		158	01/01/2000
TANANA	85		58		143	01/01/2000
UMIAT	107		33		140	03/01/1999
VALDEZ						
05/01 - 10/01	117		68		185	01/01/2000
10/02 - 04/30	99		66		165	01/01/2000
WAINWRIGHT	111		81		192	01/01/2000
WASILLA	95		60		155	01/01/2000
WRANGELL						
04/01 - 10/15	104		71		175	01/01/2000
10/16 - 03/31	80		69		149	01/01/2000
YAKUTAT	110		68		178	03/01/1999
[OTHER]	80		54		134	01/01/2000
AMERICAN SAMOA						
AMERICAN SAMOA	73		53		126	03/01/1997
GUAM						
GUAM (INCL ALL MIL INSTAL)	135		79		214	01/01/2000
HAWAII						
CAMP H M SMITH	99		61		160	01/01/2000
EASTPAC NAVAL COMP TELE AREA	99		61		160	01/01/2000
FT. DERUSSEY	99		61		160	01/01/2000
FT. SHAFTER	99		61		160	01/01/2000
HICKAM AFB	99		61		160	01/01/2000
HONOLULU (INCL NAV & MC RES CTR)	99		61		160	01/01/2000
ISLE OF HAWAII: HILO	71		50		121	01/01/2000
ISLE OF HAWAII: OTHER	89		50		139	01/01/2000
ISLE OF KAUAI						
05/01 - 11/30	103		58		161	01/01/2000
12/01 - 04/30	131		61		192	01/01/2000
ISLE OF KURE	65		41		106	05/01/1999
ISLE OF MAUI	100		64		164	01/01/2000
ISLE OF OAHU	99		61		160	01/01/2000
KANEOHE BAY MC BASE	99		61		160	01/01/2000
KEKAHA PACIFIC MISSILE RANGE FAC						
05/01 - 11/30	103		58		161	01/01/2000
12/01 - 04/30	131		61		192	01/01/2000

Maximum Per Diem Rates for official travel in Alaska, Hawaii, the Commonwealths of Puerto Rico and the Northern Mariana Islands and Possessions of the United States by Federal Government civilian employees.

LOCALITY	MAXIMUM LODGING AMOUNT		M&IE RATE		MAXIMUM PER DIEM RATE	EFFECTIVE DATE
	(A)	+	(B)	=	(C)	
KILAUEA MILITARY CAMP	71		50		121	01/01/2000
LUALUALEI NAVAL MAGAZINE	99		61		160	01/01/2000
NAS BARBERS POINT	99		61		160	01/01/2000
PEARL HARBOR [INCL ALL MILITARY]	99		61		160	01/01/2000
SCHOFIELD BARRACKS	99		61		160	01/01/2000
WHEELER ARMY AIRFIELD	99		61		160	01/01/2000
[OTHER]	72		61		133	01/01/2000
JOHNSTON ATOLL						
JOHNSTON ATOLL	13		9		22	10/01/1998
MIDWAY ISLANDS						
MIDWAY ISLANDS [INCL ALL MILITARY]	65		41		106	05/01/1999
NORTHERN MARIANA ISLANDS						
ROTA	88		69		157	01/01/2000
SAIPAN	140		87		227	01/01/2000
[OTHER]	55		62		117	01/01/2000
PUERTO RICO						
BAYAMON						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
CAROLINA						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
FAJARDO [INCL CEIBA & LUQUILLO]	82		54		136	01/01/2000
FT. BUCHANAN [INCL GSA SVC CTR,						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
HUMACAO	82		54		136	01/01/2000
LUIS MUNOZ MARIN IAP AGS						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
MAYAGUEZ	85		59		144	01/01/2000
PONCE	96		69		165	01/01/2000
ROOSEVELT RDS & NAV STA	82		54		136	01/01/2000
SABANA SECA [INCL ALL MILITARY]						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
SAN JUAN & NAV RES STA						
04/11 - 12/23	155		71		226	01/01/2000
12/24 - 04/10	195		75		270	01/01/2000
[OTHER]	62		57		119	01/01/2000
VIRGIN ISLANDS (U.S.)						
ST. CROIX						
04/15 - 12/14	93		72		165	01/01/2000

Maximum Per Diem Rates for official travel in Alaska, Hawaii, the Commonwealths of Puerto Rico and the Northern Mariana Islands and Possessions of the United States by Federal Government civilian employees.

LOCALITY	MAXIMUM LODGING AMOUNT		M&IE RATE		MAXIMUM PER DIEM RATE	EFFECTIVE DATE
	(A)	+	(B)	=	(C)	
12/15 - 04/14	129		76		205	01/01/2000
ST. JOHN						
04/15 - 12/14	219		84		303	01/01/2000
12/15 - 04/14	382		100		482	01/01/2000
ST. THOMAS						
04/15 - 12/14	163		73		236	01/01/2000
12/15 - 04/14	288		86		374	01/01/2000
WAKE ISLAND						
WAKE ISLAND	60		32		92	09/01/1998

[FR Doc. 00-1002 Filed 1-14-00; 8:45 am]

BILLING CODE 5001-10-C

DEPARTMENT OF EDUCATION

National Assessment Governing Board; Information Collection Request

AGENCY: National Assessment Governing Board; Department of Education.

ACTION: Notice of Information Collection Activity; Request for Comment.

SUMMARY: In compliance with the Paperwork Reduction Act (44 U.S.C. 3501 *et seq.*), this notice announced a proposed information collection request (ICR) of the National Assessment Governing Board (the Governing Board, or NAGB). The information collection is to conduct two research and validation support studies related to test development for the proposed Voluntary National Test (VNT) during Spring 2000. Before submitting the ICR to the Office of Management and Budget (OMB), the Governing Board is soliciting comments on the information collection as described below.

DATES: Comments must be submitted on or before February 17, 2000.

ADDRESSES: Submit written comments identified by "ICR: VNT Research and Validation Support Studies (Option Year 2)" by mail or in person addressed to: Ray Fields, Assistant Director, National Assessment Governing Boards, Suite 825, 800 North Capitol Street, N.W., Washington, DC 20002.

Comments may also be submitted electronically by sending electronic mail (e-mail) to Ray__@FieldsED.GOV. Electronic comments must be identified by the title of the ICR. No confidential business information should be submitted through e-mail. Comments sent by e-mail must be submitted as an ASCII file avoiding the use of special characters in any form of encryption.

Information submitted as a comment concerning this document may be claimed confidential by marking any part or all of that information as confidential business information (CBI). Information so marked will not be disclosed except in accordance with procedures set forth in 40 CFR Part 2. A copy of the comment that does not contain CBI must be submitted for inclusion in the public record. Information not marked confidential may be disclosed publicly by NAGB without prior notice.

All written comments will be available for public inspection at the address given above from 8 a.m. to 4:30

p.m., Monday through Friday, excluding legal holidays.

FOR FURTHER INFORMATION CONTACT: Ray Fields, Assistant Director, National Assessment Governing Board, Suite 825, 800 North Capitol Street, N.W., Washington, DC 20002. Telephone (202) 357-0395; e-mail: Ray__Fields@ED.GOV.

SUPPLEMENTARY INFORMATION: Copies of this ICR may be obtained from the contact person listed above.

I. Information Collection Request

The National Assessment Governing Board is seeking comments on the following Information Collection Request (ICR).

Title: Voluntary National Tests (VNT): Research and Validation Support Studies (Option Year 2)

Affected Entities: Parties affected by this information collection are individuals and State, local, or Tribal SEAs or LEAs.

Abstract: In order to comply with the mandates of PL 105-78, the National Assessment Governing Board (NAGB) proposes to conduct two research and validation support studies. Congress vested exclusive authority in the Governing Board for test development for the proposed VNT. At the same time, Congress prohibited pilot testing and field testing of questions developed for the proposed VNT. No test question developed for the proposed VNT will be used in these research studies. Instead, test questions used for the National Assessment of Education Progress (NAEP) will be employed. This is to ensure that the prohibition on pilot and field testing is not violated, while still providing for research needed to answer questions related to test development.

The data collected will serve two purposes: (a) Provide information on the feasibility of a calibration linkage between the proposed Voluntary National Test (VNT) and the National Assessment of Education Progress (NAEP) (more specifically—between a test designed to give individual results and a survey designed to report group results); and (b) provide information needed to inform policy and practice related to test accommodations for students with limited English proficiency, specifically, to help guide the development of an 8th grade mathematics test booklet in two languages (*i.e.*, a "dual language" booklet in this case in English and Spanish).

The two research studies will also assist NAGB in making three of the four determination required by Congress: (1) The extent to which test items selected for use on the tests are free from racial,

cultural or gender bias; (2) whether the test development process and test items adequately assess student reading and mathematics comprehension in the form most likely to yield accurate information regarding student achievement in reading and mathematics; and (3) whether the test development process and test items take into account the needs of disadvantaged, limited English proficient and disabled students.

The first study is directed toward establishing the feasibility of a calibration linkage between a test form resembling an individual test and a survey of group results—the National Assessment. Research questions to be answered include the following: What are the effects on the measurement of student performance of an individually administered test that shares a framework with NAEP but which differs somewhat from NAEP in content coverage, administration, and unit of analysis? It is possible to establish a strong link between the group-focused results of NAEP and such an individually administered test? What inferences can be supported by such a link?

4800 students from Grade 4 and 4800 students from Grade 8 are expected to participate in this study. The 9600 students will be divided equally across three conditions.

Students in the first condition will take a "NAEP Special Form" booklet, consisting of NAEP items constructed to be as parallel as possible to the proposed VNT forms. This parallelism would include content coverage, timing, and shape of the test information function (TIF), which has been proposed to be flatter than the TIF for NAEP. Because empirical information on each item is needed to construct a form with a specified TIF, the items would come from the previous NAEP administration in the respective subjects.

Students in the second condition would take "Extended NAEP" booklets, which are based on blocks of items from the 2000 NAEP administration and would be constructed to be representative of the content and statistical specifications (TIF) of NAEP. The forms for Grade 8 mathematics would consist of six intact 15-minute blocks administered in two 45-minute sessions. The forms for Grade 4 reading would consist of four NAEP reading blocks, also administered in two 45-minute sessions. (Because the reading blocks are timed at 25 minutes each, some items will have to be deleted to fit into the reduced testing time.) The administration of these forms would be

under conditions proposed for the VNT. To avoid the circularity of linking the same items to themselves, the items used in the extended-NAEP forms should be distinct from those used in the NAEP Special Forms.

In the first two conditions of this proposed study, the two types of forms would be spiraled together and administered to equivalent samples of students. Because the NAEP Special Forms and the Extended-NAEP forms would be administered under the same conditions, issues of administration, timing, and motivation become moot. If the content match between the NAEP Special forms and the simulated VNT forms could be made sufficiently close, a linking study between the two types of forms would approximate a linkage study between actual VNT forms and Extended-NAEP. If a calibration were successful, the resulting linkage interpretations would be in terms of student performance on NAEP when NAEP is given under VNT conditions.

Students in the third condition differ from the other two in that they would be taking the "NAEP Special Form" under motivated circumstances. It is quite plausible that the same student would perform at a higher level under a motivated situation such as the VNT, where individual scores are obtained under a low motivation situation such as the NAEP. This differential effect of motivation could impact achievement level cut-points (among other things) in ways that cannot be assessed in the two conditions described above.

Consequently, the third condition of this study involves paying students \$1 for every item they answer correctly. This procedure is directly modeled after research conducted on motivational interventions for the NAEP. A comparison of item parameters and test characteristic curves for the NAEP Special Forms under motivated and unmotivated conditions would provide information on the differential impact of motivation and how to adjust results for any subsequent linking study between the VNT and NAEP.

The second study involves a series of subtasks directed toward informing NAGB's inclusion and accommodation policies regarding LEP students. These tasks are:

Subtask A. Writing an issues paper covering theory and research related to the development of a dual language test. This paper would inform procedures to be used in the translation of items into the second language (*i.e.*, Spanish) (Subtask B).

Subtask B. Using released and secure NAEP 8th grade mathematics items to construct simulated VNT-M test

booklets (dual language and English-only versions). The English language version of this booklet will be the same as the one for the "NAEP Special Form" described earlier.

Subtask C. Evaluating the psychometric equivalence of the dual language and English-only booklets via traditional quantitative analyses. Six hundred bilingual and LEP students will be recruited and randomly assigned to complete either the dual language or English-only version of the test booklet. Quantitative analyses will be conducted to examine the psychometric equivalence of the two test versions (mean differences; differential item functioning; correlations).

Subtask D. Conducting focus groups of students immediately after they take the VNT-M to document students' overall experience with the two types of booklets. Sixty students will be recruited to do these focus groups, in order to obtain their insights and general reactions to the booklets.

Subtask E. Conducting cognitive laboratory studies to obtain in-depth information on the validity of the translation and about how students use the dual language test. An additional nine LEP and nine English-speaking students will be asked to participate in this study, in order to explore the performance of both Anglo and Hispanic LEP students to identify solution pathways that students choose to use.

Subtask C through E will allow for a thorough investigation into the cognitive processes that bilingual and limited English proficient (LEP) students employ when using the dual language version of the VNT-M. In addition, they will provide information about factors other than mathematical knowledge and problem-solving ability that may have an effect on their performance on the test.

The five subtasks listed above will offer answers to the following research questions to examine the quality of the dual language test, taking into account several features of the items:

Cognitive: Do students understand the native language version of the test questions as a vehicle for assessing mathematics? (Subtasks C, D, E)

Content: Is the content of the native language version of the test questions the same as the English version? (Subtasks B, C, D, E)

Format: What considerations should be given to how the test questions appear on the pages of the test booklet? (Subtasks A, B)

Cultural: Is the native language version clear and acceptable to the various communities in the United

States for whom this is the native language? (Subtasks A, B, C, D, E)

Academic: Are the grammar and language structure used in the native language version correct? (Subtasks B, D, E)

Scoring: What considerations need to be made for scoring dual language test booklets?

(Subtask A)

Psychometric Equivalence: Is there a psychometric equivalence between the dual language version and the English-only versions of the test? (Subtask C)

A total of 10,128 students is expected to participate in the two studies (4800 4th graders and 4800 8th graders in the calibration linkage feasibility study; 510 LEP and bilingual students taking the dual language or English-only math test (from which there will be 60 focus group participants); and 18 cognitive laboratory participants). These students will be recruited from 300 schools. Students in the motivated condition of the calibration linkage study, focus group participants and cognitive laboratory participants will receive a token monetary incentive. Also under consideration is a modest monetary incentive for each participating school.

Burden Statement: Assuming a 2 hour burden for each of the 10,128 students expected to participate in the two studies, a total of 20,376 hours is estimated. An additional 300 hours of school burden (one hour per participating school) is expected, reflecting the time it would take to collect student background data for our research purposes. Participation in this study is voluntary. State, local, and non-public education agencies will not be mandated or required to participate.

II Request for Comments

The National Assessment Governing Board solicits comments to assist it:

(a) Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the Governing Board, including whether the information will have practical utility;

(b) Evaluate the accuracy of the Governing Board's estimates of the burden of the proposed collection of information;

(c) Enhance the quality, utility and clarity of the information to be collected;

(d) Minimize the burden of the collection of the information on those who are to respond, including through the use of appropriate automated, mechanical or other technological collection techniques or other forms of

information technology, e.g., permitting electronic submission of responses.

III. Public Record

A record has been established for this action. A public version of this record, including printed, paper versions of electronic comments, is available for inspection from 8:30 a.m. to 5 p.m., Monday through Friday, excluding legal holidays. The public record is maintained at the National Assessment Governing Board, 800 North Capitol Street NW, Suite 825, Washington DC, 20002.

Dated: January 12, 2000.

Roy Truby,

Executive Director, National Assessment Governing Board.

[FR Doc. 00-1072 Filed 1-14-00; 8:45 am]

BILLING CODE 4000-01-M

DEPARTMENT OF EDUCATION

Recognition of Accrediting Agencies, State Agencies for Approval of Public Postsecondary Vocational Education, and State Agencies for Approval of Nurse Education

AGENCY: National Advisory Committee on Institutional Quality and Integrity, Department of Education (The Advisory Committee).

What Is the Purpose of This Notice?

The purpose of this notice is to invite written comments on accrediting agencies whose applications to the Secretary for initial or renewed recognition will be reviewed at the Advisory Committee meeting to be held on May 24-26, 2000. The notice also invites written comments on agencies submitting interim reports that will be reviewed at the May meeting.

Where Should I Submit My Comments?

Please submit your written comments by March 3, 2000, to Karen Kershenstein, Director, Accreditation and State Liaison. You may contact her at the U.S. Department of Education, 1990 K Street, NW, 8th Floor, Room 8131, Washington, DC 20006, telephone: (202) 708-7417. Individuals who use a telecommunications device for the deaf (TDD) may call the Federal Information Relay Service at 1-800-877-8339 between 8 a.m. and 7 p.m., Eastern time, Monday through Friday.

What Is the Authority for the Advisory Committee?

The National Advisory Committee on Institutional Quality and Integrity is established under Section 114 of the Higher Education Act (HEA), as

amended, 20 U.S.C. 1011. One of the purposes of the Advisory Committee is to advise the Secretary of Education on the recognition of accrediting agencies and State approval agencies.

Will This Be My Only Opportunity To Submit Written Comments?

Yes, this notice announces the only opportunity you will have to submit written comments. However, a subsequent **Federal Register** notice will announce the meeting and invite individuals and/or groups to submit requests to make oral presentations before the Advisory Committee on the agencies that the Committee will review. That notice, however, does not offer a second opportunity to submit written comment.

What Happens to the Comments That I Submit?

We will review your comments, in response to this notice, as part of our evaluation of the agencies' compliance with the Secretary's Criteria for Recognition of Accrediting Agencies. The Criteria are regulations found in 34 CFR Part 602.

We will also include your comments in the staff analyses that we present to the Advisory Committee at its May 2000 meeting. Therefore, in order for us to give full consideration to the comments we receive, it is important that we receive your comments on all agencies by March 3, 2000. In all instances, your comments about agencies seeking initial or continued recognition must relate to the Criteria for the Recognition. In addition, your comments for any agency whose interim report is scheduled for review must relate to the issues raised and the Criteria for Recognition in the Secretary's letter that requested the interim report.

What Happens to Comments Received After the Deadline?

We will review comments received after the deadline as complaints. If such comments upon investigation reveal that the accrediting agency is not acting in accordance with the Criteria for Recognition, we will take action either before or after the meeting, as appropriate. We will notify the commentors of the disposition of those comments.

What Agencies Are on the Agenda for the Meeting?

The Secretary of Education recognizes accrediting agencies and State approval agencies for public postsecondary vocational education and nurse education if he determines that they meet the Criteria for Recognition.

Recognition means that the Secretary considers the agency to be a reliable authority as to the quality of education offered by institutions or programs that are encompassed within the scope of recognition he grants to the agency. The following agencies will be reviewed during the May 2000 meeting of the Advisory Committee:

Nationally Recognized Accrediting Agencies

Petition for Initial Recognition

1. Midwifery Education Accreditation Commission (Requested scope of recognition: to accredit and preaccredit direct-entry (non-nurse) midwifery certificate and undergraduate and graduate degree educational programs and institutions).

Petitions for Renewal of Recognition

1. American Association for Marriage and Family Therapy, Commission on Accreditation for Marriage and Family Therapy Education (Requested scope of recognition: the accreditation of clinical training programs in marriage and family therapy at the master's, doctoral, and postgraduate levels. The agency also requests that its recognition include its preaccreditation status ["Candidacy"])

2. American Bar Association, Council of the Section of Legal Education and Admissions to the Bar (Requested scope of recognition: The accreditation of programs in legal education that lead to the first professional degree in law, as well as freestanding law schools offering such programs).

3. Accreditation Commission for Acupuncture and Oriental Medicine (Requested scope of recognition: the accreditation of first-professional master's degree and professional master's level certificate and diploma programs in acupuncture and Oriental medicine).

4. Accrediting Commission on Education for Health Services Administration (Requested scope of recognition: The accreditation of graduate programs in health services administration).

5. American Osteopathic Association, Bureau of Professional Education (Requested scope of recognition: The accreditation and preaccreditation ["Provisional Accreditation"] of freestanding institutions of osteopathic medicine and programs leading to the degree of Doctor of Osteopathy or Doctor of Osteopathic medicine)

6. American Podiatric Medical Association, Council on Podiatric Medical Education (Requested scope of recognition: The accreditation and

preaccreditation ["Candidate Status"] of freestanding colleges of podiatric medicine and programs of podiatric medicine, including first professional programs leading to the degree of Doctor of Podiatric Medicine)

7. National Council for Accreditation of Teacher Education (Requested scope of recognition: the accreditation of professional education units providing baccalaureate and graduate degree programs for the preparation of teachers and other professional personnel for elementary and secondary schools).

8. New York State Board of Regents (Requested scope of recognition: The accreditation [registration] of collegiate degree-granting programs or curricula offered by institutions of higher education).

Interim Reports (An interim report is a follow-up report on an accrediting agency's compliance with specific criteria for recognition that was requested by the Secretary when the Secretary granted renewed recognition to the agency)—

1. American Academy for Liberal Education
2. Association of Advanced Rabbinical and Talmudic Schools, Accreditation Commission
3. Accrediting Bureau of Health Education Schools
4. American Veterinary Medical Association, Council on Education
5. The Council on Chiropractic Education, Commission on Accreditation
6. Council on Education for Public Health
7. National Environmental Health Sciences and Protection Accreditation Council
8. National League for Nursing Accrediting Commission

State Agencies Recognized for the Approval of Public Postsecondary Vocational Education

Petition for Renewal of Recognition

1. Puerto Rico Human Resources and Occupational Development Council.

Interim Report—

1. Oklahoma Department of Vocational and Technical Education
2. Utah State Board for Applied Technology Education

State Agencies Recognized for the Approval of Nurse Education

Petition for Renewal of Recognition

1. Montana State Board of Nursing

Interim Report—

1. Maryland State Board of Nursing

Where Can I Inspect Petitions and Third-Party Comments Before and After the Meeting?

All petitions and interim reports, and those third-party comments received in advance of the meeting, will be available for public inspection and copying at the U.S. Department of Education, 1990 K Street, NW, 8th Floor, Room 8131, Washington, DC 20006, telephone (202) 708-7417 between the hours of 8:00 a.m. and 4:30 p.m., Monday through Friday, until May 2, 2000. They will be available again after the May 24-26 Advisory Committee meeting. It is preferred that an appointment be made in advance of such inspection or copying.

Authority: 5 U.S.C. Appendix 2.

Greg Woods,

Chief Operating Officer, Student Financial Assistance.

[FR Doc. 00-1022 Filed 1-14-00; 8:45 am]

BILLING CODE 4000-01-U

DEPARTMENT OF ENERGY

Office of Fossil Energy

[FE Docket No. 93-30-NG et al]

Enron Canada Corp. (Formerly Enron Capital & Trade Resources Canada Corp.) et al; Orders Granting, Amending and Vacating Authorizations to Import and Export Natural Gas, Including Liquefied Natural Gas

AGENCY: Office of Fossil Energy, DOE.

ACTION: Notice of Orders.

SUMMARY: The Office of Fossil Energy (FE) of the Department of Energy gives notice that it has issued Orders granting, amending and vacating natural gas, including liquefied natural gas import and export authorizations. These Orders are summarized in the attached appendix.

These Orders may be found on the FE web site at <http://www.fe.doe.gov>, or on the electronic bulletin board at (202) 586-7853. They are also available for inspection and copying in the Office of Natural Gas & Petroleum Import & Export Activities, Docket Room 3E-033, Forrestal Building, 1000 Independence Avenue, S.W., Washington, D.C. 20585, (202) 586-9478. The Docket Room is open between the hours of 8:00 a.m. and 4:30 p.m., Monday through Friday, except Federal holidays.

Issued in Washington, D.C., on January 10, 2000.

Clifford P. Tomaszewski,

Manager, Natural Gas Regulation, Office of Natural Gas & Petroleum Import & Export Activities, Office of Fossil Energy.

Attachment

APPENDIX—ORDERS GRANTING, AMENDING AND VACATING IMPORT/EXPORT AUTHORIZATIONS

[DOE/FE Authority]

Order No.	Date issued	Importer/exporter FE docket No.	Import volume	Export volume	Comments
798-C	12-07-99	Enron Canada Corp. (Formerly Enron Capital & Trade Resources Canada Corp.)93-30-NG.			Name change.
1547	12-07-99	Bay State Gas Company 99-97-NG	40 Bcf		Import from Canada, over a two-year term beginning on the date of first delivery after January 6, 2000.
1548	12-08-99	NUI Energy Brokers, Inc. 99-102-NG	250 Bcf		Import and export up to a combined total from and to Canada and Mexico, over a two-year term beginning on October 1, 1999, and extending through September 30, 2001.
1550	12-08-99	Phibro Inc. 99-98-NG	200 Bcf	200 Bcf	Import from Canada, including LNG, and export to Canada over a two-year term beginning on January 1, 2000, and extending through December 31, 2001.

APPENDIX—ORDERS GRANTING, AMENDING AND VACATING IMPORT/EXPORT AUTHORIZATIONS—Continued
[DOE/FE Authority]

Order No.	Date issued	Importer/exporter FE docket No.	Import volume	Export volume	Comments
1551	12-08-99	Phibro Inc. 99-99-NG	200 Bcf	200 Bcf	Import from Mexico, including LNG, and export to Mexico over a two-year term beginning on January 1, 2000, and extending through December 31, 2001.
1552	12-09-99	Direct Energy Marketing Inc. 99-100-NG ..	200 Bcf		Import from Canada, over a two-year term beginning on February 1, 2000, and extending through January 31, 2002.
1355-A	12-09-99	Semco Energy Services, Inc. 98-07-NG ...			Vacate blanket import authority.
1553	12-10-99	Vermont Gas Systems, Inc. 99-104-NG	20 Bcf	20 Bcf	Import and export from and to Canada, over a two-year term beginning on December 23, 1999, and extending through December 22, 2001.
1554	12-14-99	American Hunter Energy Inc. 99-103-NG	300 Bcf		Import from Canada, over a two-year term beginning on the date of first delivery.
1555	12-15-99	The Consumers' Gas Company Ltd. (d.b.a. Enbridge Consumers Gas) 99-106-NG.		100 Bcf	Export to Canada, over a two-year term beginning on the date of first delivery after December 31, 1999.
1556	12-17-99	Portland Natural Gas Transmission System 99-111-NG.	100 Bcf		Import and export up to a combined total from and to Canada, over a two-year term beginning on the date of first delivery.
1462-A	12-17-99	Portland Natural Gas Transmission System 99-11-NG.			Vacate blanket import authority.
1557	12-21-99	San Diego Gas & Electric Company 99-107-NG.	73 Bcf		Import from Canada, over a two-year term beginning on December 1, 1999, and extending through November 30, 2001.
1558	12-23-99	Enron North America Corp. (Formerly Enron Capital & Trade Resources Corp.) 99-105-NG.	1,400 Bcf	1,400 Bcf	Import from Canada and Mexico, a combined total and export to Canada and Mexico, over a two-year term beginning on January 1, 2000, and extending through December 31, 2001.
1559	12-23-99	Marathon Oil Company 99-108-NG	100 Bcf		Import and export up to a combined total from and to Canada and Mexico, over a two-year term beginning on the date of first delivery.
1560	12-23-99	EnergyUSA-TPC Corp. (Formerly TPC Corporation) 99-112-NG.	73 Bcf		Import and export up to a combined total from and to Canada, over a two-year term beginning on January 1, 2000, and extending through December 31, 2001.
1561	12-28-99	Utilicorp United Inc. 99-113-NG	200 Bcf		Import and export up to a combined total from and to Canada, over a two-year term beginning January 1, 2000, and extending through December 31, 2001.
1562	12-29-99	El Paso Merchant Energy-Gas, L.P. 99-109-NG.	400 Bcf		Import from Canada, over a two-year term beginning on the date of first delivery after December 31, 1999.

[FR Doc. 00-1073 Filed 1-14-00; 8:45 am]
BILLING CODE 6450-01-P

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Docket No. RP00-30-000

ANR Pipeline Company; Notice of Technical Conference

January 11, 2000.

In the Commission's order issued on November 23, 1999, the Commission stated that it would institute further proceedings, such as a technical conference, after it had an opportunity

to evaluate ANR Pipeline Company's supplemental information concerning its proposed new hourly flow transportation services and the parties' comments on such information.

Take notice that a technical conference will be held on Thursday, January 27, 2000, at 10:00 a.m., in a room to be designated at the offices of the Federal Energy Regulatory Commission, 888 First Street, NE, Washington, D.C. 20426.

All interested parties and Staff are permitted to attend.

Linwood A. Watson, Jr.,
Acting Secretary.

[FR Doc. 00-1012 Filed 1-14-00; 8:45 am]
BILLING CODE 6717-01-M

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

[Docket No. ER00-865-000, et al.]

1. Consolidated Edison Energy, Inc., et al.; Electric Rate and Corporate Regulation Filings

JANUARY 10, 2000. Take notice that the following filings have been made with the Commission:

**Consolidated Edison Energy, Inc.,
Northeast Utilities Service Company**

[Docket No. ER00-865-000]

Take notice that on January 5, 2000, Consolidated Edison Energy, Inc. (Con Edison Energy) and Northeast Utilities Service Company (NUSCO) withdrew a request for confidential treatment contained in a December 21, 1999, filing in the above-captioned docket in light of two orders issued on December 29, 1999. Con Edison Energy and NUSCO also provided additional unredacted copies of the agreements included in their earlier filing.

Con Edison Energy and NUSCO state that copies of this filing have been mailed to the Massachusetts Commission and to persons designated for service in this proceeding.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

**2. Select Energy, Inc., Northeast
Utilities Service Company**

[Docket No. ER00-952-000]

Take notice that on January 5, 2000, Select Energy, Inc. (Select) and Northeast Utilities Service Company (NUSCO) withdrew a request for confidential treatment contained in a December 29, 1999, filing in the above-captioned docket in light of two orders issued on December 29, 1999. Select and NUSCO also provided additional unredacted copies of the agreements included in their earlier filing.

Select and NUSCO state that copies of this filing have been mailed to the Massachusetts and Connecticut Commissions and to persons designated for service in this proceeding.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

3. PECO Energy Company

[Docket No. ER00-1004-000]

Take notice that on January 5, 2000, PECO Energy Company (PECO), tendered for filing under Section 205 of the Federal Power Act, 16 U.S.C. S 792 *et seq.*, an Agreement dated December 23, 1999 with Commonwealth Energy Company (d/b/a/ electric AMERICA) (CEC) under PECO's FERC Electric Tariff Original Volume No. 1 (Tariff).

PECO requests an effective date of January 1, 2000, for the Agreement.

PECO states that copies of this filing have been supplied to CEC and to the Pennsylvania Public Utility Commission.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

**4. Allegheny Energy Service
Corporation, on behalf of Monongahela
Power Company, The Potomac Edison
Company and West Penn Power
Company (Allegheny Power)**

[Docket No. ER00-1005-000]

Take notice that on January 5, 2000, Allegheny Energy Service Corporation on behalf of Monongahela Power Company, The Potomac Edison Company and West Penn Power Company (Allegheny Power), tendered for filing Supplement No. 46 to add one (1) new Customer to the Market Rate Tariff under which Allegheny Power offers generation services.

Allegheny Power requests a waiver of notice requirements to make service available as of January 4, 2000 to NRG Power Marketing Inc.

Copies of the filing have been provided to the Public Utilities Commission of Ohio, the Pennsylvania Public Utility Commission, the Maryland Public Service Commission, the Virginia State Corporation Commission, the West Virginia Public Service Commission, and all parties of record.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

**5. California Independent System
Operator Corporation**

[Docket No. ER00-1007-000]

Take notice that on January 5, 2000, the California Independent System Operator Corporation (ISO), tendered for filing a revision to Appendix A of the Responsible Participating Transmission Owner Agreement between the ISO and Pacific Gas and Electric Company. The ISO states that the revision modifies the Appendix to add Service Agreements 42 and 43 to Bay Area Rapid Transit's list of contracts; announces in several footnotes in Appendix A the new obligations of two Scheduling Coordinators, the Western Area Power Administration and the California Power Exchange, and the authority for appointing those Scheduling Coordinators; and delete Lassen Municipal Utility District, Minnesota Methane, Power Exchange, and Sierra Pacific from Appendix A.

The ISO requests that the revision be made effective as of November 17, 1999.

The ISO states that this filing has been served on all parties listed on the Restricted Service List in Docket Nos. ER98-1057-000, *et al.*

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

6. Ameren Services Company

[Docket No. ER00-1008-000]

Take notice that on January 5, 2000, Ameren Services Company (ASC), the transmission provider, tendered for filing a Service Agreement for Long-Term Firm Point-to-Point Transmission Service between ASC and Reliant Energy Services, Inc., (RES). ASC asserts that the purpose of the Agreement is to permit ASC to provide transmission service to RES pursuant to Ameren's Open Access Transmission Tariff filed in Docket No. ER96-677-004.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

7. PECO Energy Company

[Docket No. ER00-1009-000]

Take notice that on January 5, 2000, PECO Energy Company (PECO), tendered for filing under Section 205 of the Federal Power Act, 16 U.S.C. S 792 *et seq.*, an Agreement dated December 23, 1999 with NewEnergy, Inc. (NEV) under PECO's FERC Electric Tariff Original Volume No. 1 (Tariff).

PECO requests an effective date of January 1, 2000, for the Agreement.

PECO states that copies of this filing have been supplied to NEV and to the Pennsylvania Public Utility Commission.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

8. PECO Energy Company

[Docket No. ER00-1010-000]

Take notice that on January 5, 2000, PECO Energy Company (PECO), tendered for filing under Section 205 of the Federal Power Act, 16 U.S.C. S 792 *et seq.*, an Agreement dated December 24, 1999 with PEPSCO Services, Inc. (PSI) under PECO's FERC Electric Tariff Original Volume No. 1 (Tariff).

PECO requests an effective date of January 1, 2000, for the Agreement.

PECO states that copies of this filing have been supplied to PSI and to the Pennsylvania Public Utility Commission.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

9. Cinergy Services, Inc.

[Docket No. ER00-1011-000]

Take notice that on January 4, 2000, Cinergy Services, Inc. on behalf of its Operating Company affiliates, The Cincinnati Gas & Electric Company and PSI Energy, Inc. (COC), tendered for filing an executed service agreement between COC and Duke Energy Trading and Marketing, L.L.C. (DETM) replacing

the unexecuted service agreement filed on November 28, 1997 under Docket No. ER98-847-000 per COC FERC Electric Cost-Based Power Sales Tariff, Original Volume No. 6-CB.

Cinergy is requesting an effective date of October 29, 1997 and the same Rate Designation as per the original filing.

Comment date: January 24, 2000, in accordance with Standard Paragraph E at the end of this notice.

10. West Texas Utilities Company

[Docket No. ER00-1012-000]

Take notice that on January 5, 2000, West Texas Utilities Company (WTU), tendered for filing a letter agreement, dated December 3, 1999, between WTU and Southwest Texas Electric Cooperative, Inc. (Southwest Texas) as a supplement to Southwest Texas' service agreement with WTU under WTU's Wholesale Power Choice Tariff. The supplement is being filed to address a billing error.

WTU requests an effective date of April 1, 1994 and, accordingly, seeks waiver of the Commission's notice requirements.

Copies of the filing have been served on Southwest Texas and the Public Utility Commission of Texas.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

11. PP&L, Inc.

[Docket No. ER00-1014-000]

Take notice that on January 5, 2000, PP&L, Inc. (PP&L), tendered for filing with the Federal Energy Regulatory Commission an executed Letter Agreement between PP&L and UGI Utilities, Inc. (UGI), regarding the collection, and allocation among PP&L and UGI, of transmission revenue in the PP&L Group Zone by PJM Interconnection, L.L.C. (PJM) under the PJM Open Access Transmission Tariff (PJM Tariff).

PP&L requests an effective date of August 1, 1999 for the Letter Agreement. PP&L states that a copy of this filing has been provided to UGI, PJM and the Pennsylvania Public Utility Commission.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

12. PP&L, Inc.

[Docket No. ER00-1015-000]

Take notice that on January 5, 2000, PP&L, Inc. (PP&L), tendered for filing a Notice of Assignment pursuant to which Allegheny Energy Supply Company, LLC (Allegheny Energy) will replace West Penn Power Company, d/b/a

Allegheny Power, under Service Agreement No. 21 to PP&L's Market-Based Rate Tariff, FERC Electric Tariff First Revised Volume No. 5.

PP&L requests an effective date of the assignment of December 10, 1999.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

13. PG&E Power Services Company

[Docket No. ER00-1016-000]

Take notice that on January 5, 2000, PG&E Power Services Company tendered for filing a Notice of Withdrawal of quarterly reports filed with the Commission in Docket Nos. ER94-1394, ER99-976 and ER00-745.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

14. Carolina Power & Light Company

[Docket No. ER00-1017-000]

Take notice that on January 6, 2000, Carolina Power & Light Company (CP&L), tendered for filing an executed Service Agreement with Western Resources, Inc. under the provisions of CP&L's Market-Based Rates Tariff, FERC Electric Tariff No. 4.

This Service Agreement supersedes the un-executed Agreement originally filed in Docket No. ER98-3385-000 and approved effective May 18, 1998.

Copies of the filing were served upon the North Carolina Utilities Commission and the South Carolina Public Service Commission.

Comment date: January 25, 2000, in accordance with Standard Paragraph E at the end of this notice.

15. Allegheny Energy Service Corporation, on behalf of Allegheny Energy Supply Company, LLC

[Docket No. ER00-1018-000]

Take notice that on January 6, 2000, Allegheny Energy Service Corporation on behalf of Allegheny Energy Supply Company, LLC (Allegheny Energy Supply), tendered for filing Supplement No. 16 to add one (1) new Customer to the Market Rate Tariff under which Allegheny Energy Supply offers generation services.

Allegheny Energy Supply requests a waiver of notice requirements to make service available as of December 8, 1999 to Reliant Energy Services, Inc.

Copies of the filing have been provided to the Public Utilities Commission of Ohio, the Pennsylvania Public Utility Commission, the Maryland Public Service Commission, the Virginia State Corporation Commission, the West Virginia Public Service Commission, and all parties of record.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

16. Alliant Energy Corporate Services, Inc.

[Docket No. ER00-1020-000]

Take notice that on January 6, 2000, Alliant Energy Corporate Services, Inc. (Alliant Energy) on behalf of Interstate Power Company (IPC) and Wisconsin Power & Light (WPL), tendered for filing a Negotiated Capacity Transaction (Agreement) between WPL and IPC for the period January 1, 2000 through December 31, 2000. The Agreement was negotiated to provide service under the Alliant Energy System Coordination and Operating Agreement among IES Utilities Inc., Interstate Power Company, Wisconsin Power & Light Company and Alliant Energy.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

17. Alliant Energy Corporate Services, Inc.

[Docket No. ER00-1021-000]

Take notice that on January 6, 2000, Alliant Energy Corporate Services, Inc. (Alliant Energy) on behalf of Interstate Power Company (IPC) and Wisconsin Power & Light (WPL), tendered for filing a Negotiated Capacity Transaction (Agreement) between WPL and IPC for the period June 1, 2000 through August 31, 2000. The Agreement was negotiated to provide service under the Alliant Energy System Coordination and Operating Agreement among IES Utilities Inc., Interstate Power Company, Wisconsin Power & Light Company and Alliant Energy.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

18. Alliant Energy Corporate Services, Inc.

[Docket No. ER00-1022-000]

Take notice that on January 6, 2000, Alliant Energy Corporate Services, Inc. (Alliant Energy) on behalf of Interstate Power Company (IPC) and Wisconsin Power & Light (WPL), tendered for filing a Negotiated Capacity Transaction (Agreement) between IPC and WPL for the period January 1, 2000 through December 31, 2000. The Agreement was negotiated to provide service under the Alliant IPC's Power Sales Tariff PS-1.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

19. Alliant Energy Corporate Services, Inc.

[Docket No. ER00-1023-000]

Take notice that on January 6, 2000, Alliant Energy Corporate Services, Inc. (Alliant Energy) on behalf of Interstate Power Company (IPC) and Wisconsin Power & Light (WPL), tendered for filing a Unit Participation Capacity Transaction (Agreement) between WPL and IPC for the period June 1, 2000 through August 31, 2000. The Agreement was negotiated to provide service under the Alliant Energy System Coordination and Operating Agreement among IES Utilities Inc., Interstate Power Company, Wisconsin Power & Light Company and Alliant Energy.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

20. New Century Services, Inc.

[Docket No. ER00-1024-000]

Take notice that on January 6, 2000, New Century Services, Inc. (NCS), on behalf of Public Service Company of Colorado (Public Service), tendered for filing the Master Commodity Purchase and Sale Agreement between Public Service and Reliant Energy Services, Inc., which is an umbrella service agreement under Public Service's Rate Schedule for Market-Based Power Sales (Public Service FERC Electric Tariff, Original Volume No. 6).

NCS requests that this agreement become effective on December 6, 1999.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

21. Kansas City Power & Light Company

[Docket No. ER00-1025-000]

Take notice that on January 6, 2000, Kansas City Power & Light Company (KCPL), tendered for filing a Service Agreement dated December 14, 1999, between KCPL and Madison Gas & Electric. This Agreement provides for Market Based Sales Service.

KCPL proposes an effective date of December 14, 1999, and requests waiver of the Commission's notice requirement.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

22. Indianapolis Power & Light Company

[Docket No. ER00-1026-000]

Take notice that on January 6, 2000, Indianapolis Power & Light Company (IPL), tendered for filing, its Order Nos. 888 and 889 compliance filing and an application for market-based rate authority.

Copies of this filing were served on the Indiana Utility Regulatory Commission and others as provided on the official service list.

Comment date: January 26, 2000, in accordance with Standard Paragraph E at the end of this notice.

Standard Paragraph

E. Any person desiring to be heard or to protest such filing should file a motion to intervene or protest with the Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426, in accordance with rules 211 and 214 of the Commission's Rules of practice and procedure (18 CFR 385.211 and 385.214). All such motions or protests should be filed on or before the comment date. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a motion to intervene. Copies of these filings are on file with the Commission and are available for public inspection. This filing may also be viewed on the Internet at <http://www.ferc.fed.us/online/rims.htm> (call 202-208-2222 for assistance).

David P. Boergers,

Secretary.

[FR Doc. 00-1007 Filed 1-14-00; 8:45 am]

BILLING CODE 6717-01-P

DEPARTMENT OF ENERGY**Federal Energy Regulatory Commission****Notice of Application Accepted for Filing and Soliciting Motions To Intervene and Protest**

January 11, 2000.

Take notice that the following hydroelectric application has been filed with the Commission and is available for public inspection:

a. *Type of Application:* Preliminary Permit.

b. *Project No.:* P-11823-000.

c. *Date filed:* September 27, 1999.

d. *Applicant:* Town of Newmarket, New Hampshire.

e. *Name of Project:* Macallen Dam Project.

f. *Location:* At Macallen Dam, on the Lamprey River, near the Town of Newmarket, Rockingham County, New Hampshire.

g. *Filed Pursuant to:* Federal Power Act 16 U.S.C. 791(a)-825(r).

h. *Applicant Contact:* Mr. John R. Lavigne, Jr., SFC Engineering Partnership, Inc., 25 Sundial Avenue,

Suite 205W, Manchester, NH 03103, (603) 647-8700.

i. *FERC Contact:* Michael Spencer, Michael.Spencer@FERC.fed.us, (202) 219-2846.

j. *Deadline for filing motions to intervene and protest:* 60 days from the issuance date of this notice.

All documents (original and eight copies) should be filed with: David P. Boergers, Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426.

The Commission's Rules and Practice and Procedure require all intervenors filing documents with the Commission to serve a copy of that document on each person whose name appears on the official service list for the project. Further, if an intervenor files comments or documents with the Commission relating to the merits of an issue that may affect the responsibilities of a particular resource agency, they must also serve a copy of the document on that resource agency.

k. *Description of Project:* The proposed project would consist of the following: (1) The existing 27-foot-high masonry Macallen Dam with proposed 24-in-high flashboards; (2) the existing reservoir would be increased to 140 acres surface area and 740 acre-feet storage capacity; (3) a proposed forebay containing one generating unit with a total capacity of 600 kW and an estimated average annual generation of 2.3 GWh; (4) a control house with transform; and (5) a 300-foot-long transmission line.

l. *Locations of the application:* A copy of the application is available for inspection and reproduction at the Commission's Public Reference and Files Maintenance Branch, located at 888 First Street, NE, Room 2A, Washington, DC 20426, or by calling (202) 219-1371. This filing may be viewed on the web at <http://www.ferc.fed.us/online/rims.htm> (Call (202) 208-2222 for assistance). A copy is also available for inspection and reproduction at the address in item h above.

Preliminary Permit—Anyone desiring to file a competing application for preliminary permit for a proposed project must submit the competing application itself, or a notice of intent to file such an application, to the Commission on or before the specified comment date for the particular application (see 18 CFR 4.36). Submission of a timely notice of intent allows an interested person to file the competing preliminary permit application no later than 30 days after the specified comment date for the particular application. A competing

preliminary permit application must conform with 18 CFR 4.30(b)) and 4.36.

Preliminary Permit—Any qualified development applicant desiring to file a competing development application must submit to the Commission, on or before a specified comment date for the particular application, either a competing development application or a notice of intent to file such an application. Submission of a timely notice of intent to file a development application allows an interested person to file the competing application no later than 120 days after the specified comment date for the particular application. A competing license application must conform with 18 CFR 4.30(b) and 4.36.

Notice of intent—A notice of intent must specify the exact name, business address, and telephone number of the prospective applicant, and must include an unequivocal statement of intent to submit, if such an application may be filed, either a preliminary permit application or a development application (specify which type of application). A notice of intent must be served on the applicant(s) named in this public notice.

Proposed Scope of Studies under Permit—A preliminary permit, if issued, does not authorize construction. The term of the proposed preliminary permit would be 36 months. The work proposed under the preliminary permit would include economic analysis, preparation of preliminary engineering plans, and a study of environmental impacts. Based on the results of these studies, the Applicant would decide whether to proceed with the preparation of a development application to construct and operate the project.

Comments, Protests, or Motions to Intervene—Anyone may submit comments, a protest, or a motion to intervene in accordance with the requirements of Rules of Practice and Procedure, 18 CFR 385.210, .211, .214. In determining the appropriate action to take, the Commission will consider all protests or other comments filed, but only those who file a motion to intervene in accordance with the Commission's Rules may become a party to the proceeding. Any comments, protests, or motions to intervene must be received on or before the specified comment date for the particular application.

Filing and Service of Responsive Documents—Any filings must bear in all capital letters the title "COMMENTS," "NOTICE OF INTENT TO FILE COMPETING APPLICATION," "COMPETING APPLICATION," "PROTESTS," "MOTION TO

INTERVENE", as applicable, and the Project Number of the particular application to which the filing refers. Any of the above-named documents must be filed by providing the original and the number of copies provided by the Commission's regulations to: The Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426. An additional copy must be sent to Director, Division of Project Review, Federal Energy Regulatory Commission, at the above-mentioned address. A copy of any notice of intent, competing application or motion to intervene must also be served upon each representative of the Applicant specified in the particular application.

Agency Comments—Federal, state, and local agencies are invited to file comments on the described application. A copy of the application may be obtained by agencies directly from the Applicant. If an agency does not file comments within the time specified for filing comments, it will be presumed to have no comments. One copy of an agency's comments must also be sent to the Applicant's representatives.

Linwood A. Watson, Jr.,

Acting Secretary.

[FR Doc. 00-1008 Filed 1-14-00; 8:45 am]

BILLING CODE 6717-01-M

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Notice of Pacific Gas and Electric Company's Request To Use Alternative Procedures in Filing an Amendment Application

January 11, 2000.

Take notice that the following hydroelectric application has been filed with the Commission and is available for public inspection:

a. *Type of Application*: Request To Use Alternative Amendment Procedures.

b. *Project No.*: 1121-050.

c. *Date filed*: December 13, 1999.

d. *Applicant*: Pacific Gas and Electric Company.

e. *Name of Project*: Battle Creek Hydroelectric Project.

f. *Location*: On Battle Creek and its tributaries, in Shasta and Tehama Counties, California. Part of the Battle Creek Project affects lands of the United States within Lassen National Forest and lands under the supervision of the Bureau of Land Management.

g. *Filed Pursuant to*: Section 23(b) of the Federal Power Act, 16 U.S.C. 817(b).

h. *Applicant Contract*: Angela Risdon, Senior License Coordinator, Pacific Gas and Electric Company, Mail Code N11C, P.O. Box 770000, San Francisco, CA 94177.

i. *FERC Contract*: Any questions on this notice should be addressed to Thomas LoVullo, E-mail address thomas.lovullo@ferc.fed.us, or telephone 202-219-1168.

j. *Deadline for filing comments*: 30 days from the date of this notice. All comments must be filed by providing an original and eight copies, as required by the Commission's regulations to: David P. Boergers, Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426.

Further, all comment filings must include the project name and number (Battle Creek Project, No. 1121) and the heading "Comments on the Alternative Procedure". The Commission's Rules of Practice and Procedure require all intervenors filing documents with the Commission to serve a copy of that document on each person whose name appears on the official service list for the project. If an intervenor files comments or documents with the Commission relating to the merits of an issue that may affect the responsibilities of a particular resource agency, the must also serve a copy of the document on that resource agency.

k. *Status of environmental analysis*: This application is not ready for environmental analysis at this time.

l. *Description of Request*: PG&E requests Commission approval to use alternative amendment procedures for developing a license amendment application for the Battle Creek Project. PG&E has demonstrated that it made a reasonable effort to contact the resources agencies, non-governmental organizations and others who may be affected by their proposal and submitted a communication protocol governing how participants in the proposed process would communicate with each other. PG&E believes there is a consensus on using the alternative process.

The purpose of this notice is to invite comments on PG&E's request to use the alternative procedure. The alternative procedure is intended to simplify and expedite the amendment process by combining prefiling consultation and environmental review processes into a single process, and by facilitating greater participation and improved communication and cooperation among participants. The alternative procedure can be tailored to the project under consideration.

m. *Locations of the application*: A copy of the application is available for

inspection and reproduction at the Commission's Public Reference Room, located at 888 First Street, NE, Room 2A, Washington, DC 20426, or by calling (202) 208-1371. The application may be viewed on the web at www.ferc.fed.us. Call (202) 208-2222 for assistance. A copy is also available for inspection and reproduction at the address in item h above.

Comments, Protests, or Motions to Intervene—Anyone may submit comments, a protest, or a motion to intervene in accordance with the requirements of Rules of Practice and Procedure, 18 CFR 385.210, .211, .214. In determining the appropriate action to take, the Commission will consider all protests or other comments filed, but only those who file a motion to intervene in accordance with the Commission's Rules may become a party to the proceeding. Any comments, protests, or motions to intervene must be received on or before the specified comment date for the particular application.

Filing and Service of Responsive Documents—Any filings must bear in all capital letters the title "COMMENTS", "NOTICE OF INTENT TO FILE COMPETING APPLICATION", "COMPETING APPLICATION", "PROTEST", "MOTION TO INTERVENE", as applicable, and the Project Number of the particular application to which the filing refers. Any of the above-named documents must be filed by providing the original and the number of copies provided by the Commission's regulations to: The Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426. An additional copy must be sent to Director, Division of Project Review, Federal Energy Regulatory Commission, at the above-mentioned address. A copy of any notice of intent competing application or motion to intervene must also be served upon each representative of the Applicant specified in the particular application.

Agency Comments—Federal, state, and local agencies are invited to file comments on the described application. A copy of the application may be obtained by agencies directly from the Applicant. If an agency does not file comments within the time specified for filing comments, it will be presumed to have no comments. One copy of an agency's comments must also be sent to the Applicant's representatives.

Linwood A. Watson, Jr.,

Acting Secretary.

[FR Doc. 00-1009 Filed 1-14-00; 8:45am]

BILLING CODE 6717-01-M

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Notice of Application Accepted for Filing and Soliciting Motions to Intervene and Protests

January 11, 2000.

Take notice that the following hydroelectric application has been filed with the Commission and is available for public inspection:

a. *Type of Application:* Preliminary Permit.

b. *Project No.:* P-11829-000.

c. *Date filed:* November 10, 1999.

d. *Applicant:* Universal Electric Power Corp.

e. *Name of Project:* Yellowtail Afterbay Project.

f. *Location:* At the Bureau of Reclamation's Yellowtail Afterbay dam, on the Big Horn River, near the Town of Saint Xavier, Big Horn County, Montana.

g. *Filed Pursuant to:* Federal Power Act 16 U.S.C. §§ 791(a)-825(r).

h. *Applicant Contact:* Mr. Gregory Feltenberger, Universal Electric Power Corp., 1145 Highbrook Street, Akron, Ohio 44301, (330) 535-7115.

i. *FERC Contact:* Michael Spencer, Michael.Spencer,@FERC.fed.us, (202) 219-2846.

j. *Deadline for filing motions to intervene and protest:* 60 days from the issuance date of this notice.

All documents (original and eight copies) should be filed with: David P. Boergers, Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426.

The Commission's Rules of Practice and Procedure require all intervenors filing documents with the Commission to serve a copy of that document on each person whose name appears on the official service list for the project. Further, if an intervenor files comments or documents with the Commission relating to the merits of an issue that may affect the responsibilities of a particular resource agency, they must also serve a copy of the document on that resource agency.

k. *Description of Project:* The proposed project would utilize the Yellowtail Afterbay dam and consist of the following: (1) Six 72-inch-diameter, 80-foot-long steel penstocks, constructed in the existing outlet works; (2) a powerhouse containing six generating units with a total capacity of 4.28 MW and an estimated average annual generation of 26 GWh; and (3) a 2.5-mile-long transmission line.

l. *Locations of the application:* A copy of the application is available for

inspection and reproduction at the Commission's Public Reference and Files Maintenance Branch, located at 888 First Street, NE, Room 2A, Washington, D.C. 20426, or by calling (202) 219-1371. This filing may be viewed on the web at <http://www.ferc.fed.us/online/rims.htm> (Call (202) 208-2222 for assistance). A copy is also available for inspection and reproduction at the address in item h above.

Preliminary Permit—Anyone desiring to file a competing application for preliminary permit for a proposed project must submit the competing application itself, or a notice of intent to file such an application, to the Commission on or before the specified comment date for the particular application (see 18 CFR 4.36). Submission of a timely notice of intent allows an interested person to file the competing preliminary permit application no later than 30 days after the specified comment date for the particular application. A competing preliminary permit application must conform with 18 CFR 4.30(b) and 4.36.

Preliminary Permit—Any qualified development applicant desiring to file a competing development application must submit to the Commission, on or before a specified comment date for the particular application, either a competing development application or a notice of intent to file such an application. Submission of a timely notice of intent to file a development application allows an interested person to file the competing application no later than 120 days after the specified comment date for the particular application. A competing license application must conform with 18 CFR 4.30(b) and 4.36.

Notice of intent—A notice of intent must specify the exact name, business address, and telephone number of the prospective applicant, and must include an unequivocal statement of intent to submit, if such an application may be filed, either a preliminary permit application or a development application (specify which type of application). A notice of intent must be served on the applicant(s) named in this public notice.

Proposed Scope of Studies under Permit—A preliminary permit, if issued, does not authorize construction. The term of the proposed preliminary permit would be 36 months. The work proposed under the preliminary permit would be 36 months. The work proposed under the preliminary permit would include economic analysis, preparation of preliminary engineering plans, and a study of environmental

impacts. Based on the results of these studies, the Applicant would decide whether to proceed with the preparation of a development application to construct and operate the project.

Comments, Protests, or Motions to Intervene—Anyone may submit comments, a protest, or a motion to intervene in accordance with the requirements of Rules of Practice and Procedure, 18 CFR 385.210, .211, .214. In determining the appropriate action to take, the Commission will consider all protests or other comments filed, but only those who file a motion to intervene in accordance with the Commission's Rules may become a party to the proceeding. Any comments, protests, or motions to intervene must be received on or before the specified comment date for the particular application.

Filing and Service of Responsive Documents—Any filings must bear in all capital letters the title "COMMENTS", "NOTICE OF INTENT TO FILE COMPETING APPLICATION", "COMPETING APPLICATION", "PROTEST", "MOTION TO INTERVENE", as applicable, and the Project Number of the particular application to which the filing refers. Any of the above-named documents must be filed by providing the original and the number of copies provided by the Commission's regulations to: The Secretary, Federal Energy Regulatory Commission, 888 First Street, N.E., Washington, D.C. 20426. An additional copy must be sent to Director, Division of Project Review, Federal Energy Regulatory Commission, at the above-mentioned address. A copy of any notice of intent, competing application or motion to intervene must also be served upon each representative of the Applicant specified in the particular application.

Agency Comments—Federal, state, and local agencies are invited to file comments on the described application. A copy of the application may be obtained by agencies directly from the Applicant. If an agency does not file comments within the time specified for filing comments, it will be presumed to have no comments. One copy of an agency's comments must also be sent to the Applicant's representatives.

Linwood A. Watson, Jr.,

Acting Secretary.

[FR Doc. 00-1010 Filed 1-14-00; 8:45 am]

[BILLING CODE 6717-01-M]

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Notice of Intent To File an Application for a New License

January 11, 2000.

a. *Type of Filing:* Notice of Intent to File An Application for a New License.

b. *Project No.:* 2207.

c. *Date Filed:* December 13, 1999.

d. *Submitted by:* Wausau-Mosinee Paper Corporation—current licensee.

e. *Name of Project:* Mosinee Hydroelectric Project.

f. *Location:* On the Wisconsin River near the town of Mosinee, in Marathon County, Wisconsin.

g. *Filed Pursuant to:* Section 15 of the Federal Power Act.

h. *Licensee Contact:* Bruce Ruzek, Wausau-Mosinee Paper Corporation, 100 Main Street, Mosinee, WI 54455 (715) 693-0254.

i. *FERC Contact:* Tom Dean, thomas.dean@ferc.fed.us, (202) 219-2778.

j. *Effective date of current license:* January 1, 1982.

k. *Expiration date of current license:* December 31, 2004.

l. *Description of the Project:* The project consists of the following existing facilities: (1) a 356-foot-long rock-filled timber crib dam comprised of a 20-foot-long concrete spillway section at both ends; (2) a 47-foot-long rock-filled timber structure; (3) a 1,377-acre reservoir at a normal pool elevation of 1,138.5 feet U.S.G.S.; (4) a powerhouse containing three generating units with a total installed capacity of 3,050 kW, (5) two 2,000-foot-long, 5-kV transmission lines; and (6) other appurtenances.

m. Each application for a new license and any competing license applications must be filed with the Commission at least 24 months prior to the expiration of the existing license. All applications for license for this project must be filed by December 31, 2000.

Linwood A. Watson, Jr.,

Acting Secretary.

[FR Doc. 00-1011 Filed 1-14-00; 8:45 am]

[BILLING CODE 6717-01-M]

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Notice of Application Accepted for Filing and Soliciting Motions To Intervene and Protests

January 11, 2000.

Take notice that the following hydroelectric application has been filed with the Commission and is available for public inspection:

a. *Type of Application:* Preliminary Permit.

b. *Project No.:* P-11828-000.

c. *Date filed:* Universal Electric Power Corp.

d. *Applicant:* Universal Electric Power Corp.

e. *Name of Project:* Kinzua Dam Project.

f. *Location:* At the Corps of Engineer's Kinzua Dam, on the Allegheny River, near Rogertown, Warren County, Pennsylvania.

g. *Filed Pursuant to:* Federal Power Act 16 U.S.C. §§ 791 (a)-825(r).

h. *Applicant Contact:* Mr. Gregory Feltenberger, Universal Electric Power Corp., 1145 Highbrook Street, Akron, Ohio 44301, (330) 535-7115.

i. *FERC Contact:* Michael Spencer, Michael.Spencer@FERC.fed.us, (202) 219-2846.

j. *Deadline for filing motions to intervene and protest:* 60 days from the issuance date of this notice.

All documents (original and eight copies) should be filed with: David P. Boergers, Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426.

The Commission's Rules and Practice and Procedure require all intervenors filing documents with the Commission to serve a copy of that document on each person whose name appears on the official service list for the project. Further, if an intervenor files comments or documents with the Commission relating to the merits of an issue that may affect the responsibilities of a particular resource agency, they must also serve a copy of the document on that resource agency.

k. *Description of Project:* The proposed project would utilize the Corps of Engineer's Kinzua Dam and consist of the following: (1) four 108-inch-diameter, 450-foot-long steel penstocks, constructed in the existing outlet works; (2) a powerhouse containing four generating units with a total capacity of 33.35 MW and an estimated average annual generation of 204 GWh; and (3) a 500-foot-long transmission line.

1. *Locations of the application:* A copy of the application is available for inspection and reproduction at the Commission's Public Reference and Files Maintenance Branch, located at 888 First Street, N.E., Room 2A, Washington, D.C. 20426, or by calling (202) 219-1371. This filing may be viewed on the web at <http://www.ferc.fed.us/online/rims.htm> (Call (202) 208-2222 for assistance). A copy is available for inspection and reproduction at the address in item h above.

Preliminary Permit—Anyone desiring to file a competing application for preliminary permit for a proposed project must submit the competing application itself, or a notice of intent to file such an application, to the Commission on or before the specified comment date for the particular application (see 18 CFR 4.36). Submission of a timely notice of intent allows an interested person to file the competing preliminary permit application no later than 30 days after the specified comment date for the particular application. A competing preliminary permit application must conform with 18 CFR 4.30(b) and 4.36.

Preliminary Permit—Any qualified development applicant desiring to file a competing development application must submit to the Commission, on or before a specified comment date for the particular application, either a competing development application or a notice of intent to file such an application. Submission of a timely notice of intent to file a development application allows an interested person to file the competing application no later than 120 days after the specified comment date for the particular application. A competing license application must conform with 18 CFR 4.30(b) and 4.36.

Notice of intent—A notice of intent must specify the exact name, business address, and telephone number of the prospective applicant, and must include an unequivocal statement of intent to submit, if such an application may be filed, either a preliminary permit application or a development application (specify which type of application). A notice of intent must be served on the applicant(s) name in this public notice.

Proposed Scope of Studies under Permit—A preliminary permit, if issued, does not authorize construction. The term of the proposed preliminary permit would be 36 months. The work proposed under the preliminary permit would include economic analysis, preparation of preliminary engineering plans, and a study of environmental

impacts. Based on the results of these studies, the Applicant would decide whether to proceed with the preparation of a development application to construct and operate the project.

Comments, Protests, or Motions to Intervene—Anyone may submit comments, a protest, or a motion to intervene in accordance with the requirements of Rules of Practice and Procedure, 18 CFR 385.210, .211, .214. In determining the appropriate action to take, the Commission will consider all protests or other comments filed, but only those who file a motion to intervene in accordance with the Commission's Rules may become a party to the proceeding. Any comments, protests, or motions to intervene must be received on or before the specified comment date for the particular application.

Filing and Service of Responsive Documents—Any filings must bear in all capital letters the title "COMMENTS", "NOTICE OF INTENT TO FILE COMPETING APPLICATION", "COMPETING APPLICATION", "PROTEST", "MOTION TO INTERVENE", as applicable, and the Project Number of the particular application to which the filing refers. Any of the above-named documents must be filed by providing the original and the number of copies provided by the Commission's regulations to: The Secretary, Federal Energy Regulatory Commission, 888 First Street, N.E., Washington, D.C. 20426. An additional copy must be sent to Director, Division of Project Review, Federal Energy Regulatory Commission, at the above-mentioned address. A copy of any notice of intent, competing application or motion to intervene must also be served upon each representative of the Applicant specified in the particular application.

Agency Comments—Federal, state, and local agencies are invited to file comments on the described application. A copy of the application may be obtained by agencies directly from the Applicant. If an agency does not file comments within the time specified for filing comments, it will be presumed to have no comments. One copy of an agency's comments must also be sent to the Applicant's representatives.

Linwood A. Watson, Jr.,

Acting Secretary.

[FR Doc. 00-1013 Filed 1-14-00; 8:45am]

BILLING CODE 6717-01-M

DEPARTMENT OF ENERGY

Federal Energy Regulatory Commission

Notice of Application Tendered for Filing With the Commission and Soliciting Additional Study Requests

January 11, 2000.

Take notice that the following hydroelectric application has been filed with the Commission and is available for public inspection:

a. *Type of Application:* New Major License.

b. *Project No.:* P-2142-031.

c. *Date filed:* December 28, 1999.

d. *Applicant:* FPL Energy Maine Hydro, LLC.

e. *Name of Project:* Indian Pond Hydroelectric Project.

f. *Location:* On the Kennebec River, near the town of The Forks, Somerset and Piscataquis counties, Maine. The project would not utilize federal lands.

g. *Filed Pursuant to:* Federal Power Act, 16 U.S.C. §§ 791(a)—825(r).

h. *Applicant Contact:* Kenneth P. Hoffman, Vice President, FPL Energy Maine Hydro, LLC, 700 Universe Boulevard, Juno Beach, FL 33408, (561) 694-4000

Robert C. Richter III, Senior Environmental Coordinator, FPL Energy Maine Hydro, LLC, 100 Middle Street, Portland, ME 04101, (207) 771-3536.

i. *FERC Contact:* Kevin Whalen (202) 219-2790, kevin.whelen@ferc.fed.us

j. *Deadline for filing additional study requests:* February 28, 2000.

All documents (original and eight copies) should be filed with: David P. Boergers, Secretary, Federal Energy Regulatory Commission, 888 First Street, NE, Washington, DC 20426.

The Commission's Rules of Practice and Procedure require all intervenors filing documents with the Commission to serve a copy of that document on each person whose name appears on the official service list for the project.

Further, if an intervenor files comments or documents with the Commission relating to the merits of an issue that may affect the responsibilities of a particular resource agency, they must also serve a copy of the document on that resource agency.

k. *Status of environmental analysis:* This application is not ready for environmental analysis at this time.

l. *Description of the Project:* The proposed peaking project consists of the following existing facilities: (1) A 2,000-foot-long dam, consisting of: (a) A 270-foot-long, 175-foot-high concrete section, (b) a 200-foot-long attached powerhouse section, and (c) an earthen

section in excess of 1,500 feet in length; (2) four steel penstocks ranging from 6 feet to 24 feet in diameter; (3) a concrete powerhouse containing four generating units, having a total rated hydraulic capacity of 7,140 cubic feet per second and installed generation capacity of 76.4 megawatts; (4) a 3,746-acre impoundment varying in width from 0.9 to 1.5 miles, extending about 9 miles upstream, that has a usable storage capacity of 850 million cubic feet; and (5) appurtenant facilities. The applicant estimates the total average annual generation would be approximately 202 million kilowatt hours.

m. *Locations of the application:* A copy of the application is available for inspection and reproduction at the Commission's Public Reference Room, located at 888 First Street, NE, Room 2A, Washington, DC 20426, or by calling (202) 208-1371. The application may be viewed on the web at <http://www.ferc.fed.us/online/rims.htm> (call (202) 208-2222 for assistance). A copy is also available for inspection and reproduction at the Portland, Maine, address in item h. above.

n. With this notice, we are initiating consultation with the State Historic Preservation Officer as required by § 106, National Historic Preservation Act, and the regulations of the Advisory Council on Historic Preservation, 36 CFR 800.4.

o. Pursuant to Section 4.32(b)(7) of 18 CFR of the Commission's regulations, if any resource agency, Indian Tribe, or person believes that an additional scientific study should be conducted in order to form an adequate factual basis for a complete analysis of the application on its merits, the resource agency, Indian Tribe, or person must file a request for a study with the Commission not later than 60 days from the filing date and serve a copy of the request on the applicant.

Linwood A. Watson, Jr.,
Acting Secretary.

[FR Doc. 00-1014 Filed 1-14-00; 8:45 am]

BILLING CODE 6717-01-M

ENVIRONMENTAL PROTECTION AGENCY

[FRL-6525-8]

Agency Information Collection Activities: Submission for OMB Review; Comment Request, Standards of Performance for Industrial-Commercial-Institutional Steam Generating Units

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: In compliance with the Paperwork Reduction Act (44 U.S.C. 3501 *et seq.*), this document announces that the following Information Collection Request (ICR) has been forwarded to the Office of Management and Budget (OMB) for review and approval: NSPS Subpart Db, Standards of Performance for Industrial-Commercial-Institutional Steam Generating Units, OMB No. 2060-0072, expires 3/31/2000. The ICR describes the nature of the information collection and its expected burden and cost; where appropriate, it includes the actual data collection instrument.

DATES: Comments must be submitted on or before February 17, 2000.

FOR FURTHER INFORMATION CONTACT: For a copy of the ICR contact Sandy Farmer at EPA by phone at (202) 260-2740, by E-Mail at Farmer.Sandy@epamail.epa.gov or download off the Internet at <http://www.epa.gov/icr> and refer to EPA ICR No. 1088.09. For technical questions about the ICR contact Jordan Spooner at 202-564-7058.

SUPPLEMENTARY INFORMATION: *Title:* NSPS Subpart Db, Standards of Performance for Industrial-Commercial-Institutional Steam Generating Units, OMB No. 2060-0072; EPA ICR No. 1088.09, expiration March 31, 2000. This is a request for extension of a currently approved collection.

Abstract: Owners or operators of steam generating units subject to subpart Db must make one-time-only notifications of construction/reconstruction, anticipated and actual startup, initial performance test, physical or operational changes, and demonstration of a continuous monitoring system. They must also submit reports on initial performance test results, monitoring results, and excess emissions. Records must be maintained of startups, shutdowns, malfunctions, and periods when the continuous monitoring system is inoperative, and of various fuel combustion and pollutant emission parameters.

The required notifications are used to inform the Agency or delegated authority when a source becomes subject to the standard. Performance test reports are needed as these are the Agency's record of a source's initial capability to comply with the emission standard, and serve as a record of the operating conditions under which compliance was achieved. The monitoring and excess emissions reports are used for problem identification, as a

check on source operation and maintenance, and for compliance determinations. The information collected from record keeping and reporting requirements are used for targeting inspections, and for other uses in compliance and enforcement programs.

Responses to this information collection are deemed to be mandatory, per section 114(a) of the Clean Air Act. The required information consists of emissions data and other information that have been determined not to be private. However, any information submitted to the Agency for which a claim of confidentiality is made will be safeguarded according to the Agency policies set forth in Title 40, Chapter 1, part 2, subpart B—Confidentiality of Business Information (see 40 CFR part 2; 41 FR 36902, September 1, 1976; amended by 43 FR 40000, September 8, 1978; 43 FR 42251, September 20, 1978; 44 FR 17674, March 23, 1979).

An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. The OMB control numbers for EPA's regulations are listed in 40 CFR part 9 and 48 CFR Chapter 15. The **Federal Register** document required under 5 CFR 1320.8(d), soliciting comments on this collection of information was published on June 4, 1999 (64 FR 107); no comments were received.

Burden Statement: The annual public reporting and recordkeeping burden for this collection of information is estimated to average 191 hours per response. Burden means the total time, effort, or financial resources expended by persons to generate, maintain, retain, or disclose or provide information to or for a Federal agency. This includes the time needed to review instructions; develop, acquire, install, and utilize technology and systems for the purposes of collecting, validating, and verifying information, processing and maintaining information, and disclosing and providing information; adjust the existing ways to comply with any previously applicable instructions and requirements; train personnel to be able to respond to a collection of information; search data sources; complete and review the collection of information; and transmit or otherwise disclose the information.

Respondents/Affected Entities: Industrial Institutional Steam Generating Units.

Estimated Number of Respondents: 957.

Frequency of Response: Quarterly and Semi-annually.

Estimated Total Annual Hour Burden: 575,033 hours.

Estimated Total Annualized Capital, O&M Cost Burden: \$25,955,000.

Send comments on the Agency's need for this information, the accuracy of the provided burden estimates, and any suggested methods for minimizing respondent burden, including through the use of automated collection techniques to the following addresses. Please refer to EPA ICR No. 1088.09 and OMB Control No. 2060-0072 in any correspondence.

Ms. Sandy Farmer, U.S. Environmental Protection Agency, Office of Environmental Information, Collection Strategies Division (2822), 1200 Pennsylvania Ave., NW, Washington, DC 20460;

and
Office of Information and Regulatory Affairs, Office of Management and Budget, Attention: Desk Officer for EPA, 725 17th Street, NW, Washington, DC 20503.

Dated: January 11, 2000.

Oscar Morales,

Director, Collection Strategies Division.

[FR Doc. 00-1059 Filed 1-14-00; 8:45 am]

BILLING CODE 6560-50-P

ENVIRONMENTAL PROTECTION AGENCY

[FRL 6525-7]

Agency Information Collection Activities: Submission for OMB Review; Comment Request, Standards of Performance of Volatile Organic Compound Emissions from the Synthetic Organic Chemical Manufacturing Industry Reactor Processes

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: In compliance with the Paperwork Reduction Act (44 U.S.C. 3501 *et seq.*), this document announces that the following Information Collection Request (ICR) has been forwarded to the Office of Management and Budget (OMB) for review and approval: NSPS Subpart RRR, SOCM I Reactor Processes, EPA ICR Number 1178.05 and OMB Control Number 2060-0269; expires March 31, 2000. The ICR describes the nature of the information collection and its expected burden and cost; where appropriate, it includes the actual data collection instrument.

DATES: Comments must be submitted on or before February 17, 2000.

FOR FURTHER INFORMATION CONTACT: For a copy of the ICR contact Sandy Farmer at EPA by phone at (202) 260-2740, by E-Mail at

Farmer.Sandy@epamail.epa.gov or download off the Internet at <http://www.epa.gov/icr> and refer to EPA ICR No. 1178.05. For technical questions about the ICR, contact Darlene M. Williams at 202-564-7031.

SUPPLEMENTARY INFORMATION: Title: Standards of Performance of Volatile Organic Compound (VOC) Emissions from the Synthetic Organic Chemical Manufacturing Industry (SOCMI), Reactor Processes, Subpart RRR; OMB Control No. 2060-0269; EPA ICR No. 1178.05, expiring 3/31/2000. This is a request for extension of a currently approved collection.

Abstract: This ICR contains recordkeeping and reporting requirements that are mandatory for compliance with 40 CFR 6.700, subpart RRR, Standards of Performance for VOC Emissions from SOCM I Reactor Processes. This information is used by the Agency to identify sources subject to the standards and to insure that the best demonstrated technology is being properly applied. The standards require periodic recordkeeping to document process information relating to the sources' ability to meet the requirements of the standard and to note the operation conditions under which compliance was achieved. These standards rely on the reduction of VOC emissions by installation of controls. The required notifications are used to inform the Agency or delegated authority when a source becomes subject to the standard. The reviewing authority may then inspect the source to check if the pollution control devices are properly installed and operated and the standard is being met. Performance test reports are needed as these are the Agency's record of a source's initial capability to comply with the emission standard, and serve as a record of the operating conditions under which compliance was achieved. The semiannual reports are used for problem identification, as a check on source operation and maintenance, and for compliance determinations.

The EPA is charged under section 111 of the Clean Air Act, as amended, to establish standards of performance for new stationary sources that reflect:

* * * application of the best technological system of continuous emissions reduction which (taking into consideration the cost of achieving such emissions reduction, or any non-air quality health and environmental impact and energy requirements) the

Administrator determines has been adequately demonstrated (section 111(a)(1)).

An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. The OMB control numbers for EPA's regulations are listed in 40 CFR part 9 and 48 CFR Chapter 15. The **Federal Register** document required under 5 CFR 1320.8(d), soliciting comments on this collection of information was published on June 4, 1999 (64 FR 30011); no comments were received.

Burden Statement: The annual public reporting and recordkeeping burden for this collection of information is estimated to average 47 hours per response. Burden means the total time, effort, or financial resources expended by persons to generate, maintain, retain, or disclose or provide information to or for a Federal agency. This includes the time needed to review instructions; develop, acquire, install, and utilize technology and systems for the purposes of collecting, validating, and verifying information, processing and maintaining information, and disclosing and providing information; adjust the existing ways to comply with any previously applicable instructions and requirements; train personnel to be able to respond to a collection of information; search data sources; complete and review the collection of information; and transmit or otherwise disclose the information.

Respondents/Affected Entities: Synthetic Organic Chemical Manufacturing Industry.

Estimated Number of Respondents: 285.

Frequency of Response: Semiannual and initial.

Estimated Total Annual Hour Burden: 30,842.

Estimated Total Annualized Capital, O&M Cost Burden: \$1,147,000.

Send comments on the Agency's need for this information, the accuracy of the provided burden estimates, and any suggested methods for minimizing respondent burden, including through the use of automated collection techniques to the following addresses. Please refer to EPA ICR No. 1178.05 and OMB Control No. 2060-0269 in any correspondence.

Ms. Sandy Farmer, U.S. Environmental Protection Agency, Office of Environmental Information, Collection Strategies Division (2822), 1200 Pennsylvania Ave., NW, Washington, DC 20460; and

Office of Information and Regulatory Affairs, Office of Management and Budget, Attention: Desk Officer for EPA, 725 17th Street, NW, Washington, DC 20503.

Dated: January 11, 2000.

Oscar Morales,

Director, Collection Strategies Division.

[FR Doc. 00-1062 Filed 1-14-00 8:45 am]

BILLING CODE 6560-50-P

ENVIRONMENTAL PROTECTION AGENCY

[FRL-6524-6]

Ambient Air Monitoring Reference and Equivalent Methods: Designation of a New Equivalent Method for SO₂

AGENCY: Environmental Protection Agency.

ACTION: Notice of designation.

SUMMARY: Notice is hereby given that the Environmental Protection Agency (EPA) has designated, in accordance with 40 CFR part 53, a new equivalent method for measuring concentrations of SO₂ in ambient air.

FOR FURTHER INFORMATION CONTACT:

Frank F. McElroy, Human Exposure and Atmospheric Sciences Division (MD-46), National Exposure Research Laboratory, U.S. EPA, Research Triangle Park, North Carolina 27711. Phone: (919) 541-2622, email: mcelroy.frank@epamail.epa.gov.

SUPPLEMENTARY INFORMATION: In accordance with regulations at 40 CFR part 53, the EPA examines various methods for monitoring the concentrations of certain pollutants in the ambient air. Methods that are determined to meet specific requirements for adequacy are designated as either reference or equivalent methods, thereby permitting their use under 40 CFR part 58 by States and other agencies for determining attainment of the National Ambient Air Quality Standards. EPA hereby announces the designation of a new equivalent method for measuring SO₂ in ambient air. This designation is made under the provisions of 40 CFR part 53, as amended on July 18, 1997 (62 FR 38764).

The new equivalent method for SO₂ is an automated method which utilizes the measurement principle based on UV fluorescence. The newly designated method is identified as follows:

EQSA-0100-133, "DKK Corporation Model GFS-112E U.V. Fluorescence SO₂ Analyzer," operated at any temperature ranging from 15° C to 35° C and on any of the following

measurement ranges: 0-0.05 ppm, 0-0.100 ppm, 0-0.200 ppm, 0-0.5 ppm, or 0-1.000 ppm.

An application for an equivalent method determination for the method based on the corresponding DKK analyzer was received by the EPA on June 21, 1999, and a notice of the receipt of this application was published in the **Federal Register** on October 12, 1999. The methods are available commercially from the applicant, DKK Corporation, 4-13-14, Kichijoji Kitamachi, Musashino-shi, Tokyo, 180, JAPAN.

A test analyzer representative of this method has been tested by the applicant in accordance with the test procedures specified in 40 CFR part 53 (as amended on July 18, 1997). After reviewing the results of those tests and other information submitted by the applicant, EPA has determined, in accordance with part 53, that this method should be designated as an equivalent method.

The information submitted by the applicant will be kept on file at EPA's National Exposure Research Laboratory, Research Triangle Park, North Carolina 27711 and will be available for inspection to the extent consistent with 40 CFR part 2 (EPA's regulations implementing the Freedom of Information Act).

As a designated equivalent method, this method is acceptable for use by states and other air monitoring agencies under the requirements of 40 CFR part 58, Ambient Air Quality Surveillance. For such purposes, the method must be used in strict accordance with the operation or instruction manual associated with the method and the specifications and limitations (e.g., operating temperature or measurement range) specified in the applicable designation method description (see the identification of the method above). Use of the method should also be in general accordance with the guidance and recommendations of applicable sections of the "Quality Assurance Handbook for Air Pollution Measurement Systems, Volume II, EPA/600/R-94/0386." Vendor modifications of a designated reference or equivalent method used for purposes of part 58 are permitted only with prior approval of the EPA, as provided in part 53. Provisions concerning modification of such methods by users are specified under section 2.8 of appendix C to 40 CFR part 58 (Modifications of Methods by Users).

In general, a method designation applies to any sampler or analyzer which is identical to the sampler or analyzer described in the application for designation. In some cases, similar samplers or analyzers manufactured

prior to the designation may be upgraded (e.g., by minor modification or by substitution of the approved operation or instruction manual) so as to be identical to the designated method and thus achieve designated status at a modest cost. The manufacturer should be consulted to determine the feasibility of such upgrading.

Part 53 requires that sellers of designated reference or equivalent method analyzers or samplers comply with certain conditions. These conditions are given in 40 CFR 53.9 and are summarized below:

(a) A copy of the approved operation or instruction manual must accompany the sampler or analyzer when it is delivered to the ultimate purchaser.

(b) The sampler or analyzer must not generate any unreasonable hazard to operators or to the environment.

(c) The sampler or analyzer must function within the limits of the applicable performance specifications given in parts 50 and 53 for at least one year after delivery when maintained and operated in accordance with the operation or instruction manual.

(d) Any sampler or analyzer offered for sale as part of a reference or equivalent method must bear a label or sticker indicating that it has been designated as part of a reference or equivalent method in accordance with part 53 and showing its designated method identification number.

(e) If such an analyzer has two or more selectable ranges, the label or sticker must be placed in close proximity to the range selector and indicate which range or ranges have been included in the reference or equivalent method designation.

(f) An applicant who offers samplers or analyzers for sale as part of a reference or equivalent method is required to maintain a list of ultimate purchasers of such samplers or analyzers and to notify them within 30 days if a reference or equivalent method designation applicable to the method has been canceled or if adjustment of the sampler or analyzer is necessary under 40 CFR 53.11(b) to avoid a cancellation.

(g) An applicant who modifies a sampler or analyzer previously designated as part of a reference or equivalent method is not permitted to sell the sampler or analyzer (as modified) as part of a reference or equivalent method (although it may be sold without such representation), nor to attach a label or sticker to the sampler or analyzer (as modified) under the provisions described above, until the applicant has received notice under 40 CFR 53.14(c) that the original

designation or a new designation applies to the method as modified, or until the applicant has applied for and received notice under 40 CFR 53.8(b) of a new reference or equivalent method determination for the sampler or analyzer as modified.

(h) An applicant who offers PM_{2.5} samplers for sale as part of a reference or equivalent method is required to maintain the manufacturing facility in which the sampler is manufactured as an ISO 9001-certified facility.

(i) An applicant who offers PM_{2.5} samplers for sale as part of a reference or equivalent method is required to submit annually a properly completed Product Manufacturing Checklist, as specified in part 53.

Aside from occasional breakdowns or malfunctions, consistent or repeated noncompliance with any of these conditions should be reported to: Director, Human Exposure and Atmospheric Sciences Division (MD-77), National Exposure Research Laboratory, U.S. Environmental Protection Agency, Research Triangle Park, North Carolina 27711.

Designation of this equivalent method is intended to assist the States in establishing and operating their air quality surveillance systems under 40 CFR part 58. Questions concerning the commercial availability or technical aspects of these methods should be directed to the applicant.

Norine E. Noonan,

Assistant Administrator, Office of Research and Development.

[FR Doc. 00-1083 Filed 1-14-00; 8:45 am]

BILLING CODE 6560-50-U

ENVIRONMENTAL PROTECTION AGENCY

[FRL-6524-5]

Clean Air Act Advisory Committee; Notice of Meeting

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: The Environmental Protection Agency (EPA) established the Clean Air Act Advisory Committee (CAAAC) on November 19, 1990, to provide independent advice and counsel to EPA on policy issues associated with implementation of the Clean Air Act of 1990. The Committee advises on economic, environmental, technical scientific, and enforcement policy issues.

Open Meeting Notice

Pursuant to 5 U.S.C. App. 2 Section 10(a)(2), notice is hereby given that the Clean Air Act Advisory Committee will hold its next open meeting on Tuesday, February 15, 2000, from approximately 8:30 a.m. to 2:15 p.m. at the Washington Marriott Hotel, 1221 22d Street, NW, Washington, DC. Seating will be available on a first come, first served basis. Four of the CAAAC's Subcommittees (Linking Energy, Land Use, Transportation, and Air Quality Concerns Subcommittee; the Permits/NSR/Toxics Integration Subcommittee; the Economic Incentives and Regulatory Innovations Subcommittee; and the Energy, Clean Air and Climate Change Subcommittee) will hold meetings on February 14, 2000. The Energy, Clean Air and Climate Change Subcommittee is scheduled to meet from 8:30 a.m. to 11:30 a.m.; the Linking Transportation Land Use and Air Quality Subcommittee is scheduled to meet from 12 a.m. to 3 p.m.; the Permits/NSR/topics Subcommittee is scheduled to meet from 3:15 p.m. to 5:45 p.m.; and the Economic Incentives and Regulatory Innovations Subcommittee is scheduled to meet from 4 p.m. to 6 p.m. All subcommittee se linking meetings will be held at the Washington Marriott Hotel, the same location as the full Committee.

Inspection of Committee Documents

The Committee agenda and any documents prepared for the meeting will be publicly available at the meeting. Thereafter, these documents, together with CAAAC meeting minutes, will be available by contacting the Office of Air and Radiation Docket and requesting information under docket item A-94-34 (CAAAC). The Docket office can be reached by telephoning 202-260-7548; FAX 202-260-4400.

FOR FURTHER INFORMATION CONTACT:

Concerning this meeting of the full CAAAC, please contact Paul Rasmussen, Office of Air and Radiation, US EPA (202) 564-1306, FAX (202) 564-1352 or by mail at US EPA, Office of Air and Radiation (Mail code 6102 A), 401 M St. SW, Washington, DC 20460.

For information on the Subcommittee meetings, please contact the following individuals:

- (1) Permits/NSR/Toxics Integration—Debbie Stackhouse, 919-541-5354;
- (2) Economic Incentives and Regulatory Innovations—Carey Fitzmaurice, 202-564-1667;
- (3) Linking Transportation, Land Use and Air Quality Concerns—Gay MacGregor, 734-668-4438; and

(4) Energy, Clean Air and Climate Change—Anna Garcia, 202-564-9492.

Additional information on these meetings and the CAAAC and its Subcommittees can be found on the CAAAC Web Site: www.epa.gov/oar/caaac/.

Dated: January 10, 2000.

Robert D. Brenner,

Acting Assistant Administrator for Air and Radiation.

[FR Doc. 00-1082 Filed 1-14-00; 8:45 am]

BILLING CODE 6560-50-M

ENVIRONMENTAL PROTECTION AGENCY

[FRL-6525-9]

Effluent Guidelines Task Force Open Meeting

AGENCY: Environmental Protection Agency.

ACTION: Notice of Meeting.

SUMMARY: The Effluent Guidelines Task Force, an EPA advisory committee, will hold a meeting to discuss the Agency's Effluent Guidelines Program. The meeting is open to the public.

DATES: The meeting will be held on Tuesday, January 25, 2000 from 9:00 a.m. to 5:00 p.m., and Wednesday, January 26, 2000 from 8:30 a.m. to 3:00 p.m.

ADDRESSES: The meeting will take place at the Hotel Washington, 515 15th Street, NW, Washington, DC (Capital Room).

FOR FURTHER INFORMATION: Beverly Randolph, Office of Water (4303), 401 M Street, SW, Washington, D.C. 20460; telephone (202) 260-5373; fax (202) 260-7185.

SUPPLEMENTARY INFORMATION: Pursuant to the Federal Advisory Committee Act (Pub. L. 92-463), the Environmental Protection Agency gives notice of a meeting of the Effluent Guidelines Task Force (EGTF). The EGTF is a subcommittee of the National Advisory Council for Environmental Policy and Technology (NACEPT), the external policy advisory board to the Administrator of EPA.

The EGTF was established in July of 1992 to advise EPA on the Effluent Guidelines Program, which develops regulations for dischargers of industrial wastewater pursuant to Title III of the Clean Water Act (33 U.S.C. 1251 *et seq.*). The Task Force consists of members appointed by EPA from industry, citizen groups, state and local government, the academic and scientific communities, and EPA regional offices. The Task

Force was created to offer advice to the Administrator on the long-term strategy for the effluent guidelines program, and particularly to provide recommendations on a process for expediting the promulgation of effluent guidelines. The Task Force generally does not discuss specific effluent guideline regulations currently under development.

The meeting is open to the public, and limited seating for the public is available on a first-come, first-served basis. The public may submit written comments to the Task Force regarding improvements to the Effluent Guidelines Program. Comments should be sent to Beverly Randolph at the above address. Comments submitted by January 21, 2000 will be considered by the Task Force at or subsequent to the meeting.

Dated: January 11, 2000.

Geoffrey H. Grubbs,

Director, Office of Science and Technology.

[FR Doc. 00-1065 Filed 1-14-00; 8:45 am]

BILLING CODE 6560-50-P

ENVIRONMENTAL PROTECTION AGENCY

[PF-913; FRL-6486-4]

Notice of Filing a Pesticide Petition to Establish a Tolerance for Certain Pesticide Chemicals in or on Food

AGENCY: Environmental Protection Agency (EPA).

ACTION: Notice.

SUMMARY: This notice announces the initial filing of pesticide petitions proposing the establishment of regulations for residues of certain pesticide chemicals in or on various food commodities.

DATES: Comments, identified by docket control number PF-913, must be received on or before February 17, 2000.

ADDRESSES: Comments may be submitted by mail, electronically, or in person. Please follow the detailed instructions for each method as provided in Unit I.C. of the "SUPPLEMENTARY INFORMATION." To ensure proper receipt by EPA, it is imperative that you identify docket control number PF-913 in the subject line on the first page of your response.

FOR FURTHER INFORMATION CONTACT: By mail: Shaja R. Brothers, Registration Division (7505C), Office of Pesticide Programs, Environmental Protection Agency, 401 M St., SW., Washington, DC 20460; telephone number: (703) 308-3194; e-mail address: brothers.shaja@epa.gov.

SUPPLEMENTARY INFORMATION:

I. General Information

A. Does this Action Apply to Me?

You may be affected by this action if you are an agricultural producer, food manufacturer or pesticide manufacturer. Potentially affected categories and entities may include, but are not limited to:

Cat-egories	NAICS codes	Examples of poten-tially affected entities
Industry	111 112 311 32532	Crop production Animal production Food manufacturing Pesticide manufac-turing

This listing is not intended to be exhaustive, but rather provides a guide for readers regarding entities likely to be affected by this action. Other types of entities not listed in the table could also be affected. The North American Industrial Classification System (NAICS) codes have been provided to assist you and others in determining whether or not this action might apply to certain entities. If you have questions regarding the applicability of this action to a particular entity, consult the person listed under "FOR FURTHER INFORMATION CONTACT."

B. How Can I Get Additional Information, Including Copies of this Document and Other Related Documents?

1. *Electronically.* You may obtain electronic copies of this document, and certain other related documents that might be available electronically, from the EPA Internet Home Page at <http://www.epa.gov/>. To access this document, on the Home Page select "Laws and Regulations" and then look up the entry for this document under the "Federal Register--Environmental Documents." You can also go directly to the **Federal Register** listings at <http://www.epa.gov/fedrgstr/>.

2. *In person.* The Agency has established an official record for this action under docket control number PF-913. The official record consists of the documents specifically referenced in this action, any public comments received during an applicable comment period, and other information related to this action, including any information claimed as confidential business information (CBI). This official record includes the documents that are physically located in the docket, as well as the documents that are referenced in

those documents. The public version of the official record does not include any information claimed as CBI. The public version of the official record, which includes printed, paper versions of any electronic comments submitted during an applicable comment period, is available for inspection in the Public Information and Records Integrity Branch (PIRIB), Rm. 119, Crystal Mall 2 (CM 2), 1921 Jefferson Davis Highway, Arlington, VA, from 8:30 a.m. to 4 p.m., Monday through Friday, excluding legal holidays. The PIRIB telephone number is (703) 305-5805.

C. How and to Whom Do I Submit Comments?

You may submit comments through the mail, in person, or electronically. To ensure proper receipt by EPA, it is imperative that you identify docket control number PF-913 in the subject line on the first page of your response.

1. *By mail.* Submit your comments to: Public Information and Records Integrity Branch (PIRIB), Information Resources and Services Division (7502C), Office of Pesticide Programs (OPP), Environmental Protection Agency, 401 M St., SW., Washington, DC 20460.

2. *In person or by courier.* Deliver your comments to: Public Information and Records Integrity Branch (PIRIB), Information Resources and Services Division (7502C), Office of Pesticide Programs (OPP), Environmental Protection Agency, Rm. 119, CM 2, 1921 Jefferson Davis Highway, Arlington, VA. The PIRIB is open from 8:30 a.m. to 4 p.m., Monday through Friday, excluding legal holidays. The PIRIB telephone number is (703) 305-5805.

3. *Electronically.* You may submit your comments electronically by e-mail to: "opp-docket@epa.gov," or you can submit a computer disk as described above. Do not submit any information electronically that you consider to be CBI. Avoid the use of special characters and any form of encryption. Electronic submissions will be accepted in Wordperfect 6.1/8.0 or ASCII file format. All comments in electronic form must be identified by docket control number PF-913. Electronic comments may also be filed online at many Federal Depository Libraries.

D. How Should I Handle CBI That I Want to Submit to the Agency?

Do not submit any information electronically that you consider to be CBI. You may claim information that you submit to EPA in response to this document as CBI by marking any part or all of that information as CBI. Information so marked will not be

disclosed except in accordance with procedures set forth in 40 CFR part 2. In addition to one complete version of the comment that includes any information claimed as CBI, a copy of the comment that does not contain the information claimed as CBI must be submitted for inclusion in the public version of the official record. Information not marked confidential will be included in the public version of the official record without prior notice. If you have any questions about CBI or the procedures for claiming CBI, please consult the person identified under "FOR FURTHER INFORMATION CONTACT."

E. What Should I Consider as I Prepare My Comments for EPA?

You may find the following suggestions helpful for preparing your comments:

1. Explain your views as clearly as possible.
2. Describe any assumptions that you used.
3. Provide copies of any technical information and/or data you used that support your views.
4. If you estimate potential burden or costs, explain how you arrived at the estimate that you provide.
5. Provide specific examples to illustrate your concerns.
6. Make sure to submit your comments by the deadline in this notice.
7. To ensure proper receipt by EPA, be sure to identify the docket control number assigned to this action in the subject line on the first page of your response. You may also provide the name, date, and **Federal Register** citation.

II. What Action is the Agency Taking?

EPA has received pesticide petitions as follows proposing the establishment and/or amendment of regulations for residues of certain pesticide chemicals in or on various food commodities under section 408 of the Federal Food, Drug, and Cosmetic Act (FFDCA), 21 U.S.C. 346a. EPA has determined that these petitions contain data or information regarding the elements set forth in section 408(d)(2); however, EPA has not fully evaluated the sufficiency of the submitted data at this time or whether the data supports granting of the petitions. Additional data may be needed before EPA rules on the petition.

List of Subjects

Environmental protection, Agricultural commodities, Feed additives, Food additives, Pesticides

and pests, Reporting and recordkeeping requirements.

Dated: January 6, 2000.

James Jones,

Director, Registration Division, Office of Pesticide Programs.

Summaries of Petitions

The petitioner summaries of the pesticide petitions are printed below as required by section 408(d)(3) of the FFDCA. The summaries of the petitions were prepared by the petitioner and represents the view of the petitioners. EPA is publishing the petition summaries verbatim without editing them in any way. The petition summaries announce the availability of a description of the analytical methods available to EPA for the detection and measurement of the pesticide chemical residues or an explanation of why no such method is needed.

1. Interregional Project Number 4

9E6012 and 9E6021

EPA has received pesticide petitions (9E6012 and 9E6021) from the Interregional Project Number 4 (IR-4), New Jersey Agricultural Experiment Station, Rutgers University, New Brunswick, New Jersey 08903 proposing, pursuant to section 408(d) of the Federal Food, Drug, and Cosmetic Act (FFDCA), 21 U.S.C. 346a(d), to amend 40 CFR part 180 by establishing a tolerance for residues of sethoxydim in or on the raw agricultural commodities (RAC) pistachio and safflower at 0.2 and 15 parts per million (ppm). EPA has determined that the petitions contain data or information regarding the elements set forth in section 408(d)(2) of the FFDCA; however, EPA has not fully evaluated the sufficiency of the submitted data at this time or whether the data support granting of the petitions. Additional data may be needed before EPA rules on the petitions. This notice includes a summary of petitions prepared by BASF Corporation Agricultural Products, P.O. Box 13528, Research Triangle Park, NC 27709.

A. Residue Chemistry

1. *Plant metabolism.* The qualitative nature of the residues in plants is adequately understood for the purposes of registration.

2. *Analytical method.* Analytical methods for detecting levels of sethoxydim and its metabolites in or on food with a limit of detection that allows monitoring of food with residues at or above the levels set in these tolerances were submitted to EPA. The proposed analytical method involves

extraction, partition, and clean-up. Samples are then analyzed by gas chromatography with sulfur-specific flame photometric detection. The limit of quantitation is 0.05 ppm.

B. Toxicological Profile

1. *Acute toxicity.* Based on the available acute toxicity data, sethoxydim does not pose any acute dietary risks. A summary of the acute toxicity studies are as follows:

i. *Acute oral toxicity—Rat.* Toxicity Category III; lethal dose (LD₅₀) = 3,125 milligrams/kilograms (mg/kg) male, 2,676 mg/kg female respectively.

ii. *Acute dermal toxicity—Rat.* Toxicity Category III; LD₅₀ > 5,000 mg/kg (male and female).

iii. *Acute inhalation toxicity—Rat.* Toxicity Category III; lethal concentration (LC₅₀) (4-hour) = 6.03 milligram/liter (mg/L) (male), 6.28 mg/L (female) respectively.

iv. *Primary eye irritation—Rabbit.* Toxicity Category IV; no irritation.

v. *Primary dermal irritation—Rabbit.* Toxicity Category IV; no irritation.

vi. *Dermal sensitization—Guinea pig.* Waived because no sensitization was seen in guinea pigs dosed with the end-use product poast 18% active ingredient (a.i.).

2. *Genotoxicity.* Ames assays were negative for gene mutation in *Salmonella typhimurium* strains TA98, TA100, TA1535, and TA 1537, with and without metabolic activity. A Chinese hamster bone marrow cytogenetic assay was negative for structural chromosomal aberrations at doses up to 5,000 mg/kg in Chinese hamster bone marrow cells *in vivo*. Recombinant assays and forward mutations tests in *Bacillus subtilis*, *Escherichia coli*, and *S. typhimurium* were all negative for genotoxic effects at concentrations of greater than or equal to 100%.

3. *Reproductive and developmental toxicity.* A developmental toxicity study in rats fed dosages of 0, 50, 180, 650, or 1,000 mg/kg/day with a maternal no observed adverse effect level (NOAEL) of 180 mg/kg/day and a maternal lowest observed adverse effect level (LOAEL) of 650 mg/kg/day (irregular gait, decreased activity, excessive salivation, and anogenital staining); and a developmental NOAEL of 180 mg/kg/day, and a developmental LOAEL of 650 mg/kg/day (21 to 22% decrease in fetal weights, filamentous tail, and lack of tail due to the absence of sacral and/or caudal vertebrae, and delayed ossification in the hyoids, vertebral centrum and/or transverse processes, sternebrae and/or metatarsals, and pubes).

A developmental toxicity study in rabbits fed doses of 0, 80, 160, 320, or 400 mg/kg/day with a maternal NOAEL of 320 mg/kg/day and a maternal LOAEL of 400 mg/kg/day (37% reduction in body weight gain without significant differences in group mean body weights and decreased food consumption during dosing) and a developmental NOAEL greater than 400 mg/kg/day highest dose tested (HDT).

A 2-generation reproduction study with rats fed diets containing 0, 150, 600, or 3,000 ppm (approximately 0, 7.5, 30, and 150 mg/kg/day) with no reproductive effects observed under the conditions of the study.

4. *Subchronic toxicity.* A 21-day dermal study in rabbits with a NOAEL of > 1,000 mg/kg/day limit dose. The only dose-related finding was slight epidermal hyperplasia at the dosing site in nearly all males and females dosed at 1,000 mg/kg/day. This was probably an adaptive response.

5. *Chronic toxicity.* A summary of the chronic toxicity studies are as follows:

i. A 1-year feeding study with dogs fed diets containing 0, 8.86/9.41, 17.5/19.9, and 110/129 mg/kg/day (males/females) with a NOAEL of 8.86/9.41 mg/kg/day (males/females) based on equivocal anemia in male dogs at the 17.5-mg/kg/day dose level.

ii. A 2-year chronic feeding/carcinogenicity study with mice fed diets containing 0, 40, 120, 360, or 1,080 ppm (equivalent to 0, 6, 18, 54, and 162 mg/kg/day) with a systemic NOAEL of 120 ppm (18 mg/kg/day) based on non-neoplastic liver lesions in male mice at the 360-ppm (54 mg/kg/day) dose level. There were no carcinogenic effects observed under the conditions of the study. The maximum tolerated dose (MTD) was not achieved in female mice.

iii. A 2-year chronic feeding/carcinogenic study with rats fed diets containing 0, 2, 6, or 18 mg/kg/day with a systemic NOAEL greater than or equal to 18 mg/kg/day HDT. There were no carcinogenic effects observed under the conditions of the study. This study was reviewed under current guidelines and was found to be unacceptable because the doses used were insufficient to induce a toxic response and an MTD was not achieved.

A second chronic feeding/carcinogenic study with rats fed diets containing 0, 360, or 1,080 ppm (equivalent to 18.2/23.0, and 55.9/71.8 mg/kg/day (males/females)). The dose levels were too low to elicit a toxic response in the test animals and failed to achieve an MTD or define a LOAEL. Slight decreases in body weights in rats at the 1,080-ppm dose level, although not biologically significant, support a

free-standing NOAEL of 1,080 ppm (55.9/71.8 mg/kg/day (males/females)). There were no carcinogenic effects observed under the conditions of the study.

6. *Animal metabolism.* In a rat metabolism study, excretion was extremely rapid and tissue accumulation was negligible.

7. *Metabolite toxicology.* As a condition to registration, BASF had been asked to submit additional toxicology studies for the hydroxy-metabolites of sethoxydim. EPA agreed with BASF's recommendation to use the most abundant metabolite, 5-OH-MSO₂, as surrogate for all metabolites. Based on these data, it was concluded that the toxicological potency of the plant hydroxy-metabolites is likely to be equal or less than that of the parent compound. The tolerance expression for sethoxydim and its metabolites containing the 2-cyclohexen-1-one moiety, measured as parent. Hence, the hydroxy-metabolites are figured into all tolerance calculations.

8. *Endocrine disruption.* No specific tests have been performed with sethoxydim to determine whether the chemical may have an effect in humans that is similar to an effect produced by naturally-occurring estrogen or other endocrine effects.

C. Aggregate Exposure

1. *Dietary exposure—i. Food.* For purposes of assessing the potential dietary exposure, BASF has estimated aggregate exposure based on the theoretical maximum residue contribution (TMRC) from existing and pending tolerances for sethoxydim. (The TMRC is a "worst case" estimate of dietary exposure since it is assumed that 100% of all crops for which tolerances are established are treated and that pesticide residues are at the tolerance levels). The TMRC from existing tolerances for the overall U.S. population is estimated at approximately 44% of the chronic population adjusted dose (cPAD). BASF estimates indicate that dietary exposure will not exceed the cPAD for any population subgroup for which EPA has data. This exposure assessment relies on very conservative assumptions 100% of crops will contain sethoxydim residues and those residues would be at the level of the tolerance which results in an overestimate of human exposure.

ii. *Drinking water.* Other potential sources of exposure of the general population to residues of pesticides are residues in drinking water and exposure from non-occupational sources. Based on the available studies submitted to EPA for assessment of environmental

risk, BASF does not anticipate exposure to residues of sethoxydim in drinking water. There is no established maximum concentration level for residues of sethoxydim in drinking water under the Safe Drinking Water Act.

2. *Non-dietary exposure.* BASF has not estimated non-occupational exposure for sethoxydim. Sethoxydim is labeled for use by homeowners on and around the following use sites: flowers, evergreens, shrubs, trees, fruits, vegetables, ornamental groundcovers, and bedding plants. Hence, the potential for non-occupational exposure to the general population exists. However, these use sites do not appreciably increase exposure. Protective clothing requirements, including the use of gloves, adequately protect homeowners when applying the product. The product may only be applied through hose-end sprayers or tank sprayers as a 0.14% solution. Sethoxydim is not a volatile compound so inhalation exposure during and after application would be negligible. Dermal exposure would be minimal in light of the protective clothing and the low application rate. According to BASF, post-treatment (re-entry) exposure would be negligible for these use sites as contact with treated surfaces would be low. BASF concludes that the potential for non-occupational exposure to the general population is insignificant.

D. Cumulative Effects

BASF also considered the potential for cumulative effects of sethoxydim and other substances that have a common mechanism of toxicity. BASF is aware of one other a.i. which is structurally similar, clethodim. However BASF believes that consideration of a common mechanism of toxicity is not appropriate at this time. BASF does not have any reliable information to indicate that toxic effects produced by sethoxydim would be cumulative with clethodim or any other chemical; thus, BASF is considering only the potential risks of sethoxydim in its exposure assessment.

E. Safety Determination

1. *U.S. population.* Using the conservative exposure assumptions described above, BASF has estimated that aggregate exposure to sethoxydim will utilize 44% of the cPAD for the U.S. population. EPA generally has no concern for exposures below 100% of the cPAD. Therefore, based on the completeness and reliability of the toxicity data, and the conservative exposure assessment, BASF concludes that there is a reasonable certainty that

no harm will result from aggregate exposure to residues of sethoxydim, including all anticipated dietary exposure and all other non-occupational exposures.

2. Infants and children—i.

Developmental toxicity. Developmental toxicity was observed in a developmental toxicity study using rats but was not seen in a developmental toxicity study using rabbits. In the developmental toxicity study in rats a maternal NOAEL of 180 mg/kg/day and a maternal LOAEL of 650 mg/kg/day (irregular gait, decreased activity, excessive salivation, and anogenital staining) was determined. A developmental NOAEL of 180 mg/kg/day and a developmental LOAEL of 650 mg/kg/day (21 to 22% decrease in fetal weights, filamentous tail and lack of tail due to the absence of sacral and/or caudal vertebrae, and delayed ossification in the hyoids, vertebral centrum and/or transverse processes, sternebrae and/or metatarsals, and pubes). Since developmental effects were observed only at doses where maternal toxicity was noted, the developmental effects observed are believed to be secondary effects resulting from maternal stress.

ii. Reproductive toxicity. A 2-generation reproduction study with rats fed diets containing 0, 150, 600, or 3,000 ppm (approximately 0, 7.5, 30, and 150 mg/kg/day) produced no reproductive effects during the course of the study. Although the dose levels were insufficient to elicit a toxic response, the registrant has considered this study usable for regulatory purposes and has established a free-standing NOAEL of 3,000 ppm (approximately 150 mg/kg/day).

iii. Chronic population adjusted dose. Based on the demonstrated lack of significant developmental or reproductive toxicity, BASF believes that the cPAD used to assess safety to children should be the same as that for the general population, 0.09 mg/kg/day. Using the conservative exposure assumptions described above, BASF has concluded that the most sensitive child population is that of children ages 1 to 6 years old. BASF calculates the exposure to this group to be approximately 95% of the cPAD for all uses (including those proposed in this document). Based on the completeness and reliability of the toxicity data and the conservative exposure assessment, BASF concludes that there is a reasonable certainty that no harm will result to infants and children from aggregate exposure to the residues of sethoxydim, including all anticipated

dietary exposure and all other non-occupational exposures.

F. International Tolerances

A maximum residue level has not been established for sethoxydim on pistachio and safflower by the Codex Alimentarius Commission.

2. Interregional Research Project Number 4

9E6059

EPA has received a pesticide petition (9E6059) from the Interregional Research Project Number 4 (IR-4), New Jersey Agricultural Experiment Station, P. O. Box 231 Rutgers University, New Brunswick, NJ 08903 proposing, pursuant to section 408(d) of the FFDCA, 21 U.S.C. 346a(d), to amend 40 CFR part 180 by establishing a tolerance for residues of prometryn in or on the raw agricultural commodity cilantro at 0.1 ppm. EPA has determined that the petition contains data or information regarding the elements set forth in section 408(d)(2) of the FFDCA; however, EPA has not fully evaluated the sufficiency of the submitted data at this time or whether the data support granting of the petition. Additional data may be needed before EPA rules on the petition. This notice includes a summary of the petition prepared by IR-4.

A. Residue Chemistry

1. Plant metabolism. The metabolism of prometryn in plants is adequately understood for purposes of this tolerance.

2. Analytical method. Method, gas chromatography is available in PAM Vol. II for plants to enforce the tolerance expression.

3. Magnitude of residues. The nature of the residue in plants is adequately understood for the purposes of this tolerance. Secondary residues in animal commodities are not expected to exceed existing tolerances as result of this use.

B. Toxicological Profile

1. Acute toxicity. A rat acute oral study with a LD₅₀ of 1,802 mg/kg for males and a LD₅₀ of 2,076 mg/kg for females.

2. Genotoxicity. An Ames *salmonella* test, prometryn was negative for gene mutation up to cytotoxic solubility limits (1,000-2,000 µg/plate). A chromosomal aberration *in vivo* Chinese hamster bone marrow test, prometryn was negative for nuclear anomalies (micronuclei) when animals were dosed orally up to 5,000 mg/kg. Prometryn was negative for bacterial DNA repair and gene mutation up to precipitating levels (1,000 µg/plate). In an unscheduled

DNA synthesis test, prometryn was negative (measured as UDS) in rat hepatocytes cultured *in vitro* up to cytotoxic levels (156.25 µg/mL).

3. Reproductive and developmental toxicity. A developmental toxicity study in rats with a maternal and developmental NOAEL of 50 mg/kg and a maternal LOAEL of 250 mg/kg based on salivation and decreases in body weight and food consumption. The developmental LOAEL is 250 mg/kg/day based on significantly decreased and incomplete ossification in the sternebrae and metacarpals. A developmental toxicity study in rabbits with a maternal and developmental NOAEL of 12 mg/kg/day and a maternal LOAEL of 72 mg/kg based on decreased food consumption, and the developmental LOAEL of 72 mg/kg/day, based on increased fetal resorption.

A 2-generation reproduction study in rats with a parental systemic NOAEL of 0.6 mg/kg/day in males and 0.7 mg/kg/day in females and a parental systemic LOAEL of 47.8 mg/kg/day in males and 53.6 mg/kg/day in females based on decreased food consumption, body weight and body weight gain. The reproductive systemic NOAEL is 0.65 mg/kg/day and the reproductive systemic LOAEL is approximately 50 mg/kg/day, based on decreased pup weight.

4. Subchronic toxicity. A 28-day mice pilot feeding study with a NOAEL of 450 mg/kg/day and a LOAEL of 1,500 mg/kg/day based on decreased body weights.

5. Chronic toxicity. A 102-week chronic feeding/carcinogenicity study in mice with a systemic NOAEL of 100 mg/kg/day for females and a systemic LOAEL of 300 mg/kg/day for females based on decreased body weight gain. No effects were observed in males.

A 2-year rat chronic feeding/carcinogenicity study with a systemic NOAEL of 29.45 mg/kg/day for males and 37.25 mg/kg/day for females and a systemic LOAEL of 60.88 mg/kg/day for males and 80.62 mg/kg/day for females based on decreased body weight and body weight gain and an increase in the incidence of renal lesions (mineralized concretions) in males. Prometryn was not carcinogenic under the conditions of the study.

6. Animal metabolism. The metabolism of prometryn in animals is adequately understood for purposes of this tolerance.

7. Metabolite toxicology. Rat metabolism studies showed that radio labeled prometryn is distributed in blood greater than spleen greater than lungs (the three highest tissues measured). Distribution is not dosage-

dependant. It is extensively metabolized with less than 2% of recovered ^{14}C radioactivity representing the parent compound. Twenty-eight metabolites were identified in the urine, and 28 in the feces. Ten metabolites were identified in both urine and feces. Prometryn is excreted predominantly in the urine and feces, with slightly higher concentrations in the urine. The 7-day recovery of ^{14}C radioactivity averaged 95% for all dosing groups.

C. Aggregate Exposure

1. *Dietary exposure—Acute exposure and risk.* Acute dietary risk assessments are performed for a pesticide if a toxicological study has indicated the possibility of an effect of concern occurring as a result of a 1-day or single exposure. The margin of exposure (MOE) value for females (13 years and older) was 1,200,000. This value is significantly higher than the Agency's level of concern.

2. *Chronic exposure and risk.* Assuming 100% of the crop are treated and residues are at tolerance levels, the theoretical maximum residue contribution (TMRC) from the established and proposed tolerances is 0.000056 mg/kg/day and utilizes less than 1% of the chronic population adjusted dose (cPAD) for the U.S. population. For exposure of the most highly exposed subgroup in the population, non-nursing infants, the TMRC is 0.0016 mg/kg/day which utilizes less than 1% of the cPAD.

i. *Food.* Tolerances have been established 40 CFR 180.222(a) for the residues of prometryn, 2,4-bis(isopropylamino)-6-methylthio-s-triazine, in celery at 0.5 ppm; corn forage, fresh corn, and corn grain at 0.25 ppm; cotton at 1 ppm; cottonseed at 0.25 ppm; and pigeon peas at 0.25 ppm. Tolerances with regional registration have been established 40 CFR 180.222(b) for the residues of prometryn in dill at 0.3 ppm and parsley at 0.1 ppm.

ii. *Drinking water.* Despite the potential for exposure through drinking water, the percentage of the cPAD that will be utilized by dietary exposure (including drinking water exposure) to residues of prometryn does not exceed 100% for any of the population subgroups. Considering food only, the population subgroup with the largest percentage of the cPAD occupied is 0.0000056 mg/kg/day at < 1% of the cPAD. Therefore taking into account the completeness and reliability of the toxicity data and the conservative exposure assessment, there is a reasonable certainty that no harm will result to infants and children from

aggregate exposure to prometryn residues.

2. *Non-dietary exposure.* Prometryn is currently not registered for residential use such as turf and ornamentals. Therefore, there is no expectation of non-occupational residential exposures.

D. Cumulative Effects

Cumulative exposure to substances with a common mechanism of toxicity. Prometryn is a member of the triazine class of pesticides. Other members of this class include atrazine, simazine, cyanazine, prometon, propazine, metribuzin, hexazinone, ametryn, terbutryne, dipropetryn, and ethiozin.

Section 408(b)(2)(D)(v) requires that, when considering whether to establish, modify, or revoke a tolerance, the Agency considers "available information" concerning the cumulative effects of a particular pesticide's residues and "other substances that have a common mechanism of toxicity." The Agency believes that "available information" in this context might include not only toxicity, chemistry, and exposure data, but also scientific policies and methodologies for understanding common mechanisms of toxicity and conducting cumulative risk assessments. IR-4 does not have, at this time, available data to determine whether prometryn has a common mechanism of toxicity with other substances or how to include this pesticide in a cumulative risk assessment. Since there are not metabolites of toxicological concern associated with prometryn, IR-4 has not assumed that prometryn has a common mechanism of toxicity with other substances.

E. Safety Determination

1. *U.S. population—Acute risk.* The acute aggregate dietary MOE was estimated to be greater than 1,000,000 for females age 13 and older (accounts for both maternal and fetal exposure), the population subgroup of concern. The MOE calculations were based on the developmental NOAEL in rabbits of 12 mg/kg. This risk assessment assumed 100% of the crop was treated with tolerance level residues on all treated crops consumed, resulting in a significant over estimate of dietary exposure. The large acute dietary MOE calculated for females age 13 and older provides assurance that there is a reasonable certainty of no harm for infants and children to prometryn.

2. *Chronic risk.* Using the conservative exposure assumptions described above, the aggregate exposure to prometryn from food will utilize less than 1% of the cPAD for infants and

children. EPA generally has no concern for exposures below 100% of the cPAD because the cPAD represents the level at or below which daily aggregate dietary exposure over a lifetime will not pose appreciable risks to human health. There are no chronic exposure scenarios for non-dietary uses of prometryn which would contribute to the aggregate risk. Taking into account, the completeness and reliability of the toxicity data and the conservative exposure assessment, IR-4 concludes that there is a reasonable certainty that no harm will result from aggregate exposure to prometryn residue's.

3. *Infants and children-safety factor—*
i. *In general.* In assessing the potential for additional sensitivity of infants and children to residues of prometryn, data were considered from the developmental toxicity studies in the rat and rabbit and a 2-generation reproduction study in the rat. The developmental toxicity studies are designed to evaluate adverse effects on the developing organism resulting from pesticide exposure during prenatal development to one or both parents. Reproduction studies provide information relating to effects from exposure to the pesticide on the reproductive capability of mating animals and data on systemic toxicity.

FFDCA section 408 provides that EPA shall apply an additional tenfold margin of safety for infants and children in the case of threshold effects to account for prenatal and postnatal toxicity and the completeness of the data base unless EPA determines that a different margin of safety will be safe for infants and children. Margins of safety are incorporated into EPA risk assessments either directly through use of a MOE analysis or through using uncertainty (safety) factors in calculating a dose level that poses no appreciable risk to humans. EPA believes that reliable data support using the standard MOE and uncertainty factor (usually 100 for interspecies and intraspecies variability) and not the additional tenfold MOE/uncertainty factor when EPA has a complete data base under existing guidelines and when the severity of the effect in infants or children or the potency or unusual toxic properties of a compound do not raise concerns regarding the adequacy of the standard MOE/safety factor.

ii. *Developmental and reproductive toxicity studies.* The prenatal and postnatal toxicology data base for prometryn is complete with respect to current toxicological data requirements. The results of these studies indicate that infants and children are not more sensitive to exposure, based on the

results of the oral rat and rabbit developmental toxicity studies and the 2-generation reproductive toxicity study in rats. The developmental studies in rats and rabbits demonstrate that no prenatal extra sensitivity is present. However, based on the developmental effects observed in rabbits, an acute dietary risk assessment was performed for women age 13 and older. The MOE was estimated greater than 1,000,000. Therefore, IR-4 concludes that reliable data support use of the standard 100-fold MOE/uncertainty factor and that an additional tenfold safety factor is not needed to protect infants and children.

F. International Tolerances

There are no Codex or Mexican limits for prometryn on cilantro. This proposal will harmonize tolerances with 0.1 ppm Canadian maximum limit for residues in cilantro.

[FR Doc. 00-1064 Filed 1-14-00; 8:45 am]

BILLING CODE 6560-50-F

EQUAL EMPLOYMENT OPPORTUNITY COMMISSION

Agency Information Collection Activities: Submission for OMB Review; Final Comment Request

AGENCY: Equal Employment Opportunity Commission.

ACTION: Final Notice of Submission for OMB Review; Final Comment Request

SUMMARY: In accordance with the Paperwork Reduction Act, the Equal Employment Opportunity Commission (EEOC) has submitted a request for clearance of the information collection described below to the Office of Management and Budget (OMB). A notice that the EEOC would be submitting this request was published in the **Federal Register** on October 14, 1999, allowing for a 60-day public comment period. No public comments were received.

DATES: Written comments on this final notice must be submitted on or before February 17, 2000.

ADDRESSES: Comments on this final notice should be submitted to the Office of Information and Regulatory Affairs, Attention: Stuart Shapiro, Desk Officer for the U.S. Equal Employment Opportunity Commission, Office of Management and Budget, 725 17th Street, NW, Room 10235, New Executive Office Building, Washington, DC 20503 or electronically mailed to SSHAPIRO@OMB.EOP.GOV. Requests for copies of the proposed information collection request should be addressed to Mr. Neckere at the address below.

FOR FURTHER INFORMATION CONTACT: Joachim Neckere, Director, Program Research and Surveys Division, 1801 L Street, NW, Room 9222, Washington, DC 20507, (202) 663-4958 (voice) or (202) 663-7063 TDD).

SUPPLEMENTARY INFORMATION: *Collection Title:* Local Union Report (EEO-3).

OMB-Number: 3046-0006.

Frequency of Report: Biennial.

Type of Respondent: Referral local unions with 100 or more members.

Description of Affected Public: Referral local unions and independent or unaffiliated referral unions and similar labor organizations.

Number of Responses: 3,000.

Reporting Hours: 3,000 (4,500 hours including recordkeeping).

Number of Forms: 1.

Federal Cost: \$43,500.

Abstract: Section 709(c) of Title VII of the Civil Rights Act of 1964, as amended, 42 U.S.C. 2000e-8(c), requires employers to make and keep records relevant to a determination of whether unlawful employment practices have been or are being committed and to make reports therefrom as required by the EEOC. Accordingly, the EEOC has issued regulations which set forth the reporting requirements for various kinds of labor organizations. Referral local unions with 100 or more members have been required to submit EEO-3 reports since 1967 (biennially beginning in 1986).

EEO-3 data are used by the EEOC to investigate charges of discrimination against referral local unions. In addition, the data are used to support EEOC decisions and conciliations, and for research. Pursuant to section 709(d) of Title VII of the Civil Rights Act of 1964, as amended, EEO-3 data are also shared with 86 State and local Fair Employment Practices Agencies (FEPAs).

Burden Statement: The respondent burden for this information collection is minimal. The estimated number of respondents included in the biennial EEO-3 survey is 3,000 referral unions. Total biennial reporting is estimated to be 3,000 hours, and total biennial reporting and recordkeeping is 4,500 hours. Because referral local unions often have small management staffs, the use of filing the EEO-3 report by diskette or magnetic tape, although encouraged, has been less successful.

Dated: January 10, 2000.

Ida L. Castro,
Chairwoman.

[FR Doc. 00-1006 Filed 1-14-00; 8:45 am]

BILLING CODE 6150-01-M

FEDERAL HOUSING FINANCE BOARD

Sunshine Act Meeting

Announcing an Open Meeting of the Board

TIME AND DATE: 10:00 A.M., Wednesday, January 19, 2000.

PLACE: Board Room, Second Floor, Federal Housing Finance Board, 1777 F Street, N.W., Washington, D.C. 20006.

STATUS: The entire meeting will be open to the public.

MATTERS TO BE CONSIDERED DURING PORTIONS OPEN TO THE PUBLIC:

- Final Rule: Reorganization of Finance Board Regulations
- Proposed Rule: Calculation of REFCorp Obligation
- Interim Final Rule: Amendments to Election Regulation

CONTACT PERSON FOR MORE INFORMATION: Elaine L. Baker, Secretary to the Board, (202) 408-2837.

William W. Ginsberg,

Managing Director.

[FR Doc. 00-1167 Filed 1-13-00; 11:45 am]

BILLING CODE 6725-01-P

FEDERAL MARITIME COMMISSION

[Docket No. 00-01]

Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc.; Notice of Filing of Complaint and Assignment

Notice is given that a complaint was filed by Kawasaki Kisen Kaisha, Ltd. ("Complainant"), against Intercontinental Exchange, Inc. ("Respondent"). The complaint was served on January 7, 2000. Complainant alleges that Respondent, an ocean transportation intermediary, violated section 10(a)(1) of the Shipping Act of 1984, 46 U.S.C. app. section 1709(a)(1), by incurring unpaid freight charges pursuant to a service contract in the amount of \$265,126.23, making false representations, uttering checks without funds, and presenting false Wire Transfer Requests.

This proceeding has been assigned to the office of Administrative Law Judges. Hearing in this matter, if any is held, shall commence within the time limitations prescribed in 46 CFR 502.61, and only after consideration has been given by the parties and the presiding officer to the use of alternative forms of dispute resolution. The hearing shall include oral testimony and cross-examination in the discretion of the presiding officer only upon proper showing that there are genuine issues of material fact that cannot be resolved on

the basis of sworn statements, affidavits, depositions, or other documents or that the nature of the matter in issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record. Pursuant to the further terms of 46 CFR 502.61, the initial decision of the presiding officer in this proceeding shall be issued by January 8, 2001, and the final decision of the Commission shall be issued by May 8, 2001.

Bryant L. VanBrakle,
Secretary.

[FR Doc. 00-1024 Filed 1-14-00; 8:45 am]

BILLING CODE 6730-01-M

FEDERAL TRADE COMMISSION

[File No. 991 0077]

Exxon Corp., et al.; Analysis To Aid Public Comment and Commissioner Statements

AGENCY: Federal Trade Commission.

ACTION: Proposed consent agreement.

SUMMARY: The consent agreement in this matter settles alleged violations of federal law prohibiting unfair or deceptive acts or practices or unfair methods of competition. The attached Analysis to Aid Public Comment describes both the allegations in the draft complaint that accompanies the consent agreement and the terms of the consent order—embodied in the consent agreement—that would settle these allegations. This document also contains the Statement of Chairman Pitofsky, Commissioner Anthony, and Commissioner Thompson, and the Statement of Commissioner Swindle.¹

DATES: Comments must be received on or before January 31, 2000.

ADDRESSES: Comments should be directed to: FTC/Office of the Secretary, Room 159, 600 Pennsylvania Avenue, NW., Washington, DC 20580.

FOR FURTHER INFORMATION CONTACT: Richard Parker or Richard Liebeskind, FTC/H-374, 600 Pennsylvania Avenue, NW., Washington, DC 20580. (202) 326-2574 or 326-2441.

SUPPLEMENTARY INFORMATION: Pursuant to section 6(f) of the Federal Trade

Commission Act, 38 Stat. 721, 15 U.S.C. 46, and section 2.34 of the Commission's Rules of Practice (16 CFR 2.34), the above-captioned consent agreement containing a consent order to cease and desist, having been filed with and accepted, subject to final approval, by the Commission, has been placed on the public record for a period of sixty (60) days, until January 31, 2000. The following Analysis to Aid Public Comment describes the terms of the consent agreement, and the allegations in the complaint. This document also contains the Statement of Chairman Pitofsky, Commissioner Anthony, and Commissioner Thompson, and the Statement of Commissioner Swindle. An electronic copy of the full text of the consent agreement package can be obtained from the FTC Home Page (for November 30, 1999), on the World Wide Web, at "http://www.ftc.gov/os/1999/9911/index.htm." A paper copy can be obtained from the FTC Public Reference Room, Room H-130, 600 Pennsylvania Avenue NW., Washington, DC 20580, either in person or by calling (202) 326-3627.

Public comment is invited. Comments should be directed to: FTC/Office of the Secretary, Room 159, 600 Pennsylvania Avenue, NW., Washington, DC 20580. Two paper copies of each comment should be filed, and should be accompanied, if possible, by a 3½-inch diskette containing an electronic copy of the comment. Such comments or views will be considered by the Commission and will be available for inspection and copying at its principal office in accordance with section 4.9(b)(6)(ii) of the Commission's Rules of Practice (16 CFR 4.9(b)(6)(ii)).

Analysis of Proposed Consent Order To Aid Public Comment

I. Introduction

The Federal Trade Commission ("Commission" or "FTC") has issued a complaint ("Complaint") alleging that the proposed merger of Exxon Corp. ("Exxon") and Mobil Corp. ("Mobil") (collectively "Respondents") would violate Section 7 of the Clayton Act, 15 U.S.C. 18, and Section 5 of the Federal Trade Commission Act, 15 U.S.C. 45, and has entered into an agreement containing consent orders ("Agreement Containing Consent Orders") pursuant to which Respondents agree to have entered and be bound by a proposed consent order ("Proposed Order") and a hold separate order that requires Respondents to hold separate and maintain certain assets pending divestiture ("Order to Hold Separate"). The Proposed Order remedies the likely

anticompetitive effects arising from Respondents' merger, as alleged in the Complaint. The Order to Hold Separate preserves competition in the markets for refining and marketing of gasoline, and in other markets, pending divestiture.

II. Description of the Parties and the Transaction

Exxon, which is headquartered in Irving, Texas, is one of the world's largest integrated oil companies. Among its other businesses, Exxon operates petroleum refineries that make various grades of gasoline and lubricant base stock, among other petroleum products, and sells these products to intermediaries, retailers and consumers. Exxon owns four refineries in the United States; those four refineries can process approximately 1.1 million barrels of crude oil and other feedstocks daily.¹ Exxon owns or leases approximately 2,049 gasoline stations nationally and sells gasoline to distributors or dealers that operate another 6,475 retail outlets throughout the United States. During fiscal year 1998, Exxon had worldwide revenues of approximately \$115 billion and net income of approximately \$6 billion.

Mobil, which is headquartered in Fairfax, Virginia, is another of the world's largest integrated oil companies. Among its other businesses, Mobil operates petroleum refineries in the United States, which make gasoline, lubricant base stock, and other petroleum products, and sells those products throughout the United States. Mobil operates four refineries in the United States, which can process approximately 800 thousand barrels of crude oil and other feedstocks per day. About 7,400 retail outlets sell Mobil-branded gasoline throughout the United States. During fiscal year 1998, Mobil had worldwide revenues of approximately \$52 billion and net income of approximately \$2 billion.

On or about December 1, 1998, Exxon and Mobil entered into an agreement to merge the two corporations into a corporation to be known as Exxon Mobil Corp. This merger is one of several consolidations in this industry in recent years, including the combination of British Petroleum Co. plc and Amoco Corp. into BP Amoco plc; the pending combination of BP Amoco plc and Atlantic Richfield Co. (which is the subject of pending investigation by the Commission); the combination of the refining and marketing businesses of Shell Oil Co., Texaco Inc., and Star

¹ The Commission placed the consent agreement package in this matter on the public record on November 30, 1999; the public comment period began on that date and will continue through January 31, 2000. The Analysis to Aid Public Comment was published in the **Federal Register** on December 6, 1999, at 64 FR 68101. This document corrects a number of typographical errors in that earlier **Federal Register** version of the Analysis—so that it conforms in all respects to the final version placed on the public record on November 30, 1999—and includes the Commissioner Statements.

¹ A "barrel" is an oil industry measure equal to 42 gallons. "MBD" means thousands of barrels per day.

Enterprises; the combination of the refining and marketing businesses of Marathon Oil Co. and Ashland Oil Co., and the acquisition of the refining and marketing businesses of Unocal Corp. by Tosco Corp.

III. The Investigation and the Complaint

The Complaint alleges that consummation of the merger would violate Section 7 of the Clayton Act, as amended, 15 U.S.C. 18, and Section 5 of the Federal Trade Commission Act, as amended, 15 U.S.C. 45. The Complaint alleges that the merger will lessen competition in each of the following markets: (1) The marketing of gasoline in the Northeastern and Mid-Atlantic United States (including the States of Maine, New Hampshire, Vermont, Massachusetts, Rhode Island, Connecticut, and New York (collectively "the Northeast"), and the States of New Jersey, Pennsylvania, Delaware, Maryland, Virginia, and the District of Columbia (collectively the "Mid-Atlantic"), and smaller areas contained therein); (2) the marketing of gasoline in five metropolitan areas in the State of Texas; (3) the marketing of gasoline in Arizona; (4) the refining and marketing of "CARB" gasoline (specially formulated gasoline required in California) in the State of California; (5) the bidding for and refining of jet fuel for the U.S. Navy on the West Coast; (6) the terminaling of light petroleum products in the Boston, Massachusetts, and Washington, D.C., metropolitan areas; (7) the terminaling of light petroleum products in the Norfolk, Virginia, metropolitan area; (8) the transportation of refined light petroleum products to the inland portions of the States of Mississippi, Alabama, Georgia, South Carolina, North Carolina, Virginia, and Tennessee (i.e., the portions more than 50 miles from ports such as Savannah, Charleston, Wilmington and Norfolk) ("inland Southeast"); (9) the transportation of crude oil from the north slope of the State of Alaska via the Trans Alaska Pipeline System ("TAPS"); (10) the importation, terminaling and marketing of gasoline and diesel fuel in the Territory of Guam; (11) the refining and marketing of paraffinic lubricant base oils in the United States and Canada; and (12) the worldwide manufacture and sale of jet turbine lubricants.

To remedy the alleged anticompetitive effects of the merger, the Proposed Order requires Respondents to divest or otherwise surrender control of: (1) All of Mobil's gasoline marketing in the Mid-Atlantic (New Jersey, Pennsylvania, Delaware, Maryland, Virginia, and the District of

Columbia), and all of Exxon's gasoline marketing in the Northeast (Maine, New Hampshire, Vermont, Massachusetts, Rhode Island, Connecticut, and New York); (2) Mobil's gasoline marketing in the Austin, Bryan/College Station, Dallas, Houston and San Antonio, Texas, metropolitan areas; (3) Exxon's option to repurchase retail gasoline stores from Tosco Corp. in Arizona; (4) Exxon's refinery located in Benicia, California ("Exxon Benicia Refinery"), and all of Exxon's gasoline marketing in California; (5) the terminal operations of Mobil in Boston and in the Washington, D.C. area, and the ability to exclude a terminal competitor from using Mobil's wharf in Norfolk; (6) either Mobil's interest in the Colonial pipeline or Exxon's interest in the Plantation pipeline; (7) Mobil's interest in TAPS; (8) the terminal and retail operations of Exxon on Guam; (9) a quantity of paraffinic lubricant base oil equivalent to the amount of paraffinic lubricant base oil refined in North America that is controlled by Mobil; and (10) Exxon's jet turbine oil business. The terms of the divestitures and other provisions of the Proposed Order are discussed more fully in Section IV below.

The Commission's decision to issue the Complaint and enter into the Agreement Containing Consent Orders was made after an extensive investigation in which the Commission examined competition and the likely effects of the merger in the markets alleged in the Complaint and in several other markets, including the worldwide markets for exploration, development and production of crude oil; markets for crude oil exploration and production in the United States and in parts of the United States; markets for natural gas in the United States; markets for a variety of petrochemical products; and markets for pipeline transportation, terminaling or marketing of gasoline or other fuels in sections of the country other than those alleged in the Complaint. The Commission has not found reason to believe that the merger would result in likely anticompetitive effects in markets other than the markets alleged in the Complaint.

The Commission conducted the investigation leading to the Complaint in coordination with the Attorneys General of the States of Alaska, California, Connecticut, Maryland, Massachusetts, New Jersey, New York, Oregon, Pennsylvania, Texas, Vermont, Virginia and Washington. As a result of that joint effort, Respondents have entered into agreements with the States of Alaska, California, Delaware, Maryland, Massachusetts, New Jersey, New York, Oregon, Pennsylvania,

Rhode Island, Texas, Vermont, Virginia and Washington, and the District of Columbia, settling charges that the merger would violate both state and federal antitrust laws.

The Complaint alleges in 12 counts that the merger would violate the antitrust laws in several different lines of business and sections of the country, each of which is discussed below. The analysis applied in each market generally follows the analysis set forth in the FTC and U.S. Department of Justice Horizontal Merger Guidelines (1997) ("Merger Guidelines"). The efficiency claims of the Respondents, to the extent they relate to the markets alleged in the Complaint, are small and speculative compared to the magnitude and likelihood of the potential harm, and would not restore the competition lost as a result of the merger even if the efficiencies were achieved.

A. Count I—Marketing of Gasoline in the Northeast and Mid-Atlantic

Exxon and Mobil today are two of the largest marketers of gasoline from Maine to Virginia, and would be the largest marketer of gasoline in this region after the merger, but for the remedy specified in the Proposed Order. The merging companies are direct and significant competitors in at least 39 metropolitan areas in the Northeast and Mid-Atlantic²; in each of these areas, and in each of the States in the Northeast and Mid-Atlantic, the merger would result in a market that is at least moderately concentrated and would significantly increase concentration in that market.³

² Hartford, New Haven-Bridgeport-Stamford-Waterbury-Danbury, New London-Norwich, CT; Dover, Wilmington-Newark, DE; Washington, DC; Bangor, Lewiston-Auburn, Portland, ME; Baltimore, MD; Barnstable-Yarmouth, Boston-Worcester-Lawrence-Lowell-Brockton, MA; Atlantic-Cape May, Bergen-Passaic, Jersey City, Middlesex-Somerset-Hunterdon, Monmouth-Ocean, Newark, Trenton, Vineland-Millville-Bridgeton, NJ; Albany-Schenectady-Troy, Dutchess, Nassau-Suffolk, New York, Newburgh, NY; Allentown-Bethlehem-Easton, Altoona, Harrisburg-Lebanon-Carlisle, Johnstown, Lancaster, Philadelphia, Reading, Scranton-Wilkes Barre-Hazleton, State College, York, PA; Providence-Warwick-Pawtucket, RI; Norfolk-Virginia Beach-Newport News, Richmond-Petersburg, VA; Burlington, VT. These areas are defined, variously, as "Metropolitan Statistical Areas" ("MSAs"), "Primary Metropolitan Statistical Areas" ("PMSAs"), and "New England County Metropolitan Areas" ("NECMAs") by the Census Bureau.

³ The Commission measures market concentration using the Herfindahl-Hirschman Index ("HHI"), which is calculated as the sum of the squares of the shares of all firms in the market. Merger Guidelines § 1.5. Markets with HHIs between 1000 and 1800 are deemed "moderately concentrated," and markets with HHIs exceeding 1800 are deemed "highly concentrated." Where the HHI resulting from a merger exceeds 1000 and the merger increases the HHI by at least 100, the merger

Nineteen of these 39 metropolitan areas would be highly concentrated as a result of this merger.⁴ On average, the four top firms in each metropolitan area would have 73% of sales; the top four firms in the Northeast and Mid-Atlantic as a whole (Exxon Mobil, Motiva,⁵ BP Amoco, and Sunoco) would on average have 66% of each of these metropolitan areas.

The Complaint alleges that the marketing of gasoline is a relevant product market, and that metropolitan areas and areas contained within them are relevant geographic markets. The Commission used metropolitan statistical areas ("MSAs") as a reasonable approximation of geographic markets for gasoline marketing in Shell Oil Co., C-3803 (1998), and British Petroleum Co., C-3868 (1999). As described below, the evidence in this investigation suggests that pricing and consumer search patterns may indicate smaller geographic markets than MSAs as defined by the Census Bureau. To that extent, using MSAs or counties to define geographic markets likely understates the relevant levels of concentration.⁶

The Commission has found reason to believe that the merger would

"potentially raise[s] significant competitive concerns depending on the factors set forth in Sections 2-5 of the Guidelines." Merger Guidelines § 1.51.

⁴ Hartford, New London-Norwich, CT; Dover, Wilmington-Newark, DE; Washington, DC; Bangor, Portland, ME; Barnstable-Yarmouth, MA; Bergen-Passaic, Jersey City, Monmouth-Ocean, Trenton, NJ; Albany-Schenectady-Troy, Newburgh, NY; Allentown-Bethlehem-Easton, Altoona, Johnstown, State College, PA; Burlington, VT. In each of these MSAs, the increase in concentration exceeds 100 HHI points. "Where the post-merger HHI exceeds 1800, it will be presumed that mergers producing an increase in the HHI of more than 100 points are likely to create or enhance market power or facilitate its exercise. The presumption may be overcome by a showing that factors set forth in Sections 2-5 of the Guidelines make it unlikely that the merger will create or enhance market power or facilitate its exercise, in light of market concentration and market shares." *Merger Guidelines* § 1.51.

⁵ Motiva LLC is the refining and marketing joint venture between Shell Oil Co., Texaco Inc. and Saudi Aramco, and sells gasoline under the "Shell" and "Texaco" names in the Eastern United States. Equilon LLC, a refining and marketing joint venture between Shell and Texaco, sells gasoline under the "Shell" and "Texaco" names in the Western United States.

⁶ Exxon and Mobil compete in at least 134 counties in 39 MSAs in the Northeast and Mid-Atlantic; 61 of those counties are highly concentrated with significant increases in concentration; 56 are moderately concentrated with significant increases in concentration; and in only five counties (if defined as geographic markets) would the merger not result in increases in concentration exceeding Guidelines thresholds. See *FTC v. PPG Industries, Inc.*, 798 F.2d 1500, 1505 (D.C. Cir. 1986) (use of data in broader market to calculate market concentration is acceptable where market of concern would be more concentrated).

significantly reduce competition in the moderately and highly concentrated markets that would result from this merger. A general understanding of the channels of trade in gasoline marketing is necessary to understand the Commission's analysis of the competitive issues and of the Proposed Order. Gasoline is sold to the general public through retail gas stations of four types: (1) Company-operated stores, where the branded oil company owns the site and operates it using its own employees; (2) lessee dealer stores, where the branded company owns the site but leases it to a franchised dealer; (3) open dealers, who own their own stations but purchase gasoline at a DTW price from the branded company; and (4) "jobber" or distributor stores, which are supplied by a distributor.

Branded oil companies set the retail prices of gasoline at the stores they operate, and sometimes set those prices on a station-by-station basis. Lessee dealers and open dealers generally purchase from the branded company at a delivered price ("dealer tank wagon" or "DTW") that the branded supplier likewise might set on a station-by-station basis. In the Northeast and Mid-Atlantic, DTW prices charged by Exxon, Mobil and their major competitors are typically set using "price zones" established by the supplier. Price zones, and the prices used within them, take account of the competitive conditions faced by particular stations or groups of stations. There might be 10 or more price zones established by an individual oil company in a metropolitan area.

Distributors or jobbers typically purchase branded gasoline from the branded company at a terminal (paying a terminal "rack" price), and deliver the gasoline themselves to jobber-supplied stations at prices or transfer prices set by the distributor.⁷

In much of the Northeast and Mid-Atlantic, Exxon, Mobil and their principal competitors (Motiva, BP Amoco, and Sunoco) use delivered pricing and price zones to set DTW prices based on the level of competition in the immediately surrounding area. These DTW prices generally are unrelated to the cost of hauling fuel from the terminal to the retail store. Gasoline is a homogeneous product, and retail prices are observable (wholesale prices and retail sales volumes are also frequently known to firms in the industry). By monitoring the retail

⁷ The Commission has found evidence in its investigations in this industry indicating that some branded companies have experimented with rebates and discounts to jobbers based on the location of particular stations, thereby replicating the effect of price zones in the jobber class of trade.

prices (and volumes) of their competitors in the immediate area, branded companies can and do adjust their DTW prices in order to take advantage of higher prices in some neighborhoods, without having to raise prices throughout a metropolitan area as a whole.

The use of price zones in the manner described above indicates that these competitors set their prices on the basis of their competitors' prices, rather than on the basis of their own costs. This is an earmark of oligopolistic market behavior. Thus, Exxon, Mobil and their principal competitors have some ability to raise their prices profitably, and have a greater ability to do so when they face fewer and less price-competitive firms in highly local markets. The effects of oligopolistic market structures (where firms base their pricing decisions on their rivals' prices, and recognize that their prices affect their sales volume) have been recognized in this industry. See *Petroleum Products Antitrust Litigation*, 906 F.2d 432, 443, 444 (9th Cir. 1990) (examining California gasoline market from 1968 to 1973), cert. denied sub nom. *Chevron Corp. v. Arizona*, 500 U.S. 959 (1991):

* * * [A]s the number of firms in a market declines, the possibilities for interdependent pricing increase substantially. In determining whether to follow a unilateral price increase by a competitor, a firm in a relatively concentrated market will recognize that, because its pricing and output decisions have an effect on market conditions and will generally be watched by its competitors, there is less likelihood that any shading would go undetected or be ignored. * * * On the other hand, the firm may recognize that the higher price [charged by its competitor] is one that would produce higher profits. It may therefore decide to follow the price increase, knowing that the other firms will likely see things the same way * * *

We recognize that such interdependent pricing may often produce economic consequences that are comparable to those of classic cartels.

Exxon and Mobil are each other's principal competitors in many of these markets, and the elimination of Mobil as an independent competitor is likely to result in higher prices.⁸

⁸ In finding reason to believe that this merger likely would reduce competition, the Commission has not, in the context of this investigation, concluded that these practices of themselves violate the antitrust laws or constitute unfair methods of competition within the meaning of Section 5 of the FTC Act. Rather, evidence of market behavior provides the Commission with reason to believe that these moderately and highly concentrated markets are not fully competitive even prior to the merger, and therefore that the merger likely would reduce competition in these markets whether or not the post-merger market was highly concentrated.

Market incumbents also use price zones to target entrants without having to lower price throughout a broader marketing area. With a large and dispersed network of stores, an incumbent can target an entrant by cutting price at a particular store, without cutting prices throughout a metropolitan area. By targeting price-cutting competitors, incumbents can (and have) deterred entrants from making significant investments in gasoline stations (which are specialized, sunk cost facilities) and thus from expanding to a scale at which the entrant could affect price throughout the broader metropolitan area.

While branded distributors historically have moderated the effects of zone pricing through arbitrage, distributors' ability to do so is increasingly limited in the Northeast and Mid-Atlantic by major branded companies' efforts to limit their distribution to direct channels, especially in major metropolitan areas. The merger would reduce interbrand competition through the elimination of one independent supplier; the Commission evaluated the effect of that reduction in interbrand competition in the context of the contemporaneous reduction in intrabrand competition that it found in these markets.

Entry appears unlikely to constrain noncompetitive behavior in the Northeast and Mid-Atlantic. New gas station sites are difficult to obtain in the Northeast and Mid-Atlantic, and the evidence in this investigation suggests that entry through the construction of new stations is unlikely to occur in a manner sufficient to constrain price increases by incumbents. As in *British Petroleum Co., C-3868*, the Commission has not seen substantial evidence that jobbers or open dealers are likely to switch to new entrants in the event of a small price increase. Therefore, the Commission has found it unlikely that a new entrant might enter a market by converting such stations in a manner that would meaningfully constrain the behavior of incumbents.

The merger is likely to reduce competition in Northeastern and Mid-Atlantic gasoline markets and could result in a price increase of 1% or more. A 1% price increase on gasoline sold in the Northeast and Mid-Atlantic (and in the Texas and Arizona markets discussed below) would cost consumers approximately \$240 million annually. As described below, the Proposed Order seeks to preserve competition by requiring Respondents to divest all branded stations of Exxon or Mobil throughout the Northeast and Mid-Atlantic: (1) All Exxon branded gas

stations (company operated, lessee dealer, open dealer and jobber) in Maine, New Hampshire, Vermont, Rhode Island, Connecticut, and New York, and (2) all Mobil branded stations in New Jersey, Pennsylvania, Delaware, Maryland, Virginia and the District of Columbia.

B. Count II—Marketing of Gasoline in Metropolitan Areas in Texas

Exxon and Mobil compete in the marketing of gasoline in several metropolitan areas in Texas, and in five of those metropolitan areas (Austin, Bryan/College Station, Dallas, Houston and San Antonio) the merger would result in a moderately or highly concentrated market. The evidence collected in the investigation indicates that market conditions in these Texas markets resemble those found in the Northeast and Mid-Atlantic, particularly in the use of delivered pricing and zone pricing to coordinate prices and deter entry. The Proposed Order therefore requires Respondents to divest and assign Mobil's gasoline marketing business in these areas, as described below.

C. Count III—Marketing of Gasoline in Arizona

Mobil markets motor gasoline in Arizona. Exxon gasoline is marketed in Arizona by Tosco Corporation, which acquired Exxon's Arizona marketing assets and businesses and the right to sell Exxon branded gasoline in 1994. Gasoline marketing in Arizona is moderately concentrated.

Pursuant to the agreement under which Exxon sold its Arizona assets to Tosco, Exxon retains the option of repurchasing the retail gasoline stores sold to Tosco in the event Tosco were to convert the stations from the "Exxon" brand to another brand (including another brand owned by Tosco). The merger creates the risk that competition between the merged company and Tosco (selling Exxon branded gasoline) could be reduced by restricting Tosco's incentive and ability to compete against Mobil by converting the stores to a brand owned by Tosco. The Proposed Order terminates Exxon's option to repurchase these stations.

D. Count IV—Refining and Marketing of CARB Gasoline

Exxon and Mobil both refine motor gasoline for use in California, which requires that motor gasoline used in that State meet particularly stringent pollution specifications mandated by the California Air Resources Board ("CARB," hence "CARB gasoline"). More than 95% of the CARB gasoline

sold in California is refined by seven firms (Chevron, Tosco, Equilon, ARCO, Exxon, Mobil and Ultramar Diamond Shamrock), all of which operate refineries in California. Those seven firms also control more than 90% of retail sales of gasoline in California through gas stations under their brands.

The Complaint alleges that the refining and marketing of CARB gasoline is a product market and line of commerce. Motorists of gasoline-fueled automobiles are unlikely to switch to other fuels in response to a small but significant and nontransitory increase in the price of CARB gasoline, and only CARB gasoline may be sold for use in California. As described below, the refining and marketing of gasoline in California is tightly integrated; refiners that lack marketing in California, and marketers that lack refineries on the West Coast, do not effectively constrain the price and output decisions of incumbent refiner-marketers.

California is a section of the country and geographic market for CARB gasoline refining and marketing because the refiner-marketers in California can profitably raise prices by a small but significant and nontransitory amount without losing significant sales to other refiners. The next closest refineries, located in the U.S. Virgin Islands and in Texas and Louisiana, do not supply CARB gasoline to California except during supply disruptions at California refineries, and are unlikely to supply CARB gasoline to California in response to a small but significant and nontransitory increase in price because of the price volatility risks associated with opportunistic shipments and the small number of independent retail outlets that might purchase from an out-of-market firm attempting to take advantage of a price increase by incumbent refiner-marketers.

To a much greater extent than in many other parts of the country, the seven refiner-marketers in California own their stations, and operate through company-operated stations, lessee dealers and open dealers, rather than through distributors.⁹ The marketing practices described in the Northeast and Mid-Atlantic, see Section III.A above, are employed in California and are reinforced by the refiner-marketers' more complete control of the marketing channel. One effect of the close integration between refining and marketing in California is that refiners

⁹ Exxon is unique among these firms in operating primarily through jobbers in California. Exxon also differs from its competitors in that a substantial portion of its refinery output is not sold under the Exxon name, but is sold to non-integrated marketers and through other channels.

outside the West Coast cannot easily find outlets for imported cargoes of CARB gasoline, since nearly all the outlets are controlled by incumbent refiner-marketers. Likewise, the extensive integration of refining and marketing makes it more difficult for the few non-integrated marketers to turn to imports as a source of supply, since individual independents lack the scale to import cargoes economically and thus must rely on California refiners for their usual supply. The Commission's investigation indicated that vertical integration and the resulting lack of independent import customers, rather than the cost of imports, is the principal barrier to supply from outside the West Coast.

As measured by refinery capacity, the merger will increase the HHI for CARB gasoline refining capacity on the West Coast by 171 points to 1699, at the high end of the "moderately concentrated" range of the Merger Guidelines. The Guidelines' "numerical divisions [of HHI ranges] suggest greater precision than is possible with the available economic tools and information. Other things being equal, cases falling just above and just below a threshold present comparable competitive issues." *Id.* § 1.5.

CARB gasoline is a homogeneous product, and (as in the Northeast and Mid-Atlantic) wholesale and retail prices are publicly available and widely reported to the industry. Integrated refiner-marketers carefully monitor the prices charged by their competitors' retail outlets, and therefore readily can identify firms that deviate from a coordinated or collusive price.

Entry by a refiner or marketer is unlikely to be timely, likely, and sufficient to defeat an anticompetitive price increase because new refining capacity requires substantial sunk costs. Retail entry is likewise difficult and costly, particularly at a scale that would support supply from an out-of-market refinery.

The merger could raise the costs of CARB gasoline substantially; a 1% price increase would cost California consumers more than \$100 million annually. To remedy the harm, the Proposed Order requires the Respondents to divest Exxon's Benicia refinery, which refines CARB gasoline, and Exxon's marketing in California, as described more fully below. This divestiture will eliminate the refining overlap in the West Coast market otherwise presented by the merger.

E. Count V—Navy Jet Fuel on the West Coast

The U.S. Navy requires a specific formulation of jet fuel that differs from commercial jet fuel and jet fuel used in other military applications. Three refiners, including Exxon and Mobil, have bid to supply the Navy on the West Coast in recent years. The merger will eliminate one of these firms as an independent bidder, raising the likelihood that the incumbents could raise prices by at least a small amount, since other bidders are unlikely to enter the market. The divestiture of Exxon's Benicia refinery, described below, resolves this concern.

F. Count VI—Terminaling of Light Petroleum Products in Metropolitan Boston and Washington

Petroleum terminals are facilities that provide temporary storage of gasoline and other petroleum products received from a pipeline or marine vessel, and then redeliver these products from the terminal's storage tanks into trucks or transport trailers for ultimate delivery to retail gasoline stations or other buyers. Terminals provide an important link in the distribution chain for gasoline between refineries and retail service stations. There are no substitutes for petroleum terminals for providing terminaling services.

Count VI of the Complaint identifies two metropolitan areas that are relevant sections of the country (i.e., geographic markets) in which to analyze the effects of the merger on terminaling: metropolitan Boston, Massachusetts and Washington, D.C. Exxon and Mobil both operate terminals that supply both of these metropolitan areas with gasoline and other light petroleum products.

The Complaint charges that the terminaling of gasoline and other light petroleum products in each of these metropolitan areas is highly concentrated, and would become significantly more concentrated as a result of the merger. Entry into the terminaling of gasoline and other light petroleum products in each of these metropolitan areas is difficult and would not be timely, likely, or sufficient to prevent anticompetitive effects that may result from the merger.¹⁰ Paragraphs VII and VIII of the Proposed Order therefore require Respondents to divest Mobil's Boston and Manassas, Virginia, terminals.

¹⁰ The Commission has found reason to believe that terminal mergers would be anticompetitive on prior occasions. E.g., *British Petroleum Co.*, C-3868; *Shell Oil Co.; Texaco Inc.*, 104 F.T.C. 241 (1984); *Chevron Corp.*, 104 F.T.C. 597 (1984).

G. Count VII—Terminaling of Gasoline in Norfolk, Virginia

The Complaint charges that terminaling of gasoline and other light petroleum products is highly concentrated in the Norfolk, Virginia area. Exxon currently terminals gasoline in Norfolk, although Mobil does not. Mobil does terminal other light petroleum products there, and another terminaling firm, TransMontaigne, on occasion uses Mobil's wharf to receive gasoline shipments. Since TransMontaigne terminals gasoline in competition with Exxon, the merger would create or enhance Mobil's incentive to deny TransMontaigne access to Mobil's dock or increase the cost of such access, thereby limiting TransMontaigne's ability to compete against Exxon in the terminaling of gasoline. The Proposed Order remedies this effect of the merger.

H. Count VIII—Transportation of Refined Light Petroleum Products to the Inland Southeast

The inland Southeast receives essentially all of its refined light petroleum products (including gasoline, diesel fuel and jet fuel) from either the Colonial pipeline or the Plantation pipeline. These two pipelines largely run parallel to each other from Louisiana to Washington, D.C., and directly compete to provide petroleum product transportation services to the inland Southeast. Mobil owns approximately 11 percent of Colonial and has representation on the Colonial Board of Directors. Exxon owns approximately 49 percent of Plantation, is one of Plantation's two shareholders, and has representation on Plantation's Board.

The proposed transaction would put the merged entity in a position to participate in the governance of both pipelines, and to receive confidential competitive information of each pipeline. Through its position as one of Plantation's two shareholders, Respondents could prevent Plantation from taking actions to compete with Colonial. As a result, the merger is likely substantially to lessen competition, including price and service competition, between the two pipelines. The Commission has twice previously recognized that control of overlapping interests in these two pipelines might substantially reduce competition in the market for transportation of light petroleum products to this section of the country. *Shell Oil Co.*, C-3803; *Chevron Corp.*, 104 F.T.C. 597, 601, 603. To prevent competitive harm from the merger, Section IX of the Proposed

Order requires Respondents to divest to a third party or parties the Exxon or Mobil pipeline interest.

I. Count IX—Transportation of Alaska North Slope Crude Oil

Exxon and Mobil are two of the seven owners of the Trans Alaska Pipeline System ("TAPS"), which is the only means of transporting crude oil from the Alaska North Slope ("ANS") to port in Valdez, Alaska. ANS crude is shipped primarily (but not exclusively) to refineries in California and Washington State. A relatively small amount of ANS crude is used within Alaska, and some ANS is sold to refineries in Asia. Exxon owns 20% of TAPS, while Mobil owns 3%. The owners of TAPS are entitled to capacity on the pipeline (which they can resell) in proportion to their ownership interests. Some TAPS owners—Mobil, in particular—have discounted their tariffs in an effort to attract additional shippers.

Exxon and Mobil both have available capacity on TAPS, *i.e.*, capacity not needed to carry their own production. Based on available capacity, the merger would increase the HHI by 268, to 5103. The merger would eliminate Mobil, a significant discounter on TAPS, as an independent firm, and reduce Exxon's incentives to discount TAPS tariffs. Entry is unlikely to defeat this price increase, since a second crude oil pipeline is highly unlikely to be built. In the absence of the Proposed Order, the merger could raise costs to purchasers of ANS crude oil by \$3.5 million annually. The Proposed Order eliminates this risk by requiring the Respondents to divest Mobil's interest in TAPS.

J. Count X—Terminaling and Marketing of Gasoline and Other Light Petroleum Products in Guam

Gasoline and diesel fuel are supplied into Guam, primarily from Singapore, into terminals on Guam owned by Mobil, Exxon and Shell, who are the principal marketers of gasoline on Guam. Terminal capacity is essential to light petroleum products marketing on Guam. Consumers of gasoline have no alternative but to buy gasoline on Guam. Accordingly, the relevant market to analyze the transaction is the importation, terminaling and marketing of gasoline on Guam. Mobil and Exxon are the two largest marketers on Guam. The market is highly concentrated. The merger will raise the HHI by more than 2800 points to 7400, measured by station count; Exxon Mobil would have 36 of Guam's 43 stations, or 84% of stations.

The market is subject to coordination. There are three companies, and the merger would reduce their number to two. The product is homogeneous, and prices are readily observed. New entry is unlikely to defeat an anticompetitive price increase. An entrant would require sufficient terminal capacity and enough retail outlets to be able to buy gasoline at the tanker-load level, or 350,000 barrels. Terminal capacity of this scale is unavailable in Guam. In 1988 a firm attempted to enter Guam relying on publicly available terminaling; it exited within seven years, and sold its four stations to Mobil.

Section III of the Proposed Order restores competition by requiring Respondents to divest Exxon's terminal and retail assets on Guam.

L. Count XI—Paraffinic Base Oil in the United States and Canada

Paraffinic base oil is a refined petroleum product that forms the foundation of most of the world's finished lubricants. Base oil is mixed with chemical additives and forms finished lubricants, such as motor oil and automatic transmission fluid. Most base oil is used to make products that lubricate engines, but base oil can be mixed with additives to create a large variety of finished products like newspaper ink or hydraulic fluid.¹¹

Currently Exxon produces 45.9 MBD of paraffinic base oil in North America. Mobil controls 23.8 MBD of base oil production. A combined Exxon-Mobil would control 35 percent of the base oil produced in North America. As the largest base oil producer in the United States and Canada, Exxon already dominates the base oil market. With the addition of Mobil's sizeable capacity, Exxon would have even greater control over base oil pricing.

Exxon is the price leader in base oil in the United States and Canada. Other base oil producers do not expand production to take advantage of Exxon price increases. Imports do not increase when United States prices increase because transportation costs are too great. Entry into the base oil market requires large capital investments and would be unlikely to have any effect within the next two years.

The Proposed Order remedies the likely effects of the likely merger by requiring Respondents to surrender control of a quantity of base oil

¹¹ Other types of base oil, including naphthenic and synthetic base oils, are not substitutes for paraffinic base oil because the users of paraffinic base oil would not switch to other base oils in the event of a small but significant, nontransitory increase in price for paraffinic base oils.

production equivalent to Mobil's production in the United States.

M. Count XII—Jet Turbine Oil

Jet turbine oil (also known as ester-based turbine oil) is used to lubricate the internal parts of jet engines used to power aircraft. Exxon and Mobil dominate the sales of jet turbine oil, with approximately equal shares that, combined, account for 75% of the worldwide market (defined broadly), and approach 90% of worldwide sales to commercial airlines.

Entry into the development, production and sale of jet turbine oil is not likely to occur on a timely basis, in light of the time required to develop a jet turbine oil and to obtain the necessary approvals and qualifications from the appropriate military and civilian organizations. The merger would eliminate the direct competition between Exxon and Mobil, and create a virtual monopoly in sales to commercial airlines. The Proposed Order remedies the effect of the merger by requiring Respondents to divest Exxon's jet turbine oil business.

IV. Resolution of the Competitive Concerns

On November 30, 1999, the Commission provisionally entered into the Agreement Containing Consent Orders with Exxon and Mobil in settlement of a Complaint. The Agreement Containing Consent Orders contemplates that the Commission would issue the Complaint and enter the Proposed Order and the Order to Hold Separate.

A. General Terms

Each divestiture or other disposition required by the Proposed Order must be made to an acquirer that receives the prior approval of the Commission and in a manner approved by the Commission, and must be completed within nine months of executing the Agreement Containing Consent Orders (except that the divestiture of the Benicia Refinery and Exxon marketing in California must be completed within twelve months of executing the Agreement Containing Consent Orders).

Respondents are required to provide the Commission with a report of compliance with the Proposed Order every sixty (60) days until the divestitures are completed, and annually for a period of 20 years.

In the event Respondents fail to complete the required divestitures and other obligations in a timely manner, the Proposed Order authorizes the Commission to appoint a trustee or trustees to negotiate the divestiture of

either the divestiture assets or of "crown jewels," alternative asset packages that are broader than the divestiture assets. The crown jewel for the Exxon Northeastern Marketing Assets is Mobil's marketing in the same area; for the Mobil Mid-Atlantic Marketing Assets, Exxon's marketing in the same area¹²; for the Exxon California Refining and Marketing Assets, the Mobil California Refining and Marketing Assets; for the Mobil Texas Marketing Assets, the Exxon Texas Marketing Assets; for Mobil's interest in TAPS, Exxon's interest in TAPS; for the paraffinic base oil to be sold, Mobil's Beaumont Refinery; and for Exxon's Jet Turbine Oil Business, Mobil's Jet Turbine Oil Business. In each case, the crown jewel is a significantly larger asset package than the divestiture assets.

Respondents have also agreed to the entry of an Order to Hold Separate and Maintain Assets, and the Commission has entered that Order. Under the terms of that Order, until the divestitures of the Benicia Refinery, marketing assets, base oil production and jet turbine oil business have been completed, Respondents must maintain Mobil's Northeastern, Mid-Atlantic and Texas fuels marketing businesses, Mobil's California refining and marketing businesses, and Exxon's ester based turbine oil business as separate, competitively viable businesses, and not combine them with the operations of the merged company. Under the terms of the Proposed Order, Respondents must also maintain the assets to be divested in a manner that will preserve their viability, competitiveness and marketability, and must not cause their wasting or deterioration, and cannot sell, transfer, or otherwise impair the marketability or viability of the assets to be divested. The Proposed Order and the Hold Separate Order specify these obligations in greater detail.

To avoid conflicts between the Proposed Order and the State consent decrees, the Commission has agreed to extend the time for divesting particular assets if all of the following conditions are satisfied: (1) Respondents have fully complied with the Proposed Order; (2) Respondents submit a complete application in support of the divestiture of the assets and businesses to be divested; (3) the Commission has in fact approved a divestiture; but (4)

¹² The "crown jewel" divestiture would include the exclusive right to use the Exxon or Mobil name (as the case may be) in the pertinent States for at least 20 years. If Respondents fail to divest both the Exxon Northeast Marketing Assets and the Mobil Mid-Atlantic Marketing Assets, the Commission may direct the trustee to divest all of Exxon's marketing from Maine to Virginia.

Respondents have certified to the Commission within ten days after the Commission's approval of a divestiture that a State has not approved that divestiture. If these conditions are satisfied, the Commission will not appoint a trustee or impose penalties for an additional sixty days, in order to allow Respondents either to satisfy the State's concerns or to produce an acquirer acceptable to the Commission and the State.¹³ If at the end of that additional period, the State remains unsatisfied, the Commission may appoint a trustee and seek penalties for noncompliance.

B. Gasoline Marketing in the Northeast and Mid-Atlantic

Sections IV and V of the Proposed Order are intended to preserve competition in gasoline marketing in the Northeast and Mid-Atlantic by requiring Respondents to divest to an acquirer approved by the Commission all retail gasoline stations owned by Exxon (or leased by Exxon from another person) in Maine, Massachusetts, New Hampshire, Vermont, Rhode Island, Connecticut, and New York (Proposed Order ¶ IV.A), and to assign to the acquirer of those stations all dealer leases and franchise agreements and all supply contracts with branded jobbers (¶ IV.B). The Proposed Order defines "Existing Lessee Agreements" and "Existing Supply Agreements" broadly, to include the totality of the relationship between Respondents and the dealers and distributors to be assigned.¹⁴ Respondents will divest and assign similar interests in all Mobil stations in New Jersey, Pennsylvania, Delaware, Maryland, Virginia and the District of Columbia (¶¶ V.A-B). The assignment of dealer leases and franchise agreements is intended not to effect a material change in the rights and obligations of the parties to those leases and franchise agreements. Exxon and Mobil will divest approximately 676 owned or leased stores and assign supply agreements for 1,064 additional stores in the Northeast and Mid-Atlantic.

¹³ The consent decree between Respondents and the States of Connecticut, Maryland, Massachusetts, New Jersey, New York, Pennsylvania, Vermont and Virginia provides that a State that objects to a proposed acquirer must petition the court before which the decree is pending to rule on the suitability of the proposed acquirer. In the event such a motion is made, Respondents' time to divest under the Proposed Order is tolled until the matter is resolved.

¹⁴ The assigned relationship does not include business format franchises for the sale of ancillary products (e.g., restaurant franchises) other than gasoline and diesel fuel.

To effectuate the divestiture of stations and assignment of franchise agreements, Respondents shall enter into an agreement with the acquirer under which Respondents shall allow the acquirer to use the Exxon or Mobil name, as the case may be, for up to 10 years (with the possibility of further use of the name by mutual agreement thereafter) (¶¶ IV.C, V.C). Pursuant to that agreement, the acquirer will have the exclusive right to use the Exxon or Mobil name, as the case may be, in connection with the sale of branded gasoline and diesel fuel in these states, and will have the right to accept Exxon or Mobil credit cards and to sell other Exxon or Mobil branded products (e.g., motor oil) at gas stations in these states. The acquirer will have the right to expand the Exxon or Mobil network in these states, as the case may be, by opening new stores or converting stores to the Exxon or Mobil brand. (¶¶ IV.C, IV.F, V.C, V.F)

It is the Commission's contemplation that the acquirers will seek to transition the existing Exxon and Mobil networks to their own brands.¹⁵ The Proposed Order requires the respective Exxon and Mobil packages to be divested to a single acquirer (although both packages may be divested to the same acquirer). The divestiture and assignment of large packages of retail gasoline stations should allow the acquirer the ability to efficiently advertise a brand, develop credit card and other marketing programs, persuade distributors to market the acquirer's brand, and otherwise compete in the sale of branded gasoline.

The acquirer will nonetheless be allowed to continue to offer the Exxon or Mobil name, as the case may be, to dealers and jobbers in order to allow the acquirer to preserve the network to the greatest extent feasible and to comply with the requirements of the Petroleum Marketing Practices Act, 15 U.S.C. 2801 *et seq.* ("PMPA"). Thus, the acquirer will be able to continue to offer Exxon or Mobil branded fuel, as the case may be, to dealers and jobbers that are today selling Exxon or Mobil branded fuel and displaying those brands. Over time, the acquirer in its business judgment may choose to convert the business it acquires to its own brand name, subject to the requirements of law or with the consent of the dealers and jobbers in question.

To effectuate the divestiture and allow the acquirers an opportunity to

¹⁵ For that reason, the agreement entered into between Respondents and the acquirer(s) may provide for an increasing fee for the use of the name after five years. The terms of that agreement will be subject to Commission approval.

convert dealers and jobbers to a new brand, the Proposed Order prohibits Respondents from using the pertinent brand in the sale of gasoline for at least five (5) and as much as twelve (12) years from the date of divestiture in the region in question (*i.e.*, Respondents will not be able to sell gasoline under the Exxon name in New York or New England, where they are divesting and assigning Exxon stations, dealers and jobbers). In addition, Respondents will be prohibited from offering to sell branded fuels for resale at divested or assigned sites for a period of seven (7) years. (§§ IV.G, V.G)

Respondents' obligations to preserve the assets to be divested and assigned includes the obligation to maintain the relationships with dealers and jobbers pending divestiture or assignment. Respondents have agreed to meet this obligation by, among other things, establishing a fund of \$30 million to be paid to distributors who accept assignment of their supply agreements to the acquirer. The terms of that incentive program are set forth in Appendix A to the Proposed Order.

C. Marketing of Gasoline in Texas

To remedy the reduction in competition in the five metropolitan areas in Texas alleged in Count II of the Complaint, Paragraph VI of the Proposed Order requires Respondents to divest and assign Mobil's marketing businesses in those five metropolitan areas. Mobil's marketing assets in those metropolitan areas include interests of Mobil in partnerships with TETCO Inc. and Southland Corp. The Proposed Order requires that Respondents divest Mobil's interest in its partnership with TETCO to TETCO or to another acquirer approved by the Commission, in either event only in a manner approved by the Commission. The Proposed Order also requires Respondents to assign their Existing Supply Agreements to Assignees approved by the Commission, on the same terms as discussed with regard to Northeastern and Mid-Atlantic marketing, Part IV.B above. Respondents will divest approximately 10 owned or leased Mobil stores and assign supply agreements for Mobil's distributor-supplied stores in Texas.

D. Marketing of Gasoline in Arizona

To remedy the reduction in competition in the marketing of gasoline in Arizona alleged in Count III of the Complaint, Paragraph XI of the Proposed Order requires Exxon to surrender its right to reacquire stores sold to Tosco.

E. Refining and Marketing of CARB Gasoline for California and Navy Jet Fuel for the West Coast

To remedy the reduction in competition in the refining and marketing of CARB gasoline and navy jet fuel alleged in Counts IV and V of the Complaint, Paragraph II of the Proposed Order requires Respondents to divest Exxon's Benicia refinery and Exxon's owned gas stations in California, and to assign Exxon's lessee contracts and jobber supply contracts in California to an acquirer approved by the Commission. (§§ II.A, II.B) The divestiture of Exxon's Benicia refinery, with Exxon's California marketing, will not significantly reduce the amount of gasoline available to non-integrated marketers, since the refinery likely will continue to produce that gasoline and need outlets for its sale. Respondents will divest approximately 85 owned or leased Exxon stores and assign supply agreements for approximately 275 additional stores in California.

As part of its divestiture of the refinery, Respondents shall (at the acquirer's option) enter into a supply contract with the acquirer for a ratable quantity of Alaska North Slope ("ANS") crude oil up to 100 thousand barrels per day (an amount equivalent to the refinery's historic usage). Exxon is one of the three principal producers of ANS crude oil (the other two are BP Amoco and ARCO).

The divestiture and assignment of the Exxon stations is generally under the same terms as described regarding the Northeast and Mid-Atlantic, see Section IV.B above, except that in four PMSAs (San Francisco, Oakland, San Jose and Santa Rosa) Respondents will terminate their dealers' contracts and divest the real estate to the acquirer without authorizing the acquirer to use the Exxon name. Because Mobil does not market branded gasoline in these PMSAs, Exxon can effectuate a "market withdrawal" in these MSAs under the PMPA, 15 U.S.C. 2801 *et seq.*

In considering an application to divest and assign Exxon's California refining and marketing businesses to an acquirer, the Commission will consider the acquirer's ability and incentive to invest and compete in the businesses in which Exxon was engaged in California. The Commission will consider, *inter alia*, whether the acquirer has the business experience, technical judgment and available capital to continue to invest in the refinery in order to maintain CARB gasoline production even in the event of changing environmental regulation.

F. Count VI—Terminaling of Light Petroleum Products in Metropolitan Boston and Washington

To remedy the reduction of competition in terminaling of light petroleum products in metropolitan Boston and Washington, Paragraphs VII and VIII require Respondents to divest Mobil's East Boston, Massachusetts, and Manassas, Virginia, light petroleum products terminals, thereby eliminating the effect of the merger in these markets.

G. Count VII—Terminaling of Light Petroleum Products in the Norfolk, Virginia Area

To remedy the reduction of competition in terminaling of light petroleum products in metropolitan Norfolk, Virginia, Paragraph IX requires Respondents to continue to offer TransMontaigne access to Mobil's wharf on the same terms as have been offered historically, for as long as Respondents own the wharf.

H. Count VIII—Transportation of Light Petroleum Products to the Inland Southeast

To remedy the reduction of competition in transportation of light petroleum products to the inland Southeast, the Proposed Order requires Respondents to divest either Exxon's interest in Plantation or Mobil's interest in Colonial, and, pending divestiture, not to exercise their voting rights in connection with ownership or board representation on Colonial, thereby eliminating the effect of this merger in this market.

I. Count IX—Transportation of Crude Oil from the Alaska North Slope

To remedy the reduction of competition in transportation of crude oil from the Alaska North Slope to Valdez, Alaska, and intermediate points, Paragraph X of the Proposed Order requires Respondents to divest Mobil's interest in TAPS (including Mobil's interest in terminal storage at Valdez and, at the acquirer's option, Mobil's interest in the Prince William Sound Oil Spill Response Corporation), thereby eliminating the effect of this merger in this market.

J. Count X—Importation, Terminaling and Marketing of Light Petroleum Products in Guam

To remedy the reduction in competition in the importation, terminaling and marketing of light petroleum products in Guam, Paragraph III of the Proposed Order requires Respondents to divest Exxon's terminal and marketing in Guam. Essentially all of Exxon's gasoline marketing in Guam

consists of approximately 11 company-operated retail gasoline stores, which can be divested without the right to use the "Exxon" brand. The Proposed Order therefore does not provide for the use of the "Exxon" brand in Guam. The Proposed Order does provide that the divestiture of the terminal include Exxon's rights in its joint terminaling arrangements with Shell and, at the acquirer's option, Exxon's liquefied propane gas ("LPG") storage facilities. The divestiture would thereby eliminate the effect of this merger in this market.

K. Count XI—Paraffinic Base Oil

The Proposed Order requires Respondents to relinquish control of an amount of base oil equivalent to the amount controlled by Mobil, in order to remedy the effect of combining Exxon's and Mobil's base oil production. *First*, Respondents must offer to change several terms in Mobil's contract with Valero, in order to relinquish control over Valero's base oil production. The terms Respondents must offer are confidential, and are contained in a confidential appendix to the order.

Second, Respondents must enter into a long-term supply agreement (or agreements) with not more than three firms to supply those firms with an aggregate of 12 MBD of base oil from the merged firm's three refineries in the Gulf Coast area. The purchaser(s) of this base oil would purchase this base oil for ten years, under a price formula agreed to by the parties (and approved by the Commission) that is not tied to a United States base oil price (e.g., the formula might be tied to a benchmark price for crude oil). The purchaser(s) could use the base oil or resell it. Since the price term will be unrelated to any U.S. base oil price, Respondents would not be able to influence the price of this base oil. This sales agreement would put the purchaser(s) in the same position as competing base oil producers.

By changing Mobil's contract with Valero and entering into a Gulf off-take agreement, Mobil's share of the base oil market will effectively be given to Valero and some new entrant(s) in the base oil market or other suitable acquirers. The status quo in the base oil market will be maintained.

If Respondents do not offer the aforementioned terms to Valero within six months and do not enter into base oil supply contracts with suitable entities within nine months, they must divest Mobil's Beaumont, Texas refinery.¹⁶

¹⁶ A divestiture of Mobil's Beaumont refinery would give the acquirer six percent of North American base oil production and complete control

L. Count XII—Jet Turbine Oil

To remedy the effects of the merger in the market for jet turbine oil, the Proposed Order requires Respondents to divest Exxon's jet turbine oil business. The Proposed Order defines Exxon's jet turbine oil business, which must be divested, to include, among other things, an exclusive, perpetual license to use identified Exxon patents in the field of jet turbine oil, other intellectual property, research and testing equipment, and Exxon's jet turbine oil manufacturing facility at Bayway, New Jersey.

V. Opportunity for Public Comment

The Proposed Order has been placed on the public record for sixty (60) days for receipt of comments by interested persons. The Commission, pursuant to a change in its Rules of Practice, has also issued its Complaint in this matter, as well as the Order to Hold Separate. Comments received during this sixty day comment period will become part of the public record. After sixty days, the Commission will again review the Proposed Order and the comments received and will decide whether it should withdraw from the Proposed Order or make final the agreement's Proposed Order.

By accepting the Proposed Order subject to final approval, the Commission anticipates that the competitive problems alleged in the complaint will be resolved. The purpose of this analysis is to invite public comment on the Proposed Order, including the proposed divestitures, to aid the Commission in its determination of whether it should make final the Proposed Order contained in the agreement. This analysis is not intended to constitute an official interpretation of the Proposed Order, nor is it intended to modify the terms of the Proposed Order in any way.

of a low-cost base oil refinery. The buyer would be free to make any capital investments to expand capacity it chose to make. The Commission does not believe, on the facts of this investigation, that a divestiture of the refinery is strictly necessary to maintain competition in the paraffinic base oil market. The Commission might normally believe that divestiture of a refinery was necessary in order to allow the acquirer to have the ability to expand production and develop new products. However, the current trend toward producing higher grade base oils for use in finished products that need to be replaced less often (i.e., new products that significantly reduce drain intervals), suggests that the demand for base oil is likely to contract, making the need for expansion less significant on the particular facts here.

By direction of the Commission.

Donald S. Clark,
Secretary.

Statement of Chairman Robert Pitofsky and Commissioners Sheila F. Anthony and Mozelle W. Thompson; Exxon/Mobil

The Federal Trade Commission has approved a proposed settlement of charges that the Exxon Corporation's acquisition of the Mobil Corporation would violate the antitrust laws. We write to explain the reasons for our decision to approve a settlement that allows the merger to occur, and to ensure that the Commission's action in this matter is fully understood.

The proposed merger between Exxon and Mobil involves the second- and fourth-largest vertically integrated oil companies in the world and the two largest headquartered in the United States, with the acquired assets valued at about \$80 billion. We emphasize, however, that Commission approval in this matter does not indicate that continuing trends toward undue and unjustified concentration will be countenanced by this agency in the oil industry or elsewhere in the United States economy.

The proposed merger has significant competitive effects in seven different product markets. Because these were markets where competition was likely to be affected adversely, the Commission has required extensive restructuring. The details of the divestitures and other remedial provisions designed to address those competitive problems are summarized in the Analysis to Aid Public Comment. We touch here only on the most significant reasons why a merger between such large companies that have been direct competitors in some markets is allowed to occur at all.

1. About 60 percent of the assets of the merged firms are located outside the United States. Competitive effects in foreign countries have been reviewed by antitrust authorities abroad and the merger has been approved by those reviewing authorities with some restructurings.

2. In the United States, the most important overlaps involve gasoline marketing in states along the Atlantic Coast, California, Texas and Guam, gasoline refining in California, and the production and sale of paraffinic base oil, an ingredient in motor oil, throughout the United States. These overlaps amount to only about 3 percent of the merged assets.

3. Where there are significant competitive overlaps, the companies have consented to substantial restructuring of the deal, including the

largest divestiture ever ordered by the Federal Trade Commission. In those areas of principal concern, the restructuring consisted of the following:

Retail Gas Stations: In all of the United States, a total of over 2,400 stations will be sold or contracts assigned. In the Northeast and Mid-Atlantic states, sale of 676 owned stations and assignment of supply contracts with 1,064 stations currently branded Exxon and Mobil is required. In California, 360 stations must be sold or assigned.

Refining: Exxon's Benicia, California refinery will be sold.

Terminaling: The consent requires Exxon-Mobil to divest Mobil's terminals in Boston, Massachusetts and Manassas, Virginia, as well as Exxon's terminal in Guam.

Basic Paraffinic Motor Oil Ingredient: The sale of an amount of output equivalent to the amount currently controlled by Mobil in North America.

4. While there has been a significant trend toward concentration in the oil industry, in the world and in the United States, and that trend will continue to receive our attention, it remains true that in the United States there are still at least a dozen remaining oil companies, though some are much smaller than others, and some are more regional than national. After the proposed Exxon-Mobil merger, the top four firms in the United States will account for about 42% of refining capacity and gasoline sales, a level of concentration that is not ordinarily a subject of concern in antitrust enforcement. In regional and local markets, likely anticompetitive effects are more pronounced, but those are addressed by the proposed order.

5. The Commission has assured itself not only that restructuring will occur, but that there are companies ready, willing and able to acquire divested assets and to be effective competitors. When the time comes to approve or disapprove buyers, the Commission will treat as a major concern the effect of divestitures on the welfare of station owners and employees. Also, the Commission will insist that the buyers of divested assets are sensitive to the role of independent station owners and lessees in continuing to play an important role in preserving competition in the retail sector of the gasoline market.

Increasing concentration in the oil industry may simply reflect the needs of firms competing in a global market. With the recent mergers in the industry however, concentration has significantly increased. Accordingly the Commission has been demanding in its requirements

for restructuring this transaction, and will review any future proposed mergers in this industry with special concern.

We intend to ensure that competition, and the welfare of consumers, is protected. As with our recent enforcement actions, the Commission will assess the effectiveness of the remedies in this case in determining whether settlement, instead of litigation, would be appropriate in future transactions within this industry.

Finally, we offer a brief response to the concurring statement of our colleague, Commissioner Orson Swindle.

1. Commissioner Swindle assumes efficiencies in exploration and production outside the United States. That may be correct, but we are unwilling to assume the existence of efficiencies in markets that the Commission did not fully investigate.

2. Relevant geographic market in which anticompetitive effects might be measured was pleaded in the complaint as ranging from states to metropolitan areas to smaller areas within metropolitan areas. Commissioner Swindle would prefer to limit the pleading to metropolitan areas. As the Analysis to Aid Public Comment indicates, there is some evidence of coordinated action in parts of metropolitan areas (usually termed "price zones"), and there is precedent in this industry for pleading geographic markets as statewide.¹ At the pleading stage, we believe pleading in the alternative is traditional and justified.

3. Finally, Commissioner Swindle would limit any finding of anticompetitive effects to highly concentrated markets. It is true that in such markets, mergers of significant size may be presumed to lead to anticompetitive effects. But that does not mean the effect of mergers in less concentrated markets should be ignored. On the contrary, there is considerable judicial precedent for finding violations in moderately concentrated markets.² Also, the Department of Justice—FTC Guidelines state that in moderately concentrated markets, significant competitive concerns depend on a review of additional factors. Many of the factors cited in the Guidelines are present in oil industry distribution and marketing: key price and other competitively significant information is easily available in the marketplace; gasoline is a homogeneous product

(despite aggressive advertising efforts to introduce product differentiation) so that coordinated action is easier to achieve; there are high though not insurmountable barriers to entry into terminaling and distribution; and there is some history of successful collusion among companies in this market.³ For all those reasons, a remedy that reaches competitive effects in moderately concentrated markets—following the precedent that the Commission set in settling its case against British Petroleum's acquisition of Amoco—is justified.

Separate Statement of Commissioner Orson Swindle in Exxon Corporation, File No. 991-0077

In this matter, the Commission has investigated the proposed \$80 billion merger between Exxon Corporation ("Exxon") and Mobil Corporation ("Mobil"). The proposed merger would create the largest privately owned oil company in the world, with both Exxon and Mobil having extensive operations in terms of exploration, production, refining, pipelines, terminal operations, wholesaling, and retailing. The Commission has accepted for public comment a consent agreement to resolve complaint allegations with regard to a number of markets in which Exxon and Mobil have overlapping operations.

Of the great many markets that are addressed in the complaint and proposed consent agreement, I dissent only from the provisions concerning the wholesaling and retailing of gasoline in markets that would be only moderately concentrated after the merger. The proposed merger between Exxon and Mobil is not likely to lead to consumer harm in the form of higher prices for gasoline in these markets because of the difficulties that oil companies face in coordinating their prices in these markets. Unlike my colleagues, I therefore would not require that Exxon and Mobil divest or assign their retail gasoline stations located in these markets.

A. Overview

The proposed merger would reunite two parts of the Standard Oil Trust. Exxon is the successor to Standard Oil of New Jersey, and Mobil is the successor to Standard Oil of New York. At the turn of the last century, the Standard Oil Trust controlled about 90% of all refining of oil and other petroleum products in the United States. See *Standard Oil Co. of New*

¹ See, e.g., *Marathon Oil Co. v. Mobil Corp.*, 669 F.2d 378, 380 (6th Cir. 1981).

² See *Brown Shoe Co. v. United States* 370 U.S. 294 (1962); *United States v. Pabst Brewing Co.*, 384 U.S. 546 (1966); *United States v. Philadelphia National Bank*, 374 U.S. 321 (1963).

³ See, e.g., *United States v. Socony-Vacuum Oil Co.*, 310 U.S. 150 (1940); *In re Coordinated Pretrial Proceedings in Petroleum Prods. Antitrust Litigation*, 906 F.2d 432 (9th Cir. 1990).

Jersey v. United States, 221 U.S. 1 (1911). Since that time, however, all aspects of the oil industry—exploration, production, refining, pipelines, terminals, wholesaling, and retailing—in the United States and throughout the world have undergone tremendous changes. Simply stated, although the public may perceive that allowing the merger of Exxon and Mobil is an ominous sign that the government is allowing the Standard Oil Trust to be reassembled, the merger is not, as Yogi Berra once said, “*deja vu* all over again.”

The Commission has conducted an extensive and thorough investigation of the economic effects of the proposed merger between Exxon and Mobil. The Commission has alleged that the proposed merger would raise competitive concerns in specific refinery, pipeline, terminal, wholesale, and retail gas station markets in which Exxon and Mobil have competing operations. The proposed relief that the Commission has obtained to address these competitive concerns is comprehensive and extensive.

The proposed consent order specifically would require the merged firm to divest up to about \$2 billion (as estimated by the parties) out of its \$80 billion in assets. However, even though \$2 billion in divestitures is a substantial amount, the fact that the amount is a relatively small portion of the total assets involved underscores for me a vital point—the proposed merger between Exxon and Mobil appears to be, in large part, a benefit (or at least not a detriment) to competition and consumers.¹

In particular, the proposed merger may allow Exxon and Mobil to realize efficiencies in exploration and production without creating any competitive concerns. Following the merger, the combined firm will own only about 1% of the world's oil reserves and produce only about 3% of the world's oil. By contrast, the national oil companies (such as Saudi Arabia's Aramco, Venezuela's PdVSA, and Mexico's PEMEX) collectively own 90% of the world's oil reserves and produce about 70% of the world's oil. By merging, Exxon and Mobil thus may become a more effective competitor in oil exploration and production, thereby benefitting American consumers and the American economy.

I want to provide one caveat about Commission law enforcement in the oil

industry. The oil industry is undergoing and may continue to undergo tremendous restructuring, including mergers between large oil companies. In analyzing the competitive effects of these mergers, the Commission, of course, applies the standards set forth in the *Horizontal Merger Guidelines*. United States Department of Justice and the Federal Trade Commission, *Horizontal Merger Guidelines* (Apr. 8, 1997). As concentration increases in some markets as a result of mergers, it becomes more likely that the Commission will challenge future mergers that affect those markets. This greater probability of challenge would not be the result of expansive antitrust enforcement—rather, it would be the result of the consistent application of the *Horizontal Merger Guidelines* to the changing state of competition in the oil industry. In my view, the Commission can and should take into account these changes in determining whether law enforcement action concerning a particular merger is appropriate.

B. Wholesale and Retail Marketing of Gasoline

The complaint alleges that the merger between Exxon and Mobil may substantially lessen competition for the wholesaling and retailing of gasoline in many and various markets. Specifically, the complaint defines as a relevant geographic market each of the States from Virginia to Maine, “smaller areas” within those states including particular metropolitan areas, and even “smaller areas” within those metropolitan areas. ¶¶s 17a, 18, 31, and 32 of the Complaint. It also defines as relevant geographic markets five metropolitan areas in Texas (Austin, Bryan/College Station, Dallas, Houston, and San Antonio), and “smaller areas” contained within those metropolitan areas. ¶¶s 17b, 19, 33, and 34 of the Complaint. The complaint further defines Arizona and “smaller areas” within Arizona as relevant geographic markets. ¶¶s 17c, 21, 35, and 36 of the Complaint.

In analyzing the competitive effects of a merger, it is critical to identify the proper geographic markets. As explained above, the Commission has alleged that the proper geographic markets here include everything from entire states to metropolitan areas within these states to “smaller areas” within these metropolitan areas, which presumably include counties, cities, towns, townships, price zones, etc. A geographic market is “a region such that a hypothetical monopolist that was the only present or future producer of the relevant product at locations in that region would profitably impose at least

a ‘small but significant and non-transitory increase in price.’”

Horizontal Merger Guidelines at 1.21.

Rather than very large geographic areas (e.g., entire states)² or very small geographic areas (e.g., price zones), I think that standard metropolitan statistical areas (“MSAs”) are the most appropriate areas to use as geographic markets because they are consistent with the general boundaries of competition in the wholesaling and retailing of gasoline, and they are consistent with the size of the geographic markets that the Commission generally has used in analyzing past oil mergers. See *British Petroleum Co., plc.*, Dkt. No. C-3868 (1999) (¶ 19 of Complaint) (“cities and metropolitan areas”); see also *Shell Oil Co.*, Dkt. No. C-3803 (1998) (¶¶ 21 and 22 of Complaint) (San Diego County, California) (Oahu Island, Hawaii).³

The basic theory underlying the complaint is that so-called major brands (including Exxon, Mobil, Shell/Texaco, BP/Amoco, and Sunoco) currently price as an oligopoly. Major brands allegedly observe the gasoline prices that other major brands are charging at their retail locations in specific areas, known as “price zones.” Armed with this information, major brands purportedly adjust their prices only in that particular price zone so that the resulting retail price for their brand of gasoline is in line with those of other major brands. Because major brands determine their gasoline prices based on the prices charged by other major brands and not exclusively on cost, major brands supposedly can and do find it profitable to increase their gasoline prices. Allowing Exxon and Mobil to merge, it is theorized, would reduce the number of major brands, thereby purportedly making it even easier to coordinate and maintain higher gasoline prices.

I have reason to believe that the proposed merger between Exxon and Mobil may substantially lessen competition in wholesale and retail gasoline in highly concentrated markets,

² The majority cites *Marathon Oil Co. v. Mobil Corp.*, 669 F.2d 378 (6th Cir. 1981), as precedent for the proposition that geographic markets for the marketing of gasoline may include entire states. In that case, the Sixth Circuit did conclude that, in granting a preliminary injunction, the district court had not erred in using individual state markets rather than a national market for the marketing of gasoline. *Id.* at 380. However, simply because a court found that there were statewide markets for the marketing of gasoline in certain Midwestern states nearly twenty years ago does not persuade me that today there are statewide markets for the marketing of gasoline in the Northeastern United States, Texas, and Arizona.

³ Using MSAs as geographic markets also promotes greater consistency in analysis because most oil industry data is reported by MSA.

¹ See *Horizontal Merger Guidelines* at § 0.1 (“While challenging competitively harmful mergers, the [Commission] seeks to avoid unnecessary interference with the larger universe of mergers that are either competitively beneficial or neutral.”).

i.e., highly concentrated MSAs. Mergers that significantly increase concentration in highly concentrated markets are presumed to be likely to cause competitive harm. Horizontal Merger Guidelines at § 1.51(c). In the absence of proof of entry that is timely, likely, and sufficient or in the absence of other countervailing considerations that would rebut the presumption of competitive harm, the Commission typically concludes that such a merger may substantially lessen competition.

In the recent past, the Commission has challenged mergers that would significantly increase concentration in highly concentrated gasoline markets. In 1998, the Commission alleged that a joint venture may substantially lessen competition where it would have significantly increased concentration in the highly concentrated markets for wholesaling and retailing of gasoline in San Diego County, California, and on Oahu, Hawaii. Shell Oil Co. In 1999, the Commission similarly alleged that a merger between British Petroleum and Amoco may substantially lessen competition where it would have significantly increased concentration in twenty-five highly concentrated markets⁴ for the wholesaling and retailing of gasoline in the Southeastern United States. British Petroleum Co., plc.⁵

In this case, the complaint alleges that the merger between Exxon and Mobil would significantly increase concentration in twenty highly concentrated wholesale and retail gasoline markets—nineteen markets in the Northeastern United States and one in Texas.⁶ The theory that major brands coordinate on price is more plausible in these highly concentrated markets given the limited number of firms that need to coordinate their actions concerning gasoline prices, a conclusion that is consistent with the presumption accorded under the Horizontal Merger Guidelines. New entry is not likely to defeat a coordinated price increase in these markets because of the difficulty of entering into the wholesale and retail

gasoline business to a sufficient extent due to restrictive zoning laws, regulatory approvals, deed restrictions, the scarcity of sites for stations, and high costs. Sufficient jobber switching in response to a coordinated price increase is also not likely to occur because (unlike my assessment of the facts in the Southeastern United States markets in *British Petroleum Co.*) switching generally has not been prevalent in these markets and the cost of doing so has been increasing significantly. Consequently, I support the complaint allegations with regard to these highly concentrated markets and the corresponding order requirement that the retail gasoline stations in these markets be divested or assigned.

In addition to alleging that the proposed merger may substantially lessen competition in highly concentrated markets for the wholesaling and retailing of gasoline, the majority, however, has also alleged that it is likely to cause competitive harm in markets that would be only moderately concentrated. I disagree.

Specifically, I do not support the complaint allegations that the proposed merger between Exxon and Mobil may substantially lessen competition in twenty-three wholesale and retail gasoline markets that would be only moderately concentrated after the merger—eighteen markets in the Northeastern United States, four markets in Texas, and one market in Arizona.⁷ Such mergers are not presumed to cause competitive harm, but instead “potentially raise significant competitive concerns depending on [factors such as potential adverse competitive effects and entry.]” Horizontal Merger Guidelines at § 1.51(b).

I do not find the Commission’s theory that major brands have coordinated their gasoline prices in these moderately concentrated markets⁸ to be sufficiently persuasive to support the complaint

allegations. Coordinating gasoline prices tends to be more difficult in markets with moderate concentration levels than with high concentration levels because there generally are more firms whose prices have to be coordinated. Price coordination also may be complicated by variations in the boundaries of the price zones that major brands use and the difficulty in accounting for a variety of other factors that may affect gasoline prices, such as brand name strength, retail location, and credit card programs. Moreover, even if a coordinated price could be established, it likely would be difficult to maintain because, although retail gasoline prices may be publicly posted, cheating on the price could also occur through hard-to-monitor discounts on the wide variety of other goods and services that stations offer, especially the convenience store items which are becoming an increasingly large source of retail gasoline station revenue.

I do not think that it is unreasonable to conclude that gasoline prices might be coordinated in markets that would be moderately concentrated. However, I think that the better view of the evidence is that such coordination is not occurring and is not likely to occur following the merger. I consequently dissent from the complaint allegations with regard to the wholesale and retail gasoline markets in the Northeast, Texas, and Arizona that would be moderately concentrated, and I would not require the divestiture and assignment of retail gasoline stations located in those markets.

C. Refining, Pipelines, and Terminal Markets

With regard to the remaining complaint allegations relating to refining, pipeline, and terminal markets, I support the allegations with regard to each of these markets. However, a brief treatment of two of these markets is warranted. I am not persuaded that a full trial on the merits would demonstrate that the proposed merger may substantially lessen competition in the United States and Canadian market for refining paraffinic base oil, ¶¶ s 51 and 52 of the Complaint, or in the West Coast market for refining CARB gasoline. ¶¶ s 37 and 38 of the Complaint. The information that the Commission staff has compiled during their extensive and thorough investigation, however, persuades me that there is at least “reason to believe” that the proposed merger may substantially lessen competition in these two markets. Because this showing is enough to meet the applicable legal standard at the time of

⁴ The Commission also alleged that the merger may substantially lessen competition in five markets that were only moderately concentrated.

⁵ I dissented in *British Petroleum Co.* because I concluded that the likelihood of entry and jobber switching in markets in the Southeastern United States warranted overcoming the presumption that the merger would have raised serious competitive concerns.

⁶ The highly concentrated markets are Washington, D.C.; Hartford, CT; New London, CT; Dover, DE; Wilmington, DE; Bangor, ME; Portland, ME; Barnstable, MA; Bergen, NJ; Jersey City, NJ; Monmouth, NJ; Trenton, NJ; Albany, NY; Newburgh, PA; Allentown, PA; Altoona, PA; Johnstown, PA; State College, PA; Burlington, VT; and Bryan/College Station, TX.

⁷ The moderately concentrated markets are New Haven, CT; Lewiston, ME; Baltimore, MD; Boston, MA; Atlantic City, NJ; Middlesex, NJ; Newark, NJ; Vineland, NJ; Harrisburg, PA; Lancaster, PA; Philadelphia, PA; Reading, PA; Scranton, PA; York, PA; Providence, RI; Norfolk, VA; Richmond, VA; Austin, TX; Dallas, TX; Houston, TX; San Antonio, TX, and Arizona.

⁸ In deciding to challenge a merger only with regard to its effects in markets that are highly concentrated, there is a risk of missing some markets in which its effects raise the same competitive concerns even though they have slightly lower concentration levels. See Horizontal Merger Guidelines § 1.5 (“other things being equal, cases falling just above and just below a threshold present comparable competitive issues.”). Nevertheless, I think that using highly concentrated markets here as a cut-off is a reasonable approach, albeit a necessarily imperfect one.

complaint issuance, I am willing to support the allegations relating to these two markets.

The proposed relief appears to be necessary and appropriate to address the complaint allegations in the refining, pipeline, and terminal markets. In my view, the Commission's staff and the merging parties have worked diligently and creatively to craft relief to remedy the competitive concerns in these markets. However, given the extraordinary complexity of the divestitures and other relief negotiated, I welcome public comments addressing whether the order would fulfill its remedial purpose without causing unintended adverse effects on competition or consumers. In particular, I would be interested in public comment on whether the merging parties should be required to divest the Exxon refinery in Benicia, California, and the Exxon retail gasoline stations in California to a single buyer. From a purely economic basis, there seems to be little logic in forcing the divestiture of the refinery and the retail stations to a single buyer.

[FR Doc. 00-570 Filed 1-10-00; 8:45 am]
BILLING CODE 6750-01-P

GENERAL SERVICES
ADMINISTRATION

Notice of Availability

The General Services Administration (GSA) has prepared a Record of Decision as the final document in the Environmental Impact Statement process for the renovation of the Tecate Port of Entry, Tecate, California. This project is designed to relocate the commercial operations, improve the

working conditions for the U.S. Customs Service and U.S. Immigration and Naturalization Service, and improve the water systems on the port. For a copy of the Record of Decision contact: General Services Administration, 450 Golden Gate, Portfolio Division, San Francisco, California 94102, Attn: Rosanne Nieto, Phone: (415) 522-3490.

Arlin M. Timberlake,
Director, Portfolio Division, Public Buildings Service, General Services Administration.
[FR Doc. 00-1003 Filed 1-14-00; 8:45 am]
BILLING CODE 6820-BR-M

DEPARTMENT OF HEALTH AND
HUMAN SERVICES

Centers for Disease Control And
Prevention

[60Day-00-18]

Proposed Data Collections Submitted
for Public Comment and
Recommendations

In compliance with the requirement of Section 3506 (c) (2) (A) of the Paperwork Reduction Act of 1995, the Center for Disease Control and Prevention is providing opportunity for public comment on proposed data collection projects. To request more information on the proposed projects or to obtain a copy of the data collection plans and instruments, call the CDC Reports Clearance Officer on (404) 639-7090.

Comments are invited on: (a) Whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information shall have practical utility; (b) the accuracy of the agency's estimate of the burden of the

proposed collection of information; (c) ways to enhance the quality, utility, and clarity of the information to be collected; and (d) ways to minimize the burden of the collection of information on respondents, including through the use of automated collection techniques for other forms of information technology. Send comments to Seleda Perryman, CDC Assistant Reports Clearance Officer, 1600 Clifton Road, MS-D24, Atlanta, GA 30333. Written comments should be received within 60 days of this notice.

Proposed Projects

1. PHS Supplements to the Application for Federal Assistance—SF-424 (0920-0428)—Extension. The Centers for Disease Control and Prevention (CDC) is requesting a three-year extension for continued use of the Supplements to the Request for Federal Assistance Application (SF-424). The Checklist, Program Narrative, and the Public Health System Impact Statement (third party notification) (PHSIS) are a part of the standard application for State and local governments and for private non-profit and for-profit organizations when applying for financial assistance from PHS grant programs. The Checklist assists applicants to ensure that they have included all required information necessary to process the application. The Checklist data helps to reduce the time required to process and review grant applications, expediting the issuance of grant awards. The PHSIS Third Party Notification Form is used to inform State and local health agencies of community-based proposals submitted by non-governmental applicants for Federal funding.

The total annual cost to the respondents is \$1,184,452.

Respondents	No. of respondents	No. of responses/ respondent	Avg. burden/ response (in hrs.)	Total burden (in hrs.)
State and local health departments; non-profit and for-profit organizations	7,755	1	4.215	32,687
Total				32,687

Dated: January 11, 2000.

Nancy Cheal,
Acting Associate Director for Policy, Planning and Evaluation, Centers for Disease Control and Prevention (CDC).
[FR Doc. 00-1026 Filed 1-14-00; 8:45 am]
BILLING CODE 4163-18-P

DEPARTMENT OF HEALTH AND
HUMAN SERVICES

Centers for Disease Control And
Prevention

[60 Day-00-19]

Proposed Data Collections Submitted
for Public Comment and
Recommendations

In compliance with the requirement of Section 3506 (c)(2)(A) of the

Paperwork reduction Act of 1995, the Center for Disease Control and Prevention is providing opportunity for public comment on proposed data collection projects. To request more information on the proposed projects or to obtain a copy of the data collection plans and instruments, call the CDC Reports Clearance Officer on (404) 639-7090.

Comments are invited on: (a) Whether the proposed collection of information is necessary for the proper performance

of the functions of the agency, including whether the information shall have practical utility; (b) The accuracy of the agency's estimate of the burden of the proposed collection of information; (c) Ways to enhance the quality, utility, and clarity of the information to be collected; and (d) Ways to minimize the burden of the collection of information on respondents, including through the use of automated collection techniques for other forms of information technology. Send comments to Seleda Perryman, CDC Assistant Reports Clearance Officer, 1600 Clifton Road, MS-D24, Atlanta, GA 30333. Written comments should be received within 60 days of this notice.

Proposed Projects

1. Preventive Health and Health Services Block Grant, Annual Application and Reports (0920-0106)—Renewal—The National Center for Chronic Disease Prevention and Health Promotion—In 1994, the Office of Management and Budget approved the collection of information provided in the grant applications and annual reports for the Preventive Health and Health Services Block Grant (0920-0106). This approval expires on November 30, 2000. CDC is requesting an extension of OMB clearance for this legislatively mandated information collection until November 30, 2001. The extension is limited to one year to allow for the development and adherence to *Healthy People 2010* to be released the Spring of 2000. The Preventive Health

and Health Services Block Grant is mandated according to section 1904 to adhere to the Healthy People framework, therefore, the current application and report format will be restructured to coincide with 2010 and resubmitted for OMB clearance at that time.

This information collected through the applications from the official State health agencies is required from section 1905 of the Public Health Service Act. There is no change in the proposed information collection from previous years. The information collected from the annual reports is required by section 1906, specifically the requirement for uniform data sets matching the uses of funds. The total cost to all respondents is \$137,250, estimated at \$25/burden hour.

Respondents	No. of respondents	No. of responses/respondent	Average burden per response	Total burden
Application	61	1	30	1830
Report	61	1	60	3660
Total				5490

Dated: January 11, 2000.

Nancy Cheal,

Acting Associate Director for Policy, Planning, and Evaluation, Centers for Disease Control and Prevention (CDC).

[FR Doc. 00-1027 Filed 1-14-00; 8:45 am]

BILLING CODE 4163-18-M

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 00N-0002]

Agency Information Collection Activities; Proposed Collection; Comment Request; Application for Exemption From Federal Preemption of State and Local Medical Device Requirements

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing an opportunity for public comment on the proposed collection of certain information by the agency. Under the Paperwork Reduction Act of 1995 (the PRA), Federal agencies are required to publish notice in the **Federal Register** concerning each proposed collection of information, including each proposed extension of an existing collection of

information, and to allow 60 days for public comment in response to the notice. This notice solicits comments on FDA's requirements for State and local government applications for exemption from preemption for medical device requirements.

DATES: Submit written comments on the collection of information by March 20, 2000.

ADDRESSES: Submit written comments on the collection of information to the Dockets Management Branch (HFA-305), Food and Drug Administration, 5630 Fishers Lane, rm. 1061, Rockville, MD 20852. All comments should be identified with the docket number found in brackets in the heading of this document.

FOR FURTHER INFORMATION CONTACT: Peggy Schlosburg, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-1223.

SUPPLEMENTARY INFORMATION: Under the PRA (44 U.S.C. 3501-3520), Federal agencies must obtain approval from the Office of Management and Budget (OMB) for each collection of information they conduct or sponsor. "Collection of information" is defined in 44 U.S.C. 3502(3) and 5 CFR 1320.3(c) and includes agency requests or requirements that members of the public submit reports, keep records, or

provide information to a third party. Section 3506(c)(2)(A) of the PRA (44 U.S.C. 3506(c)(2)(A)) requires Federal agencies to provide a 60-day notice in the **Federal Register** concerning each proposed collection of information, including each proposed extension of an existing collection of information, before submitting the collection to OMB for approval. To comply with this requirement, FDA is publishing notice of the proposed collection of information set forth in this document.

With respect to the following collection of information, FDA invites comments on: (1) Whether the proposed collection of information is necessary for the proper performance of FDA's functions, including whether the information will have practical utility; (2) the accuracy of FDA's estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used; (3) ways to enhance the quality, utility, and clarity of the information to be collected; and (4) ways to minimize the burden of the collection of information on respondents, including through the use of automated collection techniques, when appropriate, and other forms of information technology.

Application for Exemption From Federal Preemption of State and Local Medical Device Requirements—21 CFR Part 808 (OMB Control No. 0910-0129)—Extension

Section 521(a) of the Federal Food, Drug, and Cosmetic Act (the act) (21 U.S.C. 360k(a)) provides that no State or local government may establish, or continue in effect, any requirement with respect to a medical device that is different from, or in addition to, any Federal requirement applicable to the device under the act. Under section 521(b) of the act, following receipt of a written application from the State or local government involved, FDA may

exempt from preemption a requirement that is more stringent than the Federal requirement, or that is necessitated by compelling local conditions and compliance with the requirement would not cause the device to be in violation of any portion of any requirement under the act. Exemptions are granted by regulation issued after notice and opportunity for an oral hearing.

The regulations in 21 CFR 808.20 require a State or local government that is seeking an exemption from preemption to submit an application to FDA. The application must include a copy of the State or local requirement, as well as information about its interpretation and application, and a

statement as to why the applicant believes that the requirement qualifies for exemption from preemption under the act. FDA will use the information in the application to determine whether the requirement meets the criteria for exemption in the act and whether granting an exemption would be in the interest of the public health.

In addition, 21 CFR 808.25 provides that an interested person may request a hearing on an application by submitting a letter to FDA following the publication by FDA of a proposed response to the application.

FDA estimates the burden of this collection of information as follows:

TABLE 1.—ESTIMATED ANNUAL REPORTING BURDEN¹

21 CFR Section	No. of Respondents	Annual Frequency per Response	Total Annual Responses	Hours per Response	Total Hours
808.20	3	1	3	100	300
808.25	3	1	3	10	30
Total					330

¹ There are no capital costs or operating and maintenance costs associated with this collection of information.

FDA based its estimates of the number of submissions expected in the future contained in Table 1 of this document on the number of submissions submitted in the last 3 years and on the number of inquiries received indicating that applications would be submitted in the next year. FDA based its estimates of the time required to prepare submissions on discussions with those who have prepared submissions in the last 3 years.

Dated: January 10, 1999.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-992 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 99N-1502]

Agency Information Collection Activities; Announcement of OMB Approval; Quality Mammography Standards; Lay Summaries for Patients

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing that a collection of information entitled

“Quality Mammography Standards; Lay Summaries for Patients” has been approved by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995.

FOR FURTHER INFORMATION CONTACT:

Peggy Schlosburg, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-1223.

SUPPLEMENTARY INFORMATION: In the **Federal Register** of October 18, 1999 (64 FR 56210), the agency announced that the proposed information collection had been submitted to OMB for review and clearance under 44 U.S.C. 3507. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. OMB has now approved the information collection and has assigned OMB control number 0910-0426. The approval expires on December 31, 2002. A copy of the supporting statement for this information collection is available on the Internet at <http://www.fda.gov/ohrms/dockets>.

Dated: January 10, 2000.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-987 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 98P-0683]

Agency Information Collection Activities; Announcement of OMB Approval; Record Retention Requirements for the Soy Protein/Coronary Heart Disease Health Claim

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing that a collection of information entitled “Record Retention Requirements for the Soy Protein/CHD Health Claim” has been approved by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995.

FOR FURTHER INFORMATION CONTACT:

Peggy Schlosburg, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-1223.

SUPPLEMENTARY INFORMATION: In the **Federal Register** of October 26, 1999 (64 FR 57700 at 57726), the agency announced that the proposed information collection had been submitted to OMB for review and clearance under 44 U.S.C. 3507. An agency may not conduct or sponsor, and

a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. OMB has now approved the information collection and has assigned OMB control number 0910-0428. The approval expires on December 31, 2002. A copy of the supporting statement for this information collection is available on the Internet at <http://www.fda.gov/ohrms/dockets>.

Dated: January 10, 2000.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-988 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 93N-0260]

Agency Information Collection Activities; Announcement of OMB Approval; Medical Device Recall Authority

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing that a collection of information entitled "Medical Device Recall Authority" has been approved by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995.

FOR FURTHER INFORMATION CONTACT: Peggy Schlosburg, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-1223.

SUPPLEMENTARY INFORMATION: In the **Federal Register** of November 3, 1999 (64 FR 59775), the agency announced that the proposed information collection had been submitted to OMB for review and clearance under 44 U.S.C. 3507. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. OMB has now approved the information collection and has assigned OMB control number 0910-0432. The approval expires on December 31, 2002. A copy of the supporting statement for this information collection is available on the Internet at <http://www.fda.gov/ohrms/dockets>.

Dated: January 10, 1999.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-989 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 99N-2097]

Agency Information Collection Activities; Announcement of OMB Approval; Medical Devices; Humanitarian Use Devices

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing that a collection of information entitled "Medical Devices; Humanitarian Use Devices" has been approved by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995.

FOR FURTHER INFORMATION CONTACT: Peggy Schlosburg, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-1223.

SUPPLEMENTARY INFORMATION: In the **Federal Register** of October 25, 1999 (64 FR 57468), the agency announced that the proposed information collection had been submitted to OMB for review and clearance under 44 U.S.C. 3507. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. OMB has now approved the information collection and has assigned OMB control number 0910-0332. The approval expires on December 31, 2002. A copy of the supporting statement for this information collection is available on the Internet at <http://www.fda.gov/ohrms/dockets>.

Dated: January 10, 1999.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-990 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Food and Drug Administration

[Docket No. 98N-0237]

Agency Information Collection Activities; Announcement of OMB Approval; New Drug and Biological Drug Products; Evidence Needed to Demonstrate Efficacy of New Drugs for Use Against Lethal or Permanently Disabling Toxic Substances When Efficacy Studies in Humans Ethically Cannot Be Conducted

AGENCY: Food and Drug Administration, HHS.

ACTION: Notice.

SUMMARY: The Food and Drug Administration (FDA) is announcing that a collection of information entitled "New Drug and Biological Drug Products; Evidence Needed to Demonstrate Efficacy of New Drugs for Use Against Lethal or Permanently Disabling Toxic Substances When Efficacy Studies in Humans Ethically Cannot Be Conducted" has been approved by the Office of Management and Budget (OMB) under the Paperwork Reduction Act of 1995.

FOR FURTHER INFORMATION CONTACT: JonnaLynn P. Capezzuto, Office of Information Resources Management (HFA-250), Food and Drug Administration, 5600 Fishers Lane, Rockville, MD 20857, 301-827-4659.

SUPPLEMENTARY INFORMATION: In the **Federal Register** of October 5, 1999 (64 FR 53960), the agency announced that the proposed information collection had been submitted to OMB for review and clearance under 44 U.S.C. 3507. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a currently valid OMB control number. OMB has now approved the information collection and has assigned OMB control number 0910-0423. The approval expires on December 31, 2002. A copy of the supporting statement for this information collection is available on the Internet at <http://www.fda.gov/ohrms/dockets>.

Dated: January 10, 1999.

William K. Hubbard,

Senior Associate Commissioner for Policy, Planning, and Legislation.

[FR Doc. 00-991 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-01-F

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Health Resources and Services Administration Advisory Council; Notice of Meeting

In accordance with section 10(a)(2) of the Federal Advisory Committee Act (Public Law 92-463), announcement is made of the following National Advisory body scheduled to meet during the month of February 2000.

Name: Advisory Committee on Infant Mortality (ACIM).

Date and Time: February 24, 2000; 9 a.m.–5 p.m. February 25, 2000; 8:30 a.m.–;3 p.m.

Place: Wyndham City Center Hotel, 1143 New Hampshire Avenue, N.W., Washington, DC 20037, (202) 775-0800.

The meeting is open to the public.

Purpose: The Committee provides advice and recommendations to the Secretary of Health and Human Services on the following: Department programs which are directed at reducing infant mortality and improving the health status of pregnant women and infants; factors affecting the continuum of care with respect to maternal and child health care, including outcomes following childbirth; factors determining the length of hospital stay following childbirth; strategies to coordinate the variety of Federal, State, and local and private programs and efforts that are designed to deal with the health and social problems impacting on infant mortality; and the implementation of the Healthy Start initiative and infant mortality objectives from *Healthy People 2000: National Health Promotion and Disease Prevention Objectives*.

Agenda: Topics that will be discussed include: Early Postpartum Discharge; Low-Birth Weight; Disparities in Infant Mortality; and the Healthy Start Program.

Anyone requiring information regarding the Committee should contact Peter C. van Dyck, M.D., M.P.H., Executive Secretary, Advisory

Committee on Infant Mortality, Health Resources and Services Administration, Room 18-05, Parklawn Building, 5600 Fishers Lane, Rockville, MD 20857, Telephone (301) 443-2170.

Individuals who are interested in attending any portion of the meeting or who have questions regarding the meeting should contact Ms. Kerry P. Nessler, Health Resources and Services Administration, Maternal and Child Health Bureau, Telephone (301) 443-2170.

Agenda items are subject to change as priorities dictate.

Dated: January 10, 2000.

Jane M. Harrison,

Director, Division of Policy Review and Coordination.

[FR Doc. 00-1031 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-15-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

HEALTH RESOURCES AND SERVICES ADMINISTRATION

Advisory Council; Notice of Meeting

In accordance with section 10(a)(2) of the Federal Advisory Committee Act (Public Law 92-463), announcement is made of the following National Advisory body scheduled to meet during the month of February 2000.

Name: National Advisory Council on Migrant Health.

Date and Time: February 10, 2000; 9:00 a.m.–5:00 p.m.; February 11, 2000; 9:00 a.m.–5:00 p.m.

Place: Washington Monarch Hotel, 2401 M Street, N.W., Washington, D.C. 20037, Phone: (202) 429-2400; Fax: (202) 457-5010.

The meeting is open to the public.

Agenda: The agenda includes an overview of general Council business activities and priorities. Topics of discussion will include the H-2 Guestworker Program, the Migrant research agenda, collaboration possibilities with other Migrant health advocates organizations, and the Year 2000 recommendations of the National Advisory Council. In addition, the Council will be

reviewing nominations for Council membership for terms beginning in November 2000.

Anyone requiring information regarding the subject Council should contact Judy Rodgers, Migrant Health Program, staff support to the National Advisory Council on Migrant Health, Bureau of Primary Health Care, Health Resources and Services Administration, 4350 East-West Highway, Bethesda, Maryland 20814, Telephone (301) 594-4304.

Agenda items are subject to change as priorities indicate.

Dated: January 10, 2000.

Jane M. Harrison,

Director, Division of Policy Review and Coordination.

[FR Doc. 00-1032 Filed 1-14-00; 8:45 am]

BILLING CODE 4160-15-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Substance Abuse and Mental Health Services Administration

Fiscal Year (FY) 2000 Funding Opportunities

AGENCY: Substance Abuse and Mental Health Services Administration, HHS.

ACTION: Notice of Funding Availability.

SUMMARY: The Substance Abuse and Mental Health Services Administration (SAMHSA) Center for Substance Abuse Treatment (CSAT) announces the availability of FY 2000 funds for grants for the following activity. This activity is discussed in more detail under Section 3 of this notice. This notice is not a complete description of the activity; potential applicants *must* obtain a copy of the Program Announcement, including Part I, *Programmatic Guidance for Grants to Expand Substance Abuse Treatment Capacity in Targeted Areas of Need*, and Part II, *General Policies and Procedures Applicable to all SAMHSA Applications for Discretionary Grants and Cooperative Agreements*, before preparing an application.

Activity	Application Deadline	Estimated Funds Available, FY 2000	Estimated No. of Awards	Project Period
Targeted Capacity Expansion Program	April 19, 2000; recurring submission dates of September 10, January 10, and May 10 thereafter.	up to \$30,000,000	up to 55-60	up to 3 years

The actual amount available for awards and their allocation may vary, depending on unanticipated program requirements and the number and

quality of applications received. FY 2000 funds for the activity discussed in this announcement were appropriated by the Congress under Public Law No.

106-113. SAMHSA's policies and procedures for peer review and Advisory Council review of grant and cooperative agreement applications

were published in the **Federal Register** (Vol. 58, No. 126) on July 2, 1993.

The Public Health Service (PHS) is committed to achieving the health promotion and disease prevention objectives of Healthy People 2000, a PHS-led national activity for setting priority areas. The SAMHSA Centers' substance abuse and mental health services activities address issues related to Healthy People 2000 objectives of Mental Health and Mental Disorders; Alcohol and Other Drugs; Clinical Preventive Services; HIV Infection; and Surveillance and Data Systems. Potential applicants may obtain a copy of Healthy People 2000 (Full Report: Stock No. 017-001-00474-0) or Summary Report: Stock No. 017-001-00473-1) through the Superintendent of Documents, Government Printing Office, Washington, DC 20402-9325 (Telephone: 202-512-1800).

SAMHSA will publish additional notices of available funding opportunities for FY 2000 in subsequent issues of the **Federal Register**.

Note: A specially targeted HIV Targeted Capacity announcement will be published at a later time.

General Instructions: Applicants must use application form PHS 5161-1 (Rev. 6/99; OMB No. 0920-0428). The application kit contains the two-part application materials (complete programmatic guidance and instructions for preparing and submitting applications), the PHS 5161-1 which includes Standard Form 424 (Face Page), and other documentation and forms. Application kits may be obtained from the organization specified for the activity covered by this notice (see Section 3).

When requesting an application kit, the applicant must specify the particular activity for which detailed information is desired. This is to ensure receipt of all necessary forms and information, including any specific program review and award criteria.

The PHS 5161-1 application form and the full text of the activity described in Section 4 are also available electronically via SAMHSA's World Wide Web Home Page (address: <http://www.samhsa.gov>).

Application Submission: Applications must be submitted to: SAMHSA Programs, Center for Scientific Review, National Institutes of Health, Suite 1040, 6701 Rockledge Drive MSC-7710, Bethesda, Maryland 20892-7710. (Applicants who wish to use express mail or courier service should change the zip code to 20817.)

Application Deadlines: The deadlines for receipt of applications are listed in the table above.

Competing applications must be received by the indicated receipt date to be accepted for review. An application received after the deadline may only be accepted if it carries a legible proof-of-mailing date assigned by the carrier and that date is not later than one week prior to the deadline date. Private metered postmarks are not acceptable as proof of timely mailing.

Applications received after the deadline date are subject to assignment to the next review cycle. Applications sent to an address other than the address specified above will be returned to the applicant without review.

FOR FURTHER INFORMATION CONTACT: Requests for activity-specific technical information should be directed to the program contact person identified for the activity covered by this notice (see Section 3).

Requests for information concerning business management issues should be directed to the grants management contact person identified for the activity covered by this notice (see Section 3).

Programmatic Information

1. Program Background and Objectives

SAMHSA's mission within the Nation's health system is to improve the quality and availability of prevention, early intervention, treatment, and rehabilitation services for substance abuse and mental illnesses, including co-occurring disorders, in order to improve health and reduce illness, death, disability, and cost to society.

Reinventing government, with its emphases on redefining the role of Federal agencies and on improving customer service, has provided SAMHSA with a welcome opportunity to examine carefully its programs and activities. As a result of that process, SAMHSA moved assertively to create a renewed and strategic emphasis on using its resources to generate knowledge about ways to improve the prevention and treatment of substance abuse and mental illness and to work with State and local governments as well as providers, families, and consumers to effectively use that knowledge in everyday practice.

2. Criteria for Review and Funding

2.1 General Review Criteria

Competing applications requesting funding under the specific project activity in Section 3 will be reviewed for technical merit in accordance with established PHS/SAMHSA peer review procedures. Review criteria that will be used by the peer review groups are specified in the application guidance material.

2.2 Award Criteria for Scored Applications

Applications will be considered for funding on the basis of their overall technical merit as determined through the peer review group and the appropriate National Advisory Council review process. Availability of funds will also be an award criteria. Additional award criteria specific to the programmatic activity may be included in the application guidance materials.

3. Special FY 2000 SAMHSA Activities

Grants to Expand Substance Abuse Treatment Capacity in Targeted Areas of Need (Short Title: Targeted Capacity Expansion, number PA 00-001).

- **Application Deadline:** The initial receipt date is April 26, 2000. Thereafter, applications will be received three times per year, on September 10, January 10, and May 10.

- **Purpose:** The Substance Abuse and Mental Health Services Administration's (SAMHSA) Center for Substance Abuse Treatment (CSAT) announces the availability of funds for grants to expand substance abuse treatment capacity in targeted areas for a targeted response to treatment capacity problems and/or emerging trends. This program is designed to address gaps in treatment capacity by supporting rapid and strategic responses to demands for substance abuse (including alcohol and drug) treatment services in communities with serious, emerging drug problems as well as communities with innovative solutions to unmet needs. This Program Announcement (PA) is a reissuance (with revisions) of a prior Guidance for Applicants (GFA) by the same title, "Targeted Capacity Expansion," GFA No. TI 99-002.

- **Eligible Applicants:** Only units of local (cities, towns, counties) governments and Indian Tribes and tribal organizations (as defined in the Indian Self-Determination Act—25 U.S.C., section 450b) are eligible to apply. States receive substantial funding for substance abuse treatment services via the Substance Abuse Prevention and Treatment (SAPT) Block Grant. SAMHSA/CSAT is trying to target specific local needs that address national treatment priorities. Eligibility is restricted to local governmental entities. It is required, however, that applicants coordinate with their Single State Agency (SSA) for Alcohol and Drug Abuse. While SAMHSA recognizes the role of State governments in addressing substance abuse issues, eligibility is being limited in recognition of the primacy of local governments'

responsibility for and interest in providing for the needs of their citizens, and because the success of the program will depend upon their authority and ability to broadly coordinate a variety of resources.

- Amount: Up to \$30.0 million will be available to support awards under this program in FY 2000. Of this amount, approximately \$22.1 million is available for general program applications from units of local government or Indian Tribes and tribal organizations. As specified in Congressional report language, up to \$1.5 million is reserved for the Anchorage Southcentral Foundation; up to \$1.5 million is reserved for the Yukon-Kuskokwim Health Corporation in Bethel, Alaska; up to \$235,000 is reserved for the San Francisco Treatment on Demand Project; up to \$200,000 is reserved for Center Point/Marin County Project; and up to \$4.4 million is reserved for residential Pregnant and Post-Partum Women projects.

All applications requesting FY 2000 funding under the Targeted Capacity Expansion Program will be considered for funding on the basis of their overall technical merit as determined through the initial peer review and CSAT's National Advisory Council review processes. In addition to the criteria listed in the "Award Decision Criteria" section of the PA, special funding consideration is being given in FY 2000 to scored applications from units of local government that propose to work with community-based indigenous racial/ethnic providers because SAMHSA/CSAT experience and research have shown that cultural competency and an understanding of the client community increase access, retention, and positive treatment outcomes. SAMHSA/CSAT is committed to expanding the community's capacity to provide high-quality, comprehensive treatment services.

Period of Support: Support may be requested for a period of up to three (3) years.

- *Catalog of Federal Domestic Assistance Number:* 93.230.

- Program Contact: For questions concerning program issues, contact: Clifton Mitchell, Branch Chief, Treatment Systems Improvement Branch /Division of Practice and Systems Development, Center for Substance Abuse Treatment, Substance Abuse and Mental Health Services Administration, Rockwall II, Suite 740, 5600 Fishers Lane, Rockville, MD 20857; (301) 443-8404.

For questions regarding grants management issues, contact: Peggy Jones, Grants Management Officer, Division of Grants Management, OPS, Substance Abuse and Mental Health Services Administration, Rockwall II, 6th Floor, 5600 Fishers Lane, Rockville, Maryland 20857; (301) 443-9666.

- Application kits are available from: National Clearinghouse for Alcohol and Drug Information (NCADI), P.O. Box 2345, Rockville, MD 20857-2345, Telephone: 1-800-729-6686.

4. Public Health System Reporting Requirements

The Public Health System Impact Statement (PHSIS) is intended to keep State and local health officials apprised of proposed health services grant and cooperative agreement applications submitted by community-based nongovernmental organizations within their jurisdictions.

Community-based nongovernmental service providers who are not transmitting their applications through the State must submit a PHSIS to the head(s) of the appropriate State and local health agencies in the area(s) to be affected not later than the pertinent receipt date for applications. This PHSIS consists of the following information:

- a. A copy of the face page of the application (Standard form 424).
- b. A summary of the project (PHSIS), not to exceed one page, which provides:

- (1) A description of the population to be served.
- (2) A summary of the services to be provided.
- (3) A description of the coordination planned with the appropriate State or local health agencies.

State and local governments and Indian Tribal Authority applicants are not subject to the Public Health System Reporting Requirements.

Application guidance materials will specify if a particular FY 2000 activity is subject to the Public Health System Reporting Requirements.

5. PHS Non-use of Tobacco Policy Statement

The PHS strongly encourages all grant and contract recipients to provide a smoke-free workplace and promote the non-use of all tobacco products. In addition, Public Law 103-227, the Pro-Children Act of 1994, prohibits smoking in certain facilities (or in some cases, any portion of a facility) in which regular or routine education, library, day care, health care, or early childhood development services are provided to children. This is consistent with the PHS mission to protect and advance the

physical and mental health of the American people.

6. Executive Order 12372

Applications submitted in response to the FY 2000 activity listed above are subject to the intergovernmental review requirements of Executive Order 12372, as implemented through DHHS regulations at 45 CFR Part 100. E.O. 12372 sets up a system for State and local government review of applications for Federal financial assistance. Applicants (other than Federally recognized Indian tribal governments) should contact the State's Single Point of Contact (SPOC) as early as possible to alert them to the prospective application(s) and to receive any necessary instructions on the State's review process. For proposed projects serving more than one State, the applicant is advised to contact the SPOC of each affected State. A current listing of SPOCs is included in the application guidance materials. The SPOC should send any State review process recommendations directly to: Division of Extramural Activities, Policy, and Review, Substance Abuse and Mental Health Services Administration, Parklawn Building, Room 17-89, 5600 Fishers Lane, Rockville, Maryland 20857.

The due date for State review process recommendations is no later than 60 days after the specified deadline date for the receipt of applications. SAMHSA does not guarantee to accommodate or explain SPOC comments that are received after the 60-day cut-off.

Dated: January 13, 2000.

Richard Kopanda,
Executive Officer, SAMHSA.

[FR Doc. 00-1208 Filed 1-13-00; 2:54 pm]

BILLING CODE 4162-20-P

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Substance Abuse and Mental Health Services Administration

Center for Mental Health Services; Notice of Meeting

Pursuant to Public Law 92-463, notice is hereby given of the meeting of the Center for Mental Health Services (CMHS) National Advisory Council in January 2000.

All of this meeting will be open and will include a roll call, general announcements and a discussion of the mental health systems in Australia and New Zealand, school violence prevention program activities, consumer affairs, and *Mental Health: A Report of*

the Surgeon General. Public comments are welcome. Please communicate with the individual listed as contact below for guidance. If anyone needs special accommodations for persons with disabilities please notify the contact listed below.

A summary of the meeting and a roster of Council members may be obtained from Ms. Patricia Gratton, Committee Management Officer, CMHS, Room 11C-26, Parklawn Building, Rockville, Maryland 20857, telephone (301) 443-7987.

Committee Name: CMHS National Advisory Council.

Meeting Dates: January 20-21, 2000.

Place(s): The DoubleTree Hotel (1/20/2000), 1750 Rockville Pike, Rockville, Maryland 20852.

Hilton Washington and Towers (1/21/2000), 1919 Connecticut Avenue, N.W., Washington, D.C. 20009.

Open: January 20, 9:00 a.m.-4:30 p.m.

Open: January 21, 9:00 a.m.-

Adjournment.

Contact: Eileen S. Pensinger, Room 17C-27, Parklawn Building, Telephone: (301) 443-4823 and FAX (301) 443-4865.

Dated: January 11, 2000.

S.E. Stephens,

Acting Committee Management Officer, Substance Abuse and Mental Health, Services Administration.

[FR Doc. 00-1033 Filed 1-14-00; 8:45 am]

BILLING CODE 4162-20-U

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Substance Abuse and Mental Health Services Administration

Center for Substance Abuse Treatment; Notice of Meeting

Pursuant to Public Law 92-463, notice is hereby given of a meeting of the Center for Substance Abuse Treatment (CSAT) National Advisory Council to be held in February 2000. A portion of the meeting will be open and include discussion of the Center's policy issues and current administrative, legislative, and program developments. The Council will hear feature presentations by SAMHSA Administrator Nelba Chavez, CSAT Director H. Westley Clark, and Alan Leshner, Director of the National Institute on Drug Abuse. There will also be presentations on the National Treatment Plan, collaborations between researchers and practice, updates on buprenorphine and methadone, costs of treatment, cultural competency activities and alcohol in tribal communities.

If anyone needs special accommodations for persons with disabilities, please notify the Contact listed below.

The meeting will also include the review, discussion, and evaluation of grant applications. Therefore, a portion of the meeting will be closed to the public as determined by the SAMHSA Administrator, in accordance with Title 5 U.S.C. 552b(c)(3), (4), and (6) and 5 U.S.C. App. 2, section 10(d).

A summary of the meeting and roster of council members may be obtained from: Mrs. Marjorie Cashion, CSAT, National Advisory Council, Rockwall II Building, Suite 619, 5600 Fishers Lane, Rockville, Maryland 20857, Telephone: (301) 443-8923.

Substantive program information may be obtained from the contact whose name and telephone number is listed below.

Committee Name: Center for Substance Abuse Treatment National Advisory Council.

Meeting Date: February 1, 2000—9:00 a.m.—5:00 p.m.; February 2, 2000—9:00 a.m.—2:00 p.m.

Place: Natcher Building, National Institutes of Health, Bethesda, Maryland 20892.

Type: Closed: February 1, 2000—9:00 a.m.—9:30 a.m., Open: February 1, 2000—9:30 a.m.—5:00 p.m. February 2, 2000—9:00 a.m.—2:00 p.m.

Contact: Marjorie M. Cashion, Executive Secretary, Telephone: (301) 443-5050, and FAX: (301) 480-6077.

Dated: January 11, 2000.

Sandi Stephens,

Acting Committee Management Officer, Substance Abuse and Mental Health Services Administration.

[FR Doc. 00-1034 Filed 1-14-00; 8:45 am]

BILLING CODE 4162-20-U

DEPARTMENT OF THE INTERIOR

Geological Survey

Earth Observing System (EOS) Land Processes Distributed Active Archive Center (DAAC) Science Advisory Panel Meeting

AGENCY: Geological Survey, Interior.

ACTION: Notice of meeting.

SUMMARY: Pursuant to Public Law 92-463, the EOS Land Processes DAAC will host a meeting of its Science Advisory Panel at the U.S. Geological Survey EROS Data Center near Sioux Falls, South Dakota. The Panel, comprised of scientists from academic and government institutions, will provide the management of the DAAC with

advice and consultation on a broad range of scientific and technical topics relevant to the development and operation of DAAC systems and capabilities.

Topics to be reviewed and discussed by the Panel include: DAAC status reports on FY 1999 activities and plans for FY 2000 activities; Panel review of and recommendations on FY 2000 proposed activities; review of Landsat 7 and Terra mission status; discussions leading to recommendations on the DAAC's Operations, Engineering, Science, and User Services support programs; support Science and Instrument Team data product Quality Assurance activities; and plans to support EOS Land Product Validation efforts.

DATES: February 1-3, 2000, commencing at 8:30 am on February 1 and adjourning at 12:00 pm on February 3.

FOR FURTHER INFORMATION CONTACT: Mr. John Dwyer, EDC DAAC Project Scientist, EROS Data Center, Sioux Falls, South Dakota 57198 at (605) 594-6060.

SUPPLEMENTARY INFORMATION: Meetings of the EDC DAAC Science Advisory Panel are open to the public.

Dated: January 10, 2000.

Richard E. Witmer,
Chief Geographer.

[FR Doc. 00-1023 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-Y7-M

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ID-070-1020-XQ]

Upper Snake River District Resource Advisory Council Meeting

AGENCY: Bureau of Land Management, Interior.

ACTION: Resource Advisory Council meeting locations and times.

SUMMARY: In accordance with the Federal Land Policy and Management Act and the Federal Advisory Committee Act of 1972 (FACA), 5 U.S.C., the Department of the Interior, Bureau of Land Management (BLM) council meeting of the Upper Snake River District Resource Advisory Council (RAC) will be held as indicated below. The agenda for this two-day meeting will include a training session for members on the first day, and discussions on Standards and Guides Monitoring and Phosphate Leasing on the second day. All meetings are open to the public. The public may present written or oral comments to the council.

Each formal council meeting will have a time allocated for hearing public comments. The public comment period for the council meetings is listed below. Depending on the number of persons wishing to comment, and the time available, the time for individual oral comments may be limited. Individuals who plan to attend and need further information about the meetings, or need special assistance such as sign language interpretation or other reasonable accommodations should contact David Howell at the Upper Snake River District Office, 1405 Hollipark Dr., Idaho Falls, ID 83401, or telephone (208) 524-7559.

DATES AND TIMES: The next meeting will be held February 24-25, 2000 at the Best Western Hotel, 800 North Overland Avenue in Burley, Idaho. The meeting will start at 1 p.m. on February 24 for the RAC Training Session. The meeting will continue on February 25 at 8:30 a.m., with public comments scheduled from 8:40-9:10 a.m.

FOR FURTHER INFORMATION CONTACT: David Howell, Upper Snake River District, 1405 Hollipark Dr., Idaho Falls, ID 83401, (208) 524-7559.

SUPPLEMENTARY INFORMATION: The purpose of the Resource Advisory Council is to advise the Secretary of the Interior, through the BLM, on a variety of planning and management issues associated with the management of the of the public lands.

Dated: January 5, 2000.

James E. May,
District Manager.

[FR Doc. 00-1105 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GG-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50580, Group 547, Minnesota

Notice of Filing of Plat of Three Islands; MN

1. The plat of the survey of three islands in Five Lake, Township 139 North, Range 40 West, Fifth Principal Meridian, Minnesota, accepted January 6, 2000, will be officially filed in Eastern States, Springfield, Virginia at 7:30 a.m., on February 22, 2000. The tracts shown below describe the islands omitted from the original survey.

Fifth Principal Meridian, Minnesota

T. 139 N. R. 40 W.

Tract Nos. 37, 38 and 39.

2. Tract No. 37 is firm land rising 2 ft. above the ordinary high water mark.

The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. The presence of numerous granite stones, several approaching 2½ ft. in diameter were located along the northerly shore of the island. Tree species consist of basswood, birch, oak and pine, ranging in size from 3 to 12 inches in diameter, with a maximum age of 100+ years. The ground cover consists of alder and willow, along with native grasses.

Tract No. 38 is firm land rising 10 to 12 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Numerous granite stones, several approaching 2 ft. in diameter were located throughout the island and along the westerly and southerly shore of the island. Tree species consist of ash, basswood, birch, oak, spruce and pine, ranging in size from 4 to 20 inches in diameter. Several oaks and pines located near the center of the island were measured and found to be 15 to 20 inches in diameter, with a maximum age of 150+ years. The ground cover consists of alder, hazel and willow, along with native grasses.

Tract No. 39 is firm land rising 15 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Tree species consist of ash, aspen, basswood, birch and oak, ranging in size from 6 to 20 inches in diameter, with a maximum age of 150+ years. The ground cover consists of alder, hazel and willow, along with a few native grasses along the southerly shore of the island.

3. The present water level of the lake compares favorably with that of the original meander line; therefore, the elevation and upland character these islands along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1871 did not note the presence of these islands.

4. These islands are more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, these islands are held to be public land.

5. The survey was requested by the Assistant Field Manager, Division of Natural Resource Management, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota Public Lands Improvement Act of 1990, P.L. 101-442 (104 Stat. 1020).

6. Except for valid existing rights, these islands will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that these islands are public land of the United States, must present valid proof showing that the island in question did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000.

Stephen G. Kopach,
Chief Cadastral Surveyor.

[FR Doc. 00-1111 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50583, Group 547, Minnesota

Notice of Filing of Plat of an Island; Minnesota

1. The plat of the survey of an island in Island Lake, Township 47 North, Range 29 West, Fourth Principal Meridian, Minnesota, accepted on January 6, 2000, will be officially filed in Eastern States, Springfield, Virginia at 7:30 a.m., on February 22, 2000. The tract shown below describes the island omitted from the original survey.

Fourth Principal Meridian, Minnesota

T. 47 N. R. 29 W.

Tract No. 37.

2. Tract No. 37 is firm land rising 10 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Numerous stones were located along the southerly face of a small ridge which extends East and West along the center of the island. Tree species consist of basswood, birch, oak and pine, ranging in size from 3 to 18 inches in diameter, with a maximum age of 100+ years. The ground cover consists of alder, willow and native grasses on the southerly, easterly and westerly shore line.

3. The present water level of the lake compares favorably with that of the original meander line; therefore, the elevation and upland character of the island along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1872 did not note the presence of this island.

4. Tract No. 37 is more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, the island is held to be public land.

5. The survey was requested by the Assistant Field Manager, Division of Natural Resource Management, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota Public Lands Improvement Act of 1990, P.L. 101-442 (104 Stat. 1020).

6. Except for valid existing rights, this island will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that these islands are public land of the United States, must present valid proof showing that the island in question did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000

Stephen G. Kopach,
Chief Cadastral Surveyor.

[FR Doc. 00-111 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50581, Group 547, Minnesota

Notice of Filing of Plat of an Island; Minnesota

1. The plat of the survey of an island in Seretha Lake, Township 152 North, Range 27 West, Fifth Principal Meridian, Minnesota, accepted on January 6, 2000, will be officially filed

in Eastern States, Springfield, Virginia at 7:30 a.m., on February 22, 2000. The tract shown below describe the island omitted from the original survey.

Fifth Principal Meridian, Minnesota

T. 152 N. R. 27 W.

Tract No. 37.

2. Tract No. 37 is firm land rising 15 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Tree species consist of birch, cedar, fir and spruce, ranging in size from 3 to 20 inches in diameter. A White Birch, 20 inches in diameter, located near the center of the island was approximately 90+ years of age. The ground cover consists of alder, hazel, willow and native grasses on the southerly and easterly shore line.

3. The present water level of the lake compares favorably with that of the original meander line; therefore, the elevation and upland character of the island along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1896 did not note the presence of this island.

4. Tract No. 37 is more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, the island is held to be public land.

5. The survey was requested by the Assistant Field Manager, Division of Natural Resource Management, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota Public Lands Improvement Act of 1990, P.L. 101-442 (104 Stat. 1020).

6. Except for valid existing rights, this island will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that these islands are public land of the United States, must present valid proof showing that the island in question did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000.

Stephen G. Kopach,

Chief Cadastral Surveyor.

[FR Doc. 00-113 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50579, Group 547, Minnesota

Notice of Filing of Plat of an Island; Minnesota

1. The plat of the survey of an island in Jefferson Lake, Township 109 North, Range 24 West, Fifth Principal Meridian, Minnesota, accepted on January 6, 2000, will be officially filed in Eastern States, Springfield, Virginia at 7:30 a.m., on February 22, 2000. The tract shown below describes the island omitted from the original survey.

Fifth Principal Meridian, Minnesota

T. 109 N. R. 24 W.

Tract No. 37.

2. Tract No. 37 is firm land rising 8-10 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Numerous small stones were located along the northerly and westerly sandy shore line of the island. Tree species consist of ash, basswood, cedar, elm, and oak, ranging in size from 8 to 20 inches in diameter, with a maximum age of 120+ years. The ground cover consists of hazel, willow and native grasses on the southerly and easterly shore line.

3. The present water level of the lake compares favorably with that of the original meander line; therefore, the elevation and upland character of the island along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1855 did not note the presence of this island.

4. Tract No. 37 is more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, the island is held to be public land.

5. The survey was requested by the Assistant Field Manager, Division of Natural Resource Management, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota

Public Lands Improvement Act of 1990, P.L. 101-442 (104 Stat. 1020).

6. Except for valid existing rights, this island will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that these islands are public land of the United States, must present valid proof showing that the island in question did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000.

Stephen G. Kopach,

Chief Cadastral Surveyor.

[FR Doc. 00-1114 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50582, Group 547, Minnesota

Notice of filing of plat of an island; Minnesota

1. The plat of the survey of an island in Cedar Lake, Township 117 North, Range 30 West, Fifth Principal Meridian, Minnesota, accepted on January 6, 2000, will be officially filed in Eastern States, Springfield, Virginia at 7:30 a.m., on February 22, 2000. The tract shown below describes the island omitted from the original survey.

Fifth Principal Meridian, Minnesota

T. 117 N. R. 30 W.

Tract No. 42.

2. Tract No. 42 is firm land rising 10-15 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Numerous stones were located along the northerly and westerly shore line and at the highest points of the island. Tree species consist of ash, basswood, cedar, cottonwood, elm, oak and willow, ranging in size from 3 to 20 inches in diameter, with a maximum age of 120+ years. The ground cover consists of hazel, willow, cattails and native grasses along the southerly shore line.

3. The present water level of the lake compares favorably with that of the lake

at the time of the original survey; therefore, the elevation and upland character of the island along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1857 did not note the presence of this island.

4. Tract No. 42 is more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, the island is held to be public land.

5. The survey was requested by the Assistant Field Manager, Division of Natural Resource Management, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota Public Lands Improvement Act of 1990, Public Law 101-442 (104 Stat. 1020).

6. Except for valid existing rights, this island will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that these islands are public land of the United States, must present valid proof showing that the island in question did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000.

Stephen G. Kopach,

Chief Cadastral Surveyor.

[FR Doc. 00-1115 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[ES-030-1430-00] ES-50578, Group 545, Minnesota]

Notice of Filing of Plat of an Island; Minnesota

1. The plat of the survey of an island in Fox Lake, Township 59 North, Range 25 West, Fourth Principal Meridian, Minnesota, accepted on January 6, 2000, will be officially filed in Eastern States, Springfield, Virginia at 7:30 a.m., on

February 22, 2000. The tract shown below describes the island omitted from the original survey.

Fourth Principal Meridian, Minnesota

T. 59 N. R. 25 W.

Tract No. 37

2. Tract No. 37 is firm land rising 3-5 ft. above the ordinary high water mark. The soil has evolved from glacial till parent material and is similar to the soil found on the adjacent uplands. Numerous stones were located along the northerly and easterly shore of the island. Tree species consist of birch, cedar, fir and spruce, ranging in size from 3 to 15 inches in diameter, with a maximum age of 80+ years. The ground cover consists of alder, hazel, willow and native grasses on the southerly and westerly shore line.

Structures located on the island consist of an old log cabin, 14½ × 21½ feet, longside bears S. 68° W., a privy, an old well and a power pole with line bearing S. 19 E., to the adjacent upland.

3. The present water level of the lake compares favorably with that of the original meander line; therefore, the elevation and upland character of the island along with the depth and width of the lake between the adjacent upland and the island are considered evidence that the island did exist in 1858, the year Minnesota was admitted to the Union. The original survey in 1875 did not note the presence of this island.

4. Tract No. 37 is more than 50 percent upland in character within the interpretation of the Swamp and Overflow Act of September 28, 1850 (9 Stat. 519) as extended to the State of Minnesota under the Act of March 12, 1860 (12 Stat. 3). Therefore, the island is held to be public land.

5. The survey was requested by Edwin A. and Sheryl I. Olson, under the authority of Section 211 of FLPMA (43 U.S.C. 1721) and the Minnesota Public Lands Improvement Act of 1990, P.L. 101-442 (104 Stat. 1020).

6. Except for valid existing rights, this island will not be subject to application, petition, location or selection under any public law until February 22, 2000.

7. Interested parties protesting the determination that this island is public land of the United States, must present valid proof showing that the island did not exist at the time of statehood or that it was attached to the mainland at the time of the original survey. Such protests must be submitted in writing to the Chief Cadastral Surveyor, Eastern States, Bureau of Land Management, 7450 Boston Boulevard, Springfield, Virginia 22153, prior to 7:30 a.m., February 22, 2000.

Copies of the plat will be made available upon request and prepayment of the appropriate fee.

Dated: January 6, 2000.

Stephen G. Kopach,
Chief Cadastral Surveyor.

[FR Doc. 00-1116 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-GJ-P

DEPARTMENT OF THE INTERIOR

National Park Service

Homestead National Monument of America

AGENCY: National Park Service, Interior.

ACTION: Record of Decision, General Management Plan and Environmental Impact Statement, Homestead National Monument of America, Nebraska.

SUMMARY: Pursuant to section 102(2)(c) of the National Environmental Policy Act of 1969, as amended, and the regulations promulgated by the Council on Environmental Quality (40 CFR 1505.2), the Department of the Interior, National Park Service, has prepared a Record of Decision on the Final General Management Plan and Final Environmental Impact Statement for the Homestead National Monument of America in Gage County, Nebraska.

DATES: The Acting Regional Director, Midwest Region approved the Record of Decision, on December 22, 1999.

FOR FURTHER INFORMATION CONTACT: Superintendent, Homestead National Monument of America, 8523 W. State Highway 4, Beatrice, Nebraska 68310-6743, telephone 402-223-3514.

SUPPLEMENTARY INFORMATION:

Introduction

The National Park Service has prepared the Final General Management Plan/Abbreviated Final Environmental Impact Statement (FGMP/AFEIS) for Homestead National Monument of America, Nebraska. The FGMP/AFEIS proposes management direction for the park for the next 10-20 years and documents the anticipated effects of the selected action and other alternatives on the human environment, including natural and cultural resources. This Record of Decision is a concise statement of the decisions made, other alternatives considered, the basis for the decision, the environmentally preferable alternative, and the mitigating measures developed to avoid or minimize environmental harm.

Decision

After careful consideration of environmental impacts, costs, and

comments from the public, agencies, and technical evaluations, the National Park Service recommends for implementation the selected action evaluated in the Final General Management Plan/Environmental Impact Statement.

Summary of the Selected Action

The goal of the selected alternative, which was identified as Alternative C, Option 1 in the Final Environmental Impact Statement, is to significantly change the physical arrangement of facilities and operational functions of the monument. The alternative represents a comprehensive alteration to the monument's current operational form and to visitor orientation in order to fulfill the legislative requirements of the monument. With this selected action, the key monument facilities will be relocated to a location outside of the existing 100-year frequency flood hazard zone. A minor boundary expansion will be pursued to acquire land outside existing boundaries that would be necessary for the facilities. Management zones will provide guidance for managing specific areas for desired visitor experience and resource conditions (see p. 32 of the FGMP).

The selected action calls for the creation of a new "Homestead Heritage Center" to house the monument's collections, interpretive exhibits, theatre, public research facilities, and administrative offices. This new "Homestead Heritage Center" will be located on the eastern side of the monument.

The "Homestead Heritage Center" will require a separate research facility within the building to act as a repository for the monument's homestead records and other items of homesteading literature, as required by the monument's enabling legislation. In addition, the center will have a parking lot designed to accommodate 50 cars and 10 buses or campers.

The selected action also calls for the existing visitor center/museum to be modified and adaptively reused as an "Education Center". This center will serve as a location where students of all ages could engage in learning more about the homestead story. A "School of Traditional Homesteading Folk Arts" program will be established to give the public an opportunity to learn old homesteading folk crafts. In addition to a range of educational activities that will take place in this center, special events and interpretive programs will also be conducted here. Distance learning technology will also connect the center to schools near and far. The areas to the back of the present facility

will be used to house maintenance functions. The remaining offices will be used by visiting instructors or modified to serve as classrooms. The exhibits presently in use will be removed and that area converted to classrooms. The existing parking lot appears to be suitable to meet the foreseeable needs of this facility.

In addition, the management prescriptions contained within the selected action will seek to promote the establishment of a "Homestead Heritage Parkway". This parkway concept is proposed to form an interpretive linkage between the monument, including the Freeman School, and the surrounding rural countryside and communities to highlight today's visible and tangible results of implementation of the Homestead Act. The principal interpretive and educational theme of the parkway will be agriculture. With comparisons made to modern farm operations. These stories will be communicated through the use of signs and traveler information radio broadcasts.

The creation of this parkway as one of the monument's interpretive tools will depend on voluntary partnerships with the local governments and landowners along the identified highway segment. It is important to note that the NPS is not recommending a formal federal designation for this parkway. The concept of the "Homestead Heritage Parkway" presumes the rerouting of a segment of State Highway 4 outside the monument's boundary. After this realignment has occurred, the abandoned segment of State Highway 4 will become an access road for the monument and for local residents. Existing truck and commuter traffic will be rerouted on a comparable replacement segment of State Highway 4 nearby. The "Homestead Heritage Parkway" will begin where the access road (the abandoned segment of State Highway 4) enters the eastern boundary of the monument and extend to the Freeman School. The NPS envisions the eventual and voluntary extension of the "Homestead Heritage Parkway" concept from the Freeman School west along the access road to where it rejoins State Highway 4. The NPS also endorses the parkway's extension to the east from the monument to the City of Beatrice (meeting at the junction of State Highways 136 and 4 in West Beatrice), however the NPS is not recommending any change to the currently designated speed limit for that segment. It is possible that a public biking and/or hiking path could be connected to the monument.

Other Alternatives Considered

Alternative A is the no-action, or status quo, alternative. This alternative would have restricted the monument in achieving its mission; however, it does provide a baseline for comparison of the other alternatives. This alternative called for the continuation of current levels and patterns of National Park Service stewardship and management with regard to natural, historic, and cultural resources at the monument.

Each of the following action alternatives were designed to achieve all desired futures for the monument, including those related to natural, historic, and cultural resources enhancement and protection, and visitor experiences. The principle difference between alternatives is the location of the primary monument facilities.

Alternative B prescribed certain alterations to the existing pattern of facilities, stewardship, and management. The monument's natural, historic, and cultural resources would have remained generally as they are now. The existing monument facilities would have remained in their present locations but would have been flood-proofed to withstand a 100-year flood event.

Like the selected action Alternative C, Option 1, Alternative C, Option 2 proposed significant changes to the physical arrangement and operational functions of the monument. This alternative also represented comprehensive alterations to the homestead resources. The alternative also would have fulfilled the legislative requirements of the monument. Alternative C, Option 2 would have significantly changed the location of key monument facilities to a location outside the existing 100-year frequency flood hazard zone but within the existing monument boundary. It also proposed the creation of a new "Homestead Heritage Center" to house the monument's collections, interpretive displays, public research facilities, and administrative offices. The existing visitor center would have been adaptively reused as an "Education Center" for special events, programs, and educational opportunities. In addition, it proposed to form a linkage between the monument and the surrounding countryside and communities through the establishment of an approximately six mile "Homestead Heritage Parkway" which would highlight today's visible results of implementation of the Homestead Act.

Environmentally Preferable Alternative

The environmentally preferable alternative is defined as "the alternative or alternatives that will promote the national environmental policy as expressed in section 101 of the National Environmental Policy Act. Ordinarily, this means the alternative that causes least damage to the biological and physical environment; it also means the alternative that best protects, preserves, and enhances historic, cultural, and natural resources" ("Forty Most Asked Questions Concerning Council on Environmental Quality's (CEQ) National Environmental Policy Act Regulations," 1981).

The environmentally preferable alternative is the selected action, Alternative C, Option 1. This alternative best meets the full range of national environmental policy goals as stated in NEPA's section 101. The selected action (1) maximizes protection of natural and cultural resources while maintaining a wide range of neutral and beneficial uses of the environment without degradation; (2) maintains an environment that supports diversity and variety of individual choice; (3) achieves a balance between human population and resource use; and (4) improves resource sustainability.

The selected action removes the monument's threatened existing visitor center complex, with its associated resources, exhibits, and operational facilities, from its location within the 100-year floodplain of nearby Cub Creek. The removal of these resources and functions to a different yet nearby location also minimizes existing safety and resource concerns associated with the state highway crossing the monument. In addition, the selected action best minimizes impacts to and developmental incursions into the monument's natural resources (principally, its reconstructed tallgrass prairie) and minimizes impacts to and developmental incursions into the monument's cultural resources in the form of its historic original 1862 homestead tract. It also maximizes public and visitor safety by prescribing the relocation of a segment of the existing state highway to an alignment outside monument boundaries. This action will significantly reduce the volume and mix of traffic on State Highway 4, will improve the qualities of visitor safety and experience, and will result in a reduced physical intrusion into the monument's boundary.

Measures To Minimize Harm

All practicable measures to avoid or minimize environmental impacts that

could result from implementation of the selected action have been identified and incorporated into the selected action. They are presented in detail in the FGMP/AFEIS. However, due to the programmatic nature of the general management plan, specific implementation projects will be reviewed as necessary for compliance with the National Environmental Policy Act, National Historic Preservation Act, and other applicable federal and state laws and regulations prior to project clearance and implementation. Specific measures to minimize environmental harm also will be included in implementation plans called for by the FGMP/AFEIS. These plans include, but are not limited to, resource management plans, land protection plans, historic structure reports, and schematic design documents.

Basis for Decision

The selected alternative best supports the park's purpose and significance, and accomplishes the statutory mission of the National Park Service to provide long-term protection of park resources while allowing for appropriate levels of visitor use and means of visitor enjoyment. The selected alternative also does the best job of addressing issues identified during public scoping while minimizing environmental harm. Other factors considered in the decision were public and resource benefits gained for the cost incurred and extensive public comment.

Public Involvement

The NPS has taken a comprehensive approach to public involvement during the development of this GMP. To date, the NPS has issued two newsletters for the general public and conducted a series of public meetings. The NPS has consulted with state and local government officials, including the State Historic Preservation Office. American Indian groups with affiliations to the monument have received the newsletters and a copy of the draft plan for comment.

Newsletter No. 1 was mailed in December 1997. Newsletter No. 2 was distributed in March 1998. Nearly 600 newsletters were in each mailing. The series of public meetings were conducted in January 1998. Two meetings were held in Beatrice, Nebraska, near the monument and one in Lincoln, Nebraska, 40 miles away. Over 20 people attended the three meetings. In April 1998, an "open house," was held at the Monument. Twenty-five individuals, park neighbors, government officials, and community members attended this

"open house". All public meetings received coverage by local and regional media sources. Monument neighbors have been involved throughout the process.

The GMP planning team contacted the Pawnee Tribe of Oklahoma in an attempt to identify tribal concerns relative to this GMP/EIS. In addition, comments were sought through extensive mailings of newsletters and media coverage. No response was received from the tribe. Because of the Pawnee's long-standing cultural affiliation with this area of Nebraska, the NPS will continue to keep the tribe informed of important stages of this planning process and of plans to implement the preferred alternative throughout the GMP planning process.

Over 600 news letters announcing the Draft General Management Plan and Environmental Impact Statement for Homestead National Monument of America were mailed May 4, 1999. More than 200 copies of the full draft document were distributed to agencies, organizations and individuals. The document was also made available to the general public at the Beatrice Public Library and at Homestead National Monument of America. The National Park Service conducted two public meetings in May 1999, one meeting was held at the Beatrice Public Library May 25 while the second meeting was held at the Charles H. Gere Library in Lincoln, Nebraska May 26. An additional public open house was held June 29, 1999 at Homestead National Monument of America to discuss the Draft General Management Plan/Environmental Impact Statement.

The Beatrice public meeting had 43 people in attendance; 14 people attended the Lincoln public meeting. One person attended the meeting held in June, at Homestead National Monument of America.

A 60-day review period (May 4, 1999 through July 10, 1999) was designated for receiving comments on the draft plan and EIS. Fifteen written comments were received. At the end of the review period, the comments were reviewed and substantive comments were identified. The Final General Management Plan (FGMP) and an Abbreviated Final Environmental Impact Statement (AFEIS) were made available to the public on November 21, 1999. The 30-day no action period required by NEPA regulations commenced on that date.

Approximately 39 copies of the FGMP/AFEIS were distributed to agencies, local governments, organizations, persons who commented on the draft GMP, and others who requested the

document. The FGMP/AFEIS contains a complete summary of the public involvement process and substantive comments received.

Conclusion

A notice of availability for the FGMP/AFEIS was published by the Environmental Protection Agency in the **Federal Register** on November 6, 1998. The 30-day no-action period ended on December 20, 1999. No public comments were received during the no action period.

The above factors and considerations justify the selection of the final plan, as described as Alternative C, Option 1, in the Final Environmental Impact Statement. The Final General Management Plan is hereby approved.

Dated: December 22, 1999.

Catherine A. Damon,

Acting Regional Director.

[FR Doc. 00-999 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-70-P

DEPARTMENT OF THE INTERIOR

National Park Service

Acadia National Park Bar Harbor, Maine; Acadia National Park Advisory Commission; Notice of Meeting

Notice is hereby given in accordance with the Federal Advisory Committee Act (Public Law 92-463, 86 Stat. 770, 5 U.S.C. App. 1, Sec. 10), that the Acadia National Park Advisory Commission will hold a meeting on Monday, February 7, 2000.

The Commission was established pursuant to Public Law 99-420, Sec. 103. The purpose of the commission is to consult with the Secretary of the Interior, or his designee, on matters relating to the management and development of the park, including but not limited to the acquisition of lands and interests in lands (including conservation easements on islands) and termination of rights of use and occupancy.

The meeting will convene at park Headquarters, McFarland Hill, Bar Harbor, Maine, at 1:00PM to consider the following agenda:

1. Review and approval of minutes from the meeting held September 13, 1999
2. Committee reports
 - Land Conservation
 - Park Use
 - Science
3. Old business
4. Superintendent's report
5. Public comments
6. Proposed agenda for next Commission meeting, June 5, 2000

The meeting is open to the public. Interested persons may make oral/written presentations to the Commission or file written statements. Such requests should be made to the Superintendent at least seven days prior to the meeting.

Further information concerning this meeting may be obtained from the Superintendent, Acadia National Park, P.O. Box 177, Bar Harbor, Maine 04609, tel: (207) 288-3338

Dated: January 7, 2000.

Len Bobinchock,

Actg. Superintendent, Acadia National Park.

[FR Doc. 00-998 Filed 1-14-00; 8:45 am]

BILLING CODE 4310-70-P

INTERNATIONAL TRADE COMMISSION

[Investigation No. 731-TA-856 (Final)]

Certain Ammonium Nitrate From Russia

AGENCY: United States International Trade Commission.

ACTION: Scheduling of the final phase of an antidumping investigation.

SUMMARY: The Commission hereby gives notice of the scheduling of the final phase of antidumping investigation No. 731-TA-856 (Final) under section 735(b) of the Tariff Act of 1930 (19 U.S.C. 1673d(b)) (the Act) to determine whether an industry in the United States is materially injured or threatened with material injury, or the establishment of an industry in the United States is materially retarded, by reason of less-than-fair-value imports from Russia of solid fertilizer grade ammonium nitrate, provided for in subheading 3102.30.00 of the Harmonized Tariff Schedule of the United States.¹

For further information concerning the conduct of this phase of the investigation, hearing procedures, and rules of general application, consult the Commission's Rules of Practice and Procedure, part 201, subparts A through E (19 CFR part 201), and part 207, subparts A and C (19 CFR part 207).

EFFECTIVE DATE: January 7, 2000.

FOR FURTHER INFORMATION CONTACT: Karen Taylor (202-708-4101), Office of

¹ For purposes of this investigation, Commerce has defined the subject merchandise as "solid, fertilizer grade ammonium nitrate products, whether prilled, granular or in other solid form, with or without additives or coating, and with a bulk density equal to or greater than 53 pounds per cubic foot. Specifically excluded from this scope is solid ammonium nitrate with a bulk density less than 53 pounds per cubic foot (commonly referred to as industrial or explosive grade ammonium nitrate)."

Investigations, U.S. International Trade Commission, 500 E Street SW, Washington, DC 20436. Hearing-impaired persons can obtain information on this matter by contacting the Commission's TDD terminal on 202-205-1810. Persons with mobility impairments who will need special assistance in gaining access to the Commission should contact the Office of the Secretary at 202-205-2000. General information concerning the Commission may also be obtained by accessing its internet server (<http://www.usitc.gov>).

SUPPLEMENTARY INFORMATION:

Background.—The final phase of this investigation is being scheduled as a result of an affirmative preliminary determination by the Department of Commerce that imports of solid fertilizer grade ammonium nitrate from Russia are being sold in the United States at less than fair value within the meaning of section 733 of the Act (19 U.S.C. 1673b). The investigation was requested in a petition filed on July 23, 1999, by the ad hoc Committee for Fair Ammonium Nitrate Trade (COFANT) (consisting of Air Products & Chemicals, Inc., Allentown, PA; Mississippi Chemical Corp., Yazoo City, MS; El Dorado Chemical Co., Oklahoma City, OK; Nitram, Inc., Tampa, FL; LaRoche Industries, Inc., Atlanta, GA; and Wil-Gro Fertilizer, Inc., Celina, TX).

Participation in the investigation and public service list.—Persons, including industrial users of the subject merchandise and, if the merchandise is sold at the retail level, representative consumer organizations, wishing to participate in the final phase of this investigation as parties must file an entry of appearance with the Secretary to the Commission, as provided in § 201.11 of the Commission's rules, no later than 21 days prior to the hearing date specified in this notice. A party that filed a notice of appearance during the preliminary phase of the investigation need not file an additional notice of appearance during this final phase. The Secretary will maintain a public service list containing the names and addresses of all persons, or their representatives, who are parties to the investigation.

Limited disclosure of business proprietary information (BPI) under an administrative protective order (APO) and BPI service list.—Pursuant to § 207.7(a) of the Commission's rules, the Secretary will make BPI gathered in the final phase of this investigation available to authorized applicants under the APO issued in the investigation, provided that the application is made

no later than 21 days prior to the hearing date specified in this notice. Authorized applicants must represent interested parties, as defined by 19 U.S.C. 1677(9), who are parties to the investigation. A party granted access to BPI in the preliminary phase of the investigation need not reapply for such access. A separate service list will be maintained by the Secretary for those parties authorized to receive BPI under the APO.

Staff report.—The prehearing staff report in the final phase of this investigation will be placed in the nonpublic record on March 9, 2000, and a public version will be issued thereafter, pursuant to § 207.22 of the Commission's rules.

Hearing.—The Commission will hold a hearing in connection with the final phase of this investigation beginning at 9:30 a.m. on March 23, 2000, at the U.S. International Trade Commission Building. Requests to appear at the hearing should be filed in writing with the Secretary to the Commission on or before March 13, 2000. A nonparty who has testimony that may aid the Commission's deliberations may request permission to present a short statement at the hearing. All parties and nonparties desiring to appear at the hearing and make oral presentations should attend a prehearing conference to be held at 9:30 a.m. on March 15, 2000, at the U.S. International Trade Commission Building. Oral testimony and written materials to be submitted at the public hearing are governed by §§ 201.6(b)(2), 201.13(f), and 207.24 of the Commission's rules. Parties must submit any request to present a portion of their hearing testimony *in camera* no later than 7 days prior to the date of the hearing.

Written submissions.—Each party who is an interested party shall submit a prehearing brief to the Commission. Prehearing briefs must conform with the provisions of § 207.23 of the Commission's rules; the deadline for filing is March 16, 2000. Parties may also file written testimony in connection with their presentation at the hearing, as provided in § 207.24 of the Commission's rules, and posthearing briefs, which must conform with the provisions of § 207.25 of the Commission's rules. The deadline for filing posthearing briefs is March 30, 2000; witness testimony must be filed no later than three days before the hearing. In addition, any person who has not entered an appearance as a party to the investigation may submit a written statement of information pertinent to the subject of the investigation on or before March 30,

2000. On April 20, 2000, the Commission will make available to parties all information on which they have not had an opportunity to comment. Parties may submit final comments on this information on or before April 24, 2000, but such final comments must not contain new factual information and must otherwise comply with § 207.30 of the Commission's rules. All written submissions must conform with the provisions of § 201.8 of the Commission's rules; any submissions that contain BPI must also conform with the requirements of §§ 201.6, 207.3, and 207.7 of the Commission's rules. The Commission's rules do not authorize filing of submissions with the Secretary by facsimile or electronic means.

In accordance with §§ 201.16(c) and 207.3 of the Commission's rules, each document filed by a party to the investigation must be served on all other parties to the investigation (as identified by either the public or BPI service list), and a certificate of service must be timely filed. The Secretary will not accept a document for filing without a certificate of service.

Authority: This investigation is being conducted under authority of title VII of the Tariff Act of 1930; this notice is published pursuant to § 207.21 of the Commission's rules.

Issued: January 12, 2000.

By order of the Commission.

Donna R. Koehnke,

Secretary.

[FR Doc. 00-1096 Filed 1-14-00; 8:45 am]

BILLING CODE 7020-02-P

INTERNATIONAL TRADE COMMISSION

[Investigations Nos. 701-TA-178 (Review) and 731-TA-636-638 (Review)]

Stainless Steel Wire Rod From Brazil, France, India, and Spain

AGENCY: United States International Trade Commission.

ACTION: Scheduling of full five-year reviews concerning the countervailing duty order and antidumping duty orders on stainless steel wire rod from Brazil, France, India, and Spain.

SUMMARY: The Commission hereby gives notice of the scheduling of full reviews pursuant to section 751(c)(5) of the Tariff Act of 1930 (19 U.S.C. § 1675(c)(5)) (the Act) to determine whether revocation of the countervailing duty order and the antidumping duty orders on stainless steel wire rod from Brazil, France, India, and Spain would be likely to lead to

continuation or recurrence of material injury. For further information concerning the conduct of these reviews and rules of general application, consult the Commission's Rules of Practice and Procedure, part 201, subparts A through E (19 CFR part 201), and part 207, subparts A, D, E, and F (19 CFR part 207). Recent amendments to the Rules of Practice and Procedure pertinent to five-year reviews, including the text of subpart F of part 207, are published at 63 F.R. 30599, June 5, 1998, and may be downloaded from the Commission's World Wide Web site at <http://www.usitc.gov/rules.htm>.

EFFECTIVE DATE: January 11, 2000.

FOR FURTHER INFORMATION CONTACT:

Valerie Newkirk (202-205-3190), Office of Investigations, U.S. International Trade Commission, 500 E Street SW, Washington, DC 20436. Hearing-impaired persons can obtain information on this matter by contacting the Commission's TDD terminal on 202-205-1810. Persons with mobility impairments who will need special assistance in gaining access to the Commission should contact the Office of the Secretary at 202-205-2000. General information concerning the Commission may also be obtained by accessing its internet server (<http://www.usitc.gov>).

SUPPLEMENTARY INFORMATION:

Background

On October 1, 1999, the Commission determined that responses to its notice of institution of the subject five-year reviews were such that full reviews pursuant to section 751(c)(5) of the Act should proceed (64 F.R. 55962, October 15, 1999). A record of the Commissioners' votes, the Commission's statement on adequacy, and any individual Commissioner's statements will be available from the Office of the Secretary and at the Commission's web site.

Participation in the Reviews and Public Service List

Persons, including industrial users of the subject merchandise and, if the merchandise is sold at the retail level, representative consumer organizations, wishing to participate in these reviews as parties must file an entry of appearance with the Secretary to the Commission, as provided in section 201.11 of the Commission's rules, by 45 days after publication of this notice. A party that filed a notice of appearance following publication of the Commission's notice of institution of the reviews need not file an additional notice of appearance. The Secretary will

maintain a public service list containing the names and addresses of all persons, or their representatives, who are parties to the reviews.

Limited Disclosure of Business Proprietary Information (BPI) Under an Administrative Protective Order (APO) and BPI Service List

Pursuant to section 207.7(a) of the Commission's rules, the Secretary will make BPI gathered in these reviews available to authorized applicants under the APO issued in the reviews, provided that the application is made by 45 days after publication of this notice. Authorized applicants must represent interested parties, as defined by 19 U.S.C. § 1677(9), who are parties to the reviews. A party granted access to BPI following publication of the Commission's notice of institution of the reviews need not reapply for such access. A separate service list will be maintained by the Secretary for those parties authorized to receive BPI under the APO.

Staff Report

The prehearing staff report in the reviews will be placed in the nonpublic record on May 3, 2000, and a public version will be issued thereafter, pursuant to section 207.64 of the Commission's rules.

Hearing

The Commission will hold a hearing in connection with the reviews beginning at 9:30 a.m. on May 23, 2000, at the U.S. International Trade Commission Building. Requests to appear at the hearing should be filed in writing with the Secretary to the Commission on or before May 16, 2000. A nonparty who has testimony that may aid the Commission's deliberations may request permission to present a short statement at the hearing. All parties and nonparties desiring to appear at the hearing and make oral presentations should attend a prehearing conference to be held at 9:30 a.m. on May 18, 2000, at the U.S. International Trade Commission Building. Oral testimony and written materials to be submitted at the public hearing are governed by sections 201.6(b)(2), 201.13(f), 207.24, and 207.66 of the Commission's rules. Parties must submit any request to present a portion of their hearing testimony in camera no later than 7 days prior to the date of the hearing.

Written Submissions

Each party to the reviews may submit a prehearing brief to the Commission. Prehearing briefs must conform with the provisions of section 207.65 of the

Commission's rules; the deadline for filing is May 12, 2000. Parties may also file written testimony in connection with their presentation at the hearing, as provided in section 207.24 of the Commission's rules, and posthearing briefs, which must conform with the provisions of section 207.67 of the Commission's rules. The deadline for filing posthearing briefs is June 2, 2000; witness testimony must be filed no later than three days before the hearing. In addition, any person who has not entered an appearance as a party to the reviews may submit a written statement of information pertinent to the subject of the reviews on or before June 2, 2000. On June 23, 2000, the Commission will make available to parties all information on which they have not had an opportunity to comment. Parties may submit final comments on this information on or before June 27, 2000, but such final comments must not contain new factual information and must otherwise comply with section 207.68 of the Commission's rules. All written submissions must conform with the provisions of section 201.8 of the Commission's rules; any submissions that contain BPI must also conform with the requirements of sections 201.6, 207.3, and 207.7 of the Commission's rules. The Commission's rules do not authorize filing of submissions with the Secretary by facsimile or electronic means.

In accordance with sections 201.16(c) and 207.3 of the Commission's rules, each document filed by a party to the reviews must be served on all other parties to the reviews (as identified by either the public or BPI service list), and a certificate of service must be timely filed. The Secretary will not accept a document for filing without a certificate of service.

Authority: These reviews are being conducted under authority of title VII of the Tariff Act of 1930; this notice is published pursuant to section 207.62 of the Commission's rules.

By order of the Commission.

Issued: January 12, 2000.

Donna R. Koehnke,
Secretary.

[FR Doc. 00-1095 Filed 1-14-00; 8:45 am]

BILLING CODE 7020-02-P

INTERNATIONAL TRADE COMMISSION

[Investigations Nos. 701-TA-318 (Review) and 731-TA-538 and 561 (Review)]

Sulfanilic Acid From China and India

AGENCY: United States International Trade Commission.

ACTION: Scheduling of expedited five-year reviews concerning the countervailing duty and antidumping duty orders on sulfanilic acid from China and India.

SUMMARY: The Commission hereby gives notice of the scheduling of expedited reviews pursuant to section 751(c)(3) of the Tariff Act of 1930 (19 U.S.C. 1675(c)(3)) (the Act) to determine whether revocation of the countervailing duty and antidumping duty orders on sulfanilic acid from China and India would be likely to lead to continuation or recurrence of material injury within a reasonably foreseeable time. For further information concerning the conduct of these reviews and rules of general application, consult the Commission's Rules of Practice and Procedure, part 201, subparts A through E (19 CFR part 201), and part 207, subparts A, D, E, and F (19 CFR part 207). Recent amendments to the Rules of Practice and Procedure pertinent to five-year reviews, including the text of subpart F of part 207, are published at 63 F.R. 30599, June 5, 1998, and may be downloaded from the Commission's World Wide Web site at <http://www.usitc.gov/rules.htm>.

EFFECTIVE DATE: January 7, 2000.

FOR FURTHER INFORMATION CONTACT: Debra Baker (202-205-3180), Office of Investigations, U.S. International Trade Commission, 500 E Street SW, Washington, DC 20436. Hearing-impaired persons can obtain information on this matter by contacting the Commission's TDD terminal on 202-205-1810. Persons with mobility impairments who will need special assistance in gaining access to the Commission should contact the Office of the Secretary at 202-205-2000. General information concerning the Commission may also be obtained by accessing its internet server <http://www.usitc.gov>.

SUPPLEMENTARY INFORMATION:

Background

On January 7, 2000, the Commission determined that the domestic interested party group responses to its notice of institution (64 FR 53412, October 1, 1999) were adequate and the respondent interested party group responses were inadequate. The Commission did not find any other circumstances that would warrant conducting full reviews.¹ Accordingly, the Commission

determined that it would conduct expedited reviews pursuant to section 751(c)(3) of the Act.²

Staff Report

A staff report containing information concerning the subject matter of the reviews will be placed in the nonpublic record on April 17, 2000, and made available to persons on the Administrative Protective Order service list for these reviews. A public version will be issued thereafter, pursuant to section 207.62(d)(4) of the Commission's rules.

Written Submissions

As provided in section 207.62(d) of the Commission's rules, interested parties that are parties to the reviews and that have provided individually adequate responses to the notice of institution,³ and any party other than an interested party to the reviews may file written comments with the Secretary on what determination the Commission should reach in the reviews. Comments are due on or before April 20, 2000, and may not contain new factual information. Any person that is neither a party to these five-year reviews nor an interested party may submit a brief written statement (which shall not contain any new factual information) pertinent to the reviews by April 20, 2000. However, should Commerce extend the time limit for its completion of the final results of its reviews, the deadline for comments (which may not contain new factual information) on Commerce's final results is three business days after the issuance of Commerce's results. If comments contain business proprietary information (BPI), they must conform with the requirements of sections 201.6, 207.3, and 207.7 of the Commission's rules. The Commission's rules do not authorize filing of submissions with the Secretary by facsimile or electronic means.

In accordance with sections 201.16(c) and 207.3 of the rules, each document filed by a party to the reviews must be served on all other parties to the reviews (as identified by either the public or BPI service list), and a certificate of service must be timely filed. The Secretary will not accept a document for filing without a certificate of service.

² Commissioner Okun did not participate in this phase of the five-year reviews.

³ The Commission has found the response submitted by NFC to be individually adequate. Comments from other interested parties will not be accepted (see 19 CFR 207.62(d)(2)).

Determinations

The Commission has determined to exercise its authority to extend the review period by up to 90 days pursuant to 19 U.S.C. § 1675(c)(5)(B).

Authority: These reviews are being conducted under authority of title VII of the Tariff Act of 1930; this notice is published pursuant to section 207.62 of the Commission's rules.

By order of the Commission.

Issued: January 12, 2000.

Donna R. Koehnke,

Secretary.

[FR Doc. 00-1094 Filed 1-14-00; 8:45 am]

BILLING CODE 7020-02-P

DEPARTMENT OF LABOR

Office of the Secretary

Submission for OMB Review; Comment Request

January 6, 2000.

The Department of Labor (DOL) has submitted the following public information collection requests (ICRs) to the Office of Management and Budget (OMB) for review and approval in accordance with the Paperwork Reduction Act of 1995 (Pub. L. 104-13, 44 U.S.C. Chapter 35). A copy of each individual ICR, with applicable supporting documentation, may be obtained by calling the Department of Labor. To obtain documentation for BLS, ETA, PWBA, and OASAM contact Karin Kurz (202) 219-5096 ext. 159 or by e-mail to Kurz-Karin@dol.gov. To obtain documentation for ESA, MSHA, OSHA, and VETS contact Darrin King ((202) 219-5096 ext. 151 or by e-mail to King-Darrin@dol.gov).

Comments should be sent to Office of Information and Regulatory Affairs, Attn: OMB Desk Officer for BLS, DM, ESA, ETA, MSHA, OSHA, PWBA, or VETS, Office of Management and Budget, Room 10235, Washington, DC 20503 ((202) 395-7316), within 30 days from the date of this publication in the **Federal Register**.

The OMB is particularly interested in comments which:

- Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;

- Evaluate the accuracy of the agency's estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used;

¹ A record of the Commissioners' votes, the Commission's statement on adequacy, and any individual Commissioner's statements will be available from the Office of the Secretary and at the Commission's web site.

- Enhance the quality, utility, and clarity of the information to be collected; and
- Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology, e.g., permitting electronic submission of responses.

Agency: Employment Standards Administration.

Title: Executive Order 12933, 29 CFR Part 9, Nondisplacement of Qualified Workers Under Certain Contracts.

OMB Number: 1215-0190.

Frequency: On occasion.

Affected Public: Business and other for-profit, Individuals or households, Federal government.

Number of Respondents: 88.

Estimated Time Per respondent: 15 minutes.

Total Burden Hours: 22 hours.

Total Annualized capital/startup costs: \$0.

Total annual costs (operating/maintaining systems or purchasing services): \$0.

Description: These rules provide recordkeeping requirements in certain building service contracts documenting offers of employment of a successor contractor.

Ira L. Mills,

Departmental Clearance Officer.

[FR Doc. 00-1092 Filed 1-14-00; 8:45 am]

BILLING CODE 4510-27-M

DEPARTMENT OF LABOR

Pension and Welfare Benefits Administration

Proposed Extension of Information Collection Request Submitted for Public Comment and Recommendation; Definition of "Plan Assets"—Participant Contributions

ACTION: Notice.

SUMMARY: The Department of Labor (the Department), as part of its continuing effort to reduce paperwork and respondent burden, provides the general public and Federal agencies with an opportunity to comment on proposed and/or continuing collections of information in accordance with the Paperwork Reduction Act of 1995 (PRA 95) (44 U.S.C. 3506(c)(2)(A)). This program helps to ensure that requested data can be provided in the desired format, reporting burden (time and financial resources) is minimized,

collection instruments are clearly understood, and the impact of collection requirements on respondents can be properly assessed. Currently, the Pension and Welfare Benefits Administration is soliciting comments concerning the proposed extension of a currently approved collection of information, Definition of Plan Assets—Participant Contributions, CFR § 2510.3-102. A copy of the proposed information collection request can be obtained by contacting the individual listed below in the address section of this notice.

DATES: Written comments must be submitted on or before March 20, 2000.

ADDRESSES: Gerald B. Lindrew, Department of Labor, Pension and Welfare Benefits Administration, 200 Constitution Avenue, NW, Washington, D.C. 20210, (202) 219-4782 (not a toll-free number), FAX (202) 219-4745.

SUPPLEMENTARY INFORMATION:

I. Background

This regulation describes when certain monies, which a participant pays to or has withheld by an employer for contribution to an employee benefit plan, are "plan assets" for purposes of Title I of the Employee Retirement Security Act of 1974 (ERISA) and the related prohibited transaction provisions of the Internal Revenue Code (IRC). The regulation establishes that participant contributions to an employee pension benefit plan become plan assets on the earliest date that they can reasonably be segregated from an employer's general assets, but in no event later than 15 business days for pension plans, 90 days for welfare plans, and, in the case of SIMPLE Retirement Accounts, 30 days following the month in which the contribution amounts would otherwise have been payable to the participant in cash.

The regulation also establishes a procedure (for pension plans only) whereby an employer may obtain an additional 10 business days to comply with the contribution time limits. In order to take advantage of this opportunity, an employer is required to satisfy certain exemption conditions, including notification to participants, bonding, and certification to the Secretary of the Department of Labor when the funds are transmitted. These conditions are intended to protect participant contributions and provide the Department with adequate notice of an employer's compliance.

II. Desired Focus of Comments

The Department of Labor (Department) is particularly interested in comments which:

- Evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the agency, including whether the information will have practical utility;
- Evaluate the accuracy of the agency's estimate of the burden of the proposed collection of information, including the validity of the methodology and assumptions used;
- Enhance the quality, utility, and clarity of the information to be collected; and
- Minimize the burden of the collection of information on those who are to respond, including through the use of appropriate automated, electronic, mechanical, or other technological collection techniques or other forms of information technology, e.g., permitting electronic submissions of responses.

III. Current Actions

The regulation provides guidance for fiduciaries, participants, and beneficiaries of employee benefit plans on the requirements for transmission of employee contributions withheld from wages. Extension of the information collection provision of the regulation is important because delays in the transmittal of funds may result in lost earnings to pension plan participants and beneficiaries. In addition, for those employers who may have difficulty meeting regulation deadlines for participant contribution transmissions, the extension provision of the regulation provides an alternate means of employer compliance with the regulation, while providing participants, beneficiaries, and the Department with sufficient information to protect their rights under ERISA.

This notice requests comments on the extension of the ICR included in the regulation governing the definition of "plan assets." The Department is not proposing or implementing changes to the existing ICR at this time. Comments received in response to this notice will be incorporated in the submission to OMB for continued clearance of the ICR.

Type of Review: Extension.

Agency: Pension and Welfare Benefits Administration.

Title: Definition of Plan Assets—Participant Contributions.

OMB Number: 1210-0100.

Affected Public: Business and other for-profit, Not-for-profit institutions, Individuals.

Total Respondents: 1.
Frequency: On occasion.
Total Responses: 1.
Average Time Per Response: 6 hours.
Estimated Total Burden Hours: 2.
Total Burden Cost (Operating and Maintenance): \$300.

Comments submitted in response to this notice will be summarized and/or included in the request for Office of Management and Budget approval of the information collection request; they will also become a matter of public record.

Dated: January 11, 2000.

Gerald B. Lindrew,

Deputy Director, Office of Policy and Research, Pension and Welfare Benefits Administration.

[FR Doc. 00-1093 Filed 1-14-00; 8:45 am]

BILLING CODE 4510-29-M

NUCLEAR REGULATORY COMMISSION

Agency Information Collection Activities: Proposed Collection; Comment Request

AGENCY: U.S. Nuclear Regulatory Commission (NRC).

ACTION: Notice of pending NRC action to submit an information collection request to OMB and solicitation of public comment.

SUMMARY: The NRC is preparing a submittal to OMB for review of continued approval of information collections under the provisions of the Paperwork Reduction Act of 1995 (44 U.S.C. Chapter 35).

Information pertaining to the requirement to be submitted:

1. The title of the information collection: 10 CFR Part 140, "Financial Protection Requirements and Indemnity Agreements".

2. Current OMB approval number: 3150-0039.

3. How often the collection is required: As necessary in order for NRC to meet its responsibilities called for in Section 170 and 193 of the Atomic Energy Act of 1954, as amended (the Act).

4. Who is required or asked to report: Licensees authorized to operate reactor facilities in accordance with 10 CFR part 50 and licensees authorized to construct and operate a uranium enrichment facility in accordance with 10 CFR parts 40 and 70.

5. The number of annual respondents: Approximately 178.

6. The number of hours needed annually to complete the requirement or request: 821.

7. Abstract: 10 CFR part 140 of the NRC's regulations specified information

required to be submitted by licensees to enable the NRC to assess (a) the financial protection required of licensees and for the indemnification and limitation of liability of certain licensees and other persons pursuant to Section 170 of the Atomic Energy Act of 1954, as amended, and (b) the liability insurance required of uranium enrichment facility licensees pursuant to Section 193 of the Atomic Energy Act of 1954, as amended.

Submit, by March 20, 2000, comments that address the following questions:

1. Is the proposed collection of information necessary for the NRC to properly perform its functions? Does the information have practical utility?

2. Is the burden estimate accurate?

3. Is there a way to enhance the quality, utility, and clarity of the information to be collected?

4. How can the burden of the information collection be minimized, including the use of automated collection techniques or other forms of information technology?

A copy of the draft supporting statement may be viewed free of charge at the NRC Public Document Room, 2120 L Street, NW (lower level), Washington, DC. OMB clearance requests are available at the NRC worldwide web site (<http://www.nrc.gov/NRC/PUBLIC/OMB/index.html>). The document will be available on the NRC home page site for 60 days after the signature date of this notice.

Comments and questions about the information collection requirements may be directed to the NRC Clearance Officer, Brenda Jo. Shelton, US Nuclear Regulatory Commission, T-6 E6, Washington, DC 20555-0001, by telephone at 301-415-7233, or by Internet electronic mail at BJS1@NRC.GOV.

Dated at Rockville, Maryland, this 11th day of January 2000.

For the Nuclear Regulatory Commission.

Brenda Jo. Shelton,

NRC Clearance Officer, Office of the Chief Information Officer.

[FR Doc. 00-1039 Filed 1-14-00; 8:45 am]

BILLING CODE 7590-01-P

NUCLEAR REGULATORY COMMISSION

[Docket Nos. 50-361 and 50-362]

Southern California Edison Company; San Onofre Nuclear Generating Station, Units 2 and 3; Notice of Consideration of Issuance of Amendments to Facility Operating Licenses, Proposed No Significant Hazards Consideration Determination, and Opportunity for a Hearing

The US Nuclear Regulatory Commission (the Commission) is considering issuance of amendments to Facility Operating Licenses Nos. NPF-10 and NPF-15 issued to Southern California Edison Company (SCE, the licensee) for operation of the San Onofre Nuclear Generating Station (SONGS), Units 2 and 3, located in San Diego County, California.

The proposed amendments would revise the SONGS Units 2 and 3 Technical Specification (TS) 3.7.6, "Condensate Storage Tank (CST T-121 and T-120)" to change the minimum inventory of water maintained in the condensate storage tank (T-120) from 280,000 gallons to 360,000 gallons during plant operation Modes 1, 2 and 3.

Before issuance of the proposed license amendments, the Commission will have made findings required by the Atomic Energy Act of 1954, as amended (the Act) and the Commission's regulations.

The Commission has made a proposed determination that the amendment request involves no significant hazards consideration. Under the Commission's regulations in 10 CFR 50.92, this means that operation of the facility in accordance with the proposed amendments would not (1) Involve a significant increase in the probability or consequences of an accident previously evaluated; or (2) Create the possibility of a new or different kind of accident from any accident previously evaluated; or (3) Involve a significant reduction in a margin of safety. As required by 10 CFR 50.91(a), the licensee has provided its analysis of the issue of no significant hazards consideration, which is presented below:

1. Involve a significant increase in the probability or consequences of an accident previously evaluated?

Response: No.

The purpose of the increased water volume is to ensure that the required volume of water preserved by Technical Specification 3.7.6 is sufficient to meet the San Onofre Units 2 and 3 Licensing and Design Basis. To meet the guidance of Reactor Systems Branch Technical Position RSB-5-1, the Southern

California Edison Company (SCE) committed to provide an assured source of water for 24-hour Auxiliary Feedwater (AFW) pump operation. This requirement necessitates the use of approximately 200,000 gallons of water from Condensate Storage Tank (CST) T-120. Revising the minimum water level will not initiate an accident. Therefore, increasing the minimum water level in T-120 from 280,000 gallons to 360,000 gallons will not increase the probability of an accident, and the requirement for 360,000 gallons ensures the required 200,000 gallons of water will be available when the current required level does not provide that assurance.

Therefore, this change does not involve a significant increase in the probability or consequences of any accident previously evaluated.

2. Create the possibility of a new or different kind of accident from any accident previously evaluated?

Response: No.

Increasing the minimum water volume required in a 500,000-gallon tank from 280,000 gallons to 360,000 gallons will not initiate any accident.

Therefore, this change does not create the possibility of a new or different kind of accident from any previously evaluated.

3. Involve a significant reduction in a margin of safety?

Response: No.

The margin of safety intended by the original 280,000 gallon requirement was to ensure that following a Design Basis Earthquake (DBE) CST T-120 would have at least 200,000 gallons to meet Southern California Edison's (SCE's) commitment to RSB-5-1. Raising the minimum volume to 360,000 gallons to account for calculated water losses, with additional allotment for future allocations, increases the margin above the 200,000 gallons and therefore increases the assurance that the RSB-5-1 commitment is met.

Therefore, this change does not involve a significant reduction in a margin of safety.

Based on the responses to these three criterion, Southern California Edison (SCE) has concluded that the proposed amendment involves no significant hazards consideration.

The NRC staff has reviewed the licensee's analysis and, based on this review, it appears that the three standards of 10 CFR 50.92(c) are satisfied. Therefore, the NRC staff proposes to determine that the amendment request involves no significant hazards consideration.

The Commission is seeking public comments on this proposed determination. Any comments received within 30 days after the date of publication of this notice will be considered in making any final determination.

Normally, the Commission will not issue the amendment until the expiration of the 30-day notice period. However, should circumstances change during the notice period such that

failure to act in a timely way would result, for example, in derating or shutdown of the facility, the Commission may issue the license amendment before the expiration of the 30-day notice period, provided that its final determination is that the amendment involves no significant hazards consideration. The final determination will consider all public and State comments received. Should the Commission take this action, it will publish in the **Federal Register** a notice of issuance and provide for opportunity for a hearing after issuance. The Commission expects that the need to take this action will occur very infrequently.

Written comments may be submitted by mail to the Chief, Rules and Directives Branch, Division of Administrative Services, Office of Administration, U.S. Nuclear Regulatory Commission, Washington, DC 20555-0001, and should cite the publication date and page number of this **Federal Register** notice. Written comments may also be delivered to Room 6D59, Two White Flint North, 11545 Rockville Pike, Rockville, Maryland, from 7:30 a.m. to 4:15 p.m. Federal workdays. Copies of written comments received may be examined at the NRC Public Document Room, the Gelman Building, 2120 L Street, NW., Washington, DC.

The filing of requests for hearing and petitions for leave to intervene is discussed below.

By February 17, 2000, the licensee may file a request for a hearing with respect to issuance of the amendment to the subject facility operating license and any person whose interest may be affected by this proceeding and who wishes to participate as a party in the proceeding must file a written request for a hearing and a petition for leave to intervene. Requests for a hearing and a petition for leave to intervene shall be filed in accordance with the Commission's "Rules of Practice for Domestic Licensing Proceedings" in 10 CFR part 2. Interested persons should consult a current copy of 10 CFR 2.714 which is available at the Commission's Public Document Room, the Gelman Building, 2120 L Street, NW., Washington, DC, and accessible electronically through the ADAMS Public Electronic Reading Room link at the NRC Web site (<http://www.nrc.gov>). If a request for a hearing or petition for leave to intervene is filed by the above date, the Commission or an Atomic Safety and Licensing Board, designated by the Commission or by the Chairman of the Atomic Safety and Licensing Board Panel, will rule on the request and/or petition; and the Secretary or the

designated Atomic Safety and Licensing Board will issue a notice of hearing or an appropriate order.

As required by 10 CFR 2.714, a petition for leave to intervene shall set forth with particularity the interest of the petitioner in the proceeding, and how that interest may be affected by the results of the proceeding. The petition should specifically explain the reasons why intervention should be permitted with particular reference to the following factors: (1) The nature of the petitioner's right under the Act to be made party to the proceeding; (2) The nature and extent of the petitioner's property, financial, or other interest in the proceeding; and (3) The possible effect of any order which may be entered in the proceeding on the petitioner's interest. The petition should also identify the specific aspect(s) of the subject matter of the proceeding as to which petitioner wishes to intervene. Any person who has filed a petition for leave to intervene or who has been admitted as a party may amend the petition without requesting leave of the Board up to 15 days prior to the first prehearing conference scheduled in the proceeding, but such an amended petition must satisfy the specificity requirements described above.

Not later than 15 days prior to the first prehearing conference scheduled in the proceeding, a petitioner shall file a supplement to the petition to intervene which must include a list of the contentions which are sought to be litigated in the matter. Each contention must consist of a specific statement of the issue of law or fact to be raised or controverted. In addition, the petitioner shall provide a brief explanation of the bases of the contention and a concise statement of the alleged facts or expert opinion which support the contention and on which the petitioner intends to rely in proving the contention at the hearing. The petitioner must also provide references to those specific sources and documents of which the petitioner is aware and on which the petitioner intends to rely to establish those facts or expert opinion. Petitioner must provide sufficient information to show that a genuine dispute exists with the applicant on a material issue of law or fact. Contentions shall be limited to matters within the scope of the amendment under consideration. The contention must be one which, if proven, would entitle the petitioner to relief. A petitioner who fails to file such a supplement which satisfies these requirements with respect to at least one contention will not be permitted to participate as a party.

Those permitted to intervene become parties to the proceeding, subject to any limitations in the order granting leave to intervene, and have the opportunity to participate fully in the conduct of the hearing, including the opportunity to present evidence and cross-examine witnesses.

If a hearing is requested, the Commission will make a final determination on the issue of no significant hazards consideration. The final determination will serve to decide when the hearing is held.

If the final determination is that the amendment request involves no significant hazards consideration, the Commission may issue the amendment and make it immediately effective, notwithstanding the request for a hearing. Any hearing held would take place after issuance of the amendment.

If the final determination is that the amendment request involves a significant hazards consideration, any hearing held would take place before the issuance of any amendment.

A request for a hearing or a petition for leave to intervene must be filed with the Secretary of the Commission, US Nuclear Regulatory Commission, Washington, DC 20555-0001, Attention: Rulemakings and Adjudications Staff, or may be delivered to the Commission's Public Document Room, the Gelman Building, 2120 L Street, NW., Washington, DC, by the above date. A copy of the petition should also be sent to the Office of the General Counsel, US Nuclear Regulatory Commission, Washington, DC 20555-0001, and to Douglas K. Porter, Esquire, Southern California Edison Company, 2244 Walnut Grove Avenue, Rosemead, California 91770, attorney for the licensee.

Nontimely filings of petitions for leave to intervene, amended petitions, supplemental petitions and/or requests for hearing will not be entertained absent a determination by the Commission, the presiding officer or the presiding Atomic Safety and Licensing Board that the petition and/or request should be granted based upon a balancing of the factors specified in 10 CFR 2.714(a)(1)(i)-(v) and 2.714(d).

For further details with respect to this action, see the application for amendments dated January 11, and supplemented November 29, 1999, which are available for public inspection at the Commission's Public Document Room, the Gelman Building, 2120 L Street, NW., Washington, DC, and accessible electronically through the ADAMS Public Electronic Reading

Room link at the NRC Web site (<http://www.nrc.gov>).

Dated at Rockville, Maryland, this 11 TH day of January 2000.

For the Nuclear Regulatory Commission.

L. Raghavan,

Senior Project Manager, Section 2, Project Directorate IV & Decommissioning Division of Licensing Project Management, Office of Nuclear Reactor Regulation.

[FR Doc. 00-1038 Filed 1-14-00; 8:45 am]

BILLING CODE 7590-01-P

NUCLEAR REGULATORY COMMISSION

Public Meeting to Discuss Comments on Management Directive 8.11, "Review Process for 10 CFR 2.206 Petitions"

AGENCY: Nuclear Regulatory Commission

ACTION: Notice of Meeting

SUMMARY: The Nuclear Regulatory Commission is sponsoring a public meeting involving the Office of Enforcement, the Office of the General Counsel, the Office of Nuclear Material Safety and Safeguards, the Office of Nuclear Reactor Regulation, and any interested members of the public. The purpose of the meeting is to provide a forum to discuss public comments on Management Directive 8.11, "Review Process for 10 CFR 2.206 Petitions," in response to a **Federal Register** notice dated October 7, 1999 (64 FR 54654). The staff plans to evaluate the comments received as part of an effort to improve the 10 CFR 2.206 petition process. The meeting is open to the public and all interested parties may attend.

DATES: February 10, 2000, from 8:00 a.m. to 12:00 noon.

LOCATION: One White Flint North, Room O-10B4, 11555 Rockville Pike, Rockville, Maryland 20852.

FOR FURTHER INFORMATION CONTACT: Andrew Kugler, Mail Stop O-4A15B, U.S. Nuclear Regulatory Commission, 11555 Rockville Pike, Rockville, MD 20852-2738; Telephone: (301) 415-2828; *Internet:* AJK1@NRC.GOV

For the Nuclear Regulatory Commission.

Andrew J. Kugler,

Project Manager, Section 1, Project Directorate III, Division of Licensing Project Management, Office of Nuclear Reactor Regulation.

[FR Doc. 00-1040 Filed 1-14-00; 8:45 am]

BILLING CODE 7590-01-P

RAILROAD RETIREMENT BOARD

Proposed Data Collection Available for Public Comment and Recommendations

SUMMARY: In accordance with the requirement of Section 3506 (c)(2)(A) of the Paperwork Reduction Act of 1995 which provides opportunity for public comment on new or revised data collections, the Railroad Retirement Board will publish periodic summaries of proposed data collections.

Comments are invited on: (a) Whether the proposed information collection is necessary for the proper performance of the functions of the agency, including whether the information has practical utility; (b) the accuracy of the RRB's estimate of the burden of the collection of the information; (c) ways to enhance the quality, utility, and clarity of the information to be collected; and (d) ways to minimize the burden related to the collection of information on respondents, including the use of automated collection techniques or other forms of information technology.

Title and Purpose of Information Collection

Repayment of Debt: OMB 3220-0169

When the Railroad Retirement Board (RRB) determines that an overpayment of Railroad Retirement Act (RRA) benefits has occurred, it initiates prompt action to notify the annuitant of the overpayment and to recover the money owed the RRB. In addition to the customary form of repayment (check, money order, annuity withholding), repayment of a debt owed the RRB can also be made by means of a credit card. To effect payment by credit card, the RRB utilizes Form G-421f, Repayment by Credit Card. Minor non-burden impacting editorial changes are being proposed to Form G-421f. One form is completed by each respondent. Completion is voluntary. RRB procedures pertaining to benefit overpayment determinations and the recovery of such benefits are prescribed in 20 CFR 255 and 340.

Estimate of Annual Respondent Burden

The estimated annual respondent burden is as follows:

Form #(s)	Annual responses	Estimated completion time (min)	Burden (hrs)
G-421f	300	5	25

ADDITIONAL INFORMATION OR COMMENTS:

To request more information or to obtain a copy of the information collection justification, forms, and/or supporting material, please call the RRB Clearance Officer at (312) 751-3363. Comments regarding the information collection should be addressed to Ronald J. Hodapp, Railroad Retirement Board, 844 N. Rush Street, Chicago, Illinois 60611-2092. Written comments should be received within 60 days of this notice.

Chuck Mierzwa,

Clearance Officer.

[FR Doc. 00-1117 Filed 1-14-00; 8:45 am]

BILLING CODE 7905-01-M

SECURITIES AND EXCHANGE COMMISSION

[Release No. IC-24237; File No. 812-11638]

Pacific Life Insurance Company, et al.; Notice of Application

January 11, 2000.

AGENCY: Securities and Exchange Commission ("SEC" or "Commission").

ACTION: Notice of application for an order of approval pursuant to Section 26(b) of the Investment Company Act of 1940 (the "Act") and an order granting exemptive relief pursuant to Section 17(b) of the Act from the provisions of section 17(a) of the Act.

SUMMARY OF APPLICATION: Applicants seek an order under Section 26(b) for the Act to permit each subaccount of Pacific Life Insurance Company ("Pacific Life") that serves as a funding vehicle for the Pacific Innovations Trust variable annuity contracts ("Variable Contracts"), to replace shares of each portfolio of Pacific Innovations Trust with shares of a designated portfolio of Pacific Select Fund. Applicants also seek an exemption from Section 17(a) of the Act to the extent necessary: (i) To permit the consolidation of Pacific Life Insurance Company Separate Account A ("Separate Account A"), a segregated asset account of Pacific Life that serves as a funding vehicle for certain variable annuity contracts issued by Pacific Life, and Separate Account B (collectively, the "Accounts"), by transferring the assets and liabilities of Separate Account B to Separate Account A; and (ii) to permit Applicants to carry out the

substitutions described herein by way of in-kind redemptions and purchases.

Applicants: Pacific Life Insurance Company, Pacific Life Insurance Company Separate Account A, Pacific Life Insurance Company Separate Account B, Pacific Select Fund ("Select Fund"), and Pacific Innovations Trust ("Innovations Trust").

Filing Dates: The application was filed on May 28, 1999, and was amended and restated on December 9, 1999.

Hearing or Notification of Hearing: An order granting the application will be issued unless the Commission orders a hearing. Interested persons may request a hearing by writing to the Secretary of the Commission and serving Applicants with a copy of the request, personally or by mail. Hearing requests should be received by the SEC by 5:30 p.m., on February 2, 2000, and should be accompanied by proof of service on Applicants, in the form of an affidavit, or, for lawyers, a certificate of service. Hearing requests should state the nature of the writer's interest, the reason for the request, and the issues contested. Persons who wish to be notified of a hearing may request notification by writing to the Secretary of the Commission.

ADDRESSES: Secretary, Commission, 450 Fifth Street, N.W., Washington, DC 20549-0609. Applicants, c/o Robin Yonis Sandlaufer, Esq., Vice President and Investment Counsel, Pacific Life Insurance Company, 700 Newport Center Drive, Newport Beach, CA 92660.

FOR FURTHER INFORMATION CONTACT: Paul G. Cellupica, Senior Counsel, or Susan M. Olson, Branch Chief, Office of Insurance Products, Division of Investment Management, at (202) 942-0670.

SUPPLEMENTARY INFORMATION: The following is a summary of the application. The complete application may be obtained for a fee from the SEC's Public Reference Branch, 450 Fifth Street, N.W., Washington, DC 20549 (202-942-8090).

Applicant's Representations

1. Pacific Life is a life insurance company that is domiciled in California. Its operations include both life insurance and annuity products as well as financial and retirement services. As

of December 31, 1998, Pacific Life managed \$290 billion in assets. Pacific Life is authorized to conduct a life insurance and annuity business in the District of Columbia and all states except New York. Pacific Life was originally organized on January 2, 1868, under the name "Pacific Manual Life Insurance Company of California" and reincorporated as "Pacific Mutual Life Insurance Company" on July 22, 1936. On September 1, 1997, it converted from a mutual life insurance company to a stock life insurance company ultimately controlled by a mutual holding company. Pacific Life is the depositor for the Accounts.

2. Separate Account A is a segregated asset account of Pacific Life and is registered under the Act as a unit investment trust. Separate Account A serves as a funding vehicle for variable annuity contracts issued by Pacific Life known as "Pacific Portfolios," "Pacific One," and "Pacific Value." Separate Account A currently has 20 subaccounts, each investing in a portfolio of the Select Fund.

3. Separate Account B is a segregated asset account of Pacific Life and is registered under the Act as a unit investment trust. Separate Account B was established by Pacific Life and serves as a funding vehicle for the Variable Contracts. Separate Account B is divided into seven subaccounts each of which invests in a separate portfolio of Innovations Trust.

4. Innovations Trust is registered as an open-end management investment company under the Act and currently offers seven investment portfolios ("Innovations Portfolios"). Other than shares purchased by an affiliate of Pacific Life in connection with the initial capitalization of Innovations Trust, shares of the Innovations Portfolios are sold to and held only by Separate Account B.

5. Select Fund is a registered open-end management investment company that currently offers 20 separate portfolios (the "Select Portfolios") which are available to Separate Account A Contractholders. Shares of Select Fund currently are offered only to Pacific Life separate accounts for the purpose of serving as an investment vehicle for variable annuity and variable life insurance contracts offered or administered by Pacific Life.

6. Pacific Mutual Distributors ("PMD") serves as Distributor for the Variable Contracts. PMD is an indirect subsidiary of Pacific Life and is registered as a broker-dealer with the Commission. Pursuant to selling agreements with Pacific Life and PMD, broker-dealers that are affiliated with or closely related to Bank of America Corporation ("Broker-Dealers") have been appointed to solicit and/or accept applications for the Variable Contracts. The Broker-Dealers are the sole broker-dealers that are appointed to solicit and/or accept applications for the Variable Contracts. Bank of America Corporation recently merged with NationsBank Corporation to form a new bank holding company called BankAmerica Corporation. PMD and Pacific Life have been informed that the Broker-Dealers no longer intend to actively market the Variable Contracts.

7. Innovations Trust has no source of incoming assets other than the Variable Contracts. At present, Pacific Life does not intend to seek other potential sellers for the Variable Contracts other than the Broker-Dealers. Thus, the risk is presented that Innovations Trust will not grow, and indeed may shrink, and a question is presented as to whether Innovations Trust is an appropriate investment medium for the Variable Contracts.

8. The Substitutions reflect a determination by Pacific Life to ensure that owners of the Variable Contracts ("Contractholders") have available under their Variable Contracts a viable

mutual fund with good prospects for growth so that Contractholders will have an appropriate investment vehicle to help meet their investment goals under the Variable Contracts.

9. Accordingly, pursuant to its authority under the respective Variable Contracts and the prospectuses describing the same, and subject to the approval of the Commission under Section 26(b) of the Act, Pacific Life has determined that each subaccount of Separate Account B will replace securities issued by each Innovations Portfolio with securities of a designated Select Portfolio that in each case has investment objectives and policies that are sufficiently similar to those of the corresponding Innovations Portfolio so that Contractholders will have reasonable continuity in investment and risk expectations. Each replacement of an Innovations Portfolio by a designated Select Portfolio is indicated below:

Current innovations portfolio	Replacement select portfolio
Money Market Fund ..	Money Market Portfolio
Managed Bond Fund	Managed Bond Portfolio
Capital Income Fund	Multi-Strategy Portfolio
Blue Chip Fund	Equity Portfolio
Mid-Cap Equity Fund	Growth LT Portfolio
Aggressive Growth Fund.	Aggressive Equity Portfolio
International Fund	International Portfolio

The Select Portfolios that would receive monies or in-kind securities

from the Innovations Portfolios as a result of the proposed substitutions ("Substitutions") are referred to herein as "Affected Select Portfolios." Other Select Portfolios ("Additional Portfolios") will be available after the substitution is effected as options for Contractholders.

10. Applicants believe that replacing the current Innovations Portfolios with the Select Portfolios is appropriate and in the best interests of Contractholders, who will benefit from an underlying fund with approximately \$10 billion in assets. The proposed Substitutions also provide Contractholders with: (1) Underlying portfolios having lower expense ratios with the expectation that after the Substitutions, the ratios will remain lower; (2) competitive historical portfolio performance; (3) a competitive lineup of adviser and subadvisers; (4) investment in a fund that underlies Pacific Life's proprietary variable annuity and life insurance contracts, and therefore in a fund to which Pacific Life has a very strong commitment; and (5) an expanded array of variable investment options for Contractholders.

11. The replacement of the Innovations Money Market Fund with the Select Money Market Portfolio will provide Contractholders with a substantially similar money market vehicle. The following table compares the respective asset levels, performance and annual net expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance (total return)
Select Money Market Portfolio	Pacific Life	\$479,687,524	0.43%	• 1 YEAR: 5.29%. • 3 YEAR: 5.22%. • 5 YEAR: 4.99%.
Innovations Money Market Fund	Bank of America	6,790,573	0.60%	• 1 YEAR: 5.07%. • 3 YEAR: N/A. • 5 YEAR: N/A.

12. Although not identical, the investment objectives, policies and strategies of the Innovations Managed

Bond Fund are comparable to those of the Select Managed Bond Portfolio. The following table compares the respective

asset levels, performance and annual net expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance (total return)
Select Managed Bond Portfolio	PIMCO	\$861,137,477	0.66%	• 1 YEAR: 9.20%. • 3 YEAR: 7.76%. • 5 YEAR: 7.34%.
Innovations Managed Bond Fund	Scudder Kemper Investments, Inc.	18,489,218	0.75%	• 1 YEAR: 6.89%. • 3 YEAR: N/A. • 5 YEAR: N/A.

13. Although not identical, the investment objectives, policies and

strategies of the Innovations Capital Income Fund are sufficiently similar to

those of the Select Multi-Strategy Portfolio so that Contractholders will

have reasonable continuity in investment and risk expectations. The

following table compares the respective asset levels, performance and annual net

expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Performance
		Expense ratios	
Select Multi-Strategy Portfolio	J.P. Morgan Investment	\$599,329,997	0.71% •-1 YEAR: 18.17%. •-3 YEAR: 16.75%. •-5 YEAR: 14.44%.
Innovations Capital Income Fund	Bank of America	26,075,616	0.87%. •-1 YEAR: 7.06%. •-3 YEAR: N/A. •-5 YEAR: N/A.

14. Although not identical, the investment objectives, policies, and strategies of the Innovations Blue Chip

Fund are comparable to those of the Select Equity Portfolio. The following table compares the respective asset

levels, performance and annual net expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance
Select Equity Portfolio	Goldman Sachs Asset Management	\$503,822,368	0.71%	•-1 YEAR: 30.28%. ¹ •-3 YEAR: 25.36%. •-5 YEAR: 18.84%.
Innovations Blue Chip Fund	Bank of America	36,412,256	0.94%	•-1 YEAR: 27.80%. •-3 YEAR: N/A. •-5 YEAR: N/A.

¹ GSAM began serving as Portfolio Manager on May 1, 1998. Prior to that, a different firm served as Portfolio Manager.

15. Although not identical, the investment objectives, policies, and strategies of the Innovations Mid-Cap

Equity Fund are comparable to those of the Select Growth LT Portfolio. The following table compares the respective

asset levels, performance and annual net expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance
Select Growth LT Portfolio	Janus	\$1,312,741,866	0.80%	• 1 YEAR: 58.29%. • 3 YEAR: 27.45%. • 5 YEAR: N/A.
Innovations Mid-Cap Equity Fund	Bank of America	16,588,510	0.94%	• 1 YEAR: 17.18%. • 3 YEAR: N/A. • 5 YEAR: N/A.

16. Although not identical, the investment objectives, policies and strategies of the Innovations Aggressive

Growth Fund are comparable to those of the Select Aggressive Equity Portfolio. The following table compares the

respective asset levels, performance and annual net expense ratios of these two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance
Select Aggressive Equity Portfolio	Alliance Capital	\$219,402,961	0.89%	• 1 YEAR: 13.22%. • 3 YEAR: N/A. • 5 YEAR: N/A.
Innovations Aggressive Growth Fund	Bank of America	11,069,644	1.02%	• 1 YEAR: (1.77%). • 3 YEAR: N/A. • 5 YEAR: N/A.

¹ Alliance Capital Management began serving as Portfolio Manager on May 1, 1998. Prior to that date, another firm served as Portfolio Manager.

17. Although not identical, the investment objectives, policies, and strategies of the Innovations International Fund are comparable to

those of the Select International Portfolio. The following table compares the respective asset levels, performance

and annual net expense ratios of the two portfolios as of December 31, 1998.

Portfolio	Fund manager	Asset levels	Expense ratios	Performance
Select International Portfolio ¹	Morgan Stanley Asset Management ...	\$997,300,194	1.00%	• 1 YEAR: 5.60%.² • 3 YEAR: 12.04%. • 5 YEAR: 9.88%.
Innovations International Fund	Wellington Management Company, LLP.	11,127,372	1.24%	• 1 YEAR: 11.63%. • 3 YEAR: N/A. • 5 YEAR: N/A.

¹ Effective January 1, 2000, the name of the International Portfolio was changed to the "International Value Portfolio." The Portfolio's investment objective and policies remain the same.

² Morgan Stanley Asset Management began serving as the Portfolio Manager on June 1, 1997. Prior to that date, other firms served as Portfolio Manager.

18. As of the effective date of the Substitutions ("Effective Date"), shares of the Innovations Portfolios will be redeemed in cash and in-kind by Pacific Life. The proceeds of such redemptions will then be used to purchase shares of the Affected Select Portfolios, either by cash or in-kind purchase, with each subaccount of Separate Account B investing the proceeds of its redemption from the Innovations Portfolio in the corresponding Affected Select Portfolio. The Substitutions will take place at respective net asset values. The contract value of any affected Contractholder immediately after the Substitutions shall be the same as the value immediately before the Substitutions.

19. Pacific Life will bear the costs of any legal or accounting fees of the Substitutions and transactional expenses, including brokerage commissions, in liquidating the assets of the Innovations Portfolios to be able to make payment to Separate Account B in connection with the Substitutions. Contractholders will not incur any additional fees or charges as a result of the Substitutions, nor will their rights or obligations under any of the Variable Contracts diminish in any way.

20. Contractholders were notified of the application by means of a supplement to the prospectus for the Variable Contracts that discloses that Applicants would be filing the application and are seeking approval for the Substitutions.

21. Following the date on which the order requested by the application is issued, but before the Effective Date of the Substitutions, a notice ("Substitution Notice"), in the form of an additional supplement to the prospectuses for the Variable Contracts, will be mailed to Contractholders setting forth the scheduled Effective Date of the Substitutions and advising Contractholders that contract values attributable to investments in the Innovations Portfolios will be transferred to the subaccounts corresponding to the Affected Select Portfolio, without charge, on the Effective Date.

22. The Substitution Notice will state that Contractholders may make transfers of contract value among the variable investment options without limit and without any charge for a period of at least 60 days from the Effective Date, and that an exchange of subaccount annuity units may be made during such period in addition to the four that are permitted in a 12-month period.

23. In light of the fact that Applicants intend, through the Substitutions, for Separate Account B to invest in shares of the same underlying mutual fund portfolios in which the subaccounts of Separate Account A now invest, Pacific Life may determine that no valid business purpose would be served by maintaining two distinct separate accounts investing in the same underlying fund. Accordingly, to avoid the duplication that would result and to save the cost of maintenance of Separate Account B, Pacific Life seeks an exemption to the extent necessary to permit the consolidation of the Accounts by transferring the assets and liabilities of Separate Account B to Separate Account A (such transfer is referred to hereing as the "Proposed Transaction"). Separate Account A would continue to exist. The effect of the foregoing transaction would be that, as of the closing date for the Proposed Transaction, Separate Account A would support the Variable Contracts (*e.g.*, those currently funded by Separate Account B), as well as the variable contracts designated as Pacific Portfolios, Pacific One and Pacific Value.

24. The Proposed Transaction would be effected with no change in the aggregate value of the subaccount units (both accumulation and annuity units) involved. There would be no change in the Contractholders' contract value and no charges would be imposed or other deductions made in connection therewith. The transaction would be effected by transferring the assets and corresponding liabilities of a subaccount of Separate Account B to the corresponding subaccount of Separate Account A, which will be the

subaccount that invests in the Select Portfolio that will have previously been substituted for the Innovations Portfolio.

Applicant's Legal Analysis

1. Section 26(b) of the Act makes it unlawful for any depositor or trustee of a unit investment trust that invests exclusively in the securities of a single issuer from substituting the securities of another issuer without the approval of the Commission. Section 26(b) provides such approval shall be granted by order of the Commission, if the evidence establishes that it is consistent with the protection of investors and the purposes of the Act.

2. Section 26(b) was intended to provide for Commission scrutiny of proposed substitutions which could, in effect, force shareholders with the substitute security to redeem their shares, thereby possibly incurring a loss of the sales load deducted from initial purchase payments, an additional sales load upon reinvestment of the proceeds of redemption, or both. The section was designed to forestall the ability of a depositor to present holders of interest in a unit investment trust with situations in which a holder's only choice would be to continue an investment in an unsuitable security, or to elect a costly and, in effect, forced redemption. For the reasons described below, Applicants submit that the Substitutions meet the standards set forth in Section 26(b) and that, if implemented, the Substitutions would not raise any of the aforementioned concerns that Congress intended to address when the Act was amended to include this provision.

3. Applicants assert that the replacement of each of the Innovations Portfolios with each of the corresponding Select Portfolios is appropriate and in the interests of Contractholders and, thus, meets the standards necessary to support an order pursuant to Section 26(b) of the Act. The Select Portfolios have comparable investment objectives and policies as those of the Innovations Portfolios.

4. Apart from the Substitution of the underlying investment vehicle, the rights of the Contractholders and the obligations of Pacific Life under the Variable Contracts would not be altered by the Substitutions except, of course, that Contractholders will not have the right to retain their beneficial interest in the Innovations Portfolios.

Contractholders will not incur any additional tax liability as a result of the Substitutions. Also, the rights and obligations of Pacific Life under the Variable Contracts will not be altered in any way in connection with the Substitution. As previously noted, Contractholders will not incur any additional fees or charges as a result of the Substitutions, including any legal or accounting fees of the Substitutions and transactional expenses, including brokerage commissions, in liquidating the assets of the Innovations Portfolios to be able to make payments to Separate Account B with the Substitutions.

5. In accordance with procedures to be implemented by Applicants, Contractholders will have the right to transfer cash values among the subaccounts invested in the Select Portfolios, including the Additional Portfolios under their Variable Contracts, without incurring any additional fees or charges with respect to the transfer until at least 60 days after the Effective Date of the Substitutions. For purposes of the restriction on exchanges after annuitization, an exchange of subaccount annuity units during such 60-day period will not count as an exchange for purposes of the limit of four such exchanges in a twelve-month period. Each Contractholder has received a prospectus supplement and will, prior to the Effective Date, receive a Substitution Notice (in the form of an additional prospectus supplement) regarding the Substitutions, together with information about other available investment options and a prospectus for Select Fund.

6. Applicants assert that the procedures to be implemented are sufficient to assure that Contractholders' accounts values immediately before the Substitutions shall be equal to the account values immediately after the Substitutions, and that Substitutions will not affect the value of the interests of those owners of Pacific Life variable contracts who currently have contract value allocated to any of the Select Portfolios. Applicants state that any in-kind redemptions and purchases for purposes of the Substitution will be effected in a manner consistent with the investment objectives and policies of the respective underlying funds. Pacific Life or the Portfolio Managers of the

Select Fund will review the in-kind redemptions to assure that assets to be transferred are a suitable investment for the substitute Select Portfolios in the overall context of such fund's investment objectives and policies. Securities to be paid out as redemption proceeds and subsequently contributed to the respective substitute Select Portfolios to effect the contemplated in-kind purchases of shares, will be valued based on the normal valuation procedures of the redeeming and purchasing funds and, consistent with Rule 17a-7(d) under the Act, no brokerage commission, fees or other remuneration will be paid in connection with the in-kind transactions.

Applicants submit that, for all the reasons stated above, and particularly to ensure that a viable mutual fund is available as an investment vehicle for the Variable Contracts, the Substitutions are consistent with the protection of investors and the purposes fairly intended by the policy of the Variable Contracts and provisions of the Act.

7. Section 17(a)(1) of the Act, in relevant part, prohibits any affiliated person of a registered investment company, or any affiliated person of such a person, acting as principal, from knowingly selling any securities or other property to such registered investment company. Section 17(a)(2) of the Act generally prohibits such persons from knowingly purchasing any security or other property from the registered investment company.

8. Section 17(b) of the Act provides that any person may apply for an order of exemption from the provisions of Section 17(a) in connection with a transaction prohibited by that section, and that the Commission shall grant such an application if evidence establishes that: (i) the terms of the proposed transaction, including the consideration to be paid or received are reasonable and fair and do not involve overreaching on the part of any person concerned; (ii) the proposed transaction is consistent with the policy of each registered investment company concerned, as recited in its registration statement and reports filed under the Act; and (iii) the proposed transaction is consistent with the general of the Act.

9. Applicants asserts that the terms under which the in-kind redemptions and purchases will be effected are reasonable and fair and do not involve overreaching on the part of any person because the Substitutions will not dilute the interests of any affected Contractholder. The proposed Substitutions will result in situations where in-kind redemptions and purchases are more efficient and where

a Select Portfolio elects to accept/purchase a security held by the Innovations Portfolio. The use of in-kind redemptions of such subaccounts are intended to reduce costs and thereby benefit contractholders. The in-kind redemptions and purchases will be done at values consistent with the policies of both the Innovations Portfolios and the Affected Select Portfolios. Both Pacific Life and the Portfolio Manager of each Affected Select Portfolio will review the securities holdings of the Innovations Portfolio and determine whether in-kind redemptions and purchases would be a suitable investment for the Affected Select Portfolio in the overall context of such fund's investment objectives and policies and consistent with their management of the Affected Select Portfolio. Applicants state that securities to be paid out as redemption proceeds and subsequently contributed to the respective Affected Select Portfolios to effect the contemplated in-kind purchases of shares, will be valued based on the normal valuation procedures of the redeeming and purchasing Portfolios. Any inconsistencies in valuation procedures between the Innovations Portfolio and the Affected Select Portfolio will be reconciled so that the redeeming and purchasing values are the same. Therefore, there will be no change in value to any Contractholder as a result of the Substitutions.

10. Applicants believe that the terms of the Proposed Transaction described in the application, including the consideration to be paid or received, are reasonable and fair and do not involve overreaching; and are consistent with the general purpose of the Act; and therefore meet the conditions for receiving exemptive relief under Section 17(b). The Commission has previously granted exemptions from Section 17(a) to permit the combination or consolidation of separate accounts registered as unit investment trusts, and has also granted numerous exemptions from section 17(a) to permit the consolidation of subaccounts of a separate account registered as a unit investment trust in connection with a substitution. In addition, the Commission has granted exemptions from Section 17(a) to permit in-kind redemptions and purchases to carry out substitutions.

Applicants' Conditions

For purposes of the approval sought pursuant to Section 26(b) of the Act, the Substitutions described in the application will not be completed, unless all of the following conditions are met:

1. The Commission shall have issued an order (i) approving the Substitutions under Section 26(b) of the Act; (ii) exempting the consolidation of Separate Account A and Separate Account B from the provisions of Section 17(a) of the Act; and (ii) exempting any in-kind redemptions and purchases from the provisions of Section 17(a) of the Act as necessary to carry out the transactions described in the application.

2. Each Contract holder will have been sent: (i) A copy of the effective prospectus relating to each of the Affected Select Portfolios and any necessary amendments to the prospectuses relating to the Variable Contracts; and (ii) as soon as reasonable possible after order has been issued and prior to the Effective Date of the Substitutions, a notice describing the terms of the Substitutions and the rights of the Contractholders in connections with the substitutions.

3. Pacific Life shall have satisfied itself, that: (i) The Variable Contracts allow the substitution of portfolios in the manner contemplated by the Substitutions and related transactions described herein; (ii) the transactions can be consummated as described in the application under applicable insurance laws; and (ii) that any applicable regulatory requirements in each jurisdiction where the Variable Contracts are qualified for sale, have been complied with to the extent necessary to complete the transactions.

For the Commission, by the Division of Investment Management, under delegated authority.

Margaret H. McFarland,
Deputy Secretary.

[FR Doc. 00-1057 Filed 1-14-00; 8:45 am]

BILLING CODE 8010-01-M

SECURITIES AND EXCHANGE COMMISSION

Sunshine Act Meeting; Notice

Notice is hereby given, pursuant to the provisions of the Government in the Sunshine Act, Pub. L. 94-409, that the Securities and Exchange Commission will hold the following meeting during the week of January 17, 2000.

A closed meeting will be held on Thursday, January 20, 2000 at 11:00 a.m.

Commissioners, Counsel to the Commissioners, the Secretary to the Commission, and recording secretaries will attend the closed meeting. Certain staff members who have an interest in the matters may also be present.

The General Counsel of the Commission, or his designee, has

certified that, in his opinion, one or more of the exemptions set forth in 5 U.S.C. 552b(c)(4), (8), (9)(A) and (10) and 17 CFR 200.402(a)(4), (8), (9)(A) and (10), permit consideration for the scheduled matters at the closed meeting.

Commissioner Johnson, as duty officer, voted to consider the items listed for the closed meeting in a closed session.

The subject matters of the closed meeting scheduled for Thursday, January 20, 2000, will be:

A litigation matter;
Institution and settlement of injunctive actions; and
Institution and settlement of administrative proceedings of an enforcement nature.

At times, changes in Commission priorities require alterations in the scheduling of meeting items. For further information and to ascertain what, if any, matters have been added, deleted or postponed, please contact:

The office of the Secretary at (202) 942-7070.

Dated: January 11, 2000.

Jonathan G. Katz,
Secretary.

[FR Doc. 00-1124 Filed 1-12-00; 4:19 pm]

BILLING CODE 8010-01-M

SECURITIES AND EXCHANGE COMMISSION

[Release No. 34-42325; File No. SR-NASD-99-60]

Self-Regulatory Organizations; Notice of Filing of Proposed Rule Change by the National Association of Securities Dealers, Inc. Relating to Trading in Hot Equity Offerings

January 10, 2000.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 ("Act")¹ and Rule 19b-4 thereunder,² notice is hereby given that on October 15, 1999, the National Association of Securities Dealers, Inc. ("NASD" or "Association"), through its wholly owned subsidiary NASD Regulation, Inc. ("NASD Regulation"), filed with the Securities and Exchange Commission ("Commission" or "SEC") the proposed rule change as described in Items I, II, and III below, which Items have been prepared by NASD Regulation. On December 21, 1999, NASD Regulation submitted Amendment No. 1 to the proposed rule change.³ The Commission

is publishing this notice of the rule change, as amended, to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

NASD Regulation proposes to establish Rule 2790, Trading in Hot Equity Offerings, to replace the Free-Riding and Withholding Interpretation, IM-2110-1. Below is the text of the proposed rule change. Proposed Rule 2790 contains all new language. In the other proposed changes, additions are italicized and deletions are bracketed.

IM-2110-1. ["Free-Riding and Withholding"]

Deleted in its entirety and replaced with:

Reserved.

* * * * *

IM-2750. Transactions with Related Persons

A member who is acting, or plans to act, as sponsor of a unit investment trust will not violate Rule 2750 if it accumulates securities with respect to which the member has acted as a syndicate member, selling group member or reallocation dealer in an account of the member or related person of the member if, at the time of accumulation, the member in good faith intends to deposit the securities into the unit investment trust at the public offering price and intends to make a bona fide public offering of the participation units of that trust. Members engaged in such activity, however, will continue to be subject to Rule 2790. [IM-2110-1, "Free-Riding and Withholding."]

Rule 2790. Trading in Hot Equity Offerings

(a) Definitions

(1) "Affiliate" shall have the same meaning as in Rule 2720(b)(1).

(2) "Beneficial interest" means any ownership or other direct financial interest.

(3) "Collective investment account" means any hedge fund, investment partnership, investment corporation, or any other collective investment vehicle that manages assets of other persons. Collective investment account shall not include any entity in which the decision to buy or sell securities is made jointly

¹ 15 U.S.C. 78s(b)(1).

² 17 CFR 240.19b-4.

³ See letter from Gary L. Goldsholle, Assistant General Counsel, NASD Regulation, to Katherine A.

England, Assistant Director, Division of Market Regulation, Commission, dated December 20, 1999 ("Amendment No. 1"). In Amendment No. 1, NASD Regulation makes certain technical amendments to the proposed rule change.

by each of the persons investing in the entity or by a member of their immediate family.

(4) "Conversion offering" means any offering of securities made as part of a plan by which a savings and loan association, insurance company, or other organization converts from a mutual to a stock form of ownership.

(5) "Hot issue" means any security that is part of a public offering if the volume weighted price during the first five minutes of trading in the secondary market is 5% or more above the public offering price.

(6) "Immediate family member" shall include a person's parents, mother-in-law or father-in-law, spouse, brother or sister, brother-in-law or sister-in-law, son-in-law or daughter-in-law, and children, and any other individual for whom the person, directly or indirectly, provides material support.

(7) "Joint back office broker/dealer" means any domestic or foreign private investment fund that has voluntarily registered as a broker/dealer solely to take advantage of more favorable margin treatment afforded under Section 220.7 of Regulation T of the Federal Reserve. The activities of a joint back office broker/dealer must not require that it register as a broker/dealer under Section 15(a) of the Act.

(8) "Limited business broker/dealer" means any broker/dealer whose authorization to engage in the securities business is limited solely to the purchase or sale of either investment company/variable contracts securities or direct participation program securities.

(9) "Material support" means providing more than 10% of a person's income or expenses. Material support shall be presumed for members of the immediate family living in the same household.

(10) "Public offering" means any initial or secondary public offering of an equity security as defined in Section 3(a)(11) of the Act, made pursuant to a registration statement or offering circular, including exchange offers, rights offerings, offerings made pursuant to a merger or acquisition, or other securities distributions of any kind whatsoever, including securities that are specifically directed by the issuer on a non-underwritten basis. Public offering shall not include:

(A) offerings made pursuant to an exemption under Section 4(1), 4(2) or 4(6) of the Securities Act of 1933 or SEC Rule 504, 505 or 506 adopted thereunder; and

(B) offerings of exempted securities as defined in Section 3(a)(12).

(11) "Restricted person" includes:

(A) members or other broker/dealers, unless the ultimate purchaser is a non-restricted person purchasing the security at the public offering price;

(B) officers, directors, general partners, employees or agents of a member or any other broker/dealer (other than a limited business broker/dealer);

(C) with respect to the security being offered, finders or any person acting in a fiduciary capacity to the managing underwriter, including, but not limited to, attorneys, accountants and financial consultants;

(D) any employee or other person who supervises, or whose activities directly or indirectly involve or are related to, the buying or selling of securities for a bank, savings and loan institution, insurance company, investment company, investment advisor, or collective investment account;

(E) any affiliate of a broker/dealer (other than a limited business broker/dealer); and

(F) any natural person or member of the person's immediate family who owns 10% or more or has contributed 10% or more of the capital of a broker/dealer (other than a limited business broker/dealer).

(b) General Prohibitions

(1) A member or a person associated with a member may not sell, or cause to sell, a hot issue in a public offering to any account in which a restricted person or a member of the restricted person's immediate family has a beneficial interest, except as permitted herein or through an exemption pursuant to the Rule 9600 Series.

(2) A member or a person associated with a member may not purchase a hot issue in a public offering, except as permitted herein or through an exemption pursuant to the Rule 9600 Series.

(3) A member may not continue to hold hot issues acquired in a public offering except as permitted herein or through an exemption pursuant to the Rule 9600 Series.

(c) Canceling Trades

A member or a person associated with a member does not violate this rule if it cancels a sale of a hot issue made to the account of a restricted person or a member of the person's immediate family prior to the end of the first business day following the date that trading commences (*i.e.*, T+1) and reallocates such hot issue at the public offering price to a non-restricted person.

(d) Preconditions for Sale

Before selling a hot issue to any account, a member must have obtained within the previous twelve months documentary evidence from the account holder, or a person authorized to represent the beneficial owners of the account or the ultimate purchasers if the account is a conduit account, demonstrating that no restricted person or ultimate purchaser in the case of a conduit account, has a beneficial interest in the account, except as permitted under the rule. Members shall maintain a copy of all records and information used to determine that an account does not contain a restricted person in its files for at least three years following the members's last sale of a hot issue to that account.

(e) General Exemptions

A member or a person associated with a member with a member may sell hot issues to:

(1) A registered investment company under the Investment Company Act of 1940.

(2) A collective investment account (including a joint back office broker/dealer or a collective investment account with a joint back office broker/dealer subsidiary), that is beneficially owned in part by restricted persons, provided that such restricted persons in aggregate own less than 5% of such account.

(3) A publicly traded corporation (other than an affiliate of a broker/dealer) listed on an exchange or The Nasdaq Stock Market, in which no person with a 10% or more ownership interest is a restricted person.

(4) A foreign investment company organized under the laws of a foreign jurisdiction, meeting the following criteria:

(A) the company has 100 or more investors;

(B) the company is listed on a foreign exchange or authorized for sale to the public by a foreign regulatory authority;

(C) no more than 5% of the company's assets shall be invested in a particular hot issue; and,

(D) no person owning more than a 5% interest in such company is a restricted person.

(5) An employee benefits plan qualified under the Employee Retirement Income Security Act provided that the plan sponsor is not a member or an affiliate; or a state or foreign government employee benefit plan that is subject to separate state and municipal regulation.

(6) A tax exempt charitable organization under Section 501(c)(3) of the Internal Revenue Code.

(7) Employees and directors of the issuer, an entity which controls, is controlled by, or is under common control of this issuer.

(8) An immediate family member of a restricted person in paragraph (a)(11)(B) if:

(A) such restricted person does not directly or indirectly provide material support to, or receive material support from, the immediate family member;

(B) such restricted person is not employed by the member, or an affiliate of the member, selling the hot issue to the immediate family members; and

(C) such restricted person has no ability to control the allocation of the hot issue.

(9) An immediate family member of a restricted person in paragraphs (a)(11)(C)–(D) if such restricted person does not directly or indirectly provide material support to the member of the immediate family;

(10) A restricted person in paragraph (a)(11)(E) provided that the sale is to an account established for the benefit of bona fide public customers, including insurance company general, separate and investment accounts, and bank trust accounts.

(f) Anti-Dilution Provisions

The restrictions on the sale of hot issues in this rule shall not apply to sales to a restricted person in an initial public offering who meets the following criteria:

(1) the restricted person has held an equity ownership interest in the issuer, or a company that has been acquired by the issuer in the past year, for a period of one year prior to the effective date of the public offering;

(2) the sale of the hot issues to the restricted person shall increase the restricted person's percentage equity ownership in the issuer above the ownership level as of three months prior to the filing of the registration statement with the SEC in connection with the offering;

(3) the sale of hot issues to the restricted person must not include any special terms; and

(4) the hot issues purchased pursuant to this subsection shall be restricted from sale or transfer for a period of three months following the effective date of the offering.

(g) Conversion Offerings

The rule shall not apply to the sale of securities directed by the issuer of a conversion offering, either on an underwritten or non-underwritten basis, to any person eligible to purchase securities in accordance with the rules of a governmental agency or

instrumentality having authority to regulate such conversion offering.

* * * * *

Rule 3040. Private Securities Transaction of an Associated Person

* * * * *

(e) Definitions

For purposes of this Rule, the following terms shall have the stated meanings:

(1) "Private securities transaction" shall mean any securities transaction outside the regular course or scope of an associated person's employment with a member, including, through not limited to, new offerings of securities which are not registered with the Commission, provided however that transactions subject to the notification requirements of Rule 3050, transactions among immediate family members (as defined in Rule 2790 [IM–2110–1, Free-Riding and Withholding]), for which no associated person receives any selling compensation, and personal transactions in investment company and variable annuity securities, shall be excluded.

* * * * *

5392. Rules of the Association

(d) The following Rules of the Association and Interpretative Material thereunder are not applicable to transactions and business activities relating to the PORTAL Market:

(1) Rules 1130, 2450, 2710, 2730, 2740, 2750, 2790, 2810, 2820, 2830, 2860, 3210, and 3360; and

(2) IM–2110–1.

* * * * *

9600. PROCEDURES FOR EXEMPTIONS

9610. Application

(a) Where to File

A member seeking an exemption from Rules 1021, 1022, 1070, 2210, 2320, 2340, 2520, 2710, 2720, 2790, 2810, 2850, 2851, 2860, Interpretive Material 2860–1, 3010(b)(2), 3210, 3350, 8211, 8212, 8213, 11870, or 11900, [Interpretive Material 2110–1,] or Municipal Securities Rulemaking Board Rule G–37 shall file a written application with the appropriate department or staff of the Association and provide a copy of the application to the Office of General Counsel of NASD Regulation.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, NASD Regulation included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. NASD Regulation has prepared summaries, set forth in Sections A, B, and C below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

1. Purpose

NASD Regulation is proposing Rule 2790, Trading in Hot Equity Offerings, to replace the Free-Riding and Withholding Interpretation, IM–2110–1 ("Interpretation"). The proposed new rule is an effort to focus and streamline the Interpretation, as well as to address feedback received in response to our request for comment on NASD rules in need of modernization in Notice to Members 98–81. NASD Regulation believes that the proposed rule is more carefully targeted towards the purposes of the Interpretation, while at the same time is significantly easier for the membership and the investing public to understand and follow.

Before addressing the specifics of the proposed rule change, it is important to understand its purpose. The purpose of the proposed rule, like the Interpretation it would replace, is to protect the integrity of the public offering process by:

(1) ensuring that members make a *bona fide* public offering of securities at the public offering price;

(2) ensuring that members do not withhold securities in a public offering for their own benefit or use such securities to reward certain persons who are in a position to direct future business to the member; and

(3) ensuring that industry "insiders," including members and their associated persons, do not take advantage of their "insiders" position in the industry to purchase hot issues for their own benefit at the expense of public customers.

The proposed rule contains several significant changes from the Interpretation, which are discussed in detail below. Members should be aware that notwithstanding the Board of Governors' endorsement of the proposed

new rule, members must comply with the Interpretation as written. Additionally, members should be aware that NASD Regulation staff will not grant exemption from the current Interpretation on the basis of proposals or policy statements contained in proposed Rule 2790.

1. *Threshold Premium for "Hot Issue"*. Perhaps the most significant change in the proposed rule is the decision to define the term "hot issue" with reference to a threshold premium. The current Interpretation defines a hot issue as any security that trades "at a premium," whenever secondary market trading begins. The NASD and the SEC have stated that any premium, no matter how small, makes an offering a hot issue.⁴ Thus, under the current Interpretation, a security that prices at \$15 per share and begins trading at \$15¹/₃₂ is a "hot issue."

NASD Regulation believes that defining a hot issue with reference to a threshold premium is more consistent with the purposes of the rule and avoids imposing limitations on the distribution of securities in a public offering for which there is no substantial or immediate secondary market demand. The proposed rule change defines a hot issue as any security that is part of a public offering if the volume weighted price during the first five minutes of trading in the secondary market is 5% or more above the public offering price. NASD Regulation selected 5% as the threshold premium because it preliminarily believes that a 5% premium effectively distinguishes between offerings for which there is substantial excess investor demand and those that are generally satiated by the market supply. NASD Regulation recognizes that the selection of any threshold is to an extent arbitrary, and expects to receive comments from members and investors on whether 5% is the correct premium.

NASD Regulation selected the volume weighted price during the first five minutes of trading as the benchmark price for determining whether an offering is a hot issue in part because it is a calculation that can readily be performed by any member or investor with access to trade data. It also is similar to the method currently used by Corporate Financing staff in issuing determinations about whether an offering is a "hot issue." NASD Regulation also selected the volume weighted price because it is generally not susceptible to manipulation. In fact, this same methodology is used to

determine the settlement value of Nasdaq-100 options on the Chicago Options Exchange.⁵

2. *Application to Equity Offerings Only*. Another significant change is that the proposed rule would apply to equity offerings only. Specifically, the proposed rule incorporates the definition of equity security, as the term is defined in section 3(a)(11) of the Act. Historically, the Interpretation has applied to equity and debt securities. However, as part of a series of amendments in 1998, NASD Regulation exempted most types of investment grade debt and investment grade asset-backed securities from the Interpretation on the grounds that "such offerings do not raise the same issues as equity offerings inasmuch as the price for a particular debt security generally fluctuates based on interest rate movements rather than demand factors."⁶ With this proposed rule change, NASD Regulation is going one step further and eliminating application of the rule to non-investment grade debt. NASD Regulation believes that the price of non-investment grade debt is based primarily upon interest rates and the creditworthiness of the issuer rather than the demand factors that typically govern equity securities. In addition, since the debt markets are primarily institutional, debt offerings do not typically attract a lot of retail interest and, thus, the rule's purpose of protecting public customers would not be served in these markets. NASD Regulation, however, believes that offerings of convertible securities or warrants bundled with debt securities more closely resemble equity offerings and should not be exempt from the proposed rule.

3. *Secondary Offerings*. The proposed rule differs from the Interpretation in that it would apply to all secondary offerings. In 1998, NASD Regulation amended the Interpretation to exempt secondary offerings of actively-traded securities because it found that few secondary offerings traded at a premium, and where there was a premium, it was generally very small. In light of the decision to define a hot issue as requiring a 5% premium, NASD Regulation believes that it is no longer appropriate to exclude all secondary offerings as a class. In practice, most secondary offerings will continue to be

exempt from the rule because there will not be a 5% premium. However, for those few offerings that do open at a 5% premium, the proposed rule would apply. NASD Regulation believes that any secondary offering for which there is excess demand, as evidenced by a 5% or more price increase, should not be purchased by restricted persons.

4. *Elimination of the "Conditionally Restricted" Status*. Another significant change in the proposed rule is the decision to eliminate the so-called "conditionally restricted" status and treat persons either as restricted or non-restricted. Conditionally restricted persons are listed in paragraphs (b)(5)(A)–(C) of the Interpretation and include:

(1) members of the immediate family of an associated person who are not supported directly or indirectly by such associated person;

(2) finders in respect to the public offering or any person acting in a fiduciary capacity to the managing underwriter (including accountants, attorneys and consultants); and

(3) senior officers and directors of a bank, savings and loan institution, insurance company, investment company, investment advisory firm, or any other institutional type account, or any person in the securities department of any of the foregoing entities, or any other employee who may influence or whose activities directly or indirectly involve or are related to the function of buying or selling securities for any of the foregoing entities.

Under the Interpretation, conditionally restricted persons can purchase hot issues if:

(1) the securities are sold to the customer in accordance with the customer's normal investment practice;

(2) the amount of securities sold to any one such person is insubstantial; and

(3) the member's aggregate sales to conditionally restricted persons is insubstantial and not disproportionate in amount as compared to sales to other members of the public.

The concept of conditionally restricted persons establishes a compromise between an outright prohibition against purchasing hot issues and imposing no restrictions whatsoever. In many cases, treating a person was only conditionally restricted is contrary to the public interest. Many of the persons treated as conditionally restricted are in a position to direct business to a member. If a determination is made that members should not sell hot issues to persons who can direct business to the member, NASD Regulation does not believe that these

⁵ See Release No. 34-37089 (April 9, 1996); Release No. 34-37659 (September 6, 1996), 61 FR 48722 (September 16, 1996).

⁶ See Release No. 34-39620 (February 4, 1998), 63 FR 7026 (February 11, 1998) (Notice of filing of SR-NASD-97-95); Release No. 34-40001 (May 18, 1998), 63 FR 28535 (May 26, 1998) (Order approving SR-NASD-97-95).

⁴ See *In re Wedbush, Noble, Cooke, Inc.*, 47 S.E.C. 1031, 1032–1033 (1984).

concerns are alleviated if the person can meet certain criteria, such as a "normal investment practice." Moreover, as a practical matter, certain of these persons, such as hedge fund managers, investment advisers, and other investment and portfolio managers, may have the requisite investment history despite being in a position to direct and control future business to a member. NASD Regulation proposes eliminating the conditionally restricted person status while at the same time more precisely targeting those persons to whom the rule applies.

5. *Reconsidering the Category of Restricted Persons.* In light of the recommendation to eliminate the conditionally restricted status, NASD Regulation is revising the category of persons subject to the rule.

a. Finders and fiduciaries

NASD Regulation will continue to treat finders and fiduciaries to the managing underwriter as restricted persons. NASD Regulation believes that finders and fiduciaries to the managing underwriter are for practical purposes industry "insiders." There is additional support for this position in the Corporate Financing Rule, Rule 2710, which defines the term "underwriter and related persons" as including "financial consultants and advisors, finders, * * *" Rule 2710(a)(6). Moreover, it is necessary to include finders and fiduciaries within the proposed rule to prevent issuers from circumventing the underwriting compensation limits of Rule 2710 by offering finders or fiduciaries access to the hot issue. NASD Regulation proposes treating these persons as restricted only for those offerings for which they are acting in the capacity as a finder or fiduciary. In the case of a law firm or consulting firm, the restriction would apply only to those persons working on a particular offering.

b. Personnel with respect to the securities activities of a bank, insurance company, investment company, investment advisor, or collective investment account

With respect to the Interpretation's restricted employees of a bank, savings and loan institution, insurance company, investment company, investment advisory firm, or any other institutional type account, NASD Regulation recommends several changes. The persons identified in this category are subject to the Interpretation because their position allows them the opportunity to direct business to a member, and it is believed that members would direct hot issues to the accounts of these persons in an effort to attract or retain business. NASD Regulation

believes that this provision protects an important policy, but that the scope of persons covered may be too broad. NASD Regulation does not believe that all senior officers and all employees in the securities department of the covered entities should be restricted. Rather, a more function-oriented approach is proposed by treating as restricted persons only those employees or other persons who supervise, or whose activities directly or indirectly involve or are related to, the buying or selling of securities for a bank, savings and loan institution, insurance company, investment company, investment advisor, or collective investment account.

The proposed rule also eliminates the term "institutional type account" which has been confusing and misleading to members since many of the covered entities are not "institutional." The term institutional type account covers a broad range of accounts, including a corporation's investment account, a hedge fund, a family partnership, and an investment club. NASD Regulation notes that this category of persons is restricted under the Interpretation because they are in a position to direct investments. The Interpretation, however, implicitly accepts the practice of member firms awarding hot issues to their best customers. NASD Regulation is developing a distinction between directing investments of one's own money and other peoples' money. This concept is addressed in the proposed rule's definition of "collective investment account" which is defined as "any hedge fund, investment partnership, investment corporation, or any other collective investment vehicle that manages assets of other persons." The proposed rule clarifies that a collective investment account shall not include any entity in which the decision to buy or sell securities is made jointly by each of the persons investing in the entity or by a member of their immediate family. NASD Regulation does not believe that participation in an investment club, where, for example, ten people contribute their own money and make decisions as a group, is the type of activity that should preclude a person from purchasing hot issues. Likewise, NASD Regulation also does not believe that establishing and managing a family partnership should preclude a person from purchasing hot issues. Family partnerships are often established for tax and estate planning purposes and, because they do not involve managing other peoples' money, they do not implicate the concerns addressed by the proposed rule.

c. Collective investment accounts with very limited ownership by restricted persons

The proposed rule also contains an exemption for collective investment accounts owned by restricted persons to a very limited extent. Currently, the Interpretation states that investment partnerships and corporations in which a restricted person has a beneficial interest are prohibited from purchasing hot issues unless the investment partnership or corporation "carves-out" the interest of the restricted persons. NASD Regulation is aware that investment partnerships and corporations frequently incur significant expense in determining the status of every participant, particularly in the fund of fund contexts. In an effort to eliminate some of the burdens associated with the Interpretation, the proposed rule creates an exemption from the rule for a collective investment account that is beneficially owned in part by restricted persons, provided that such restricted persons in aggregate own less than 5% of such account. NASD Regulation believes that creating an exemption to accommodate these minimal interests in collective investment accounts is consistent with the purposes of the rule. Investors frequently like to see a general partner invest in the accounts they manage, and the proposed rule will now allow the general partner of a collective investment account to have a small but direct capital interest.

In addition, the 5% limit allows restricted persons who were previously only conditionally restricted, such as hedge fund managers, investment advisers, and other investment and portfolio managers, to participate in hot issues to a limited extent. Under the new rule, however, the participation by restricted persons will be incidental to what is otherwise a bona fide public distribution to investors beneficially owning 95% or more of the collective investment account. Lastly, this exemption for minimal ownership interests is consistent with the rationales for exempting registered investment companies and foreign investment companies.

As with the current Interpretation, a collective investment account that is beneficially owned 5% or more in aggregate by restricted persons would be able to purchase hot issues so long as the restricted persons do not participate in the hot issue activity, *i.e.*, if their interests have been carved out from the account that purchases hot issues. The proposed rule does not contain specific procedures for carving out the interests of restricted persons. Rather, this

requirement is addressed under the general prohibition that states "a member or a person associated with a member may not sell, or cause to sell, a hot issue in a public offering to any account in which a restricted person * * * has a beneficial interest."

Pursuant to the provisions on preconditions for sale, discussed below, a member may not sell a hot issue to a collective investment account unless it has obtained documentary evidence from a person authorized to represent the beneficial owners of the account demonstrating that no restricted person has a beneficial interest in the account, except as permitted under the rule. In the case of sales to a collective investment account that is beneficially owned 5% or more by restricted persons, the documentary evidence furnished to the member would be required to demonstrate that the interests of the restricted persons have been carved out of the collective investment account.

6. Issuer-Directed Share Programs. Currently, the Interpretation permits members to sell hot issue securities to employees and directors of an issuer, a parent of an issuer, a subsidiary of an issuer, or any other entity that controls or is controlled by an issuer, when these persons are otherwise subject to the Interpretation, provided that in the case of an offering of securities for which a bona fide independent market does not exist, such securities are "locked-up" for three months. The proposed rule makes two changes. First, the rule would expand the exemption to reach "employees and directors of the issuer, an entity which controls, is controlled by, or is under common control of the issuer" ("eligible related companies"). For this subparagraph, a company will be presumed to control another if the company beneficially owns 50% or more of the outstanding voting securities of the company. Expanding the scope to reach sister companies of the issuer is consistent with the purposes of the rule and with staff decisions under the exemptive authority.⁷

Second, the rule would eliminate the requirement for a three month lock-up for sales to restricted persons. The exemptive provisions addressing issuer-directed share programs were adopted in 1994. In announcing these

amendments, the NASD explained that issuer-directed share programs are a valuable tool in employee development and retention. The NASD explained that the Interpretation should not interfere with programs that are part of an employer/employee relationship. NASD Regulation believes that issuers should be free to set the conditions for sales of their own securities to their employees, or employees of eligible related companies, even if such employees are otherwise restricted persons. While in many cases issuers impose lock-up periods, we do not believe they should be mandated by the proposed rule. Eliminating the lock-up period will eliminate the need for members to investigate the status of employees and directors of the issuer and eligible related companies, which was previously necessary solely to comply with the lock-up provisions.

Also, the proposed rule change will allow all employees and directors of the issuer and eligible related companies to be able to purchase securities of the issuer on equal terms. Currently, under the Interpretation, an employee of an issuer with a spouse in the securities business is required to lock-up the securities even though other employees may have no similar lock-up requirement.

7. Preconditions for Sale. Finally, the proposed rule also eliminates the myriad means members must use to demonstrate that they have not sold hot issues to restricted persons. The current Interpretation ranges from:

- (1) Providing no specific guidance whatsoever with respect to sales to associated persons of a member;
- (2) to requiring written certifications from foreign broker/dealers and foreign banks;
- (3) to requiring notations on and principal review of order tickets for sales to domestic banks and conduits for undisclosed principal (including registered investment advisers); and
- (4) to written representations from attorneys and/or certified public accountants for sales to certain hedge funds or investment partnerships.

The proposed rule eliminates these various requirements and instead imposes an annual verification requirement on those accounts that purchase hot issues. Specifically, the proposed rule states that "[b]efore selling a hot issue to any account, a member must have obtained within the previous twelve months documentary evidence from the account holder, or a person authorized to represent the beneficial owners of the account or the ultimate purchasers if the account is a conduit account, demonstrating that no

restricted person or ultimate purchaser in the case of a conduit account, has a beneficial interest in the account, except as permitted under the rule." Under the proposed rule, a member may rely upon the written representation furnished by the customer unless it has reason to believe that the representation is inaccurate. The proposed rule requires that members shall maintain a copy of all records and information used to determine that an account does not contain restricted persons in its files for at least three years following the member's last sale of a hot issue to that account.

8. Other Changes/Miscellaneous. In addition to the changes described above, the proposed rule also makes a number of minor modifications.

Sales to Certain Immediate Family Members of Associated Persons. The proposed rule modifies the exemption for sales to members of the immediate family of an officer, director, general partner, employee or agent of a member or another broker/dealer (collectively referred to as "associated persons"). Currently, members of the immediate family of an associated person may not purchase hot issues from the firm employing the associated person. The proposed rule would expand this prohibition to include affiliates of the firm employing the associated person. As some firms establish affiliated broker/dealers, including online affiliates, this change is necessary to clarify that immediate family members of associated persons cannot use either the traditional or online distribution channel to circumvent the prohibitions on sales to them.

Second, the proposed rule modifies the exemption for sales of hot issues to immediate family members of an associated person to prevent sales to any immediate family members if the associated person directly or indirectly provides material support to, or receives material support from, the immediate family member. The decision to include the receipt of support from an immediate family member avoids situations where a broker, in exchange for money or other support from his or her parents, allocates hot issues to them.

Affiliates of Brokers/Dealers. The proposed rule also clarifies the restrictions on persons, natural and non-natural, that own more than a specified percentage of a broker/dealer. The definition of restricted person in the proposed rule includes an affiliate of a broker/dealer (other than a limited business broker/dealer) and any natural person or member of the person's immediate family who owns 10% or more or has contributed 10% or more of

⁷ See Letter to Phillip D. Parker, Debevoise & Plimpton, from Gary L. Goldsholle, NASD Regulation, dated May 28, 1999; Letter to Mark D. Fitterman, Morgan, Lewis & Bockius LLP, from Gary L. Goldsholle, NASD Regulation, dated May 17, 1999. (Copies of NASD Regulation exemptive and interpretative letters cited herein are available at the NASD Regulation web site at www.nasdr.com.)

the capital of a broker/dealer (other than a limited business broker/dealer). NASD Regulation believes that these standards are similar in scope but more clearly articulated than paragraph (b)(9) of the Interpretation.

Limited Business Broker/Dealer. The proposed rule also clarifies the meaning of limited business broker/dealer. The Interpretation currently treats as a limited business broker/dealer a member engaged solely in the purchase or sale of either investment company/variable contracts securities or direct participation program securities. The use of the term "engaged" has created some ambiguity where a firm is planning to expand into or phase out of a line of business. NASD Regulation believes it is more appropriate to look to what businesses a firm is "authorized" to engage in. In determining what business a firm is authorized to engage in, a member should look to the Form BD as well as any Restrictive Agreement.

Joint Back Office Broker/Dealers. The proposed rule also states that collective investment accounts that voluntarily register as broker/dealers for margin purposes ("joint back office broker/dealers"), or that have a joint back office broker/dealer subsidiary, are not automatically precluded from purchasing hot issues. This issue of joint back office broker/dealers first arose following the 1998 amendments to the Interpretation. Because the 1998 amendments expressly precluded sales of hot issues to an entity that owned a broker/dealer, the staff was approached by several hedge funds with joint back office broker/dealer subsidiaries that were suddenly precluded from purchasing hot issues even though investors in the funds were not restricted. Pursuant to its exemptive authority, the staff stated that the decision of a hedge fund or a subsidiary of a hedge fund to voluntarily register a broker/dealer for the purpose of receiving more favorable margin treatment under Federal Reserve Regulation T should not automatically preclude the hedge fund from purchasing hot issues. Rather, the staff concluded that sales of hot issues to a hedge fund should be based upon a determination of the beneficial owners, and not be a function of whether the fund has sought more favorable margin treatment. The proposed rule codifies this exemptive position⁸.

Beneficial Interest. The proposed rule also defines the term "beneficial

interest." Specifically, the term "beneficial interest" is defined as any ownership or other direct financial interest. In addition, consistent with the staff position articulated in Notice to Members 95-7, the definition states that the receipt of a management fee or performance based fee for operating a collective investment account shall not be considered a beneficial interest in the account.

Charitable Organizations. The proposed rule exempt sales to tax exempt charities organized under Section 501(c)(3) of the Internal Revenue Code. NASD Regulation believes that sales to charitable organizations are consistent with the purposes of the rule and foster a bona fide public distribution.

Anti-Dilution Provisions. The proposed rule also renames the "Venture Capital Investors" provisions of paragraph (h) of the Interpretation to "Anti-Dilution Provisions" to more accurately describe their effect and to avoid confusion about their scope. In addition, these provisions have been modified slightly to allow an equity holder to tack ownership where a company has been acquired by an issuer for purposes of meeting the one year holding period. This amendment is consistent with a staff interpretative position.⁹

Sales to Employee Benefits Plans. The provisions addressing employee benefits plans qualified under the Employee Retirement Income Security Act ("ERISA") also have been amended. The proposed new rule would exempt employee benefits plans qualified under ERISA so long as the plan sponsor is not a member or an affiliate. NASD Regulation believes that the concept of an "affiliate" is a more appropriate method for determining whether an ERISA plan should be able to purchase hot issues. The proposed new rule also exempts state and foreign government employee benefits plans that are subject to separate state or municipal regulation, consistent with a staff interpretative position.¹⁰

Conversion Offerings. Finally, the provisions addressing conversion offerings have been streamlined. The new provisions have been amended to expressly include insurance company demutualizations. In addition, the provisions exempt conversion offerings regardless of whether the shares offered to eligible participants are part of the

underwritten or non-underwritten offering. The proposed rule also eliminates the specific requirement for written notification to the member firm where the eligible purchaser is an associated person. The supervision of securities activity by associated persons is addressed in the NASD's supervision rules and need not be separately addressed or duplicated in the proposed rule.

Effective Date. The NASD will announce the effective date of the proposed rule change in a Notice to Members to be published no later than 60 days following Commission approval. The effective date will be 30 days following publication of the Notice to Members announcing Commission approval.

2. Statutory Basis

NASD Regulation believes that the proposed rule change is consistent with the provisions of Section 15A(b)(6)¹¹ of the Act, which requires, among other things, that the Association's rules must be designed to prevent fraudulent and manipulative acts and practices, to promote just and equitable principles of trade, and, in general, to protect investors and the public interest. NASD Regulation believes that the provisions of the new rule protect investors and the public interest by: ensuring that members make a bona fide public offering of securities at the public offering price; ensuring that members do not withhold securities in a public offering for their own benefit or use such securities to reward certain persons who are in a position to direct future business to the member; and ensuring that industry "insiders," including members and their associated persons, do not take advantage of their "insider" position in the industry to purchase hot issues for their own benefit at the expense of public customers.

B. Self-Regulatory Organization's Statement on Burden on Competition

NASD Regulation does not believe that the proposed rule change will result in any burden on competition that is not necessary or appropriate in furtherance of the purposes of the Act, as amended.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants, or Others

Written comments were neither solicited nor received.

⁸ See Letter to David Katz, Sidley & Austin, from Gary L. Goldsholle, NASD Regulation, dated January 20, 1999.

⁹ See Letter to Jeffrey Freiburger, Robert W. Baird & Co., Inc., from Gary L. Goldsholle, NASD Regulation, dated October 14, 1998.

¹⁰ See Letter to Adam J. Kansler, Proskauer Rose LLP, from Gary L. Goldsholle, NASD Regulation, dated April 26, 1999.

¹¹ 15 U.S.C. 78o-3(b)(6).

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

Within 35 days of the date of publication of this notice in the **Federal Register** or within such longer period (i) as the Commission may designate up to 90 days of such date if it finds such longer period to be appropriate and publishes its reasons for so finding or (ii) as to which the self-regulatory organization consents, the Commission will:

(A) by order approve such proposed rule change, or

(B) institute proceedings to determine whether the proposed rule change should be disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views, and arguments concerning the foregoing, including whether the proposed rule is consistent with the Act. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street, N.W., Washington, DC 20549-0609. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C 552, will be available for inspection and copying in the Commission's Public Reference Room. Copies of such filing will also be available for inspection and copying at the principal office of the NASD. All submissions should refer to File No. SR-NASD-99-60 and should be submitted by February 8, 2000.

For the Commission, by the Division of Market Regulations, pursuant to delegated authority.¹²

Margaret H. McFarland,
Deputy Secretary.

[FR Doc. 00-995 Filed 1-14-00; 8:45 am]

BILLING CODE 8010-01-M

UNITED STATES SENTENCING COMMISSION

Sentencing Guidelines for United States Courts

AGENCY: United States Sentencing Commission.

ACTION: Notice of proposed permanent amendments to the sentencing guidelines, policy statements, and commentary. Request for comment. Notice of public hearing.

SUMMARY: The Commission hereby gives notice of the following actions: (1) Two options for amending § 2D1.1 (Unlawful Manufacturing, Importing, Exporting, Trafficking, or Possession) to increase the penalties for methamphetamine offenses in response to the increased mandatory minimum penalties made by the Methamphetamine Trafficking Penalty Enhancement Act of 1998, Pub. L. 105-277; and (2) two options for amending § 2F1.1 (Fraud and Deceit) to implement the directive in the Identity Theft and Assumption Deterrence Act of 1998, Pub. L. 105-318.

The proposed amendments are presented in one of two formats. First, the amendments are proposed as specific revisions to the relevant guidelines and accompanying commentary. Bracketed text within a proposed amendment indicates that the Commission invites comment and suggestions for alternative policy choices; for example, a proposed enhancement of [2] levels indicates that the Commission is considering, and invites comment on, alternative policy choices regarding the appropriate level of enhancement. Second, the Commission has highlighted certain issues for comment and invites suggestions for how the Commission should respond to those issues.

DATES: (1) Proposed amendments.—Comment on the proposed amendments and issues for comment should be received by the Commission not later than March 10, 2000. (2) Public hearing.—The Commission has scheduled a public hearing for March 23, 2000, at the Thurgood Marshall Federal Judiciary Building, One Columbus Circle, N.E. Washington, D.C. 20002-8002 (time to be announced). The scope of the hearing is expected to include all permanent amendments that are proposed for action in this amendment cycle ending May 1, 2000, including the proposed re-promulgation of the temporary, emergency telemarketing fraud amendment described in 64 FR 72129 (1999). A person who desires to testify at the public hearing should notify Michael Courlander, Public Affairs Officer, at (202) 502-4590 not later than March 10, 2000. Written testimony for the hearing must be received by the Commission not later than March 16, 2000. Submission of written testimony is a requirement for testifying at the public hearing.

ADDRESSES: Send comments to: United States Sentencing Commission, One Columbus Circle, NE, Suite 2-500 South, Washington, DC 20002-8002, Attention: Public Information-Public Comment.

FOR FURTHER INFORMATION CONTACT: Michael Courlander, Public Affairs Officer, Telephone: (202) 502-4590.

SUPPLEMENTARY INFORMATION: Reports and other additional information pertaining to the proposed amendments described in this notice may be accessed through the Commission's website at www.ussc.gov.

Authority: 28 U.S.C. 994(a), (o), (p), (x); USSC Rules of Practice and Procedure 4.3, 4.4.

Diana E. Murphy,
Chair.

Proposed Amendment: Methamphetamine

(1) Synopsis of Proposed Amendment: This proposed amendment responds to the Methamphetamine Trafficking Penalty Enhancement Act of 1998, Pub. L. 105-277. That Act effectively increased the mandatory minimum sentences for methamphetamine trafficking offenses by cutting in half the quantities of methamphetamine mixture and methamphetamine substance (*i.e.*, methamphetamine-actual) necessary to trigger the five-and ten-year mandatory minimum statutory penalties applicable to methamphetamine trafficking offenses. Under 21 U.S.C. 841(b)(1)(B)(viii), as amended by the Act, the 5-year mandatory minimum is triggered if the offense involves 5 grams or more of methamphetamine-actual or 50 grams or more of methamphetamine-mixture. Under 21 U.S.C. 841(b)(1)(A)(viii), as amended by the Act, the 10-year mandatory minimum is triggered if the offense involves 50 grams or more of methamphetamine-actual or 500 grams or more of methamphetamine-mixture. This proposed amendment presents two options for changes to the guideline for drug trafficking, § 2D1.1, particularly the Drug Quantity Table, that would respond to the Act.

Option 1 changes the calculations in the Drug Quantity Table in § 2D1.1 for methamphetamine substance (*i.e.*, methamphetamine-actual) and "Ice" (*i.e.*, d-methamphetamine hydrochloride of at least 80% purity) to conform the quantities for those drugs to the quantities that now trigger the statutory 5- and 10-year mandatory minimums.

Option 2 generally proposes to eliminate the distinction between methamphetamine-actual and

¹² 17 CFR 200.30-3(a)(12).

methamphetamine-mixture and generally sentence all methamphetamine offenses based on the weight of pure methamphetamine. There are two exceptions to this general rule. The first exception would continue the guideline presumption that "Ice" methamphetamine is 100 percent pure, even though in reality it is typically only 80–90 percent pure. Thus, if the offense involved "Ice", the weight of the entire "Ice" mixture would be used. The second exception would address the situation in which the purity of the methamphetamine-mixture in a given case may not always be known or readily determinable. To handle the contingency of unknown purity, the guidelines could establish a presumptive purity of, perhaps, 50 percent to be used only when purity is unknown.

An issue for comment follows the presentation of the options regarding whether the Commission should consider making changes to the Drug Equivalency Table in § 2D1.1, relating to Phenylacetone/P2P, when possessed for the purpose of manufacturing methamphetamine, and whether it should change the Chemical Quantity Table in § 2D1.11, relating to any chemical referenced in that table that is used to manufacture methamphetamine, in order to reflect the increased harm associated with methamphetamine offenses.

Proposed Amendment—Option 1

Section 2D1.1(c)(1) is amended by striking "3 KG or more" before "of Methamphetamine (actual)" and inserting "1.5 KG or more" and by striking "3 KG or more" before "of 'Ice'" and inserting "1.5 KG or more".

Section 2D1.1(c)(2) is amended by striking "at least 1 KG but less than 3 KG" before "of Methamphetamine (actual)" and inserting "at least 500 G but less than 1.5 KG" and by striking "at least 1 KG but less than 3 KG" before "of 'Ice'" and inserting "at least 500 G but less than 1.5 KG".

Section 2D1.1(c)(3) is amended by striking "at least 300 G but less than 1 KG" before "of Methamphetamine (actual)" and inserting "at least 150 G but less than 500 G" and by striking "at least 300 G but less than 1 KG" before "of 'Ice'" and inserting "at least 150 G but less than 500 G".

Section 2D1.1(c)(4) is amended by striking "at least 100 G but less than 300 G" before "of Methamphetamine (actual)" and inserting "at least 50 G but less than 150 G" and by striking "at least 100 G but less than 300 G" before "of 'Ice'" and inserting "at least 50 G but less than 150 G".

Section 2D1.1(c)(5) is amended by striking "at least 70 G but less than 100 G" before "of Methamphetamine (actual)" and inserting "at least 35 G but less than 50 G" and by striking "at least 70 G but less than 100 G" before "of 'Ice'" and inserting "at least 35 G but less than 50 G".

Section 2D1.1(c)(6) is amended by striking "at least 40 G but less than 70 G" before "of Methamphetamine (actual)" and inserting "at least 20 G but less than 35 G" and by striking "at least 40 G but less than 70 G" before "of 'Ice'" and inserting "at least 20 G but less than 35 G".

Section 2D1.1(c)(7) is amended by striking "at least 10 G but less than 40 G" before "of Methamphetamine (actual)" and inserting "at least 5 G but less than 20 G" and by striking "at least 10 G but less than 40 G" before "of 'Ice'" and inserting "at least 5 G but less than 20 G".

Section 2D1.1(c)(8) is amended by striking "at least 8 G but less than 10 G" before "of Methamphetamine (actual)" and inserting "at least 4 G but less than 5 G" and by striking "at least 8 G but less than 10 G" before "of 'Ice'" and inserting "at least 4 G but less than 5 G".

Section 2D1.1(c)(9) is amended by striking "at least 6 G but less than 8 G" before "of Methamphetamine (actual)" and inserting "at least 3 G but less than 4 G"; and by striking "at least 6 G but less than 8 G" before "of 'Ice'" and inserting "at least 3 G but less than 4 G".

Section 2D1.1(c)(10) is amended by striking "at least 4 G but less than 6 G" before "of Methamphetamine (actual)" and inserting "at least 2 G but less than 3 G" and by striking "at least 4 G but less than 6 G" before "of 'Ice'" and inserting "at least 2 G but less than 3 G".

Section 2D1.1(c)(11) is amended by striking "at least 2 G but less than 4 G" before "of Methamphetamine (actual)" and inserting "at least 1 G but less than 2 G"; and by striking "at least 2 G but less than 4 G" before "of 'Ice'" and inserting "at least 1 G but less than 2 G".

Section 2D1.1(c)(12) is amended by striking "at least 1 G but less than 2 G" before "of Methamphetamine (actual)" and inserting "at least 500 MG but less than 1 G"; and by striking "at least 1 G but less than 2 G" before "of 'Ice'" and inserting "at least 500 MG but less than 1 G".

Section 2D1.1(c)(13) is amended by striking "at least 500 MG but less than 1 G" before "of Methamphetamine (actual)" and inserting "at least 250 MG but less than 500 MG"; and by striking

"at least 500 MG but less than 1 G" before "of 'Ice'" and inserting "at least 250 MG but less than 500 MG".

Section 2D1.1(c)(14) is amended by striking "less than 500 MG" before "of Methamphetamine (actual)" and inserting "less than 250 MG"; and by striking "less than 500 MG" before "of 'Ice'" and inserting "less than 250 MG".

The Commentary to § 2D1.1 captioned "Application Notes" is amended in Note 10 in the subdivision of the "Drug Equivalency Tables" captioned "Cocaine and Other Schedule I and II Stimulants (and their immediate precursors)" in the line referenced to "Methamphetamine (Actual)" by striking "10 kg" and inserting "20 kg".

The Commentary to § 2D1.1 captioned "Application Notes" is amended in Note 10 in the subdivision of the "Drug Equivalency Tables" captioned "Cocaine and Other Schedule I and II Stimulants (and their immediate precursors)" in the line referenced to "Ice" by striking "10 kg" and inserting "20 kg".

Option 2

Section 2D1.1(c)(1) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"1.5 KG or more of Methamphetamine, or 1.5 KG or more of 'Ice';".

Section 2D1.1(c)(2) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 500 G but less than 1.5 KG of Methamphetamine, or at least 500 G but less than 1.5 KG of 'Ice';".

Section 2D1.1(c)(3) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 150 G but less than 500 G of Methamphetamine, or at least 150 G but less than 500 G of 'Ice';".

Section 2D1.1(c)(4) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 50 G but less than 150 G of Methamphetamine, or at least 50 G but less than 150 G of 'Ice';".

Section 2D1.1(c)(5) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 35 G but less than 50 G of Methamphetamine, or at least 35 G but less than 50 G of 'Ice'"

Section 2D1.1(c)(6) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 20 G but less than 35 G of Methamphetamine, or at least 20 G but less than 35 G of 'Ice'";

Section 2D1.1(c)(7) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 5 G but less than 20 G of Methamphetamine, or at least 5 G but less than 20 G of 'Ice'";

Section 2D1.1(c)(8) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 4 G but less than 5 G of Methamphetamine, or at least 4 G but less than 5 G of 'Ice'";

Section 2D1.1(c)(9) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 3 G but less than 4 G of Methamphetamine, or at least 3 G but less than 4 G of 'Ice'";

Section 2D1.1(c)(10) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 2 G but less than 3 G of Methamphetamine, or at least 2 G but less than 3 G of 'Ice'";

Section 2D1.1(c)(11) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 1 G but less than 2 G of Methamphetamine, or at least 1 G but less than 2 G of 'Ice'";

Section 2D1.1(c)(12) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 500 MG but less than 1 G of Methamphetamine, or at least 500 MG but less than 1 G of 'Ice'";

Section 2D1.1(c)(13) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"At least 250 MG but less than 500 MG of Methamphetamine, or at least 250 MG but less than 500 MG of 'Ice'";

Section 2D1.1(c)(14) is amended by striking the line referenced to "Methamphetamine" in its entirety and inserting:

"Less than 250 MG of Methamphetamine, or less than 250 MG of 'Ice'";

Subsection 2D1.1(c) is amended in the part captioned "Notes to the Drug Quantity Table" in Note (B) in the first sentence by striking "and Methamphetamine (actual)"; by striking "refer" and inserting "refers"; and by striking ", itself,"; and in the third sentence by striking "or methamphetamine"; and by striking "or methamphetamine (actual)".

Subsection 2D1.1(c) is amended in the part captioned "Notes to the Drug Quantity Table" by redesignating Notes (C) through (J), as Notes (D) through (K), respectively; and by inserting after Note (B) the following new Note (C):

"(C) The term 'Methamphetamine' refers to the weight of the controlled substance contained in the mixture or substance. For example, a mixture weighing 10 grams containing Methamphetamine at 50% purity contains 5 grams of Methamphetamine. In any case in which the purity of the Methamphetamine contained in a mixture or substance is not known, it shall be presumed that the purity of the mixture or substance is [10%][20%][30%][40%][50%]. To calculate the quantity used to determine the offense level, multiply the entire weight of the mixture or substance by [10%][20%][30%][40%][50%]. The resulting quantity shall be used to determine the offense level."

The Commentary to § 2D1.1 captioned "Application Notes" is amended in Note 10 in the subdivision of the "Drug Equivalency Tables" captioned "Cocaine and Other Schedule I and II Stimulants (and their immediate precursors)" by striking the line referenced to "Methamphetamine" in its entirety.

The Commentary to § 2D1.1 captioned "Application Notes" is amended in Note 10 in the subdivision of the "Drug Equivalency Tables" captioned "Cocaine and Other Schedule I and II Stimulants (and their immediate precursors)" in the line referenced to "Methamphetamine (Actual)" by striking "(Actual)"; and by striking "10 kg" and inserting "20 kg".

The Commentary to § 2D1.1 captioned "Application Notes" is amended in Note 10 in the subdivision of the "Drug Equivalency Tables" captioned "Cocaine and Other Schedule I and II Stimulants (and their immediate precursors)" in the line referenced to "Ice" by striking "10 kg" and inserting "20 kg".

Issue for Comment: The Commission invites comment on whether it should change the Drug Equivalency Table in § 2D1.1, relating to Phenylacetone/P2P, when possessed for the purpose of manufacturing Methamphetamine, and whether it should change the Chemical Quantity Table in § 2D1.11, relating to any chemical referenced in that table that is used to manufacture Methamphetamine, in order to reflect the increased harm associated with Methamphetamine offenses. If so, what should those equivalencies be?

Proposed Amendment: Identity Theft

(2) Synopsis of Proposed Amendment: The Identity Theft and Assumption Deterrence Act of 1998 (the "Act"), Pub. L. 105-318, amended 18 U.S.C. § 1028 to criminalize the unauthorized use or transfer of a means of identification with the intent to commit or aid or abet any federal violation or state felony. In addition, the Act directed the Commission to "provide an appropriate penalty for each offense under section 1028 of title 18, United States Code." In carrying out this directive the Act instructed the Commission to consider the following factors:

(1) the extent to which the number of victims (as defined in section 3663A(a) of title 18, United States Code) involved in the offense, including harm to reputation, inconvenience, and other difficulties resulting from the offense, is an adequate measure for establishing penalties under the Federal sentencing guidelines;

(2) the number of means of identification, identification documents, or false identification documents involved in the offense is an adequate measure for establishing penalties under the Federal sentencing guidelines;

(3) the extent to which the value of loss to any individual caused by the offense is an adequate measure for establishing penalties under the Federal sentencing guidelines;

(4) the range of conduct covered by the offense;

(5) the extent to which sentencing enhancements within the Federal sentencing guidelines and the court's authority to sentence above the applicable guideline range are adequate to ensure punishment at or near the maximum penalty for the most egregious conduct covered by the offense;

(6) the extent to which Federal sentencing guidelines sentences for the offenses have been constrained by statutory maximum penalties;

(7) the extent to which Federal sentencing guidelines for the offenses adequately achieve the purposes of sentencing set forth in section 3553(a)(2) of title 18, United States Code; and

(8) any other factor that the United States Sentencing Commission considers to be appropriate.

There are two options to implement this directive. Option 1 provides a two-prong enhancement, with a two-level increase and a minimum offense level of [10][11][12][13], if the offense involved (A) the use of any identifying information of an individual victim to obtain or make any unauthorized identification means of that individual

victim; or (B) the possession of [5] or more unauthorized identification means. The subject of the term “unauthorized identification means” is the item that is obtained or made by using an individual victim’s identifying information. For example, in a case involving a credit card that was obtained by using an individual victim’s name, date of birth, and social security number, the credit card would be the unauthorized identification means. Option 2 proposes two separate enhancements to implement the directive. The first enhancement provides a two-level increase and minimum offense level of [10][12] for harm to an individual’s reputation or credit standing, inconvenience related to the correction of records or restoration of an individual’s reputation or credit standing, or similar difficulties. The corresponding application note provides that this enhancement only applies if those harms are more than minimal. The second proposed enhancement provides a two-level increase if the offense involved the production or transfer of 6 or more identification documents, false identification documents, or means of identification. This provision specifies that the two-level increase is not to be applied if the defendant’s conduct also resulted in an increase under § 2F1.1(b)(1) (the fraud loss table).

Several issues for comment follow the presentation of the options.

Proposed Amendment—Option 1

Section 2F1.1(b) is amended by redesignating subdivisions (6) and (7) as subdivisions (7) and (8), respectively; and by inserting after subdivision (5) the following new subdivision (6):

(6) If the offense involved (A) the use of any identifying information of an individual victim to obtain or make any unauthorized identification means of that individual victim; or (B) the possession of [5] or more unauthorized identification means, increase by [2] levels. If the resulting offense level is less than level [10][11][12][13], increase to level [10][11][12][13].”

The Commentary to § 2F1.1 captioned “Application Notes” is amended by striking Note 8(c) in its entirety and inserting:

(c) Consequential Damages in Procurement Fraud Cases, Product Substitution Cases, and Cases Involving Unauthorized Identification Means

In contrast to other types of cases, loss in a case involving procurement fraud, product substitution, or unauthorized identification means includes not only direct damages, but also consequential damages that were reasonably

foreseeable. For example, in a case involving a defense product substitution offense, the loss includes the government’s reasonably foreseeable costs of making substitute transactions and handling or disposing of the product delivered or retrofitting the product so that it can be used for its intended purpose, plus the government’s reasonably foreseeable cost of rectifying the actual or potential disruption to government operations caused by the product substitution. In the case of fraud affecting a defense contract award, loss includes the reasonably foreseeable administrative cost to the government and other participants of repeating or correcting the procurement action affected, plus any increased cost to procure the product or service involved that was reasonably foreseeable. Similarly, in a case involving unauthorized identification means, loss includes any reasonably foreseeable, consequential damages incurred by the individual victim. For example, such damages include attorneys fees, travel expenses, costs of duplicating records, long distance phone calls, or any other costs incurred to repair a damaged credit record.

Inclusion of reasonably foreseeable consequential damages directly in the calculation of loss in procurement fraud and product substitution cases reflects that such damages frequently are substantial in such cases. Inclusion of such damages directly in the calculation of loss in an offense involving unauthorized identification means reflects the seriousness of the offense, particularly with respect to the individual victim, regardless of whether the loss to the individual victim is substantial.”

The Commentary to § 2F1.1 captioned “Application Notes” is amended by striking Note 12 in its entirety and inserting:

“12. Offenses involving access devices, in violation of 18 U.S.C. § 1029, are also covered by this guideline. In such a case, an upward departure may be warranted when the actual loss does not adequately reflect the seriousness of the conduct.”

The Commentary to § 2F1.1 captioned “Application Notes” is amended by redesignating Notes 16 through 20 as Notes 18 through 22, respectively; and by inserting after Note 15 the following new Notes 16 and 17:

“16. For purposes of subsection (b)(6) and Application Note 8(c)—

‘Identifying information’ means any ‘means of identification’ as that term is defined in 18 U.S.C. § 1028(d)(3).

‘Individual victim’ means an individual, other than the defendant or any individual involved in the jointly undertaken criminal activity, whose identifying information was used to obtain or make an unauthorized identification means. ‘Individual victim’ does not include a fictitious individual.

‘Unauthorized identification means’ means any identifying information that has been obtained or made from any other identifying information without the authorization of the individual victim whose identifying information appears on, or as part of, that unauthorized identification means. For example, in a case involving a credit card that had been obtained by using the name, date of birth, and social security number of an individual victim, the ‘unauthorized identification means’ would be the credit card and the ‘other identifying information’ would be the individual victim’s name, date of birth, and social security number.

17. Offenses involving identification documents and means of identification, in violation of 18 U.S.C. § 1028, are covered by this guideline. If (A) the offense involved unauthorized identification means, or the unlawful production, transfer, possession, or use of an identification document; and (B) the primary purpose of the offense was to violate, or assist another to violate, the law pertaining to naturalization, citizenship, or legal resident status, apply § 2L2.1 or § 2L2.2, as appropriate, rather than § 2F1.1.

Subsection (b)(6)(A) provides an enhancement in any case in which any identifying information of an individual victim is used, without that individual’s authorization, to obtain or make an unauthorized identification means. This subsection would apply, for example, when a defendant obtains another individual’s name and social security number from a source (e.g., from a stolen wallet) and obtains and uses a credit card in that individual’s name, without the individual’s authorization. This subsection would not apply, however, if the defendant uses a credit card from a stolen wallet only to make a purchase. In such a case, the defendant has not used the stolen credit card to obtain or make an unauthorized identification means.

Subsection (b)(6)(B) provides an enhancement in any case in which the offense involved the possession of [five] or more unauthorized identification means. The enhancement applies regardless of whether the possession is with respect to one individual victim or more than one individual victim. For example, the enhancement applies if the offense involved (A) the possession of

[three] unauthorized identification means of one individual victim and [two] unauthorized identification means of another individual victim; or (B) the possession of one unauthorized identification means of [five] individual victims.

In a case involving unauthorized identification means, an upward departure may be warranted if the offense level does not adequately address the seriousness of the offense. Examples may include the following:

(a) an individual victim is erroneously arrested because the defendant used an unauthorized identification means of the victim in connection with some criminal conduct, or the individual victim is denied a job because an arrest record has been made in the victim's name;

(b) the extent of the offense conduct is such that the defendant established or made numerous unauthorized identification means with respect to one individual victim, essentially assuming and living under that victim's identity."

The Commentary to § 2F1.1 captioned "Application Notes" is amended in Note 20, as redesignated by this amendment (formerly Note 18), by striking "(7)" and inserting "(8)".

The Commentary to § 2F1.1 captioned "Application Notes" is amended in Note 22, as redesignated by this amendment (formerly Note 20), by striking "(b)(7)(A) or (B)" and inserting "(b)(6) or (b)(8)(A) or (B)".

The Commentary to § 2F1.1 captioned "Background" is amended by inserting after the fifth paragraph the following new paragraphs:

"A minimum offense level of [10][11][12][13] is provided in subsection (b)(6) for offenses involving unauthorized identification means, in part, because of the seriousness of the offense. The minimum offense level accounts for the fact that the unauthorized identification means often are within the defendant's exclusive control, making it difficult for the individual victim to detect that his or her identity has been 'stolen' and used to obtain or make unauthorized identification means. Generally, the individual victim does not become aware of the offense until certain harms have already occurred (e.g., a damaged credit rating or inability to obtain a loan). The minimum offense level also is provided because some of the harm to the individual victim whose identifying information is part of the unauthorized identification means may be difficult or impossible to quantify (e.g., harm to the individual victim's reputation or credit rating, inconvenience, and other difficulties resulting from the offense).

Subsection (b)(6) implements the instruction to the Commission in section 4 of Public Law 105-318."

The Commentary to § 2F1.1 captioned "Background" is amended in the ninth paragraph (formerly the seventh paragraph) by striking "(6)" and inserting "(7)".

The Commentary to § 2F1.1 captioned "Background" is amended in the tenth paragraph (formerly the eighth paragraph) by striking "(7)" and inserting "(8)".

The Commentary to § 2F1.1 captioned "Background" is amended in the eleventh paragraph (formerly the ninth paragraph) by striking "(7)" and inserting "(8)".

Option 2

Section 2F1.1(b) is amended by redesignating subdivision (7) as subdivision (9); and by inserting after subdivision (6) the following new subdivisions (7) and (8):

(7) If the offense involved (A) harm to an individual's reputation or credit standing, inconvenience related to the correction of records or restoration of an individual's reputation or credit standing, or similar difficulties; and (B) such harm, inconvenience, or difficulties were more than minimal, increase by 2 levels. If the resulting offense level is less than level [10] [12], increase to level [10] [12].

(8) If the offense involved the production or transfer of 6 or more identification documents, false identification documents, or means of identification, increase by 2 levels. Do not apply this increase if the defendant's conduct also resulted in an increase under subdivision (1)".

The Commentary to § 2F1.1 captioned "Application Notes" is amended in Note 12 in the first sentence by inserting " , means of identification," after "identification documents"; in the second sentence by inserting "or means of identification" after "identification documents"; and in the third sentence by striking "false identification documents or".

The Commentary to § 2F1.1 captioned "Application Notes" is amended by redesignating Notes 16 through 20 as Notes 17 through 21, respectively; and by inserting after Note 15 the following new Note 16:

"16. Subsection (b)(7) provides an upward adjustment of 2 levels and a floor of level [10] [12] for harm to an individual's reputation or credit standing, inconvenience related to the correction of records or restoration of an individual's reputation or credit standing, or similar difficulties. However, such harm, inconvenience, or

similar difficulties must be more than minimal in order to qualify. Thus, for example, neither an individual's speculation about potential harm to his or her reputation or credit standing nor a single, negative credit entry that was corrected in a short time would qualify for the 2-level adjustment under this subsection, but a showing of multiple, negative credit entries or a poor credit rating would. If the offense involved a level of harm, inconvenience, or other difficulty not adequately addressed by subsection (b)(7) or by § 2F1.1 in general, an upward departure may be warranted. For example, if the wrong person were arrested because of the fraudulent use of such person's means of identification by another, or if an individual's identity were completely taken over by another, an upward departure would be warranted to recognize the extraordinary harm to the victim's reputation or the resulting inconvenience in the restoration of his or her reputation or the necessary correction of records. Moreover, harm of the type described in subsection (b)(7) to a significant number of individuals would also warrant an upward departure."

The Commentary to § 2F1.1 captioned "Application Notes" is amended in Note 19, as redesignated by this amendment (formerly Note 18), by striking "(7)" and inserting "(9)".

The Commentary to § 2F1.1 captioned "Application Notes" is amended in Note 21, as redesignated by this amendment (formerly Note 20), by striking "(7)" and inserting "(9)".

The Commentary to § 2F1.1 captioned "Background" is amended in the eighth and ninth paragraphs by striking "(7)" and inserting "(9)" each place it appears.

Issues for Comment

The Commission invites comment on the following issues pertaining to identity theft:

1. The proposed amendment in Option 1 provides a two-level enhancement in the fraud guideline for the possession of [5] or more unauthorized identification means. The enhancement, as proposed, applies regardless of whether the offense involves the possession of unauthorized identification means of one individual victim or more than one individual victim as long as at least [5] unauthorized identification means were possessed. Should the Commission consider providing an additional part to the proposed enhancement that would increase sentences based on the number of individual victims involved in the offense? If so, on what number of

individual victims should the enhancement be based?

The Commission also invites comment on whether it should provide an additional increase, cumulative to the 2-level increase already proposed in Option 1, for cases involving specified numbers of individual victims or unauthorized identification means. For example, such an enhancement could provide an additional [4-level] enhancement if the offense involved more than [10–25] unauthorized identification means and/or more than [5–25] individual victims. Alternatively, should the Commission provide an upward departure for cases involving a large number of unauthorized identification means and/or a large number of individual victims?

2. The proposed amendment in Option 1 limits the enhancement for identity theft to the fraud guideline. Given the breadth of offense conduct covered by 18 U.S.C. § 1028, should the Commission also provide a similar sentencing increase (including, if appropriate, an enhancement that ties offense level increases to specified numbers of identification means) for identity theft conduct in [any or] all other economic crime guidelines (e.g., § 2B1.1 (Theft), § 2S1.1 (Laundering of Monetary Instruments), § 2T1.4 (Tax Fraud))?

3. Given the breadth of offense conduct covered by 18 U.S.C. § 1028, as an alternative to amending Chapter Two, should the Commission amend Chapter Three of the Guidelines Manual, relating to general adjustments, to provide a new adjustment that would apply in every case that involves the unauthorized use of an identification means? If so, how should that adjustment be structured (e.g., should there be a table or tiered adjustment based on the number of unauthorized identification means involved in the offense)? Should the adjustment also include the unauthorized use of any identification document or the use of any false identification document?

4. As an alternative to a Chapter Three adjustment, should the Commission amend Chapter Five, Part K, of the Guidelines Manual, relating to departures, to encourage a departure above the authorized guideline sentence in any case involving the unauthorized use of an identification means if the guideline range does not adequately reflect the seriousness of the offense conduct?

5. The Treasury Department has recommended that the Commission amend its current minimum loss amount rule for stolen credit card offenses in § 2B1.1 (a minimum loss

amount of \$100 per credit card) to include all access devices, and that the minimum loss amount be increased to \$1000 per access device. Given that the Identity Theft and Assumption Deterrence Act of 1998 included access devices in the definition of “means of identification,” the Commission invites comment on whether it should consider amending that rule to include all access devices (such as debit cards, bank account numbers, electronic serial numbers, and mobile identification numbers) and to place that amended rule in § 2F1.1. Such a rule would have the effect of subjecting an offense that involves an unauthorized identification means that is a credit card number to the same minimum loss amount as an offense that involves the stolen credit card itself. If the Commission should consider such an amendment, should the Commission additionally amend the rule to increase the minimum loss amount per access device, for example [\$500][\$750][\$1000] per access device? (Such an amendment may need to be coordinated with efforts to revise the theft guideline in connection with offenses involving access devices and cellular phone cloning.)

6. Commission data indicate that a high portion of offenders involved in identity theft conduct have previously been convicted of similar offense conduct at either the state or federal level. Although Chapter Four addresses criminal history, the Commission has provided enhancements in certain Chapter Two guidelines for prior similar conduct (e.g., §§ 2L2.1(b)(4) and 2L2.2(b)(2), which provide two- and four-level increases if “the defendant committed any part of the instant offense after sustaining one or more convictions for felony immigration and naturalization offenses”). Should the Commission provide an enhancement in the relevant Chapter Two guideline (§ 2F1.1, if the Commission adopts a limited approach to identity theft) or guidelines (the economic crime guidelines, if the Commission adopts a more expansive approach to identity theft) if the defendant had previously been convicted of conduct similar to identity theft? If so, what is the appropriate number of levels for the enhancement? Should such an enhancement require a minimum offense level?

[FR Doc. 00–1075 Filed 1–14–00; 8:45 am]

BILLING CODE 2210–40–P

DEPARTMENT OF STATE

[Public Notice 3205]

Culturally Significant Objects Imported for Exhibition Determinations: “Music in the Age of Confucius”

ACTION: Notice.

SUMMARY: Notice is hereby given of the following determinations: Pursuant to the authority vested in me by the Act of October 19, 1965 (79 Stat. 985, 22 U.S.C. 2459), the Foreign Affairs Reform and Restructuring Act of 1998 (112 Stat. 2681, *et seq.*), Delegation of Authority No. 234 of October 1, 1999, and Delegation of Authority of October 19, 1999, I hereby determine that the objects to be included in the exhibition “Music in the Age of Confucius,” imported from abroad for the temporary exhibition without profit within the United States, are of cultural significance. These objects are imported pursuant to loan agreements with foreign lenders. I also determine that the exhibition or display of the exhibit objects at the Smithsonian’s, Freer Gallery of Art and Arthur M. Sackler Gallery, from on or about April 30 to September 17, 2000, is in the national interest. Public Notice of these Determinations is ordered to be published in the **Federal Register**.

FOR FURTHER INFORMATION CONTACT: For further information, including a list of exhibit objects, contact Carol Epstein, Attorney-Adviser, Office of the Legal Adviser, U.S. Department of State (telephone: 202–619–6981). The address is U.S. Department of State, SA–44; 301–4th Street, S.W., Room 700, Washington, D.C. 20547–0001.

Dated: January 9, 2000.

William B. Bader,

Assistant Secretary for Educational and Cultural Affairs, U.S. Department of State.

[FR Doc. 00–1077 Filed 1–14–00; 8:45 am]

BILLING CODE 4710–08–U

DEPARTMENT OF STATE

[Public Notice 3205]

Culturally Significant Objects Imported for Exhibition Determinations: “The Topkapi Palace: Jewels and Treasures of the Sultans”

DEPARTMENT: United States Department of State.

ACTION: Notice.

SUMMARY: Notice is hereby given of the following determinations: Pursuant to the authority vested in me by the Act of October 19, 1965 (79 Stat. 985, 22 U.S.C. 2459), the Foreign Affairs Reform and

Restructuring Act of 1998 (112 Stat. 2681, *et seq.*), Delegation of Authority No. 234 of October 1, 1999, and Delegation of Authority of October 19, 1999, I hereby determine that the objects to be included in the exhibition "The Topkapi Palace: Jewels and Treasures of the Sultans," imported from abroad for the temporary exhibition without profit within the United States, are of cultural significance. These objects are imported pursuant to loan agreements with foreign lenders. I also determine that the exhibition or display of the exhibit objects at the Corcoran Gallery of Art, the San Diego Museum of Art and the Fort Lauderdale Museum of Art from on or about March 1, 2000, to on or about October 15, 2001, is in the national interest. Public Notice of these Determinations is ordered to be published in the **Federal Register**.

FOR FURTHER INFORMATION CONTACT: For further information, including a list of exhibit objects, contact Carol Epstein, Attorney-Adviser, Office of the Legal Adviser, U.S. Department of State (telephone: 202-619-6981). The address is U.S. Department of State, SA-44; 301-4th Street, S.W., Room 700, Washington, D.C. 20547-0001.

Dated: January 9, 2000.

William B. Bader,

Assistant Secretary for Educational and Cultural Affairs, U.S. Department of State.

[FR Doc. 00-1076 Filed 1-14-00; 8:45 am]

BILLING CODE 4710-08-U

DEPARTMENT OF STATE

[Public Notice No. 3187]

Shipping Coordinating Committee; Subcommittee on Safety of Life at Sea and Associated Bodies Working Group on Stability and Load Lines and on Fishing Vessels Safety; Notice of Meeting

The Working Group on Stability and Load Lines and on Fishing Vessels Safety of the Subcommittee on Safety of Life at Sea will conduct an open meeting at 9 a.m. on Monday, January 31, 2000, in Room 6103, at U.S. Coast Guard Headquarters, 2100 Second Street, SW, Washington, DC 20593-0001. This meeting will discuss the upcoming 43RD Session of the Subcommittee on Stability and Load Lines and on Fishing Vessels Safety (SLF) and associated bodies of the International Maritime Organization (IMO) which will be held on September 11-15, 2000, at the IMO Headquarters in London, England.

Items of discussion will include the following:

- a. Review of results from last SLF meeting (SLF 42),
 - b. Harmonization of damage stability provisions in the IMO instruments,
 - c. Revision of technical regulations of the 1966 International Load Line Convention,
 - d. Revision of the High Speed Craft Code,
 - e. Development of the damage consequence diagrams for inclusion in damage control plan guidelines, and
 - f. Revisions to the Fishing Vessel Safety Code and Voluntary Guidelines
- Members of the public may attend this meeting up to the seating capacity of the room. Interested persons may seek information by writing: Mr. Paul Cojeen, U.S. Coast Guard Headquarters, Commandant (G-MSE-2), Room 1308, 2100 Second Street, SW, Washington, DC 20593-0001 or by calling (202) 267-2988.

Dated: January 5, 2000.

Stephen M. Miller,

Executive Secretary, Shipping Coordinating Committee.

[FR Doc. 00-984 Filed 1-14-00; 8:45 am]

BILLING CODE 4710-07-P

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

Notice of Intent To Rule on Application To Use the Revenue From a Passenger Facility Charge (PFC) at Hector International Airport, Fargo, North Dakota

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of Intent to Rule on Application.

SUMMARY: The FAA proposes to rule and invites public comment on the application to use the revenue from a PFC at Hector International Airport under the provisions of the Aviation Safety and Capacity Expansion Act of 1990 (Title IX of the Omnibus Budget Reconciliation Act of 1990) (Public Law 101-508) and Part 158 of the Federal Aviation Regulations (14 CFR Part 158). **DATES:** Comments must be received or before February 17, 2000.

ADDRESSES: Comments on this application may be mailed or delivered in triplicate to the FAA at the following address: Federal Aviation Administration, Bismarck Airports District Office, 2000 University Drive, Bismarck, North Dakota 58504.

In addition, one copy of any comments submitted to the FAA must be mailed or delivered to Mr. Shawn Dobberstein, Executive Director, of the

Municipal Airport Authority, Fargo, North Dakota at the following address: Municipal Airport Authority, P.O. Box 2845, Fargo, North Dakota 58108.

Air carriers and foreign air carriers may submit copies of written comments previously provided to the Municipal Airport Authority, Fargo, North Dakota under § 158.23 of Part 158.

FOR FURTHER INFORMATION CONTACT: Ms. Irene R. Porter, Manager, Bismarck Airports District Office, 2000 University Drive, Bismarck, North Dakota 58504, (701) 250-4385. The application may be reviewed in person at this same location.

SUPPLEMENTARY INFORMATION: The FAA proposes to rule and invite public comment on the application to use the revenue from a PFC at Hector International Airport under the provisions of the Aviation Safety and Capacity Expansion Act of 1990 (Title IX of the Omnibus Budget Reconciliation Act of 1990) (Public Law 101-508) and Part 158 of the Federal Aviation Regulations (14 CFR Part 158).

On December 29, 1999, the FAA determined that the application to use the revenue from a PFC submitted by the Municipal Airport Authority, Fargo, North Dakota was substantially complete within the requirements of § 158.25 of part 158. The FAA will approve or disapprove the application, in whole or in part, no later than March 29, 2000.

The following is a brief overview of the application.

PFC application number: 00-04-U-00-FAR.

Level of the PFC: \$3.00.

Actual charge effective date: January 1, 1997.

Estimated charge expiration date: February 1, 2000.

Total approved net PFC revenue: \$1,720,410.00.

Brief description of proposed project: Install a box culvert in Cass County Drain 10.

Class or classes of air carriers which the public agency has requested not be required to collect PFCs: Air Taxi/Commercial Operator (ATCO) Class Carriers filing FAA Form 1800-31.

Any person may inspect the application in person at the FAA office listed above under "**FOR FURTHER INFORMATION CONTACT.**"

In addition, any person may, upon request, inspect the application, notice and other documents germane to the application in person at the Municipal Airport Authority, Fargo, North Dakota—Executive Directors offices at the Hector International Airport.

Issued in Des Plaines, Illinois on January 5, 2000.

Benito De Leon,

*Manager, Planning and Programming Branch,
Airport Division, Great Lakes Region.*

[FR Doc. 00-1054 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-13-M

DEPARTMENT OF TRANSPORTATION

Federal Highway Administration

Environmental Impact Statement; Jefferson Parish, LA

AGENCY: Federal Highway
Administration (FHWA), DOT.

ACTION: Withdrawal of Notice of Intent.

SUMMARY: The FHWA is issuing this notice to advise the public that the Notice of Intent to prepare an environmental impact statement (EIS) for the proposed highway project in Jefferson Parish, Louisiana has been withdrawn. The Louisiana DOTD is not planning to pursue the project as proposed.

FOR FURTHER INFORMATION CONTACT: Mr. William C. Farr, Program Operations Manager, Federal Highway Administration, 5304 Flanders Drive, Suite A, Baton Rouge, Louisiana 70808 or Ms. Michele Deshotels, Environmental Impact Program Manager, Louisiana Department of Transportation and Development, Section 28, P.O. Box 94245, Baton Rouge, Louisiana 70804-9245, Telephone: (225) 929-9190.

SUPPLEMENTARY INFORMATION: A Notice of Intent was published (**Federal Register**, Vol. 47, No. 229) to prepare and environmental impact statement (EIS) on a proposal to extend LA-3134 from its terminus at the south end of Wagner's Ferry Bridge southwesterly through the town of Jean Lafitte crossing Bayou Barataria and terminating at LA-301 in Barataria. The proposed facility would have been a two-lane highway between 2.4 miles and 3.6 miles in length, depending upon the location. The proposed highway would have provided improved access to and from Jean Lafitte and Barataria.

Alternatives considered were: (1) No build; (2) a controlled access facility on structure; (3) a controlled access facility on embankment; and (4) upgrading LA-45 and a new bridge across Bayou Barataria between Jean Lafitte and Barataria.

There were no plans to hold a formal scoping meeting for the proposed actions. A public hearing would have been held at a convenient time and place for persons in the project area

after the Draft Environmental Impact Statement had been circulated. The hearing would have been announced through the local news media.

Comments and suggestions concerning the proposed action and the EIS were invited to be directed to the FHWA or Louisiana Department of Transportation and Development. (Catalog of Federal Domestic Assistance Program Number 20.205, Highway Research, Planning and Construction The regulations implementing Executive Order 12372 regarding intergovernmental consultation on Federal programs and activities apply to this program.)

Issued on: January 5, 2000.

William A. Sussmann,

Division Administrator, FHWA, Baton Rouge, Louisiana.

[FR Doc. 00-1110 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-22-M

DEPARTMENT OF TRANSPORTATION

Federal Railroad Administration

[Docket No. RSAC-96-1, Notice No. 20]

Railroad Safety Advisory Committee; Notice of Meeting

AGENCY: Federal Railroad Administration (FRA), Department of Transportation (DOT).

ACTION: Notice of Railroad Safety Advisory Committee ("RSAC") meeting.

SUMMARY: FRA announces the next meeting of the RSAC, a Federal Advisory Committee that develops railroad safety regulations through a consensus process. The meeting will address a wide range of topics, including possible adoption of specific recommendations for regulatory action. **DATES:** The meeting of the RSAC is scheduled to commence at 9:30 a.m. and conclude at 4 p.m. on Friday, January 28, 2000.

ADDRESSES: The meeting of the RSAC will be held at The Wyndham Washington DC Hotel, 1400 M Street NW, Washington, DC, (202) 429-1700. The meeting is open to the public on a first-come, first-served basis and is accessible to individuals with disabilities. Sign language interpreters can be made available for individuals with hearing impediments.

FOR FURTHER INFORMATION CONTACT: Vicky McCully, RSAC Coordinator, FRA, 1120 Vermont Avenue, NW, Stop 25, Washington, DC 20590, (202) 493-6305 or Grady Cothen, Deputy Associate Administrator for Safety Standards and Program Development, FRA, 1120 Vermont Avenue, NW, Stop 25, Washington, DC 20590, (202) 493-6302.

SUPPLEMENTARY INFORMATION: Pursuant to section 10(a)(2) of the Federal Advisory Committee Act (Pub. L. 92-463), FRA is giving notice of a meeting of the Railroad Safety Advisory Committee ("RSAC"). The meeting is scheduled to begin at 9:30 a.m. and conclude at 4 p.m. on Wednesday, September 8, 1999. The meeting will be held at The Wyndham Hotel, 1400 M Street, NW, Washington, DC. All times noted are Eastern Standard Time.

RSAC was established to provide advice and recommendations to the FRA on railroad safety matters. The Committee consists of 48 individual representatives, drawn from among 27 organizations representing various rail industry perspectives, and 2 associate non-voting representatives from the agencies with railroad safety regulatory responsibility in Canada and Mexico. Staff of the National Transportation Safety Board and Federal Transit Administration also participate in an advisory capacity.

During this meeting, FRA may request the RSAC to accept tasks addressing safety issues related to rail operations on the Northeast Corridor and revising the regulations governing the protection of employees engaged in the inspection, testing, repair and servicing of rolling equipment (49 CFR part 218, subpart B). FRA intends to present a Planning Task examining the issue of qualification and certification of safety-critical employees to the RSAC for consideration and acceptance.

The RSAC will be briefed on the current status of activities of RSAC working groups and task forces responsible for carrying out tasks the RSAC has accepted involving locomotive cab working conditions, positive train control, the definition of reportable "train accident", incorporation of provision for gage restraint measurement within the Track Safety Standards, and locomotive crashworthiness. The Committee may be asked to authorize mail ballot approval of one or more proposed rule documents involving these topics.

Informational briefings on general safety-related issues including Safety Assurance and Compliance Program initiatives, the findings and recommendations of the Switching Operations Fatality Analysis Working Group, Department of Transportation proposals for changes to alcohol and drug testing procedures, a recent National Transportation Safety Board recommendation on crew resource management training programs, and the proposed requirement concerning train horns at public highway-rail grade crossings, will be provided.

Please refer to the notice published in the **Federal Register** on March 11, 1996 (61 FR 9740) for more information about the RSAC.

Issued in Washington, DC.

Grady C. Cothen, Jr.,

Deputy Associate Administrator for Safety Standards and Program Development.

[FR Doc. 00-1055 Filed 1-14-00; 8:45 am]

BILLING CODE 4910-06-P

DEPARTMENT OF TRANSPORTATION

Surface Transportation Board

[STB Finance Docket No. 33841]

R.J. Corman Railroad Company/ Memphis Line—Operation Exemption—Line in Montgomery and Stewart Counties, TN

R.J. Corman Railroad Company/Memphis Line (RJCM), a Class III common carrier by rail, has filed a verified notice of exemption under 49 CFR 1150.31 to operate an abandoned rail line extending from former milepost LF-182.50, at Zinc, TN, to former milepost LF-199.08, at Cumberland City, TN, a distance of approximately 16.58 miles in Montgomery and Stewart Counties, TN.¹ The line would connect with RJCM's existing rail line at Zinc.

The exemption became effective on December 30, 1999, 7 days after the exemption was filed.²

If the verified notice contains false or misleading information, the exemption is void *ab initio*. Petitions to reopen the proceeding to revoke the exemption under 49 U.S.C. 10502(d) may be filed at any time. The filing of a petition to revoke will not automatically stay the transaction.

An original and 10 copies of all pleadings, referring to STB Finance Docket No. 33841, must be filed with the Surface Transportation Board, Office

of the Secretary, Case Control Unit, 1925 K Street, NW, Washington, DC 20423-0001. In addition, a copy of each pleading must be served on Thomas J. Litwiler, Oppenheimer Wolff & Donnelly (Illinois), Two Prudential Plaza, 45th Floor, 180 North Stetson Avenue, Chicago, IL 60601-6710.

Board decisions and notices are available on our website at "WWW.STB.DOT.GOV."

Decided: January 11, 2000.

By the Board, David M. Konschnik, Director, Office of Proceedings.

Vernon A. Williams,

Secretary.

[FR Doc. 00-1078 Filed 1-14-00; 8:45 am]

BILLING CODE 4915-00-P

DEPARTMENT OF TRANSPORTATION

Surface Transportation Board

[STB Finance Docket No. 33833]

The Burlington Northern and Santa Fe Railway Company—Trackage Rights Exemption—Union Pacific Railroad Company

Union Pacific Railroad Company (UP) has agreed to grant overhead trackage rights to The Burlington Northern and Santa Fe Railway Company (BNSF) over UP's rail line between Stockton, CA, in the vicinity of UP's milepost 82.3 (Fresno Subdivision), and Fresno, CA, in the vicinity of UP's milepost 207.0 (Fresno Subdivision). BNSF will operate its own trains with its own crews over UP's line under the trackage rights agreement.¹

The transaction is scheduled to be consummated on or shortly after January 15, 2000.

The purpose of the trackage rights is to allow BNSF to operate over an alternate line while BNSF's lines are undergoing maintenance and repair.

As a condition to this exemption, any employees affected by the trackage rights will be protected by the conditions imposed in *Norfolk and Western Ry. Co.—Trackage Rights—BN*, 354 I.C.C. 605 (1978), as modified in *Mendocino Coast Ry., Inc.—Lease and Operate*, 360 I.C.C. 653 (1980).

This notice is filed under 49 CFR 1180.2(d)(7). If it contains false or

misleading information, the exemption is void *ab initio*. Petitions to revoke the exemption under 49 U.S.C. 10502(d) may be filed at any time. The filing of a petition to revoke will not automatically stay the transaction.

An original and 10 copies of all pleadings, referring to STB Finance Docket No. 33833, must be filed with the Surface Transportation Board, Office of the Secretary, Case Control Unit, 1925 K Street, N.W., Washington, DC 20423-0001. In addition, one copy of each pleading must be served on Yolanda Grimes Brown, Esq., The Burlington Northern and Santa Fe Railway Company, P.O. Box 961039, Fort Worth, TX 76161-0039.

Board decisions and notices are available on our website at "WWW.STB.DOT.GOV."

Decided: January 11, 2000.

By the Board, David M. Konschnik, Director, Office of Proceedings.

Vernon A. Williams,

Secretary.

[FR Doc. 00-1079 Filed 1-14-00; 8:45 am]

BILLING CODE 4915-00-P

DEPARTMENT OF THE TREASURY

Office of the Assistant Secretary for International Affairs

Survey of Foreign Portfolio Investment in the United States as of March 31, 2000

AGENCY: Department of the Treasury.

ACTION: Notice of reporting requirements.

SUMMARY: By this Notice, the Department of the Treasury is informing the public that it is conducting a mandatory survey of foreign holdings of United States securities as of March 31, 2000. This Notice constitutes legal notification to all United States persons (defined below) who meet the reporting requirements set forth in this Notice that they must respond to, and comply with, this survey. United States persons who meet the reporting requirements but who do not receive a set of the survey forms and instructions should contact the Federal Reserve Bank of New York, acting as fiscal agent for the Department of the Treasury, at (212) 720-8211 to obtain a copy.

DEFINITION: A U.S. person is any individual, branch, partnership, associated group, association, estate, trust, corporation, or other organization (whether or not organized under the laws of any State), and any government (including a foreign government, the United States Government, a state,

¹ RJCM states that the rail line was abandoned by Seaboard Systems Railroad, Inc. (SBD) in 1984. See *Seaboard System Railroad, Inc.—Abandonment—in Houston, Stewart and Montgomery Counties, TN*, Docket No. AB-55 (Sub-No. 84) (ICC served Oct. 5, 1983). RJCM further states that it had previously acquired the right, title and interest of CSX Transportation, Inc. (CSXT), SBD's successor, in the abandoned rail line, as well as a short segment of the abandoned line that had been transferred by CSXT to a third party.

² RJCM's has indicated that its present and projected annual revenues exceed \$5 million and has acknowledged that the 60-day advance notice requirements of 49 CFR 1150.32(e) would appear to apply here. RJCM simultaneously filed a petition for waiver of the advance notice requirement. The purpose of the Board's rule at 49 CFR 1150.32(e) is to give advance notice of a transaction to any employees on the affected line. Because the line had been previously abandoned and there thus are no employees on the line, the rule does not apply here.

¹ On December 29, 1999, BNSF and UP filed a petition for exemption in STB Finance Docket No. 33833 (Sub-No. 1), *The Burlington Northern and Santa Fe Railway Company—Trackage Rights Exemption—Union Pacific Railroad Company*, wherein BNSF and UP request that the Board permit the proposed overhead trackage rights arrangement described in the present proceeding to expire on February 7, 2000. That petition will be addressed by the Board in a separate decision.

provincial, or local government, and any agency, corporation, financial institution, or other entity or instrumentality thereof, including a government-sponsored agency), who resides in the United States or is subject to the jurisdiction of the United States.

WHO MUST REPORT: The following U.S. persons must report on this survey:

—U.S. persons who manage the safekeeping of U.S. securities (as specified below) for foreign persons. These U.S. persons, who include the affiliates in the United States of foreign entities, and are henceforth referred to as U.S. custodians, must report on this survey if the total market value of the U.S. securities whose safekeeping they manage on behalf of foreign persons—aggregated over all accounts and for all branches and affiliates of their firm—is \$20 million or more as of March 31, 2000.

—U.S. persons who issue securities, if the total market value of their securities owned directly by foreign persons—aggregated over all securities issued by all subsidiaries and affiliates of the firm, including investment companies, trusts, and other legal entities created by the firm—is \$20 million or more as of March 31, 2000. U.S. issuers should report only foreign holdings of their securities which are directly known to them; i.e., where issuer ownership

records reflect a foreign owner directly. Securities held by U.S. nominees, such as bank or broker custody departments, should be considered to be U.S.-held securities as far as the issuer is concerned.

WHAT TO REPORT: The survey will measure foreign holdings of all equity securities, and all debt securities with an original term-to-maturity in excess of one year.

HOW TO REPORT: Copies of the survey forms and instructions, which contain complete information on reporting procedures, can be obtained by contacting Mr. Tony Alvarez at (212) 720-8211 or the survey staff at (212) 720-6300, e-mail:

tony.alvarez@ny.frb.org or inbound.help@ny.frb.org. The mailing address is: Federal Reserve Bank of New York, Foreign Portfolio Investment Unit, Second Floor, 33 Liberty Street, New York, NY 10045-0001. Inquiries can also be made to Mr. William L. Griever, Federal Reserve Board of Governors, at (202) 452-2924, e-mail: william.l.griever@frb.gov; or to Dwight Wolkow at (202) 622-1276, e-mail: wolkowd@do.treas.gov.

WHEN TO REPORT: Data should be submitted to the Federal Reserve Bank of New York, acting as fiscal agent for the Department of the Treasury, by June 30, 2000.

PAPERWORK REDUCTION ACT NOTICE: This data collection has been approved by the Office of Management and Budget (OMB) in accordance with the Paperwork Reduction Act and assigned control number 1505-0123. An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless it displays a valid control number assigned by OMB. The estimated average annual burden associated with this collection of information is 16 hours per respondent for exempt reporters, 40 hours per respondent for issuers of securities, and 160 hours per respondent for custodians of securities. Comments concerning the accuracy of this burden estimate and suggestions for reducing this burden should be directed to the Department of the Treasury, Attention Administrator, International Portfolio Investment Data Systems, Room 5205 MT, Washington, D.C. 20220, and to OMB, Attention Desk Officer for the Department of the Treasury, Office of Information and Regulatory Affairs, Washington, D.C. 20503.

Dated: January 11, 2000.

Dwight Wolkow,

Administrator, International Portfolio Investment Data Reporting Systems.

[FR Doc. 00-1018 Filed 1-14-00; 8:45 am]

BILLING CODE 4810-25-M



Federal Register

Tuesday
January 18, 2000

Part II

Environmental Protection Agency

40 CFR Parts 52 and 97

**Findings of Significant Contribution and
Rulemaking on Section 126 Petitions for
Purposes of Reducing Interstate Ozone
Transport; Final Rule**

ENVIRONMENTAL PROTECTION AGENCY**40 CFR Parts 52 and 97**

[FRL-6515-5]

RIN 2060-AH88

Findings of Significant Contribution and Rulemaking on Section 126 Petitions for Purposes of Reducing Interstate Ozone Transport**AGENCY:** Environmental Protection Agency (EPA).**ACTION:** Final rule.

SUMMARY: In accordance with section 126 of the Clean Air Act (CAA), EPA is taking final action on petitions filed by eight Northeastern States seeking to mitigate interstate transport of nitrogen oxides (NO_x), one of the precursors of ground-level ozone. In an action published on May 25, 1999, EPA determined that portions of the petitions are approvable under the 1-hour and/or 8-hour ozone national ambient air quality standards (NAAQS) based on their technical merit. However, EPA deferred making section 126 findings as long as States and EPA stayed on track to meet the requirements of the NO_x State implementation plan call (NO_x SIP call). Subsequently, two court rulings affected the May 25 final rule. In one ruling, the court remanded the 8-hour ozone NAAQS. In a separate action, the court granted a motion to stay the SIP submission deadline for the NO_x SIP call. In light of the court rulings, EPA is modifying two aspects of the May 25 rule.

Based on affirmative technical determinations for the 1-hour ozone NAAQS made in the May 25 rule, today, EPA is making section 126 findings that a number of large electric generating units (EGUs) and large industrial boilers and turbines named in the petitions emit in violation of the CAA prohibition against significantly contributing to nonattainment or maintenance problems in the petitioning States. The EPA is staying indefinitely the affirmative technical determinations based on the 8-hour ozone NAAQS, pending further developments in the NAAQS litigation.

The EPA is also finalizing the Federal NO_x Budget Trading Program as the control remedy for sources affected by today's rule. This requirement replaces the default remedy in the May 25 final rule.

DATES: The final rule is effective February 17, 2000.

ADDRESSES: Documents relevant to this action are available for inspection at the Air and Radiation Docket and

Information Center (6102), Attention: Docket No. A-97-43, U.S. Environmental Protection Agency, 401 M Street SW, room M-1500, Washington, DC 20460, telephone (202) 260-7548 between 8:00 a.m. and 5:30 p.m., Monday through Friday, excluding legal holidays. A reasonable fee may be charged for copying.

FOR FURTHER INFORMATION CONTACT:

General questions concerning today's action should be addressed to Carla Oldham, Office of Air Quality Planning and Standards, Air Quality Strategies and Standards Division, MD-15, Research Triangle Park, NC 27711, telephone (919) 541-3347, email at oldham.carla@epa.gov. Please refer to **SUPPLEMENTARY INFORMATION** below for a list of contacts for specific subjects discussed in today's action.

SUPPLEMENTARY INFORMATION:**Availability of Related Information**

The official record for this rulemaking, as well as the public version, has been established under docket number A-97-43 (including comments and data submitted electronically as described below). A public version of this record, including printed, paper versions of electronic comments, which does not include any information claimed as confidential business information, is available for inspection from 8:00 a.m. to 5:30 p.m., Monday through Friday, excluding legal holidays. The official rulemaking record is located at the address in **ADDRESSES** at the beginning of this document. In addition, the **Federal Register** rulemaking actions and associated documents are located at <http://www.epa.gov/ttn/rto/126>. Documents containing the historical heat input data used to calculate the NO_x allowance allocations, listed in appendices A and B to part 97, are available at this website and have been placed in the rulemaking docket.

The EPA has issued a separate rule on NO_x transport entitled, "Finding of Significant Contribution and Rulemaking for Certain States in the Ozone Transport Assessment Group Region for Purposes of Reducing Regional Transport of Ozone." The rulemaking docket for that rule (Docket No. A-96-56), hereafter referred to as the NO_x SIP call, contains information and analyses that EPA has relied upon in the section 126 rulemaking, and hence documents in that docket are part of the rulemaking record for this rule. Documents related to the NO_x SIP call rulemaking are available for inspection in docket number A-96-56 at the address and times given above.

For Additional Information

For additional information related to air quality analysis, please contact Carey Jang, Office of Air Quality Planning and Standards; Emissions, Monitoring, and Analysis Division, MD-14, Research Triangle Park, NC 27711, telephone (919) 541-5638. For questions regarding the NO_x cap-and-trade program, please contact Sarah Dunham, Office of Atmospheric Programs, Clean Air Markets Division, MC-6204J, 401 M Street SW, Washington, DC 20460, telephone (202) 564-9087. For questions regarding regulatory cost analyses for electricity generating sources, please contact Mary Jo Krolewski, Office of Atmospheric Programs, Clean Air Markets Division, MC-6204J, 401 M Street SW, Washington, DC 20460, telephone (202) 564-9847. For questions regarding regulatory cost analyses for other stationary sources, please contact Larry Sorrels, Office of Air Quality Planning and Standards, Air Quality Strategies and Standards Division, MD-15, Research Triangle Park, NC 27711, telephone (919) 541-5041.

Outline

- I. Background and Summary of Rulemaking
 - A. Summary of Rulemaking and Affected Sources
 1. Summary of Action to Date
 2. Summary of Today's Rule
 3. Extension of Stay of May 25, 1999 Final Rule
 - B. Cost Effectiveness of Emissions Reductions
 1. Large EGUs
 2. Large Non-EGUs
 - C. Interfere With Maintenance
 - D. New Petitions Submitted in 1999
- II. EPA's Final Action on Granting or Denying the Eight Petitions
 - A. Technical Determinations in the May 25 Final Rule
 - B. Findings Under Section 126 and Removal of Trigger Mechanism Based on NO_x SIP Call Compliance Deadlines
 - C. Section 126(b) Findings Under the 1-Hour Ozone Standard
 - D. Stay of Affirmative Technical Determinations Under the 8-Hour Ozone Standard
 1. Affirmative Technical Determinations Under the 8-Hour Ozone Standard
 2. Stay of the 8-Hour Affirmative Technical Determinations
 - E. Requirements for Sources for Which EPA Is Making a Section 126(b) Finding
- III. Section 126 Control Remedy: The Federal NO_x Budget Trading Program
 - A. Program Overview
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 2. Elements of the Federal NO_x Budget Trading Program That Are Essentially the Same as the State NO_x Budget Trading Program and the October 21, 1999 Section 126 Proposed Rule

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- 3. Elements of the Federal NO_x Budget Trading Program That Differ From the State NO_x Budget Trading Program and the Section 126 Proposed Rule
 - a. General Provisions
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- IV. Administrative Requirements
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 - F. Executive Order 12898: Environmental Justice
 - G. Executive Order 13132: Federalism
 - H. Executive Order 13084: Consultation and Coordination with Indian Tribal Governments
 - I. National Technology Transfer and Advancement Act
 - J. Judicial Review
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I. Background and Summary of Rulemaking

A. Summary of Rulemaking and Affected Sources

1. Summary of Action to Date

In a notice of final rulemaking (NFR) signed on April 30, 1999 and published on May 25, 1999 (May 25 NFR or May 25, 1999 final rule), EPA took action on eight ozone-related petitions submitted individually by eight northeastern States under section 126 of the CAA (64 FR 28250; May 25, 1999). As discussed in Section II.A. of the May 25 NFR, section 126 of the CAA authorizes a

downwind State to petition EPA for a finding that any new (or modified) or existing major stationary source or group of stationary sources upwind of the State emits or would emit in violation of the prohibition of section 110(a)(2)(D)(i) because their emissions contribute significantly to nonattainment, or interfere with maintenance, of a NAAQS in the State. Sections 110(a)(2)(D)(i), 126(b)–(c). If EPA makes the requested finding, the sources must shut down within 3 months from the finding unless EPA directly regulates the sources by establishing emissions limitations and a compliance schedule, extending no later than 3 years from the date of the finding, to eliminate the prohibited interstate transport of pollutants as expeditiously as possible. See sections 110(a)(2)(D)(i) and 126(c).

The States that petitioned EPA under section 126 (addressed by today's final rule) are Connecticut, Maine, Massachusetts, New Hampshire, New York, Rhode Island, Pennsylvania, and Vermont. Each petition requests that EPA make a finding that certain major stationary sources or groups of sources in upwind States emit NO_x emissions in violation of the CAA's prohibition on amounts of emissions that contribute significantly to ozone nonattainment or maintenance problems in the petitioning State. The petitions vary in geographic scope covered, types of sources identified, and recommended control remedies. All of the eight petitioning States requested section 126 findings under the 1-hour ozone standard. Five of the petitioning States (Maine, Massachusetts, New Hampshire, Pennsylvania, and Vermont) also requested section 126 findings under the 8-hour ozone standard. Section 126 provides that if EPA finds that identified stationary sources emit in violation of the section 110(a)(2)(D) prohibition on emissions that significantly contribute to ozone nonattainment or maintenance problems in a petitioning State, EPA is authorized to establish Federal emissions limits for the sources. Section I of the May 25 NFR describes the petitions and Section II sets forth EPA's interpretation of section 126 and the analytical test EPA used to evaluate the petitions. Familiarity with the May 25 NFR is assumed for the purposes of today's final rule.

In the May 25 NFR, EPA made final determinations that six of the eight petitions have technical merit. The EPA made affirmative determinations that existing and new large electric generating units (EGUs) and large industrial boilers and turbines (non-EGUs) located in certain States

identified in the section 126 petitions are significantly contributing to nonattainment in, or interfering with maintenance by, one or more of the petitioning States with respect to the 1-hour and/or 8-hour ozone standards. Under the 1-hour standard, EPA made affirmative technical determinations of significant contribution for sources located in the District of Columbia and 12 States. Under the 8-hour standard, EPA made affirmative technical determinations of significant contribution for sources located in the same States and the District of Columbia as under the 1-hour standard plus seven additional States.

In the May 25 NFR, EPA also denied the portions of the petitions that did not have technical merit. Under the 1-hour standard, EPA fully denied the petitions from Rhode Island, Maine, New Hampshire, and Vermont because the States had clean air quality. The EPA fully denied the Vermont petition under the 8-hour standard because that State did not have any current or projected 8-hour air quality problems.

The EPA also provided that the portions of the petitions for which EPA made affirmative technical determinations would be automatically deemed granted (the section 126 findings made) or denied at certain later dates pending certain actions by the States and EPA regarding State submittals in response to the final NO_x SIP call. Interpreting the interplay between sections 110 and 126, EPA explained in the May 25 NFR that a State's compliance with the NO_x SIP call would eliminate the basis for a finding under section 126 based on these petitions for sources located in that State. The EPA concluded it was appropriate to structure its action on the section 126 petitions to account for the existence of the NO_x SIP call, given that the NO_x SIP call had an explicit and expeditious schedule for compliance (see 64 FR 28274–28277). Accordingly, EPA made technical determinations on the section 126 petitions, but deferred making final findings. The schedule and conditions under which the applicable final findings on the petitions would have been deemed made are discussed in Section I.E. of the May 25 NFR.

As discussed in Section IV of the May 25 NFR, EPA was required under a consent decree to take final action on the eight petitions by April 30, 1999, including promulgating a control remedy for sources that would be subject to an affirmative finding under section 126. In a proposal published on October 21, 1998 (63 FR 56292), EPA proposed a NO_x cap-and-trade program as the section 126 control requirements.

However, EPA was not able to finalize the trading program by April 30, 1999, because the Agency needed additional time to evaluate the numerous comments it received on the trading program proposal and the source-specific emissions inventory data. In the May 25 NFR, EPA finalized the general parameters of the trading program control remedy including, among others, the decision to implement a NO_x cap-and-trade program as the control remedy, the control levels the trading program would be based on, the definition of the types of sources that would be subject to the trading program, and the compliance date. The EPA indicated it would finalize the complete Federal NO_x Budget Trading Program and allowance allocations for the section 126 sources later.

On January 13, 1999 (64 FR 2416), EPA reopened the comment period on the section 126 proposal, to take further comment on source-specific emission inventory data. This comment period was established in conjunction with the extended period for the public to submit emissions inventory revisions for the purpose of the NO_x SIP call. The EPA indicated that the revised inventory would be used to identify the individual sources that would be subject to section 126 findings and for assigning their NO_x allowance allocations for purposes of the Federal NO_x Budget Trading Program. The EPA's process for evaluating the inventory data and EPA's response to the emissions inventory comments is given in the document, "Responses to the 2007 Baseline Sub-Inventory Information and Significant Comments for the Final NO_x SIP Call and Proposed Rulemakings for Section 126 Petitions and Federal Implementation Plans—Technical Amendment Version, December 1999," and contained in the docket for this rule.

The EPA finalized a default remedy in the May 25 NFR that would apply to affected sources in the event that EPA failed to finalize the trading program prior to any section 126 findings being triggered. The EPA emphasized that it did not expect that the default remedy would ever be applied, because EPA fully intended to complete the trading program and delete the default remedy by the time any findings were made.

After EPA signed the section 126 final rule on April 30, 1999 (published on May 25, 1999), the U.S. Court of Appeals for the District of Columbia Circuit (D.C. Circuit) issued two rulings related to the 8-hour ozone standard and the NO_x SIP call that affected the section 126 action. In one decision, the court remanded the 8-hour National

Ambient Air Quality Standard (NAAQS) for ozone, which formed part of the underlying technical basis for certain of EPA's determinations under section 126. See *American Trucking Ass'n v. EPA*, 175 F.3d 1027 (D.C. Cir., 1999), *reh'g granted in part and denied in part*, No. 97-1440 and consolidated cases (D.C. Cir., October 29, 1999). On October 29, 1999, the D.C. Circuit granted in part EPA's Petition for Rehearing and Rehearing En Banc (filed on June 28, 1999) in *American Trucking*, and modified portions of its opinion addressing EPA's ability to implement the eight-hour standard. See *American Trucking*, 1999 WL 979463 (Oct. 29, 1999). The court denied the remainder of EPA's rehearing petition. *Id.* In a separate action, the D.C. Circuit granted a motion to stay the State implementation plan (SIP) submission deadlines established in the NO_x SIP call. See *Michigan v. EPA*, No. 98-1497 (D.C. Cir., May 25, 1999) (order granting stay in part). In the May 25 NFR, EPA had deferred making final findings under section 126 as long as States and EPA stayed on schedule to meet the requirements of the NO_x SIP call.

In response to these rulings, EPA stayed the effectiveness of the May 25 NFR until November 30, 1999 while it conducted a parallel rulemaking to address issues raised by the court rulings (64 FR 33956; June 24, 1999).

On June 24, 1999 (64 FR 33962), EPA proposed to amend two aspects of the May 25 NFR. The EPA proposed to stay indefinitely the affirmative technical determinations based on the 8-hour standard pending further developments in the NAAQS litigation. The EPA also proposed to remove the trigger mechanism for making section 126 findings that was based on the NO_x SIP call deadlines and instead make the findings in a final rule to be issued in November 1999. In the June 24 proposal, EPA explained why it originally made sense to link the section 126 action to the NO_x SIP call and why EPA believes it is no longer appropriate to do so in the absence of a compliance schedule for the NO_x SIP call.

The EPA notes it received several comments on the June 24, 1999 proposal that the Agency considers to be outside the scope of that proposal. These comments relate primarily to issues that have been addressed previously either in the NO_x SIP call final rule, the NO_x SIP call response to comments document, the May 25, 1999 final rule for the section 126 petitions, or the April 1999 response to comments document for the section 126 petitions. The EPA may respond separately to these comments, which the Agency

believes should be considered to be, in effect, petitions for reconsideration of the May 25, 1999 final rule. A notice will be published in the **Federal Register** to announce the availability of these responses in the rulemaking docket.

On August 9, 1999 (64 FR 43124), EPA issued a notice of data availability and request for comment on three sets of data related to the proposed Federal NO_x Budget Trading Program. The data were made available to ensure that EPA would have accurate information for developing the NO_x allowance allocations for the Federal NO_x Budget Trading Program.

2. Summary of Today's Rule

In today's rule, EPA is finalizing the modifications to the May 25 NFR that were proposed on June 24, 1999. The EPA is also finalizing the Federal NO_x Budget Trading Program that was proposed on October 21, 1998 and deleting the default remedy that was finalized in the May 25 NFR. The EPA is finalizing the list of existing sources that are subject to this rule based on the revised inventories.

In Section II, EPA discusses the delinking of the section 126 rule from the NO_x SIP call and the making of the section 126(b) findings for the petitions for which EPA made affirmative technical determinations based on the 1-hour NAAQS in the May 25 NFR. The findings apply to large EGUs and large non-EGUs located in 12 States (Delaware, Indiana, Kentucky, Maryland, Michigan, North Carolina, New Jersey, New York, Ohio, Pennsylvania, Virginia, and West Virginia) and the District of Columbia. The EPA is indefinitely staying the affirmative technical determinations based on the 8-hour NAAQS, which cover large EGUs and large non-EGUs located in all the States covered by the 1-hour findings plus seven additional States (Alabama, Connecticut, Illinois, Massachusetts, Missouri, Rhode Island, and Tennessee).

The sources for which EPA is making section 126 findings must comply with the control requirements of the Federal NO_x Budget Trading Program promulgated in today's rule. Section III provides an overview of the trading program and explains the various provisions. The combined list of existing sources affected by a section 126 finding with respect to at least one 1-hour petition, along with the more specific emissions limitations in the form of tradable allowance allocations, is provided in Appendices A and B to part 97. As discussed in the May 25 rule (see Section I.D.), the 1-hour petitions

from New York, Connecticut, and Pennsylvania petitions cover both new and existing sources. The 1-hour petition from Massachusetts does not cover new sources. As discussed in Section III below, the Federal NO_x Budget Trading Program includes a mechanism for updating allocations which can incorporate new sources affected by findings relative to the petitions from New York, Connecticut, and Pennsylvania. Prior to the update, new sources can receive allocations from a new source set-aside. The compliance deadline is May 1, 2003. The EPA is creating a compliance supplement pool which will provide additional allowances during the 2003 and 2004 ozone seasons to increase compliance flexibility (see Section III.B.4).

3. Extension of Stay of May 25, 1999 Final Rule

In a separate action, EPA extended the stay of the May 25, 1999 rule until January 10, 2000. (See 64 FR 67781; December 3, 1999.) EPA will publish a further stay to ensure that the May 25, 1999 rule remains stayed until today's rule becomes effective.

B. Cost Effectiveness of Emissions Reductions

One factor of the significant-contribution analysis that EPA applied in the May 25, 1999 final rule is the extent to which "highly cost-effective" NO_x control measures are available for the types of stationary sources named in the petitions (64 FR at 28281). In the May 25, 1999 final rule, EPA selected the highly cost-effective measures by examining the technological feasibility, administrative feasibility and cost-per-ton-reduced of various regionwide ozone season NO_x control measures (64 FR at 28298).

For purposes of the May 25, 1999 final rule, EPA used cost-effectiveness

values developed for the final NO_x SIP call. In the May 25, 1999 final rule, EPA indicated that it would revise the cost estimates for the section 126 rule based on revised emission inventories in conjunction with promulgation of the trading portion of the section 126 rulemaking (64 FR at 28300). (The EPA solicited comment on source-specific emission inventory data as part of the proposal on the section 126 petition.) Therefore, EPA has developed cost-effectiveness numbers for the source categories located in the 13 jurisdictions affected by today's final rule using the cost-effectiveness methodology finalized in the May 25, 1999 rule.

Some commenters have argued that EPA must redo its analysis of the cost-effectiveness of controls to reflect the modified scope of the section 126 rule due to the stay of the 8-hour affirmative technical determinations. Commenters argued that EPA has underestimated the costs for utility NO_x controls since several States and portions of States have been removed as a result of the stay of the 8-hour affirmative technical determinations. In addition, one commenter stated that EPA should provide an opportunity to comment on a revised cost-effectiveness analysis that incorporates only the affected sources under the section 126 petitions based on the 1-hour standard.

As discussed below, EPA has now revised the cost-effectiveness numbers based on the revised inventories to reflect the 13 jurisdictions covered by today's section 126 final action under the 1-hour standard. Even with the reduced scope of the section 126 rule, the cost-effectiveness numbers are similar to those presented in the May 25, 1999 final rule and support the technical determinations EPA made in that rule. In addition, EPA continues to use the same cost-effectiveness methodology for today's rule as it used in the May 25, 1999 final rule, the

October 21, 1998 section 126 proposed rule, and the NO_x SIP call rule. Therefore, commenters have had opportunities to comment on the cost-effectiveness methodology used in today's rule.

In determining what, if any, highly cost-effective mix of controls is available for each subcategory named by the petitioning States (*i.e.*, large EGUs, large non-EGUs, large process heaters, and small sources) the Agency considered the average cost effectiveness of alternative levels of controls for each subcategory as described in the final NO_x SIP call (see 63 FR at 57400) and the May 25, 1999 final rule (64 FR at 28300).

The average cost effectiveness of the controls was calculated from a baseline level that included all currently applicable Federal or State NO_x control measures for each subcategory. The baseline did not include Phase II and Phase III of the OTC NO_x MOU since those measures are not Federally required and they have not yet been fully adopted by all the involved States; if the OTC NO_x MOU were included in the baseline, the overall costs would be lower. Based on the analyses, EPA determined that highly cost-effective measures are available for large EGUs and large non-EGUs.¹

Table I-1 summarizes the control options investigated for the subcategories covered by today's rule and the resulting average, regionwide cost effectiveness estimates based on the revised inventories. Additionally, the cost-effectiveness analysis includes a consideration of each subcategory's growth, including new sources. The cost-effectiveness numbers are similar to those presented in the May 25, 1999 final rule (64 FR at 28300). Therefore, based on this component of the significant contribution test, there is no reason to revise any of the significant contribution determinations.

TABLE I-1. REVISED AVERAGE COST EFFECTIVENESS OF OPTIONS ANALYZED FOR SOURCES AFFECTED BY 1-HOUR FINDINGS^a (1997 dollars and (1990) dollars in 2007)^b

Source Category	Average Cost Effectiveness (\$/ozone season ton) for each Control Option			
	0.20 lb/mmBtu	0.15 lb/mmBtu	0.12 lb/mmBtu	0.10 lb/mmBtu
Large EGUs	\$1,425 (\$1,187)	\$1,720 (\$1,432)	\$2,043 (\$1,701)	
Large Non-EGUs	50% reduction \$1,613 (\$1,370)	60% reduction \$1,908 (\$1,589)	70% reduction \$2,903 (\$2,418)	

^a The cost-effectiveness values in Table I-1 are regionwide averages for the 13 affected jurisdictions. The cost-effectiveness values represent reductions beyond those required by title IV or title I RACT, where applicable.

^b In order to compare with other rulemakings presented in 1997 dollars, cost-effectiveness is presented in both 1997 and (1990) dollars. In 1997 dollars, highly cost-effective is defined as \$2,400 per ton, which is \$2,000 per ton in 1990 dollars inflated using a GDP price inflator of 1.20.

¹ The petitions also named process heaters and small sources. In the May 25 final rule (64 FR at 28301), EPA determined that highly cost-

effectiveness controls are not available for these source categories. Therefore, EPA denied the

portions of the petitions that named these source categories.

The following discussion explains the control levels determined by EPA to be highly cost effective for each subcategory.

1. Large EGUs

As discussed in the May 25, 1999 final rule (64 FR at 28300), in determining the cost of NO_x reductions from large EGUs, EPA assumed a multistate cap-and-trade program. For large EGUs, the control level was determined by applying a uniform NO_x emissions rate across all jurisdictions potentially subject to section 126 findings. EPA determined that a trading program based on a 0.15 lb/mmBtu control level is highly cost effective. For the cost-effectiveness analysis for today's final action, a uniform NO_x emissions rate is applied to the 13 jurisdictions subject to the section 126 findings. The cost effectiveness for each control level was determined using the Integrated Planning Model (IPM).² Details regarding the methodologies used can be found in the Regulatory Impact Analysis. Table I-1 summarizes the control levels and resulting cost effectiveness of three levels analyzed based on the revised inventories for sources covered by the 1-hour findings. Again, EPA notes that the cost-effectiveness numbers are similar to those presented in the May 25, 1999 final rule (e.g., the cost-effectiveness for the 0.15 lb/mmBtu option decreased by \$44/ton, from \$1,764/ton to \$1,720/ton in 1997 dollars (from \$1,468/ton to \$1,432/ton in 1990 dollars)).³

In the May 25, 1999 final rule (64 FR at 28300-1), EPA discussed the reasons the Agency has decided to base the emission reduction requirements for EGUs on a 0.15 lb/mmBtu trading level of control. Because the average cost-effectiveness for the three levels analyzed has not changed significantly, EPA maintains that a 0.15 lb/mmBtu trading level of control is appropriate for the reasons identified in the May 25, 1999 rule. This control level has an average cost effectiveness of \$1,720 per ozone season ton removed in 1997 dollars (\$1,432 per ozone season ton removed in 1990 dollars). This amount is consistent with the range for cost effectiveness that EPA has derived from

recently adopted (or proposed to be adopted) control measures. See 64 FR at 28299.

2. Large Non-EGUs

As discussed in the May 25, 1999 final rule (64 FR at 28301), EPA determined a highly cost-effective control level for large non-EGUs by evaluating a uniform percent reduction in increments of 10 percent. Details regarding the methodologies used are in the Regulatory Impact Analysis. Table I-1 summarizes the control levels and resulting cost effectiveness for these non-EGUs based on the revised inventories for sources covered by the 1-hour findings.

For non-EQU sources, EPA used a least-cost method which is equivalent to an assumption of an interstate trading program. Under this method, the least costly controls, in terms of total annual cost per ozone season ton removed, across the entire set of feasible source-control measure combinations are selected in order of increasing annual compliance costs per ton, consistent with the above-described range for cost effectiveness.

For large non-EGUs, the cost-effectiveness analysis includes estimates of the additional emissions monitoring costs that sources would incur in order to participate in a trading program. Some non-EGUs already monitor their emissions. These costs are defined in terms of dollars per ton of NO_x removed so that they can be combined with the cost-effectiveness figures related to control costs. Monitoring costs for large non-EQU boilers and turbines are about \$160 per ton of NO_x removed.

The average cost effectiveness for the three levels analyzed has not changed significantly from the May 25, 1999 final rule (64 FR at 28301). Therefore, based on this component of the significant contribution test, there is no reason to revise any of the significant contribution determinations. As determined in the May 25, 1999 final rule, a control level corresponding to 60 percent reduction from baseline levels is highly cost effective. This percent reduction corresponds to a regionwide average control level of about 0.17 lb/mmBtu.

C. Interfere With Maintenance

As noted above, section 110(a)(2)(D) prohibits sources from emitting air pollutants in amounts that will, "contribute significantly to nonattainment in, or interfere with maintenance by, any other State with respect to [any] national * * * ambient air quality standard" [emphasis added]. Each of the petitions requested that EPA

make findings with respect to both nonattainment and maintenance of the 1-hour and/or 8-hour ozone standards in the petitioning State. In the May 25 final rule, EPA determined that a State may petition under section 126 for both the 1-hour standard, to the extent that it still applied in the petitioning State, and the 8-hour standard. The EPA indicated that in areas for which EPA had determined that the 1-hour standard no longer applies, there would no longer be a basis for EPA to make section 126(b) findings with respect to nonattainment or maintenance of that standard. In light of recent court action discussed below, EPA has proposed to reinstate the 1-hour standard. Thus, if EPA finalizes the rule as proposed, all areas would be subject to that standard along with the requirements to meet and maintain it.

Reinstatement of the 1-Hour Ozone Standard. The EPA promulgated the 8-hour standard in July 1997 to replace the existing 1-hour standard. To ensure an effective transition to the new 8-hour standard, EPA decided that the 1-hour standard would continue to apply in an area for an interim period until the area achieved attainment of that standard. Under that policy, once EPA made a final determination that an area had attained the 1-hour standard, that standard no longer would apply and States would be expected to focus their planning efforts on developing strategies for attaining the 8-hour standard. The effectiveness of the 8-hour standard served as the underlying basis for EPA's finding that the 1-hour standard no longer applied in areas that EPA determined were attaining the 1-hour standard. The recent ruling of the D.C. Circuit in *American Trucking* has undermined the basis for EPA's previous determinations on applicability of the 1-hour ozone standard by remanding the 8-hour NAAQS. Therefore, in a separate rulemaking (64 FR 57424; October 25, 1999), EPA has proposed to: (i) Rescind the findings that the 1-hour standard no longer applies, and (ii) reinstate the applicability of the 1-hour standard in all areas, notwithstanding promulgation of the 8-hour standard.

Once EPA finalizes its action to reinstate the 1-hour standard, the "interfere with maintenance" test could be applied under both the 1-hour and 8-hour standards. The areas in the petitioning States that are currently subject to and violating the 1-hour standard need not only achieve the 1-hour standard, but would also need to maintain it. Upwind NO_x reductions resulting from today's rule will assist these areas in both achieving and maintaining the 1-hour standard. In

² IPM is an economic model used by industry and government. EPA used this model to estimate the costs and emissions reductions from EGU's that would result from controlling NO_x emissions under the NO_x SIP call and this section 126 action.

³ The cost-effectiveness numbers presented assumes trading across the entire 13 jurisdictions. EPA has examined the effects of excluding the portions of the four States (NY, IN, MI, KY) not covered in today's final rule and concluded that it does not impact the average cost effectiveness. That analysis is presented in an Appendix to the RIA.

addition, there are areas in the petitioning States that are not currently subject to the 1-hour standard, and therefore, cannot be considered as a basis for this rule. For some of these areas that have attained the standard, their ability to maintain the standard may be jeopardized due to transported pollution. (In addition, some areas where the standard was revoked may now have air quality that exceeds the 1-hour standard.) These areas in the petitioning States will also benefit from the emissions reductions from this rule as they focus planning efforts on the 1-hour standard again. Reinstatement of the 1-hour standard underscores the need for the emissions reductions required by this rule. In the future, EPA may take further action to consider maintenance of the 1-hour standard under section 126.

D. New Petitions Submitted in 1999

In April through June of 1999, EPA received four new ozone-related section 126 petitions submitted individually by the District of Columbia, Delaware, Maryland, and New Jersey (see docket number A-99-21). All four of the petitions requested that EPA make findings that NO_x emissions from sources located in upwind States are significantly contributing to nonattainment and maintenance problems in the petitioning State under the 1-hour and 8-hour standards. The four petitions identified sources in a total of 13 States and the District of Columbia. Each State based its petition on EPA's technical analyses and significant contribution determinations in the NO_x SIP call. The petitions recommend that EPA establish an interstate trading program for sources that would receive a section 126 finding. The control levels sought are: an overall control level of 0.15 lb/mmBtu for EGUs and a 60 percent reduction in NO_x emissions from non-EGUs calculated from the baseline EPA used in the NO_x SIP call. The EPA will be proposing action on the 4 petitions in the future.

II. EPA's Final Action on Granting or Denying the Eight Petitions

The EPA is making final section 126 findings on the eight petitions under the 1-hour standard based on the affirmative technical determinations made in the May 25 NFR. The EPA is removing the automatic trigger mechanism for making the findings that was established in the May 25 NFR, and instead is simply making the findings in today's rule. EPA evaluated the petitions independently under the 1-hour and 8-hour standards where a State requested a finding under

both standards. The EPA is staying the affirmative technical determinations with respect to the 8-hour standard in light of the recent court decision on that standard. Sources subject to findings under the 1-hour standard will be required to implement controls beginning in May 2003. Each of these actions is described below.

Because it is no longer appropriate to link the section 126 action to the NO_x SIP call deadlines and EPA is removing the automatic trigger mechanisms that were tied to those deadlines, as discussed below in Section II.B., the affirmative technical determinations under the 1-hour standard effectively constitute findings in the context of section 126. There is no longer a subsequent condition that must first be fulfilled, before EPA makes final findings. Thus, the affirmative technical determinations under the 1-hour standard are a sufficient basis for EPA to find that the affected sources are emitting in violation of the prohibition of section 110(a)(2)(D)(i). The EPA is revising the part 52 regulatory text to reflect this change.

A. Technical Determinations in the May 25 Final Rule

In the May 25 NFR, EPA made affirmative technical determinations as to which of the new (or modified⁴) or existing major sources or groups of stationary sources named in each petition emit or would emit NO_x in amounts that contribute significantly to nonattainment of the 1-hour or 8-hour standard in (or interfere with maintenance of the 8-hour standard by) each petitioning State. All eight of the petitioning States requested that EPA evaluate their petitions with respect to the 1-hour standard. Five of the petitions also requested that EPA evaluate their petitions under the 8-hour standard. The EPA made independent technical determinations for each standard with respect to the individual petitions (see the part 52 regulatory text in the May 25 NFR). The EPA determined that the large EGUs and large non-EGUs in at least some upwind States named in every petition except Vermont's and Rhode Island's contribute significantly to nonattainment of at least one of the standards (or interfere with maintenance of the 8-hour standard) in the petitioning State. In aggregate for all the petitions and both ozone standards, EPA made affirmative technical determinations for sources located in 19

States and the District of Columbia. The majority of the sources received affirmative technical determinations under both the 1-hour and 8-hour standards. However, as discussed in Section II.D, sources located in several States received affirmative technical determinations only under the 8-hour standard. As discussed below in Section II.B., EPA had deferred granting the petitions pending certain actions by States and EPA with regard to the NO_x SIP call. The EPA's analytical approach and evaluation of each petition is described in Section II of the May 25 NFR (64 FR 28250; May 25, 1999).

B. Findings Under Section 126 and Removal of Trigger Mechanism Based on NO_x SIP Call Compliance Deadlines

In the May 25 final rule, EPA had linked its findings under section 126 to the compliance schedule for the NO_x SIP call. EPA made affirmative technical determinations regarding the technical merits of the petitions but deferred making findings under section 126 as long as States and EPA were meeting deadlines for action based on the schedule for the NO_x SIP call. The findings under section 126 would be automatically triggered only if States or EPA missed one of those deadlines. Specifically, the May 25 NFR provided that EPA would have made a finding that sources were emitting in violation of section 110(a)(2)(D)(i)(I) as of November 30, 1999 if EPA had not proposed approval of SIP revisions complying with the NO_x SIP call (or promulgated a Federal implementation plan (FIP)) by that date, or as of May 1, 2000, if EPA had not taken final action to approve SIP revisions (or promulgated a FIP) by that date.

In the June 24 proposal, EPA proposed to delete this automatic trigger mechanism for making findings and instead simply take final action making findings and granting or denying the petitions. For those sources for which it had made affirmative technical determinations, EPA proposed to find that the sources are emitting in violation of section 110(a)(2)(D)(i) and to grant those portions of the petitions. Consistent with these proposed findings, EPA also proposed to remove the automatic trigger mechanism.

In today's action, EPA is finalizing this portion of the rule largely as proposed. However, under this final rule, instead of making the findings based on the 8-hour standard, EPA is indefinitely staying the affirmative technical determinations based on the 8-hour standard, as discussed below. The affirmative technical determinations under the 1-hour standard were based

⁴ Whenever the word "new" is used in relation to sources affected by this rule, it includes both new and modified sources.

on a record independent of the record for the affirmative technical determinations under the 8-hour standard. Thus, sources in the seven States for which the determinations were based solely on the 8-hour standard would not at this time be subject to the section 126 remedy.

The EPA believes that the circumstances under which the linkage between action on the section 126 petitions and the NO_x SIP call was appropriate are no longer present. Specifically, with no explicit and expeditious deadlines for compliance with the NO_x SIP call, it does not make sense for the section 126 findings to depend upon a State's failure to act under the NO_x SIP call. It also would be contrary to the language and purposes of section 126 to delay the section 126 findings pending State action under the NO_x SIP call, absent a schedule with explicit and expeditious deadlines for compliance with the NO_x SIP call. Nor is retention of the linkage between the two rules required by the language of section 110, the cooperative federalism structure of title I of the CAA, or the court's decision to stay the deadlines for States to submit SIP revisions under the NO_x SIP call.

EPA's actions in the May 25 NFR and today's rule are driven by a consistent interpretation and application of the relevant statutory provisions. Section 110(a)(2)(D)(i) (combined with EPA's SIP call authority under section 110(k)(5)) and section 126 are two independent statutory tools to address the problem of interstate pollution transport (64 FR 28263–28267). The purpose of each provision is to control upwind emissions that contribute significantly to downwind States' nonattainment or maintenance problems (64 FR 28263–28267). The two provisions differ in that one relies, in the first instance, on State regulation and the other relies on Federal regulation, but Congress provided both provisions without indicating any preference for one over the other. Thus, Congress must have viewed either approach as a legitimate means to produce the desired result. This drives the conclusion that EPA should use, in a particular situation, whichever of these provisions will achieve the purpose of both of them—to reduce interstate pollutant transport.

Promulgation of the NO_x SIP call with explicit and expeditious deadlines for SIP submissions and emissions reductions afforded EPA a reasonable expectation that the needed emissions reductions would be expeditiously required through SIP revisions. In those circumstances it made sense for EPA to

briefly defer findings under section 126, as long as the States stayed on track to control the emissions. Further, it made sense for EPA to approve findings under section 126 once a State fell off track (as indicated by a lack of EPA proposed or final approval of the required SIP submission by specified dates) because under those circumstances, EPA could no longer reasonably expect that the needed emissions reductions would be timely achieved through a SIP revision. Similarly, under the present circumstances with the stay of the SIP call submission deadlines, EPA is no longer assured that the emissions reductions will be achieved in accordance with the SIP call deadlines. Hence, EPA now must obtain the emissions reductions under section 126 and has no basis for further deferring making the findings under section 126 pending State action under the NO_x SIP call.

Throughout the section 126 rulemaking, EPA has been confronted with an unusual factual situation. EPA had previously proposed and then promulgated a SIP call to address interstate transport through State action, and in roughly the same time frame, EPA was required to act on petitions from downwind States to address the same problem under section 126. Because section 126 refers to the prohibition of section 110(a)(2)(D)(i),⁵ and the NO_x SIP call was based on State violation of the same provision, in the May 25 NFR EPA recognized that the interstate transport problem at issue could be addressed under either provision.

Under section 126, a State may petition EPA to find that any major source or group of stationary sources emits "in violation of the prohibition" of section 110(a)(2)(D)(i). In the May 25 NFR, EPA stated:

EPA interprets section 126 to provide that a source is emitting in violation of the prohibition of section 110(a)(2)(D)(i) where the applicable SIP fails to prohibit (and EPA has not remedied this failure through a FIP) a quantity of emissions from that source that EPA has determined contributes significantly to nonattainment or interferes with maintenance in a downwind State * * *. In essence, it is a prohibition on excessive interstate transport of air pollutants * * *. Thus, EPA believes a reasonable interpretation is that where the state has failed to implement the prohibition, the SIP allows excessive transport of pollutants, the prohibition is violated, and a source emitting

such quantities of pollutants is emitting in violation of the prohibition (64 FR 28272).

An upwind State and EPA may remedy this excessive interstate transport of air pollutants through adoption and approval of a SIP revision barring the emission of such pollutants. Alternatively, a downwind State and EPA may remedy this excessive interstate transport of air pollutants through the State petitioning EPA under section 126 and EPA regulating the sources directly. (See 64 FR 28274.)

Thus, in the May 25 NFR, EPA found that the upwind States could remedy the problem targeted by the section 126 petitions through timely submission of SIP revisions required by the NO_x SIP call. This was true because the upwind States were already required to revise their SIPs within explicit and expeditious deadlines under the NO_x SIP call, and the deadline for controls to be in place under the NO_x SIP call was no later than May 2003 (64 FR 28275). Under these circumstances, EPA believed it made sense to briefly defer final action on the section 126 petitions so that States would have the option of addressing the problem through the imminently required SIP revisions. EPA also provided in the May 25 NFR for State regulation required under the NO_x SIP call to substitute for the Federal section 126 remedy in certain circumstances. If EPA had made a finding under section 126 for sources in a State, but EPA subsequently approved the State's SIP revision complying with the NO_x SIP call, including the May 2003 date for emissions reductions, the section 126 finding would automatically be withdrawn and sources in that State would no longer be subject to the section 126 remedy.

The statute did not explicitly contemplate EPA's approach in the May 25 NFR. However, EPA believed its approach was based on a reasonable interpretation of the statutory provisions at issue and provided a reasonable way to give meaning to both statutory provisions, without sacrificing the purpose of either. EPA did not suggest that section 126 is subordinate to section 110(a)(2)(D) or that the statute required EPA to provide States time to revise their SIPs before taking action under section 126. As explained at length in May 25 NFR, EPA believes these are two independent provisions under the CAA. EPA stated that its coordinated approach was a "practical" and "reasonable" way "to implement both of these provisions in the same time period, as the timing of the SIP call and the consent decree * * * required EPA to do" (64 FR 28275). EPA believes

⁵ While the text of section 126 refers to section 110(a)(2)(D)(ii), EPA believes that this cross-reference is a scrivener's error that occurred during the 1990 Amendments to the CAA and that Congress intended to refer to section 110(a)(2)(D)(i). 64 FR 28267.

it was appropriate for EPA to consider the general statutory preference for State action under title I of the CAA, in interpreting how sections 110(a)(2)(D)(i) and 126 related to each other. Yet such a general statutory concept, without any explicit directive, could be no more than a secondary consideration in interpreting the relevant provisions. EPA's primary consideration throughout the section 126 rulemaking has been, as is required by the statute and principles of statutory interpretation, implementation of the explicit directive in both provisions to address interstate pollution transport problems as required under each provision. Section 126 requires EPA to direct sources to reduce emissions "as expeditiously as practicable, but in no case later than 3 years after the date of [the] finding." Making affirmative technical determinations rather than findings and providing for subsequent automatic findings upon a State failure to act still ensured that under either the NO_x SIP call or section 126, the necessary emissions reductions would occur by the 2003 ozone season, which allowed the maximum permissible 3-year lead time and which EPA determined was as expeditiously as practicable.

Certain commenters assert that the CAA required EPA to defer action under section 126 until States had failed to act under the NO_x SIP call, and hence, that EPA now must continue and extend the linkage between the two rules by deferring any action under section 126 until after the NO_x SIP call litigation has been resolved. The commenters further argue that action now on the section 126 petitions circumvents the court's stay of the NO_x SIP call by pressuring States to comply with the NO_x SIP call, and if they fail to do so, impermissibly dictating their future compliance options. The commenters are, in effect, arguing that EPA must subordinate section 126 to section 110(a)(2)(D)(i) (implemented through a SIP call under section 110(k)(5)), and that EPA must exhaust the remedies available through its SIP call authority before the Agency can act under section 126.

EPA disagrees with these comments. First, there is simply no statutory basis for EPA to indefinitely deny relief to downwind States harmed by pollution transported from upwind States. Congress provided section 126 to downwind States as a critical remedy to address pollution problems affecting their citizens that are otherwise beyond their control, and EPA has no authority to refuse to act under this section. To the contrary, section 126 provides explicit tight deadlines for EPA to act on

a petition and for sources to achieve the reductions. EPA must make a finding or deny a petition within 60 days of its receipt. Section 126(b). Further, sources must shut down within 3 months of a finding, unless EPA allows them more time, but no longer than 3 years, to reduce emissions as expeditiously as practicable. (Section 126(c)). Moreover, commenters point to no statutory provisions supporting their argument that EPA may disregard the plain language of section 126 in favor of proceeding first under section 110(k)(5), and the lack of statutory support for their position is particularly troublesome where there is no certain or near-term date for compliance with a SIP call that would satisfy the timing requirements of section 126. The statutory language, structure and legislative history indicate far more Congressional concern for protecting downwind States' interest in ensuring clean air for their citizens than for protecting upwind States' interest in controlling their own sources of emissions. (See 64 FR 28258–28267, 28271–28277.) In particular, the structure of section 126, including the relatively short time frame for implementing the remedy it provides, strongly supports EPA's view of Congressional intent.

In the May 25 NFR, EPA explicitly rejected the suggestion that the Agency has discretionary authority to grant petitions under section 126 only after EPA has promulgated a SIP call under section 110(k)(5) to require States to comply with section 110(a)(2)(D)(i) and States have failed to comply with that SIP call. First, such an interpretation would make section 126 redundant with section 110(c), which already allows EPA to control sources directly through FIPs when a State has been required to submit an adequate SIP and fails to do so. Second, such an interpretation negates the purpose of section 126, "which is designed to provide recourse to downwind states" (64 FR 28274). EPA continued:

As discussed [earlier in the May 25 Rule], no progress had been made on interstate transport problems at the time of enactment of both the 1977 and 1990 Amendments. Section 126 provides a tool for downwind states, the entities with most at stake, to force EPA to confront the issue directly. It also sets up an abbreviated, and hence potentially faster, process to achieve emission reductions. Under the SIP process, EPA must direct a state to revise its SIP to comply with 110(a)(2)(D), and then perhaps find that the state has failed to comply, impose sanctions, and finally promulgate a Federal implementation plan, all of which could potentially stretch out for many years. In contrast Congress required very expeditious

EPA action on a petition and from 3 months up to three years for sources to comply. It is perfectly reasonable for Congress to have established section 126 as an alternative mechanism under the Clean Air Act to address the interstate pollution problem, just as it did again in adopting sections 176A and 184. To provide alternatives, the various interstate transport provisions are necessarily different from each other and from other provisions of the Act, but that does not make them inconsistent with other provisions of the Act. *Id.*

Just as there is no requirement for EPA to issue a SIP call before acting under section 126, the mere existence of a SIP call for States to address the problem cannot bar EPA from acting under section 126. This is even more clearly the case where there are no deadlines for States to act under the SIP call, or the deadlines do not satisfy the schedule contemplated by section 126.

The cooperative federalism principles in the CAA also do not support a different reading of these provisions, as certain commenters suggest. Title I of the CAA, which contains the provisions for EPA air quality standards and State implementation provisions, is primarily based on a cooperative federalism approach. Under this approach, air pollution planning and control at the State level is complemented by Federal regulation and enforcement to achieve clean air goals. Congress has demonstrated no reluctance to mandate Federal action wherever it is useful in addressing air pollution problems. See, e.g., title I (sections 111, 112, 183(e)), title II (section 201 *et seq.*), title IV (section 401 *et seq.*), and title VI (section 601 *et seq.*). In addition to the strong oversight role that EPA plays under title I in requiring States to submit SIPs and ruling on their adequacy, Congress directed EPA to regulate sources directly under several provisions of title I where State action was inadequate or where Federal action was preferable. In particular, Congress mandated Federal action under sections 110(c) (FIP provisions), 126, and 183 (Federal ozone measures). The language of section 126 is unambiguous in directing EPA to act on petitions from downwind States within a specified time frame, without any prerequisite of a State's failure to comply with a SIP call. Such clear language should not be construed to be overridden by a general principle, such as cooperative federalism, embedded in the overall statutory approach. Moreover, such a construction would be even less defensible here, where relying on cooperative federalism to delay action under section 126 for an undefined and lengthy period would run directly counter to a far more pervasive and powerful general

principle embedded in the CAA "Congress" overarching goal that the American public should breathe clean air.

In addition, deferring action on the section 126 petitions until resolution of the NO_x SIP call litigation would almost certainly mean that the emissions would not be controlled in time for the 2003 ozone season if EPA retained the 3-year lead time for sources to comply. In the May 25 Rule, EPA was able to give upwind States an opportunity to address the ozone transport problem themselves, but without delaying implementation of the remedy beyond May 1, 2003. This was the date by which sources could reduce emissions as expeditiously as practicable, and it was no later than 3 years from the date of the finding.⁶ In the NO_x SIP call and the section 126 rule, EPA conducted extensive analyses and determined that sources could implement highly cost-effective controls on NO_x emissions within a three year period. See 63 FR 57447–57449; Feasibility of Installing NO_x Control Technologies By May 2003, EPA, Office of Atmospheric Programs, September 1998 (Docket No. A–97–43, Document No. II–C–10). Section 126 requires that sources reduce emissions "as expeditiously as practicable, but in no case later than 3 years after the date" of EPA's finding under section 126. Under the May 25 rule, EPA's finding would have been made under the automatic trigger provisions by November 30, 1999 or May 1, 2000. Thus, the May 1, 2003 deadline for reductions would require sources emitting in violation of the prohibition of section 110 to reduce emissions "as expeditiously as practicable" and no later than the three year limit, as required by section 126. Similarly, as today's final findings will become effective on February 17, 2000, the May 1, 2003 deadline for emissions reductions meets the timing requirements of section 126.

As there are now no explicit and expeditious deadlines for State action to address this interstate transport problem under the NO_x SIP call, there is now no basis for EPA to defer taking final action on the section 126 petitions. The language of section 126 does not

explicitly provide for any deferral of EPA action. To the contrary, the very tight deadlines for EPA to act on the petitions and for sources to comply strongly indicate Congress' intent to provide downwind States a remedy for transported pollution and to force action under this provision. Here, without deadlines for SIP submissions, deferring final action on the section 126 petitions pending eventual State action under the NO_x SIP call would run directly counter to the language and purpose of section 126 and the CAA. The statutory language provides no support for such an approach, much less mandates it, as some commenters suggest.

Commenters also claim that EPA may not now move forward under section 126 because such action would improperly pressure upwind States in at least two ways. Specifically, these commenters claim that EPA's action under section 126 forces upwind States to select control measures identical to those on the section 126 sources, which they claim is contrary to the court's decision in *Virginia v. EPA*, 108 F.3d 1397 (D.C. Cir.), *modified on other grounds*, 116 F.3d 499 (D.C. Cir., 1997). They also argue that EPA is coercing these States into complying with the NO_x SIP call now, thereby circumventing the court's stay of the compliance deadline.

Applying section 126 independent of an upwind State's failure to act under section 110(a)(2)(D) does not impermissibly pressure upwind States to select certain control measures. EPA acknowledges that because the section 126 findings precede any required State action under the NO_x SIP call, if and when States are eventually required to submit SIPs to control interstate transport, one of the largest sources of emissions will already be subject to emission control requirements, and, depending upon the timing, may have already invested in controls. Yet this is not a legal constraint on States' choices—it is the reality that over time, conditions change, and different policy choices become more or less attractive for a variety of reasons. States would still be able to choose to regulate other sources, but depending upon the timing, the option of obtaining emission reductions from sources that have already invested in emission control or have already reduced emissions may be more attractive on policy and economic grounds than regulating those sources otherwise would have been. There is a vast difference between, on one hand, EPA prescribing a particular emissions control choice that States must adopt, and on the other, taking action required under the CAA, to regulate sources

directly, with the possible effect of making certain future emissions control choices by some States more or less appealing.

Such an effect on the regulatory environment cannot override the requirement that EPA act on State petitions under section 126. It is simply unreasonable to argue that EPA can take no action under an independent provision of the statute to respond to petitions submitted by downwind States facing their own time constraints and pressures to meet air quality standards, just to preserve the relative attractiveness of a variety of options for control of NO_x in the upwind States required under another provision of the CAA. The cooperative federalism principles of the CAA do not require EPA to withhold Federal action under section 126 until States have been required to and failed to submit SIPs.

The commenters are essentially arguing that not only the clock for SIP revisions, but the entire regulatory setting, must stop for the duration of the litigation on the NO_x SIP call. Their position would require EPA to freeze the current situation in place to preserve for the future in their present form all options available now. Yet inhabitants of downwind States continue to breathe significant pollution contributed by upwind sources, the CAA calls for attainment as expeditiously as practicable, and there are highly cost-effective remedies available now (as discussed in detail in the May 25 NFR). (See 64 FR 28298–28304.) In these circumstances, EPA does not believe it should, let alone must, refrain from requiring those upwind sources to implement those remedies now.

In addition, a State will still have the option of preempting the section 126 remedy and selecting a different set of controls to address the interstate pollution transported from the State. The May 25 NFR provided that if a State submits and EPA approves a SIP revision meeting the requirements of the NO_x SIP call, the section 126 finding will automatically be revoked for sources in that State. EPA does not expect most of the upwind States subject to the NO_x SIP call to submit SIP revisions under the NO_x SIP call while the litigation is ongoing. There is no currently effective requirement to submit such a SIP revision, and the litigation has produced uncertainty regarding the content and timing of future requirements on States under the NO_x SIP call. Nevertheless, the option is available if a State chooses to use it, and several of the Northeastern States have informed EPA that they still plan to submit SIP revisions complying with

⁶ While the period from November 30, 1999 to May 1, 2003 is longer than 3 years, under the remedy that EPA has promulgated under section 126, sources need only control emissions during the ozone season, which runs from May 1 to September 30 each year. Thus, although sources legally would be subject to the section 126 requirements within 3 years from the effective date of EPA's finding, those requirements would not require any reductions until the beginning of the first ozone season following the date of EPA's finding, here, May 1, 2003.

the NO_x SIP call in the fall of 1999 for the benefit of the region as a whole.⁷

In support of their assertion that EPA may not proceed with action under section 126 before States have failed to comply with the NO_x SIP call, commenters also misstate and misconstrue EPA's discussion in the May 25 NFR of a particular approach that might be viewed as impermissibly pressuring upwind States to adopt specific control measures. However, EPA rejected that approach in the May 25 NFR, and the situation that EPA viewed with concern in the May 25 NFR would not arise from today's action under section 126.

Other commenters on the section 126 proposal of October 21, 1998 had opposed EPA's proposal to deny petitions under section 126 where a State had complied with the NO_x SIP call. Rather, they suggested, EPA should keep both the section 126 requirements and the NO_x SIP call in place simultaneously. This would establish section 126 as a backstop to the NO_x SIP call in case sources failed to comply with State regulatory requirements.

EPA rejected this suggestion on several grounds, some of which were the practical problems raised by subjecting sources in the same State to two contemporaneous, but potentially different, sets of control requirements. The commenters had suggested that if the sources controlled by the State failed to implement the reductions by May 1, 2003, the section 126 remedy should apply to the sources covered by EPA's rule. However, as EPA noted in the May 25 rule, if the State chose to obtain the reductions in a manner different from the section 126 remedy (imposing looser or no controls on the section 126 sources), the commenters' suggested approach could increase the overall control burden because in practice, the sources controlled by the State and the section 126 sources might both reduce emissions. Only the State-controlled sources would initially be under a legal obligation to control. But if those sources did not meet the May 1, 2003 control deadline, under the commenters' suggested approach, the section 126 sources would suddenly become liable for violations of the CAA. To avoid such a risk, the section 126 sources would also implement controls. Yet full implementation of the set of controls either mandated by the State and approved by EPA under section 110, or mandated by EPA under section 126, would be sufficient to eliminate the

emissions that contribute significantly to downwind nonattainment or maintenance problems. Thus, the overall burden of achieving the emission reductions could be higher than necessary, depending upon the degree to which the two sets of control requirements were non-identical. (64 FR 28275–28276.)

Thus, in the May 25 NFR, EPA rejected the suggestion that the section 126 remedy should apply as a backstop to sources in a State even after that State had complied with the NO_x SIP call and EPA had approved the revised SIP. EPA was concerned about the potential inefficiency of having sources simultaneously complying with two different sets of controls, and thereby actually controlling more emissions than required to correct the interstate transport problem. In the May 25 rule, EPA noted that setting up the rule to retain the section 126 remedy as a backstop in addition to an approved SIP revision might be viewed as effectively impermissibly pressuring States to adopt in their SIPs controls identical to the section 126 controls, as States might conclude that identical controls would minimize the overall compliance burden. (64 FR 28276.)

Today's rule would not create the situation discussed in the May 25 NFR. EPA is implementing the requirements of section 126 of the CAA in the absence of any currently effective requirement for upwind States to address the interstate pollution transport problem themselves. EPA is not making sources potentially subject to two contemporaneous, potentially conflicting, regulatory regimes. Depending upon the timing of a State's eventual compliance with the NO_x SIP call, the section 126 requirements may affect the regulatory context, such that it may be more attractive than might otherwise have been the case for States in their SIPs to obtain emissions reductions from the section 126 sources. As discussed above, however, this does not impermissibly pressure the States to adopt any particular control remedy. There will always be numerous factors affecting complex policy decisions regarding pollution control, and EPA's actions under the CAA will often affect some of those factors. That cannot mean that EPA must refrain from implementing the CAA for fear of producing real world effects that may indirectly influence State policy choices.

EPA has not included in today's rule a provision to automatically withdraw the section 126 findings upon EPA approval of a later SIP revision that complies with the NO_x SIP call, as

ultimately modified after the litigation is concluded. Assuming EPA prevails in the NO_x SIP call litigation, the court or EPA would need to establish a new deadline for SIP submissions, and the delay from the original September 1999 deadline may require a shift in the date for achieving emissions reductions beyond May 2003. If and when such a situation arises, EPA will address through rulemaking the effects of such later NO_x SIP call SIP submissions on the section 126 findings. A number of reasons supported structuring the May 25 NFR to provide for an automatic withdrawal of the section 126 finding upon approval of a SIP revision complying with the NO_x SIP call as promulgated. As discussed above, EPA believes it is appropriate, when consistent with the relevant statutory provisions, to structure the section 126 rule to allow for State rather than Federal regulation when either would equally effectively implement the statutory goal of producing timely reductions. The withdrawal provision also explicitly removes any possibility of an overlap between the Federal requirements under section 126 and State measures required by the NO_x SIP call. For the situation where States are again subject to the NO_x SIP call requirements, a State has adequately addressed the section 110(a)(2)(D)(i) requirement, EPA has approved the SIP revision, and the State requirements are in effect, the same considerations are likely to support withdrawal of the section 126 findings at that time. At this point, however, there are several key unknown variables, such as the final substance and timing of the requirements of the NO_x SIP call. As a consequence, EPA does not believe it would be useful to try to establish a rule now that would address all future contingencies. EPA expects to revisit this issue upon resolution of the NO_x SIP call litigation.

EPA's regulation of sources under section 126 also does not practically or legally coerce upwind States to comply with the NO_x SIP call, as certain commenters claim. The commenters argue that States are forced to comply with the NO_x SIP call to protect their sources from Federal regulation. They further argue that since the court has stayed the deadlines for States to submit SIP revisions under the NO_x SIP call, such pressure on States circumvents the court's grant of the stay of the NO_x SIP call requirements.

EPA disagrees that taking action under section 126 pressures States to comply with the NO_x SIP call now. EPA is directly regulating certain sources that emit in violation of section

⁷ To date, Rhode Island and Connecticut have voluntarily submitted SIP revisions under the NO_x SIP call.

110(a)(2)(D) and contribute significantly to downwind nonattainment. EPA's regulation of these sources imposes no direct or indirect burden on the States in which these sources are located. In the likely event that many or most of the upwind States take no action on SIP revisions unless and until there are new deadlines for SIP submissions under the NO_x SIP call, there will be no sanctions or any other penalties for their inaction.⁸ Nor will such States need to make larger or different emissions reductions if they later impose State regulations to control NO_x emissions. The only effect on States, as discussed above, is that EPA's action may make certain control options relatively more or less attractive than they are now, as section 126 sources will begin to invest in controls. The degree of such effects may depend in part on the timing of the State action and sources' compliance plans. The fact that upwind States have not yet chosen to control their emissions sources should not on policy grounds, and does not on legal grounds, bar downwind States from seeking to obtain emissions reductions directly from the contributing sources; nor does it bar EPA from acting to obtain those reductions in response to the States' request.

Commenters also argue that the similarity between the remedy under section 126 and the proposed FIP for failure to comply with the NO_x SIP call suggests that EPA is using section 126 in lieu of a FIP either to force States to comply with the SIP call regardless of the court's stay or to impose a Federal remedy. This, they assert, is contrary to the court's decision to impose a stay and removes the benefit that the stay provided for upwind States.

EPA is using section 126 to reduce interstate transport, as required by section 126, not to pressure States to comply with the NO_x SIP call. The federal remedies under section 126 and the proposed FIPs are similar because they both are intended to correct a violation of the same provision, section 110(a)(2)(D), which prohibits emissions that contribute significantly to nonattainment or interfere with maintenance in downwind States. However, the statutory authorities for the two actions are distinct, and the actions have very different effects on

States. EPA action under section 126 effectively relieves States of the necessity of regulating their sources that contribute to downwind nonattainment, and there are no penalties associated with EPA's assumption of responsibility. In contrast, if EPA promulgates a FIP under section 110(c) of the CAA following a State's failure to comply with a SIP call, after eighteen months, the State will become subject to sanctions until it corrects the deficiency. (See sections 110(m), 179; 63 FR 57452–57453.) These sanctions may take the form of reductions in or restrictions on the use of highway funds and/or requirements for new sources to increase the emission offset already required for their emissions. (See sections 110(m), 179; 63 FR 57452–57453.) The stay of the NO_x SIP call deadline indefinitely stayed the requirement for upwind States to submit SIP revisions to comply with the NO_x SIP call, which means that a State would not be subject to a FIP or sanctions, and EPA's action under section 126 in no way reimposes the SIP submission requirement or the penalty for inaction.

Certain commenters also point to EPA's retention of the provision for automatic withdrawal of the section 126 findings upon approval of a SIP revision complying with the NO_x SIP call as an indicator of EPA pressure. They argue that because this provision allows States to preempt the section 126 remedy if they comply with the NO_x SIP call, EPA retained the provision to induce States to comply with the NO_x SIP call despite the judicial stay. The fact is, however, that under EPA's interpretation of the requirements of sections 110(a)(2)(D) and 126, a State's compliance with the NO_x SIP call, as promulgated (including the May 1, 2003 deadline for sources to implement controls), would eliminate the violation of section 110(a)(2)(D) by sources in such State, and hence remove the basis for granting a section 126 petition with respect to such sources. This provision ensures that potentially nonidentical Federal and State remedies do not apply simultaneously to sources in a State. Also, where State and Federal remedies would be equally effective in reducing emissions, this provision allows State regulation required under the NO_x SIP call to substitute for the Federal remedy under section 126, consistent with EPA's approach to implementing both provisions, as described above. Thus, this provision made sense at the time EPA issued the May 25 NFR, and nothing in the current circumstances suggests that EPA should now remove this option for States.

Although the court has stayed the deadline for States to comply with the NO_x SIP call, the court's action had no effect on a State's authority to revise its SIP if it so chooses. The court's decision also has no effect on EPA's authority to withdraw a section 126 finding. Since both of those authorities may still be exercised, there is no reason EPA should now remove the pre-existing provision.

As EPA has done no more than retain a pre-existing regulatory provision where there was no reason to remove it, this should not be misconstrued as demonstrating an intent to pressure States into complying with the NO_x SIP call. EPA's retention of this element of the rule gives States an option. It is neither intended to force, nor has an impermissible practical effect of forcing (as discussed above), States to take that option.

C. Section 126(b) Findings Under the 1-Hour Ozone Standard

In the May 25 NFR, EPA determined that the petitions from Connecticut, Massachusetts, New York, and Pennsylvania are partially approvable under the 1-hour standard based on technical considerations. In aggregate for these four petitions, EPA made affirmative technical determinations of significant contribution under the 1-hour standard for large EGUs and large non-EGUs located in the District of Columbia and the following 12 States: Delaware, Indiana, Kentucky, Maryland, Michigan, North Carolina, New Jersey, New York, Ohio, Pennsylvania, Virginia, and West Virginia. In today's rule, EPA is making findings under section 126(b) that each of the new or existing sources, for which EPA made an affirmative technical determination, emits or would emit NO_x in violation of the prohibition of CAA section 110(a)(2)(D)(i)(I) with respect to nonattainment of the 1-hour standard in the relevant petitioning State. The regulatory text of today's rule sets forth the findings with respect to each petition.

For the District of Columbia and eight of the affected States, the combined findings apply throughout the entire jurisdiction. However, the findings cover only parts of Indiana, Kentucky, Michigan, and New York. The findings for sources located in these States are being made with respect to the petitions from Connecticut and/or New York. In the NO_x SIP call, EPA determined that the States of Indiana, Kentucky, and Michigan wholly significantly contribute to New York, and those three States plus New York wholly significantly contribute to Connecticut.

⁸ Given the particular remedy that EPA is requiring under section 126, the absence of any economic penalty or burden on a State that chooses to allow Federal regulation of sources in the State, rather than preempting the section 126 remedy by complying with the NO_x SIP call, is especially evident here. The sources subject to the section 126 remedy are the bulk of those that EPA identified in the NO_x SIP call as having the most highly cost-effective emissions reductions available.

However, only parts of these upwind States were named in the petitions from Connecticut and New York and EPA must limit any section 126 findings to the geographic scope of the relevant petition. New York described the geographic scope of its petition as Ozone Transport Assessment Group (OTAG) Subregions 2, 6, and 7 and the portion of Ozone Transport Region extending west and south of New York. Connecticut described the geographic scope of its petition as OTAG Subregions 2, 6, and 7 and the portion of the Ozone Transport Region extending west and south of Connecticut. Maps showing the geographic scopes of these two petitions are shown in Figures F-2 and F-6 of Appendix F to part 52. Based on the geographic limits given in the petitions, the portions of the four partial States covered by today's 1-hour findings are as follows. For Indiana and Kentucky, the 1-hour findings affect sources located east of 86.0 degrees longitude. For Michigan, the 1-hour findings affect sources located in the area east of 86.0 degrees longitude and south of 45.0 degrees latitude. For New York, the 1-hour findings affect sources located in the area west of 71.8 longitude and south of 42.03 degrees latitude. The existing sources located in these States that are subject to the 1-hour findings are listed in Appendix A to part 97. The EPA notes the combined affirmative technical determinations under the 1-hour and 8-hour standards would cover the States of Indiana, Kentucky, Michigan, and New York in their entirety. However, as discussed below, EPA is indefinitely staying the 8-hour affirmative technical determinations.

D. Stay of Affirmative Technical Determinations Under the 8-Hour Ozone Standard

1. Affirmative Technical Determinations Under the 8-Hour Ozone Standard

Five of the eight petitioning States (Maine, Massachusetts, New Hampshire, Pennsylvania, and Vermont) requested that EPA evaluate their petitions under the 8-hour standard. In the May 25 NFR, EPA determined that all but the Vermont petition are partially approvable under the 8-hour standard based on technical considerations. In aggregate for the four approvable petitions, EPA made affirmative technical determinations of significant contribution under the 8-hour standard for large EGUs and large non-EGUs located in the District of Columbia and the following 19 States: Alabama, Connecticut, Delaware, Illinois, Indiana, Kentucky, Maryland, Massachusetts,

Michigan, Missouri, New Jersey, New York, North Carolina, Ohio, Pennsylvania, Rhode Island, Tennessee, Virginia, and West Virginia. There are seven whole States and portions of four other States that are covered only under the 8-hour standard.

2. Stay of the 8-Hour Affirmative Technical Determinations

EPA continues to evaluate the effect of the D.C. Circuit's decision on the 8-hour NAAQS in *American Trucking*, as modified by the D.C. Circuit's October 29, 1999 opinion and order. See *American Trucking Ass'n v. EPA*, 175 F.3d 1027 (D.C. Cir. 1999), *reh'g granted in part and denied in part*, No. 97-1440 and consolidated cases (D.C. Cir. October 29, 1999). In addition, the Agency has recommended that the Department of Justice seek certiorari in the NAAQS litigation. Thus, EPA expects that the status of the eight-hour standard will be uncertain for some time to come.

In light of this uncertainty, EPA believes that EPA should not continue implementation efforts under section 126 under the 8-hour standard that could be construed as inconsistent with the court's ruling. Therefore, EPA is staying indefinitely the section 126 affirmative technical determinations based on the 8-hour standard, pending further developments in the NAAQS litigation. This stay affects the affirmative technical determinations under the 8-hour petitions filed by the States of Maine, Massachusetts, Pennsylvania, and New Hampshire. The State of Vermont also submitted an 8-hour petition; however, EPA fully denied that petition in the May 25 NFR. In aggregate for the 8-hour petitions, the stay affects the 8-hour affirmative technical determinations made for sources located in District of Columbia and the 19 States listed above in Section II.D.1. However, EPA is making findings under the 1-hour standard for sources located in the District of Columbia and at least portions of 12 of these States. The 1-hour findings are not affected by the 8-hour stay and therefore sources in these States (or portions thereof) are still subject to the control requirements in today's rule. The EPA made section 126 affirmative technical determinations only under the 8-hour NAAQS, and not under the 1-hour NAAQS, for sources located in the following seven States: Alabama, Connecticut, Illinois, Massachusetts, Missouri, Rhode Island, and Tennessee. In addition, EPA made section 126 affirmative technical determinations under the 8-hour standard, and not under the 1-hour NAAQS for sources located in portions

of Indiana, Kentucky, Michigan, and New York. Sources located in the seven States and portions of the four other States listed above are not required to implement section 126 controls under this rule for so long as the 8-hour stay is in place. (See Section II.C. for a description of the portions of the four States that are covered by the 1-hour findings.)

Commenters generally supported the indefinite stay of the affirmative technical determinations based on the 8-hour NAAQS pending further developments in the NAAQS litigation. However, a number of commenters suggested that it would be better for EPA to deny the portions of the petitions based on the 8-hour standard, rather than just staying the affirmative technical determinations. EPA promulgated the affirmative technical determinations based on the 8-hour standard in a final rule. EPA has neither moved forward based on the 8-hour standard, nor revisited the May 25 rule, but has simply stayed this portion of the May 25 rule for the interim. As discussed above, the status of the 8-hour standard is still uncertain and the litigation may well continue. Given this uncertainty, EPA believes that it would not be appropriate for the Agency at this time to address the question of whether to grant or deny the portions of the section 126 petitions based on the 8-hour standard. Staying the affirmative technical determinations based on the 8-hour standard assures that the section 126 rule will impose no compliance burdens based on the 8-hour standard. Also, EPA would engage in a rulemaking to lift the stay and make findings based on the 8-hour standard, and in that rulemaking any issues on using the 8-hour standard as a basis for action under section 126 would be open for public comment.

E. Requirements for Sources for Which EPA Is Making a Section 126(b) Finding

The control requirements for sources for which EPA is making effective section 126(b) findings are discussed in Section III below. As discussed above, currently the control requirements would only apply to sources for which a finding is being made under the 1-hour standard.

Section 126(c) states, in relevant part, that: it shall be a violation of this section and the applicable implementation plan in such State

(1) for any major proposed new (or modified) source with respect to which a finding has been made under subsection (b) to be constructed or to operate in violation of this section and the prohibition of section 110(a)(2)(D)(i) or this section or

(2) for any major existing source to operate more than three months after such finding has been made with respect to it.

The Administrator may permit the continued operation of a source referred to in paragraph (2) beyond the expiration of such 3-month period if such source complies with such emission limitations and compliance schedules (containing increments of progress) as may be provided by the Administrator to bring about compliance with the requirements contained in section 110(a)(2)(D)(ii) as expeditiously as practicable, but in no case later than 3 years after the date of such finding.

The remedial requirements that EPA is finalizing in today's action for sources for which a section 126(b) finding is ultimately made would satisfy the requirements just quoted. First, EPA is requiring that sources for which a section 126(b) finding is ultimately made must comply with the requirements described in Section III to ensure that they do not emit in violation of the section 110(a)(2)(D)(i) prohibition. Second, the program EPA is finalizing serves as the alternative set of requirements that the Administrator may apply for the purpose of allowing existing sources subject to a section 126(b) finding to operate for more than 3 months after the finding is made.

III. Section 126 Control Remedy: The Federal NO_x Budget Trading Program

A. Program Overview

1. Relationship Between Today's Action and the May 25, 1999 Section 126 Final Rule

In the October 21, 1998 section 126 proposal, EPA proposed a cap-and-trade program as a highly cost-effective approach to achieving necessary emissions reductions from large stationary sources. This remedy would apply to any new or existing major source or group of stationary sources for which a finding is made under section 126.

The cap-and-trade program is a proven method for achieving air quality objectives, while simultaneously providing compliance flexibility to sources. The freedom to pursue various compliance strategies (*i.e.*, switching fuels, installing pollution control technologies, or buying authorizations to emit from other firms) reduces the cost of compliance in a market-based program relative to costs under a command-and-control approach. Since emitting fewer tons than the allocation results in surplus allowances that may be sold on the market, pollution prevention becomes increasingly cost

effective and innovation in control technology is encouraged. The appropriateness of trading as a section 126 remedy is comprehensively discussed in Section IV.A. of the preamble to the May 25, 1999 final rule (64 FR 28307–28309).

As explained in the October 21, 1998 section 126 proposal (63 FR 56309–56320), under a cap-and-trade system the Administrator sets both an emission limitation and compliance schedule for each unit subject to the program. The emission limitation for each unit is the requirement that the quantity of the unit's emissions during a specified period (here, the tonnage of NO_x emissions during the ozone season) cannot exceed the amount authorized by the allowances (here, NO_x allowances, each generally authorizing one ton of emissions) that the unit holds. Allowances are allocated to units subject to the program, and the total number of allowances allocated to all such units for each control period is fixed, or "capped", at a specified level. The compliance schedule is set by establishing a deadline by which units must begin to comply with the requirement to hold allowances sufficient to cover emissions.

For purposes of complying with section 126, EPA translates emission limits into allowance requirements. Since EPA has the authority to establish emission limits under section 126, and since allowance requirements are equivalent to emission limits, EPA has the authority to promulgate allowance requirements and allocate allowances for purposes of section 126. The cap-and-trade program is a compliance mechanism that enables sources to make cost-effective decisions to meet their allowance requirements (which are their emission limits). Therefore, EPA adopted such a program as a cost-effective means of implementing the requirements of section 126.

Section 52.34(j) of the May 25, 1999 final rule established the cap-and-trade program as the general remedy for sources that will be subject to any future finding under section 126. In § 52.34(j), the EPA promulgated general parameters for the remedy, including the identification of the categories of sources that would be subject to the trading program, the specification of basic emission limitations for covered sources, total emissions reductions to be achieved by the program, and the compliance schedule. Section 52.34(j) also identified the methodology used to determine the NO_x emissions budget (*i.e.*, the total amount of NO_x allowances allocated to all units subject to the Federal NO_x Budget Trading

Program) and created a compliance supplement pool.

The regulatory language finalized in the May 25, 1999 section 126 final rule delineated the following general elements of the trading program, listed here:

- All large EGUs and large non-EGUs for which EPA makes a final finding under section 126(b) will be covered by and subject to the Federal NO_x Budget Trading Program.
- Beginning May 1, 2003, the owner or operator of each source subject to the Federal NO_x Budget Trading Program must hold NO_x allowances available to that source in the ozone season that are not less than the total NO_x emissions emitted by the source during that ozone season.

- The total tons of NO_x allowances allocated under the trading program (other than any compliance supplement pool credits) will be equivalent to the sum of two tonnage limits:

(a) The total tons of NO_x that large EGUs in the program would emit in an ozone season after achieving a 0.15 lb/mmBtu NO_x emissions rate, assuming historic ozone season heat input adjusted for growth to the year 2007; plus

(b) The total tons of NO_x that large non-EGUs in the program would emit in an ozone season after achieving a 60 percent reduction in ozone season NO_x emissions compared to uncontrolled levels adjusted for growth to the year 2007.

- Compliance supplement pool credits will be available for distribution to affected sources, subject to specific State-by-State tonnage limits as established in the NO_x SIP call.

In the May 25, 1999 section 126 final rule, EPA did not promulgate either the part 97 rule provisions providing the specific details of the trading program for the section 126 remedy or the unit-specific allocations (as explained in Section IV.C.2. of the preamble to the May 25, 1999 final rule). Under § 52.34(k), EPA specified the interim final emissions limitations that would be imposed in the event that the Administrator made a finding under section 126 pursuant to provisions of § 52.34(h), without first promulgating regulations setting forth the details of the NO_x Budget Trading Program. The default emissions limitations were finalized under the "good cause" exemption to the Administrative Procedure Act's notice and comment requirements for rulemaking (see 5 U.S.C. 553(b)(B)). In the May 25, 1999 section 126 final rule, EPA emphasized that this default remedy would be superseded as a matter of law when EPA

promulgates the details of the Federal NO_x Budget Trading Program (64 FR 28311). The final rule specified that EPA would issue these detailed elements by July 15, 1999.

In light of the two court decisions by the U.S. Court of Appeals detailed in Section I.A.1., EPA subsequently proposed to amend certain aspects of the section 126 final rule. In the June 24, 1999 "Proposal to Amend Two Respects of May 25, 1999 Final Rule", the Agency proposed to remove the link between the NO_x SIP call's submission deadline and the final action granting or denying the 126 petitions, and indefinitely stay the 8-hour portion of the rule pending further developments in the ongoing NAAQS litigation. In a separate but related action, EPA voluntarily stayed the effectiveness of the May 25, 1999 section 126 final rule on an interim basis until November 30, 1999, in order to respond to the Court's decisions. Together, these actions affected the July 15, 1999 objective for finalization of the trading program provisions. The Agency decided to issue the elements of the Federal NO_x Budget Trading Program with the final section 126 findings.

Today's section 126 final rule amends the regulatory language that established the elements of the control remedy promulgated in the May 25, 1999 section 126 final rule (listed above). Specifically, today's rule replaces four of the elements from the May 25, 1999 final rule with related provisions under part 97, while one of the elements remains essentially unchanged. The replacements are substitutions, that are essentially equivalent to the May 25, 1999 section 126 regulations. First, the allowance-holding requirements in part 97 (*i.e.*, § 97.6(c)) replace the element in the May 25, 1999 final rule (§ 52.34(j)(1)) that required the owner or operator of each source to hold a number of NO_x allowances not less than the total tons of NO_x emitted by the source during the ozone season. Second, the default control provisions (§ 52.34(k)), mandated in the event that EPA failed to promulgate the trading program regulations, are replaced by part 97, and by the unit-specific allocations and compliance supplement pool provisions in particular. Third, the element that specified the methodology for calculating the total tons of NO_x allowances allocated under the trading program (§ 52.34(j)) is replaced by the trading program budget provisions in part 97 (*i.e.*, § 97.40). The methodology for calculating the allocations was followed, so there is consequently no reason to retain the original language. Fourth, the element providing for the compliance supplement pool

(§ 52.34(j)(4)) is embodied in and replaced by § 97.43, which addresses in detail the procedures for distributing the pool of allowances. Fifth, the element that requires those sources for which EPA makes a final finding under section 126(b) to be subject to a Federal NO_x Budget Trading Program (§ 52.34(j)) remains essentially unchanged and is not replaced.

By specifying the details of the Federal NO_x Budget Trading Program for the section 126 sources, today's action fulfills the regulatory obligations deferred under the May 25, 1999 section 126 final rule. As noted above, the May 25, 1999 final rule established general parameters for the cap-and-trade remedy, while today's final rule finalizes the specific elements of the trading program. In particular, the trading program's unit allocation methodology is described, and the procedure for distributing NO_x allowances from the compliance supplement pool is provided. This final rule also specifies the combined list of existing sources affected by one or more petitions, along with finalized emissions limitations in the form of tradable unit-by-unit allowance allocations for 2003 to 2007. Also included in this final rule are new sources in the source categories that are significantly contributing with respect to the petitions from Connecticut, New York, and Pennsylvania. By specifying the unit-by-unit allowance allocations, today's action supersedes as a matter of law the interim emissions limitations established by the May 25, 1999 final rule in § 52.34(k). Because the interim emissions limitations are superseded, today's rule expressly removes § 52.34(k).

As noted earlier in this section, two decisions by the U.S. Court of Appeals in the District of Columbia have led the EPA to amend certain provisions of the May 25, 1999 section 126 final rule. The Court decision on the 8-hour ozone non-attainment standard has reduced the total number of States subject to the Federal NO_x Budget Trading Program. Further, as described in Section III.B., certain portions of Michigan, Indiana, Kentucky, and New York have been removed from the scope of the original petitions, leaving only certain sources within these States subject to the trading program. Section III.B. of this preamble contains some discussion of the provisions of part 97 that have been modified to reflect removal of portions of these States.

2. Elements of the Federal NO_x Budget Trading Program That Are Essentially the Same as the State NO_x Budget Trading Program and the October 21, 1999 Section 126 Proposed Rule

As in the October 21, 1998 section 126 proposal, today's Federal NO_x Budget Trading Program (40 CFR part 97) mirrors, to a large extent, the NO_x Budget Trading Program for States (40 CFR part 96), which is the model trading program made available for States to adopt under the NO_x SIP call. Today's promulgation of the final regulations for the Federal NO_x Budget Trading Program moots § 52.34(j)(2), which is removed. The EPA notes that discussion of the evolution of the NO_x Budget Trading Program is set forth in the proposed supplemental rule to the NO_x SIP call at 63 FR 25921–25923, in the final NO_x SIP call rule at 63 FR 57456–57457, and in the preamble to the May 25, 1999 section 126 final rule at 64 FR 28307–28308. While EPA has sought to keep the two trading programs similar, there are a number of differences which are more fully described in Section III.A.3., below. These differences arise from the need for Federal implementation of the section 126 program, rather than State implementation, and from the need to clarify or simplify certain provisions.

Under part 97, the program elements described below are essentially the same as the corresponding sections in part 96, which set forth the State NO_x Budget Trading Program. Since EPA retains or relies upon many of the analyses and considerations undertaken in the NO_x SIP call process to determine these program elements, many of these part 97 provisions are being used for the reasons set forth in the proposed NO_x SIP call and the final NO_x SIP call. Detailed information on the rationale for the part 96 provisions can be found in the preamble accompanying the proposed part 96 (63 FR 25917–25943) and the final part 96 (63 FR 57356–57491). Moreover, the provisions in part 97 are, for the most part, numbered in the same sequence as the corresponding provisions in part 96, so that, for example, § 97.2 and § 96.2 address the same subject matter. Cross references in these provisions and other provisions of part 97, of course, reflect the numbering for the appropriate regulatory provisions in part 97, rather than the numbering for provisions in part 96.

The following list identifies the sections of part 97 that are essentially the same as the corresponding sections in part 96 and in the October 21, 1998 section 126 proposed rule. Additional information on the following subparts

can be found in the preamble accompanying the proposed part 97 (63 FR 56310–56313).

Subpart A—NO_x Budget Trading Program General Provisions

Sec.

- 97.3 Measurements, abbreviations, and acronyms.
- 97.5 Retired unit exemption.
- 97.6 Standard requirements.
- 97.7 Computation of time.

Subpart B—NO_x Authorized Account Representative for NO_x Budget Sources

- 97.10 Authorization and responsibilities of NO_x authorized account representative.
- 97.11 Alternate NO_x authorized account representative.
- 97.12 Changing NO_x authorized account representative and alternate NO_x authorized account representative; changes in owners and operators.
- 97.13 Account certificate of representation.
- 97.14 Objections concerning NO_x authorized account representative.

Subpart C—Permits

- 97.20 General NO_x Budget Trading Program permit requirements.
- 97.21 Submission of NO_x Budget permit applications.
- 97.22 Information requirements for NO_x Budget permit applications.
- 97.23 NO_x Budget permit contents.
- 97.24 NO_x Budget permit revisions.

Subpart D—Compliance Certification

- 97.30 Compliance certification report.
- 97.31 Administrator's action on compliance certifications.

Subpart F—NO_x Allowance Tracking System

- 97.50 NO_x Allowance Tracking System accounts.
- 97.51 Establishment of accounts.
- 97.52 NO_x Allowance Tracking System responsibilities of NO_x authorized account representative.
- 97.53 Recordation of NO_x allowance allocations.
- 97.54 Compliance.
- 97.55 Banking.
- 97.56 Account error.
- 97.57 Closing of general accounts.

Subpart G—NO_x Allowance Transfers

- 97.60 Submission of NO_x allowance transfers.
- 97.61 EPA recordation.
- 97.62 Notification.

Subpart I—Individual Unit Opt-Ins

- 97.80 Applicability.
- 97.81 General.
- 97.82 NO_x authorized account representative.
- 97.83 Applying for NO_x Budget opt-in permit.
- 97.84 Opt-in process.
- 97.85 NO_x Budget opt-in permit contents.
- 97.86 Withdrawal from NO_x Budget Trading Program.
- 97.87 Change in regulatory status.
- 97.88 NO_x allowance allocations to opt-in units.

a. General Provisions. For subpart A of part 97, EPA is using essentially the same measurements, abbreviations, and acronyms, retired unit exemption, standard requirements, and provisions for computation of time as those that apply in both part 96 and in the section 126 proposed rule. As noted above, the EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25923–25927), the final NO_x SIP call, and in the preamble to the October 21, 1998 section 126 proposal (63 FR 56312).

Section 97.5 sets forth the retired unit exemption and includes a few minor changes from part 96 and the section 126 proposed rule. First, § 97.5(c) is revised concerning NO_x allowance allocations to a retired unit. New § 97.5(c)(2) provides (like the proposed § 97.5(c)(1)) that such a unit is allocated NO_x allowances under subpart E but adds that the allocation will be recorded in a general account specified by the unit's owners and operators. This means that the Administrator will not need to maintain a unit account for a retired unit. This is reasonable since, under subpart E, allocations are updated and a retired unit's allocation will eventually become zero allowances. The paragraphs of § 97.5(c) are also reordered and then renumbered to reflect the new paragraph and the reordering. Second, § 97.5(c) contains minor word changes that clarify, but do not alter the substance of, the provisions. For example, minor word changes in § 97.5(c)(5)(i) and (ii) make it clear that a permitting authority may reduce the period, before a re-started retired unit resumes operation, by which an application for a title V or non-title V permit must be submitted for the unit.

Under the Federal NO_x Budget Trading Program, the NO_x Budget units and their owners, operators, and NO_x Authorized Account Representatives (NO_x AARs) must meet certain standard requirements set forth in § 97.6 of today's rule. The standard requirements incorporate the full range of program requirements by referencing other sections of the NO_x Budget Trading Rule. The provisions of § 97.6 are essentially the same as in part 96 and the section 126 proposed rule. Section 97.6(c)(1) is revised to use the same language as the definition of "NO_x Budget emission limitation" in § 97.2 since both provisions describe the requirement for NO_x Budget units to hold allowances. Under § 97.6(c)(6) the Administrator, rather than the permitting authority, allocates NO_x allowances under the Federal NO_x

Budget Trading Program. In addition, a few non-substantive clarifying revisions are made. For example, in § 97.6(c)(8), language is revised to mirror the language in § 97.23(b). Further, the reference in this and other sections to recordation of NO_x allowances under subpart I is removed since recordation is addressed in subparts F and G, but not in subpart I.

b. NO_x Authorized Account Representative. The NO_x AAR is the individual who is authorized to represent the owners and operators of each NO_x Budget unit at a NO_x Budget source in matters pertaining to the NO_x Budget Trading Program. Subpart B of part 97 addresses the process for designating and changing the NO_x AAR and the responsibilities of the NO_x AAR and alternate NO_x AAR, and is essentially the same as in part 96 and in the section 126 proposed rule. The EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25927), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56312).

c. Permits. Subpart C of part 97, which is essentially the same as in part 96 and in the section 126 proposed rule, addresses the administration of a permit, permit applications, permit contents, and permit revisions. As described in the preamble to the May 25, 1999 section 126 final rule, the regulations governing State permitting under title V define an "applicable requirement", which must be reflected in a title V operating permit, as including "[a]ny standard or other requirement provided for in the applicable implementation plan approved or promulgated by EPA through rulemaking under title I of the Clean Air Act that implements the relevant requirements of the Clean Air Act, including any revisions to that plan promulgated in part 52 of this chapter." (40 CFR 70.2).

Since today's rule is being promulgated under title I (*i.e.*, under section 126), the requirements of this rule are applicable requirements under § 70.2 and must be reflected in the title V operating permit of NO_x Budget sources required to have such a permit. The EPA believes that the majority of NO_x Budget sources will be required to have a title V permit. State and local air permitting authorities have EPA-approved title V operating permits programs and will be the permitting authorities for NO_x Budget sources with title V permits, for which the trading program requirements will be applicable requirements. For any source that does not have a title V permit, such a permit is not required by subpart C. If a source

has a federally enforceable non-title V permit, the trading program requirements must also be incorporated into this permit. If a source does not have a federally enforceable permit, the requirements of the Federal NO_x Budget Trading Rule will be federally enforceable without the federally enforceable permit. The EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25927–25929), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56312).

Sections 97.20(a), 97.21(b), and 97.23(a) include a few minor word changes from part 96 and the October 21, 1998 section 126 proposal that clarify, but do not alter the substance of, the provisions. For example, minor word changes in § 97.20(a)(1) and (2) remove superfluous language listing the subjects that title V and non-title V regulations may address. By further example, in § 97.20(b), the phrase “including any draft or proposed NO_x Budget permit, if applicable” is removed as superfluous and confusing. A permitting authority’s title V or non-title V regulations may or may not use terms “draft” or “proposed” permits. This same revision is made in § 97.23(a) and § 97.85(a). As a further example, minor word changes in § 97.21(b)(1)(i) and (ii) make it clear that a permitting authority may reduce the period, before a new unit’s commencement of operation, by which an application for a title V or non-title V permit must be submitted for the new unit. In addition, the phrase “as approved or adjusted by the permitting authority” is removed in § 97.23(a) because it is superfluous and confusing. The provision simply requires that a permit include the type of information, *i.e.*, the elements, listed in § 97.22.

One section, proposed § 97.24 addressing the effective date of the initial NO_x Budget permit, is removed entirely, and proposed § 97.25 is renumbered (without any other changes) as § 97.24. Other provisions in part 97 already state the deadlines for compliance with the various requirements of the NO_x Budget Trading Program. For example, § 97.6(c) states the date on which a unit’s NO_x emissions begin to be subject to the requirement to hold NO_x allowances covering emissions, and § 97.21(b) explains the deadlines for submission of NO_x Budget permit applications. Similarly, § 97.70 sets forth the dates on which the owner or operator of a unit must begin complying with the monitoring requirements. The “effective date” of the initial NO_x Budget permit does not determine the compliance date

for any program requirements and is therefore superfluous and somewhat confusing. In fact, for some permitting authorities, the issuance date of any permit is automatically the permit’s effective date.

d. Compliance Certification. Under subpart D, the NO_x AAR must certify at the end of each control period that the unit was in compliance with the emissions limitation and other requirements of the Federal NO_x Budget Trading Program. Sections 97.30 and 97.31 set forth essentially the same provisions for compliance certification reports as those in part 96 and the section 126 proposed rule. The EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25929), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56312).

e. NO_x Allowance Tracking System. The NO_x Allowance Tracking System is an automated system used to track NO_x allowances held by NO_x Budget units under the NO_x Budget Trading Program, as well as those NO_x allowances held by other organizations and individuals. Subpart F of part 97 addresses NO_x allowance tracking system accounts, the account responsibilities of the NO_x AAR, the recordation of NO_x allowance allocations, the compliance process, banking, account error, and account closing, and is essentially the same as in both part 96 and the section 126 proposed rule. The EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25933–25937), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56312). The banking, flow control, and compliance supplement pool provisions are described in Section III.B.3. of today’s preamble.

With regard to accounts, the NO_x AAR, and recordation, §§ 97.50(b), 97.51(b), and 97.53(b) include a few minor changes from part 96 and the October 21, 1998 section 126 proposed rule. Section 97.50(b) is revised to reflect the fact that for unit exemptions under § 97.4(a) (permit limit exemption) or § 97.5 (retired unit exemption), allocations can be recorded in general accounts. For example, the unclear language—stating that allocations are recorded each year for the control period after the last period for which allowances were allocated—is removed in a few places in § 97.53(b) and replaced by language stating that NO_x allocations are recorded for the third control period after the last period from which compliance deductions were made. This is consistent with the Agency’s expressed intent in the

proposal and in today’s final rule, that allowances be available to owners and operators three years in advance of the control period which allowances are allocated. However, proposed § 97.53(b) addresses only years when compliance deductions are made, *i.e.*, years starting after 2003. In order to ensure that allowances are also recorded in 2001, 2002, and 2003 three years ahead of the control period for which they were allocated, new § 97.53(b), (c), and (d) are added and proposed § 97.53(b) is renumbered as § 97.53(e). The new § 97.53(e) is reorganized to separately address recordation of allocations in compliance accounts or general accounts and of allocations to opt-in units, which are governed by § 97.88. Language in another section (§ 97.61(b)) that references § 97.53 is revised to reflect the changes in the latter section and is also simplified without changing its substance. The other changes clarify, but do not alter the substance of, the provisions. For example, in § 97.51(b) the provisions of proposed paragraph (b)(3) are moved to other paragraphs in the section, the paragraphs are renumbered, and descriptive titles are added at the beginning of some paragraphs in order to make it easier to identify the various requirements concerning general accounts.

The compliance provisions in §§ 97.54(a) through (e) are essentially the same as the provisions under the part 96 and the October 21, 1998 section 126 proposed rule. The procedure for deducting NO_x allowances after the deadline for transferring allowances for compliance remains the same: NO_x allowances available for compliance are deducted first from the compliance account of the unit involved and then, if necessary, from the overdraft account of the source at which the unit is located. The provision in § 97.54(e) allows the NO_x AAR for units with a common stack to identify the percentage of emissions to attribute to each unit. This provision is reworded to clarify that the identified percentage applies to deductions for NO_x emissions, and not to deductions for new units based on their actual heat input. For emissions in excess of allowances held and available for compliance as of the NO_x allowance transfer deadline, the Administrator will deduct a number of NO_x allowances equal to three times the number of the unit’s excess emissions from the unit’s compliance account or the overdraft account. This deduction will occur in the control period immediately following the period of excess emissions. The EPA believes that this automatic offset deduction ensures that

non-compliance with the NO_x emission limitations of part 97 is a more expensive option than controlling emissions. The automatic offset provisions do not limit the ability of the permitting authority or EPA to take enforcement action under State law or the CAA.

EPA has included banking as a feature in the Federal NO_x Budget Trading Program, with § 97.55 setting forth essentially the same provisions for banking and the management of banked allowances as specified in part 96 (in § 96.55(a)) and proposed § 97.55(a). Language in the newly numbered § 97.55(b) is revised to make it clear that banked allowances are those remaining in the account after completion of compliance deductions (except excess emission deductions under § 97.54(d)(2), which can be made at any time) and allocated for the control period for which the compliance deductions were made or an earlier control period. Banked allowances do not include allowances that are in the account but were allocated for future control periods. Banking may result in more NO_x allowances being used, and therefore more NO_x emissions, in one year than in another. Consequently, as in part 96 and the October 21, 1998 section 126 proposed rule, today's rule also contains a flow control mechanism to limit the variability in the timing of emissions. While the mechanism for flow control remains unchanged from part 96 and the section 126 proposal, the timing for implementation has been delayed by two years. Flow control cannot be triggered under today's rulemaking until 2005 (*i.e.*, after reconciliation in the 2004 compliance year).

Today's rule relocates the flow control provisions from proposed § 97.55(b) to final § 97.54(f), and the references in the flow control provisions to other provisions in § 97.54 are corrected to reflect this relocation. The proposed § 97.55(b) stated explicitly that the flow control provisions modify the provisions for compliance deductions under § 97.54. However, the relocation in § 97.54 and the accompanying minor wording changes make it clearer that flow control is part of the compliance process and that, for example, the 2-for-1 deductions under flow control can result in excess emissions under § 97.54(e). The wording changes also clarify that the 2-for-1 deduction requirement does not apply to the 3-for-1 deduction for excess emissions in § 97.54(e). As part of this clarification, parallel changes are made to the definitions of "NO_x allowances" and "NO_x Budget emissions limitation" in

§ 97.2, to reference § 97.54(f). Similarly, references elsewhere in part 97 to compliance deductions under § 97.54(b) or (e) are expanded to reference § 97.54(b), (e) or (f) as appropriate. See, *e.g.*, §§ 97.42(e) and (f). In addition, language is added to § 97.54(f)(3)(ii) stating expressly what is implied in proposed § 97.56(b), *i.e.*, that for allowances for which flow control is triggered, two such allowances (rather than one) authorize one ton of NO_x emissions. Section § 97.54(f) also includes some minor revisions that clarify, but do not change the substance of, the proposal. For example § 97.55(b)(3)(iii) provided for multiplying the number of banked allowances, but failed to state that the multiplier was a ratio determined in § 97.55(b)(3)(i). The final rule corrects this omission.

Further, as described in the preamble to the May 25, 1999 final rule, commenters expressed concern that some sources may encounter unexpected problems installing controls by the May 1, 2003 deadline and that this could cause unacceptable risk for a source and its associated industry. While EPA continues to believe that this is not a valid concern, the Agency finalized the creation of a compliance supplement pool in the May 25, 1999 section 126 final rule. The pool increases compliance flexibility by providing additional allowances for compliance during the 2003 and 2004 ozone seasons. As described in section III.B.3.c., today's rule establishes the specific methodology for the distribution of NO_x allowances from the compliance supplement pool (*i.e.*, distribution only for early reduction credits). This methodology is similar to the early reduction credit methodology for distribution in part 96 and the October 21, 1998 section 126 proposed rule, but the rule provision is relocated from proposed § 97.55(c) in subpart F to a new final § 97.43 in subpart E. Because the early reduction credit provisions involve the allocation of NO_x allowances from the compliance supplement pool, the provisions are relocated to subpart E, which contains all the other provisions concerning allocation of NO_x allowances. Section 97.43 includes minor changes from part 96 and the October 21, 1998 section 126 proposed rule. For example, the compliance supplement pool and early reduction credits are administered by the Administrator, rather than by the permitting authorities. Further, the section makes it clear that certain banked allowances for the Ozone Transport Commission (OTC) program

qualify as early reduction credits. In addition, the section is reorganized so that the procedures for requesting early reduction credits other than for OTC banked allowances are in § 97.43(a), the procedures for requesting credits for OTC banked allowances are in § 97.43(b), and the procedures for reviewing requests and allocating pool allowances are in § 97.43(c). The deadline for submitting any request for early reduction credits is February 1, 2003 (rather than October 31 of the year of the early reduction). This deadline is made later in order to provide more time for quality assurance of emissions data for the control periods of the early reductions. The data is used to determine whether a unit qualifies for early reduction credits, and, if so, what amount of credits. The banking, flow control, and compliance supplement pool provisions are described in Section III.B.3. of today's preamble.

f. NO_x Allowance Transfers. Subpart G of part 97 addresses the submission, recordation, and notification of transfers of NO_x allowances under the NO_x Budget Trading Program. These provisions are essentially the same as those in part 96 and in the section 126 proposed rule. The EPA has included these part 97 provisions for the reasons set forth in the proposed NO_x SIP call (63 FR 25937–25938), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56312).

Sections 97.61(a) and 97.62(a) and (b) include a few minor word changes from part 96 and the October 21, 1998 section 126 proposed rule that clarify, but do not alter the substance of, the provisions. For example, paragraph (a)(3) in § 97.61 requiring that NO_x allowance transfers meet "all other requirements of this part" is eliminated. Because paragraphs (a)(1) and (2) already specifically reference all the requirements for NO_x allowance transfers, paragraph (a)(3) is superfluous.

g. Opt-ins. In subpart I of the final rule, EPA allows certain individual units that are located in a State for which a section 126 remedy is promulgated the opportunity to opt into the Federal program for purposes of the section 126 remedy. Subpart I of today's rule addresses the applicability requirements for opt-ins, allocations to opt-ins, procedures for applying for a NO_x Budget opt-in permit, the process of reviewing and either approving or denying the permit, contents of the permit, procedures for withdrawing as an opt-in, and changes in regulatory status. The opt-in provisions under part 97 are essentially the same as in part 96 and in the section 126 proposed rule.

The provisions are described in section III.B.1.d. of today's preamble, and included for the reasons set forth in the supplemental proposed NO_x SIP call (63 FR 25940–25942), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56320).

Subpart I of today's rule includes a few minor changes from part 96 and the October 21, 1998 section 126 proposal that reflect the Federal (rather than State) administration of the part 97 trading program, or that either clarify or streamline the opt-in provisions. Also, under §§ 97.84(a) through (c) of today's rule, NO_x Budget opt-in permit applications are submitted to both the Administrator and the permitting authority, but the Administrator determines the sufficiency of the monitoring plan and allocates NO_x allowances. Other examples of minor changes are: changes to § 97.84(g) and § 97.85(a) and (b) that parallel changes discussed above concerning proposed § 97.24 and proposed § 97.23(a) and (b); removal of proposed § 97.84(e) and (f) as unnecessarily duplicative of the comment period already provided under proposed § 97.84(d); and renumbering of the rest of the § 97.84 paragraphs. In addition, proposed § 97.87(b)(1)(iii) states that an opt-in that becomes a NO_x Budget Unit under § 97.4 is treated as "commencing operation" when it becomes a NO_x Budget Unit solely for purposes of allowance allocation. This implies that the unit's commence operation date does not change for other purposes, *i.e.*, for purposes of setting the deadline for monitoring and reporting emissions under subpart H. Clarifying language is added to § 97.87(b)(1)(iii) to make it explicit that the deadline for monitoring (which was one control season before the unit becomes an opt-in) is not changed. The unit must continue to monitor under subpart H. Further, the date for the Administrator's allocation of allowances to opt-in units is revised in § 97.88 from December 1 to April 1 in order to ensure that final emissions data from the preceding control period is available for calculating the allocations. The December 1 deadline is too soon after the control period for the Administrator to have completed review of the emissions data. April 1 is the same date by which the Administrator must allocate allowances for NO_x Budget Units under § 97.4(a). Section 97.88(a) states that the Administrator will determine by order the allowance allocations. Finally, with regard to the term "operating", used in subpart I, the definition of the term in § 97.2 is revised to clarify what type of information

should be used to document whether a unit is "operating". The type of information is the same as that used in making input-based NO_x allowance allocations to existing units under § 97.42(a)(2).

Subpart I also includes a number of minor word changes from part 96 and the October 21, 1998 section 126 proposed rule that clarify, but do not alter the substance of, the provisions. For example, the statements in proposed § 97.80 that a "NO_x Budget unit under § 97.4" cannot become an opt-in is revised. Final § 97.80 states that an opt-in cannot be a "NO_x Budget unit under § 97.4(a)" or a unit exempt under § 97.4(b). Parallel changes are included in § 97.22(d)(1), § 97.4(b)(4)(viii), and § 97.5(c)(8). This provides clearer references to the two distinct parts of § 97.4, and, as discussed below in section III.B.3.d. of this preamble, is consistent with the requirement in the proposed rule that the unit cannot be exempt under § 97.5. As another example, § 97.84 is revised for clarity to refer consistently to "initial NO_x Budget opt-in permits" (*i.e.*, opt-in permits that are not renewals of existing opt-in permits) and "draft NO_x Budget opt-in permits for public comment." A confusing reference to "final" opt-in permits is removed. (For clarity, references in part 97 to "§ 97.4" are generally changed to refer specifically to "§ 97.4(a)"). See, *i.e.*, § 97.2. By further example, the reference in proposed § 97.84(b) to "monitoring system availability" for monitoring under subpart H of part 97 (and part 75) is corrected to refer to "percent monitoring data availability". The latter term is a more accurate description since a backup monitor can be used to make data available even if the primary monitor is unavailable. The same change is made in § 97.43(a)(1). Although part 75 (§ 75.32(a)(2)) has a formula for determining "percent monitor data availability", that formula addresses availability for an entire year. For clarity, today's rule includes an analogous definition of the term, but is geared to a control period, rather than a year. The erroneous reference to "baseline heat rate" in § 97.84(c) is corrected to refer to "baseline heat input". In addition, the phrase "NO_x Budget opt-in source" is replaced, throughout subpart I and the other provisions of part 97, by the phrase "NO_x Budget opt-in unit". This reflects the fact that subpart I in part 96, the section 126 proposed rule, and today's rule each limit opt-ins to "units", *i.e.*, fossil-fuel fired stationary boilers, combustion turbines, or combined cycle

systems. Further, referring to "unit", rather than "source", when addressing opt-ins, establishes the same distinction between "unit" and "source" for opt-ins as already exists for non-opt-ins. This approach thereby removes the potential confusion in the section 126 proposed rule between a "NO_x Budget source", which is a facility that includes one or more NO_x Budget units, and a "NO_x Budget opt-in source", one or more of which may be located at a single "NO_x Budget source". Finally, the final rule clarifies the provisions in § 97.87 requiring NO_x authorized account representatives to ensure that the NATS account "contains" the allowances "necessary" to cover certain deductions, *i.e.*, enough allowances allocated for the appropriate years.

h. Audits. While program audits are not explicitly required by part 97, EPA intends to perform the same types of audits discussed in the proposed NO_x SIP call (63 FR 25942), the final NO_x SIP call, and the October 21, 1998 section 126 proposal (63 FR 56313).

3. Elements of the Federal NO_x Budget Trading Program That Differ From the State NO_x Budget Trading Program and the Section 126 Proposed Rule

The following sections in part 97 incorporate certain differences from the corresponding sections in part 96 and in the October 21, 1998 section 126 proposed rule. Additional information on the following subparts can be found in the preamble accompanying the proposed part 97 (63 FR 56313–56321).

Subpart A—NO_x Budget Trading Program General Provisions

Sec.

- 97.1 Purpose.
- 97.2 Definitions.
- 97.4 Applicability.

Subpart E—NO_x Allowance Allocations

- 97.40 Trading program budget.
- 97.41 Timing requirements for NO_x allowance allocations.
- 97.42 NO_x allowance allocations.
- 97.43 Compliance supplement pool.

Subpart H—Monitoring and Reporting

- 97.70 General requirements.
- 97.71 Initial certification and recertification procedures.
- 97.72 Out of control periods.
- 97.73 Notifications.
- 97.74 Recordkeeping and reporting.
- 97.75 Petitions.
- 97.76 Additional requirements to provide heat input data.

a. General Provisions. Section 97.1 explains that part 97 sets forth the provisions for the Federal NO_x Budget Trading Program, which addresses interstate transport of ozone and NO_x. Section 96.1, of course, discusses the

State NO_x Budget trading programs, which also address interstate transport of ozone and NO_x. Section 96.1 also contains provisions that make part 96 applicable only if a State adopts the part 96 provisions and the Administrator approves the SIP containing the adoptions. These provisions are not necessary where EPA is adopting and administering the NO_x Budget Trading Program under section 126.

EPA uses essentially the same definitions for part 97 as those that apply in part 96 and the section 126 proposed rule, with several exceptions. The definitions for the terms “allocate”, “NO_x allowance”, “NO_x Budget Trading Program”, and “State” are revised, and thus differ from those in part 96 and the October 21, 1998 section 126 proposed rule (63 FR 56313), in order to reflect the fact that the Federal NO_x Budget Trading Program is a federally administered program under part 52 (rather than a State-administered program under part 51). For example, allocations are made by the Administrator, rather than the permitting authority. By further example, the section 126 rule covers certain States or portions of States, and this is reflected in the definition of State.

Some definitions (“electricity for sale under firm contract”, “fossil-fuel fired”, “potential electric output capacity”) are revised or added, and thus differ from those in both part 96 and the section 126 proposed rule, in order to be consistent with the inventories used in the NO_x SIP call and the section 126 action. These definitions are discussed in section III.B.1. of this preamble. Some definitions (“commence commercial operation”, “commence operation”, “heat input rate”, “NO_x allowance”, “NO_x allowance deduction”, “NO_x Budget emissions limitation”, “NO_x Budget opt-in source”, “percent monitor data availability”, “operating”, “trading program budget”) contain revisions, are added, or are replaced in order to reflect changes involving other sections of the rule, and are discussed elsewhere in this preamble. Also, for clarification, references to existing provisions in subpart I of part 97 are added to the first two of these definitions (“commence commercial operation” and “commence operation”). Subpart I includes provisions that address the substance of these definitions. Some definitions (“continuous emission monitoring system” or “CEMS”, “maximum potential NO_x emission rate”) include minor word changes from part 96 and the section 126 proposed rule that clarify, but do not alter the substance of, the definitions. For example, the phrase

“when such monitoring is required by subpart H of this part” is unnecessary and is removed from paragraphs (3) and (4) of “CEMS” definition since the definition states that all the listed items (including those in these paragraphs) are components of a CEMS “to the extent consistent with subpart H of this part”. As an additional example, the “NO_x allowance” definition is amplified by language already in § 97.6(c), stating that allowances are a limited authorization and not a property right. The language clarifies that this applies to all NO_x allowances, including those allocated to units under § 97.4(b) or § 97.5. By further example, the “NO_x allowance transfer deadline” definition clarifies that this is the deadline by which transfers “must” be submitted for compliance. Finally, a few definitions (“account certificate of representation”, “compliance certification”, “unit load”, “utilization”, “trading program budget”) are removed as unnecessary. The first two terms and the last term are defined sufficiently in the rule provisions in which they are described (§§ 97.13, 97.30, and 97.40), and those provisions are then referenced when the terms are used elsewhere in part 97. The third and fourth terms are not used in part 97. In particular, since the term “utilization” in proposed part 97 is analogous to the term “heat input”, only “heat input” is used in today’s rule. The term “utilization” is replaced by the term “heat input” throughout the rule, and the definition of “heat input” is revised to make clear the units of measure used in calculating heat input.

As described in the preamble to the May 25, 1999 section 126 final rule and the October 21, 1998 section 126 proposal, the Federal NO_x Budget Trading Program applies to certain sources (*i.e.*, large electric generating units and large non-electric generating units) in those States for which EPA has made a finding granting a section 126 petition. For purposes of the section 126, this remedy applies to each large EGU or non-EGU located in any of the following nine jurisdictions: Delaware, District of Columbia, Maryland, New Jersey, North Carolina, Ohio, Pennsylvania, Virginia, and West Virginia. As discussed in section II of this preamble, sources in certain portions of Michigan, Indiana, Kentucky, and New York are also affected by this remedy. Reflecting the types of units and the scope of jurisdictions to which today’s section 126 action applies, the applicability provisions and accompanying definitions differ from those in part 96

and the October 21, 1998 section 126 proposed rule. The specific applicability provisions for the Federal NO_x Budget Trading Program are discussed in section III.B.1. of this preamble.

In the NO_x SIP call, EPA offered States the option of allowing units with a very low, federally enforceable permit limitation (*i.e.*, 25 tons per season) to be exempt from the trading program, even though they were above the applicability threshold (63 FR 57463). The October 21, 1998 section 126 proposed rule also included this provision as § 97.4(b) in the Federal NO_x Budget Trading Program. In today’s final rule, § 97.4(b) is revised by reorganizing to resemble the order of provisions in the retired unit exemption (§ 97.8) and by adding some provisions to make it complete. In addition, provisions are added to § 97.4(b) and other sections to clarify the allocation of NO_x allowances to, and the deduction of NO_x allowances to account for, these units. Section 97.4(b) is more fully described in section III.B.1.c. of this preamble.

b. Allowance Allocations. Section III.B.2. of today’s preamble and subpart E of today’s Federal NO_x Budget Trading Program rule address the allocation of NO_x allowances to NO_x budget units for purposes of the section 126 remedy. As in the allocation-related provisions in part 96, part 97 includes provisions for the timing of allocation issuance, the methodology for issuing allocations, and the NO_x allocations for new sources. However, in part 97 the Administrator, rather than the States, determines allocations, and while allocations are made initially based on a unit’s heat input, some future allocations will be based on a unit’s output. The Administrator will determine by order the allocations that are not specifically set forth in today’s rule (in Appendices A and B). The significant differences between NO_x allocations in part 96 and the section 126 proposal, on one hand, and today’s rule, on the other hand, are discussed in section III.B.2. of this preamble. Some of the differences are minor word changes that clarify, but do not alter the substance of, the provisions. For example, in provisions where emission rates (in lbs/mmBtu) are used to calculate allowance allocations, language is added to show explicitly the conversion from pounds to tons since an allowance authorizes a ton of emissions. By further example, in provisions where allowances are adjusted so that their total will not exceed a fixed pool of allowances (*i.e.*, the State’s allocation set-aside for new units), language is added to make it clear that rounding

will be used to ensure that the pool amount will not be exceeded. Appendices A and B of today's final rule contains specific unit-by-unit allocations, including allocations to units in the partial States for which a finding is being made. Finally, as discussed above, the compliance supplement pool and early reduction credit provisions are revised and relocated to the new § 97.43 in subpart E.

c. Emissions Monitoring and Reporting. Subpart H of part 97 addresses monitoring and reporting requirements including general requirements, initial certification and recertification procedures, out of control periods, notifications, record keeping and reporting, and petitions. As described in the October 21, 1998 section 126 proposal, these provisions are similar to the monitoring-related provisions of part 96. Some of the differences among the subpart H provisions reflect the fact that administration of the monitoring requirements in the Federal NO_x Budget Trading Program is overseen by EPA, rather than by EPA and the permitting authority as is the case in the State NO_x Budget Trading Program. Some of the differences reflect changes made to simplify or clarify certain monitoring provisions, or to make them conform with part 75. Some of the differences reflect minor word changes from part 96 and the October 21, 1998 section 126 proposed rule that clarify, but do not alter the substance of, the provisions. Provisions for emissions monitoring and reporting are discussed in section III.B.4. of this preamble.

d. Program Administration. The Federal NO_x Budget Trading Program is administered by the EPA. The Agency identifies the units covered by the program and determines the NO_x allowance allocations. The EPA receives and reviews monitoring plans and monitoring certification applications. As discussed above, States will still be responsible for permitting under title V.

4. Implications for Trading Between States Affected by a Finding Under Section 126, and States not Affected by a Finding

As noted in the May 25, 1999 section 126 final rule, the sources or groups of sources identified in the section 126 petitions are also sources for which EPA recommended that States adopt emission limitations and control strategies in response to the NO_x SIP call (64 FR 28308). The NO_x SIP call established an emissions budget for all sources of NO_x emissions in all States determined by EPA to significantly

contribute to non-attainment of the ozone NAAQS in any other jurisdiction. The section 126 rule, in contrast, is limited to major stationary sources or groups of stationary sources that are named in the section 126 petitions and found to be significantly contributing to non-attainment downwind. Despite this difference in the scope of the section 126 action and the final NO_x SIP call, both actions have the same objective: to reduce the transport of ozone from sources in a given State that are found to be contributing significantly to non-attainment problems in another State.

In the NO_x SIP call, EPA finalized a specific interpretation of the section 110(a)(2)(D)(i)(I) provisions concerning the test for significant contribution. Under this interpretation, the Agency determined to make any finding of significant contribution with respect to a specified amount of emissions by examining various factors, including the ambient impacts and the costs of mitigation. This weight-of-evidence approach to the designation of significant contribution determined which States include sources that emit NO_x in amounts of concern. After EPA made findings based on consideration of these factors, the Agency required the States' SIPs to eliminate that specified amount (see 63 FR 57365). As proposed in the October 21, 1998 section 126 proposed rule and finalized in the May 25, 1999 section 126 final rule, EPA uses the same linkages it found in the NO_x SIP call between specific upwind States and non-attainment problems in specific downwind States. The test of significant contribution, which includes both air quality modeling and cost-effectiveness demonstrations, consequently underlies both the NO_x SIP call and the section 126 petitions as a threshold for source inclusion.

Based on the view that the SIP call and section 126 petitions rely on the same threshold criteria and are both designed to achieve the same goal, the EPA has sought to coordinate the two actions to the maximum extent possible (see the preamble to the final NO_x SIP Call (63 FR 57362), and the October 21, 1999 section 126 proposal (63 FR 56310)). This coordination was designed to facilitate trading among sources in SIP call States that choose to participate in the NO_x trading program and any section 126 sources that would be subject to a Federal NO_x trading program. The Agency's analyses in conjunction with the NO_x SIP call demonstrate that implementation of a single trading program with a uniform control level results in no significant changes in the location of emissions reductions, as compared to a non-

trading scenario (see chapter six of the Regulatory Impact Analysis for the NO_x SIP call). While the NO_x SIP call analysis compared trading and non-trading scenarios involving 23 jurisdictions, the integration of a section 126 action (involving at most only 12 of these jurisdictions) and trading programs adopted voluntarily by States under the NO_x SIP call may ultimately involve only a subset of the 23 jurisdictions. Nevertheless, like the NO_x SIP call RIA, EPA's analyses in conjunction with the section 126 provide a strong indication that trading will not significantly change the location of reductions in the 12 affected jurisdictions, relative to the non-trading scenario (see chapter six of the Regulatory Impact Analysis for the section 126 rulemaking). Given that the location of emission reductions is essentially the same for both programs (*i.e.*, for the 23 jurisdictions under the NO_x SIP call and the 12 jurisdictions under the section 126) compared to the two respective non-trading scenarios, the Agency is confident that trading will not significantly change the location of emissions reductions for the subset of the 23-jurisdictional area discussed above.

Therefore, trading among sources in States with a State NO_x Budget Trading Program and sources in States with a Federal program will achieve the intended emissions reductions, while simultaneously providing both flexibility and cost savings to the covered sources. In addition, as noted in the May 25, 1999 section 126 final rule, if a State elects to submit a SIP that includes a trading program after EPA has already established a Federal NO_x Budget Trading Program under a section 126 remedy, disruptions to sources that would shift from regulation under a section 126 remedy to regulation under a SIP will be minimized if the two programs are already integrated.

For the reasons stated above, today's rule allows sources in States or portions of States that are not subject to a finding under the section 126 to participate in trading with sources in States or portions of States covered by the rule, provided that the States or portions of States not covered by the rule meet the following conditions. Any State or portion of a State that voluntarily chooses to enter the section 126 trading system must be subject to the NO_x SIP call and have an EPA-approved and administered State NO_x Budget Trading Program generally modeled on part 96. This criteria includes the requirement that States revise their State Implementation Plans to meet the above provision. It also includes the

requirement that States meet the emissions control level under the final rule for the NO_x SIP call (63 FR 57405–57418). In addition to ensuring that trading will not significantly change the location of emissions reductions, this condition ensures that all sources that could trade allowances will be meeting essentially the same program requirements (*i.e.*, allowance holding and trading, monitoring, and permitting requirements).

In order to allow trading between sources in States or portions of States subject to the section 126 and sources in States or portions of States subject to EPA-approved and administered State NO_x Budget Trading Programs, the definition of “NO_x allowance” is revised. The definition is different than in part 96 and the section 126 proposed rule. Under the revised definition, the term “NO_x allowance” used in most provisions of part 97 includes NO_x allowances issued “under a NO_x Budget Trading Program established, and approved and administered by the Administrator, pursuant to § 51.121” (the rule under which State NO_x Budget Trading Programs are approved for the NO_x SIP call), as well as NO_x allowances issued under part 97. For example, the account compliance and transfer provisions in subparts F and G of part 97 cover allowances issued under such State programs. The only part 97 provisions to which this expanded definition of “NO_x allowance” does not apply are the provisions for allocation of NO_x allowances to NO_x Budget units and NO_x Budget opt-in units (*i.e.*, §§ 97.41, 97.43, and 97.88). This is because NO_x allowance allocations must be made from allowances available under the Federal NO_x Budget Trading Program, not from allowances available under the State NO_x Budget Trading Programs. In light of the more detailed definition of “NO_x allowance” adopted in part 97, the definition of “NO_x allowance” in § 52.34(a) is superceded and unnecessary. Part 52 uses the term “NO_x allowance” only in provisions in § 52.34(j) and (k) that, as discussed herein, are themselves superceded by part 97. Consequently, the part 52 definition is removed.

B. Provisions of the Federal NO_x Budget Trading Program

1. Applicability

Sources subject to the emission limitations and compliance schedule in the Federal NO_x Budget Trading Program for the purposes of the section 126 petitions are those sources named by petitioning States and found by EPA

to be emitting in violation of the prohibition of contributing significantly to non-attainment in a petitioning State. The section 126 remedy will apply to these sources in States for which a finding is triggered by today’s final rule. These sources include any large electric generating unit (EGU) and any large non-electric generating unit (non-EGU) located in any of the following 13 jurisdictions: Delaware, District of Columbia, Maryland, New Jersey, North Carolina, Ohio, Pennsylvania, Virginia, and West Virginia and certain portions of Indiana, Kentucky, Michigan, and New York.

a. EGU/Non-EGU Classification. In §§ 52.34(a)(2) and (3) of the May 25, 1999 section 126 final rule, EPA provided definitions for the types of units covered by the Federal NO_x Budget Trading Program (Part 97), *i.e.*, large EGU and non-EGU, and explained the basis for these definitions (63 FR 28295–8). Today’s final rule adopts that part 52 language in the applicability criteria in § 97.4(a). The following provides a summary of the types of units covered by the Federal NO_x Budget Trading Program under section 126.

Section 97.4(a)(1) describes a category of units, corresponding to “large electric generating units” under § 52.34(a)(2), that is covered by the Federal NO_x Budget Trading Program. A large electric generating unit is, for units that commenced operation before January 1, 1997, a unit serving during 1995 or 1996 a generator that had a nameplate capacity greater than 25 MWe and produced electricity for sale under a firm contract to the electric grid. For units that commenced operation on or after January 1, 1997 and before January 1, 1999, a large EGU is a unit serving during 1997 or 1998 a generator that had a nameplate capacity greater than 25 MWe and produced electricity for sale under a firm contract to the electric grid. For units that commence operation on or after January 1, 1999, a large EGU is a unit serving at any time a generator that has a nameplate capacity greater than 25 MWe and produces electricity for sale.

Section 97.4(a)(2) describes a second category of units, corresponding to “large non-electric generating units” under § 52.34(a)(3), that are covered by the Federal NO_x Budget Trading Program. A large non-electric generating unit is, for units that commenced operation before January 1, 1997, a unit that has a maximum design heat input greater than 250 mmBtu/hr and that did not serve during 1995 or 1996 a generator producing electricity for sale under a firm contract to the electric grid.

For units that commenced operation on or after January 1, 1997 and before January 1, 1999, a large non-EGU is a unit that has a maximum design heat input greater than 250 mmBtu/hr and that did not serve during 1997 or 1998 a generator producing electricity for sale under a firm contract to the electric grid. For units that commence operation on or after January 1, 1999, a large non-EGU is a unit with a maximum design heat input greater than 250 mmBtu/hr that: At no time serves a generator producing electricity for sale; or at any time serves a generator producing electricity for sale, if any such generator has a nameplate capacity of 25 MWe or less and has the potential to use no more than 50 percent of the potential electrical output capacity of the unit.

In order to clarify which units are covered by the categories in § 97.4(a) and so are subject to the trading program, today’s rule includes two new definitions. First, “electricity for sale under firm contract to the electric grid” is defined as where “the capacity involved is intended to be available at all times during the period covered by the guaranteed commitment to deliver, even under adverse conditions.” This definition is based on language from the *Glossary of Electric Utility Terms*, Edison Electric Institute, Publication No. 70–40 (definition of “firm” power). Generally, capacity “under firm contract to the electricity grid” is reported as capacity projected for summer or winter peak periods on EIA form 411 (Item 2.1 or 2.2, line 10). EPA has previously explained that it generally used EIA data to determine which non-utility units should be treated as non-electric utility generating units (63 FR 71223 and 64 FR 28298).

Second, “potential electrical output capacity” is defined as 33 percent of a unit’s maximum design heat input capacity. This definition is the same as the definition in § 52.34(a) and is based on longstanding definitions of this same phrase in part 72 of the Acid Rain Program regulations (40 CFR 72.2 and 40 CFR part 72, Appendix D) and in the subpart D of the New Source Performance Standards (40 CFR 60.41a).

EPA notes that the EGU and non-EGU categories in § 97.4 differ from the corresponding categories in § 96.4 in part 96 of the model trading rule. In future guidance, EPA intends to clarify that it will accept the use in State trading program rules of the EGU and non-EGU categories in § 97.4 and that EPA will administer such a State program.

b. Fossil Fuel-fired Definition. Today’s final rule, like part 96 and the section 126 proposal, defines the term “unit” as

a stationary, fossil fuel-fired boiler, combustion turbine, or combined cycle system. However, today's rule adopts a definition of "fossil fuel-fired" that is different than the definition in part 96 and in proposed part 97.

Under the proposed definitions in § 97.2, boilers, combustion turbines, and combined cycle systems that operated but did not combust more than 50 percent fossil fuel in 1995 were generally not considered "fossil fuel-fired", and thus were not "NO_x budget units". However, such facilities would subsequently become "fossil fuel-fired", and "NO_x Budget units," if they began to combust more than 50 percent fossil fuel in any year after 1995. This is not consistent with the approach taken in developing the final State trading program inventories and budgets for electric generating units and non-electric generating units in the NO_x SIP call. These inventories and budgets generally excluded any boiler, combustion turbine, and combined cycle system that operated but did not combust over 50 percent fossil fuel in 1995 or 1996. Such a boiler, combustion turbine, or combined cycle system continues to be excluded even if it combusts over 50 percent fossil fuel after 1996. See 63 FR 71220 (December 16, 1998) and 64 FR 26298 (May 14, 1999) (correction notices adjusting State inventories and budgets).

In addition, EPA received comment that the definition of fossil fuel-fired was open-ended, allowing sources to jump in and out of the NO_x Budget Program. The commenter argued that EPA should adopt a once in, always in approach for the fossil fuel-fired definition. Actually, both the fossil fuel-fired definition in the section 126 proposal and in today's final rule take the requested approach.

EPA maintains that it is appropriate to define fossil fuel-fired in a manner consistent with the way EPA developed the State trading program inventories and budgets. These State trading program inventories and budgets are based on the universe of sources that existed in 1995–1996 and were fossil fuel-fired at that time. These State trading program budgets allow for the inclusion of new units (units commencing operation after 1996) through the use of growth rates. However, the growth rates do not account for the expansion of that universe of sources as the result of existing units increasing their consumption of fossil fuel to over 50 percent after 1996.

The EPA is finalizing a fossil fuel-fired definition in § 97.2 that is revised as follows to be consistent with the way

EPA developed the State trading program inventories and budgets. Paragraphs (1) and (2) of the definition reflect how EPA determined whether boilers, turbines, and combined cycle systems commencing operation during or before 1995 and 1996 were fossil fuel-fired and thus included in the State trading program inventories and budgets. Paragraph (3) reflects the fact that boilers, turbines, and combined cycle systems commencing operation after 1996 and combusting more than 50 percent fossil fuel were reflected in the State trading program budgets through growth rates.

For purposes of today's final rule, fossil fuel-fired is defined as follows:

(1) For units that commenced operation before January 1, 1996, the combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during 1995, or, if a unit had no heat input in 1995, during the last year of operation of the unit prior to 1995.

(2) For units that commenced operation on or after January 1, 1996 and before January 1, 1997, the combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during 1996.

(3) For units that commence operation on or after January 1, 1997: (i) The combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during any year; or (ii) the combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel is projected to comprise more than 50 percent of the annual heat input on a Btu basis during any year, provided that the unit shall be "fossil fuel-fired" as of the date, during such year, on which the unit begins combusting fossil fuel.

EPA notes that today's definition of fossil fuel-fired differs from the one in § 96.2 in part 96. In future guidance, EPA intends to clarify that it will accept the use of today's definition in State trading program rules and that EPA will administer such a State program.

c. 25-ton Exemption. For today's final action, as proposed (63 FR at 56313), EPA is exempting electric generating units with a very low, federally enforceable permit limitation (*i.e.*, 25 tons per ozone season) from the trading program, even though they meet the applicability criteria in § 97.4(a).

The vast majority of commenters expressed support for the 25-ton

exemption. One commenter did not support the exemption because, in aggregate, such units contribute to non-attainment in other areas. Some commenters supported the exemption provided that State trading program budgets are reduced by the full amount allowed for in an enforceable permit. Several of the small entity representatives argued that all units at small entity-owned facilities should be exempt regardless of the size of the unit.

Based on the comments and EPA's own analysis, EPA maintains that it is appropriate to adopt a 25-ton exemption. This provision exempts units that meet the requirements described below from the requirements to hold allowances, monitor emissions, and report quarterly emissions. Thus, the 25-ton exemption increases cost effectiveness of the control program, by reducing monitoring and reporting costs, but still limits the unit's emissions through a low, federally enforceable permit limitation. Furthermore, small entity impacts are reduced since many potentially exempted units are owned by small entities.

In addition, exempt units will not have any significant adverse impact on regional air quality. First, consistent with comment on the proposed rule, NO_x allowances will be removed from State trading program budgets in an amount equal to the full amount of NO_x emissions allowed in such units' federally enforceable permits. An existing exempt unit that already has an allowance allocation when it becomes exempt continues to receive the allocation. However, after the allocation is recorded, the Administrator will delete a number of allowances from the same or earlier year as the allocation equal to the unit's permit limit. This deduction may exceed the amount of the allowance allocation. The owners and operators of the exempt unit are responsible for ensuring that the general account has enough allowances for the deduction. For an exempt unit that would otherwise qualify for a new unit allocation, the new unit set-aside is reduced by a number of allowances equal to the permit limit. For an existing exempt unit that does not qualify for any allocation, the State trading program budget is reduced by a number of allowances equal to the permit limit. See § 97.4(b)(4)(ii), § 97.40(b), and § 97.42(d)(5). Second, the units must demonstrate compliance with their individual permit limits. Exempt units will be required to: have a federally enforceable permit restricting control period NO_x emissions to less than 25 tons; keep on site records demonstrating

that the conditions of the permit were met, including restrictions on operating time; and report hours of operation during the ozone season to the permitting authority. See § 97.4(b).

With regard to exempting all small entity-owned units, EPA maintains that an across-the-board exemption, regardless of the units' emissions, could not be supported because the cost and administrative burdens of the rule will not affect a significant number of small businesses nor will it significantly or disproportionately impact these small businesses. See section IV.B and EIA for discussion of economic impact on small entities. Furthermore, the trading program already allows expensive-to-control units the option to buy allowances and not install controls and provides for simplified, less expensive monitoring of oil or gas-fired units with low emissions. Therefore, EPA is basing the exemption on the unit's allowed emissions.

Thus, for today's final rule, EPA is allowing electric generating units with a 25-ton ozone season enforceable permit limitation to be exempt from the trading program. However, today's final rule revises the language in § 97.4(b), which sets forth the exemption, by reorganizing the section to resemble the order of provisions in the retired unit exemption (§ 97.8) and by adding some provisions to make the section clear and complete. Section 97.4(b)(1) states a unit that has a federally enforceable permit with a NO_x emission limitation restricting NO_x emissions to 25 tons or less during a control period and that meets certain ongoing requirements is exempt from the NO_x Budget Trading Program, except for the provisions of § 97.4 and subparts E, F, and G and the definitions, measurements, and time computation provisions in §§ 97.2, 97.3, and 97.7. This is similar to the language in the retired unit exemption. In particular, subparts E, F, and G must apply since exempt units may be allocated allowances. Also included in § 97.4(b)(1) are the provisions explaining that the NO_x emission limitation must restrict unit operating hours based on the unit's maximum potential hourly NO_x mass emissions. The final version of § 97.4(b)(1) includes provisions in the proposed §§ 97.4(b) and (b)(3).

Section 97.4(b)(2) explains when the exemption takes effect. This is not clearly addressed in the proposal. Since the exemption is based on the unit having a federally enforceable permit with a specific NO_x emission limitation, this provision states that the exemption generally takes effect on the dates such permit becomes final. However, if the

unit operates in a control period during the year, but before the specific date the permit becomes final in that control period, then the effective date is May 1 of the control period, provided the permit emission limitation and other requirements apply to the unit for the entire control period. If the emission limitation and other requirements do not apply to the entire control period, the effective date is October 1 after the control period. EPA is providing some flexibility for the exemption to apply before the final permit is issued because issuance of a permit with a 25-ton NO_x emission limitation may be delayed even after the owners and operators request such a limitation. So long as the emission limitation applies to the entire control period, the exemption will cover that entire control period even if the final permit is issued later in the control period in the same year. Since the NO_x Budget Trading Program limits emissions, and the required federally enforceable permit must limit unit operating hours, and thus emissions, for control periods of May 1 through September 30, the exemption cannot cover any portion of a control period before the unit operates subject to the permit limit.

Sections 97.4(b)(3) and (4) are, for the most part, restatements of provisions in the proposed exemption provisions. The § 97.4(b)(3) requirement to notify the Administrator of the issuance of the federally enforceable permit is set forth in proposed § 97.4(b). The § 97.4(b)(4)(i) and (iii) special provisions are reflected in proposed §§ 97.4(b) and (b)(2). The recordkeeping provision in § 97.4(b)(4)(iv) is like the one in proposed § 97.4(b)(1) but adds a 5-year limit on the recordkeeping requirement unless otherwise requested by the permitting authority or the Administrator. The provision also explicitly states that the owners and operators bear the burden of proving that they meet the operating hours restriction. This provision is similar to the recordkeeping requirement for the retired unit exemption. A parallel change is made in § 97.4(b)(4)(vi). Under the change a unit loses its exemption on the first date on which the unit does not comply with the operating hours restriction or with or without regard to which the owner and operators fail to meet their burden of proving compliance.

The § 97.4(b)(4)(ii) provisions (along with provisions in § 97.40(b) and § 97.42(d)(5)(ii)) address the treatment of exempt units in the State trading program budgets. As discussed above, an existing, exempt unit that qualifies for NO_x allowance allocations under

§ 97.42(a) through (c) will still receive such allocations. For past control periods when the unit was required to monitor under subpart H of part 75, only heat input data monitored under subpart H of part 75 will be used in determining the unit's allocations. After recording the allocation in a general account, the Administrator will subtract and retire allowances equal to the NO_x emission limitation in the unit's permit from the general account. (The reference to "allowance surrender" requirements in the definition of "NO_x allowance deduction" is replaced by a reference to "allowance withdrawal" requirement, which more accurately describes this (and other) non-emissions related deductions). This is a reasonable way to reflect the unit's current NO_x emissions since the unit is now exempt from monitoring its emissions under subpart H of part 97. The allocation will be recorded in a general account specified by the owners and operators, rather than a unit account. This approach will allow the Administrator to avoid maintaining a separate unit account for such a unit, which does not need a unit account since the unit is exempt from end-of-year compliance requirements. In contrast to existing units, a new, exempt unit is not allocated allowances. A new, exempt unit will probably not monitor under subpart H of part 75 during any control period on which allocations would otherwise be based. In fact, one purpose of obtaining the exemption is to avoid monitoring. However, the State trading program budget must still reflect the unit's NO_x emission limitation. Consequently, as noted above, the Administrator will retire allowances (under § 97.42(d)(5)(ii)) equal to the unit's permit NO_x emission limitation from the set-aside available to new units. A similar approach is taken for exempt units that neither receive allocations nor qualify as new units: allowances equal to their permit NO_x emission limitation are retired from the appropriate State trading program budget. Since these exempt units also will not monitor their emissions, their permit limits determine the amount of retired allowances.

Further, the § 97.4(b)(4)(v) provision makes explicit the implicit requirement that a unit comply with part 97 requirements for any period when the unit is not exempt. If a unit loses the exemption with respect to a given control period, § 97.4(b)(4)(ii) sets the date on which the unit loses the exemption as the date deemed to be the unit's commencement of operation or commercial operation for purposes of permitting, allowance allocation, and

monitoring. This is similar to the provision in the retired unit exemption concerning loss of the exemption. This means that a unit that loses its § 97.4(b) exemption during a control period must (like a unit that loses its § 97.5 exemption during a control period) monitor its emissions, and hold allowances, for the rest of the control period. The owners and operators must also apply for a permit. The proposal treated October 1 after the loss of the exemption as the commence operation or commercial operation date. The approach in the proposal would result in there being no accounting for the unit's emission above its permit limit during the control period in which the unit lost its exemption. This could result in total emissions of large EGUs and non-EGUs exceeding the State budget. To prevent this, the final rule requires a unit that loses its exemption to meet the requirement to monitor and hold allowances as of the date of the loss of the exemption. This is consistent with the comments stating that the exemption provisions should not result in contributions to nonattainment in other areas.

In addition to the revisions to § 97.4(b), references to the exemption under that section are added in various places in part 97 where the other exemption from the trading program, i.e., the retired unit exemption, is already referenced. See, e.g., § 97.6(c)(6), (f)(1), and (g), § 97.22 (d)(1), and § 97.70(d)(4)(i).

d. Opt-in Units. For today's final action, as proposed (63 FR at 56311), EPA is allowing certain, additional units to voluntarily participate in (opt-in) the trading program. These units must not be otherwise subject to the NO_x Budget Trading Program, must not be exempt under § 97.4(b), and must be units that are operating, that vent all of their emissions to a stack, and that are located in a State or portion of a State where a finding is made under section 126, but are not named in a petition.

A few commenters noted that there should not be a voluntary opt-in program. However, most commenters expressed support for an opt-in program. One commenter supported adding mobile and area sources through provisions for credit-based programs. However, another commenter expressed opposition to including mobile sources unless a firm cap is established for that sector. Some commenters expressed support for allowing smaller sources to opt-in but noted that part 75 CEMS requirements should not be imposed on these sources.

After considering the comments received, EPA maintains that it is

appropriate to allow individual units the opportunity to opt-in to the Federal program for purposes of the section 126 remedy if the units meet certain conditions. The units must not be covered by § 97.4(a) or an exemption under § 97.4(b) or § 97.5. This prevents units from obtaining an exemption from the program and then re-entering the program as opt-ins, which would impose a significant administrative burden on the Administrator and permitting authorities and provide opportunities for gaming, i.e., to obtain allowances based on a different, more advantageous baseline. The units also must be located in a "State", which is defined as a State or portion of a State for which a section 126 remedy is promulgated under § 52.34, must be operating, and must vent to a stack and be able to monitor NO_x mass emissions according to part 75. There may be individual units not included in the trading program that emit significant amounts of NO_x and are able to achieve cost-effective reductions. The opt-in provisions can further reduce the cost of achieving NO_x reductions by allowing these units to join the NO_x Budget Trading Program and make incremental, lower cost reductions, freeing NO_x allowances for use by other NO_x Budget units. This would reduce the overall cost of compliance for the program.

For the same reasons discussed in the final NO_x SIP call (63 FR at 57463–57464), EPA does not support including mobile and area sources in a voluntary opt-in program. Mobile and area sources are not included in the trading rule because of EPA's concerns relating to ensuring that reductions are real and verifiable, to developing and implementing procedures for monitoring emissions, and to identifying responsible parties for the implementation of the program and associated emissions reductions. As discussed in the final NO_x SIP call (63 FR at 57464), EPA remains willing to consider adding mobile or area sources to the trading program in the future. However, due to the problems associated with program integrity, emissions monitoring, and accountability, EPA concludes that it is not appropriate to include mobile and area sources in the Federal NO_x Budget Trading Program at this time.

The EPA does not agree that there should be special, less expensive monitoring methods for opt-in units than for other, similar NO_x Budget units in order to encourage more units to opt in. Before a unit opts in, the unit is not included in the State trading program budget and is not covered by the NO_x cap imposed by the Federal NO_x Budget

Trading Program. When a unit opts in, it is allocated allowances that are in addition to the State trading program budget and that increase the NO_x cap to cover emissions from the opt-in unit. The opt in unit, like all other units under the NO_x cap, must comply by holding allowances covering control period emissions. In general, owners or operators will opt-in only if they believe they will be able to make reductions at the unit and then retain some of the allocated allowances for sale. Because the opt-in unit must comply by holding sufficient allowances and particularly because the unit will be selling allowances for the compliance at other units, it is important that the opt-in unit's emissions be monitored in an accurate manner consistent with monitoring for all other units under the NO_x cap and in the trading program. Providing an opt-in unit with an alternate monitoring methodology that is less accurate than that for a similar unit required to be in the Federal NO_x Budget Trading Program could result in actual emissions being higher than reported emissions from the opt-in unit. The opt-in unit would then be able to save more allowances that could be used for sale because of the lower reported emission values. For other units that purchase allowances from opt-in units, emissions will be higher by a tonnage amount equal to the number of purchased allowances. The net result of higher than reported opt-in unit emissions and higher non-opt-in unit emissions is higher overall NO_x emissions that may result in exceedence of the NO_x cap.

However, EPA agrees that it is appropriate to have monitoring methods other than CEMS for smaller and less frequently operated units, whether or not they are opt-in units. All units participating in the Federal NO_x Budget Trading program must qualify for such monitoring methods by meeting the same criteria. In the final NO_x SIP call, EPA included revised provisions to part 75 that allow greater flexibility in monitoring for units with low emissions. These methods are also available to sources in the Federal NO_x Budget Trading Program. See the discussion in section III.B.4 of this preamble for more information on the different monitoring approaches allowed under part 75.

2. Trading Program Budget

In the October 21, 1998 section 126 proposal, EPA discussed the calculation of State specific aggregate emission levels, proposed that the section 126 trading program budget in each State would equal the State specific aggregate

emission levels, and proposed several methods for determining NO_x Budget unit allocations. The EPA finalized the methodology used to determine the State aggregate emission levels, and therefore the trading program budget as well, in the May 25, 1999 section 126 final rule. This section of the preamble summarizes the method for calculating the trading program budget.

As discussed in Section III.A.1. of this preamble, in the May 25, 1999 section 126 final rule, EPA finalized the methodology used to determine the NO_x emissions budget, *i.e.*, the total amount of NO_x allowances allocated to all units subject to the Federal NO_x Budget Trading Program in any State for purposes of any section 126 finding. That method used to calculate the total available allowances was consistent with the method used in developing the NO_x SIP call budgets in part 51, as described in the final NO_x SIP call. In the May 25, 1999 section 126 final rule (64 FR at 28309), EPA determined that the total tons of NO_x allowances allocated under the trading program (other than compliance supplement pool credits) will be equivalent to the sum of two tonnage limits:

(a) The total tons of NO_x that large EGUs in the program would emit in an ozone season after achieving a 0.15 lb/mmBtu NO_x emissions rate, assuming historic ozone season heat input adjusted for growth to the year 2007; plus

(b) The total tons of NO_x that large non-EGUs in the program would emit in an ozone season after achieving a 60 percent reduction in ozone season NO_x emissions compared to uncontrolled levels adjusted for growth to the year 2007.

The number of tons in each State or partial State trading program budget can be found in Appendix C of the final part 97. The emission levels for each State reflected in Appendix C are consistent with the revised inventories and State budgets described in the December, 1999 SIP call inventory notice. Where only partial portions of States are covered by this rulemaking, the State trading program budgets reflect only the portions of the States that are covered. This is because each State trading program budget includes emissions only from the sources affected by the control remedy in this section 126 rulemaking.

The State trading program budgets are also addressed in § 97.40 of today's rule. Section 97.40 includes some changes from part 96 and the October 21, 1998 section 126 proposal. Under § 96.40, the State trading program budget is determined by the State in the SIP. In contrast, § 97.40 reflects the fact that

part 97 creates a federally administered trading program where the State trading program budgets are determined by the Administrator and are reflected in Appendix C of part 97. Moreover, § 97.40(b) provides that a State trading program budget for a control period may be reduced, before the budget is allocated, by the permit limit of each unit exempt under § 97.4(b) in the State. The reduction is required if allowances equal to the permit limit are not already being withdrawn either by deducting allowances equal to the permit limit from the general account of the unit's owners and operators after the unit is allocated allowances as an existing unit or by reducing the new unit allocation set-aside for the control period. As discussed above in Section III.B.1.c. of this preamble, this ensures that exempt units do not have any significant adverse impact on air quality. In addition, today's rule eliminates, as redundant, the definition of "trading program budget" in § 97.2 and instead explains in § 97.40 that the Administrator will allocate each State trading program budget in accordance with §§ 97.41 and 97.42. In light of the provisions in § 97.40 and Appendix C, the language in the existing § 52.34(j)(3) describing the calculation of the State trading program budgets is redundant and is therefore removed. The State trading program budgets reflected in Appendix C and referenced in § 97.40 are calculated in a manner consistent with the calculation description in § 52.34(j)(3).

3. NO_x Allowance Allocations

While the May 25, 1999 section 126 rule finalized the methodology for determining the State aggregate emission levels, the Agency did not finalize the methodology for determining the NO_x Budget Unit allocations in the May 25, 1999 final rule. Rather, the Agency laid out a default emission limitation methodology that would be used to calculate the unit-specific emission limitations in the event the Administrator failed to promulgate the Federal NO_x Budget Trading Program. With today's action, the Administrator is promulgating the provisions of the Federal NO_x Budget Trading Program including the allocation methodology (§§ 97.41 and 97.42) and the specific unit allocations (Appendices A and B). Therefore, the allocations and methodology described in the final part 97 replace the default emission limitation methodology specified in the May 25, 1999 rule. The final part 97 includes provisions for the timing of determining allocations and the

methodology for determining allocations for existing and new units.

Sections III.B.3.a. (electric generating units) and III.B.3.b. (non-electric generating units) describe the specific allocation methodologies included with today's rule.

a. NO_x Allowance Allocation

Methodology for Electric Generating Units. i. Timing Provisions. Under the Federal NO_x Budget Trading Program, the Administrator determines the NO_x allowance allocations and records them in the NO_x Allowance Tracking System (NATS). This section lays out when the Administrator will determine the allowances for a particular control period and what baseline period will be used to determine those allocations.

(1) *When Will the Administrator Determine Allocations?* In the October 21, 1998 section 126 proposal, EPA proposed to determine allocations 3 years ahead of each applicable control period. The Agency did not receive any adverse comment on this specific proposal. Most commenters favored providing more time for sources to know their allocations for any given control season. They suggested that knowing the allocations in advance would provide for the development of forward markets and would provide greater certainty for source compliance planning.

Therefore, as proposed, the Administrator will record NO_x allowances in the NO_x Allowance Tracking System (NATS) at least 3 years prior to each relevant control season. As discussed in section III.A.2.e. of this preamble, for the 2003, 2004, 2005, and 2006 allocations, the Administrator records the allocations in the NATS by May 1 of the year that is 3 years prior to the control season for which the allocations are being recorded. For each subsequent allocation the Administrator records the allocations in the NATS after compliance has been determined for the control season that is 4 years prior to the applicable control season. These provisions are consistent with the minimum timing requirements for the NO_x Budget Trading Program specified in the preamble to the final NO_x SIP call. As discussed in the October 21, 1998 section 126 proposal, as well as the October 27, 1998 final NO_x SIP call, EPA believes that it is important to determine the allocations a few years ahead of the compliance period to provide some predictability for sources in their control planning and to build confidence in the market.

As stated above, the EPA will determine allocations and record them in the NATS on an annual basis 3 years prior to the relevant control period. This

will allow a State, as part of an approved SIP, to submit allocations up to 3 years prior to the relevant control period and have those allocations replace the allocations EPA was planning to issue as part of the Federal NO_x Budget Trading Program. By recording allocations in accounts one year at a time, EPA is providing States the ability to replace a section 126 action with an approved SIP while still ensuring that sources receive allocations at least 3 years prior to the relevant control season.

(2) *Will the Agency update the allocations periodically?* In the October 21, 1998 section 126 proposal, the Agency proposed to use the same allocations for the first 3 years of the program, unless a State replaces a section 126 action with its own allocations in an approved SIP. After the initial three year period, EPA proposed to update the allocations on an annual basis 3 years prior to the relevant control season.

The Agency received numerous comments arguing against the proposed schedule and supporting longer-term or permanent allowance allocations. Several commenters suggested that the proposed schedule would be administratively cumbersome and would create uncertainty and risk for sources regarding investments in control technologies. Two commenters stated that annually updating allocations would provide incentives to generate more electricity and create market distortions and that EPA has not fully evaluated all of the implications of updating the allocations. These commenters (as well as others) expressed support for 5- to 10-year allowance allocations.

Other commenters favored some form of updating of allocations, provided the updates were done based on output data rather than heat input data. Another commenter noted that EPA should periodically re-allocate NO_x allowances based on actual operating performance of the sources. These commenters noted that an updating output-based allocation system has the potential to reward and encourage efficiency.

The Agency agrees with the commenters who suggested that updating output-based allowance systems for electric generating units reward and encourage efficiency, but also agrees with the commenters who stated that updating allocations, whether input or output-based, provide incentives to generate more electricity. The Agency commissioned an analysis of the impacts of permanent allocations versus updated allocations in order to respond to the comments received on

the proposal and to assist in determining the most appropriate method for distributing NO_x allowances. The results of the analysis as well as a description of the methodology can be found in the report, "Economic Analysis of Alternative Methods of Allocating NO_x Emissions Allowances" (Docket A 97-43, Category XI-B-01). The analysis described in the allocation report (Docket A 97-43, Category XI-B-01) predicted that updating allocation systems when compared to permanent allocation systems will result in generally lower nationwide emissions (NO_x as well as some ancillary emissions), and, in particular, more generation in the capped region, and so less NO_x emissions increase (*i.e.*, "leakage") outside the capped region.

After reviewing the comments and looking at the results of the allocation report (Docket A 97-43, Category XI-B-01), the Agency has decided to include an updating allocation approach in the Federal NO_x Budget Trading Program. The allocation report (Docket A 97-43, Category XI-B-01) indicated that, depending upon the data used in the allocations, an updating system can result in ancillary environmental benefits. The report provided results that supported the comments that asserted that updating allocations can result in increased generation from relatively more efficient, and thus lower emitting sources and decreased generation from relatively less efficient, higher emitting sources. This can result in lower nationwide emissions. In addition, the allocation report indicated that updating systems can result in less leakage of NO_x emissions outside the section 126 control area. Leakage refers to NO_x emissions increasing outside of the section 126 control region as a result of a cap being placed on NO_x emissions within the section 126 region. Imposition of the NO_x cap encourages some existing electricity generation to be shifted outside the section 126 region and some new sources to locate outside, rather than inside, the section 126 region. An updating system can result in decreased NO_x emissions outside of the section 126 control area relative to a permanent allocation system.

Some of these benefits of updating resulted from the fact that updating provides a mechanism for incorporating new sources into the program, rather than requiring new sources to purchase all the allowances they need for operation from the market. With updating allocations, new sources can be incorporated into the allocations for existing units once the system is updated. Prior to the update, new

sources can receive allocations from a new source set-aside. Under a permanent system any new source set-aside would be exhausted at some point, resulting in new sources having to purchase all of the allowances they need to operate.

The Agency believes that new sources should be allocated allowances, rather than being required to purchase allowances. The analysis described in the allocation report (Docket A 97-43, Category XI-B-01) indicates that an updating system can achieve ancillary environmental benefits relative to a permanent system in part because new, more efficient sources locate in the section 126 region if allowances are available to them. Requiring new sources to purchase all the allowances they need to operate, as opposed to making them available through an updating mechanism, would raise the cost of locating within the section 126 region for new sources. If new sources are built within the section 126 control region, generation from new sources can replace some generation from existing sources, resulting in ancillary environmental benefits within the section 126 region. New sources tend to be more efficient and emit at lower emission rates. Additionally, allocating to new sources through an updating mechanism could limit the potential leakage of emissions outside of the section 126 region.⁹

However, rather than an annually updating approach as proposed, the Agency will update the allocations every 5 years. Updating the allocations every 5 years provides a reasonable balance between two important, but countervailing factors: (i) accommodating changing electricity market conditions (by incorporating new sources and reflecting generation changes) and encouraging generation efficiency that can result in ancillary environmental benefits, and; (ii) giving sources more certainty for their compliance planning. The first factor tends to support more frequent updating, while the second factor tends to support less frequent updating.

Most of the commenters suggested that EPA issue allocations for a longer time period (at least 5 years). The Agency agrees with the commenters that an annually updating system could

⁹The Agency notes as well that some consumer benefits could result from updating the allocations periodically. The allocation report indicated that relative to a permanent allocation system, under an updating system, consumers pay less for electricity resulting in increased consumer surplus (see Docket A 97-43, Category XI-B-01). However, EPA is not relying on such considerations in deciding to periodically update allocations.

create a level of uncertainty for sources that may interfere unduly with compliance planning and cause market distortions even though that uncertainty is reduced by issuing the allowances at least 3 years prior to the relevant control period.

Therefore, the final rule provides that while the Agency will not record the allocations in the unit accounts until April 1 of the year 3 years preceding each relevant control period, the allocations for 2004, 2005, 2006, and 2007 will be the same as the allocations for the 2003 control period. After this initial five year period, EPA will update the allocations every 5 years while still ensuring that sources know their allocations 3 years prior to the relevant control season. For example, by April 1, 2005, sources will know their allocations for the control periods 2008–2012. By April 1, 2010, sources will know their allocations for the control periods 2013–2017.

(3) *What baseline will be used for determining the allocations?* In the proposed part 97, the Agency based the initial 3 years of allocations for large electric generating units on the average of the data for the two highest control periods from the years 1995, 1996, and 1997. For the subsequent annual updates, EPA proposed to use a single year's worth of data as the basis for allocating to existing EGUs. For example, the 2006 allocations would be based on data from 2002, and the 2007 allocations would be based on data from 2003.

A few commenters supported the Agency's proposed approach of using data from the average of the highest two ozone season values from the period 1995, 1996 and 1997. However, several commenters requested variations on the baselines used for their particular allocations. A number of commenters noted that due to exceptional circumstances (generally in 1995 and 1996), such as mothballing, construction, repairs, etc., the data for certain units are too low and as a result the affected utilities would be denied a fair and adequate level or amount of allocations for these units. Other commenters noted generally that EPA should consider claims of atypical baseline years in developing allocations. Several commenters suggested that EPA should allow sources to use 1998 data (in addition to data from the previous years) in determining the allocations. The majority of commenters suggested using multiple years of data rather than a single year for both the initial and subsequent allocations.

The Agency proposed using data from 1995, 1996, and 1997 (the average of the

data from the 2 highest years) in determining the initial allocations for electric generating units so that the initial allocations would better represent the operation of particular units. The Agency believes that an average of data from more than one year provides a more representative baseline than basing an allocation on data from one year which may not reflect representative operating conditions at a particular unit. The Agency used the most recent data available that had been through a public review process and, at the time of the proposal, 1998 data was not yet available. With the publication of the Notice of Data Availability on August 9, 1999, EPA now has 1998 data that has been publicly reviewed (See Section III.B.3.a.ii.(3) below about the sources of data used for allocations). EPA agrees with the commenters that sources should be able to use data from 1998 in determining their allocations. Therefore, the Agency is finalizing an initial allocation approach that bases the allocations on the average of the highest of 2 out of the 4 most recent years that have quality assured, publicly reviewed data (1995, 1996, 1997, 1998).

The Agency is making data from this additional year (1998) available for use in the 2003–2007 allocations to incorporate the most recent data available, but also to address comments received from sources who cited exceptional circumstances in more than 1 of the 3 years originally proposed as the basis for the initial allocation. The Agency believes that this adequately addresses exceptional circumstances since it allows sources to pick the 2 highest years out of a 4-year range. Thus, if a source faced exceptional circumstances in either 1 or 2 years between 1995 and 1998, data from the year(s) in which the exceptional circumstances occurred would not be used in the initial allocation. If circumstances occurred that reduced heat input for more than half of the years 1995–1998, it is highly questionable whether they should be considered “exceptional” and therefore not reflected in the allocations.

In the proposal, the Agency stated that after the initial allocation period, companies would be able to better accommodate variations in single year allocations through the trading market and company-wide compliance strategies and therefore the Agency proposed basing the annual updates on one year of data. However, because the Agency has moved from an annually updating allocation system (as described in the proposal) to a system that updates every 5 years, variations in allocations could have a more lasting effect. An

unusually low year of operation could affect allocations for 5 years if only one year of data is used as the basis for the update. Therefore, the Agency is finalizing an updating allocation approach for EGUs that bases the updated allocations on an average of the data from the 5 most recent years. The Agency is using all 5 of the most recent years to ensure that data from each year contributes to the eventual allocation level. If the Agency only selected one, or a couple of years as a baseline, sources could potentially have an incentive to operate more in the 1 or 2 years on which their allocation would be based because it would give them a higher baseline used in setting allocations. Using data from a larger number of years (*i.e.*, 5 years) reduces significantly the ability of a source to distort its allocation by operating more in some years relative to other years.

However, for the period 2008–2012, data from the 5 years immediately preceding the year in which the allocations will be determined may not be available for all sources. Allocations will be based on an average of data from the years immediately preceding 2005 (the year in which the 2008–2012 allocations will be determined) for which data is available. The Agency expects sources to begin monitoring in 2002, and data should be available for the 2002, 2003, and 2004 control periods. Therefore, the 2008 through 2012 allocations will be based on the average of the data from the 2002, 2003, and 2004 control periods. For all subsequent updates, 5 years of data will be available and will be used in the allocations. For example, the 2013–2017 allocations will be based on the average of the data from the 2005, 2006, 2007, 2008 and 2009 control seasons.

ii. Basis for EGU Allocations. The Agency requested comment on three separate allocation methodologies for electric generating units in the October 21, 1998 section 126 proposal. Under the first option, EPA would allocate allowances based on the product of an emission rate in pounds of NO_x/mmBtu and the total heat input for all units in the Federal NO_x Budget Trading Program measured in mmBtus of energy utilized. The proposed part 97 included provisions implementing this approach. The second option described in the proposal allocated allowances to fossil-fuel fired electric generation units in the Federal NO_x Budget Trading Program based on the product of an emission rate in pounds of NO_x/kWh and the kWh of electricity generated. A third option considered by EPA allocated allowances to all large fossil fuel-fired electric generating units and non-NO_x emitting

electric generators, such as nuclear and renewable electric generating units, in the States covered by the section 126 rulemaking based on their electricity generation.

Section III.B.3.a.(ii)(1) explains that the allocations finalized with this rule replace the default emission limitation methodology finalized with the May 25, 1999 final section 126 rule. Section III.B.3.a.(ii)(2) summarizes the comments the Agency received on the three proposed allocation options, describes the Agency's commitment to adopting an output-based allocation approach, lays out the technical reasons why the Agency is issuing heat-input based allocations for the 2003–2007 control periods, and explains why the Agency can not issue output-based allocations until the 2008 control period. Section III.B.3.a.(ii)(3) discusses the sources of data used in determining the allocations, and Section III.B.3.a.(ii)(4) describes the final allocation approach for new sources. Finally, Section III.B.3.a.(ii)(5) summarizes the rule language included in the final part 97.

(1) *Default Emission Limitations.* In the May 25, 1999 final section 126 rule, EPA included a default emission limitation methodology that would provide unit specific emission limitations in the event that the Administrator failed to promulgate the Federal NO_x Budget Trading Program. With today's action, the Administrator is promulgating the provisions of the Federal NO_x Budget Trading Program including an allocation methodology and the specific allocations. The methodology and allocations specified in today's action replace the interim emission limitations promulgated with the May 25, 1999 section 126 rule.

As discussed in the May 25, 1999 final rule, EPA entered into a consent decree with the petitioning States that committed the Agency to developing a final section 126 remedy by April 30, 1999. However, the regulations setting forth the Federal NO_x Budget Trading Program were not included with the May 25, 1999 section 126 rule because the Agency had not had sufficient time to respond to comments and make final determinations on allocations and other trading program provisions at the time of that rule. Therefore, as part of the May 25, 1999 section 126 rule, the Agency promulgated on an interim basis emission limitations that would be imposed in the event a finding under section 126 is made without the Administrator having promulgated the Federal NO_x Budget Trading Program regulations. As part of today's action, the Agency is promulgating the

regulations setting forth the Federal NO_x Budget Trading Program including the initial allocations. Therefore, the default remedy set forth in § 52.34(k) is superseded as a matter of law, and today's final rule deletes § 52.34(k) accordingly.

For similar reasons, the provisions in § 52.34(j)(1) and (2) that describe generally, and require promulgation of, the Federal NO_x Budget Trading Program are superseded and deleted. In particular, the general statement of the emission limitation for the program in § 52.34(j)(1) is set forth in more detail in part 97 (i.e., §§ 97.6(c), 97.42(e), and 97.54).

(2) *Final EGU Allocation Methodology.* The Agency received numerous comments on the three proposed allocation methodologies for electric generating units. A number of commenters expressed support for an input-based allocation methodology. Some of the commenters that expressed support for a fossil fuel-based allocation methodology noted that the inclusion of nuclear or hydroelectric sources would be inequitable since these types of sources do not emit NO_x. One commenter noted that allocations should be granted to these sources only if doing so would not reduce the State budget for fossil fuel-fired sources. A different commenter noted that output-based allocations to all generation sources are inappropriate since they lead to an inappropriate redistribution of income from fossil to non-fossil sources. Another commenter noted that use of an output-based allocation system that includes non-fossil fuel-fired units will dramatically decrease the effective emissions rate to which fossil fuel-fired units are subject (i.e., to 0.12 lb/mmBtu or lower), which may affect the feasibility of compliance. However, a number of other commenters expressed support for an output-based allocation methodology. Some of these commenters support output-based allocations only for fossil fuel-fired units, while others expressed support for an output-based allocation methodology that is generation-neutral (i.e., includes non-NO_x-emitting generators). One commenter specifically expressed support for an output-based system that would include fossil fuel units and some non-emitting energy sources, such as wind, solar, biomass, and small hydroelectric facilities. A few commenters only generally expressed support for an output-based system, without stating whether the system should be generation neutral or based on fossil fuel units only.

Comments were also received on the potential effectiveness of an output-

based system to improve efficiency. One of the commenters that expressed support for an output methodology applicable only to fossil fuel units noted that improvements in the efficiency of the energy system will come from the overall stringency of the emissions cap, instead of the allocation methodology. One commenter noted that output-based allocations will provide little incentive for energy efficiency. Another commenter noted that an output-based allocation system has the potential to reward and encourage efficiency, but that it is difficult to evaluate the effectiveness and potential benefits until the details of this allocation system are finalized.

Others noted that there are difficulties and uncertainties associated with an output-based allocation procedure that should be resolved prior to implementation. However, a few of these commenters expressed support for an output-based allocation method that would incorporate non-fossil sources, and some added that an output-based, generation-neutral approach would result in greater air quality benefits.

One commenter generally opposed an output-based approach and noted that EPA does not have the legal authority to implement a section 126 regulatory scheme that includes fossil fuel and non-fossil fuel-fired units. This commenter added that output-based allocations would provide no air quality benefit, could hinder attainment of the NAAQS in some areas, would increase compliance costs, and would be difficult to implement. According to the commenter, output-based allocations would create tracking and administrative problems and would involve the added complications of obtaining steam output data and determining how it should be combined with the electricity output information.

The Agency agrees with the commenter who stated that improvements in the efficiency of the energy system will result from the overall stringency of the emissions cap. The ability for sources to sell surplus allowances provides an incentive for efficiency improvements in any given year, regardless of how the allowances are distributed.¹⁰ In general, the emissions reductions, improvements in energy efficiency, and any associated ancillary environmental improvements

¹⁰ However, there is an offsetting factor under an updating heat input-based allocation method. Efficiency improvements could potentially reduce the number of allowances a unit receives in the future under that allocation method, thus providing a disincentive for efficiency improvements.

will primarily come as a result of the cap on NO_x emissions.

However, the Agency believes, based on a review of the comments and the results of the allocation report (Docket A 97-43, Category XI-B-01), that allocation methods can have an impact on electricity generation decisions. The Agency has carefully weighed the comments, considered the results of the report, and considered technical feasibility and data availability factors in making its allocation decision.

The Agency has concluded that an updating output-based approach is likely to result in more ancillary environmental benefits, lower emission control costs and lower fuel use than an updating heat input-based system. Therefore, the Agency has committed to adopting an output-based allocation system for the updated allocations in the section 126 control remedy.

However, the Agency has determined that a heat input based allocation is the most appropriate approach to use for the initial 2003-2007 allocation. Section 97.42 of today's rule describes this heat input methodology used to calculate the initial allocations. Appendix A contains the specific unit allocations that will be issued each year during the initial five-year period (2003-2007) for all the units affected by the control remedy under this section 126 rulemaking.

The Agency has decided to allocate on a heat input basis for the initial allocation period for a number of reasons. First, although the Agency has now put out for public comment data on electric generation from affected sources, the heat input data for the initial baseline period has undergone more extensive public review than the output data. In addition, the set of heat input data is more complete in that EPA has available measured heat input data, but not output data, for each affected unit. The heat input numbers also reflect the actual operation of each unit. The output data EPA has available to it is, in many cases, plant data that is apportioned to the unit level based on heat input. The EPA agrees with commenters that directly measured output data is more accurate than apportioned output data based on heat input. The accuracy of output apportionment based on heat input depends on whether the units at the plant actually have the same efficiencies. Any differences in the design of the units or their fuels makes it less likely for the efficiencies to be the same. Further, in order for a cogenerator to receive a NO_x allowance allocation that reflects the efficiency of the unit's entire operation, instead of just the efficiency of the generation of

electricity, EPA would need thermal (steam) output data in addition to electric generation data. The Agency specifically solicited comment on steam (thermal output) data from co-generation units in the original October 21, 1998 section 126 proposal. Based on available information (see docket A-97-43, Category X-A-04), the Agency estimated that approximately 10% of the EGU units affected by this section 126 rule are co-generation units. However, in response to the proposal and the August 9, 1999 Notice of Data Availability, only two commenters provided steam data. Based on these comments and the Agency's estimate of the number of existing co-generation units, the Agency believes that it does not have a complete set of data for co-generation plants.

Additionally, as pointed out by several commenters and based on the allocation report (Docket A 97-43, Category XI-B-01), the updating aspect of the allocations (not the initial allocation nor the input or output basis of the allocations) provides the incentives for behavior changes and thus, only differences between an input and output-based updating approach will yield a difference in expected behavior. Because the initial allocation is based on historical data and so reflects only actions already taken, it would not provide any incentives (either the potential negative or positive incentives pointed out by commenters) for future actions. In other words, basing the initial allocation on output as opposed to input would not result in any additional air quality benefits (or costs), changes in emissions control costs, or market distortions.

However, EPA's allocation report (Docket A 97-43, Category XI-B-01), as well as the commenters, project differences in environmental and emissions control costs between an output-based allocation system on an updating basis and a heat input-based allocation system on an updating basis. As discussed above, updating allocations provides a mechanism to allocate to new sources and can encourage generation efficiency. The allocation report indicates that an updating output system is likely to result in more generation efficiency and ancillary environmental benefits, relative to the updating heat input systems proposed in the October 21, 1998 section 126 proposal or the permanent allocation systems suggested by commenters. The analysis also shows that updating on the basis of fuel input rather than electricity output would result in higher emissions control costs and higher fuel use. Therefore, the

Agency is committing to issuing future regulations that adopt an updating allocation system based on output that will be used to determine allocations starting in the 2008 control period.

The Agency disagrees with commenters who suggest that an updating output system would provide no air quality benefit and could hinder attainment of the NAAQS in some areas. The Agency believes that a permanent allocation based on, output-based and input-based systems would result in the same air quality impacts, and that, on an updating basis, differences would likely exist. However, those differences would only be in ancillary environmental impacts and in emission control costs, not in the overall level or impact of ozone season NO_x emissions within the control region. Any method of distributing allowances in a program where NO_x is capped will result in the same level of NO_x emissions in the area that has been capped (see Docket A 97-43, Category XI-B-01). Therefore, an output system would not hinder attainment of the NAAQS in any area covered by the Federal NO_x Budget Trading Program.

The Agency reiterates that it is strongly committed to moving to an updating output-based allocation system as soon as practicable. However, 2008 is the first year for which output-based allocations can be determined.

For the reasons discussed above, EPA must obtain reliable and complete output data before issuing future allocations based on output. The monitoring and reporting requirements that are necessary to provide EPA with the appropriate output data are not yet in place. Questions related to the specific provisions of part 97 regarding output-based allocations have not yet been addressed as well.¹¹ To collect the necessary output data, the Agency plans future rulemakings to revise the monitoring and reporting requirements. Revising the monitoring and reporting requirements for the EGU sources affected by the rule will enable the Agency to collect a complete set of reliable output data (both electricity generation and thermal (steam) data) in a consistent manner from all sources that may receive allocations. The Agency has committed to a schedule for developing the infrastructure necessary for collecting the data necessary for an updating output allocation system. The

¹¹ For example, at what output-based emission rate should new sources receive allowances, and if the Agency decides to allocate to non-emitting generation sources, what other changes to part 97 are necessary to include them in allocations but exclude them from other program requirements that are inappropriate for non-emitting sources.

Agency has put together a stakeholder group that is looking at the technical feasibility of output allocations. This group has made significant progress in addressing these critical issues. The Agency will use information provided by the stakeholder group to finalize output allocation guidance in 2000 for States under the NO_x SIP call and make the necessary rule changes by the year 2001 under the section 126 action to require NO_x Budget units to monitor and report output data. The Agency could propose changes to the monitoring and reporting requirements in 2000, take public comment on the proposal, finalize the requirements in 2001, provide sources time to implement the requirements, and start collecting data from sources in 2002. The earliest the Agency could obtain the output data from all sources would be starting with the 2002 control season.

Further, in today's rule, the Agency is providing sources their allocations three years prior to the relevant control season. The Agency proposed this approach in both the NO_x Budget Trading Program for the NO_x SIP call, as well as the section 126 proposal, and generally received comment supporting the proposal. As stated in section III.B.3.a.i.(1) of this preamble, the Agency believes allocating three years prior to the relevant control season is important to provide sufficient time for sources to plan for compliance.

In addition, the Agency believes that allocations for multiple control periods should be calculated based on an average of multiple years of data when available. The Agency originally proposed to base the updated annual allocations on one year's worth of data. The Agency received comments that uniformly criticized basing updated allocations on only one year's worth of data. Most commenters suggested using several years of data in the baseline for determining future allocations in order to provide a more representative baseline. In today's rule, the Agency revised the proposed approach in response to these comments and in order to accommodate other changes the Agency has made to the proposed allocation method (see preamble section III.B.3.a.i.(2)). In the final allocation provisions, the Agency is issuing multiple years of allocations, rather than issuing annual updates, in order to provide sources greater certainty for compliance planning and to provide for the development of markets for NO_x allowances. The Agency maintains that it is important to base allocations on multiple years of baseline data when available in order to provide for a representative baseline, particularly

where the Agency is determining allocations for multiple years using the same baseline.

In general, the Agency believes that the longer the baseline period, the more representative the data. However, for determining the appropriate baseline period for the initial update, the Agency must balance the benefits of having a longer baseline period with its commitment to move to an output allocation system as soon as practicable. On balance, the Agency has decided that basing the first update on three years of data (2002–2004) would be sufficient time to provide for a representative baseline without unduly delaying implementation of an output allocation approach.

Therefore, since the Agency cannot start collecting output data until 2002 at the earliest and the Agency believes that about three years of data are appropriate for setting the baseline for allocations, the Agency cannot issue output allocations until 2005. The allocations issued in 2005 allocations will be based on data from 2002, 2003, and 2004. Because the Agency has decided that sources shall receive their allocations three years prior to the relevant control season and the Agency can not calculate output allocations until 2005, 2008 is the first year for which output-based allocations can be determined.

While the Agency has committed to finalizing an output-based allocation method for the subsequent updates, the Agency has not yet determined to what sources it should allocate based on output, e.g., whether it should allocate only to fossil fuel-fired sources or also to non-NO_x emitting generation sources. The allocation report (Docket A 97–43, Category XI–B–01) indicated some differences (ancillary environmental differences as well as control cost differences) between allocating on an updating output basis only to fossil fuel-fired sources or also to non-emitting sources, but not significant differences. Additionally, few commenters supported either position with technical analysis. Because the Agency is committing to moving to an output-based system after the first 5 years of the Federal NO_x Budget Trading Program, the Agency plans to consider further this question of what sources should be allocated allowances. EPA intends to propose and then finalize appropriate rule language addressing this issue in time to allocate allowances for the 2008–2012 control seasons.

The EPA notes that whatever decision is made in the context of the Federal NO_x Budget Trading Program will not set a precedent for allocations under future cap-and-trade programs. The

Agency's allocation report examined the question of allocations only in the context of NO_x emissions and the specific section 126 control remedy, and its results should only be interpreted in that context. New analysis that looks at the specific parameters of potential future cap-and-trade programs will be necessary for making any future decisions on allocations. Therefore, any decision on allocation methodology that is made in the context of the Federal NO_x Budget Trading Program will not affect any future allocation decision made by the Agency in other cap-and-trade programs.

(3) *Sources of Supporting Data for Allocations for Existing Electric Generating Units.* Today's final rule uses heat input data from the ozone season during the years 1995 through 1998 as the basis for the initial allocation to EGUs for the years 2003 through 2007. For the years 1995 and 1996, EPA is using the heat input data that was made available for comment during the SIP call inventory development process and that was used to develop the November, 1999 State emission budgets and emission inventory. The 1997 data was posted on the Agency's regional transport of ozone section 126 internet website and made available for public comment on December 21, 1998 and reopened for comment in the August 9, 1999 Notice of Data Availability. The EPA is using the 1998 heat input data it made available for comment on August 9, 1999 and then revised based upon comment. The original source for heat input data for most EGUs was heat input data reported to EPA by sources under the Acid Rain Program. In addition, EPA used heat input data provided by commenters during a number of public comment periods and heat input for non-utility generators from the OTAG inventory (1995). Where there was no other source of heat input information for non-utility generators, the Agency used calculated average values for heat input from the Integrated Planning Model (IPM) for 1995 and 1996 (the years considered in calculating States' emission budgets).

In the future, EPA will allocate NO_x allowances to EGUs based upon output data, starting with an updated allocation for the years 2008 through 2012. As suggested by commenters, the Agency intends to base future output-based allocations upon directly measured data for electric generation and thermal output. In order to collect these data, EPA will propose monitoring and reporting requirements related to electric generation and thermal output for EGUs in the Federal NO_x Budget

Trading Program. The Agency plans to propose these requirements in the year 2000 and to issue final requirements no later than the year 2001.

The EPA provided unit-specific allocations along with the October 21, 1998 proposed section 126 rule to solicit comment on the underlying data used in the proposed allocations and the methodologies employed in determining the allocations. There were three sets of allocations that accompanied the three allocation bases that EPA proposed: heat input, output from fossil fuel-fired units, and output from all electricity generators. All three sets of allocations were based upon information for the highest two ozone season values during the years 1995 through 1997. EPA developed generation estimates for fossil fuel-fired units by multiplying the unit heat rate¹² by the historic heat input for each year. For non-utility electricity generators, EPA used the heat input described above, and generic heat rates by unit type and nameplate capacity used in IPM. The Agency used this indirect approach to calculate electrical output because EPA did not have access to unit-specific generation data for non-utility electricity generators. The Agency specifically solicited electrical output data and steam output data for cogenerators. For power plants that do not combust fuel (*i.e.*, nuclear and hydroelectric generators), EPA used electric generation data calculated using outputs from IPM. The Agency solicited comment on the methods for determining electricity generation data, the data themselves, and any additional information for the plants for which EPA had not found data.

Some commenters raised specific concerns regarding the data and methodology that were used in the context of output-based allocations. In particular, commenters noted that output-based allocations should be based on actual "measured" data and not "computed" data. Commenters suggested using the generation data on EIA forms 767 and 759. Another commenter suggested using the gross generation data that sources report under the Acid Rain Program. In general, commenters thought that these sources of data would be more accurate than using calculated values based on heat input and heat rate.

Commenters acknowledged that determining output-based allocations for non-utility generators is more difficult than for utility sources.

Commenters suggested the following alternative sources of data:

- IPM heat rate values for specific units (instead of generic values);
- IPM generation values;
- data from States that currently require non-utility generators to provide data on heat input;
- actual output data from 1995–97 that has been previously reported on EIA Form 860; or
- data from EIA form 867.

In response to these comments, EPA requested comment on a different set of supporting data that could be used for allocations on August 9, 1999 and again on September 15, 1999 (See 64 FR 43124 and 64 FR 50041). EPA made available heat input data for the 1997 and 1998 ozone seasons for large EGUs and net electric generation data from EIA form 759 for the 1995–1998 ozone seasons for large EGUs and for electric generators that do not combust fuel. The Agency specifically requested comment on those data where either: (1) EPA used data from a different source than it used in the proposed allocations (such as electric generation data, 1998 heat input data, and data provided based upon public comments) or (2) EPA found that entire categories of data were lacking (*i.e.*, heat input data, net heat rate data, and electric generation for 1997 or 1998 for units that do not report under the Acid Rain Program).

The sources of the data are described in detail in the August 9, 1999 Notice of Data Availability. Heat input data for 1997 and 1998 were from the sources described above, primarily from data reported under the Acid Rain Program. EPA obtained net electric generation data in megawatt hours (MWh) for the ozone season (May through September) during the years 1995 through 1998 for each utility power plant that submitted EIA form 759. The Agency then apportioned the plant-level net electric generation data in EIA Form 759 to each unit at the plant. For fossil-fuel fired EGUs, EPA used heat input data (where available) to apportion the generation data. For electric generators that did not burn fuel, the Agency generally divided the plant-level generation using each generator's portion of the total nameplate capacity of all generators at the plant. EPA described the specific methods used to apportion electric generation more fully in the August 9, 1999 Notice of Data Availability and in the supporting documentation file "outmethd.txt" included with the data files. For non-utility generators, EPA found it necessary to provide calculated electric output data based upon heat rate and heat input data where commenters did not provide output

data, because electric generation data for 1995 through 1998 were not publically available.

The public also commented on the data and the sources of the data that the Agency made available on August 9, 1999. Some commenters suggested that it would be better to use directly measured generation values for each unit, where these data are available on EIA form 767. Commenters stated that this would be more accurate than apportioning plant-level generation from EIA form 759 to individual units. In particular, comments stated that apportioning output-based allocations based upon heat input data does not recognize and reward efficiency differences. These commenters suggested that unit level accounting of output is necessary because, at some plants, different units have different owners.

The EPA will not be using output data (for the reasons discussed in section III.B.3.a.ii.(2)) for the initial allocation of NO_x allowances for the Federal NO_x Budget Trading Program. Thus, EPA does not need output data at this time. However, in general, EPA agrees that directly measured generation data are more accurate than calculated generation values. For example, where units at a plant operate with different efficiencies (*i.e.*, different output per mmBtu of heat input), apportionment based on heat input may be inaccurate and, because more efficient units are not apportioned more output, tends to obviate the benefit of using an output-based approach.

A number of commenters noted that the proposed output-based allocation methodology would penalize cogeneration facilities because it distributes the same amount of allocations to these sources as simple electric generators, even though cogenerators must consume more energy in order to provide useful thermal energy. The commenters stated that EPA should allocate allowances to cogeneration facilities for both thermal and electric output (or, as proposed by one commenter, use an option based on output sold). Commenters provided specific information and recommendations as to how EPA should calculate the thermal output of cogeneration facilities by using generic power-to-heat ratios or obtaining the necessary data directly from facilities. As the Agency works toward developing the infrastructure for an updating output allocation method, these comments will be considered.

The EPA agrees that using measured electric and thermal output from a cogeneration unit is likely to be more

¹² For utility generators, EPA used net heat rate data from Energy Information Administration (EIA) Form 860 for 1995.

accurate, more equitable, and more effective at promoting energy efficiency than using heat input and a heat rate to estimate output from a cogeneration unit. However, the Agency does not currently have access to these data for cogeneration units. The Agency specifically encouraged commenters to provide this information in the proposed rulemaking because these data are not publicly available. As discussed above in section III.B.3.a.ii.(2) of this preamble, EPA will update allocations for EGUs based upon electric and thermal output beginning with allocations for 2008 through 2012. In order to obtain timely, consistent, and accurate information, EPA will initiate another rulemaking, to be completed no later than 2001, related to the monitoring and reporting of electric and thermal output. This will give the Agency an accurate, consistent database of thermal output data from cogeneration units that is currently lacking.

(4) *Treatment of New EGUs.* In the October 21, 1998 section 126 proposal, the Agency proposed a set-aside for new sources consistent with the provisions of part 96. New electricity generating units required to participate in the Federal NO_x Budget Trading Program would have access to this set-aside. In 2003, 2004 and 2005, each State set-aside would initially hold allowances equal to 5 percent of the NO_x allowances in the section 126 trading program budget in the State. Starting in 2006, each State set-aside would hold 2 percent of the NO_x allowances in the section 126 trading program budget in the State. In the proposal, new sources would receive allocations equivalent to 0.15 lb/mmBtu multiplied by the heat input the unit would use if operating at maximum capacity. The allocations would then be subject to a reduction to reflect the unit's actual utilization. At the end of each relevant control period, EPA proposed to return any allowances remaining in the account on a pro-rata basis to the units that had received an original allocation that had been adjusted to create the new source set-aside in the State.

The Agency received numerous comments on the new source set-aside proposal. One commenter noted that there should not be a set-aside for new sources and that existing sources should not have their NO_x allocations reduced in order to create set-aside accounts. However, the majority of commenters expressed support for the concept of a new source set-aside. One commenter specifically expressed support for the level of the new source set-aside as proposed by EPA. However, many

commenters noted that EPA should incorporate flexibility into its program to allow States to determine the appropriate level of set-asides for new sources, that State specific growth factors can be used to determine these levels, and that EPA should work with States to ensure that new and modified sources are accommodated in the design and implementation of the State NO_x cap. One commenter noted that this set aside should remain small to minimize the burden on existing sources. A few commenters suggested alternative sizes for the set-aside. One commenter recommended that prevention of significant deterioration (PSD) and new source review (NSR) processes under Title I of the Clean Air Act could be used to help evaluate the impact of growth from new sources within each State and determine State-specific new source set-asides. However, some commenters noted that State growth factors should not be used and that more information is needed before new source set-asides can be determined based on these factors.

Some commenters raised specific concerns regarding the allocation of allowances to new sources. One commenter noted that initial allocation for new units should be based on the unit's applicable SIP NO_x emission rate and subsequent allocations should be based on the source's actual ozone-season emissions. Another commenter suggested that the provision to allocate to new sources based on an emission rate of 0.15 lb/mmBtu could prevent the development of new generation sources, because that would quickly exhaust the set-aside. This commenter recommended that allocations from the set-aside pool be limited to the maximum permitted emission rate. An additional commenter recommended that EPA bank any unused allowances in the new source set-aside for future new source use, rather than distribute them back to the existing sources. One other commenter suggested distributing the available allowances to all new sources that apply by the spring of the relevant control season, rather than first-come, first-served as proposed. That commenter suggested redistributing the allowances at the end of the season according to actual operation to provide the most equitable coverage.

The Agency agrees with the commenters who suggested that a new source set-aside is an effective mechanism for integrating new sources into the Federal NO_x Budget Trading Program. As stated in the proposal as well as the final NO_x SIP call, the Agency believes it is important to be able to accommodate new source growth

in a set-aside. Therefore, in determining the appropriate size of the proposed new source set-aside, the Agency took into account how much growth in new sources would need to be accommodated by the new source set-aside. In the proposal the initial new source set-aside had to be large enough to accommodate new source growth from 1995 through 2005. With the allocation timing specified in the final part 97, the initial new source set-aside must be large enough to accommodate new sources that begin operation after May 1, 1997 but before October 1, 2007. Sources that commence operation before May 1, 1997 will have at least 2 years of data on which to base the 2003–2007 allocation and can be incorporated into the allocation method for existing sources. Sources that commence operation after May 1, 1997 would not have 2 years of data, and therefore, the Agency maintains that it is appropriate for those sources to draw from the new source set-aside through 2007. Using May 1, 1997 as the dividing date between existing and new sources for the 2003–2007 allocations maintains a balance between: limiting the number of sources with access to the new source set-aside so as not to create an over-subscription; and providing access to the set-aside for those sources that lack sufficient operating data to determine a representative allocation baseline. Part 97 maintains this balance for subsequent updates as it allows sources to draw from the set-aside if they commenced operation with less than two control periods remaining in the baseline period that is used for determining allocations.

Based on the analysis conducted for the NO_x SIP call and the section 126 rulemaking (see docket A–97–43, Category IV–A–06), EPA projects a 4.2 percent growth in utilization due to new source generation over the 1997–2007 time period. Establishing a new source set-aside of 5 percent would provide assurance that all new sources will receive sufficient allowances to operate even with an allocation method that first allocates assuming the unit's projected utilization at maximum operation. Likewise, for the future updated allocation periods, the new source set-aside will have to cover 10 years of new source growth (*i.e.*, ten control periods, 2003–2012, for a unit commencing operation on or after May 1, 2003) as compared to 5 years in the proposal. Therefore, a 5 percent set-aside will be appropriate for future years of the program (as compared with the 2 percent in the proposal).

In the October 21, 1998 section 126 proposal, the Agency solicited comment

on whether the size of each State's new source set-aside should be set consistent with the State growth rates for new units that underlies the overall State growth rate used in developing the State trading program budget. The Agency received one comment (from a State that is not covered by the section 126 rule) in support of setting State specific new source set-asides based on the State growth rates and one comment (from a State that is covered by this section 126 rule) against using the State specific growth rates to set the new source set-aside. EPA anticipates that there will be relatively limited variation from State to State in growth rates for new sources. In addition, the only commenter supporting the use of State-specific growth rates provided no rationale. Therefore, the Agency is establishing the new source set-asides at a level (5%) consistent with the overall new source growth rate for the section 126 region and consistent across the States covered by the section 126 rule, rather than using the State specific growth rates.

The Agency agrees with the commenters who suggested that new sources are unlikely to need allocations based on an emission rate of 0.15 lb/mmBtu. One commenter pointed out that allocating at that level would allocate an unrealistic level of allowances and could potentially quickly use up the new source set-aside. Therefore, in order to avoid over-subscription, the set-aside for the initial allocation period in today's rule allocates to new sources based on the lesser of 0.15 lb/mmBtu or the permitted level multiplied by the source's utilization at maximum operating capacity (see docket A-97-43, Category IV-A-06 for a discussion of emission rates of new sources). As proposed, the Agency has retained the procedure at the end of the control period for adjusting allocations based on actual utilization (*i.e.*, heat input). Because proposed part 97 defines "utilization" as "heat input", the final rule eliminates the term "utilization" and replaces it with the term "heat input". Language is added to clarify that any allowances deducted based on actual heat input are transferred to the new source set-aside from which they were allocated.

The EPA is concerned that under a first-come, first-served system, some new sources may not receive allowances from the set-aside. Therefore, the Agency agrees with the commenter that suggested that allowances from the new source set-aside should be distributed in the spring before the relevant control period to all sources that have submitted approved applications for allowances from the set-aside. If the

number of approved allowances to be distributed exceeds the number in the set-aside, the allowances will be distributed proportionally to those sources with approved applications. In that way, all new sources will know before the control season that they will have access to allowances and will be able to estimate the amount that will remain after adjusting for actual heat input. In the unlikely event that the number of allowances needed by new sources for compliance exceeds the supply, new units can purchase the needed balance of allowances from the market.

To accommodate this change, part 97 has been revised to require all applications for allowances from the new source set-aside to be received by January 1 of the year for which the unit is applying for allowances from the set-aside. The Agency will review all the allowance requests and determine by order the allowance allocations from the set-aside as described above by April 1. The final part 97 also includes revised language which describes how the Agency will allocate the available allowances if, in total, new NO_x Budget units request more allowances than are available in the new unit set-aside account for any given year. The EPA has retained the provisions of part 97 that describe the distribution of any allowances remaining in the set-aside at the end of the year to existing sources on a pro rata basis.

(5) *Part 97 Rule Language.* While the allocation methodology included in part 96 as part of the final NO_x SIP call was an optional approach that may be adopted by States, the allocation approach described in part 97 is required for sources affected by the control remedy under a section 126 finding. Appendix A contains the initial NO_x allowance allocations for NO_x Budget units for 2003-2007. This section summarizes the provisions of part 97 that describe how the initial allocations are made and how future updates will be calculated. Final part 97 differs from the proposed rule on the timing provisions, the data used in the allocations for both electric generating units and non-electric generating units, as well as the size and methodology for distributing the new source set-aside.

The final part 97 includes provisions for calculating an initial unadjusted allocation amount for each unit as well as provisions for adjusting that initial amount to ensure that the total allowances issued matches the portion of each State (or partial State) trading program budget that is available for distribution to existing sources. Initial unadjusted allocations to existing NO_x

Budget units serving electric generators are based on actual heat input data (in mmBtu) for the units multiplied by an emission rate of 0.15 lb/mmBtu. For the control periods in 2003, 2004, 2005, 2006, and 2007, the heat input used in the allocation calculation for large EGUs equals the average of the two highest control season heat inputs among the years 1995, 1996, 1997, and 1998. Once EPA completes the initial allocation calculation for all the existing NO_x budget units serving electric generators, the EPA proportionally adjusts the allocation for each unit upward or downward so that the total allocations match the portion of the appropriate State's section 126 trading program budget attributed to the large electric generating units affected by the rulemaking (to ensure that all of the allowances available for distribution to existing sources are distributed and to ensure that the number of allowances distributed does not exceed the number in the trading program budget). Then, EPA adjusts the allocation for each unit proportionately so that the total allocation equals 95 percent of that portion of the State's trading program budget in order to provide for the 5 percent new source set-aside. In making all of the above adjustments, EPA will round to the nearest whole number of allowances. Generally, this will mean rounding down decimals less than 0.5 and rounding up decimals 0.5 or greater. However, other rounding approaches will be used if necessary to ensure that the number of total allowance allocations is correct. The provisions of § 97.42(b) describe the procedures for determining allocations and state explicitly that calculations expressed in pounds must be divided by 2000 lb/ton to convert to tons and then to allowances. The Agency will record the allowances in the NATS one year at a time, by May 1 of the year that is 3 years prior to the applicable control season.

While the Agency has committed to using output data to determine the allocations for each five year block following 2007, specific rule provisions have not yet been developed. Until the measurement and reporting methods have been developed, the Agency can not include rule language for an output based allocation method in part 97. Therefore, part 97 includes rule language for allocations based on heat input, rather than output, for the initial allocations and for future allocations. This provides a default emission limitation methodology for the control periods starting in 2008 in the event that the Agency does not develop an updating output-based methodology in

time. However, the Agency reiterates that it is committed to developing the output-based methodology and infrastructure. Once the methodology has been developed, the Agency will propose changes to part 97.

Proposed (and final) §§ 97.42(b), (c), and (d) provide for the allocation of NO_x allowances only to NO_x Budget units under § 97.4 (i.e., large EGUs). The proposal therefore implied that sources that are not NO_x Budget units should not be allocated NO_x allowances and should not retain any NO_x allowances that the sources are allocated. EPA is adding § 97.42(g) to address explicitly this aspect of the proposal. EPA notes that the Agency anticipates that allocations to a source that is later determined to be actually a non-NO_x Budget unit will rarely, if ever, occur. However, it is desirable to clarify how the Agency will handle such cases. Section 97.42(g) states that if the Administrator determines that a source allocated NO_x allowances for a control period under §§ 97.42(b), (c), and (d) is not actually a NO_x Budget unit, then the Administrator will not record the allocation. If the allocation was already recorded and the Administrator has not yet completed all compliance deductions under § 97.54 (except deductions under § 97.54(d)(2)) for the control period of the allocation, the Administrator will deduct from the source's account allowances equal in number to, and of the same or earlier control period as, the allocated allowances. This approach with regard to allocated, or allocated and recorded, allowances is consistent with the implication of the proposal that non-NO_x Budget units are not given allowances. However, § 97.42(g) states that if the allowances were recorded and the Administrator has completed the compliance deductions for the control period (i.e., has deducted sufficient allowances to cover the source's emissions), then the Administrator will not deduct any more allowances with regard to the allocation for that control period. In that case, the source will have met the requirements of the NO_x Budget Trading Program for that control period (as if the source were a NO_x Budget unit) by monitoring NO_x emissions, making emission reductions and/or purchasing allowances, and holding allowances to cover emissions. It therefore seems reasonable not to deduct any more allowances from the source's allocation. Even if the source does not hold enough allowances and has excess emissions for the control period, then allowances equal to the allocation will probably be deducted

either to cover emissions or to account for excess emissions. The Administrator will transfer any allowances not recorded, and any allowances deducted, under § 97.42(g) to an allocation set-aside for the State in which the source is located. This will ensure that the allowances will then be available to NO_x Budget units in the State either as allocations for new units or as allowances redistributed to existing units.

b. NO_x Allowance Allocation Methodology for Non-Electric Generating Units. i. Timing Provisions. (1) *When will EPA determine non-EGU allowances?* As indicated in Section III.B.3.a.i.(1) of this preamble, in the October 21, 1998 section 126 proposal, EPA proposed to determine allocations 3 years ahead of each applicable control period. As was the case for the EGUs, the Agency did not receive any adverse comment on this specific proposal for non-EGUs. Most commenters favored providing more time for sources to know their allocations for any given control season. They suggested that knowing the allocations in advance would provide for the development of forward markets and would provide greater certainty for source compliance planning.

Therefore, as proposed, the Administrator will determine NO_x allowances for non-EGUs in EPA's NO_x Allowance Tracking System (NATS) by April 1 of every year for the control period that is 3 years later. For example, EPA will determine the allocations for the 2003 control period by April 1, 2000, for those large non-EGUs subject to the control remedy under this section 126 rulemaking. EPA will then determine allocations for the 2004 control period by April 1, 2001, etc., so that the allocations are always recorded in the NATS 3 years in advance. These provisions are consistent with the minimum timing requirements for the NO_x Budget Trading Program specified in the preamble to the final NO_x SIP call. As discussed in the October 21, 1998 section 126 proposal, as well as the October 27, 1998 final NO_x SIP call, EPA believes that it is important to determine the allocations a few years ahead of the compliance period to provide some predictability for sources in their control planning and to build confidence in the market.

As stated above, the EPA will determine allocations and record them in the NATS on an annual basis 3 years prior to the relevant control period. This will allow a State, as part of an approved SIP, to submit allocations up to 3 years prior to the relevant control period and have those allocations

replace the allocations EPA was planning to determine as part of the Federal NO_x Budget Trading Program. By recording allocations into the accounts one year at a time, EPA is providing States the ability to replace a section 126 action with an approved SIP while still ensuring that sources receive allocations at least 3 years prior to the relevant control season.

(2) *Will the Agency update the non-EGU allocations periodically?* In the October 21, 1998 section 126 proposal, the Agency proposed to use the same allocations for the non-EGUs for the first 3 years of the program, unless a State replaces a section 126 action with its own allocations in an approved SIP. After the initial three year period, EPA proposed to update the allocations on an annual basis 3 years prior to the relevant control season.

The Agency did not receive comment specific to non-EGUs on the schedule for updating allocations. Rather, the Agency received numerous comments with respect to the general proposal for updating the allocations annually after the initial three year period for all sources subject to the section 126 control remedy. These comments are summarized in section III.B.3.a.i.(2).

After reviewing the comments, the Agency has determined that an allocation system that updates every 5 years provides an appropriate balance between accommodating changing market conditions (by incorporating new sources and excluding sources that shutdown) and providing more certainty (by fixing the allocation amount for 5 years) for sources in their compliance planning. The Agency agrees with the commenters that an annually updating system could create a level of uncertainty for sources, even though that uncertainty is reduced by issuing the allowances at least 3 years prior to the relevant control period, that may interfere unduly with compliance planning and cause market distortions. Most of the commenters suggested that EPA issue allocations for a longer time period (at least 5 years).

Updating can provide a mechanism for incorporating new sources into the program. As stated in the October 27, 1998 final NO_x SIP call, the Agency believes that new sources should be allocated allowances, rather than being required to purchase allowances. An updating system provides a mechanism for new sources to receive an allocation rather than having to purchase all the allowances they need for operation from the market. With updating allocations, new sources can be incorporated into the allocations for existing units once the system is updated. Prior to the

update, new sources can receive allocations from a new source set-aside. Under a permanent system, a new source set-aside would be exhausted at some point, resulting in new sources having to purchase all of the allowances they need to operate.

EPA recognizes that an updating heat input methodology can create some disincentive for increased efficiency. However, the cap on total NO_x allowances reduces the disincentive, and this disadvantage of updating is more than offset by the benefits of accommodating changing market conditions.

Therefore, as with EGU allocations, while the Agency will not record the non-EGU allocations in the unit accounts until April 1 of the year 3 years preceding each relevant control period, the allocations for 2004, 2005, 2006, and 2007 will be the same as the allocations for the 2003 control period. After this initial five year period, EPA will update the allocations every 5 years while still ensuring that sources know their allocations 3 years prior to the relevant control season. For example, by April 1, 2005, sources will know their allocations for the control periods 2008–2012. By April 1, 2010, sources will know their allocations for the control periods 2013–2017.

(3) *What baseline will EPA use to issue non-EGU allowances?* For the non-electric generating units subject to the program, the Agency proposed to base the initial allocations on data from 1995. This differed from the proposal for EGUs because the Agency did not have data beyond 1995 available for non-EGUs. For the subsequent annual updates, EPA proposed to use a single year's worth of data as the basis for allocating to both existing EGUs and existing non-EGUs. For example, the 2006 allocations would be based on data from 2002, and the 2007 allocations would be based on data from 2003.

One commenter noted that it is inappropriate to determine the NO_x allowance allocation for non-EGU units based only on the 1995 control period. This commenter added that a more reasonable approach is to allow operators to propose a typical year or series of years if 1995 was not typical for their operations. In general, for both EGUs and non-EGUs, commenters did not support updating the allocation based on a single year's worth of data.

In response to these comments, in the August 9, 1999 Notice of Data Availability, the Agency requested that non-EGUs provide heat input data from May through September for the years 1996, 1997, and/or 1998 where the heat input from May through September for

the year 1995 is not representative of a non-EGU's operation over the last several years. The Agency will continue to use 1995 data for determining the initial allocations for non-EGUs because the 1995 data are the most recent data the Agency knows are currently available for non-electric generating units, and the 1995 data has been through several rounds of public review. However, where commenters provided data for non-EGUs for additional years (1996–1998), EPA used the average of the two highest ozone seasons of heat input to calculate unadjusted allocations, as the Agency does for all EGUs. (See section III.B.3.b.ii.(3), below, regarding the sources of data used for allocations.)

For the subsequent allocations, the Agency will use the same approach as that adopted for EGUs. Today's final rule adopts an updating allocation approach for non-EGUs that bases the updated allocations on an average of the data from the 5 most recent years. As stated in Section III.B.3.a.i., because the Agency has moved from an annually updating allocation system (as described in the proposal) to a system that updates every 5 years, variations in allocations could have a more lasting effect. An unusually low year of operation could affect allocations for 5 years if only one year of data is used as the basis for the update. Therefore, the Agency is using all 5 of the most recent years to ensure that data from each year contributes equally to the eventual allocation level.

However, as is the case for EGUs, for the period 2008–2012, data from the 5 years immediately preceding the year in which the allocations will be determined may not be available. Therefore, allocations will be based on an average of data from the years immediately preceding 2005 (the year in which the 2008–2012 allocations will be determined) for which data is available. The Agency expects sources to begin monitoring in 2002, and therefore data should be available for the 2002, 2003, and 2004 control periods. Consequently, the 2008 through 2012 allocations will be based on the average of the data from the 2002, 2003, and 2004 control seasons. For all subsequent updates, 5 years of data will be available and will be used in the allocations. For example, the 2013–2017 allocations will be based on the average of the data from the 2005, 2006, 2007, 2008 and 2009 control seasons.

ii. *Basis for non-EGU Allocations.* (1) *Final Non-EGU Allocation Methodology.* In the October 21, 1998 proposal, EPA proposed to use heat input as the basis for determining allocations for large non-electric generating units in the

Federal NO_x Budget Trading Program. The EPA proposed this approach for both the initial allocation period as well as for subsequent years of the program. The proposal pointed out that this approach differs from the method used to determine the aggregate emission level for non-electric generating units (i.e., a percentage reduction from historical levels) because at the time the aggregate level was determined, heat input data for individual units was not available.

Some commenters disagreed with a heat-input based approach for non-EGUs. One commenter noted that non-EGU allocations should not be based on the regional average controlled emission rate of 0.17 lb/mmBtu. According to the commenter, EPA should base the allocation emission rate on the uncontrolled emission rate used to develop the State budgets and the reduction percentage found to be cost-effective in determining the State's non-EGU budget. Another commenter added that the use of the 0.17 lb/mmBtu rate requires reductions greater than the 60 percent EPA found to be cost effective. One commenter noted that the use of heat input as the basis for determining allocations for large non-EGUs in the trading program is questionable and that this "fuel-neutral" approach is arbitrary and capricious because it favors natural gas usage at the expense of coal, oil, wood, and other fuels.

The Agency has decided to maintain the heat input-based approach used in the proposal for allocating NO_x allowances. Distributing allowances on a heat-input basis provides a fuel neutral method of allocating to the units in the trading program similar to the allocation approaches used for the electric generating units. Heat-input based allocations also allow for reallocating in the future to accommodate new units because units receive an allocation based on their proportional share of total heat input each time the allocations are updated. As new sources enter the market, their heat input can be factored into the proportional distribution of allowances. Allocating based on a specific percentage reduction in emissions from a baseline year does not allow for updating because the allowances are not distributed on a proportional basis under a percentage reduction method. If the trading program budget is created and distributed based on a percentage reduction in emissions, sources that were not operating during the original baseline period can not receive any allowances. Moreover, even for existing sources, once the Federal NO_x Budget Trading Program has been operating and

sources have begun controlling emissions, there is no appropriate "baseline" level of emissions from which to base a percentage reduction reallocation of the allowances.

The Agency agrees with commenters that on an individual unit basis, the heat input-based approach described above could result in individual unit allocations that differ from a 60 percent reduction at that unit (a 60 percent control level would result in a range of emission rates). The heat input approach is a fuel neutral approach that encourages higher emitting plants to control more. However, the Agency disagrees with the commenter that asserted that the use of the 0.17 lb/mmBtu emission rate requires greater reductions across the control region than the 60 percent used in determining the overall budgets. As discussed in the final NO_x SIP call as well as the October 21, 1998 section 126 proposal, 0.17 lb/mmBtu is the average effective emission rate in place after large non-EGUs achieve a regional reduction of 60 percent (in the NO_x SIP call region). In the allocation methodology, the Agency uses 0.17 lb/mmBtu for the sole purpose of initially proportionally allocating the non-EGU portion of the State trading program budget to the large non-EGUs affected by the section 126 rulemaking. Once the Agency determines each unit's proportional share of the total (by multiplying the unit's baseline level of heat input by 0.17 lb/mmBtu), each unit's allocation is adjusted so that the total allocations issued matches the portion of the State trading program budget assigned for existing sources. With this adjustment, the total allowances issued is consistent with the 60 percent control level assumed in setting the State trading program budget for large non-EGUs. The Agency could have used an alternative emission rate (for example, 0.15 lb/mmBtu or 0.20 lb/mmBtu) for calculating the initial unadjusted allowance level and each unit would still end up with the same level of allowances after the initial allocations are adjusted to match the budget.

The Agency plans to issue each subsequent update of the non-EGU allocations based on heat input. This differs from the approach adopted for EGUs because unlike for EGUs, the Agency is not confident yet that output-based allocations for all non-EGUs are justified or that a reasonable approach for collecting accurate output data can be developed for all non-EGUs. The Agency acknowledges the commenters' suggestions for approaches that may be used to calculate output-based allocations for non-EGUs but maintains

that it currently does not have sufficient information or basis for justifying output-based allocations for large non-EGUs. EPA does not have access to thermal (steam) output data for non-EGUs. Since the issuance of the proposal, the Agency has held meetings with the Updating Output Emission Limitation Workgroup, a stakeholder group concerning output-based allocations. Some workgroup members have raised a number of issues and concerns that they believe may make it undesirable and perhaps difficult or impossible to monitor thermal output data and use it as the basis for updated NO_x allowance allocations. For example, one workgroup member mentioned difficulties in measuring thermal output in the form of hot exhaust and in measuring output at older plants with complicated configurations. In contrast, power plants that sell their electric or thermal output are already monitoring output and will have relatively few problems to resolve compared to some of the complex industrial cogeneration facilities mentioned by industrial boiler owners.

Industrial boiler owners also questioned whether output-based allocations are appropriate for non-EGUs, even if they are technically feasible. Workgroup members raised several issues that do not exist for power plants. For example, currently thermal output from industrial boilers is monitored primarily for boiler control and safety, rather than for sale or for determining unit efficiency, and so the available monitoring systems may be less accurate than available for measuring power plant output. Additionally, there does not exist an industrial boiler equivalent of the interstate electricity "grid" that allows more efficient EGUs to be dispatched more frequently. This may affect whether output-based allocations for non-EGUs would have the same potentially beneficial effects on efficiency and the environment as output-based allocations. Because of the lack of data and the issues raised by these workgroup members, the Agency maintains that further discussion and further rulemakings are necessary to address these issues. Therefore, at this time the Agency is deciding to use heat input as the basis for allocating initial NO_x allowances to non-EGUs as well as for determining subsequent allocations.

(2) *Sources of Supporting Data for Allocations for Existing Non-Electric Generating Units.* Today's final rule uses heat input data as the basis for NO_x allowance allocations to non-EGUs. For the year 1995, EPA is using the same heat input data that it developed in the

process of developing the December, 1999 State emission budgets and emission inventory. Where commenters provided acceptable data for non-EGUs for additional years (1996–1998), EPA is using the average of the two highest ozone seasons of heat input for the years 1995 through 1998 to calculate unadjusted allocations, as the Agency does for all EGUs.

As discussed above in section III.B.3.a.i.(3), some commenters expressed support for a non-EGU allocation methodology that would be similar to the methodology used for EGUs. One commenter suggested that operators should be allowed to propose a typical year or series of years if 1995 was not typical for their operations. Other commenters suggested that the Agency request steam output data and use this data to establish output-based allocations for non-EGUs.

EPA proposed unit-specific allocations for non-EGUs in Appendix B of proposed part 97 (63 FR 56292). The Agency based these allocations upon 1995 unit heat input data. EPA developed these heat input data in the process of developing the emission inventories used to establish State budgets. EPA solicited comment on the underlying data used in those allocations and the methodology used in determining the allocations. In particular, EPA requested comment on supporting data that could be used for allocations on August 9, 1999 and again on September 15, 1999 (See 64 FR 43124 and 64 FR 50041). In the August 9, 1999 Notice of Data Availability, EPA made available data files that, among other things, contained heat input data for large non-EGUs for the ozone season during the year 1995 (i.e., industrial boilers or turbines with a design heat input greater than 250 mmBtu/hr). The Agency also requested that non-EGUs provide heat input data from May through September for the years 1996, 1997, and/or 1998 where the heat input from May through September for the year 1995 is not representative of a non-EGU's operation over the last several years.

In general, EPA agrees that using more years of baseline data for non-EGUs could be more representative of unit operation over longer periods of time. However, EPA is aware of no complete databases of heat input data or NO_x emissions data for non-EGUs that the Agency could use. Furthermore, commenters have not provided or mentioned any such database. As noted above, EPA requested that non-EGUs provide heat input data from control periods in 1996, 1997, and/or 1998 where the heat input from the 1995

control period is not representative of a non-EGU's operation over the last several years; this is similar to one commenter's suggestion to allow operators to propose a typical year or series of years if 1995 was not typical for their operations. If commenters have not provided heat input data for 1996, 1997, or 1998, the Agency assumes that the companies find their heat input data for 1995 to be representative. If commenters provided acceptable data for 1996, 1997, and/or 1998 during the public comment period, then the Agency took the average heat input for the 2 highest years from 1995 through 1998 in determining that unit's baseline.

(3) *Treatment of New Non-EGUs.* In the October 21, 1998 proposal, the Agency created a set-aside for new non-EGUs consistent with the provisions of part 96. Under the proposal, new non-electricity generating units required to participate in the Federal NO_x Budget Trading Program would have access to this set-aside. In 2003, 2004 and 2005, the Agency proposed that each State set-aside would initially hold allowances equal to 5 percent of the NO_x allowances in the section 126 trading program budget in the State. Starting in 2006, each State set-aside would originally hold 2 percent of the NO_x allowances in the section 126 trading program budget in the State. In the proposal, new non-EGUs would receive allocations equivalent to 0.17 lb/mmBtu multiplied by their utilization at maximum capacity, and then they would be subject to a reduction in their allocation so that they only keep an allocation based on their actual utilization. At the end of each relevant control period, EPA would return any allowances remaining in the account on a pro-rata basis to the units that had received an original allocation that had been adjusted to create the new source set-aside in the State.

The Agency did not receive any comment specific to the treatment of new non-EGUs. Commenters generally addressed their comments as summarized in section III.2.B.ii.d. to the treatment of new sources in general or new EGUs specifically. Therefore, for the reasons discussed in section III.2.B.ii.d., the Agency is establishing a new source set-aside for non-EGUs consistent with the new source set-aside for EGUs. The Agency believes that a new source set-aside of 5 percent is appropriate for the first five year period of the program. Likewise, for the updated allocation periods, the new source set-aside will have to cover 10 years of new source growth (as

compared to 5 years in the proposal)¹³. Therefore a 5 percent set-aside is appropriate for future years of the program (as compared with the 2 percent in the proposal).

The Agency is finalizing the following approach to distributing the allowances from the new source set-aside to new non-EGUs. A new non-EGU can apply to receive allowances from the new source set-aside at the lower of 0.17 lb/mmBtu or its permitted rate multiplied by the heat input the unit would be projected to use if it operated at maximum capacity. After the control period, the allocation is subject to a deduction to reflect the unit's actual heat input, and any allowances deducted for this reason are transferred back to the new source set-aside from which they were allocated. At the end of each relevant control period, EPA will return any allowances remaining in the set-aside on a pro-rata basis to the existing units, i.e., the units that received an original allocation that was adjusted to create the new source set-aside in the State.

As was indicated in section III.2.B.ii.d., the EPA is concerned that under a first-come, first-served system, it is possible that some new sources may not receive allowances from the set-aside. Therefore, the Agency will determine by order the allowance allocations from the new source set-aside by April 1 of the relevant control period to all sources that have submitted approved requests for allowances from the set-aside. If the number of approved allowances to be distributed exceeds the number in the set-aside, the allowances will be distributed proportionally to those sources with approved applications. In that way, all new sources will know prior to the control season that they will have access to allowances. Those new sources receiving allowances from the set-aside will still be subject to reduction based on actual heat input at the end of the control period. In the unlikely event that the number of allowances needed by new sources for compliance exceeds the supply, new units can purchase the needed balance of allowances from the market.

To accommodate this change (consistent with the change made for new EGUs), part 97 has been revised to require all non-EGU applications for

allowances from the new source set-aside to be received by January 1 of the year for which the unit is applying for allowances from the set-aside. The Agency will review all the allowance requests and determine the allowance allocations from the set-aside as described above by April 1. The final part 97 also includes revised language which describes how the Agency will allocate the available allowances if, in total, new NO_x Budget units request more allowances than are available in the new unit set-aside account for any given year. The EPA retained the provisions of part 97 that describe the distribution of any allowances remaining in the set-aside at the end of the year to existing sources on a pro rata basis.

(4) *Non-EGU Allocation Summary.* EPA is basing the initial unadjusted allocations to existing large non-electric generating units on each unit's 1995 control period heat input (in mmBtu) (or where additional years of data have been accepted, on the average of the unit's two highest control period heat inputs from 1995–1998) multiplied by an emission rate of 0.17 lb/mmBtu. For large non-electric generating units subject to the trading program, 1995 heat input data or the average of the 2 highest heat inputs from 1995–1998 is used in the allocation calculation for the control periods 2003, 2004, 2005, 2006, and 2007. The EPA adjusts the allocation for each unit upward or downward so that the total allocations match the aggregate emission levels associated with the State's large non-electric generating units. Then EPA adjusts the allocations for each unit proportionately so that the total allocation equals 95 percent of the aggregate emission levels apportioned to the State's large non-electric generating units, in order to provide for the 5 percent new source set-aside. As described above with regard to EGUs, EPA will round to the nearest whole number of allowances in making all of the above adjustments. The provisions of § 97.42(c) describe the procedures for determining allowances and state explicitly that calculations expressed in pounds must be converted to tons and then to allowances. The Agency will record the allowances in the NATS one year at a time, by April 1 of the year that is 3 years prior to the applicable control season.

For each five year block following 2007, the heat input used in the allocation calculation for large non-electric generating units will equal the average of the heat input data from the 5 years preceding the year in which the update is calculated except for the

¹³ The maximum number of years that a source may be required to draw from the new source set-aside would be 10 years. For example, if a source begins operating on or after May 1, 2003, it will not have sufficient data (i.e., data for at least two full control periods) to receive an allocation for the 2008–2012 time period. Therefore, it will need to draw from the new source set-aside for 10 years (2003–2012).

2008–2012 allocations. For the 2008–2012 block of allowances, the Agency will use an average of the heat input from 2002–2004. Once EPA completes the initial allocation calculation for all existing NO_x Budget units, EPA will adjust the allocations to match the aggregate emission levels apportioned to large non-electric generating units and then adjust the allocation for each unit proportionately so that the total allocation equals 95 percent of the aggregate emission levels apportioned to large non-electric generating units.

New non-EGUs may apply to receive allowances from the 5 percent set-aside. New sources with approved set-aside allowance requests will receive allowances based on the lower of either 0.17 lb/mmBtu or their permitted rate multiplied by their utilization at maximum designed heat input. If approved allowance requests exceed the number of allowances available in the set-aside, the Agency will distribute the allowances on a pro-rata basis. Each unit would be subject to a reduction in their allocation at the end of the season (if necessary) so that they only keep an allocation based on their actual heat input. Remaining allowances in the new source set-aside will be redistributed back to existing sources.

As described in section III.B.3.a.ii.(5) of this preamble, proposed (and final) §§ 97.42(b), (c), and (d) provide for the allocation of NO_x allowances only to NO_x Budget units under § 97.4 (*i.e.*, large non-EGUs). The proposal therefore implied that sources that are not NO_x Budget units should not be allocated NO_x allowances and should not retain any NO_x allowances that the sources are allocated. As discussed above, EPA is adding § 97.42(g) to address explicitly this aspect of the proposal. EPA notes that the Agency anticipates that allocations to a source that is later determined to be actually a non-NO_x Budget unit will rarely, if ever, occur.

4. The Compliance Supplement Pool

The EPA received comments in response to the proposals for the NO_x SIP call and section 126 action expressing concern that some sources may encounter unexpected problems installing controls by the May 1, 2003 deadline. The commenters suggested that these unexpected problems could cause unacceptable risk for a source and its industry. In particular, commenters expressed concern related to the electricity industry, stating that the deadline could adversely impact the reliability of electricity supply. Based on its own analysis, EPA believes sources will have ample time to install NO_x control technologies and comply

by 2003 and that there should be no interruption to the flow of electricity due to the Federal NO_x Budget Trading Program. (For a further discussion of the feasibility of installing NO_x controls and NO_x control implementation and budget achievement, see the supplemental proposal to the NO_x SIP call (63 FR 57447), the October 21, 1998 proposed section 126 rule (63 FR 56318), and the May 25, 1999 final Section 126 rule (64 FR 28302)). However, EPA chose to address these concerns, despite disagreeing with the commenter's concerns, and included a compliance supplement pool in the final NO_x SIP call and proposed the inclusion of one in the Federal NO_x Budget Trading Program. The compliance supplement pool addresses commenters' concerns by ensuring the availability of a limited number of allowances in addition to the State budgets, at the start of the program.

In the October 21, 1998 section 126 rule, EPA proposed to include a compliance supplement pool which was analogous to the pool in the NO_x SIP call. The EPA proposed a capped pool budgeted at the State level proportional to the percentage of ozone season reductions for which all of the sources in a State are responsible for under the section 126 control remedy. EPA proposed using similar procedures for establishing the size of the individual State compliance supplement pools under the section 126 control remedy as under the NO_x SIP call. In the May 25, 1999 section 126 final rule (64 FR 28310) EPA finalized the existence of the compliance supplement pool and the fact that the tonnage in the 126 compliance supplement pool for a given State would be equal to the tonnage in the NO_x SIP call compliance supplement pool.

In today's rule, EPA is finalizing the method by which EPA will distribute the allowances in the compliance supplement pool to individual units. The October 21, 1998 action proposed two options for distributing the pool allowances. Under the first option, EPA would distribute pool allowances for early reduction credits only. Under the second option, EPA would distribute a portion of the pool allowances as early reduction credits and would reserve some remaining portion for sources that demonstrate a need for a "direct" distribution method. (See 63 FR 56319–20). Today's part 97 provides for the distribution of the compliance supplement pool allowances for early reduction credits only. Sources may request early reduction credits for reductions made during the 2001 and 2002 ozone seasons equal to the

difference between 0.25 lb/mmBtu and the unit's NO_x emissions rate, multiplied by the unit's actual heat input for the applicable control period if certain conditions are met. (For a detailed discussion of the requirements for early reduction credits finalized in today's rule see III.B.4.b below). After completion of the 2004 end-of-season reconciliation process, EPA will retire all compliance supplement pool allowances remaining in NATS.

Today's final rule adopts the early reduction distribution method proposed on October 21, 1998 with one exception. Under the proposal, the credits were distributed on a first come, first served basis with requests due by October 31 of the year for which early reduction credits are requested. Under today's final rule, sources must submit all requests for early reduction credits by February 1, 2003. (Please see below for a detailed discussion of why EPA changed the early reduction credit request deadline).

EPA notes that recent information reinforces EPA's initial determination that there is very little or no risk to the electricity industry and electricity reliability from compliance with the section 126 action. First recent reports from the North American Electric Reliability Council (NERC) and the Mid Atlantic Area Council found that compliance with the NO_x SIP call is unlikely to cause electricity reliability problems. (See docket A–97–43, item X–A–07). Today's section 126 action, of course, requires compliance by significantly fewer sources because it covers significantly fewer States than the NO_x SIP call. Second, recent experience in the Ozone Transport Commission demonstrates that installation of Selective Catalytic Reduction (SCR), which EPA estimates to be the most complicated and time consuming NO_x control measure to install, can be completed in less than a year. For example, the Public Service of New Hampshire installed SCR at its Merrimack Station in Bow, New Hampshire on its Unit 1 boiler in 44 weeks and its Unit 2 boiler in 48 weeks. (See docket A–97–43, item number X–N–04).

Despite this recent information further suggesting that a compliance supplement pool may not be needed, the Federal NO_x Budget Trading Program includes the compliance supplement pool as adopted in the May 25, 1999 section 126 final rule. The section 126 compliance supplement pool provides the same number of allowances for distribution to sources in a State or portion of a State as the NO_x SIP call compliance supplement pool.

Each State covered by the section 126 action has the same size compliance supplement pool as under the NO_x SIP call, and each partial State's compliance supplement pool under the section 126 action has been prorated based on the ratio of the partial State trading program budget to the whole State trading program budget. EPA is adopting this approach for two reasons. First, this addresses the concerns that some commenters continue to express concerning the risk to the electricity industry from compliance. Second, making the compliance supplement pool in each State or portion of a State effectively the same size under the section 126 action and the NO_x SIP call allows for integration of any State NO_x Budget Trading Programs that may be adopted in SIPs and approved as meeting the SIP call with the Federal NO_x Budget Trading Program that EPA is requiring under section 126. For example, if EPA applies the Federal NO_x Budget Trading Program to a given State and a SIP for that State including a State NO_x Budget Trading Program is approved and in effect before the 2004 control period (which is the last control period before pool allowances expire), sources in the State will be able to retain the pool allowances distributed to them under the federal program if the pool is the same size under the two programs. If instead the section 126 pool were larger than the NO_x SIP call pool, sources might have to give up pool allowances, thereby reducing sources' ability to plan compliance using such allowances. If the opposite were true, and the section 126 compliance supplement pool were smaller than the NO_x SIP call compliance supplement pool, then integration of the State and Federal trading program would be hampered.

EPA received numerous comments on its proposal for a compliance supplement pool under the section 126 control remedy. Included in the comments were several advocating for allowing unlimited generation of early reduction credits, *i.e.*, an uncapped compliance supplement pool. The EPA capped the pool in its May 25, 1999 section 126 final rule because the pool delays achievement of the program's emissions reductions goal. Each allowance in the pool represents an extra ton of NO_x emissions which can be emitted. The credits from the pool potentially inflate the NO_x budget for future ozone seasons (*i.e.*, in 2007) because sources may use the pool's allowances for compliance in 2003 and 2004 and bank their allocations. The cap on the compliance supplement pool

limits this inflation of the budget and ensures a limited potential adverse impact on air quality in future ozone seasons. It also reflects the limited potential need for the pool to guarantee that all sources will hold sufficient allowances to comply with the program requirements in the 2003 ozone season. A larger cap or no cap at all would further delay the achievement of the NO_x budget in future ozone (*i.e.*, 2007) seasons and thus the program's environmental goal. (For further discussion of how EPA developed the compliance supplement pool and why EPA limited its size, see the supplemental proposal to the NO_x SIP call (63 FR 57428), and the final NO_x SIP call (64 FR 57429), and the Response to Comments Document for the May 1999 Section 126 Rulemaking action (section IV.D.).

Aside from the comments advocating for unlimited generation of early reduction credits, EPA received no other comments on its proposal to use the same compliance supplement pool in both its NO_x SIP call and section 126 actions. (EPA did receive numerous comments on the proposed emissions reduction requirements for early reduction credits which are discussed in detail in section III.B.4.b below). For the reasons discussed above, in today's rule, EPA reaffirms its May, 1999 decision to finalize a compliance supplement pool whose size is analogous to the size of the compliance supplement pool under the NO_x SIP call.

a. Size of the Compliance Supplement Pool. The aggregate compliance supplement pool, under this section 126 action is 97,159 tons. It is smaller than the compliance supplement pool under the May 25, 1999 section 126 final rule (64 FR 33956) and the compliance supplement pool under the NO_x SIP call because this rule affects a smaller number of sources. In the June 24, 1999 Interim Final Stay of Action of Section 126 Petitions for Purposes of Reducing Interstate Ozone Transport (64 FR 33956), EPA stayed the effective date of the May 25, 1999 final rule regarding petitions filed under section 126. As a result of this action, four States (Indiana, Kentucky, Michigan and New York) listed in the May 25, 1999 section 126 final rule (64 FR 28200) are now only partially covered by today's section 126 final action. Seven entire States, (Alabama, Connecticut, Illinois, Massachusetts, Missouri, Rhode Island and Tennessee) are no longer covered. (Please see section I.A.1 of this preamble for further discussion of the effects of the June 24, 1999 stay on this final rule). As noted above, for the States affected by this section 126

action, today's final rule adopts State specific compliance supplement pools essentially identical in size to the pools available under the NO_x SIP call with the exception of the four partial States. For the four partial States, EPA modified the number of compliance supplement pool allowances under the section 126 action to accurately reflect the changes in their section 126 trading budgets. The EPA prorated the partial States' section 126 compliance supplement pools based on the ratio of the partial state trading program budget to the whole State trading program budget. For example, if all large EGUS and large non-EGUS in Indiana were required to comply with the section 126 control remedy its trading budget would be 58,186 tons. However, since only a portion of the sources in Indiana are required to comply, Indiana's section 126 trading program budget is 7,170 tons, or 12.32% of the whole State trading budget. Therefore, to remain consistent with the modifications to the trading program budget, EPA also prorated the compliance supplement pool for affected sources in Indiana by this ratio, resulting in a compliance supplement pool of 2,454 tons. Similarly, for section 126 affected sources in Kentucky the ratio of the partial State trading program budget to the whole State trading program budget is 54.10%, and in Michigan and New York it is 82.76% and 49.88% respectively.

The State distribution of the compliance supplement pool listed in table III-1 is identical to the distribution promulgated in the December 1999 "Technical Amendment to the Finding of Significant Contribution and Rulemaking for Certain States for Purposes of Reducing Regional Transport of Ozone" with the exception of the seven States no longer covered by the section 126 action and the four partial states (Indiana, Kentucky, Michigan and New York).

TABLE III-1.—STATE COMPLIANCE SUPPLEMENT POOLS (TONS)

State	Compliance supplement pool
Delaware	168
District of Columbia	0
Indiana	2,454
Kentucky	7,314
Maryland	3,882
Michigan	9,398
New Jersey	1,550
New York	1,379
North Carolina	10,737
Ohio	22,301
Pennsylvania	15,763

TABLE III-1.—STATE COMPLIANCE SUPPLEMENT POOLS (TONS)—Continued

State	Compliance supplement pool
Virginia	5,504
West Virginia	16,709
Total	97,159

b. Distribution of the Compliance Supplement Pool to Sources. Under today's final rule, EPA will distribute the compliance supplement pool allowances to sources for early reduction credits (see § 97.43). Allowances from the compliance supplement pool will be available for sources to use for compliance in the 2003 and 2004 control periods only. After the 2004 reconciliation process, EPA will retire any compliance supplement pool allowances remaining in the NATS.

As delineated in § 97.43, any NO_x Budget unit may request early reduction credits for reductions made during the 2001 and 2002 ozone seasons equal to the difference between 0.25 lb/mmBtu and the unit's NO_x emission rate, multiplied by the unit's actual heat input for the applicable control period if certain conditions are met. The unit must: (1) Install monitoring equipment according to part 75 with no less than 90 percent monitor data availability during the 2000 control season; (2) be in full compliance with State or Federal emissions related requirements; (3) reduce its NO_x emission rate to less than 80 percent of its NO_x emission rate in 2000; and (4) emit at a rate below 0.25 lb/mmBtu. A unit must apply for early reduction credits by February 1, 2003. If the tons of NO_x allowances in the compliance supplement pool for a State exceed the number of accepted early reduction credit requests in that State, EPA will allocate one NO_x allowance for each ton of certified early reduction credit. Part 97 provides for the retiring of any NO_x allowances remaining in the compliance supplement pool after all certified requests, for 2001 and 2002, have been granted. Based on the analysis discussed below, EPA does not expect this to happen. However, if the amount of accepted reduction credits are more than the size of the pool for that State, EPA will limit the number of credits distributed to the size of the compliance supplement pool for a State and reduce each applicant's credits pro-rata based on the number of accepted credits from each unit. The EPA will determine by order the allocations for early reduction

by April 1, 2003 and will record the allocations by May 1, 2003.

In addition, under today's final rule, sources located in States in the OTC region that are subject to this section 126 action will be allowed to bring their banked 2001 and 2002 vintage OTC allowances into the NO_x Budget Trading Program as early reduction credits. As is the case for any State outside of the OTC, if the number of eligible banked OTC allowances is less than a State's compliance supplement pool, the remaining credits will be retired. If the NO_x Budget units in an OTC State hold banked OTC allowances in excess of the amount of credits in the State's pool, EPA will limit the number of credits distributed to the size of the compliance supplement pool for that State and reduce each applicant's credits pro-rata based on the number of accepted, banked OTC allowances from each unit.

Under both the NO_x SIP call and the section 126 control remedy, all affected sources may apply for, and receive early reduction credits. Under part 97, only large electric generating units and non-electric generating units are subject to the NO_x trading program. Under the NO_x SIP call, however, States have the flexibility of expanding the universe of affected sources beyond large electric generating units and non-electric generating units, *i.e.*, to include portland cement kilns or electric generating units that serve a generator with a nameplate capacity greater than 15 MWe rather than 25 MWe. Therefore, the allowances in the compliance supplement pool may be available to more categories of sources under the NO_x SIP call than under the section 126 control remedy.

In the October 21, 1998 proposed section 126 rule (63 FR 56292), EPA solicited comment on other alternatives for distributing the compliance supplement pool including distributing the pool to States and allowing States to distribute their pool to their respective sources. The EPA also proposed another alternative for distribution of the pool by the Agency to sources. Using this method, EPA would first allocate NO_x allowances for early reduction credits as described above. However, instead of retiring any NO_x allowances remaining after the allocation for early reduction credits, EPA would distribute the NO_x allowances directly to sources that demonstrated a need. Under this "direct distribution" method, a source would be required to demonstrate that achieving compliance by May 1, 2003 would create undue risk to either its operation or industry and that it could not acquire

allowances for the 2003 ozone season from the market.

Commenters from electric utilities and other industries commented in favor of letting the States distribute the compliance supplement pool, citing increased flexibility for the States and concerns about logistical delay if EPA awards them. One commenter suggested that the responsibility be given to States with the stipulation that if a State fails to inform EPA of how it will distribute the pool, EPA will distribute it under a default procedure.

Under the assumption that EPA would distribute the compliance supplement pool, nearly all of the commenters agreed that at least a portion of the compliance supplement pool should be distributed for early reduction credits. Commenters from industries, environmental organizations and State agencies argued that distribution exclusively as early reduction credits would stimulate the market and encourage early reductions. The remaining commenters, all from electric utility or other industries, argued in favor of a combination of early reduction credits and direct distribution. These commenters asserted that since the credits must be accepted by EPA and are subject to a ratcheting down if there is over-subscription to the pool, companies have no guarantee that they will receive early reduction credits and therefore cannot rely on them in their compliance strategies. The commenters further asserted that only direct distribution guarantees that sources who actually need the additional allowances will receive them.

One commenter who supported flow control argued that allowances carried over into the Federal NO_x Budget Trading Program in 2003 as early reduction credits should be considered banked and subject to flow control if applicable in 2003. (See section III.B.5 of this preamble for a discussion of flow control under the Federal NO_x Budget Trading Program).

The EPA also received comment on the proposed requirements for early reduction credits. Numerous commenters argued that reductions in 2000 should be eligible. Commenters proposed that sources should only be required to reduce their NO_x emission rate by 10 percent rather than 20 percent of their 2000 rate, that all sources who achieve a level of 0.25 lb/mmBtu by May 1, 2002 should receive early reduction credits, and that all reductions beyond Title IV Acid Rain limitations should be eligible.

One commenter argued that in the case of over-subscription to the compliance supplement pool,

allowances should be distributed among the sources which earned early reduction credits pro-rata based on the sources' percentage of annual reductions required under the section 126 action rather than on a first come, first served basis. Another commenter stated that the number of banked allowances remaining in a source's account in an Ozone Transport Region State at the end of 2002 accurately reflects the source's early reductions and should be counted as such. According to the commenter, in order to bank OTC allowances a unit's emission level must reflect a 55 to 65% reduction or a 0.2 lb/mmBtu emission rate. Therefore, banked OTC allowances meet EPA's early reduction standards.

Part 97 is a federal program designed to be implemented and administered directly by EPA in accordance with section 126 of the Clean Air Act. For this reason, EPA decided to retain the responsibility of distributing the pool to sources and finalized today's rule accordingly. This is consistent with the fact that EPA is already allocating the NO_x allowances under the federal trading program. States will have the authority to distribute allowances from the compliance supplement pool and the State trading program budget if the State submits an approvable SIP.

The Agency disagrees with commenters who argued that distribution by EPA would cause delay. The EPA has committed, in today's final rule, to issuing, allocating and recording all NO_x allowances for early reduction credits before the start of the initial control period, May 1, 2003. In order to ensure that the Administrator meets that deadline, today's rule requires owners and operators to submit an early reduction credit request by February 1, 2003.

Under the Federal NO_x Budget Trading Program finalized in this rule, EPA will distribute the compliance supplement pool for early reduction credits only. Early reduction credits encourage sources to make emissions reductions before they are required to do so. The EPA disagrees with the commenters who stated that direct distribution is necessary to ensure that all sources will be in compliance. First, as discussed above, EPA believes sources will have enough time to install the control equipment needed for compliance before the May 1, 2003 deadline. Second, as discussed in detail below, EPA expects the compliance supplement pool to be fully subscribed. Therefore, early reduction credits will provide the same pool of extra allowances available for compliance during the first 2 years of the program

as direct distribution. Sources that need extra allowances for compliance will have access to them through the allowance market. Because these allowances will be generated and distributed to sources before May 1, 2003, sources will have time to buy extra NO_x allowances before the deadline for holding NO_x allowances to cover emissions.

While EPA acknowledges that there may be some degree of uncertainty regarding the number of credits a source will receive, it disagrees with the commenters' assertion that EPA's approach to distributing compliance supplement pool allowances for early reduction credits gives sources no certainty that they will receive allowances and that sources therefore cannot rely on them when developing compliance strategies. EPA's approach provides assurance that some NO_x allowances will be received, and sources can estimate what amounts they are likely to receive. If there is under-subscription of the pool, then sources will receive a NO_x allowance for each of their early reduction credits. If there is over-subscription of the pool, sources will still receive NO_x allowances, albeit pro-rated, but the entire pool will be allocated. The formula for pro-rata allocation is revised by minor word changes that clarify, but do not make a substantial change in the proposed formula. For example, the order of multiplication and division is changed without changing the results of any calculation using the formula. In addition, the final rule provides that the Administrator will make available to the public the total amount of early reduction credits requested for sources in each State. Sources will therefore be able to make reasonable estimates of and by May 1, 2003 will know, how many allowances they are receiving before the start of the program and can plan their compliance strategies accordingly. (For further discussion on why EPA is distributing the compliance supplement pool for early reduction credits, see 63 FR 57474 and the Response to Comments Document for the Final NO_x SIP call (section IX.E.2)).

Today's final rule provides that, if there is over-subscription of the compliance supplement pool, NO_x allowances will be distributed pro-rata based on credits generated and not on a first come, first served basis. Consequently, the rule sets a single deadline (February 1, 2003) for submission of all early reduction credit requests. Only this distribution method retains the incentive to continue to generate early reduction credits after the subscription level has been reached. By

generating more credits, sources will qualify for a larger portion of the pool after the credit requests have been ratcheted down to the level of the pool. The various methods suggested by commenters do not retain this incentive because they fix the number of allowances a source can receive once the pool is fully subscribed and discourage continued operation of NO_x control measures. For example, one commenter suggested an alternate distribution method if the pool is over-subscribed. This commenter suggested distributing the credits in proportion to a source's required section 126 reductions among all sources generating early reduction credits, sources would receive no benefit by continuing to reduce emissions below the level required for early reduction credits. The early reduction credit would serve only as an eligibility requirement for allowances which would be distributed based on the source's required reductions under the section 126 control remedy.

As finalized, part 97 also allows banked 2001 and 2002 vintage OTC allowances to be carried over into the NO_x Budget Trading Program as early reduction credits, provided the number of credits issued do not exceed the States' respective compliance supplement pools. As explained in the preamble to the final NO_x SIP call (63 FR 57475), "the EPA believes that banked allowances held by sources in the OTC program would qualify as being * * * verifiable, and quantifiable [early reductions] * * * The banked allowances would also be verified and quantified according to the procedures in the OTC program which are essentially identical to the requirements that will be in place under the NO_x Budget Trading Program." In particular, as stated in § 97.43, early reductions must be monitored according to part 75, subpart H. Since at least May 1999, sources in the OTC States have been monitoring NO_x mass emissions according to part 75 (but not subpart H), as supplemented by the OTC monitoring technical guidance document. The guidance is essentially identical to the requirements of part 75, subpart H for most sources. It allows some additional flexibility beyond part 75, subpart H, primarily for small turbines that are 25 MWe or less and emit a relatively small amount of NO_x emissions. These sources are not required to participate in the Federal NO_x Budget Trading Program and are not eligible for early reduction credits and the compliance supplement pool. Furthermore, the few units which are granted additional

flexibilities under the OTC monitoring technical guidance document and are required to comply with the section 126 control remedy, are small units with relatively low levels of NO_x emissions. Due to their relatively low levels of NO_x emissions, EPA does not expect these units to have significant numbers of banked allowances (*i.e.*, early reduction credits) in the year or two before sources in OTC States monitor using subpart H of part 75. Monitoring under the OTC technical guidance is not acceptable for monitoring in the long term under this section 126 action. However, because of the nature of the differences as explained above, it is adequate in the short term to quantify NO_x emission reductions for early reduction credits as OTC sources make the transition from the OTC NO_x Budget Program to the Federal NO_x Budget Trading Program. (For further discussion of integration of the OTC NO_x Trading Program and the Federal NO_x Budget Trading Program, see the final NO_x SIP call 63 FR 57475).

The EPA disagrees with the comment that early reduction credits should be considered "banked" at the start of the control period in 2003 and therefore subject to flow control if applicable. EPA included the compliance supplement pool as an additional flexibility mechanism for sources during the first 2 years (2003 and 2004) during which they are required to comply. To the extent compliance flexibility is needed, it is most likely to be needed in the first two control periods of the program. The EPA is granting sources the full flexibility provided by the pool in the 2003 and 2004 control periods by not implementing flow control, regardless of the number of banked allowances, until 2005. (For a discussion of why EPA delayed implementation of flow control from 2004 to 2005 see below, section III.B.5)

Today's rule finalizes early emissions reduction requirements for credits aimed at ensuring that the reductions are: (1) Real, surplus and quantifiable and (2) achieving full subscription of the pool. Under-subscription would mean that sources did not have access to all of the allowances available to them. Over-subscription might encourage sources to turn off NO_x controls, *i.e.*, in 2002, causing an increase in NO_x emissions and in ground level ozone. While today's final rule retains some incentive for sources to continue generating early reductions after the pool is fully subscribed, the incentive will be stronger if there is no over-subscription.

Under the NO_x SIP call, States may accept, for distributing compliance supplement pool allowances, credits for

reductions made starting with the 2000 ozone season. However, under today's final rule for the section 126 trading program, only reductions made in 2001 or 2002 can generate credits. The EPA is finalizing this requirement to minimize the potential for over-subscription and more importantly to ensure that the reductions are in response to this program rather than required under another and to ensure that the reductions are calculated from a verified baseline. For example, Phase II of the Acid Rain Program goes into effect in 2000, posing more stringent limits on NO_x emission rates. If sources were to earn credits for their reductions in 2000, the reductions may in fact be due to required reductions under the Acid Rain Program. Early reduction credits are meant to reward sources that make reductions beyond those required for other programs and before the start of the Federal NO_x Budget Trading Program.

The year 2000 marks the earliest opportunity for a verified baseline. Today's rule requires units applying for early reduction credits to report their NO_x emission rate and heat input in accordance with subpart H of part 97 for the full control period on which their baseline emission rates are determined. The unit's monitor data availability must be not less than 90 percent during the control period. This will prevent units from having significantly higher reported baseline emission rates if their monitoring systems are not operating properly and they use substitute data that may overstate emissions. The EPA notes that since it revised subpart H of part 75 and the electronic data reporting format in May 1999, units would not be able to report according to these requirements during 1999 as the rule became effective after the start of the 1999 ozone season. Under part 97, the year 2000 serves as the baseline year from which EPA can verify emissions reductions.

In addition, today's final rule requires that units for which early reduction credits are requested must be in full compliance with State or federal NO_x emission control requirements in 2000 through 2002. This ensures that reductions in 2001 and 2002, which are calculated from the 2000 baseline, do not reflect reductions required by other State or federal emission limits that were effective in 2000. This also ensures that a unit is not earning credit for reduction early when the unit is actually in violation of other emission limits and should be reducing even more.

To further ensure that early reductions are real and surplus, today's

rule also requires sources to reduce their NO_x emission rates to less than both 80 percent of their 2000 rates and 0.25 lbs/mmBtu. Early reduction credits are based on the difference between 0.25 lbs/mmBtu and source's NO_x emission rate. If sources are not required to reduce their NO_x emission rates to less than 80 percent of their 2000 rates, units already emitting below 0.25 lbs/mmBtu in 2000 could apply and receive credit without making any reductions. Removing or changing this provision, as suggested by commenters, would allow these "low emitters" to receive credit even though they made little or no additional reductions in response to the section 126 requirements. The minimum 20 percent level of reduction is appropriate to ensure that the reduction reflects significant efforts to reduce emissions and not simply variation in NO_x emissions that would occur without any significant reduction efforts.

Requiring a unit to reduce its NO_x emission rates to less than 80 percent of its 2000 rates and 0.25 lb/mmBtu in order to be eligible establishes a control level below which a unit must reduce emissions to generate early reduction credits. All affected sources must comply by May 1, 2003, and, as explained above, recent experience has shown that SCR may be successfully installed in less than a year. In analyzing potential control levels and determining the appropriate level for generation of early reduction credits, EPA therefore assumed that one third of the units projected to install SCR would install their SCR in 2001 with an additional third in 2002 and the final third in 2003. The analysis assumed that each year, the SCR installations would be complete before the start of the ozone season, *i.e.*, with sufficient time for sources to earn reduction credits in 2001 and 2002. (For a further discussion of the feasibility of installing NO_x controls and NO_x control implementation and budget achievement dates please see 63 FR 57447 and 64 FR 28302). The EPA then used IPM to estimate the summer fuel usage for units projected to install SCR at 15000 Trillion Btus (Docket A-97-43, Category IV-A-04). Assuming that units with SCR would operate at a control level of 0.10 lbs/mmBtu, EPA analyzed units' potential to generate early reduction credits.

At less stringent emission control level requirements such as 0.30 lbs/mmBtu or 0.35 lbs/mmBtu, the analysis showed units with SCR installed in 2001 and 2002 could generate enough early reduction credits to oversubscribe the compliance supplement pool by

more than 30 percent or 65 percent respectively. If early reduction credits were rewarded for anything below Title IV Acid Rain levels, as two commenters suggested, EPA estimates that 1.5 million early reduction credits could be generated. With a control level of 0.25 lbs/mmBtu, the analysis showed that units with SCR installed in 2001 and 2002 could generate 112,000 credits, slightly less than the compliance supplement pool available under the section 126 control remedy.

However, EPA expects units with SNCR also to earn early reduction credits and conducted an similar analysis to estimate the number of credits units with SNCR could generate. For this analysis, EPA made the same assumption as it did for SCR installation, *i.e.*, that one third of all SNCR installations would occur in 2001, with an additional third in 2002 and the final third in 2003. The EPA then used IPM to estimate that 63 percent of units projected to install SNCR would operate the controls at a level low enough to earn early reduction credits. IPM also estimated the average NO_x rate for these units at 0.21 lbs/mmBtu and their summer fuel usage at 1200 Trillion Btus. Based on these results, EPA calculates that units with SNCR will be able to generate nearly 24,500 early reduction credits. This results in a combined regionwide potential early reduction credit generation of 136,000, at approximately the size of the compliance supplement pool.¹⁴ (For further discussion of early reduction credits see 63 FR 25936 and 63 FR 57474).

Although this analysis projects the amount of potential early reduction credits on a region wide bases, EPA maintains that the analysis is also indicative of the potential amount of early reduction credits at the statewide level. The basic assumptions underlying the region-wide analysis also apply on a State-wide basis. In its region-wide analysis, EPA assumed that units would install a range of controls (specifically SCR and SNCR) throughout the region. Based on IPM projections, EPA believes that there will be a range of controls installed, including SCR and SNCR, in most individual States. Similarly, EPA believes that its assumption of the frequency of installation (*i.e.*, one third

each year from 2001–2003 before the start of the relevant ozone season) is also reasonable at the State level since the compliance date of May 1, 2003 applies to each individual source, and therefore, in aggregate, to each State. When developing the State trading program budgets, EPA used uniform control level across the region (*i.e.*, 0.15 lbs/mmBtu (assuming historic ozone season heat input adjusted for growth to the year 2007) for large EGUs and a 60 percent reduction in ozone season NO_x emissions compared to uncontrolled growth in 2007 for large non-EGUs). Because the controls are uniform, EPA anticipates that each State have a controlled EGU emission rate, in aggregate, around 0.15 lb/mmBtu and a controlled EGU emission rate, in aggregate, around 0.17 lb/mmBtu. Therefore, EPA projects that, consistent with EPA's region-wide analysis, sources in each individual State will reduce their NO_x emission rates in 2001 and 2002 to below 0.25 lbs/mmBtu and generate enough early reduction credits to fully subscribe the State compliance supplement pool.

5. Banking

Banking is generally defined as allowing sources that make emissions reductions beyond current requirements to save and to use these excess reductions to exceed requirements in a later control period. Today's final rule allows banking consistent with the October 21, 1998 proposed section 126 rule (63 FR 56312). Allowances not used for compliance may be "banked," *i.e.*, carried over into the next compliance period for use. Sources may bank unused allowances starting in the first control period of the trading program (2003). NO_x Budget units that hold additional NO_x allowances beyond what is required to demonstrate compliance in a given control period may carry-over these banked allowances to the next control period.

Allowances are valid until used for compliance or deducted from an account for other purposes. With one exception (*i.e.*, compliance supplement pool allowances) NO_x allowances never expire. Banked allowances may be used or sold for compliance in future control periods. (See below for a discussion of management of banked allowances under the section 126 action).

Citing it as a mechanism for increased flexibility and cost savings, the commenters unanimously supported banking. The EPA agrees with the commenters that banking provides flexibility to sources. It allows them to make reductions beyond required levels and "bank" the unused portion for use

or sale later. Banking has several advantages: It can encourage earlier or greater reductions than are required from sources, stimulate the market, and encourage efficient use of the market. Banking can also provide flexibility in achieving emissions reduction goals, *i.e.*, by allowing sources to accommodate periodic increased generation activity that may occur in response to interruptions of power supply from non-NO_x emitting sources. (For further discussion on EPA's rationale for including banking see the Supplemental proposal to the NO_x SIP call (63 FR 25934 and 25944), the final NO_x SIP call (63 FR 57472), and the Response to Comments document for the final NO_x SIP call (Section IX.E.), and the October 21, 1998 proposed section 126 rule (63 FR 56312)).

The EPA is finalizing the proposed regionwide flow control mechanism to control the use of banked allowances when a significant percentage of all allowances are banked with one exception. Under the October 21, 1998 section 126 proposal, flow control, if applicable, would have begun in 2004 (*i.e.*, after the completion of the end of season reconciliation process in 2003). In final part 97, however, flow control cannot be triggered, regardless of the number of banked allowances, until 2005 (*i.e.*, after completion of the 2004 end of season reconciliation process). (Please see below for a detailed discussion of why EPA delayed the implementation of flow control). As originally proposed, the flow control mechanism establishes a discount ratio of 2-for-1 on the use of banked allowances above a certain level. The discount ratio becomes effective when banked allowances exceed 10 percent of the allowable NO_x emissions for all sources covered by the NO_x trading program. The discount ratio only applies to allowances when they are used for compliance purposes. Allowances sold or traded on the allowance market are never subject to flow control.

The majority of the commenters disagreed with restricting the use of banked allowances. Commenters asserted that flow control will decrease sources' flexibility and discourage both the use of the market and early emissions reductions. Numerous commenters pointed to unrestricted banking in the Title IV Acid Rain Program as a key reason that the Acid Rain Program is cost effective. A few commenters suggested modified flow control mechanisms, such as setting the trigger level for flow control at 20 percent rather than 10 percent of the allowable NO_x emissions, or using an

¹⁴ The analysis conducted to estimate the potential early reduction credits treated the entire States of Michigan, Indiana, Kentucky, and New York. However, the size of the pool (97,159) reflects the fact that only portions of these States are actually covered. Therefore, in EPA expects the amount of early reduction credits to be less and to be closer to the size of the compliance supplement pool than the analysis suggests.

alternative discount ratio, such as 1.2:1 or 1.3:1. One commenter argued that the flow control ratio was not designed based on air quality needs.

The Agency received several comments that supported flow control. Commenters stated that banking restricted by flow control still provides flexibility for sources while limiting the potential for "excessive use" of banked allowances in a given control period leading to increased ozone.

Today's rule aims to achieve specified limits on ozone season NO_x emissions in specified years for the purpose of reducing NO_x and ozone transport from upwind States found to be significantly contributing to the non-attainment of NAAQS in downwind States during the ozone season. EPA believes it is appropriate to manage banked allowances, by placing some limitation on the amount of emissions variability that may occur as a result of using banked allowances. Flow control provides some measure of insurance that banked allowances will not be used excessively and thereby result in section 126 named sources significantly contributing to downwind non-attainment. The discount ratio, when triggered, also provides an added benefit for the environment by allowing two allowances to be removed for every one ton of NO_x emitted. That extra allowance deducted from the system represents one less ton of future NO_x emissions. At the same time, flow control retains much of the flexibility and benefits associated with banking for sources. (For further discussion of the requirements of section 126 and how today's rule meets them, see the preamble to this rule (Sections II.A., II.B., and III.D), the May 25, 1999 section 126 final rule (64 FR 28254, and 28307), and the final NO_x SIP call (63 FR 57431).

The EPA changed the first year in which flow control may be triggered from 2004 under the proposal, to 2005 under final part 97. The EPA delayed flow control's implementation date in response to commenter's concerns regarding the feasibility of installing the NO_x control equipment required as a result of the section 126 control remedy without any risk to electricity reliability. The EPA believes it is appropriate to give sources trading under the Federal NO_x Budget Trading Program this additional flexibility in light of recent experience with the OTC's NO_x trading program. At the completion of the first ozone season for the OTC's trading program, EPA calculated a preliminary

flow control ratio of 0.49.¹⁵ (Note: 0.49 represents the fraction of an OTC source's banked allowances that will be deducted at the rate of one allowance per ton of NO_x emissions during the 2000 ozone season end of season reconciliation process. The remaining fraction (0.51) of an OTC source's banked allowances will be subject to the discount ratio under flow control and deducted at the rate of two allowances per ton of NO_x emissions). While, based on its analysis under the NO_x SIP call, EPA does not expect flow control to be triggered in either the section 126 region or the wider SIP call region, EPA understands that the OTC program's relatively large flow control ratio has heightened sources' concerns that there will not be enough allowances for compliance in the initial years of the Federal NO_x Budget Trading Program. While EPA disagrees with these concerns, it is addressing commenters' concerns by both adopting (as discussed above) a compliance supplement pool and delaying the implementation of flow control until 2005. This approach gives sources greater assurance that they will be able to use compliance supplement pool allowances for compliance and before such allowances expire. (For a detailed discussion of commenter's concerns and EPA's response regarding the effects of implementing the section 126 control remedy on the reliability of electricity see section III.B.4. of this preamble. For a further discussion of the feasibility of installing NO_x controls and NO_x control implementation and budget achievement dates please see 63 FR 57447 and 64 FR 28302.)

However, the Agency does not believe it is appropriate to delay implementation of flow control beyond 2005. Section 126 requires named sources to eliminate their significant contribution to downwind non-attainment as expeditiously as practicable. Further, any delay beyond 2005 would potentially interfere with the attainment needs of downwind petitioning States. Downwind petitioning states generally must demonstrate attainment by 2007, and to do so they will have to rely on three years of air quality data, from 2005 through 2007. Were flow control delayed beyond 2005 there is a risk that excessive use of banked allowances in 2005 would allow continued significant contribution in that year, which would

in turn jeopardize the attainment goals of the downwind States. The EPA believes that delaying the implementation of flow control by just one year, from 2004 to 2005, together with adopting the compliance supplement pool, strikes an appropriate balance between commenters' concerns and the environmental goal of 126, *i.e.*, to eliminate significant contribution from named sources as expeditiously as practicable.

EPA notes that the fact that the Acid Rain regulations provide for unlimited banking of sulfur dioxide allowances is not relevant to the treatment of banking here. In developing the Acid Rain regulations, EPA did not adopt any limitation on banking because title IV itself provides for unlimited banking. See 42 U.S.C. 7651a(3) (definition of "allowances") and 7651b(b) (stating that an allowance authorizes emissions of 1 ton of sulfur dioxide in the current or any later year). No similar statutory provision applies to the NO_x Budget Trading Program.

Commenters also raised concerns that flow control will discourage early emissions reductions. While EPA agrees that flow control may lessen the incentive to make early reductions, the Agency disagrees with the assertion that it removes all incentives for early emissions reductions. Flow control has a limited effect because it does not prohibit a source from banking or selling excess NO_x allowances that are the result of emissions reductions or prohibit a source from using the excess NO_x allowances. When the 2-for-1 discount rate is triggered, this discourages (but does not bar) excessive use of banked allowances¹⁶ and tends to limit total emissions in any given control period, thereby supporting the goal of achievement of attainment in downwind non-attainment areas by 2007. Furthermore, by not implementing flow control until 2005, flow control will not affect a source's incentive to generate early reduction credits. Allowances from the compliance supplement pool (*i.e.*, early reduction credits) will expire after the end of season reconciliation process in 2004, before flow control may be triggered under final part 97.

The EPA disagrees with the commenters' assertions that flow control will discourage the use of the market and limit sources' flexibility. As discussed above, flow control has limited effects and does not significantly reduce the benefits

¹⁵ The flow control ratio of 0.49 is based on preliminary emissions data that has not yet been quality assured by EPA. After EPA has quality assured the emissions data the flow control ratio listed may change. However, EPA does not expect a significant change in its value.

¹⁶ Consequently, it is still necessary to limit the number of allowances in the compliance supplement pool as discussed above.

associated with banking (*i.e.*, flexibility to sources, stimulation of the market, and incentive to over-comply). Also, as discussed above, it discourages the excessive use of banked allowances and thereby supports achievement of the program's environmental goals. Since the withdrawal ratio is known before the start of the control period, sources will know if and at what level flow control will be applied and can plan their compliance strategies accordingly. The EPA maintains that banking with the finalized flow control mechanism achieves a reasonable balance between, on one hand, flexibility and encouragement of greater reductions than required and, on the other hand, ensuring achievement of the environmental goals of the NO_x Budget Trading Program.

When EPA proposed the part 96 NO_x Budget Trading Program in 1997, it examined various options for managing banked allowances. These options included placing a limit on the number of allowances a source could bank and using a source-by-source approach to flow control rather than a regionwide approach. The EPA finalized the part 96 and the section 126 action with a regionwide approach to flow control because EPA believed that regionwide flow control best retains the flexibility associated with banking while limiting the potential negative impact on the achievement of air quality goals due to the "excessive use" of allowances in a given control period. (Further discussion of why EPA is choosing to manage banked allowances with a regionwide approach to flow control can be found in the supplemental proposal for the NO_x SIP call (63 FR 25935), the final NO_x SIP call (63 FR 57473), and in the Response to Comments to the Final NO_x SIP call Document (Section IX.E.4)).

By delaying the implementation of flow control under the section 126 control remedy until 2005, EPA is giving sources trading under the Federal NO_x Budget Trading Program one year of additional flexibility over sources trading under possible State rules in response to the NO_x SIP call. However, the flow control discount ratio only applies to allowances when they are used for compliance purposes. Allowances sold or traded on the allowance market are never subject to a discount ratio. Furthermore, since all sources in both the section 126 region and the wider NO_x SIP call region are under a cap that was derived from the same emissions control level assumptions, the transfer of allowances from a source subject to flow control to a source not subject to flow control, or

vice versa, does not risk violating the emissions limitations applicable to either region. Therefore, EPA does not believe that the one-year difference between the two trading programs (parts 96 and 97) will interfere with the trading of NO_x allowances and sees no need to restrict trading between the two regions as a result of this difference. (For further discussion of trading between the section 126 region and the wider SIP call region see section III.A.4 of this preamble). After 2005, flow control will be consistent between the Federal NO_x Budget Trading Program and possible State rules under the NO_x SIP call and the model NO_x Budget Trading Program rule (part 96). If flow control, which affects compliance, were eliminated entirely sources might have an incentive to shift emissions from the wider NO_x SIP region to the section 126 region or vice versa.

6. Emissions Monitoring and Reporting

Today's final rule finalizes monitoring provisions in subpart H of part 97. This subpart references the monitoring and reporting requirements of subpart H of part 75. The provisions of subpart H of part 75 were finalized on October 27, 1998 and revised on May 26, 1999 (See 63 FR 57498–57514 and 64 FR 28624–28630).

In general, EPA has retained essentially the same monitoring provisions in part 97 that it proposed. Sources subject to the Federal NO_x Budget Program must comply with the monitoring provisions of part 75 for NO_x emissions and heat input rate. These sources include large electric generating units and large industrial boilers or industrial turbines. Internal combustion engines, glass manufacturers, cement kilns, or other NO_x emitting sources are not required to comply with the Federal NO_x Budget Trading Program and therefore are not required to comply with part 75. However, if a small electric generating unit, a small industrial boiler, or a small industrial turbine chooses to opt-in, it must comply with part 75. Coal-fired units must monitor their NO_x mass emissions and heat input using continuous emission monitoring systems (CEMS). Gas-fired and oil-fired units have additional monitoring options, including:

- Fuel sampling and analysis and fuel usage to determine heat input rate for all gas-fired and oil-fired units (Appendix D of part 75);
- Unit-specific correlations of NO_x and heat input rate, for gas-fired and oil-fired peaking units (Appendix E of part 75); and

- The less rigorous monitoring procedures in § 75.19, for gas-fired and oil-fired units that emit less than a certain tonnage¹⁷ of SO₂ or NO_x during a year or ozone season. In addition, any affected source has the option of petitioning the Administrator under subpart E of part 75 for an alternative to a NO_x CEMS. Alternative monitoring systems must be approved by EPA before they may be used to report emission data for compliance. Sources that voluntarily opt-in to the Federal NO_x Budget Trading Program must meet part 97 monitoring requirements.

Today's final rule includes some revisions to subpart H of part 97 to be consistent with the May 26, 1999 revisions to part 75. For example, EPA has revised the language of § 97.70(c) to allow for conditional validation of data before certification testing is completed. See 64 FR 28564 and 28575, May 26, 1999. Similarly, § 97.72 is revised to provide that data are considered invalid and must be replaced by substitute data when monitors do not meet quality assurance or data validation requirements for certification, recertification, or quality assurance testing, as set forth in part 75. See 64 FR 28575–28577. By further example, in § 97.71(b)(2), the Agency revised language concerning changes to a monitoring system that require recertification to be consistent with recent changes to § 75.20(b). See 64 FR 28582 and 28594. In addition, EPA revised the deadlines in § 97.74(d)(2) for submission of quarterly reports for units not subject to the Acid Rain Program. The Agency made these revisions to be consistent with changes in § 75.74(c) concerning reporting for the ozone season, instead of the entire year. See 64 FR 28581–28583. Further, throughout subpart H of part 97, the Agency uses the terms "heat input rate" and "stack flow rate" instead of "heat input" or "flow" to clarify the value that monitoring equipment measures on an hourly basis during unit operation and that must be reported for each hour of unit operation. This is consistent with the use of these terms in the revisions to part 75. See 64 FR 28664–28665 and 28668–28671. In order to clarify the distinction between "heat input" and "heat input rate," the Agency added a definition for "heat input rate" in § 97.2. Further, the "heat input" definition itself is revised to state clearly the units of measure (*i.e.*, time period, mmBtu,

¹⁷ For units in the Acid Rain Program, the limits are 25 tons of SO₂ and 50 tons of NO_x per year. For units that are not subject to the Acid Rain Program, such as industrial boilers, the limit is 25 tons of NO_x per ozone season.

Btu, and lb) used in calculating heat input.

Today's final rule also revises subpart H to reflect the approach that EPA is adopting for allocating NO_x allowances. In the final part 97, EPA requires units subject to the Federal NO_x Budget Trading Program to monitor and report heat input. This is consistent with EPA's approach in today's final rule of initiating the program through allocations based on heat input for the years 2003 through 2008. The Agency has revised §§ 97.70(a)(2) and 97.76 to reflect that under the Federal NO_x Budget Trading Program, the Administrator allocates initially on the basis of heat input for each State. In contrast, under part 96, States allocate allowances and have the option of allocating based on some other approach. As discussed above, EPA plans to propose requirements for monitoring and reporting of output data, either electric generation or thermal output, in time for electric generating units to monitor and report output data by the year 2002. Because the monitoring equipment for output is already installed at the vast majority of units, the Agency anticipates that these future provisions will result in little or no additional cost.

In today's final rule, EPA also adopted some substantive changes from subpart H of part 96 and the October 21, 1998 proposed section 126 rule in order to simplify certain monitoring provisions. For example, the final rule reflects the following changes. First, language is added to § 97.71(b)(3)(iv)(D) to make it clear that the procedures for lost certification apply either to notices of disapproval of certification applications or to notices of disapproval of certification status through audit decertification. Second, the various dates in proposed § 97.71(c) for provisional certification of the low mass emissions excepted methodology under § 75.19 are removed and replaced by a few more general dates. For units that do not have certified monitoring equipment when the NO_x authorized account representative submits the certification application for the low mass emissions excepted methodology, the date of provisional certification is the date of the submission of the certification application. For units that already have certified monitoring equipment when the NO_x authorized account representative submits the certification application for the low mass emissions excepted methodology, the date of provisional certification is either January 1 of the next calendar year or May 1 of the next control period, depending on whether the source

reports on an annual or a control season basis. The schedule of multiple provisional certification dates in the proposal, on one hand, was unnecessarily complicated and, on the other hand, did not cover all possible situations. The multiple dates in the proposed language are unnecessary because a source can provide data back to the beginning of the year or control season to qualify to use the method. Third, the Agency added language to § 97.71(b)(3)(v)(A) referencing the applicable procedures in part 75 concerning missing data for initial certifications or recertifications to replace invalid data. Finally, EPA revised the proposed § 97.74(d) to make it clear that emissions data must be recorded and reported as of the dates specified in the provision and that the references to provisional certification also apply to the low mass emission excepted methodology (under § 97.71(c)), as well as to the procedures for monitoring equipment under § 97.71(b)(3)(iii). Some provisions in the proposal mentioned only the reporting of data, although the data must, of course, be recorded in order to be reported.

In today's final rule, EPA also adopted some minor word changes from subpart H of part 96 and the October 21, 1998 proposed section 126 rule that clarify, but do not alter the substance of, the provisions. First, § 97.70(b) includes minor word changes that restate the compliance deadlines in proposed § 97.70(b) to distinguish more clearly among the deadlines based on whether the unit is under § 97.4(a)(1) or § 97.4(a)(2) (*i.e.*, electric generating unit or non-electric generating unit) and whether the unit reports on an annual or control period basis. The changes also clarify that the deadlines apply to the owners or operators of the units and cover the monitoring requirements in §§ 97.70(a)(1) through (3) and that data must be recorded, reported and quality assured. Second, proposed § 97.70(c)(1) is removed because it essentially duplicates § 97.70(b)(2). Third, in § 97.70, EPA removed references to certain non-NO_x Budget units *i.e.*, units on a common stack with NO_x Budget units under § 75.72(b)(2)(ii)) and replaces them with a general reference to such non-NO_x Budget units. The general reference reiterates the requirement in part 75 that such units meet the same requirements as units with emission limitations (here, NO_x Budget units). Fourth, § 97.71(b) introductory text is reordered and revised to make it clear that §§ 97.71(c) and (d) provide additional requirements

for units subject to the low mass emission methodology or an alternative monitoring system. Section 97.71(c) and (d) include parallel changes. Finally, a reference to § 75.66 is added to § 97.75(b) to make it clear that the requirements of § 75.66 apply to petitions under part 97.

Under subpart H of part 97, EPA requires sources in the Federal NO_x Budget Trading Program to monitor and report their emissions in accordance with relevant portions of part 75. (These provisions also apply to monitoring of emissions from sources under the NO_x SIP Call). The EPA promulgated revisions to part 75 that establish NO_x mass monitoring requirements and provide greater flexibility to regulated sources. The EPA made these changes in subpart H of part 75 at the same time the Agency finalized the NO_x SIP Call on October 27, 1998.

Subpart H of part 97 addresses monitoring and reporting requirements including general requirements, initial certification and recertification procedures, out of control periods, notifications, recordkeeping and reporting, and petitions. The provisions are essentially the same as the monitoring-related provisions in subpart H of part 96, with cross references to the appropriate sections of parts 75 and 97.

Some of the differences between the provisions reflect the fact that administration of the monitoring requirements will be overseen by only EPA under part 97, rather than by both EPA and the permitting authority under part 96. As a result, for example, monitoring certification applications under part 97 will be submitted to the Administrator and the appropriate EPA Regional Office in addition to the permitting authority, and the Administrator, not the permitting authority, will act on the applications. Further, the Administrator will process all audit decertifications and all petitions for alternatives to the monitoring requirements.

A number of commenters expressed support for the proposed monitoring requirements in part 75, subpart H. A few commenters agreed that part 75, subpart H should be used as the basis for monitoring requirements for sources participating in the trading program. Commenters agreed that the ability to accurately and consistently account for all emissions should be included as one of the criteria for including sources in the trading program.

However, some commenters raised specific concerns regarding the monitoring requirements as proposed. In particular, these commenters raised concerns about the potential burden of

imposing CEMS requirements on smaller units and suggested alternatives to CEMS for certain sources. One commenter noted that part 75 requirements should not be applied to small EGUs such as pre-1990 peaking combustion turbines and units less than 25 MWe, since this approach would not be cost-effective and would discourage small sources from participating in the trading program. However, this commenter added that the recent revisions to part 75 in subpart H appear to address this concern. Some commenters noted that units that currently do not use CEMS and that will be potentially subject to the trading program should have the option of demonstrating compliance with emission limitations by using non-CEMS methodologies, such as title V monitoring, emission factors, or fuel use data. Another commenter asserted that the permitting authority should have the option of allowing predictive emission monitoring systems in appropriate circumstances. Other commenters reiterated the concerns about part 75 monitoring that they had mentioned in the context of the NO_x SIP Call.

The EPA agrees with commenters who stated that it is appropriate to require sources to monitor and report emissions to demonstrate compliance with the requirements of the trading program using the provisions set forth in subpart H of part 75. Electric generating units serving generators of 25 MWe or less are not required to make emission reductions or to participate in the Federal NO_x Budget Trading Program. Unless these units voluntarily opt-in to the program, they are not required to monitor emissions under today's final rule. The EPA believes that the most cost-effective units to control are included in the trading program. (See Section IV.C. of the Response to Comments Document for the April 30, 1999 final rulemaking under section 126).

Many of the commenters who expressed concern about the use of CEMS specifically stated their concerns about requiring CEMS on relatively small or infrequently operated units. The EPA believes that this concern is addressed through two provisions in part 75 that allow reduced monitoring for these types of sources. Specifically, there are provisions in § 75.19 and Appendix E of part 75 that allow less expensive monitoring and exceptions to the use of NO_x CEMS. Section 75.19 allows gas-fired and oil-fired units that qualify as low-emitters to use emission factors as one option for calculating NO_x mass emissions. Appendix D of part 75 allows oil-fired and gas-fired

units to measure their fuel usage to determine heat input, rather than installing CEMS for this purpose. Appendix E of part 75 allows infrequently operated oil-fired and gas-fired units to develop a unit-specific correlation of NO_x emission rate and heat input rate, rather than installing NO_x CEMS to measure NO_x emissions. The EPA believes that the monitoring provisions in part 75 are tailored to different types of sources, and give considerable flexibility for smaller sources.

As explained in section VII.D.3. of the preamble to the final NO_x SIP Call and in responses in section C.3. of the NO_x SIP Call Response to Comment document, EPA does not believe that other options that commenters suggested as alternatives to CEMS adequately quantify NO_x mass emissions for ensuring compliance with the trading program. Some of the commenters who were concerned about the use of CEMS suggested no alternative means of determining compliance with a NO_x mass emissions limit. For example, some commenters suggested using title V compliance assurance monitoring (CAM) protocols in part 64. However, CAM protocols are intended to verify that a source's emissions stay below a certain rate; they are not intended to accurately measure mass emissions. For this and several other reasons, EPA concluded in the preamble to the CAM regulations that CAM monitoring was not appropriate for use in an emissions trading program (62 FR 54915, 54916, and 54922). The EPA notes that some of the provisions of § 75.19 for low mass emission units are similar to commenters' suggestions for use of emission factors combined with an actual firing rate.

Under subpart E of part 75, a source could use a predictive emission monitoring system (PEMS) if the NO_x Authorized Account Representative petitions to use the PEMS and EPA approves the PEMS as meeting the requirements of subpart E. The EPA is currently working together with sources on a long-term project to examine the performance of PEMS compared to CEMS. PEMS is not yet a monitoring method that is generally applicable.

IV. Administrative Requirements

A. Executive Order 12866: Regulatory Planning and Review

Under Executive Order 12866 (58 FR 51735, October 4, 1993), the Agency must determine whether a regulatory action is "significant" and therefore subject to Office of Management and Budget (OMB) review and the

requirements of the Executive Order. The Order defines "significant regulatory action" as one that is likely to result in a rule that may:

(1) Have an annual effect on the economy of \$100 million or more or adversely affect in a material way the economy, a sector of the economy, productivity, competition, jobs, the environment, public health or safety, or State, local, or tribal governments or communities;

(2) Create a serious inconsistency or otherwise interfere with an action taken or planned by another agency;

(3) Materially alter the budgetary impact of entitlements, grants, user fees, or loan programs or the rights and obligations of recipients thereof; or

(4) Raise novel legal or policy issues arising out of legal mandates, the President's priorities, or the principles set forth in the Executive Order.

The EPA believes that today's action is a "significant regulatory action." The adoption of the Federal NO_x Budget Trading Program, in lieu of the default remedy contained in the May 25 NFR, raises novel legal and policy issues that are appropriate for OMB consideration.

However, this action will not impose any additional costs or burdens on regulated entities beyond the costs that would have been associated with the requirements imposed by the May 25 NFR. This action is limited to changing the mechanism for making the findings under section 126, staying the affirmative technical determinations based on the 8-hour ozone NAAQS, and replacing the default control requirements for sources with the Federal NO_x Budget Trading Program.

Removing the automatic triggering mechanism for making findings and instead making findings based on the 1-hour standard directly through this action simply changes the mechanism for making the section 126 findings. Those section 126 findings would have been made with or without today's action. Nor does this rule change the scope or substance of the findings. With the stay of the NO_x SIP call requirement for States to submit SIP revisions by September 30, no States containing sources covered by the section 126 findings had submitted SIP revisions by that date. As a consequence, EPA would not have been able to propose approval of any SIP submissions complying with the NO_x SIP call by November 30. Thus, the section 126 findings made in today's rule would have been automatically triggered on November 30 under the May 25 NFR in the absence of today's action.

Today's rule also stays the affirmative technical determinations based on the 8-hour ozone NAAQS. This action stays requirements that would otherwise have

been imposed on sources in seven states and imposes no new requirements with respect to those sources. Finally, while the Federal NO_x Budget Trading Program contains new requirements for compliance, the Trading Program replaces the default remedy, which contained less flexible, and hence, more costly, requirements for compliance that otherwise would have applied under the May 25 NFR. Thus, with respect to these provisions as well, today's rule imposes no new additional costs. Because today's action imposes no new compliance burdens beyond what otherwise would have been required under the May 25 NFR, this action will not have an annual effect on the economy of more than \$100 million.

For the May 25 NFR, EPA relied for purposes of Executive Order 12866 on analyses prepared for the NO_x SIP call (63 FR 57356, October 27, 1998). Today's rule will reduce the costs of the May 25 NFR by narrowing its scope and providing a more flexible compliance regime. Thus, EPA has prepared a RIA summarizing the potential impacts associated with the final section 126 regulations contained in 40 CFR 52.34, as modified by today's action, titled "Regulatory Impact Analysis for the Final Section 126 Petition Rule." (The EPA is referring here to the full set of requirements under 40 CFR 52.34 as the "final section 126 regulations," "section 126 regulations," or "section 126 rule.") This RIA assesses the costs, benefits, and economic impacts associated with federally-imposed requirements in the final section 126 regulations to reduce NO_x emissions from sources contributing to downwind nonattainment of the ozone NAAQS. It takes into account the changes in the NO_x emissions inventory made as a result of the inventory correction notices referred to earlier in this notice, the substitution of the Trading Program for the default remedy as well as the narrower geographic scope covered by and fewer sources affected by the section 126 remedy as a result of EPA's stay of the affirmative technical determinations based on the 8-hour NAAQS for ozone.

The RIA for the final section 126 regulations addresses the costs and benefits associated with reducing emissions at sources covered by the petitions submitted to EPA. The RIA concludes that the national annual cost of actions by affected sources to comply with the section 126 rule is approximately \$1.0 billion (1990 dollars) and \$1.2 billion (1997 dollars). The RIA also concludes that by using EPA's preferred approach to monetizing reductions in PM-related premature

mortality—the Value of Statistical Life (VSL) approach—total monetized benefits (from reductions in ozone and PM concentrations) of the final section 126 rule are projected to be around \$1.4 billion (1997 dollars). Any comparison of benefits and costs for this rule will provide limited information, given the incomplete estimate of benefits. However, even with the limited set of benefit categories we were able to monetize, monetized net benefits (*i.e.* monetized benefits net of costs) using EPA's preferred method for valuing avoided incidences of premature mortality are approximately \$0.3 billion (1997\$).

The adoption of a value for the projected reduction in the risk of premature mortality is the subject of continuing discussion within the economic and public policy analysis community within and outside the Administration. In response to the sensitivity on this issue, we provide estimates reflecting two alternative approaches. The first approach—supported by some in the above community and preferred by EPA—uses a Value of a Statistical Life (VSL) approach developed for the Clean Air Act Section 812 benefit-cost studies. This VSL estimate of \$5.9 million (1997\$) was derived from a set of 26 studies identified by EPA using criteria established in Viscusi (1992), as those most appropriate for environmental policy analysis applications.

An alternative, age-adjusted approach is preferred by some others in the above community both within and outside the Administration. This approach was also developed for the Section 812 studies and addresses concerns with applying the VSL estimate—reflecting a valuation derived mostly from labor market studies involving healthy working-age manual laborers—to PM-related mortality risks that are primarily associated with older populations and those with impaired health status. This alternative approach leads to an estimate of the value of a statistical life year (VSLY), which is derived directly from the VSL estimate. It differs only in incorporating an explicit assumption about the number of life years saved and an implicit assumption that the valuation of each life year is not affected by age.¹⁸ The mean VSLY is \$360,000

¹⁸ Specifically, the VSLY estimate is calculated by amortizing the \$5.9 million mean VSL estimate over the 35 years of life expectancy associated with subjects in the labor market studies. The resulting estimate, using a 5 percent discount rate, is \$360,000 per life-year saved in 1997 dollars. This annual average value of a life-year is then multiplied times the number of years of remaining life expectancy for the affected population (in the

1997\$); combining this number with a mean life expectancy of 14 years yields an age-adjusted VSL of \$3.6 million (1997\$).

Both approaches are imperfect, and raise difficult methodological issues which are discussed in depth in the recently published Section 812 Prospective Study, the draft EPA Economic Guidelines, and the peer-review commentaries prepared in support of each of these documents. For example, both methodologies embed assumptions (explicit or implicit) about which there is little or no definitive scientific guidance. In particular, both methods adopt the assumption that the risk versus dollars trade-offs revealed by available labor market studies are applicable to the risk versus dollar trade-offs the general population would make in an air pollution context.

EPA currently prefers the VSL approach because, essentially, the method reflects the direct, application of what EPA considers to be the most reliable estimates for valuation of premature mortality available in the current economic literature. While there are several differences between the labor market studies EPA uses to derive a VSL estimate and the particulate matter air pollution context addressed here, those differences in the affected populations and the nature of the risks imply both upward and downward adjustments. For example, adjusting for age differences may imply the need to adjust the \$5.9 million VSL downward as would adjusting for health differences, but the involuntary nature of air pollution-related risks and the lower level of risk-aversion of the manual laborers in the labor market studies may imply the need for upward adjustments. In the absence of a comprehensive and balanced set of adjustment factors, EPA believes it is reasonable to continue to use the \$5.9 million value while acknowledging the significant limitations and uncertainties in the available literature. Furthermore, EPA prefers not to draw distinctions in the monetary value assigned to the lives saved even if they differ in age, health status, socioeconomic status, gender or other characteristic of the adult population.

Those who favor the alternative, age-adjusted approach (*i.e.* the VSLY approach) emphasize that the value of a statistical life is not a single number relevant for all situations. Indeed, the VSL estimate of \$5.9 million (1997 dollars) is itself the central tendency of a number of estimates of the VSL for

case of PM-related premature mortality, the average number of \$ life-years saved is 14.

some rather narrowly defined populations. When there are significant differences between the population affected by a particular health risk and the populations used in the labor market studies—as is the case here—they prefer to adjust the VSL estimate to reflect those differences. While acknowledging that the VSLY approach provides an admittedly crude adjustment (for age though not for other possible differences between the populations), they point out that it has the advantage of yielding an estimate that is not presumptively biased. Proponents of adjusting for age differences using the VSLY approach fully concur that enormous uncertainty remains on both sides of this estimate—upwards as well as downwards—and that the populations differ in ways other than age (and therefore life expectancy). But rather than waiting for all relevant questions to be answered, they prefer a process of refining estimates by incorporating new information and evidence as it becomes available.

Using an alternative, age-adjusted approach to value reductions in premature mortality—the Value of

Statistical Life Year (VSLY) approach—total monetized benefits are projected to be around \$0.9 billion (1997\$). The total monetized net benefits using this approach are approximately \$ – 0.3 billion (1997\$). Due to practical analytical limitations, EPA is not able to quantify and/or monetize all potential benefits of the section 126 rule.

The EPA submitted this action to OMB for review. Changes made in response to OMB suggestions or recommendations will be documented in the public record. The docket is available for public inspection at the EPA's Air Docket Section, which is listed in the **ADDRESSES** section of this preamble. The RIA is available in hard copy by contacting the EPA Library at the address under "Availability of Related Information" and in electronic form as discussed above in that same section.

B. Regulatory Flexibility Act

The EPA has determined that it is not necessary to prepare a regulatory flexibility analysis in connection with this final rule. The EPA has also determined that this rule will not have

a significant economic impact on a substantial number of small entities. Small entities include small businesses, small organizations, and small governmental jurisdictions.

As discussed above in section IV.A., today's action does not create any new requirements that would impose costs beyond those that would have been imposed under the May 25 NFR. Thus, this rule will not have a significant economic impact on a substantial number of small entities.

For the May 25 NFR, EPA prepared a Regulatory Flexibility Analysis, but noted that it would update the analysis upon promulgation of the final Federal NO_x Budget Trading Program, which could change the number of small entities affected by the rule. Thus, EPA has updated the RFA to reflect the changes made by today's rule.

For purposes of assessing the impacts of the section 126 regulations at 40 CFR 52.34, as modified by today's rule, on small entities, small entity is defined as: (1) a small business that meets the criteria published in 13 CFR section 121, as shown in the following table:

SIC Code	Economic activity	Size standard in number of employees or millions of dollars
2611	Pulp mills	750
2821	Plastics materials, synthetic resins, and nonvulcanized elastomers	750
2869	Industrial organic chemicals	1,000
2911	Petroleum refining	1,500
3312	Steel works, blast furnaces, and rolling mills	1,000
3511	Steam, gas, and hydraulic turbines	1,000
3519	Stationary internal combustion engines	1,000
3585	Air-conditioning and warm-air heating equipment and commercial and industrial refrigeration equipment.	750
4911	Electric utilities	4 million megawatt hrs.
4922	Natural gas transmission	\$5.0
4931	Electric and other gas services	\$5.0
4961	Steam and air conditioning supply	\$9.0

(2) A small governmental jurisdiction that is a government of a city, county, town, school district or special district with a population of less than 50,000; and (3) a small organization that is any not-for-profit enterprise that is independently-owned and operated and is not dominant in its field.

We have determined that small entities will experience impacts under the section 126 regulations as described below.

The EPA estimates that the total number of small entities in the section 126 region owning one or more sources in the source categories covered by the rule under the now narrower scope of the effective section 126 requirements in 40 CFR 52.34 is approximately 379. The number of entities actually affected by the section 126 rule, presented by

source category, is as follows: Electric Generating Units—80 small entities. This represents 45 percent of the potentially affected small entities (*i.e.*, those in the named source categories) in the final section 126 region (179).

Industrial Boilers and/or Combustion Turbines—8 small entities

This represents 4 percent of the potentially affected small entities owning these non-EGU sources in the final section 126 region (200).

The total number of small entities that will be affected by the effective section 126 requirements under 40 CFR 52.34 is therefore 88, or 25 percent of small entities that own sources in the final section 126 region that may be affected by this rule.

The EPA estimates that 16 small entities affected by the effective section 126 requirements under 40 CFR 52.34 have compliance costs of 1 percent or greater of their sales or revenues, and 8 have compliance costs of 3 percent or greater of their sales or revenues.

The EPA has tried to reduce the impact of the section 126 rule on small entities. The EPA has reduced the applicability of regulatory requirements based on several factors including input from the Small Business Regulatory Enforcement Fairness Act panel convened for the proposed section 126 rule (63 FR 56292, October 21, 1998), considerations of overall cost effectiveness, and administrative efficiency. A detailed description of the panel recommendations for reducing the impact of the final rule on small entities

can be found in the Panel report and the Regulatory Flexibility Analysis prepared for the May 25 NFR. The Panel recommended that EPA solicit comment on whether to allow EGUs to obtain a federally-enforceable NO_x emission tonnage limit (e.g., 25 tons during the ozone season) and thereby obtain an exemption. Based on comments received, this option is now incorporated in the final 126 regulations. See section III.B.1.c for further discussion. Other recommendations made by the panel were also incorporated into the May 25 NFR (e.g., 25 MWe and 250 mmBtu/hr cut-offs).

C. Unfunded Mandates Reform Act

Title II of the Unfunded Mandates Reform Act of 1995 (UMRA), Public Law 104-4, establishes requirements for Federal agencies to assess the effects of their regulatory actions on State, local, and tribal governments and the private sector. Under section 202 of the UMRA, 2 U.S.C. 1532, EPA generally must prepare a written statement, including a cost-benefit analysis, for any proposed or final rules with "Federal mandates" that may result in the expenditure by State, local, and tribal governments, in the aggregate, or by the private sector, of \$100 million or more in any one year. A "Federal mandate" is defined to include a "Federal intergovernmental mandate" and a "Federal private sector mandate" (2 U.S.C. 658(6)). A "Federal intergovernmental mandate," in turn, is defined to include a regulation that "would impose an enforceable duty upon State, local, or tribal governments," (2 U.S.C. 658(5)(A)(i)), except for, among other things, a duty that is "a condition of Federal assistance (2 U.S.C. 658(5)(A)(I)). A "Federal private sector mandate" includes a regulation that would impose an enforceable duty upon the private sector," with certain exceptions (2 U.S.C. 658 (7)(A)).

The EPA has determined that this action does not include a Federal mandate that may result in estimated costs of \$100 million or more for either State, local, or tribal governments in the aggregate, or for the private sector. This Federal action does not create any new requirements that would impose costs beyond those that would otherwise be imposed under the May 25 NFR, as discussed above in section IV.A. Accordingly, no additional costs to State, local or tribal governments, or to the private sector, would result from this action.

In the May 25 NFR, EPA relied upon an Unfunded Mandates Analysis prepared for the proposed section 126

rule. The EPA has updated this analysis to account for the now narrower scope of the effective section 126 requirements in 40 CFR 52.34. This "Government Entity Analysis For the Final Section 126 Petitions Under the Clean Air Act Amendments Title I," is contained in the docket for this action and is summarized below.

This analysis examines the impacts of the section 126 requirements in 40 CFR 52.34 (excluding the stayed affirmative technical determinations based on the 8-hour ozone NAAQS) on both EGUs and non-EGUs that are owned by State, local, and tribal governments, as well as sources owned by private entities. These requirements affect 16 entities that own EGUs, and these EGUs are owned by 1 State and 15 municipalities. These requirements also affect 7 entities that own non-EGUs, and these non-EGUs are owned by 1 State and 5 municipalities. The overall costs are dominated by the 16 affected EGUs and are about \$15 million per year. The EPA has not identified any units on Tribal lands that would be subject to the requirements. The cost impacts are only slightly higher than their production share, in comparison to all units in the region.

The EPA has determined that today's action contains no regulatory requirements that might significantly or uniquely affect small governments because today's action imposes no new additional requirements as discussed above. Moreover, the final section 126 requirements contained in 40 CFR 52.34 (the requirements of the May 25 NFR as modified by today's action) also do not significantly or uniquely affect small governments. The regulatory requirements do not distinguish between EGUs based on ownership. Consequently, the final section 126 rule contained in 40 CFR 52.34 has no requirements that uniquely affect small governments that own or operate EGUs within the affected region.

D. Paperwork Reduction Act

In the May 25 NFR, EPA relied upon an Information Collection Request (ICR) prepared for the proposed section 126 rule. For today's rule, EPA has updated the estimates contained in the ICR to account for the now narrower scope of the effective section 126 requirements in 40 CFR 52.34. These estimates of administrative burden costs are contained in the docket for this action and are summarized below.

Respondents/Affected Entities: Large fossil fuel boilers, turbines and combined cycle units that are subject to the current scope of section 126 requirements of 40 CFR 52.34.

Number of Respondents: 1459.

Frequency of Response:

- Emissions reports quarterly for some units, twice during ozone season for others
- Test notifications and allowance transfers on an infrequent basis
- Compliance certifications on an annual basis

Estimated Annual Hour Burden per Respondent: 67.

Estimated Annual Cost per Respondent: \$7,073.

Estimated Total Annual Hour Burden: 97,500.

Estimated Total Annualized Cost: \$10,320,000.

Note that these are average estimates for the first 3 years of the program. The EPA estimates lower costs in the first 2 years of the program because fewer units will be participating at that time. The units that will be participating at that time are units that are applying for early reduction credits. The EPA also estimates that the highest compliance costs will occur in 2002, when the majority of the units that have to install and certify new monitors to comply with the program will do so. The EPA believes that the year 2003 will be more representative of the actual ongoing costs of the program. At that time, EPA estimates a burden of 120 hours per source and a cost of \$15,785 per source.

Burden means the total time, effort, or financial resources expended by persons to generate, maintain, retain, or disclose or provide information to or for a Federal agency. This includes the time needed to review instructions; develop, acquire, install, and utilize technology and systems for the purposes of collecting, validating, and verifying information, processing and maintaining information, and disclosing and providing information; adjust the existing ways to comply with any previously applicable instructions and requirements; train personnel to be able to respond to a collection of information; search data sources; complete and review the collection of information; and transmit or otherwise disclose the information.

An agency may not conduct or sponsor, and a person is not required to respond to a collection of information unless it displays a currently valid OMB control number. The OMB control numbers for EPA's regulations are listed in 40 CFR part 9 and 48 CFR chapter 15.

E. Executive Order 13045: Protection of Children From Environmental Health Risks and Safety Risks

Executive Order 13045 applies to any rule that (1) is determined to be "economically significant" as defined

under Executive Order 12866, and (2) concerns an environmental health or safety risk that EPA has reason to believe may have a disproportionate effect on children. If the regulatory action meets both criteria, the Agency must evaluate the environmental health or safety effects of the rule on children, and explain why the regulation is preferable to other potentially effective and reasonably feasible alternatives considered by the Agency.

This rule is not subject to Executive Order 13045, because this rule is not "economically significant" as defined under Executive Order 12866 and the Agency does not have reason to believe the environmental health risks or safety risks addressed by this action present a disproportionate risk to children.

Nonetheless, we have evaluated the environmental health or safety effects of the affected pollutants on children, and found that there are no effects from changes in ozone and PM levels resulting from applying these regulatory requirements that are particular to children that are not found in other age groups. In conjunction with the final NO_x SIP call rulemaking, the Agency has conducted a general analysis of the potential changes in ozone and PM levels experienced by children as a result of the NO_x SIP call; these findings are presented in the RIA for the Final NO_x SIP call. The findings include population-weighted exposure characterizations for projected 2007 ozone and PM concentrations. The population data includes a census-derived subdivision for the under 18 group. Although the final section 126 rule is narrower in scope than the NO_x SIP call, the NO_x SIP call analysis indicates the potential types of effects that children could experience as a result of this rule.

F. Executive Order 12898: Environmental Justice

Executive Order 12898 requires that each Federal agency make achieving environmental justice part of its mission by identifying and addressing, as appropriate, disproportionately high and adverse human health or environmental effects of its programs, policies, and activities on minorities and low-income populations. In conjunction with the final NO_x SIP call rulemaking, the Agency has conducted a general analysis of the potential changes in ozone and PM levels that may be experienced by minority and low-income populations as a result of the NO_x SIP call; these findings are presented in the RIA for the Final NO_x SIP call. The findings include population-weighted exposure

characterizations for projected ozone concentrations and PM concentrations. The population data includes census-derived subdivisions for whites and non-whites, and for low-income groups. Although the final section 126 rule is narrower in scope than the NO_x SIP call, the NO_x SIP call analysis indicates the potential types of effects that minority and low-income populations could experience as a result of this rule.

G. Executive Order 13132: Federalism

Executive Order 13132, entitled Federalism (64 FR 43255, August 10, 1999), requires EPA to develop an accountable process to ensure meaningful and timely input by State and local officials in the development of regulatory policies that have federalism implications. "Policies that have federalism implications" is defined in the Executive Order to include regulations that have "substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government." Under Executive Order 13132, EPA may not issue a regulation that has federalism implications, that imposes substantial direct compliance costs, and that is not required by statute, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by State and local governments, or EPA consults with State and local officials early in the process of developing the proposed regulation. The EPA also may not issue a regulation that has federalism implications and that preempts State law unless the Agency consults with State and local officials early in the process of developing the proposed regulation.

If EPA complies by consulting, Executive Order 13132 requires EPA to provide to OMB, in a separately identified section of the preamble to the rule, a federalism summary impact statement (FSIS). The FSIS must include a description of the extent of EPA's prior consultation with State and local officials, a summary of the nature of their concerns and the agency's position supporting the need to issue the regulation, and a statement of the extent to which the concerns of State and local officials have been met. Also, when EPA transmits a draft final rule with federalism implications to OMB for review pursuant to Executive Order 12866, EPA must include a certification from the agency's Federalism Official stating that EPA has met the requirements of Executive Order 13132 in a meaningful and timely manner.

This final rule will not have substantial direct effects on the States, on the relationship between the national government and the States, or on the distribution of power and responsibilities among the various levels of government, as specified in Executive Order 13132. As discussed above, today's rule imposes no new requirements that impose compliance burdens beyond those that would already apply under the May 25 NFR. Thus, the requirements of section 6 of the Executive Order do not apply to this rule. Nevertheless, EPA did consult with State and local officials throughout the section 126 rulemaking. (See 64 FR 28253–28254; 63 FR 57362–57363). Most fundamentally, the section 126 rulemaking is EPA's response to State petitions for EPA action. In addition, States were extensively involved in the Ozone Transport Assessment Group (OTAG), which was established to undertake an assessment of the regional transport problem in the eastern half of the United States and to develop solutions. The OTAG process included representatives of both upwind and downwind States. In the section 126 rulemaking, EPA has acted on section 126 petitions submitted by States that were involved in the OTAG process. All eight submitted petitions rely, in part, on the OTAG analyses for technical justification.

H. Executive Order 13084: Consultation and Coordination With Indian Tribal Governments

Under Executive Order 13084, EPA may not issue a regulation that is not required by statute, that significantly or uniquely affects the communities of Indian tribal governments, and that imposes substantial direct compliance costs on those communities, unless the Federal government provides the funds necessary to pay the direct compliance costs incurred by the tribal governments, or EPA consults with those governments. If EPA complies by consulting, Executive Order 13084 requires EPA to provide to OMB, in a separately identified section of the preamble to the rule, a description of the extent of EPA's prior consultation with representatives of affected tribal governments, a summary of the nature of their concerns, and a statement supporting the need to issue the regulation. In addition, Executive Order 13084 requires EPA to develop an effective process permitting elected and other representatives of Indian tribal governments "to provide meaningful and timely input in the development of regulatory policies on matters that

significantly or uniquely affect their communities.”

Today's rule does not significantly or uniquely affect the communities of Indian tribal governments. As discussed above, today's action imposes no new requirements that would impose compliance burdens beyond those that would already apply under the May 25 NFR. Moreover, the final section 126 rule as modified by today's action will not impose substantial direct compliance costs on such communities. The EPA is not aware of sources located on tribal lands that could be subject to the requirements in 40 CFR 52.34. Accordingly, the requirements of section 3(b) of Executive Order 13084 do not apply.

I. National Technology Transfer and Advancement Act

Section 12(d) of the National Transfer and Advancement Act of 1995 (“NTTAA”), Public Law 104–113 section 12(d) 15 U.S.C. 272 note) directs EPA to use voluntary consensus standards in its regulatory activities unless to do so would be inconsistent with applicable law or otherwise impractical. Voluntary consensus standards are technical standards (e.g., materials specifications, test methods, sampling procedures, and business practices) that are developed or adopted by voluntary consensus standards bodies. The NTTAA directs EPA to provide Congress, through OMB, explanations when the Agency decides not to use available and applicable voluntary consensus standards.

This rulemaking would require all sources that participate in the trading program under part 97 to meet the applicable monitoring requirements of part 75. Part 75 already incorporates a number of voluntary consensus standards. In addition, EPA's proposed revisions to part 75 proposed to add two more voluntary consensus standards to the rule (see 63 FR 28116–28117, discussing ASTM D5373–93 “Standard Methods for Instrumental Determination of Carbon, Hydrogen and Nitrogen in laboratory samples of Coal and Coke,” and American Petroleum Institute Section 2 “Conventional Pipe Provers” from Chapter 4 of the Manual of Petroleum Measurement Standards, October 1988 edition). The EPA's proposed part 75 revisions also requested comments on the inclusion of additional voluntary consensus standards. The EPA has recently finalized revisions to part 75 addressing some of the topics raised in EPA's proposed revisions to part 75. As part of this rule finalization, EPA incorporated two new voluntary consensus standards:

(1) American Petroleum Institute Petroleum Measurement Standards, Chapter 3, Tank Gauging: Section 1A, Standard Practice for the Manual Gauging of Petroleum and Petroleum Products, December 1994; Section 1B, Standard Practice for Level Measurement of Liquid Hydrocarbons in Stationary Tanks by Automatic Tank Gauging, April 1992 (reaffirmed January 1997); Section 2, Standard Practice for Gauging Petroleum and Petroleum Products in Tank Cars, September 1995; Section 3, Standard Practice for Level Measurement of Liquid Hydrocarbons in Stationary Pressurized Storage Tanks by Automatic Tank Gauging, June 1996; Section 4, Standard Practice for Level Measurement of Liquid Hydrocarbons on Marine Vessels by Automatic Tank Gauging, April 1995; and Section 5, Standard Practice for Level Measurement of Light Hydrocarbon Liquids Onboard Marine Vessels by Automatic Tank Gauging, March 1997; and

(2) Shop Testing of Automatic Liquid Level Gages, Bulletin 2509 B, December 1961 (Reaffirmed October 1992), for § 75.19.

This rulemaking involves environmental monitoring or measurement. Sources that participate in the trading program are required to meet the monitoring requirements under part 75. Consistent with the Agency's Performance Based Measurement System (PBMS), part 75 sets forth performance criteria that allow the use of alternative methods to the ones set forth in part 75. The PBMS approach is intended to be more flexible and cost effective for the regulated community; it is also intended to encourage innovation in analytical technology and improved data quality. The EPA is not precluding the use of any method, whether it constitutes a voluntary standard or not, as long as it meets the performance criteria specified. However, any alternative methods must be approved in advance before they may be used under part 75.

J. Judicial Review

Section 307(b)(1) of the CAA indicates which Federal Courts of Appeal have venue for petitions of review of final actions by EPA. This section provides, in part, that petitions for review must be filed in the Court of Appeals for the District of Columbia Circuit (i) when the agency action consists of “nationally applicable regulations promulgated, or final actions taken, by the Administrator,” or (ii) when such action is locally or regionally applicable, if “such action is based on a determination of nationwide scope or

effect and if in taking such action the Administrator finds and publishes that such action is based on such a determination.”

This rulemaking to modify the May 25 NFR on several section 126 petitions is “nationally applicable” within the meaning of section 307(b)(1). At the core of the complete section 126 rulemaking (both the May 25 NFR and today's modification to that rule) is EPA's interpretation of sections 126 and 110(a)(2)(D)(i)(I). The EPA applied these interpretations uniformly to each section 126 petition.¹⁹ Further, the modeling that EPA employed to assist in making the central decisions in the section 126 rulemaking involved uniform modeling techniques and a uniform set of air quality metrics to assess upwind impacts on downwind States. In addition, the cost effectiveness information was analyzed and applied uniformly to each petition. Further, the remedy selected by EPA in the May 25 NFR and modified by today's rule is uniformly applicable to upwind sources in many different States and involves interstate trading of NO_x emission allowances. In sum, the numerous legal and technical issues that EPA addressed in the two final rules that comprise the section 126 rulemaking apply uniformly to all the sources in 12 States and the District of Columbia for which EPA is making findings and prescribing a remedy under section 126. *Cf. West Virginia Chamber of Commerce v. Browner*, 1998 WL 827315, * 7 (4th Cir., Dec. 1, 1998).

For these reasons, the Administrator also is determining that this final action modifying the May 25 NFR regarding the section 126 petitions is of nationwide scope and effect for purposes of section 307(b)(1). This is particularly appropriate because in the report on the 1977 Amendments that revised section 307(b)(1) of the CAA, Congress noted that the Administrator's determination that an action is of “nationwide scope or effect” would be appropriate for any action that has “scope or effect beyond a single judicial circuit.” H.R. Rep. No. 95–294 at 323, 324, *reprinted* in 1977 U.S.C.C.A.N. 1402–03. Here, the scope and effect of this rulemaking extend to numerous judicial circuits since the downwind petitioning States lie in the First,

¹⁹ The EPA interpreted some of the same provisions in the SIP Call final rule, and the U.S. Court of Appeals for the D.C. Circuit agreed with the Administrator that the rule was nationally significant and thus, that venue lies in that circuit. See *State of Michigan v. EPA*, No. 98–1497 (D.C. Cir., Order, Mar. 19, 1999) (*citing Texas Municipal Power Agency v. EPA*, 89 F.3d 858, 867 (D.C. Cir. 1996) (*per curiam*)).

Second and Third Circuits of the U.S. Courts of Appeals and the upwind regulated States lie in the Fourth, Sixth, and Seventh Circuits. In these circumstances, section 307(b)(1) and its legislative history calls for the Administrator to find the rule to be of "nationwide scope or effect" and for venue to be in the D.C. Circuit.

Thus, any petitions for review of final actions regarding today's section 126 rule must be filed in the Court of Appeals for the District of Columbia Circuit within 60 days from the date final action is published in the **Federal Register**.

K. Congressional Review Act

The Congressional Review Act, 5 U.S.C. 801 *et seq.*, as added by the Small Business Regulatory Enforcement Fairness Act of 1996, generally provides that before a rule may take effect, the agency promulgating the rule must submit a rule report, which includes a copy of the rule, to each House of the Congress and to the Comptroller General of the United States. The EPA will submit a report containing this rule and other required information to the U.S. Senate, the U.S. House of Representatives, and the Comptroller General of the United States prior to publication of the rule in the **Federal Register**. A "major rule" cannot take effect until 60 days after it is published in the **Federal Register**. This action is not a "major rule" as defined by 5 U.S.C. 804(2). This action will not impose any additional costs or compliance burdens on regulated entities beyond the costs and compliance burdens that would have been associated with the requirements imposed by the May 25 NFR. This rule will be effective February 17, 2000.

List of Subjects

40 CFR Part 52

Environmental protection, Air pollution control, Emissions trading, Intergovernmental relations, Nitrogen oxides, Ozone, Ozone transport, Reporting and recordkeeping requirements.

40 CFR Part 97

Environmental protection, Administrative practice and procedure, Air pollution control, Emissions trading, Intergovernmental relations, Nitrogen oxides, Ozone, Ozone transport, Reporting and recordkeeping requirements.

Dated: December 17, 1999.

Carol M. Browner,
Administrator.

For the reasons set forth in the preamble, chapter I of title 40 of the Code of Federal Regulations is amended as follows:

PART 52—APPROVAL AND PROMULGATION OF IMPLEMENTATION PLANS

1. The authority citation for part 52 continues to read as follows:

Authority: 42 U.S.C. 7401 *et seq.*

Subpart A—General Provisions

2. Section 52.34 is amended by:
 - a. Removing paragraph (a)(6);
 - b. Redesignating paragraphs (a)(7) through (a)(10) as paragraphs (a)(6) through (a)(9), respectively;
 - c. Revising paragraph (b) introductory text;
 - d. Revising the heading of paragraph (c);
 - e. Revising the headings and introductory text of paragraphs (c)(1) and (c)(2);
 - f. Revising the heading of paragraph (e);
 - g. Revising the headings and introductory text of paragraphs (e)(1) and (e)(2);
 - h. Revising the heading of paragraph (g);
 - i. Revising the headings and introductory text of paragraphs (g)(1) and (g)(2);
 - j. Revising the heading of paragraph (h);
 - k. Revising the headings and introductory text of paragraphs (h)(1) and (h)(2); and
 - l. Revising paragraphs (i), (j), and (k).
- The revisions read as follows:

§ 52.34 Action on petitions submitted under section 126 relating to emissions of nitrogen oxides.

* * * * *

(b) *Purpose and applicability.* Paragraphs (c), (e)(1) and (e)(2), (g), and (h)(1) and (h)(2) of this section set forth the Administrator's findings with respect to the 1-hour national ambient air quality standard (NAAQS) for ozone that certain new and existing sources of emissions of nitrogen oxides ("NO_x") in certain States emit or would emit NO_x in violation of the prohibition in section 110(a)(2)(D)(i) of the Clean Air Act (CAA) on emissions in amounts that contribute significantly to nonattainment in certain States that submitted petitions in 1997–1998 addressing such NO_x emissions under section 126 of the CAA. Paragraphs (d), (e)(3) and (e)(4), (f), and (h)(3) and (h)(4)

of this section set forth the Administrator's affirmative technical determinations with respect to the 8-hour NAAQS for ozone that certain new and existing sources of emissions of NO_x in certain States emit or would emit NO_x in violation of the prohibition in section 110(a)(2)(D)(i) of the CAA on emissions in amounts that contribute significantly to nonattainment in, or interfere with maintenance by, certain States that submitted petitions in 1997–1998 addressing such NO_x emissions under section 126 of the CAA. (As used in this section, the term new source includes modified sources, as well.) Paragraph (i) of this section explains the circumstances under which the findings for sources in a specific State would be withdrawn. Paragraph (j) of this section sets forth the control requirements that apply to the sources of NO_x emissions affected by the findings. Paragraph (k) of this section indefinitely stays the effectiveness of the affirmative technical determinations with respect to the 8-hour ozone standard.

* * * * *

(c) *Section 126(b) findings relating to impacts on ozone levels in Connecticut—(1) Section 126(b) findings with respect to the 1-hour ozone standard in Connecticut.* The Administrator finds that any existing or new major source or group of stationary sources emits or would emit NO_x in violation of the Clean Air Act section 110(a)(2)(d)(i) prohibition with respect to the 1-hour ozone standard in the State of Connecticut if it is or will be:

* * * * *

(2) *States or portions of States that contain sources for which the Administrator is making section 126(b) findings with respect to the 1-hour ozone standard in Connecticut.* The States, or portions of States, that contain sources of NO_x emissions for which the Administrator is making section 126(b) findings under paragraph (c)(1) of this section are:

* * * * *

(e) *Section 126(b) findings and affirmative technical determinations relating to impacts on ozone levels in Massachusetts—(1) Section 126(b) findings with respect to the 1-hour ozone standard in Massachusetts.* The Administrator finds that any existing major source or group of stationary sources emits NO_x in violation of the Clean Air Act section 110(a)(2)(d)(i) prohibition with respect to the 1-hour ozone standard in the State of Massachusetts if it is:

* * * * *

(2) *States that contain sources for which the Administrator is making*

section 126(b) findings with respect to the 1-hour ozone standard in Massachusetts. The portions of States that contain sources of NO_x emissions for which the Administrator is making section 126(b) findings under paragraph (e)(1) of this section are:

* * * * *

(g) *Section 126(b) findings relating to impacts on ozone levels in the State of New York*—(1) *Section 126(b) findings with respect to the 1-hour ozone standard in the State of New York.* The Administrator finds that any existing or new major source or group of stationary sources emits or would emit NO_x in violation of the Clean Air Act section 110(a)(2)(d)(i) prohibition with respect to the 1-hour ozone standard in the State of New York if it is or will be:

* * * * *

(2) *States or portions of States that contain sources for which the Administrator is making section 126(b) findings with respect to the 1-hour ozone standard in New York.* The States, or portions of States, that contain sources of NO_x emissions for which the Administrator is making section 126(b) findings under paragraph (g)(1) of this section are:

* * * * *

(h) *Section 126(b) findings and affirmative technical determinations relating to impacts on ozone levels in the State of Pennsylvania*—(1) *Section 126(b) findings with respect to the 1-hour ozone standard in the State of Pennsylvania.* The Administrator finds that any existing or new major source or group of stationary sources emits or would emit NO_x in violation of the Clean Air Act section 110(a)(2)(d)(i) prohibition with respect to the 1-hour ozone standard in the State of Pennsylvania if it is or will be:

* * * * *

(2) *States that contain sources for which the Administrator is making section 126(b) findings with respect to the 1-hour ozone standard in Pennsylvania.* The States that contain sources of NO_x emissions for which the Administrator is making section 126(b) findings under paragraph (h)(1) of this section are:

* * * * *

(i) *Withdrawal of section 126 findings.* Notwithstanding any other provision of this subpart, a finding under paragraphs (c), (e)(1) and (e)(2), (g), and (h)(1) and (h)(2) of this section as to a particular major source or group of stationary sources in a particular State will be deemed to be withdrawn, and the corresponding part of the relevant petition(s) denied, if the Administrator issues a final action putting in place

implementation plan provisions that comply with the requirements of §§ 51.121 and 51.122 of this chapter for such State.

(j) *Section 126 control remedy.* The Federal NO_x Budget Trading Program in part 97 of this chapter applies to the owner or operator of any new or existing large EGU or large non-EGU as to which the Administrator makes a finding under section 126(b) of the Clean Air Act pursuant to the provisions of paragraphs (c), (e)(1) and (e)(2), (g), and (h)(1) and (h)(2) of this section.

(k) *Stay of findings with respect to the 8-hour ozone standard.*

Notwithstanding any other provisions of this subpart, the effectiveness of paragraphs (d), (e)(3) and (e)(4), (f), (h)(3) and (h)(4) of this section is stayed.

* * * * *

3. Part 97 is added to subchapter C to read as follows:

PART 97—FEDERAL NO_x BUDGET TRADING PROGRAM

Subpart A—NO_x Budget Trading Program General Provisions

Sec.

- 97.1 Purpose.
- 97.2 Definitions.
- 97.3 Measurements, abbreviations, and acronyms.
- 97.4 Applicability.
- 97.5 Retired unit exemption.
- 97.6 Standard requirements.
- 97.7 Computation of time.

Subpart B—NO_x Authorized Account Representative for NO_x Budget Sources

- 97.10 Authorization and responsibilities of NO_x authorized account representative.
- 97.11 Alternate NO_x authorized account representative.
- 97.12 Changing NO_x authorized account representative and alternate NO_x authorized account representative; changes in owners and operators.
- 97.13 Account certificate of representation.
- 97.14 Objections concerning NO_x authorized account representative.

Subpart C—Permits

- 97.20 General NO_x Budget Trading Program permit requirements.
- 97.21 Submission of NO_x Budget permit applications.
- 97.22 Information requirements for NO_x Budget permit applications.
- 97.23 NO_x Budget permit contents.
- 97.24 NO_x Budget permit revisions.

Subpart D—Compliance Certification

- 97.30 Compliance certification report.
- 97.31 Administrator's action on compliance certifications.

Subpart E—NO_x Allowance Allocations

- 97.40 Trading program budget.
- 97.41 Timing requirements for NO_x allowance allocations.
- 97.42 NO_x allowance allocations.
- 97.43 Compliance supplement pool.

Subpart F—NO_x Allowance Tracking System

- 97.50 NO_x Allowance Tracking System accounts.
- 97.51 Establishment of accounts.
- 97.52 NO_x Allowance Tracking System responsibilities of NO_x authorized account representative.
- 97.53 Recordation of NO_x allowance allocations.
- 97.54 Compliance.
- 97.55 Banking.
- 97.56 Account error.
- 97.57 Closing of general accounts.

Subpart G—NO_x Allowance Transfers

- 97.60 Submission of NO_x allowance transfers.
- 97.61 EPA recordation.
- 97.62 Notification.

Subpart H—Monitoring and Reporting

- 97.70 General requirements.
- 97.71 Initial certification and recertification procedures.
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Subpart I—Individual Unit Opt-ins

- 97.80 Applicability.
- 97.81 General.
- 97.82 NO_x authorized account representative.
- 97.83 Applying for NO_x Budget opt-in permit.
- 97.84 Opt-in process.
- 97.85 NO_x Budget opt-in permit contents.
- 97.86 Withdrawal from NO_x Budget Trading Program.
- 97.87 Change in regulatory status.
- 97.88 NO_x allowance allocations to opt-in units.

- Appendix A to Part 97—Final Section 126 Rule: EGU Allocations, 2003–2007
- Appendix B to Part 97—Final Section 126 Rule: Non-EGU Allocations, 2003–2007
- Appendix C to Part 97—Final Section 126 Rule: Trading Budget, 2003–2007
- Appendix D to Part 97—Final Section 126 Rule: State Compliance Supplement Pools for the Section 126 Final Rule (Tons)

Authority: 42 U.S.C. 7401, 7403, 7426, and 7601.

Subpart A—NO_x Budget Trading Program General Provisions

§ 97.1 Purpose.

This part establishes general provisions and the applicability, permitting, allowance, excess emissions, monitoring, and opt-in provisions for the federal NO_x Budget Trading Program, under section 126 of the CAA and § 52.34 of this chapter, as a means of mitigating the interstate transport of ozone and nitrogen oxides, an ozone precursor.

§ 97.2 Definitions.

The terms used in this part shall have the meanings set forth in this section as follows:

Account number means the identification number given by the Administrator to each NO_x Allowance Tracking System account.

Acid Rain emissions limitation means, as defined in § 72.2 of this chapter, a limitation on emissions of sulfur dioxide or nitrogen oxides under the Acid Rain Program under title IV of the Clean Air Act.

Administrator means the Administrator of the United States Environmental Protection Agency or the Administrator's duly authorized representative.

Allocate or allocation means, with regard to NO_x allowances, the determination by the Administrator of the number of NO_x allowances to be initially credited to a NO_x Budget unit or an allocation set-aside.

Automated data acquisition and handling system or DAHS means that component of the CEMS, or other emissions monitoring system approved for use under subpart H of this part, designed to interpret and convert individual output signals from pollutant concentration monitors, flow monitors, diluent gas monitors, and other component parts of the monitoring system to produce a continuous record of the measured parameters in the measurement units required by subpart H of this part.

Boiler means an enclosed fossil or other fuel-fired combustion device used to produce heat and to transfer heat to recirculating water, steam, or other medium.

Clean Air Act means the Clean Air Act, 42 U.S.C. 7401 et seq.

Combined cycle system means a system comprised of one or more combustion turbines, heat recovery steam generators, and steam turbines configured to improve overall efficiency of electricity generation or steam production.

Combustion turbine means an enclosed fossil or other fuel-fired device that is comprised of a compressor, a combustor, and a turbine, and in which the flue gas resulting from the combustion of fuel in the combustor passes through the turbine, rotating the turbine.

Commence commercial operation means, with regard to a unit that serves a generator, to have begun to produce steam, gas, or other heated medium used to generate electricity for sale or use, including test generation. Except as provided in § 97.4(b), § 97.5, or subpart I of this part, for a unit that is a NO_x

Budget unit under § 97.4(a) on the date the unit commences commercial operation, such date shall remain the unit's date of commencement of commercial operation even if the unit is subsequently modified, reconstructed, or repowered. Except as provided in § 97.4(b), § 97.5, or subpart I of this part, for a unit that is not a NO_x Budget unit under § 97.4(a) on the date the unit commences commercial operation, the date the unit becomes a NO_x Budget unit under § 97.4(a) shall be the unit's date of commencement of commercial operation.

Commence operation means to have begun any mechanical, chemical, or electronic process, including, with regard to a unit, start-up of a unit's combustion chamber. Except as provided in § 97.4(b), § 97.5, or subpart I of this part for a unit that is a NO_x Budget unit under § 97.4(a) on the date of commencement of operation, such date shall remain the unit's date of commencement of operation even if the unit is subsequently modified, reconstructed, or repowered. Except as provided in § 97.4(b), § 97.5, or subpart I of this part, for a unit that is not a NO_x Budget unit under § 97.4(a) on the date of commencement of operation, the date the unit becomes a NO_x Budget unit under § 97.4(a) shall be the unit's date of commencement of operation.

Common stack means a single flue through which emissions from two or more units are exhausted.

Compliance account means a NO_x Allowance Tracking System account, established by the Administrator for a NO_x Budget unit under subpart F of this part, in which the NO_x allowance allocations for the unit are initially recorded and in which are held NO_x allowances available for use by the unit for a control period for the purpose of meeting the unit's NO_x Budget emissions limitation.

Continuous emission monitoring system or CEMS means the equipment required under subpart H of this part to sample, analyze, measure, and provide, by readings taken at least once every 15 minutes of the measured parameters, a permanent record of nitrogen oxides emissions, expressed in tons per hour for nitrogen oxides. The following systems are component parts included, to the extent consistent with subpart H of this part and part 75 of this chapter, in a continuous emission monitoring system:

- (1) Flow monitor;
- (2) Nitrogen oxides pollutant concentration monitors;
- (3) Diluent gas monitor (oxygen or carbon dioxide);

(4) A continuous moisture monitor; and

(5) An automated data acquisition and handling system.

Control period means the period beginning May 1 of a year and ending on September 30 of the same year, inclusive.

Electricity for sale under firm contract to the grid means electricity for sale where the capacity involved is intended to be available at all times during the period covered by a guaranteed commitment to deliver, even under adverse conditions.

Emissions means air pollutants exhausted from a unit or source into the atmosphere, as measured, recorded, and reported to the Administrator by the NO_x authorized account representative and as determined by the Administrator in accordance with subpart H of this part.

Energy Information Administration means the Energy Information Administration of the United States Department of Energy.

Excess emissions means any tonnage of nitrogen oxides emitted by a NO_x Budget unit during a control period that exceeds the NO_x Budget emissions limitation for the unit.

Fossil fuel means natural gas, petroleum, coal, or any form of solid, liquid, or gaseous fuel derived from such material.

Fossil fuel fired means, with regard to a unit:

(1) For units that commenced operation before January 1, 1996, the combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during 1995, or, if a unit had no heat input in 1995, during the last year of operation of the unit prior to 1995;

(2) For units that commenced operation on or after January 1, 1996 and before January 1, 1997, the combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during 1996; or

(3) For units that commence operation on or after January 1, 1997:

(i) The combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel actually combusted comprises more than 50 percent of the annual heat input on a Btu basis during any year; or

(ii) The combination of fossil fuel, alone or in combination with any other fuel, where fossil fuel is projected to comprise more than 50 percent of the annual heat input on a Btu basis during

any year, provided that the unit shall be "fossil fuel-fired" as of the date, during such year, on which the unit begins combusting fossil fuel.

General account means a NO_x Allowance Tracking System account, established under subpart F of this part, that is not a compliance account or an overdraft account.

Generator means a device that produces electricity.

Heat input means, with regard to a specified period to time, the product (in mmBtu/time) of the gross calorific value of the fuel (in Btu/lb) divided by 1,000,000 Btu/mmBtu and multiplied by the fuel feed rate into a combustion device (in lb of fuel/time), as measured, recorded, and reported to the Administrator by the NO_x authorized account representative and as determined by the Administrator in accordance with subpart H of this part. Heat input does not include the heat derived from preheated combustion air, recirculated flue gases, or exhaust from other sources.

Heat input rate means the amount of heat input (in mmBtu) divided by unit operating time (in hr) or, with regard to a specific fuel, the amount of heat input attributed to the fuel (in mmBtu) divided by the unit operating time (in hr) during which the unit combusts the fuel.

Life-of-the-unit, firm power contractual arrangement means a unit participation power sales agreement under which a utility or industrial customer reserves, or is entitled to receive, a specified amount or percentage of nameplate capacity and associated energy from any specified unit and pays its proportional amount of such unit's total costs, pursuant to a contract:

(1) For the life of the unit;
(2) For a cumulative term of no less than 30 years, including contracts that permit an election for early termination; or

(3) For a period equal to or greater than 25 years or 70 percent of the economic useful life of the unit determined as of the time the unit is built, with option rights to purchase or release some portion of the nameplate capacity and associated energy generated by the unit at the end of the period.

Maximum design heat input means the ability of a unit to combust a stated maximum amount of fuel per hour (in mmBtu/hr) on a steady state basis, as determined by the physical design and physical characteristics of the unit.

Maximum potential hourly heat input means an hourly heat input (in mmBtu/hr) used for reporting purposes when a

unit lacks certified monitors to report heat input. If the unit intends to use appendix D of part 75 of this chapter to report heat input, this value should be calculated, in accordance with part 75 of this chapter, using the maximum fuel flow rate and the maximum gross calorific value. If the unit intends to use a flow monitor and a diluent gas monitor, this value should be reported, in accordance with part 75 of this chapter, using the maximum potential flowrate and either the maximum carbon dioxide concentration (in percent CO₂) or the minimum oxygen concentration (in percent O₂).

Maximum potential NO_x emission rate means the emission rate of nitrogen oxides (in lb/mmBtu) calculated in accordance with section 3 of appendix F of part 75 of this chapter, using the maximum potential concentration of NO_x under section 2 of appendix A of part 75 of this chapter, and either the maximum oxygen concentration (in percent O₂) or the minimum carbon dioxide concentration (in percent CO₂), under all operating conditions of the unit except for unit start up, shutdown, and upsets.

Maximum rated hourly heat input means a unit specific maximum hourly heat input (in mmBtu/hr) which is the higher of the manufacturer's maximum rated hourly heat input or the highest observed hourly heat input.

Monitoring system means any monitoring system that meets the requirements of subpart H of this part, including a continuous emissions monitoring system, an excepted monitoring system, or an alternative monitoring system.

Most stringent State or Federal NO_x emissions limitation means, with regard to a NO_x Budget opt-in unit, the lowest NO_x emissions limitation (in lb/mmBtu) that is applicable to the unit under State or Federal law, regardless of the averaging period to which the emissions limitation applies.

Nameplate capacity means the maximum electrical generating output (in MWe) that a generator can sustain over a specified period of time when not restricted by seasonal or other deratings as measured in accordance with the United States Department of Energy standards.

Non-title V permit means a federally enforceable permit administered by the permitting authority pursuant to the Clean Air Act and regulatory authority under the Clean Air Act, other than title V of the Clean Air Act and part 70 or 71 of this chapter.

NO_x allowance means a limited authorization by the Administrator under the NO_x Budget Trading Program

to emit up to one ton of nitrogen oxides during the control period of the specified year or of any year thereafter, except as provided under § 97.54(f). No provision of the NO_x Budget Trading Program, the NO_x Budget permit application, the NO_x Budget permit, or an exemption under § 97.4(b) or § 97.5 and no provision of law shall be construed to limit the authority of the United States to terminate or limit such authorization, which does not constitute a property right. For purposes of all sections of this part except § 97.41, § 97.42, § 97.43, or § 97.88, "NO_x allowance" also includes an authorization to emit up to one ton of nitrogen oxides during the control period of the specified year or of any year thereafter by the permitting authority or the Administrator in accordance with a State NO_x Budget Trading Program established, and approved and administered by the Administrator, pursuant to § 51.121 of this chapter.

NO_x allowance deduction or deduct NO_x allowances means the permanent withdrawal of NO_x allowances by the Administrator from a NO_x Allowance Tracking System compliance account or overdraft account to account for the number of tons of NO_x emissions from a NO_x Budget unit for a control period, determined in accordance with subparts H and F of this part, or for any other NO_x allowance withdrawal requirement under this part.

NO_x Allowance Tracking System means the system by which the Administrator records allocations, deductions, and transfers of NO_x allowances under the NO_x Budget Trading Program.

NO_x Allowance Tracking System account means an account in the NO_x Allowance Tracking System established by the Administrator for purposes of recording the allocation, holding, transferring, or deducting of NO_x allowances.

NO_x allowance transfer deadline means midnight of November 30 or, if November 30 is not a business day, midnight of the first business day thereafter and is the deadline by which NO_x allowances must be submitted for recordation in a NO_x Budget unit's compliance account, or the overdraft account of the source where the unit is located, in order to meet the unit's NO_x Budget emissions limitation for the control period immediately preceding such deadline.

NO_x allowances held or hold NO_x allowances means the NO_x allowances recorded by the Administrator, or submitted to the Administrator for recordation, in accordance with

subparts F and G of this part, in a NO_x Allowance Tracking System account.

NO_x authorized account representative means, for a NO_x Budget source or NO_x Budget unit at the source, the natural person who is authorized by the owners and operators of the source and all NO_x Budget units at the source, in accordance with subpart B of this part, to represent and legally bind each owner and operator in matters pertaining to the NO_x Budget Trading Program or, for a general account, the natural person who is authorized, in accordance with subpart F of this part, to transfer or otherwise dispose of NO_x allowances held in the general account.

NO_x Budget emissions limitation means, for a NO_x Budget unit, the tonnage equivalent of the NO_x allowances available for compliance deduction for the unit under § 97.54(a), (b), (e), and (f) in a control period adjusted by deductions of such NO_x allowances to account for actual heat input under § 97.42(e) for the control period or to account for excess emissions for a prior control period under § 97.54(d) or to account for withdrawal from the NO_x Budget Trading Program, or for a change in regulatory status, of a NO_x Budget opt-in unit under § 97.86 or § 97.87.

NO_x Budget opt-in permit means a NO_x Budget permit covering a NO_x Budget opt-in unit.

NO_x Budget opt-in unit means a unit that has been elected to become a NO_x Budget unit under the NO_x Budget Trading Program and whose NO_x Budget opt-in permit has been issued and is in effect under subpart I of this part.

NO_x Budget permit means the legally binding and federally enforceable written document, or portion of such document, issued by the permitting authority under this part, including any permit revisions, specifying the NO_x Budget Trading Program requirements applicable to a NO_x Budget source, to each NO_x Budget unit at the NO_x Budget source, and to the owners and operators and the NO_x authorized account representative of the NO_x Budget source and each NO_x Budget unit.

NO_x Budget source means a source that includes one or more NO_x Budget units.

NO_x Budget Trading Program means a multistate nitrogen oxides air pollution control and emission reduction program established by the Administrator in accordance with this part and pursuant to § 52.34 of this chapter, as a means of mitigating the interstate transport of ozone and nitrogen oxides, an ozone precursor.

NO_x Budget unit means a unit that is subject to the NO_x Budget Trading Program emissions limitation under § 97.4(a) or § 97.80.

Operating means, with regard to a unit under §§ 97.22(d)(2) and 97.80, having documented heat input for more than 876 hours in the 6 months immediately preceding the submission of an application for an initial NO_x Budget permit under § 97.83(a). The unit's documented heat input will be determined in accordance with part 75 of this chapter if the unit was otherwise subject to the requirements of part 75 of this chapter during that 6-month period or will be based on the best available data reported to the Administrator for the unit if the unit was not otherwise subject to the requirements of part 75 of this chapter during that 6-month period.

Operator means any person who operates, controls, or supervises a NO_x Budget unit, a NO_x Budget source, or a unit for which an application for a NO_x Budget opt-in permit under § 97.83 is submitted and not denied or withdrawn and shall include, but not be limited to, any holding company, utility system, or plant manager of such a unit or source.

Opt-in means to be elected to become a NO_x Budget unit under the NO_x Budget Trading Program through a final, effective NO_x Budget opt-in permit under subpart I of this part.

Overdraft account means the NO_x Allowance Tracking System account, established by the Administrator under subpart F of this part, for each NO_x Budget source where there are two or more NO_x Budget units.

Owner means any of the following persons:

(1) Any holder of any portion of the legal or equitable title in a NO_x Budget unit or in a unit for which an application for a NO_x Budget opt-in permit under § 97.83 is submitted and not denied or withdrawn; or

(2) Any holder of a leasehold interest in a NO_x Budget unit or in a unit for which an application for a NO_x Budget opt-in permit under § 97.83 is submitted and not denied or withdrawn; or

(3) Any purchaser of power from a NO_x Budget unit or from a unit for which an application for a NO_x Budget opt-in permit under § 97.83 is submitted and not denied or withdrawn under a life-of-the-unit, firm power contractual arrangement. However, unless expressly provided for in a leasehold agreement, owner shall not include a passive lessor, or a person who has an equitable interest through such lessor, whose rental payments are not based, either directly or indirectly, upon the revenues or income from the NO_x Budget unit or the unit for which an application for a

NO_x Budget opt-in permit under § 97.83 is submitted and not denied or withdrawn; or

(4) With respect to any general account, any person who has an ownership interest with respect to the NO_x allowances held in the general account and who is subject to the binding agreement for the NO_x authorized account representative to represent that person's ownership interest with respect to NO_x allowances.

Percent monitor data availability means, for purposes of § 97.43 (a)(1) and § 94.84(b), total unit operating hours for which quality-assured data were recorded under subpart H of this part in a control period, divided by 3,672 hours per control period, and multiplied by 100%.

Permitting authority means the State air pollution control agency, local agency, other State agency, or other agency authorized by the Administrator to issue or revise permits to meet the requirements of the NO_x Budget Trading Program in accordance with subpart C of this part.

Potential electrical output capacity means 33 percent of a unit's maximum design heat input.

Receive or receipt of means, when referring to the permitting authority or the Administrator, to come into possession of a document, information, or correspondence (whether sent in writing or by authorized electronic transmission), as indicated in an official correspondence log, or by a notation made on the document, information, or correspondence, by the permitting authority or the Administrator in the regular course of business.

Recordation, record, or recorded means, with regard to NO_x allowances, the movement of NO_x allowances by the Administrator from one NO_x Allowance Tracking System account to another, for purposes of allocation, transfer, or deduction.

Reference method means any direct test method of sampling and analyzing for an air pollutant as specified in appendix A of part 60 of this chapter.

Serial number means, when referring to NO_x allowances, the unique identification number assigned to each NO_x allowance by the Administrator, under § 97.53(c).

Source means any governmental, institutional, commercial, or industrial structure, installation, plant, building, or facility that emits or has the potential to emit any regulated air pollutant under the Clean Air Act. For purposes of section 502(c) of the Clean Air Act, a "source," including a "source" with multiple units, shall be considered a single "facility."

State means one of the 48 contiguous States or a portion thereof or the District of Columbia that is specified in § 52.34 of this chapter and in which are located units for which the Administrator makes an effective finding under § 52.34 of this chapter.

Submit or serve means to send or transmit a document, information, or correspondence to the person specified in accordance with the applicable regulation:

- (1) In person;
- (2) By United States Postal Service; or
- (3) By other means of dispatch or

transmission and delivery. Compliance with any "submission," "service," or "mailing" deadline shall be determined by the date of dispatch, transmission, or mailing and not the date of receipt.

Title V operating permit means a permit issued under title V of the Clean Air Act and part 70 or part 71 of this chapter.

Title V operating permit regulations means the regulations that the Administrator has approved or issued as meeting the requirements of title V of the Clean Air Act and part 70 or 71 of this chapter.

Ton or tonnage means any "short ton" (i.e., 2,000 pounds). For the purpose of determining compliance with the NO_x Budget emissions limitation, total tons for a control period shall be calculated as the sum of all recorded hourly emissions (or the tonnage equivalent of the recorded hourly emissions rates) in accordance with subpart H of this part, with any remaining fraction of a ton equal to or greater than 0.50 ton deemed to equal one ton and any fraction of a ton less than 0.50 ton deemed to equal zero tons.

Unit means a fossil fuel-fired stationary boiler, combustion turbine, or combined cycle system.

Unit operating day means a calendar day in which a unit combusts any fuel.

Unit operating hour or hour of unit operation means any hour (or fraction of an hour) during which a unit combusts any fuel.

§ 97.3 Measurements, abbreviations, and acronyms.

Measurements, abbreviations, and acronyms used in this part are defined as follows:

Btu-British thermal unit.
CO₂-carbon dioxide.
hr-hour.
kW-kilowatt electrical.
kWh-kilowatt hour.
lb-pounds.
mmBtu-million Btu.
MWe-megawatt electrical.
NO_x-nitrogen oxides.
O₂-oxygen.
ton-2000 pounds.

§ 97.4 Applicability.

(a) The following units in a State (as defined in § 97.2) shall be NO_x Budget units, and any source that includes one or more such units shall be a NO_x Budget source, subject to the requirements of this part:

(1)(i) For units that commenced operation before January 1, 1997, a unit serving during 1995 or 1996 a generator that had a nameplate capacity greater than 25 MWe and produced electricity for sale under a firm contract to the electric grid.

(ii) For units that commenced operation on or after January 1, 1997 and before January 1, 1999, a unit serving during 1997 or 1998 a generator that had a nameplate capacity greater than 25 MWe and produced electricity for sale under a firm contract to the electric grid.

(iii) For units that commence operation on or after January 1, 1999, a unit serving at any time a generator that has a nameplate capacity greater than 25 MWe and produces electricity for sale.

(2)(i) For units that commenced operation before January 1, 1997, a unit that has a maximum design heat input greater than 250 mmBtu/hr and that did not serve during 1995 or 1996 a generator producing electricity for sale under a firm contract to the electric grid.

(ii) For units that commenced operation on or after January 1, 1997 and before January 1, 1999, a unit that has a maximum design heat input greater than 250 mmBtu/hr and that did not serve during 1997 or 1998 a generator producing electricity for sale under a firm contract to the electric grid.

(iii) For units that commence operation on or after January 1, 1999, a unit with a maximum design heat input greater than 250 mmBtu/hr that:

(A) At no time serves a generator producing electricity for sale; or
(B) At any time serves a generator producing electricity for sale, if any such generator has a nameplate capacity of 25 MWe or less and has the potential to use no more than 50 percent of the potential electrical output capacity of the unit.

(b)(1) Notwithstanding paragraph (a) of this section, a unit under paragraph (a)(1) or (a)(2) of this section that has a federally enforceable permit that includes a NO_x emission limitation restricting NO_x emissions during a control period to 25 tons or less and that includes the special provisions in paragraph (b)(4) of this section shall be exempt from the requirements of the NO_x Budget Trading Program, except for the provisions of this paragraph (b), § 97.2, § 97.3, § 97.4(a), § 97.7, and subparts E, F, and G of this part. The

NO_x emission limitation under this paragraph (b)(1) shall restrict NO_x emissions during the control period by limiting unit operating hours. The restriction on unit operating hours shall be calculated by dividing 25 tons by the unit's maximum potential hourly NO_x mass emissions, which shall equal the unit's maximum rated hourly heat input multiplied by the highest default NO_x emission rate otherwise applicable to the unit under § 75.19 of this chapter.

(2) The exemption under paragraph (b)(1) of this section shall become effective as follows:

(i) The exemption shall become effective on the date on which the NO_x emission limitation and the special provisions in the permit under paragraph (b)(1) of this section become final; or

(ii) If the NO_x emission limitation and the special provisions in the permit under paragraph (b)(1) of this section become final during a control period and after the first date on which the unit operates during such control period, then the exemption shall become effective on May 1 of such control period, provided that such NO_x emission limitation and the special provisions apply to the unit as of such first date of operation. If such NO_x emission limitation and special provisions do not apply to the unit as of such first date of operation, then the exemption under paragraph (b)(1) of this section shall become effective on October 1 of the year during which such NO_x emission limitation and the special provisions become final.

(3) The permitting authority that issues a federally enforceable permit under paragraph (b)(1) of this section for a unit under paragraph (a)(1) or (a)(2) of this section will provide the Administrator written notice of the issuance of such permit and, upon request, a copy of the permit.

(4) *Special provisions.* (i) A unit exempt under paragraph (b)(1) of this section shall comply with the restriction on unit operating hours described in paragraph (b)(1) of this section during the control period in each year.

(ii) The Administrator will allocate NO_x allowances to the unit under §§ 97.41(a) through (c) and 97.42(a) through (c). For each control period for which the unit is allocated NO_x allowances under §§ 97.41(a) through (c) and 97.42(a) through (c):

(A) The owners and operators of the unit must specify a general account, in which the Administrator will record the NO_x allowances; and

(B) After the Administrator records a NO_x allowance allocations under §§ 97.41(a) through (c) and 97.42(a)

through (c), the Administrator will deduct, from the general account under paragraph (b)(4)(ii)(A) of this section, NO_x allowances that are allocated for the same or a prior control period as the NO_x allowances allocated to the unit under §§ 97.41(a) through (c) and 97.42(a) through (c) and that equal the NO_x emission limitation (in tons of NO_x) on which the unit's exemption under paragraph (b)(1) of this section is based. The NO_x authorized account representative shall ensure that such general account contains the NO_x allowances necessary for completion of such deduction.

(iii) A unit exempt under this paragraph (b) shall report hours of unit operation during the control period in each year to the permitting authority by November 1 of that year.

(iv) For a period of 5 years from the date the records are created, the owners and operators of a unit exempt under paragraph (b)(1) of this section shall retain, at the source that includes the unit, records demonstrating that the conditions of the federally enforceable permit under paragraph (b)(1) of this section were met, including the restriction on unit operating hours. The 5-year period for keeping records may be extended for cause, at any time prior to the end of the period, in writing by the permitting authority or the Administrator. The owners and operators bear the burden of proof that the unit met the restriction on unit operating hours.

(v) The owners and operators and, to the extent applicable, the NO_x authorized account representative of a unit exempt under paragraph (b)(1) of this section shall comply with the requirements of the NO_x Budget Trading Program concerning all periods for which the exemption is not in effect, even if such requirements arise, or must be complied with, after the exemption takes effect.

(vi) On the earlier of the following dates, a unit exempt under paragraph (b)(1) of this section shall lose its exemption:

(A) The date on which the restriction on unit operating hours described in paragraph (b)(1) of this section is removed from the unit's federally enforceable permit or otherwise becomes no longer applicable to any control period starting in 2003; or

(B) The first date on which the unit fails to comply, or with regard to which the owners and operators fail to meet their burden of proving that the unit is complying, with the restriction on unit operating hours described in paragraph (b)(1) of this section during any control period starting in 2003.

(vii) A unit that loses its exemption in accordance with paragraph (b)(4)(vi) of this section shall be subject to the requirements of this part. For the purpose of applying permitting requirements under subpart C of this part, allocating allowances under subpart E of this part, and applying monitoring requirements under subpart H of this part, the unit shall be treated as commencing operation and, if the unit is covered by paragraph (a)(1) of this section, commencing commercial operation on the date the unit loses its exemption.

(viii) A unit that is exempt under paragraph (b)(1) of this section is not eligible to be a NO_x Budget opt-in unit under subpart I of this part.

§ 97.5 Retired unit exemption.

(a) This section applies to any NO_x Budget unit, other than a NO_x Budget opt-in unit, that is permanently retired.

(b)(1) Any NO_x Budget unit, other than a NO_x Budget opt-in unit, that is permanently retired shall be exempt from the NO_x Budget Trading Program, except for the provisions of this section, § 97.2, § 97.3, § 97.4, § 97.7, and subparts E, F, and G of this part.

(2) The exemption under paragraph (b)(1) of this section shall become effective the day on which the unit is permanently retired. Within 30 days of permanent retirement, the NO_x authorized account representative (authorized in accordance with subpart B of this part) shall submit a statement to the permitting authority otherwise responsible for administering any NO_x Budget permit for the unit. The NO_x authorized account representative shall submit a copy of the statement to the Administrator. The statement shall state, in a format prescribed by the permitting authority, that the unit is permanently retired and will comply with the requirements of paragraph (c) of this section.

(3) After receipt of the notice under paragraph (b)(2) of this section, the permitting authority will amend any permit covering the source at which the unit is located to add the provisions and requirements of the exemption under paragraphs (b)(1) and (c) of this section.

(c) *Special provisions.* (1) A unit exempt under this section shall not emit any nitrogen oxides, starting on the date that the exemption takes effect.

(2) The Administrator will allocate NO_x allowances under subpart E of this part to a unit exempt under this section. For each control period for which the unit is allocated one or more NO_x allowances, the owners and operators of the unit shall specify a general account,

in which the Administrator will record such NO_x allowances.

(3) For a period of 5 years from the date the records are created, the owners and operators of a unit exempt under this section shall retain at the source that includes the unit, records demonstrating that the unit is permanently retired. The 5-year period for keeping records may be extended for cause, at any time prior to the end of the period, in writing by the permitting authority or the Administrator. The owners and operators bear the burden of proof that the unit is permanently retired.

(4) The owners and operators and, to the extent applicable, the NO_x authorized account representative of a unit exempt under this section shall comply with the requirements of the NO_x Budget Trading Program concerning all periods for which the exemption is not in effect, even if such requirements arise, or must be complied with, after the exemption takes effect.

(5)(i) A unit exempt under this section and located at a source that is required, or but for this exemption would be required, to have a title V operating permit shall not resume operation unless the NO_x authorized account representative of the source submits a complete NO_x Budget permit application under § 97.22 for the unit not less than 18 months (or such lesser time provided by the permitting authority) before the later of May 1, 2003 or the date on which the unit resumes operation.

(ii) A unit exempt under this section and located at a source that is required, or but for this exemption would be required, to have a non-title V permit shall not resume operation unless the NO_x authorized account representative of the source submits a complete NO_x Budget permit application under § 97.22 for the unit not less than 18 months (or such lesser time provided by the permitting authority) before the later of May 1, 2003 or the date on which the unit is to first resume operation.

(6) On the earlier of the following dates, a unit exempt under paragraph (b) of this section shall lose its exemption:

(i) The date on which the NO_x authorized account representative submits a NO_x Budget permit application under paragraph (c)(5) of this section; or

(ii) The date on which the NO_x authorized account representative is required under paragraph (c)(5) of this section to submit a NO_x Budget permit application.

(7) For the purpose of applying monitoring requirements under subpart H of this part, a unit that loses its

exemption under this section shall be treated as a unit that commences operation or commercial operation on the first date on which the unit resumes operation.

(8) A unit that is exempt under this section is not eligible to be a NO_x Budget opt-in unit under subpart I of this part.

§ 97.6 Standard requirements.

(a) *Permit requirements.* (1) The NO_x authorized account representative of each NO_x Budget source required to have a federally enforceable permit and each NO_x Budget unit required to have a federally enforceable permit at the source shall:

(i) Submit to the permitting authority a complete NO_x Budget permit application under § 97.22 in accordance with the deadlines specified in § 97.21(b) and (c);

(ii) Submit in a timely manner any supplemental information that the permitting authority determines is necessary in order to review a NO_x Budget permit application and issue or deny a NO_x Budget permit.

(2) The owners and operators of each NO_x Budget source required to have a federally enforceable permit and each NO_x Budget unit required to have a federally enforceable permit at the source shall have a NO_x Budget permit issued by the permitting authority and operate the unit in compliance with such NO_x Budget permit.

(3) The owners and operators of a NO_x Budget source that is not otherwise required to have a federally enforceable permit are not required to submit a NO_x Budget permit application, and to have a NO_x Budget permit, under subpart C of this part for such NO_x Budget source.

(b) *Monitoring requirements.* (1) The owners and operators and, to the extent applicable, the NO_x authorized account representative of each NO_x Budget source and each NO_x Budget unit at the source shall comply with the monitoring requirements of subpart H of this part.

(2) The emissions measurements recorded and reported in accordance with subpart H of this part shall be used to determine compliance by the unit with the NO_x Budget emissions limitation under paragraph (c) of this section.

(c) *Nitrogen oxides requirements.* (1) The owners and operators of each NO_x Budget source and each NO_x Budget unit at the source shall hold NO_x allowances available for compliance deductions under § 97.54(a), (b), (e), or (f) as of the NO_x allowance transfer deadline, in the unit's compliance account and the source's overdraft

account in an amount not less than the total NO_x emissions for the control period from the unit, as determined in accordance with subpart H of this part, plus any amount necessary to account for actual heat input under § 97.42(e) for the control period or to account for excess emissions for a prior control period under § 97.54(d) or to account for withdrawal from the NO_x Budget Trading Program, or a change in regulatory status, of a NO_x Budget opt-in unit under § 97.86 or § 97.87.

(2) Each ton of nitrogen oxides emitted in excess of the NO_x Budget emissions limitation shall constitute a separate violation of this part, the Clean Air Act, and applicable State law.

(3) A NO_x Budget unit shall be subject to the requirements under paragraph (c)(1) of this section starting on the later of May 1, 2003 or the date on which the unit commences operation.

(4) NO_x allowances shall be held in, deducted from, or transferred among NO_x Allowance Tracking System accounts in accordance with subparts E, F, G, and I of this part.

(5) A NO_x allowance shall not be deducted, in order to comply with the requirements under paragraph (c)(1) of this section, for a control period in a year prior to the year for which the NO_x allowance was allocated.

(6) A NO_x allowance allocated by the Administrator under the NO_x Budget Trading Program is a limited authorization to emit one ton of nitrogen oxides in accordance with the NO_x Budget Trading Program. No provision of the NO_x Budget Trading Program, the NO_x Budget permit application, the NO_x Budget permit, or an exemption under § 97.4(b) or § 97.5 and no provision of law shall be construed to limit the authority of the United States to terminate or limit such authorization.

(7) A NO_x allowance allocated by the Administrator under the NO_x Budget Trading Program does not constitute a property right.

(8) Upon recordation by the Administrator under subpart F or G of this part, every allocation, transfer, or deduction of a NO_x allowance to or from a NO_x Budget unit's compliance account or the overdraft account of the source where the unit is located is incorporated automatically in any NO_x Budget permit of the NO_x Budget unit.

(d) *Excess emissions requirements.* (1) The owners and operators of a NO_x Budget unit that has excess emissions in any control period shall:

(i) Surrender the NO_x allowances required for deduction under § 97.54(d)(1); and

(ii) Pay any fine, penalty, or assessment or comply with any other remedy imposed under § 97.54(d)(3).

(e) *Recordkeeping and reporting requirements.* (1) Unless otherwise provided, the owners and operators of the NO_x Budget source and each NO_x Budget unit at the source shall keep on site at the source each of the following documents for a period of 5 years from the date the document is created. This period may be extended for cause, at any time prior to the end of 5 years, in writing by the permitting authority or the Administrator.

(i) The account certificate of representation under § 97.13 for the NO_x authorized account representative for the source and each NO_x Budget unit at the source and all documents that demonstrate the truth of the statements in the account certificate of representation; provided that the certificate and documents shall be retained on site at the source beyond such 5-year period until such documents are superseded because of the submission of a new account certificate of representation under § 97.13 changing the NO_x authorized account representative.

(ii) All emissions monitoring information, in accordance with subpart H of this part; provided that to the extent that subpart H of this part provides for a 3-year period for recordkeeping, the 3-year period shall apply.

(iii) Copies of all reports, compliance certifications, and other submissions and all records made or required under the NO_x Budget Trading Program.

(iv) Copies of all documents used to complete a NO_x Budget permit application and any other submission under the NO_x Budget Trading Program or to demonstrate compliance with the requirements of the NO_x Budget Trading Program.

(2) The NO_x authorized account representative of a NO_x Budget source and each NO_x Budget unit at the source shall submit the reports and compliance certifications required under the NO_x Budget Trading Program, including those under subpart D, H, or I of this part.

(f) *Liability.* (1) Any person who knowingly violates any requirement or prohibition of the NO_x Budget Trading Program, a NO_x Budget permit, or an exemption under § 97.4(b) or § 97.5 shall be subject to enforcement pursuant to applicable State or Federal law.

(2) Any person who knowingly makes a false material statement in any record, submission, or report under the NO_x Budget Trading Program shall be subject

to criminal enforcement pursuant to the applicable State or Federal law.

(3) No permit revision shall excuse any violation of the requirements of the NO_x Budget Trading Program that occurs prior to the date that the revision takes effect.

(4) Each NO_x Budget source and each NO_x Budget unit shall meet the requirements of the NO_x Budget Trading Program.

(5) Any provision of the NO_x Budget Trading Program that applies to a NO_x Budget source or the NO_x authorized account representative of a NO_x Budget source shall also apply to the owners and operators of such source and of the NO_x Budget units at the source.

(6) Any provision of the NO_x Budget Trading Program that applies to a NO_x Budget unit or the NO_x authorized account representative of a NO_x budget unit shall also apply to the owners and operators of such unit. Except with regard to the requirements applicable to units with a common stack under subpart H of this part, the owners and operators and the NO_x authorized account representative of one NO_x Budget unit shall not be liable for any violation by any other NO_x Budget unit of which they are not owners or operators or the NO_x authorized account representative and that is located at a source of which they are not owners or operators or the NO_x authorized account representative.

(g) *Effect on other authorities.* No provision of the NO_x Budget Trading Program, a NO_x Budget permit application, a NO_x Budget permit, or an exemption under § 97.4(b) or § 97.5 shall be construed as exempting or excluding the owners and operators and, to the extent applicable, the NO_x authorized account representative of a NO_x Budget source or NO_x Budget unit from compliance with any other provision of the applicable, approved State implementation plan, a federally enforceable permit, or the Clean Air Act.

§ 97.7 Computation of time.

(a) Unless otherwise stated, any time period scheduled, under the NO_x Budget Trading Program, to begin on the occurrence of an act or event shall begin on the day the act or event occurs.

(b) Unless otherwise stated, any time period scheduled, under the NO_x Budget Trading Program, to begin before the occurrence of an act or event shall be computed so that the period ends the day before the act or event occurs.

(c) Unless otherwise stated, if the final day of any time period, under the NO_x Budget Trading Program, falls on a weekend or a State or Federal holiday,

the time period shall be extended to the next business day.

Subpart B—NO_x Authorized Account Representative for NO_x Budget Sources

§ 97.10 Authorization and responsibilities of NO_x authorized account representative.

(a) Except as provided under § 97.11, each NO_x Budget source, including all NO_x Budget units at the source, shall have one and only one NO_x authorized account representative, with regard to all matters under the NO_x Budget Trading Program concerning the source or any NO_x Budget unit at the source.

(b) The NO_x authorized account representative of the NO_x Budget source shall be selected by an agreement binding on the owners and operators of the source and all NO_x Budget units at the source.

(c) Upon receipt by the Administrator of a complete account certificate of representation under § 97.13, the NO_x authorized account representative of the source shall represent and, by his or her representations, actions, inactions, or submissions, legally bind each owner and operator of the NO_x Budget source represented and each NO_x Budget unit at the source in all matters pertaining to the NO_x Budget Trading Program, not withstanding any agreement between the NO_x authorized account representative and such owners and operators. The owners and operators shall be bound by any decision or order issued to the NO_x authorized account representative by the permitting authority, the Administrator, or a court regarding the source or unit.

(d) No NO_x Budget permit shall be issued, and no NO_x Allowance Tracking System account shall be established for a NO_x Budget unit at a source, until the Administrator has received a complete account certificate of representation under § 97.13 for a NO_x authorized account representative of the source and the NO_x Budget units at the source.

(e) (1) Each submission under the NO_x Budget Trading Program shall be submitted, signed, and certified by the NO_x authorized account representative for each NO_x Budget source on behalf of which the submission is made. Each such submission shall include the following certification statement by the NO_x authorized account representative: "I am authorized to make this submission on behalf of the owners and operators of the NO_x Budget sources or NO_x Budget units for which the submission is made. I certify under penalty of law that I have personally examined, and am familiar with, the statements and information submitted

in this document and all its attachments. Based on my inquiry of those individuals with primary responsibility for obtaining the information, I certify that the statements and information are to the best of my knowledge and belief true, accurate, and complete. I am aware that there are significant penalties for submitting false statements and information or omitting required statements and information, including the possibility of fine or imprisonment."

(2) The permitting authority and the Administrator will accept or act on a submission made on behalf of owner or operators of a NO_x Budget source or a NO_x Budget unit only if the submission has been made, signed, and certified in accordance with paragraph (e)(1) of this section.

§ 97.11 Alternate NO_x authorized account representative.

(a) An account certificate of representation may designate one and only one alternate NO_x authorized account representative who may act on behalf of the NO_x authorized account representative. The agreement by which the alternate NO_x authorized account representative is selected shall include a procedure for authorizing the alternate NO_x authorized account representative to act in lieu of the NO_x authorized account representative.

(b) Upon receipt by the Administrator of a complete account certificate of representation under § 97.13, any representation, action, inaction, or submission by the alternate NO_x authorized account representative shall be deemed to be a representation, action, inaction, or submission by the NO_x authorized account representative.

(c) Except in this section and §§ 97.10(a), 97.12, 97.13, and 97.51, whenever the term "NO_x authorized account representative" is used in this part, the term shall be construed to include the alternate NO_x authorized account representative.

§ 97.12 Changing NO_x authorized account representative and alternate NO_x authorized account representative; changes in owners and operators.

(a) *Changing NO_x authorized account representative.* The NO_x authorized account representative may be changed at any time upon receipt by the Administrator of a superseding complete account certificate of representation under § 97.13. Notwithstanding any such change, all representations, actions, inactions, and submissions by the previous NO_x authorized account representative prior to the time and date when the

Administrator receives the superseding account certificate of representation shall be binding on the new NO_x authorized account representative and the owners and operators of the NO_x Budget source and the NO_x Budget units at the source.

(b) *Changing alternate NO_x authorized account representative.* The alternate NO_x authorized account representative may be changed at any time upon receipt by the Administrator of a superseding complete account certificate of representation under § 97.13. Notwithstanding any such change, all representations, actions, inactions, and submissions by the previous alternate NO_x authorized account representative prior to the time and date when the Administrator receives the superseding account certificate of representation shall be binding on the new alternate NO_x authorized account representative and the owners and operators of the NO_x Budget source and the NO_x Budget units at the source.

(c) *Changes in owners and operators.* (1) In the event a new owner or operator of a NO_x Budget source or a NO_x Budget unit is not included in the list of owners and operators submitted in the account certificate of representation under § 97.13, such new owner or operator shall be deemed to be subject to and bound by the account certificate of representation, the representations, actions, inactions, and submissions of the NO_x authorized account representative and any alternate NO_x authorized account representative of the source or unit, and the decisions, orders, actions, and inactions of the permitting authority or the Administrator, as if the new owner or operator were included in such list.

(2) Within 30 days following any change in the owners and operators of a NO_x Budget source or a NO_x Budget unit, including the addition of a new owner or operator, the NO_x authorized account representative or alternate NO_x authorized account representative shall submit a revision to the account certificate of representation under § 97.13 amending the list of owners and operators to include the change.

§ 97.13 Account certificate of representation.

(a) A complete account certificate of representation for a NO_x authorized account representative or an alternate NO_x authorized account representative shall include the following elements in a format prescribed by the Administrator:

(1) Identification of the NO_x Budget source and each NO_x Budget unit at the

source for which the account certificate of representation is submitted.

(2) The name, address, e-mail address (if any), telephone number, and facsimile transmission number (if any) of the NO_x authorized account representative and any alternate NO_x authorized account representative.

(3) A list of the owners and operators of the NO_x Budget source and of each NO_x Budget unit at the source.

(4) The following certification statement by the NO_x authorized account representative and any alternate NO_x authorized account representative: "I certify that I was selected as the NO_x authorized account representative or alternate NO_x authorized account representative, as applicable, by an agreement binding on the owners and operators of the NO_x Budget source and each NO_x Budget unit at the source. I certify that I have all the necessary authority to carry out my duties and responsibilities under the NO_x Budget Trading Program on behalf of the owners and operators of the NO_x Budget source and of each NO_x Budget unit at the source and that each such owner and operator shall be fully bound by my representations, actions, inactions, or submissions and by any decision or order issued to me by the permitting authority, the Administrator, or a court regarding the source or unit."

(5) The signature of the NO_x authorized account representative and any alternate NO_x authorized account representative and the dates signed.

(b) Unless otherwise required by the permitting authority or the Administrator, documents of agreement referred to in the account certificate of representation shall not be submitted to the permitting authority or the Administrator. Neither the permitting authority nor the Administrator shall be under any obligation to review or evaluate the sufficiency of such documents, if submitted.

§ 97.14 Objections concerning NO_x authorized account representative.

(a) Once a complete account certificate of representation under § 97.13 has been submitted and received, the permitting authority and the Administrator will rely on the account certificate of representation unless and until a superseding complete account certificate of representation under § 97.13 is received by the Administrator.

(b) Except as provided in § 97.12 (a) or (b), no objection or other communication submitted to the permitting authority or the Administrator concerning the authorization, or any representation,

action, inaction, or submission of the NO_x authorized account representative shall affect any representation, action, inaction, or submission of the NO_x authorized account representative or the finality of any decision or order by the permitting authority or the Administrator under the NO_x Budget Trading Program.

(c) Neither the permitting authority nor the Administrator will adjudicate any private legal dispute concerning the authorization or any representation, action, inaction, or submission of any NO_x authorized account representative, including private legal disputes concerning the proceeds of NO_x allowance transfers.

Subpart C—Permits

§ 97.20 General NO_x Budget Trading Program permit requirements.

(a) For each NO_x Budget source required to have a federally enforceable permit, such permit shall include a NO_x Budget permit administered by the permitting authority for the federally enforceable permit.

(1) For NO_x Budget sources required to have a title V operating permit, the NO_x Budget portion of the title V permit shall be administered in accordance with the permitting authority's title V operating permits regulations promulgated under part 70 or 71 of this chapter, except as provided otherwise by this subpart or subpart I of this part.

(2) For NO_x Budget sources required to have a non-title V permit, the NO_x Budget portion of the non-title V permit shall be administered in accordance with the permitting authority's regulations promulgated to administer non-title V permits, except as provided otherwise by this subpart or subpart I of this part.

(b) Each NO_x Budget permit shall contain all applicable NO_x Budget Trading Program requirements and shall be a complete and segregable portion of the permit under paragraph (a) of this section.

§ 97.21 Submission of NO_x Budget permit applications.

(a) *Duty to apply.* The NO_x authorized account representative of any NO_x Budget source required to have a federally enforceable permit shall submit to the permitting authority a complete NO_x Budget permit application under § 97.22 by the applicable deadline in paragraph (b) of this section.

(b)(1) For NO_x Budget sources required to have a title V operating permit:

(i) For any source, with one or more NO_x Budget units under § 97.4(a) that

commence operation before January 1, 2000, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 covering such NO_x Budget units to the permitting authority at least 18 months (or such lesser time provided by the permitting authority) before May 1, 2003.

(ii) For any source, with any NO_x Budget unit under § 97.4(a) that commences operation on or after January 1, 2000, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 covering such NO_x Budget unit to the permitting authority at least 18 months (or such lesser time provided by the permitting authority) before the later of May 1, 2003 or the date on which the NO_x Budget unit commences operation.

(2) For NO_x Budget sources required to have a non-title V permit:

(i) For any source, with one or more NO_x Budget units under § 97.4(a) that commence operation before January 1, 2000, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 covering such NO_x Budget units to the permitting authority at least 18 months (or such lesser time provided by the permitting authority) before May 1, 2003.

(ii) For any source, with any NO_x Budget unit under § 97.4(a) that commences operation on or after January 1, 2000, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 covering such NO_x Budget unit to the permitting authority at least 18 months (or such lesser time provided by the permitting authority) before the later of May 1, 2003 or the date on which the NO_x Budget unit commences operation.

(c) *Duty to reapply.* (1) For a NO_x Budget source required to have a title V operating permit, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 for the NO_x Budget source covering the NO_x Budget units at the source in accordance with the permitting authority's title V operating permits regulations addressing operating permit renewal.

(2) For a NO_x Budget source required to have a non-title V permit, the NO_x authorized account representative shall submit a complete NO_x Budget permit application under § 97.22 for the NO_x Budget source covering the NO_x Budget units at the source in accordance with the permitting authority's non-title V permits regulations addressing permit renewal.

§ 97.22 Information requirements for NO_x Budget permit applications.

A complete NO_x Budget permit application shall include the following elements concerning the NO_x Budget source for which the application is submitted, in a format prescribed by the permitting authority:

(a) Identification of the NO_x Budget source, including plant name and the ORIS (Office of Regulatory Information Systems) or facility code assigned to the source by the Energy Information Administration, if applicable;

(b) Identification of each NO_x Budget unit at the NO_x Budget source and whether it is a NO_x Budget unit under § 97.4(a) or under subpart I of this part;

(c) The standard requirements under § 97.6; and

(d) For each NO_x Budget opt-in unit at the NO_x Budget source, the following certification statements by the NO_x authorized account representative:

(1) "I certify that each unit for which this permit application is submitted under subpart I of this part is not a NO_x Budget unit under 40 CFR 97.4(a) and is not covered by an exemption under 40 CFR 97.4(b) or 97.5 that is in effect."

(2) If the application is for an initial NO_x Budget opt-in permit, "I certify that each unit for which this permit application is submitted under subpart I of 40 CFR part 97 is operating, as that term is defined under 40 CFR 97.2."

§ 97.23 NO_x Budget permit contents.

(a) Each NO_x Budget permit will contain, in a format prescribed by the permitting authority, all elements required for a complete NO_x Budget permit application under § 97.22.

(b) Each NO_x Budget permit is deemed to incorporate automatically the definitions of terms under § 97.2 and, upon recordation by the Administrator under subpart F or G of this part, every allocation, transfer, or deduction of a NO_x allowance to or from the compliance accounts of the NO_x Budget units covered by the permit or the overdraft account of the NO_x Budget source covered by the permit.

§ 97.24 NO_x Budget permit revisions.

(a) For a NO_x Budget source with a title V operating permit, except as provided in § 97.23(b), the permitting authority will revise the NO_x Budget permit, as necessary, in accordance with the permitting authority's title V operating permits regulations addressing permit revisions.

(b) For a NO_x Budget source with a non-title V permit, except as provided in § 97.23(b), the permitting authority will revise the NO_x Budget permit, as necessary, in accordance with the

permitting authority's non-title V permits regulations addressing permit revisions.

Subpart D—Compliance Certification

§ 97.30 Compliance certification report.

(a) *Applicability and deadline.* For each control period in which one or more NO_x Budget units at a source are subject to the NO_x Budget emissions limitation, the NO_x authorized account representative of the source shall submit to the permitting authority and the Administrator by November 30 of that year, a compliance certification report for each source covering all such units.

(b) *Contents of report.* The NO_x authorized account representative shall include in the compliance certification report under paragraph (a) of this section the following elements, in a format prescribed by the Administrator, concerning each unit at the source and subject to the NO_x Budget emissions limitation for the control period covered by the report:

(1) Identification of each NO_x Budget unit;

(2) At the NO_x authorized account representative's option, the serial numbers of the NO_x allowances that are to be deducted from each unit's compliance account under § 97.54 for the control period;

(3) At the NO_x authorized account representative's option, for units sharing a common stack and having NO_x emissions that are not monitored separately or apportioned in accordance with subpart H of this part, the percentage of allowances that is to be deducted from each unit's compliance account under § 97.54(e); and

(4) The compliance certification under paragraph (c) of this section.

(c) *Compliance certification.* In the compliance certification report under paragraph (a) of this section, the NO_x authorized account representative shall certify, based on reasonable inquiry of those persons with primary responsibility for operating the source and the NO_x Budget units at the source in compliance with the NO_x Budget Trading Program, whether each NO_x Budget unit for which the compliance certification is submitted was operated during the calendar year covered by the report in compliance with the requirements of the NO_x Budget Trading Program applicable to the unit, including:

(1) Whether the unit was operated in compliance with the NO_x Budget emissions limitation;

(2) Whether the monitoring plan that governs the unit has been maintained to reflect the actual operation and

monitoring of the unit and contains all information necessary to attribute NO_x emissions to the unit, in accordance with subpart H of this part;

(3) Whether all the NO_x emissions from the unit, or a group of units (including the unit) using a common stack, were monitored or accounted for through the missing data procedures and reported in the quarterly monitoring reports, including whether conditional data were reported in the quarterly reports in accordance with subpart H of this part. If conditional data were reported, the owner or operator shall indicate whether the status of all conditional data has been resolved and all necessary quarterly report resubmissions have been made;

(4) Whether the facts that form the basis for certification under subpart H of this part of each monitor at the unit or a group of units (including the unit) using a common stack, or for using an excepted monitoring method or alternative monitoring method approved under subpart H of this part, if any, have changed; and

(5) If a change is required to be reported under paragraph (c)(4) of this section, specify the nature of the change, the reason for the change, when the change occurred, and how the unit's compliance status was determined subsequent to the change, including what method was used to determine emissions when a change mandated the need for monitor recertification.

§ 97.31 Administrator's action on compliance certifications.

(a) The Administrator may review and conduct independent audits concerning any compliance certification or any other submission under the NO_x Budget Trading Program and make appropriate adjustments of the information in the compliance certifications or other submissions.

(b) The Administrator may deduct NO_x allowances from or transfer NO_x allowances to a unit's compliance account or a source's overdraft account based on the information in the compliance certifications or other submissions, as adjusted under paragraph (a) of this section.

Subpart E—NO_x Allowance Allocations

§ 97.40 Trading program budget.

In accordance with §§ 97.41 and 97.42, the Administrator will allocate to the NO_x Budget units under § 97.4(a) in a State, for each control period specified in § 97.41, a total number of NO_x allowances equal to the trading program budget for the State, as set forth in appendix C of this part, less the sum of

the NO_x emission limitations (in tons) for each unit exempt under § 97.4(b) that is not allocated any NO_x allowances under § 97.42 (b) or (c) for the control period and whose NO_x emission limitation (in tons of NO_x) is not included in the amount calculated under § 97.42(d)(5)(ii)(B) for the control period.

§ 97.41 Timing requirements for NO_x allowance allocations.

(a) The NO_x allowance allocations, determined in accordance with §§ 97.42(a) through (c), for the control periods in 2003 through 2007 are set forth in appendices A and B of this part.

(b) By April 1, 2005, the Administrator will determine by order the NO_x allowance allocations, in accordance with §§ 97.42 (a) through (c), for the control periods in 2008 through 2012.

(c) By April 1, 2010, by April 1 of 2015, and thereafter by April 1 of the year that is 5 years after the last year for which NO_x allowances allocations are determined, the Administrator will determine by order the NO_x allowance allocations, in accordance with §§ 97.42(a) through (c), for the control periods in the years that are 3, 4, 5, 6, and 7 years after the applicable deadline under this paragraph (c).

(d) By April 1, 2003 and April 1 of each year thereafter, the Administrator will determine by order the NO_x allowance allocations, in accordance with § 97.42(d), for the control period in the year of the applicable deadline under this paragraph (d).

(e) The Administrator will make available to the public each determination of NO_x allowance allocations under paragraph (b), (c), or (d) of this section and will provide an opportunity for submission of objections to the determination. Objections shall be limited to addressing whether the determination is in accordance with § 97.42. Based on any such objections, the Administrator will adjust each determination to the extent necessary to ensure that it is in accordance with § 97.42.

§ 97.42 NO_x allowance allocations.

(a)(1) The heat input (in mmBtu) used for calculating NO_x allowance allocations for each NO_x Budget unit under § 97.4(a) will be:

(i) For a NO_x allowance allocation under § 97.41(a):

(A) For a unit under § 97.4(a)(1), the average of the two highest amounts of the unit's heat input for the control periods in 1995 through 1998; or

(B) For a unit under § 97.4(a)(2), the control period in 1995 or, if the

Administrator determines that reasonably reliable data are available for control periods in 1996 through 1998, the average of the two highest amounts of the unit's heat input for the control periods in 1995 through 1998.

(ii) For a NO_x allowance allocation under § 97.41(b), the unit's average heat input for the control periods in 2002 through 2004.

(iii) For a NO_x allowance allocation under § 97.41(c), the unit's average heat input for the control period in the years that are 4, 5, 6, 7, and 8 years before the first year for which the allocation is being calculated.

(2) The unit's heat input for the control period in each year specified under paragraph (a)(1) of this section will be determined in accordance with part 75 of this chapter. Notwithstanding the first sentence of this paragraph (a)(2):

(i) For a NO_x allowance allocation under § 97.41(a), such heat input will be determined using the best available data reported to the Administrator for the unit if the unit was not otherwise subject to the requirements of part 75 of this chapter for the control period.

(ii) For a NO_x allowance allocation under § 97.41(b) or (c) for a unit exempt under § 97.4(b), such heat input shall be treated as zero if the unit is exempt under § 97.4(b) during the control period.

(b) For each group of five control periods specified in § 97.41(a) through (c), the Administrator will allocate to all NO_x Budget units in a given State under § 97.4(a)(1) that commenced operation before May 1, 1997 for allocations under § 97.41(a), May 1, 2003 for allocations under § 97.41(b), and May 1 of the year 5 years before the first year for which the allocation under § 97.41(c) is being calculated, a total number of NO_x allowances equal to 95 percent of the portion of the State's trading program budget under § 97.40 covering such units. The Administrator will allocate in accordance with the following procedures:

(1) The Administrator will allocate NO_x allowances to each NO_x Budget unit under § 97.4(a)(1) for each control period in an amount equaling 0.15 lb/mmBtu multiplied by the heat input determined under paragraph (a) of this section, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate.

(2) If the initial total number of NO_x allowances allocated to all NO_x Budget units under § 97.4(a)(1) in the State for a control period under paragraph (b)(1) of this section does not equal 95 percent of the portion of the State's trading program budget under § 97.40 covering

such units, the Administrator will adjust the total number of NO_x allowances allocated to all such NO_x Budget units for the control period under paragraph (b)(1) of this section so that the total number of NO_x allowances allocated equals 95 percent of such portion of the State's trading program budget. This adjustment will be made by: multiplying each unit's allocation by 95 percent of such portion of the State's trading program budget; dividing by the total number of NO_x allowances allocated under paragraph (b)(1) of this section for the control period; and rounding to the nearest whole number of NO_x allowances as appropriate.

(c) For each group of five control periods specified in § 97.41(a) through (c), the Administrator will allocate to all NO_x Budget units in a given State under § 97.4(a)(2) that commenced operation before May 1, 1997 for allocations under § 97.41(a), May 1, 2003 for allocations under § 97.41(b), and May 1 of the year 5 years before the first year for which the allocation under § 97.41(c) is being calculated, a total number of NO_x allowances equal to 95 percent of the portion of the State's trading program budget under § 97.40 covering such units. The Administrator will allocate in accordance with the following procedures:

(1) The Administrator will allocate NO_x allowances to each NO_x Budget unit under § 97.4(a)(2) for each control period in an amount equaling 0.17 lb/mmBtu multiplied by the heat input determined under paragraph (a) of this section, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate.

(2) If the initial total number of NO_x allowances allocated to all NO_x Budget units under § 97.4(a)(2) in the State for a control period under paragraph (c)(1) of this section does not equal 95 percent of the portion of the State's trading program budget under § 97.40 covering such units, the Administrator will adjust the total number of NO_x allowances allocated to all such NO_x Budget units for the control period under paragraph (a)(1) of this section so that the total number of NO_x allowances allocated equals 95 percent of the portion of the State's trading program budget under § 97.40 covering such units. This adjustment will be made by: multiplying each unit's allocation by 95 percent of the portion of the State's trading program budget under § 97.40 covering such units; dividing by the total number of NO_x allowances allocated under paragraph (c)(1) of this section for the control period; and rounding to the nearest whole number of NO_x allowances as appropriate.

(d) For each control period specified in § 97.41(d), the Administrator will allocate NO_x allowances to NO_x Budget units in a given State under § 97.4(a) (except for units exempt under § 97.4(b)) that commence operation, or are projected to commence operation, on or after: May 1, 1997 (for control periods under § 97.41(a)); May 1, 2003, (for control periods under § 97.41(b)); and May 1 of the year 5 years before the beginning of the group of 5 years that includes the control period (for control periods under § 97.41(c)). The Administrator will make the allocations under this paragraph (d) in accordance with the following procedures:

(1) The Administrator will establish one allocation set-aside for each control period. Each allocation set-aside will be allocated NO_x allowances equal to 5 percent of the tons of NO_x emission in the State's trading program budget under § 97.40, rounded to the nearest whole number of NO_x allowances as appropriate.

(2) The NO_x authorized account representative of a NO_x Budget unit specified in this paragraph (d) may submit to the Administrator a request, in a format specified by the Administrator, to be allocated NO_x allowances for the control period. The NO_x allowance allocation request must be received by the Administrator on or after the date on which the State permitting authority issues a permit to construct the unit and by January 1 before the control period for which NO_x allowances are requested.

(3) In a NO_x allowance allocation request under paragraph (d)(2) of this section, the NO_x authorized account representative for a NO_x Budget unit under § 97.4(a)(1) may request for the control period NO_x allowances in an amount that does not exceed the lesser of:

(i) 0.15 lb/mmBtu multiplied by the unit's maximum design heat input, multiplied by the lesser of 3,672 hours or the number of hours remaining in the control period starting with the day in the control period on which the unit commences operation or is projected to commence operation, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate; or

(ii) The unit's most stringent State or Federal NO_x emission limitation multiplied by the unit's maximum design heat input, multiplied by the lesser of 3,672 hours or the number of hours remaining in the control period starting with the day in the control period on which the unit commences operation or is projected to commence operation, divided by 2,000 lb/ton, and

rounded to the nearest whole number of NO_x allowances as appropriate.

(4) In a NO_x allowance allocation request under paragraph (d)(2) of this section, the NO_x authorized account representative for a NO_x Budget unit under § 97.4(a)(2) may request for a control period NO_x allowances in an amount that does not exceed the lesser of:

(i) 0.17 lb/mmBtu multiplied by the unit's maximum design heat input, multiplied by the lesser of 3,672 hours or the number of hours remaining in the control period starting with the day in the control period on which the unit commences operation or is projected to commence operation, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate; or

(ii) The unit's most stringent State or Federal NO_x emission limitation multiplied by the unit's maximum design heat input, multiplied by the lesser of 3,672 hours or the number of hours remaining in the control period starting with the day in the control period on which the unit commences operation or is projected to commence operation, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate.

(5) The Administrator will review each NO_x allowance allocation request submitted in accordance with paragraph (d)(2) of this section and will allocate NO_x allowances pursuant to such request as follows:

(i) Upon receipt of the NO_x allowance allocation request, the Administrator will make any necessary adjustments to the request to ensure that the requirements of paragraphs (d) introductory text, (d)(2), (d)(3), and (d)(4) are met.

(ii) The Administrator will determine the following amounts:

(A) The sum of the NO_x allowances requested (as adjusted under paragraph (d)(5)(i) of this section) in all NO_x allowance allocation requests under paragraph (d)(2) of this section for the control period; and

(B) For units exempt under § 97.4(b) in the State that commenced operation, or are projected to commence operation, on or after May 1, 1997 (for control periods under § 97.41(a)); May 1, 2003, (for control periods under § 97.41(b)); and May 1 of the year 5 years before beginning of the group of 5 years that includes the control period (for control periods under § 97.41(c)), the sum of the NO_x emission limitations (in tons of NO_x) on which each unit's exemption under § 97.4(b) is based.

(iii) If the number of NO_x allowances in the allocation set-aside for the control

period less the amount under paragraph (d)(5)(ii)(B) of this section is not less than the amount determined under paragraph (d)(5)(ii)(A) of this section, the Administrator will allocate the amount of the NO_x allowances requested (as adjusted under paragraph (d)(5)(i) of this section) to the NO_x Budget unit for which the allocation request was submitted.

(iv) If the number of NO_x allowances in the allocation set-aside for the control period less the amount under paragraph (d)(5)(ii)(B) of this section is less than the amount determined under paragraph (d)(5)(ii)(A) of this section, the Administrator will allocate, to the NO_x Budget unit for which the allocation request was submitted, the amount of NO_x allowances requested (as adjusted under paragraph (d)(5)(i) of this section) multiplied by the number of NO_x allowances in the allocation set-aside for the control period less the amount determined under paragraph (d)(5)(ii)(B) of this section, divided by the amount determined under paragraph (d)(5)(ii)(A) of this section, and rounded to the nearest whole number of NO_x allowances as appropriate.

(e)(1) For a NO_x Budget unit that is allocated NO_x allowances under paragraph (d) of this section for a control period, the Administrator will deduct NO_x allowances under § 97.54(b), (e), or (f) to account for the actual heat input of the unit during the control period. The Administrator will calculate the number of NO_x allowances to be deducted to account for the unit's actual heat input using the following formulas and rounding to the nearest whole number of NO_x allowance as appropriate, provided that the number of NO_x allowances to be deducted shall be zero if the number calculated is less than zero:

NO_x allowances deducted for actual heat input for a unit under § 97.4(a)(1) = Unit's NO_x allowances allocated for control period – (Unit's actual control period heat input × 0.15 lb/mmBtu × 2,000 lb/ton); and NO_x allowances deducted for actual heat input for a unit under § 97.4(a)(2) = Unit's NO_x allowances allocated for control period – (Unit's actual control period heat input × 0.17 lb/mmBtu × 2,000 lb/ton)

Where:

"Unit's NO_x allowances allocated for control period" is the number of NO_x allowances allocated to the unit for the control period under paragraph (d) of this section; and

"Unit's actual control period heat input" is the heat input (in mmBtu) of the unit during the control period.

(2) The Administrator will transfer any NO_x allowances deducted under paragraph (c)(1) of this section to the allocation set-aside for the control period for which they were allocated.

(f) After making the deductions for compliance under § 97.54(b), (e), or (f) for a control period, the Administrator will determine whether any NO_x allowances remain in the allocation set-aside for the control period. The Administrator will allocate any such NO_x allowances to the NO_x Budget units in the State using the following formula and rounding to the nearest whole number of NO_x allowances as appropriate:

Unit's share of NO_x allowances remaining in allocation set-aside =
$$\frac{\text{Total NO}_x \text{ allowances remaining in allocation set-aside} \times (\text{Unit's NO}_x \text{ allowance allocation} \div \text{State's trading program budget excluding allocation set-aside})}{\text{Total NO}_x \text{ allowances remaining in allocation set-aside}}$$

Where:

"Total NO_x allowances remaining in allocation set-aside" is the total number of NO_x allowances remaining in the allocation set-aside for the control period;

"Unit's NO_x allowance allocation" is the number of NO_x allowances allocated under paragraph (b) or (c) of this section to the unit for the control period to which the allocation set-aside applies; and

"State's trading program budget excluding allocation set-aside" is the State's trading program budget under § 97.40 for the control period to which the allocation set-aside applies multiplied by 95 percent, rounded to the nearest whole number of NO_x allowances as appropriate.

(g) If the Administrator determines that NO_x allowances were allocated under paragraph (b), (c), or (d) of this section for a control period and the recipient of the allocation is not actually a NO_x Budget unit under § 97.4(a), the Administrator will notify the NO_x authorized account representative and then will act in accordance with the following procedures:

(1)(i) The Administrator will not record such NO_x allowances for the control period in an account under § 97.53;

(ii) If the Administrator already recorded such NO_x allowances for the control period in an account under § 97.53 and if the Administrator makes such determination before making all deductions pursuant to § 97.54 (except deductions pursuant to § 97.54(d)(2)) for the control period, then the Administrator will deduct from the account NO_x allowances equal in number to and allocated for the same or a prior control period as the NO_x allowances allocated to such recipient for the control period. The NO_x

authorized account representative shall ensure that the account contains the NO_x allowances necessary for completion of such deduction. If account does not contain the necessary NO_x allowances, the Administrator will deduct the required number of NO_x allowances, regardless of the control period for which they were allocated, whenever NO_x allowances are recorded in the account; or

(iii) If the Administrator already recorded such NO_x allowances for the control period in an account under § 97.53 and if the Administrator makes such determination after making all deductions pursuant to § 97.54 (except deductions pursuant to § 97.54(d)(2)) for the control period, then the Administrator will apply paragraph (g)(1)(ii) of this section to any subsequent control period for which NO_x allowances were allocated to such recipient.

(2) The Administrator will transfer the NO_x allowances that are not recorded, or that are deducted, pursuant to paragraph (g)(1) of this section to an allocation set-aside for the State in which such source is located.

§ 97.43 Compliance Supplement Pool.

(a) For any NO_x Budget unit that reduces its NO_x emission rate in the 2001 or 2002 control period, the owners and operators may request early reduction credits in accordance with the following requirements:

(1) Each NO_x Budget unit for which the owners and operators intend to request, or request, any early reduction credits in accordance with paragraph (a)(4) of this section shall monitor and report NO_x emissions in accordance with subpart H of this part starting in the 2000 control period and for each control period for which such early reduction credits are requested. The unit's percent monitor data availability shall not be less than 90 percent during the 2000 control period, and the unit must be in full compliance with any applicable State or Federal NO_x emission control requirements during 2000 through 2002.

(2) NO_x emission rate and heat input under paragraphs (a)(3) and (4) of this section shall be determined in accordance with subpart H of this part.

(3) Each NO_x Budget unit for which the owners and operators intend to request, or request, any early reduction credits under paragraph (a)(4) of this section shall reduce its NO_x emission rate, for each control period for which early reduction credits are requested, to less than both 0.25 lb/mmBtu and 80 percent of the unit's NO_x emission rate in the 2000 control period.

(4) The NO_x authorized account representative of a NO_x Budget unit that meets the requirements of paragraphs (a) (1) and (3) of this section may submit to the Administrator a request for early reduction credits for the unit based on NO_x emission rate reductions made by the unit in the control period for 2001 or 2002.

(i) In the early reduction credit request, the NO_x authorized account may request early reduction credits for such control period in an amount equal to the unit's heat input for such control period multiplied by the difference between 0.25 lb/mmBtu and the unit's NO_x emission rate for such control period, divided by 2000 lb/ton, and rounded to the nearest whole number of tons.

(ii) The early reduction credit request must be submitted, in a format specified by the Administrator, by February 1, 2003.

(b) For any NO_x Budget unit that is subject to the Ozone Transport Commission NO_x Budget Program under title I of the Clean Air Act, the owners and operators may request early reduction credits in accordance with the following requirements:

(1) The NO_x authorized account representative of the unit may submit to the Administrator a request for early reduction credits in an amount equal to the amount of banked allowances under the Ozone Transport Commission NO_x Budget Program that were allocated for the control period in 2001 or 2002 and are held by the unit, in accordance with the Ozone Transport Commission NO_x Budget Program, as of the date of submission of the request. During the entire control period in 2001 or 2002 for which the allowances were allocated, the unit must have monitored and reported NO_x emissions in accordance with part 75 (except for subpart H) of this chapter and the Guidance for Implementation of Emission Monitoring Requirements for the NO_x Budget Program (January 28, 1997).

(2) The early reduction credit request under paragraph (b)(1) must be submitted, in a format specified by the Administrator, by February 1, 2003.

(3) The NO_x authorized account representative of the unit shall not submit a request for early reduction credits under paragraph (b)(1) of this section for banked allowances under the Ozone Transport Commission NO_x Budget Program that were allocated for any control period during which the unit made NO_x emission reductions for which he or she submits a request for early reduction credits under paragraph (a) of this section for the unit.

(c) The Administrator will review each early reduction credit request submitted in accordance with paragraph (a) or (b) of this section and will allocate NO_x allowances to NO_x Budget units in a given State and covered by such request as follows:

(1) Upon receipt of each early reduction credit request, the Administrator will make any necessary adjustments to the request to ensure that the amount of the early reduction credits requested meets the requirements of paragraph (a) or (b) of this section.

(2) After February 1, 2003, the Administrator will make available to the public a statement of the total number of early reduction credits requested by NO_x Budget units in the State.

(3) If the State's compliance supplement pool set forth in appendix D of this part has a number of NO_x allowances not less than the amount of early reduction credits in all early reduction credit requests under paragraph (a) or (b) of this section for 2001 and 2002 (as adjusted under paragraph (c)(1) of this section) submitted by February 1, 2003, the Administrator will allocate to each NO_x Budget unit covered by such requests one allowance for each early reduction credit requested (as adjusted under paragraph (c)(1) of this section).

(4) If the State's compliance supplement pool set forth in appendix D of this part has a smaller number of NO_x allowances than the amount of early reduction credits in all early reduction credit requests under paragraph (a) or (b) of this section for 2001 and 2002 (as adjusted under paragraph (c)(1) of this section) submitted by February 1, 2003, the Administrator will allocate NO_x allowances to each NO_x Budget unit covered by such requests according to the following formula and rounding to the nearest whole number of NO_x allowances as appropriate:

Unit's allocation for early reduction credits = Unit's adjusted early reduction credits × (State's compliance supplement pool ÷ Total adjusted early reduction credits for all units)

Where:

"Unit's allocation for early reduction credits" is the number of NO_x allowances allocated to the unit for early reduction credits.

"Unit's adjusted early reduction credits" is the amount of early reduction credits requested for the unit for 2001 and 2002 in early reduction credit requests under paragraph (a) or (b) of this section, as adjusted under paragraph (c)(1) of this section.

"State's compliance supplement pool" is the number of NO_x allowances in the State's compliance supplement pool set forth in appendix D of this part.

"Total adjusted early reduction credits for all units" is the amount of early reduction credits requested for all units for 2001 and 2002 in early reduction credit requests under paragraph (a) or (b) of this section, as adjusted under paragraph (c)(1) of this section.

(5) By April 1, 2003, the Administrator will determine by order the allocations under paragraph (c)(3) or (4) of this section. The Administrator will make available to the public each determination of NO_x allowance allocations and will provide an opportunity for submission of objections to the determination. Objections shall be limited to addressing whether the determination is in accordance with paragraph (c)(1), (3), or (4) of this section. Based on any such objections, the Administrator will adjust each determination to the extent necessary to ensure that it is in accordance with paragraph (c)(1), (3), or (4) of this section.

(6) By May 1, 2003, the Administrator will record the allocations under paragraph (c)(3) or (4) of this section.

(7) NO_x allowances recorded under paragraph (c)(6) of this section may be deducted for compliance under § 97.54 for the control period in 2003 or 2004. Notwithstanding § 97.55(a), the Administrator will deduct as retired any NO_x allowance that is recorded under paragraph (c)(6) of this section and that is not deducted for compliance under § 97.54 for the control period in 2003 or 2004.

(8) NO_x allowances recorded under paragraph (c)(6) of this section are treated as banked allowances in 2004 for the purposes of §§ 97.54(f) and 97.55(b).

Subpart F—NO_x Allowance Tracking System

§ 97.50 NO_x Allowance Tracking System accounts.

(a) *Nature and function of compliance accounts and overdraft accounts.*

Consistent with § 97.51(a), the Administrator will establish one compliance account for each NO_x Budget unit and one overdraft account for each source with two or more NO_x Budget units. Allocations of NO_x allowances pursuant to subpart E of this part or § 97.88, and deductions or transfers of NO_x allowances pursuant to § 97.31, § 96.54, § 96.56, subpart G of this part, or subpart I of this part will be recorded in compliance accounts or overdraft accounts in accordance with this subpart.

(b) *Nature and function of general accounts.* Consistent with § 97.51(b), the Administrator will establish, upon request, a general account for any person. Allocations of NO_x allowances pursuant to § 97.4(b)(4)(ii) or § 97.5(c)(2) and transfers of allowances pursuant to subpart G of this part will be recorded in general accounts in accordance with this subpart.

§ 97.51 Establishment of accounts.

(a) *Compliance accounts and overdraft accounts.* Upon receipt of a complete account certificate of representation under § 97.13, the Administrator will establish:

(1) A compliance account for each NO_x Budget unit for which the account certificate of representation was submitted; and

(2) An overdraft account for each source for which the account certificate of representation was submitted and that has two or more NO_x Budget units.

(b) *General accounts.*—(1)

Application for general account. (i) Any person may apply to open a general account for the purpose of holding and transferring allowances. An application for a general account may designate one and only one NO_x authorized account representative and one and only one alternate NO_x authorized account representative who may act on behalf of the NO_x authorized account representative. The agreement by which the alternate NO_x authorized account representative is selected shall include a procedure for authorizing the alternate NO_x authorized account representative to act in lieu of the NO_x authorized account representative. A complete application for a general account shall be submitted to the Administrator and shall include the following elements in a format prescribed by the Administrator:

(A) Name, mailing address, e-mail address (if any), telephone number, and facsimile transmission number (if any) of the NO_x authorized account representative and any alternate NO_x authorized account representative;

(B) At the option of the NO_x authorized account representative, organization name and type of organization;

(C) A list of all persons subject to a binding agreement for the NO_x authorized account representative and any alternate NO_x authorized account representative to represent their ownership interest with respect to the allowances held in the general account;

(D) The following certification statement by the NO_x authorized account representative and any alternate NO_x authorized account representative:

"I certify that I was selected as the NO_x authorized account representative or the NO_x alternate authorized account representative, as applicable, by an agreement that is binding on all persons who have an ownership interest with respect to allowances held in the general account. I certify that I have all the necessary authority to carry out my duties and responsibilities under the NO_x Budget Trading Program on behalf of such persons and that each such person shall be fully bound by my representations, actions, inactions, or submissions and by any order or decision issued to me by the Administrator or a court regarding the general account.;"

(E) The signature of the NO_x authorized account representative and any alternate NO_x authorized account representative and the dates signed.

(ii) Unless otherwise required by the permitting authority or the Administrator, documents of agreement referred to in the application for a general account shall not be submitted to the permitting authority or the Administrator. Neither the permitting authority nor the Administrator shall be under any obligation to review or evaluate the sufficiency of such documents, if submitted.

(2) *Authorization of NO_x authorized account representative.* Upon receipt by the Administrator of a complete application for a general account under paragraph (b)(1) of this section:

(i) The Administrator will establish a general account for the person or persons for whom the application is submitted.

(ii) The NO_x authorized account representative and any alternate NO_x authorized account representative for the general account shall represent and, by his or her representations, actions, inactions, or submissions, legally bind each person who has an ownership interest with respect to NO_x allowances held in the general account in all matters pertaining to the NO_x Budget Trading Program, notwithstanding any agreement between the NO_x authorized account representative or any alternate NO_x authorized account representative and such person. Any such person shall be bound by any order or decision issued to the NO_x authorized account representative or any alternate NO_x authorized account representative by the Administrator or a court regarding the general account.

(iii) Any representation, action, inaction, or submission by any alternate NO_x authorized account representative shall be deemed to be a representation, action, inaction, or submission by the NO_x authorized account representative.

(iv) Each submission concerning the general account shall be submitted, signed, and certified by the NO_x authorized account representative or any alternate NO_x authorized account representative for the persons having an ownership interest with respect to NO_x allowances held in the general account. Each such submission shall include the following certification statement by the NO_x authorized account representative or any alternate NO_x authorized account representative: "I am authorized to make this submission on behalf of the persons having an ownership interest with respect to the NO_x allowances held in the general account. I certify under penalty of law that I have personally examined, and am familiar with, the statements and information submitted in this document and all its attachments. Based on my inquiry of those individuals with primary responsibility for obtaining the information, I certify that the statements and information are to the best of my knowledge and belief true, accurate, and complete. I am aware that there are significant penalties for submitting false statements and information or omitting required statements and information, including the possibility of fine or imprisonment."

(v) The Administrator will accept or act on a submission concerning the general account only if the submission has been made, signed, and certified in accordance with paragraph (b)(2)(iv) of this section.

(3) *Changing NO_x authorized account representative and alternate NO_x authorized account representative; changes in persons with ownership interest.* (i) The NO_x authorized account representative for a general account may be changed at any time upon receipt by the Administrator of a superseding complete application for a general account under paragraph (b)(1) of this section. Notwithstanding any such change, all representations, actions, inactions, and submissions by the previous NO_x authorized account representative prior to the time and date when the Administrator receives the superseding application for a general account shall be binding on the new NO_x authorized account representative and the persons with an ownership interest with respect to the NO_x allowances in the general account.

(ii) The alternate NO_x authorized account representative for a general account may be changed at any time upon receipt by the Administrator of a superseding complete application for a general account under paragraph (b)(1) of this section. Notwithstanding any such change, all representations,

actions, inactions, and submissions by the previous alternate NO_x authorized account representative prior to the time and date when the Administrator receives the superseding application for a general account shall be binding on the new alternate NO_x authorized account representative and the persons with an ownership interest with respect to the NO_x allowances in the general account.

(iii)(A) In the event a new person having an ownership interest with respect to NO_x allowances in the general account is not included in the list of such persons in the account certificate of representation, such new person shall be deemed to be subject to and bound by the account certificate of representation, the representation, actions, inactions, and submissions of the NO_x authorized account representative and any alternate NO_x authorized account representative of the source or unit, and the decisions, orders, actions, and inactions of the Administrator, as if the new person were included in such list.

(B) Within 30 days following any change in the persons having an ownership interest with respect to NO_x allowances in the general account, including the addition of persons, the NO_x authorized account representative or any alternate NO_x authorized account representative shall submit a revision to the application for a general account amending the list of persons having an ownership interest with respect to the NO_x allowances in the general account to include the change.

(4) *Objections concerning NO_x authorized account representative.* (i) Once a complete application for a general account under paragraph (b)(1) of this section has been submitted and received, the Administrator will rely on the application unless and until a superseding complete application for a general account under paragraph (b)(1) of this section is received by the Administrator.

(ii) Except as provided in paragraph (b)(3)(i) or (ii) of this section, no objection or other communication submitted to the Administrator concerning the authorization, or any representation, action, inaction, or submission of the NO_x authorized account representative or any alternative NO_x authorized account representative for a general account shall affect any representation, action, inaction, or submission of the NO_x authorized account representative or any alternative NO_x authorized account representative or the finality of any decision or order by the Administrator under the NO_x Budget Trading Program.

(iii) The Administrator will not adjudicate any private legal dispute concerning the authorization or any representation, action, inaction, or submission of the NO_x authorized account representative or any alternative NO_x authorized account representative for a general account, including private legal disputes concerning the proceeds of NO_x allowance transfers.

(c) *Account identification.* The Administrator will assign a unique identifying number to each account established under paragraph (a) or (b) of this section.

§ 97.52 NO_x Allowance Tracking System responsibilities of NO_x authorized account representative.

(a) Following the establishment of a NO_x Allowance Tracking System account, all submissions to the Administrator pertaining to the account, including, but not limited to, submissions concerning the deduction or transfer of NO_x allowances in the account, shall be made only by the NO_x authorized account representative for the account.

(b) *Authorized account representative identification.* The Administrator will assign a unique identifying number to each NO_x authorized account representative.

§ 97.53 Recordation of NO_x allowance allocations.

(a) The Administrator will record the NO_x allowances for 2003 for a NO_x Budget unit allocated under subpart E of this part in the unit's compliance account, except for NO_x allowances under § 97.4(b)(4)(ii) or § 97.5(c)(2), which will be recorded in the general account specified by the owners and operators of the unit. The Administrator will record NO_x allowances for 2003 for a NO_x Budget opt-in unit in the unit's compliance account as allocated under § 97.88(a).

(b) By May 1, 2001, the Administrator will record the NO_x allowances for 2004 for a NO_x Budget unit allocated under subpart E of this part in the unit's compliance account, except for NO_x allowances under § 97.4(b)(4)(ii) or § 97.5(c)(2), which will be recorded in the general account specified by the owners and operators of the unit. The Administrator will record NO_x allowances for 2004 for a NO_x Budget opt-in unit in the unit's compliance account as allocated under § 97.88(a).

(c) By May 1, 2002, the Administrator will record the NO_x allowances for 2005 for a NO_x Budget unit allocated under subpart E of this part in the unit's compliance account, except for NO_x

allowances under § 97.4(b)(4)(ii) or § 97.5(c)(2), which will be recorded in the general account specified by the owners and operators of the unit. The Administrator will record NO_x allowances for 2005 for a NO_x Budget opt-in unit in the unit's compliance account as allocated under § 97.88(a).

(d) By May 1, 2003, the Administrator will record the NO_x allowances for 2006 for a NO_x Budget unit allocated under subpart E of this part in the unit's compliance account, except for NO_x allowances under § 97.4(b)(4)(ii) or § 97.5(c)(2), which will be recorded in the general account specified by the owners and operators of the unit. The Administrator will record NO_x allowances for 2006 for a NO_x Budget opt-in unit in the unit's compliance account as allocated under § 97.88(a).

(e) Each year starting with 2004, after the Administrator has made all deductions from a NO_x Budget unit's compliance account and the overdraft account pursuant to § 97.54 (except deductions pursuant to § 97.54(d)(2)), the Administrator will record:

(1) NO_x allowances, in the compliance account, as allocated to the unit under subpart E of this part for the third year after the year of the control period for which such deductions were or could have been made;

(2) NO_x allowances, in the general account specified by the owners and operators of the unit, as allocated under § 97.4(b)(4)(ii) or § 97.5(c)(2) for the third year after the year of the control period for which such deductions are or could have been made; and

(3) NO_x allowances, in the compliance account, as allocated to the unit under § 97.88(a).

(f) *Serial numbers for allocated NO_x allowances.* When allocating NO_x allowances to a NO_x Budget unit and recording them in an account, the Administrator will assign each NO_x allowance a unique identification number that will include digits identifying the year for which the NO_x allowance is allocated.

§ 97.54 Compliance.

(a) NO_x allowance transfer deadline. The NO_x allowances are available to be deducted for compliance with a unit's NO_x Budget emissions limitation for a control period in a given year only if the NO_x allowances:

(1) Were allocated for a control period in a prior year or the same year; and

(2) Are held in the unit's compliance account, or the overdraft account of the source where the unit is located, as of the NO_x allowance transfer deadline for that control period or are transferred into the compliance account or

overdraft account by a NO_x allowance transfer correctly submitted for recordation under § 97.60 by the NO_x allowance transfer deadline for that control period.

(b) *Deductions for compliance.* (1) Following the recordation, in accordance with § 97.61, of NO_x allowance transfers submitted for recordation in the unit's compliance account or the overdraft account of the source where the unit is located by the NO_x allowance transfer deadline for a control period, the Administrator will deduct NO_x allowances available under paragraph (a) of this section to cover the unit's NO_x emissions (as determined in accordance with subpart H of this part), or to account for actual heat input under § 97.42(e), for the control period:

(i) From the compliance account; and

(ii) Only if no more NO_x allowances available under paragraph (a) of this section remain in the compliance account, from the overdraft account. In deducting allowances for units at the source from the overdraft account, the Administrator will begin with the unit having the compliance account with the lowest account number and end with the unit having the compliance account with the highest account number (with account numbers sorted beginning with the left-most character and ending with the right-most character and the letter characters assigned values in alphabetical order and less than all numeric characters).

(2) The Administrator will deduct NO_x allowances first under paragraph (b)(1)(i) of this section and then under paragraph (b)(1)(ii) of this section:

(i) Until the number of NO_x allowances deducted for the control period equals the number of tons of NO_x emissions, determined in accordance with subpart H of this part, from the unit for the control period for which compliance is being determined, plus the number of NO_x allowances required for deduction to account for actual heat input under § 97.42(e) for the control period; or

(ii) Until no more NO_x allowances available under paragraph (a) of this section remain in the respective account.

(c)(1) *Identification of NO_x allowances by serial number.* The NO_x authorized account representative for each compliance account may identify by serial number the NO_x allowances to be deducted from the unit's compliance account under paragraph (b), (d), (e), or (f) of this section. Such identification shall be made in the compliance certification report submitted in accordance with § 97.30.

(2) *First-in, first-out.* The Administrator will deduct NO_x allowances for a control period from the compliance account, in the absence of an identification or in the case of a partial identification of NO_x allowances by serial number under paragraph (c)(1) of this section, or the overdraft account on a first-in, first-out (FIFO) accounting basis in the following order:

(i) Those NO_x allowances that were allocated for the control period to the unit under subpart E or I of this part;

(ii) Those NO_x allowances that were allocated for the control period to any unit and transferred and recorded in the account pursuant to subpart G of this part, in order of their date of recordation;

(iii) Those NO_x allowances that were allocated for a prior control period to the unit under subpart E or I of this part; and

(iv) Those NO_x allowances that were allocated for a prior control period to any unit and transferred and recorded in the account pursuant to subpart G of this part, in order of their date of recordation.

(d) *Deductions for excess emissions.*

(1) After making the deductions for compliance under paragraph (b) of this section, the Administrator will deduct from the unit's compliance account or the overdraft account of the source where the unit is located a number of NO_x allowances, allocated for a control period after the control period in which the unit has excess emissions, equal to three times the number of the unit's excess emissions.

(2) If the compliance account or overdraft account does not contain sufficient NO_x allowances, the Administrator will deduct the required number of NO_x allowances, regardless of the control period for which they were allocated, whenever NO_x allowances are recorded in either account.

(3) Any allowance deduction required under paragraph (d) of this section shall not affect the liability of the owners and operators of the NO_x Budget unit for any fine, penalty, or assessment, or their obligation to comply with any other remedy, for the same violation, as ordered under the Clean Air Act or applicable State law. The following guidelines will be followed in assessing fines, penalties or other obligations:

(i) For purposes of determining the number of days of violation, if a NO_x Budget unit has excess emissions for a control period, each day in the control period (153 days) constitutes a day in violation unless the owners and operators of the unit demonstrate that a

lesser number of days should be considered.

(ii) Each ton of excess emissions is a separate violation.

(e) *Deductions for units sharing a common stack.* In the case of units sharing a common stack and having emissions that are not separately monitored or apportioned in accordance with subpart H of this part:

(1) The NO_x authorized account representative of the units may identify the percentage of NO_x allowances to be deducted from each such unit's compliance account to cover the unit's share of NO_x emissions from the common stack for a control period. Such identification shall be made in the compliance certification report submitted in accordance with § 97.30.

(2) Notwithstanding paragraph (b)(2)(i) of this section, the Administrator will deduct NO_x allowances for each such unit until the number of NO_x allowances deducted equals the unit's identified percentage under paragraph (e)(1) of this section or, if no percentage is identified, an equal percentage for each unit multiplied by the number of tons of NO_x emissions, as determined in accordance with subpart H of this part, from the common stack for the control period for which compliance is being determined. In addition to the deductions under the first sentence of this paragraph (e)(1), the Administrator will deduct NO_x allowances for each such unit until the number of NO_x allowances deducted equals the number of NO_x allowances required to account for actual heat input under § 97.42(e) for the unit for the control period.

(f) *Deduction of banked allowances.*

Each year starting in 2005, after the Administrator has completed the designation of banked NO_x allowances under § 97.55(b) and before May 1 of the year, the Administrator will determine the extent to which banked NO_x allowances otherwise available under paragraph (a) of this section are available for compliance in the control period for the current year, as follows:

(1) The Administrator will determine the total number of banked NO_x allowances held in compliance accounts, overdraft accounts, or general accounts.

(2) If the total number of banked NO_x allowances determined, under paragraph (f)(1) of this section, to be held in compliance accounts, overdraft accounts, or general accounts is less than or equal to 10 percent of the sum of the trading program budgets under § 97.40 for all States for the control period, any banked NO_x allowance may be deducted for compliance in

accordance with paragraphs (a) through (e) of this section.

(3) If the total number of banked NO_x allowances determined, under paragraph (f)(1) of this section, to be held in compliance accounts, overdraft accounts, or general accounts exceeds 10 percent of the sum of the trading program budgets under § 97.40 for all States for the control period, any banked allowance may be deducted for compliance in accordance with paragraphs (a) through (e) of this section, except as follows:

(i) The Administrator will determine the following ratio: 0.10 multiplied by the sum of the trading program budgets under § 97.40 for all States for the control period and divided by the total number of banked NO_x allowances determined, under paragraph (f)(1) of this section, to be held in compliance accounts, overdraft accounts, or general accounts.

(ii) The Administrator will multiply the number of banked NO_x allowances in each compliance account or overdraft account by the ratio determined under paragraph (f)(3)(i) of this section. The resulting product is the number of banked NO_x allowances in the account that may be deducted for compliance in accordance with paragraphs (a) through (e) of this section. Any banked NO_x allowances in excess of the resulting product may be deducted for compliance in accordance with paragraphs (a) through (e) of this section, except that, if such NO_x allowances are used to make a deduction under paragraph (b) or (e) of this section, two (rather than one) such NO_x allowances shall authorize up to one ton of NO_x emissions during the control period and must be deducted for each deduction of one NO_x allowance required under paragraph (b) or (e) of this section.

(g) *Recordation of deductions.* The Administrator will record in the appropriate compliance account or overdraft account all deductions from such an account pursuant to paragraph (b), (d), (e), or (f) of this section.

§ 97.55 Banking.

NO_x allowances may be banked for future use or transfer in a compliance account, an overdraft account, or a general account, as follows:

(a) Any NO_x allowance that is held in a compliance account, an overdraft account, or a general account will remain in such account unless and until the NO_x allowance is deducted or transferred under § 97.31, § 97.54, § 97.56, or subpart G or I of this part.

(b) The Administrator will designate, as a "banked" NO_x allowance, any NO_x

allowance that remains in a compliance account, an overdraft account, or a general account after the Administrator has made all deductions for a given control period from the compliance account or overdraft account pursuant to § 97.54 (except deductions pursuant to § 97.54(d)(2)) and that was allocated for that control period or a control period in a prior year.

§ 97.56 Account error.

The Administrator may, at his or her sole discretion and on his or her own motion, correct any error in any NO_x Allowance Tracking System account. Within 10 business days of making such correction, the Administrator will notify the NO_x authorized account representative for the account.

§ 97.57 Closing of general accounts.

(a) The NO_x authorized account representative of a general account may instruct the Administrator to close the account by submitting a statement requesting deletion of the account from the NO_x Allowance Tracking System and by correctly submitting for recordation under § 97.60 an allowance transfer of all NO_x allowances in the account to one or more other NO_x Allowance Tracking System accounts.

(b) If a general account shows no activity for a period of a year or more and does not contain any NO_x allowances, the Administrator may notify the NO_x authorized account representative for the account that the account will be closed and deleted from the NO_x Allowance Tracking System following 20 business days after the notice is sent. The account will be closed after the 20-day period unless before the end of the 20-day period the Administrator receives a correctly submitted transfer of NO_x allowances into the account under § 97.60 or a statement submitted by the NO_x authorized account representative demonstrating to the satisfaction of the Administrator good cause as to why the account should not be closed.

Subpart G—NO_x Allowance Transfers

§ 97.60 Submission of NO_x allowance transfers.

The NO_x authorized account representatives seeking recordation of a NO_x allowance transfer shall submit the transfer to the Administrator. To be considered correctly submitted, the NO_x allowance transfer shall include the following elements in a format specified by the Administrator:

(a) The numbers identifying both the transferor and transferee accounts;

(b) A specification by serial number of each NO_x allowance to be transferred; and

(c) The printed name and signature of the NO_x authorized account representative of the transferor account and the date signed.

§ 97.61 EPA recordation.

(a) Within 5 business days of receiving a NO_x allowance transfer, except as provided in paragraph (b) of this section, the Administrator will record a NO_x allowance transfer by moving each NO_x allowance from the transferor account to the transferee account as specified by the request, provided that:

(1) The transfer is correctly submitted under § 97.60; and

(2) The transferor account includes each NO_x allowance identified by serial number in the transfer.

(b) A NO_x allowance transfer that is submitted for recordation following the NO_x allowance transfer deadline and that includes any NO_x allowances allocated for a control period in a prior year or the same year as the NO_x allowance transfer deadline will not be recorded until after the Administrator completes the recordation of NO_x allowance allocations under § 97.53 for the control period in the same year as the NO_x allowance transfer deadline.

(c) Where a NO_x allowance transfer submitted for recordation fails to meet the requirements of paragraph (a) of this section, the Administrator will not record such transfer.

§ 97.62 Notification.

(a) *Notification of recordation.* Within 5 business days of recordation of a NO_x allowance transfer under § 97.61, the Administrator will notify the NO_x authorized account representatives of both the transferor and transferee accounts.

(b) *Notification of non-recordation.* Within 10 business days of receipt of a NO_x allowance transfer that fails to meet the requirements of § 97.61(a), the Administrator will notify the NO_x authorized account representatives of both accounts subject to the transfer of:

(1) A decision not to record the transfer; and

(2) The reasons for such non-recordation.

(c) Nothing in this section shall preclude the submission of a NO_x allowance transfer for recordation following notification of non-recordation.

Subpart H—Monitoring and Reporting**§ 97.70 General requirements.**

The owners and operators, and to the extent applicable, the NO_x authorized account representative of a NO_x Budget unit, shall comply with the monitoring, recordkeeping, and reporting requirements as provided in this subpart and in subpart H of part 75 of this chapter. For purposes of complying with such requirements, the definitions in § 97.2 and in § 72.2 of this chapter shall apply, and the terms “affected unit,” “designated representative,” and “continuous emission monitoring system” (or “CEMS”) in part 75 of this chapter shall be deemed to refer to the terms “NO_x Budget unit,” “NO_x authorized account representative,” and “continuous emission monitoring system” (or “CEMS”) respectively, as defined in § 97.2. The owner or operator of a unit that is not a NO_x Budget unit but that is monitored under § 75.72(b)(2)(ii) of this chapter shall comply with the monitoring, recordkeeping, and reporting requirements for a NO_x Budget unit under this part.

(a) *Requirements for installation, certification, and data accounting.* The owner or operator of each NO_x Budget unit shall meet the following requirements. These provisions shall also apply to a unit for which an application for a NO_x Budget opt-in permit is submitted and not denied or withdrawn, as provided in subpart I of this part:

(1) Install all monitoring systems required under this subpart for monitoring NO_x mass emissions. This includes all systems required to monitor NO_x emission rate, NO_x concentration, heat input rate, and stack flow rate, in accordance with §§ 75.72 and 75.76 of this chapter.

(2) Install all monitoring systems for monitoring heat input rate.

(3) Successfully complete all certification tests required under § 97.71 and meet all other requirements of this subpart and part 75 of this chapter applicable to the monitoring systems under paragraphs (a)(1) and (2) of this section.

(4) Record, report, and quality-assure the data from the monitoring systems under paragraphs (a)(1) and (2) of this section.

(b) *Compliance deadlines.* The owner or operator shall meet the certification and other requirements of paragraphs (a)(1) through (a)(3) of this section on or before the following dates. The owner or operator shall record, report and quality-assure the data from the monitoring systems under paragraphs

(a)(1) and (a)(2) of this section on and after the following dates.

(1) For the owner or operator of a NO_x Budget unit for which the owner or operator intends to apply for early reduction credits under § 97.43, by May 1, 2000. If the owner or operator of a NO_x Budget unit fails to meet this deadline, he or she is not eligible to apply for early reduction credits and is subject to the deadline under paragraph (b)(2) of this section.

(2) For the owner or operator of a NO_x Budget unit under § 97.4(a) that commences operation before January 1, 2002 and that is not subject to or does not meet the deadline under paragraph (b)(1) of this section, by May 1, 2002.

(3) For the owner or operator of a NO_x Budget unit under § 97.4(a)(1) that commences operation on or after January 1, 2002 and that reports on an annual basis under § 97.74(d) by the later of the following dates:

(i) May 1, 2002; or

(ii) 90 days after the date on which the unit commences commercial operation.

(4) For the owner or operator of a NO_x Budget unit under § 97.4(a)(1) that commences operation on or after January 1, 2002 and that reports on a control period basis under § 97.74(d)(2)(ii), by no later than 90 days after the date on which the unit commences commercial operation, provided that this date is during a control period. If this date does not occur during a control period, the applicable deadline is May 1 immediately following this date.

(5) For the owner or operator of a NO_x Budget unit under § 97.4(a)(2) that commences operation on or after January 1, 2002 and that reports on an annual basis under § 97.74(d), by the later of the following dates:

(i) May 1, 2002; or

(ii) 180 days after the date on which the unit commences operation.

(6) For the owner or operator of a NO_x Budget unit under § 97.4(a)(2) that commences operation on or after January 1, 2002 and that report on a control period basis under § 97.74(d)(2)(ii), by 180 days after the date on which the unit commences operation, provided that this date is during a control period. If this date does not occur during a control period, the applicable deadline is May 1 immediately following this date.

(7) For the owner or operator of a NO_x Budget unit that has a new stack or flue for which construction is completed after the applicable deadline under paragraph (b)(1), (b)(2), (b)(3), (b)(4), (b)(5), or (b)(6) of this section or under subpart I of this part and that reports on

an annual basis under § 97.74(d), by 90 days after the date on which emissions first exit to the atmosphere through the new stack or flue.

(8) For the owner or operator of a NO_x Budget unit that has a new stack or flue for which construction is completed after the applicable deadline under paragraph (b)(1), (b)(2), (b)(3), (b)(4), (b)(5), or (b)(6) of this section or under subpart I of this part and that reports on a control period basis under § 97.74(d)(2)(ii), by 90 days after the date on which emissions first exit to the atmosphere through the new stack or flue, provided that this date is during a control period. If this date does not occur during the control period, the applicable deadline is May 1 immediately following this date.

(9) For the owner or operator of a unit for which an application for a NO_x Budget opt-in permit is submitted and not denied or withdrawn, by the date specified under subpart I of this part.

(c) *Reporting data prior to initial certification.* The owner or operator of a NO_x Budget unit under paragraph (b)(3), (b)(4), (b)(5), or (b)(6) of this section shall determine, record and report NO_x mass emissions, heat input rate, and any other values required to determine NO_x mass emissions (e.g., NO_x emission rate and heat input rate, or NO_x concentration and stack flow rate) in accordance with § 75.70(g) of this chapter, from the date and hour that the unit starts operating until the date and hour on which the continuous emission monitoring system, excepted monitoring system under appendix D or E of part 75 of this chapter, or excepted monitoring methodology under § 75.19 of this chapter is provisionally certified.

(d) *Prohibitions.* (1) No owner or operator of a NO_x Budget unit shall use any alternative monitoring system, alternative reference method, or any other alternative for the required continuous emission monitoring system without having obtained prior written approval in accordance with § 97.75.

(2) No owner or operator of a NO_x Budget unit shall operate the unit so as to discharge, or allow to be discharged, NO_x emissions to the atmosphere without accounting for all such emissions in accordance with the applicable provisions of this subpart and part 75 of this chapter, except as provided in § 75.74 of this chapter.

(3) No owner or operator of a NO_x Budget unit shall disrupt the continuous emission monitoring system, any portion thereof, or any other approved emission monitoring method, and thereby avoid monitoring and recording NO_x mass emissions discharged into the atmosphere, except for periods of

recertification or periods when calibration, quality assurance testing, or maintenance is performed in accordance with the applicable provisions of this subpart and part 75 of this chapter or except as provided in § 75.74 of this chapter.

(4) No owner or operator of a NO_x Budget unit shall retire or permanently discontinue use of the continuous emission monitoring system, any component thereof, or any other approved emission monitoring system under this subpart, except under any one of the following circumstances:

(i) During the period that the unit is covered by an exemption under § 97.4(b) or § 97.5 that is in effect;

(ii) The owner or operator is monitoring emissions from the unit with another certified monitoring system approved, in accordance with the applicable provisions of this subpart and part 75 of this chapter, by the permitting authority for use at that unit that provides emission data for the same pollutant or parameter as the retired or discontinued monitoring system; or

(iii) The NO_x authorized account representative submits notification of the date of certification testing of a replacement monitoring system for the retired or discontinued monitoring system in accordance with § 97.71(b)(2).

§ 97.71 Initial certification and recertification procedures.

(a) The owner or operator of a NO_x Budget unit that is subject to an Acid Rain emissions limitation shall comply with the initial certification and recertification procedures of part 75 of this chapter, except that:

(1) If, prior to January 1, 1998, the Administrator approved a petition under § 75.17(a) or (b) of this chapter for apportioning the NO_x emission rate measured in a common stack or a petition under § 75.66 of this chapter for an alternative to a requirement in § 75.17 of this chapter, the NO_x authorized account representative shall resubmit the petition to the Administrator under § 97.75(a) to determine if the approval applies under the NO_x Budget Trading Program.

(2) For any additional CEMS required under the common stack provisions in § 75.72 of this chapter or for any NO_x concentration CEMS used under the provisions of § 75.71(a)(2) of this chapter, the owner or operator shall meet the requirements of paragraph (b) of this section.

(b) The owner or operator of a NO_x Budget unit that is not subject to an Acid Rain emissions limitation shall comply with the following initial certification and recertification

procedures. The owner or operator of such a unit that qualifies to use the low mass emissions excepted monitoring methodology under § 75.19 of this chapter or that qualifies to use an alternative monitoring system under subpart E of part 75 of this chapter shall comply with the following procedures, as modified by paragraph (c) or (d) of this section. The owner or operator of a NO_x Budget unit that is subject to an Acid Rain emissions limitation and that requires additional CEMS under the common stack provisions in § 75.72 of this chapter or uses a NO_x concentration CEMS under § 75.71(a)(2) of this chapter shall comply with the following procedures.

(1) *Requirements for initial certification.* The owner or operator shall ensure that each monitoring system required by subpart H of part 75 of this chapter (which includes the automated data acquisition and handling system) successfully completes all of the initial certification testing required under § 75.20 of this chapter by the applicable deadline in § 97.70(b). In addition, whenever the owner or operator installs a monitoring system in order to meet the requirements of this part in a location where no such monitoring system was previously installed, initial certification in accordance with § 75.20 of this chapter is required.

(2) *Requirements for recertification.* Whenever the owner or operator makes a replacement, modification, or change in a certified monitoring system that may significantly affect the ability of the system to accurately measure or record NO_x mass emissions or heat input rate or to meet the requirements of § 75.21 of this chapter or appendix B to part 75 of this chapter, the owner or operator shall recertify the monitoring system in accordance with § 75.20(b) of this chapter. Furthermore, whenever the owner or operator makes a replacement, modification, or change to the flue gas handling system or the unit's operation that may significantly change the stack flow or concentration profile, the owner or operator shall recertify the continuous emissions monitoring system in accordance with § 75.20(b) of this chapter. Examples of changes that require recertification include: replacement of the analyzer, complete replacement of an existing continuous emission monitoring system, or change in location or orientation of the sampling probe or site.

(3) *Certification approval process for initial certification and recertification—*
(i) *Notification of certification.* The NO_x authorized account representative shall submit to the Administrator, the

appropriate EPA Regional Office and the permitting authority written notice of the dates of certification in accordance with § 97.73.

(ii) *Certification application.* The NO_x authorized account representative shall submit to the Administrator, the appropriate EPA Regional Office and the permitting authority a certification application for each monitoring system required under subpart H of part 75 of this chapter. A complete certification application shall include the information specified in subpart H of part 75 of this chapter.

(iii) Except for units using the low mass emission excepted methodology under § 75.19 of this chapter, the provisional certification date for a monitor shall be determined in accordance with § 75.20(a)(3) of this chapter. A provisionally certified monitor may be used under the NO_x Budget Trading Program for a period not to exceed 120 days after receipt by the Administrator of the complete certification application for the monitoring system or component thereof under paragraph (b)(3)(ii) of this section. Data measured and recorded by the provisionally certified monitoring system or component thereof, in accordance with the requirements of part 75 of this chapter, will be considered valid quality-assured data (retroactive to the date and time of provisional certification), provided that the Administrator does not invalidate the provisional certification by issuing a notice of disapproval within 120 days of receipt of the complete certification application by the Administrator.

(iv) *Certification application formal approval process.* The Administrator will issue a written notice of approval or disapproval of the certification application to the owner or operator within 120 days of receipt of the complete certification application under paragraph (b)(3)(ii) of this section. In the event the Administrator does not issue such a notice within such 120-day period, each monitoring system that meets the applicable performance requirements of part 75 of this chapter and is included in the certification application will be deemed certified for use under the NO_x Budget Trading Program.

(A) *Approval notice.* If the certification application is complete and shows that each monitoring system meets the applicable performance requirements of part 75 of this chapter, then the Administrator will issue a written notice of approval of the certification application within 120 days of receipt.

(B) *Incomplete application notice.* A certification application will be considered complete when all of the applicable information required to be submitted under paragraph (b)(3)(ii) of this section has been received by the Administrator. If the certification application is not complete, then the Administrator will issue a written notice of incompleteness that sets a reasonable date by which the NO_x authorized account representative must submit the additional information required to complete the certification application. If the NO_x authorized account representative does not comply with the notice of incompleteness by the specified date, then the Administrator may issue a notice of disapproval under paragraph (b)(3)(iv)(C) of this section. The 120-day review period shall not begin prior to receipt of a complete certification application.

(C) *Disapproval notice.* If the certification application shows that any monitoring system or component thereof does not meet the performance requirements of this part, or if the certification application is incomplete and the requirement for disapproval under paragraph (b)(3)(iv)(B) of this section has been met, then the Administrator will issue a written notice of disapproval of the certification application. Upon issuance of such notice of disapproval, the provisional certification is invalidated by the Administrator and the data measured and recorded by each uncertified monitoring system or component thereof shall not be considered valid quality-assured data beginning with the date and hour of provisional certification (as defined under § 75.20(a)(3) of this chapter). The owner or operator shall follow the procedures for loss of certification in paragraph (b)(3)(v) of this section for each monitoring system or component thereof that is disapproved for initial certification.

(D) *Audit decertification.* The Administrator may issue a notice of disapproval of the certification status of a monitor in accordance with § 97.72(b).

(v) *Procedures for loss of certification.* If the Administrator issues a notice of disapproval of a certification application under paragraph (b)(3)(iv)(C) of this section or a notice of disapproval of certification status under paragraph (b)(3)(iv)(D) of this section, then:

(A) The owner or operator shall substitute the following values, for each hour of unit operation during the period of invalid data specified under § 75.20(a)(4)(iii), § 75.20(b)(5), § 75.20(h)(4), or § 75.21(e) and

continuing until the date and hour specified under § 75.20(a)(5)(i) of this chapter:

(1) For units that the owner or operator intends to monitor or monitors for NO_x emission rate and heat input rate or intends to determine or determines NO_x mass emissions using the low mass emission excepted methodology under § 75.19 of this chapter, the maximum potential NO_x emission rate and the maximum potential hourly heat input of the unit; and

(2) For units that the owner or operator intends to monitor or monitors for NO_x mass emissions using a NO_x pollutant concentration monitor and a flow monitor, the maximum potential concentration of NO_x and the maximum potential flow rate of the unit under section 2 of appendix A of part 75 of this chapter.

(B) The NO_x authorized account representative shall submit a notification of certification retest dates and a new certification application in accordance with paragraphs (b)(3)(i) and (ii) of this section.

(C) The owner or operator shall repeat all certification tests or other requirements that were failed by the monitoring system, as indicated in the Administrator's notice of disapproval, no later than 30 unit operating days after the date of issuance of the notice of disapproval.

(c) *Initial certification and recertification procedures for low mass emission units using the excepted methodologies under § 75.19 of this chapter.* The owner or operator of a gas-fired or oil-fired unit using the low mass emissions excepted methodology under § 75.19 of this chapter and not subject to an Acid Rain emissions limitation shall meet the applicable general operating requirements of § 75.10 of this chapter and the applicable requirements of § 75.19 of this chapter. The owner or operator of such a unit shall also meet the applicable certification and recertification procedures of paragraph (b) of this section, except that the excepted methodology shall be deemed provisionally certified for use under the NO_x Budget Trading Program as of the following dates:

(i) For a unit that does not have monitoring equipment initially certified or recertified for the NO_x Budget Trading Program as of the date on which the NO_x authorized account representative submits the certification application under § 75.19 of this chapter for the unit, starting on the date of such submission until the completion of the period for the Administrator's review.

(ii) For a unit that has monitoring equipment initially certified or recertified for the NO_x Budget Trading Program as of the date on which the NO_x authorized account representative submits the certification application under § 75.19 of this chapter for the unit and that reports data on an annual basis under § 97.74(d), starting January 1 of the year after the year of such submission until the completion of the period for the Administrator's review.

(iii) For a unit that has monitoring equipment initially certified or recertified for the NO_x Budget Trading Program as of the date on which the NO_x Authorized Account Representative submits the certification application under § 75.19 of this chapter for the unit and that reports on a control season basis under § 97.74(d), starting May 1 of the control period after the year of such submission until the completion of the period for the Administrator's review.

(d) *Certification/recertification procedures for alternative monitoring systems.* The NO_x authorized account representative of each unit not subject to an Acid Rain emissions limitation for which the owner or operator intends to use an alternative monitoring system approved by the Administrator under subpart E of part 75 of this chapter shall comply with the applicable certification procedures of paragraph (b) of this section before using the system under the NO_x Budget Trading Program. The NO_x authorized account representative shall also comply with the applicable recertification procedures of paragraph (b) of this section. Section 75.20(f) of this chapter shall apply to such alternative monitoring system.

§ 97.72 Out of control periods.

(a) Whenever any monitoring system fails to meet the quality assurance or data validation requirements of part 75 of this chapter, data shall be substituted using the applicable procedures in subpart D, appendix D, or appendix E of part 75 of this chapter.

(b) *Audit decertification.* Whenever both an audit of a monitoring system and a review of the initial certification or recertification application reveal that any system or component should not have been certified or recertified because it did not meet a particular performance specification or other requirement under § 97.71 or the applicable provisions of part 75 of this chapter, both at the time of the initial certification or recertification application submission and at the time of the audit, the Administrator will issue a notice of disapproval of the certification status of such system or

component. For the purposes of this paragraph, an audit shall be either a field audit or an audit of any information submitted to the permitting authority or the Administrator. By issuing the notice of disapproval, the Administrator revokes prospectively the certification status of the system or component. The data measured and recorded by the system or component shall not be considered valid quality-assured data from the date of issuance of the notification of the revoked certification status until the date and time that the owner or operator completes subsequently approved initial certification or recertification tests for the system or component.

§ 97.73 Notifications.

(a) The NO_x authorized account representative for a NO_x Budget unit shall submit written notice to the Administrator, the appropriate EPA Regional Office, and the permitting authority in accordance with § 75.61 of this chapter.

(b) For any unit that does not have an Acid Rain emissions limitation, the permitting authority may waive the requirement to notify the permitting authority in paragraph (a) of this section.

§ 97.74 Recordkeeping and reporting.

(a) *General provisions.* (1) The NO_x authorized account representative shall comply with all recordkeeping and reporting requirements in this section and with the requirements of § 97.10(e)(1).

(2) If the NO_x authorized account representative for a NO_x Budget unit subject to an Acid Rain emission limitation who signed and certified any submission that is made under subpart F or G of part 75 of this chapter and that includes data and information required under this subpart or subpart H of part 75 of this chapter is not the same person as the designated representative or the alternative designated representative for the unit under part 72 of this chapter, then the submission must also be signed by the designated representative or the alternative designated representative.

(b) *Monitoring plans.* (1) The owner or operator of a unit subject to an Acid Rain emissions limitation shall comply with requirements of § 75.62 of this chapter, except that the monitoring plan shall also include all of the information required by subpart H of part 75 of this chapter.

(2) The owner or operator of a unit that is not subject to an Acid Rain emissions limitation shall comply with requirements of § 75.62 of this chapter, except that the monitoring plan is only

required to include the information required by subpart H of part 75 of this chapter.

(c) *Certification applications.* The NO_x authorized account representative shall submit an application to the Administrator, the appropriate EPA Regional Office, and the permitting authority within 45 days after completing all initial certification or recertification tests required under § 97.71 including the information required under subpart H of part 75 of this chapter.

(d) *Quarterly reports.* The NO_x authorized account representative shall submit quarterly reports, as follows:

(1) If a unit is subject to an Acid Rain emission limitation or if the owner or operator of the NO_x budget unit chooses to meet the annual reporting requirements of this subpart H, the NO_x authorized account representative shall submit a quarterly report for each calendar quarter beginning with:

(i) For a unit for which the owner or operator intends to apply or applies for the early reduction credits under § 97.43, the calendar quarter that includes the date of initial provisional certification under § 97.71(b)(3)(iii) or § 97.71(c). Data shall be recorded and reported from the date and hour corresponding to the date and hour of provisional certification; or

(ii) For a unit that commences operation on or before May 1, 2002 and that is not subject to paragraph (d)(1)(i) of this section, the earlier of the calendar quarter that includes the date of initial provisional certification under § 97.71(b)(3)(iii) or § 97.71(c) or, if the certification tests are not completed by May 1, 2002, the calendar quarter covering May 1, 2002 through June 30, 2002. Data shall be recorded and reported from the earlier of the date and hour corresponding to the date and hour of provisional certification or the first hour on May 1, 2002; or

(iii) For a unit that commences operation after May 1, 2002, the calendar quarter in which the unit commences operation. Data shall be recorded and reported from the date and hour corresponding to when the unit commences operation.

(2) If a NO_x budget unit is not subject to an Acid Rain emission limitation, then the NO_x authorized account representative shall either:

(i) Meet all of the requirements of part 75 related to monitoring and reporting NO_x mass emissions during the entire year and meet the deadlines specified in paragraph (d)(1) of this section; or

(ii) Submit quarterly reports covering the period May 1 through September 30 of each year and including the data

described in § 75.74(c)(6) of this chapter. The NO_x authorized account representative shall submit such quarterly reports, beginning with:

(A) For a unit for which the owner or operator intends to apply or applies for early reduction credits under § 97.43, the calendar quarter that includes the date of initial provisional certification under § 97.71(b)(3)(iii) or § 97.71(c). Data shall be recorded and reported from the date and hour corresponding to the date and hour of provisional certification; or

(B) For a unit that commences operation on or before May 1, 2002 and that is not subject to paragraph (d)(2)(i) of this section, the calendar quarter covering May 1 through June 30, 2002. Data shall be recorded and reported from the earlier of the date and hour corresponding to the date and hour of initial provisional certification under § 97.71(b)(3)(iii) or § 97.71(c) or the first hour of May 1, 2002; or

(C) For a unit that commences operation after May 1, 2002 and during a control period, the calendar quarter in which the unit commences operation. Data shall be reported from the date and hour corresponding to when the unit commences operation; or

(D) For a unit that commences operation after May 1, 2002 and not during a control period, the calendar quarter covering the first control period after the unit commences operation. Data shall be recorded and reported from the earlier of the date and hour corresponding to the date and hour of initial provisional certification under § 97.71(b)(3)(iii) or § 97.71(c) or the first hour of May 1 of the first control period after the unit commences operation.

(3) The NO_x authorized account representative shall submit each quarterly report to the Administrator within 30 days following the end of the calendar quarter covered by the report. Quarterly reports shall be submitted in the manner specified in subpart H of part 75 of this chapter and § 75.64 of this chapter.

(i) For units subject to an Acid Rain emissions limitation, quarterly reports shall include all of the data and information required in subpart H of part 75 of this chapter for each NO_x Budget unit (or group of units using a common stack) and the data and information required in subpart G of part 75 of this chapter.

(ii) For units not subject to an Acid Rain emissions limitation, quarterly reports are only required to include all of the data and information required in subpart H of part 75 of this chapter for each NO_x Budget unit (or group of units using a common stack).

(4) *Compliance certification.* The NO_x authorized account representative shall submit to the Administrator a compliance certification in support of each quarterly report based on reasonable inquiry of those persons with primary responsibility for ensuring that all of the unit's emissions are correctly and fully monitored. The certification shall state that:

(i) The monitoring data submitted were recorded in accordance with the applicable requirements of this subpart and part 75 of this chapter, including the quality assurance procedures and specifications;

(ii) For a unit with add-on NO_x emission controls and for all hours where data are substituted in accordance with § 75.34(a)(1) of this chapter, the add-on emission controls were operating within the range of parameters listed in the quality assurance/quality control program under appendix B of part 75 of this chapter and the substitute values do not systematically underestimate NO_x emissions; and

(iii) For a unit that is reporting on a control period basis under paragraph (d)(2)(ii) of this section, the NO_x emission rate and NO_x concentration values substituted for missing data under subpart D of part 75 of this chapter are calculated using only values from a control period and do not systematically underestimate NO_x emissions.

§ 97.75 Petitions.

(a) The NO_x authorized account representative of a NO_x Budget unit may submit a petition under § 75.66 of this chapter to the Administrator requesting approval to apply an alternative to any requirement of this subpart.

(b) Application of an alternative to any requirement of this subpart is in accordance with this subpart only to the extent that the petition is approved by the Administrator under § 75.66 of this chapter.

§ 97.76 Additional requirements to provide heat input data.

The owner or operator of a NO_x Budget unit that monitors and reports NO_x mass emissions using a NO_x concentration system and a flow system shall also monitor and report heat input rate at the unit level using the procedures set forth in part 75 of this chapter.

Subpart I—Individual Unit Opt-ins.

§ 97.80 Applicability.

A unit that is in a State (as defined in § 97.2), is not a NO_x Budget unit under

§ 97.4(a), is not a unit exempt under § 97.4(b), vents all of its emissions to a stack, and is operating, may qualify to be a NO_x Budget opt-in unit under this subpart. A unit that is a NO_x Budget unit under § 97.4(a), is covered by an exemption under § 97.4(b) or § 97.5 that is in effect, or is not operating is not eligible to be a NO_x Budget opt-in unit.

§ 97.81 General.

Except otherwise as provided in this part, a NO_x Budget opt-in unit shall be treated as a NO_x Budget unit for purposes of applying subparts A through H of this part.

§ 97.82 NO_x authorized account representative.

A unit for which an application for a NO_x Budget opt-in permit is submitted, or a NO_x Budget opt-in unit, located at the same source as one or more NO_x Budget units, shall have the same NO_x authorized account representative as such NO_x Budget units.

§ 97.83 Applying for NO_x Budget opt-in permit.

(a) *Applying for initial NO_x Budget opt-in permit.* In order to apply for an initial NO_x Budget opt-in permit, the NO_x authorized account representative of a unit qualified under § 97.80 may submit to the Administrator and the permitting authority at any time, except as provided under § 97.86(g):

(1) A complete NO_x Budget permit application under § 97.22;

(2) A monitoring plan submitted in accordance with subpart H of this part; and

(3) A complete account certificate of representation under § 97.13, if no NO_x authorized account representative has been previously designated for the unit.

(b) *Duty to reapply.* Unless the NO_x Budget opt-in permit is terminated or revised under § 97.86(e) or § 97.87(b)(1)(i), the NO_x authorized account representative of a NO_x Budget opt-in unit shall submit to the Administrator and permitting authority a complete NO_x Budget permit application under § 97.22 to renew the NO_x Budget opt-in permit in accordance with § 97.21(c) and, if applicable, an updated monitoring plan in accordance with subpart H of this part.

§ 97.84 Opt-in process.

The permitting authority will issue or deny an initial NO_x Budget opt-in permit for a unit for which an application for a NO_x Budget opt-in permit under § 97.83 is submitted, in accordance with § 97.20 and the following:

(a) *Interim review of monitoring plan.* The Administrator will determine, on

an interim basis, the sufficiency of the monitoring plan accompanying the initial application for a NO_x Budget opt-in permit under § 97.83. A monitoring plan is sufficient, for purposes of interim review, if the plan appears to contain information demonstrating that the NO_x emissions rate and heat input rate of the unit are monitored and reported in accordance with subpart H of this part. A determination of sufficiency shall not be construed as acceptance or approval of the unit's monitoring plan.

(b) If the Administrator determines that the unit's monitoring plan is sufficient under paragraph (a) of this section and after completion of monitoring system certification under subpart H of this part, the NO_x emissions rate and the heat input of the unit shall be monitored and reported in accordance with subpart H of this part for one full control period during which percent monitor data availability is not less than 90 percent and during which the unit is in full compliance with any applicable State or Federal emissions or emissions-related requirements. Solely for purposes of applying the requirements in the prior sentence, the unit shall be treated as a "NO_x Budget unit" prior to issuance of a NO_x Budget opt-in permit covering the unit.

(c) Based on the information monitored and reported under paragraph (b) of this section, the Administrator will calculate the unit's baseline heat input, which will equal the unit's total heat input (in mmBtu) for the control period, and the unit's baseline NO_x emissions rate, which will equal the unit's total NO_x mass emissions (in lb) for the control period divided by the unit's baseline heat input.

(d) *Issuance of draft NO_x Budget opt-in permit for public comment.* The permitting authority will issue a draft NO_x Budget opt-in permit for public comment in accordance with § 97.20.

(e) Notwithstanding paragraphs (a) through (d) of this section, if at any time before issuance of a draft NO_x Budget opt-in permit for public comment for the unit, the Administrator or the permitting authority determines that the unit does not qualify as a NO_x Budget opt-in unit under § 97.80, the permitting authority will issue a draft denial of a NO_x Budget opt-in permit for public comment for the unit in accordance with § 97.20.

(f) *Withdrawal of application for NO_x Budget opt-in permit.* A NO_x authorized account representative of a unit may withdraw its application for an initial NO_x Budget opt-in permit under § 97.83 at any time prior to the issuance of the

initial NO_x Budget opt-in permit. Once the application for a NO_x Budget opt-in permit is withdrawn, a NO_x authorized account representative wanting to reapply must submit a new application for an initial NO_x Budget permit under § 97.83.

(g) The unit shall be a NO_x Budget opt-in unit and a NO_x Budget unit starting May 1 of the first control period starting after the issuance of the initial NO_x Budget opt-in permit by the permitting authority.

§ 97.85 NO_x Budget opt-in permit contents.

(a) Each NO_x Budget opt-in permit will contain all elements required for a complete NO_x Budget opt-in permit application under § 97.22.

(b) Each NO_x Budget opt-in permit is deemed to incorporate automatically the definitions of terms under § 97.2 and, upon recordation by the Administrator under subpart F or G of this part, every allocation, transfer, or deduction of NO_x allowances to or from the compliance accounts of each NO_x Budget opt-in unit covered by the NO_x Budget opt-in permit or the overdraft account of the NO_x Budget source where the NO_x Budget opt-in unit is located.

§ 97.86 Withdrawal from NO_x Budget Trading Program.

(a) *Requesting withdrawal.* To withdraw from the NO_x Budget Trading Program, the NO_x authorized account representative of a NO_x Budget opt-in unit shall submit to the Administrator and the permitting authority a request to withdraw effective as of a specified date prior to May 1 or after September 30. The submission shall be made no later than 90 days prior to the requested effective date of withdrawal.

(b) *Conditions for withdrawal.* Before a NO_x Budget opt-in unit covered by a request under paragraph (a) of this section may withdraw from the NO_x Budget Trading Program and the NO_x Budget opt-in permit may be terminated under paragraph (e) of this section, the following conditions must be met:

(1) For the control period immediately before the withdrawal is to be effective, the NO_x authorized account representative must submit or must have submitted to the Administrator and the permitting authority an annual compliance certification report in accordance with § 97.30.

(2) If the NO_x Budget opt-in unit has excess emissions for the control period immediately before the withdrawal is to be effective, the Administrator will deduct or has deducted from the NO_x Budget opt-in unit's compliance account, or the overdraft account of the

NO_x Budget source where the NO_x Budget opt-in unit is located, the full amount required under § 97.54(d) for the control period.

(3) After the requirements for withdrawal under paragraphs (b)(1) and (2) of this section are met, the Administrator will deduct from the NO_x Budget opt-in unit's compliance account, or the overdraft account of the NO_x Budget source where the NO_x Budget opt-in unit is located, NO_x allowances equal in number to and allocated for the same or a prior control period as any NO_x allowances allocated to that source under § 97.88 for any control period for which the withdrawal is to be effective. The Administrator will close the NO_x Budget opt-in unit's compliance account and transfer any remaining allowances to a general account specified by the owners and operators of the NO_x Budget opt-in unit.

(c) A NO_x Budget opt-in unit that withdraws from the NO_x Budget Trading Program shall comply with all requirements under the NO_x Budget Trading Program concerning all years for which such NO_x Budget opt-in unit was a NO_x Budget opt-in unit, even if such requirements arise or must be complied with after the withdrawal takes effect.

(d) *Notification.* (1) After the requirements for withdrawal under paragraphs (a) and (b) of this section are met (including deduction of the full amount of NO_x allowances required), the Administrator will issue a notification to the permitting authority and the NO_x authorized account representative of the NO_x Budget opt-in unit of the acceptance of the withdrawal of the NO_x Budget opt-in unit as of a specified effective date that is after such requirements have been met and that is prior to May 1 or after September 30.

(2) If the requirements for withdrawal under paragraphs (a) and (b) of this section are not met, the Administrator will issue a notification to the permitting authority and the NO_x authorized account representative of the NO_x Budget opt-in unit that the request to withdraw is denied. If the NO_x Budget opt-in unit's request to withdraw is denied, the NO_x Budget opt-in unit shall remain subject to the requirements for a NO_x Budget opt-in unit.

(e) *Permit revision.* After the Administrator issues a notification under paragraph (d)(1) of this section that the requirements for withdrawal have been met, the permitting authority will revise the NO_x Budget permit covering the NO_x Budget opt-in unit to terminate the NO_x Budget opt-in permit as of the effective date specified under paragraph (d)(1) of this section. A NO_x

Budget opt-in unit shall continue to be a NO_x Budget opt-in unit until the effective date of the termination.

(f) *Reapplication upon failure to meet conditions of withdrawal.* If the Administrator denies the request to withdraw the NO_x Budget opt-in unit, the NO_x authorized account representative may submit another request to withdraw in accordance with paragraphs (a) and (b) of this section.

(g) *Ability to return to the NO_x Budget Trading Program.* Once a NO_x Budget opt-in unit withdraws from the NO_x Budget Trading Program and its NO_x Budget opt-in permit is terminated under paragraph (e) of this section, the NO_x authorized account representative may not submit another application for a NO_x Budget opt-in permit under § 97.83 for the unit prior to the date that is 4 years after the date on which the terminated NO_x Budget opt-in permit became effective.

§ 97.87 Change in regulatory status.

(a) *Notification.* When a NO_x Budget opt-in unit becomes a NO_x Budget unit under § 97.4(a), the NO_x authorized account representative shall notify in writing the permitting authority and the Administrator of such change in the NO_x Budget opt-in unit's regulatory status, within 30 days of such change.

(b) *Permitting authority's and Administrator's action.* (1)(i) When the NO_x Budget opt-in unit becomes a NO_x Budget unit under § 97.4(a), the permitting authority will revise the NO_x Budget opt-in unit's NO_x Budget opt-in permit to meet the requirements of a NO_x Budget permit under § 97.23 as of an effective date that is the date on which such NO_x Budget opt-in unit becomes a NO_x Budget unit under § 97.4(a).

(ii)(A) The Administrator will deduct from the compliance account for the NO_x Budget unit under paragraph (b)(1)(i) of this section, or the overdraft account of the NO_x Budget source where the unit is located, NO_x allowances equal in number to and allocated for the same or a prior control period as:

(1) Any NO_x allowances allocated to the NO_x Budget unit (as a NO_x Budget opt-in unit) under § 97.88 for any control period after the last control period during which the unit's NO_x Budget opt-in permit was effective; and

(2) If the effective date of the NO_x Budget permit revision under paragraph (b)(1)(i) of this section is during a control period, the NO_x allowances allocated to the NO_x Budget unit (as a NO_x Budget opt-in unit) under § 97.88 for the control period multiplied by the number of days in the control period

starting with the effective date of the permit revision under paragraph (b)(1)(i) of this section, divided by the total number of days in the control period, and rounded to the nearest whole number of NO_x allowances as appropriate.

(B) The NO_x authorized account representative shall ensure that the compliance account of the NO_x Budget unit under paragraph (b)(1)(i) of this section, or the overdraft account of the NO_x Budget source where the unit is located, contains the NO_x allowances necessary for completion of the deduction under paragraph (b)(1)(ii)(A) of this section. If the compliance account or overdraft account does not contain the necessary NO_x allowances, the Administrator will deduct the required number of NO_x allowances, regardless of the control period for which they were allocated, whenever NO_x allowances are recorded in either account.

(iii)(A) For every control period during which the NO_x Budget permit revised under paragraph (b)(1)(i) of this section is in effect, the NO_x Budget unit under paragraph (b)(1)(i) of this section will be treated, solely for purposes of NO_x allowance allocations under § 97.42, as a unit that commenced operation on the effective date of the NO_x Budget permit revision under paragraph (b)(1)(i) of this section and will be allocated NO_x allowances under § 97.42. The unit's deadline under § 97.84(b) for meeting monitoring requirements in accordance with subpart H of this part shall not be changed by the change in the unit's regulatory status or by the revision of the NO_x Budget permit under paragraph (b)(1)(i) of this section.

(B) Notwithstanding paragraph (b)(1)(iii)(A) of this section, if the effective date of the NO_x Budget permit revision under paragraph (b)(1)(i) of this section is during a control period, the following number of NO_x allowances will be allocated to the NO_x Budget unit under paragraph (b)(1)(i) of this section under § 97.42 for the control period: the number of NO_x allowances otherwise allocated to the NO_x Budget unit under § 97.42 for the control period multiplied by the number of days in the control period starting with the effective date of

the permit revision under paragraph (b)(1)(i) of this section, divided by the total number of days in the control period, and rounded to the nearest whole number of NO_x allowances as appropriate.

(2)(i) When the NO_x authorized account representative of a NO_x Budget opt-in unit does not renew its NO_x Budget opt-in permit under § 97.83(b), the Administrator will deduct from the NO_x Budget opt-in unit's compliance account, or the overdraft account of the NO_x Budget source where the NO_x Budget opt-in unit is located, NO_x allowances equal in number to and allocated for the same or a prior control period as any NO_x allowances allocated to the NO_x Budget opt-in unit under § 97.88 for any control period after the last control period for which the NO_x Budget opt-in permit is effective. The NO_x authorized account representative shall ensure that the NO_x Budget opt-in unit's compliance account or the overdraft account of the NO_x Budget source where the NO_x Budget opt-in unit is located contains the NO_x allowances necessary for completion of such deduction. If the compliance account or overdraft account does not contain the necessary NO_x allowances, the Administrator will deduct the required number of NO_x allowances, regardless of the control period for which they were allocated, whenever NO_x allowances are recorded in either account.

(ii) After the deduction under paragraph (b)(2)(i) of this section is completed, the Administrator will close the NO_x Budget opt-in unit's compliance account. If any NO_x allowances remain in the compliance account after completion of such deduction and any deduction under § 97.54, the Administrator will close the NO_x Budget opt-in unit's compliance account and transfer any remaining allowances to a general account specified by the owners and operators of the NO_x Budget opt-in unit.

§ 97.88 NO_x allowance allocations to opt-in units.

(a) *NO_x allotment allocation.* (1) By April 1 immediately before the first control period for which the NO_x Budget opt-in permit is effective, the Administrator will determine by order

the NO_x allowance allocations for the NO_x Budget opt-in unit for the control period in accordance with paragraph (b) of this section.

(2) By no later than April 1, after the first control period for which the NO_x Budget opt-in permit is in effect, and April 1 of each year thereafter, the Administrator will determine by order the NO_x allowance allocations for the NO_x Budget opt-in unit for the next control period, in accordance with paragraph (b) of this section.

(3) The Administrator will make available to the public each determination of NO_x allowance allocations under paragraph (a)(1) or (2) of this section and will provide an opportunity for submission of objections to the determination. Objections shall be limited to addressing whether the determination is in accordance with paragraph (b) of this section. Based on any such objections, the Administrator will adjust each determination to the extent necessary to ensure that it is in accordance with paragraph (b) of this section.

(b) For each control period for which the NO_x Budget opt-in unit has an approved NO_x Budget opt-in permit, the NO_x Budget opt-in unit will be allocated NO_x allowances in accordance with the following procedures:

(1) The heat input (in mmBtu) used for calculating NO_x allowance allocations will be the lesser of:

(i) The unit's baseline heat input determined pursuant to § 97.84(c); or

(ii) The unit's heat input, as determined in accordance with subpart H of this part, for the control period in the year prior to the year of the control period for which the NO_x allocations are being calculated.

(2) The Administrator will allocate NO_x allowances to the unit in an amount equaling the heat input determined under paragraph (b)(1) of this section multiplied by the lesser of the unit's baseline NO_x emissions rate determined under § 97.84(c) or the most stringent State or federal NO_x emissions limitation applicable to the unit during the control period, divided by 2,000 lb/ton, and rounded to the nearest whole number of NO_x allowances as appropriate.

Appendix A to Part 97—Final Section 126 Rule: EGU Allocations, 2003–2007

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
DC	BENNING	603	15	80
DC	BENNING	603	16	117
DE	CHRISTIANA SUB	591	11	5
DE	CHRISTIANA SUB	591	14	5

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
DE	DELAWARE CITY	52193	B4	141
DE	DELAWARE CITY	52193	ST_1	155
DE	DELAWARE CITY	52193	ST_2	159
DE	DELAWARE CITY	52193	ST_3	158
DE	EDGE MOOR	593	3	234
DE	EDGE MOOR	593	4	401
DE	EDGE MOOR	593	5	602
DE	HAY ROAD	7153	**3	184
DE	HAY ROAD	7153	—1	235
DE	HAY ROAD	7153	—2	207
DE	INDIAN RIVER	594	1	187
DE	INDIAN RIVER	594	2	194
DE	INDIAN RIVER	594	3	369
DE	INDIAN RIVER	594	4	729
DE	MCKEE RUN	599	3	119
DE	VAN SANT STATION	7318	**11	7
IN	ANDERSON	7336	—ACT1	5
IN	ANDERSON	7336	—ACT2	5
IN	CLIFTY CREEK	983	1	558
IN	CLIFTY CREEK	983	2	543
IN	CLIFTY CREEK	983	3	564
IN	CLIFTY CREEK	983	4	525
IN	CLIFTY CREEK	983	5	561
IN	CLIFTY CREEK	983	6	509
IN	CONNERSVILLE	1002	1	1
IN	CONNERSVILLE	1002	2	1
IN	GALLAGHER	1008	1	290
IN	GALLAGHER	1008	2	276
IN	GALLAGHER	1008	3	347
IN	GALLAGHER	1008	4	329
IN	NOBLESVILLE	1007	1	48
IN	NOBLESVILLE	1007	2	45
IN	NOBLESVILLE	1007	3	45
IN	RICHMOND	7335	—RCT1	5
IN	RICHMOND	7335	—RCT2	5
IN	TANNERS CREEK	988	U1	297
IN	TANNERS CREEK	988	U2	235
IN	TANNERS CREEK	988	U3	387
IN	TANNERS CREEK	988	U4	906
IN	WHITEWATER VALLEY	1040	1	74
IN	WHITEWATER VALLEY	1040	2	173
KY	BIG SANDY	1353	BSU1	565
KY	BIG SANDY	1353	BSU2	1,741
KY	CANE RUN	1363	4	397
KY	CANE RUN	1363	5	332
KY	CANE RUN	1363	6	430
KY	COOPER	1384	1	183
KY	COOPER	1384	2	367
KY	DALE	1385	3	161
KY	DALE	1385	4	158
KY	E W BROWN	1355	1	193
KY	E W BROWN	1355	10	37
KY	E W BROWN	1355	2	317
KY	E W BROWN	1355	3	863
KY	E W BROWN	1355	8	34
KY	E W BROWN	1355	9	34
KY	E.W. BROWN	1355	11	21
KY	EAST BEND	6018	2	1,413
KY	GHENT	1356	1	1,232
KY	GHENT	1356	2	1,081
KY	GHENT	1356	3	1,104
KY	GHENT	1356	4	1,132
KY	H L SPURLOCK	6041	1	697
KY	H L SPURLOCK	6041	2	1,589
KY	MILL CREEK	1364	1	528
KY	MILL CREEK	1364	2	600
KY	MILL CREEK	1364	3	941
KY	MILL CREEK	1364	4	1,096
KY	PADDY'S RUN	1366	12	8
KY	PINEVILLE	1360	3	67
KY	TRIMBLE COUNTY	6071	1	1,221
KY	TYRONE	1361	1	3
KY	TYRONE	1361	2	3

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
KY	TYRONE	1361	3	3
KY	TYRONE	1361	4	3
KY	TYRONE	1361	5	117
MD	BRANDON SHORES	602	1	1,827
MD	BRANDON SHORES	602	2	1,713
MD	C P CRANE	1552	1	434
MD	C P CRANE	1552	2	463
MD	CHALK POINT	1571	—GT2	1
MD	CHALK POINT	1571	—GT3	36
MD	CHALK POINT	1571	—GT4	39
MD	CHALK POINT	1571	—GT5	55
MD	CHALK POINT	1571	—GT6	60
MD	CHALK POINT	1571	—SGT1	24
MD	CHALK POINT	1571	1	833
MD	CHALK POINT	1571	2	861
MD	CHALK POINT	1571	3	585
MD	CHALK POINT	1571	4	522
MD	DICKERSON	1572	—GT2	36
MD	DICKERSON	1572	—GT3	66
MD	DICKERSON	1572	1	447
MD	DICKERSON	1572	2	441
MD	DICKERSON	1572	3	481
MD	GOULD STREET	1553	3	81
MD	HERBERT A WAGNER	1554	1	134
MD	HERBERT A WAGNER	1554	2	399
MD	HERBERT A WAGNER	1554	3	723
MD	HERBERT A WAGNER	1554	4	301
MD	MORGANTOWN	1573	—GT3	9
MD	MORGANTOWN	1573	—GT4	9
MD	MORGANTOWN	1573	—GT5	9
MD	MORGANTOWN	1573	—GT6	8
MD	MORGANTOWN	1573	1	1,151
MD	MORGANTOWN	1573	2	1,375
MD	PANDA BRANDYWINE	54832	1	95
MD	PANDA BRANDYWINE	54832	2	84
MD	PERRYMAN	1556	**51	56
MD	PERRYMAN	1556	—GT1	8
MD	PERRYMAN	1556	—GT2	9
MD	PERRYMAN	1556	—GT3	6
MD	PERRYMAN	1556	—GT4	10
MD	R P SMITH	1570	11	143
MD	R P SMITH	1570	9	11
MD	RIVERSIDE	1559	—GT6	11
MD	RIVERSIDE	1559	4	40
MD	VIENNA	1564	8	169
MD	WESTPORT	1560	—GT5	28
MI	491 E. 48TH STREET	7268	—7	11
MI	491 E. 48TH STREET	7268	—8	12
MI	ADA COGEN LTD	10819	CA_Ltd	23
MI	BELLE RIVER	6034	1	1,589
MI	BELLE RIVER	6034	2	1,672
MI	DAN E KARN	1702	1	552
MI	DAN E KARN	1702	2	530
MI	DAN E KARN	1702	3	288
MI	DAN E KARN	1702	4	310
MI	ECKERT STATION	1831	1	52
MI	ECKERT STATION	1831	2	47
MI	ECKERT STATION	1831	3	65
MI	ECKERT STATION	1831	4	116
MI	ECKERT STATION	1831	5	154
MI	ECKERT STATION	1831	6	131
MI	ENDICOTT GENERATING STATION	4259	1	98
MI	ERICKSON	1832	1	381
MI	GREENWOOD	6035	1	373
MI	HANCOCK	1730	5	3
MI	HANCOCK	1730	6	3
MI	HARBOR BEACH	1731	1	97
MI	J B SIMS	1825	3	137
MI	J C WEADOCK	1720	7	346
MI	J C WEADOCK	1720	8	342
MI	J R WHITING	1723	1	225
MI	J R WHITING	1723	2	204
MI	J R WHITING	1723	3	249

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
MI	JAMES DE YOUNG	1830	5	69
MI	MARYSVILLE	1732	10	22
MI	MARYSVILLE	1732	11	16
MI	MARYSVILLE	1732	12	17
MI	MARYSVILLE	1732	9	17
MI	MIDLAND COGENERATION VENTURE	10745	003	269
MI	MIDLAND COGENERATION VENTURE	10745	004	276
MI	MIDLAND COGENERATION VENTURE	10745	005	271
MI	MIDLAND COGENERATION VENTURE	10745	006	273
MI	MIDLAND COGENERATION VENTURE	10745	007	280
MI	MIDLAND COGENERATION VENTURE	10745	008	277
MI	MIDLAND COGENERATION VENTURE	10745	009	273
MI	MIDLAND COGENERATION VENTURE	10745	010	271
MI	MIDLAND COGENERATION VENTURE	10745	011	274
MI	MIDLAND COGENERATION VENTURE	10745	012	269
MI	MIDLAND COGENERATION VENTURE	10745	013	275
MI	MIDLAND COGENERATION VENTURE	10745	014	269
MI	MISTERSKY	1822	5	33
MI	MISTERSKY	1822	6	155
MI	MISTERSKY	1822	7	98
MI	MONROE	1733	1	1,902
MI	MONROE	1733	2	1,555
MI	MONROE	1733	3	1,574
MI	MONROE	1733	4	1,822
MI	RIVER ROUGE	1740	1	0
MI	RIVER ROUGE	1740	2	627
MI	RIVER ROUGE	1740	3	652
MI	ROUGE POWERHOUSE #1	10272	1	232
MI	ST CLAIR	1743	1	339
MI	ST CLAIR	1743	2	304
MI	ST CLAIR	1743	3	351
MI	ST CLAIR	1743	4	349
MI	ST CLAIR	1743	5	0
MI	ST CLAIR	1743	6	646
MI	ST CLAIR	1743	7	733
MI	TRENTON CHANNEL	1745	16	132
MI	TRENTON CHANNEL	1745	17	124
MI	TRENTON CHANNEL	1745	18	130
MI	TRENTON CHANNEL	1745	19	126
MI	TRENTON CHANNEL	1745	9A	968
MI	WYANDOTTE	1866	5	8
MI	WYANDOTTE	1866	7	81
MI	WYANDOTTE	1866	8	36
NC	ASHEVILLE	2706	1	491
NC	ASHEVILLE	2706	2	479
NC	BELEWS CREEK	8042	1	2,306
NC	BELEWS CREEK	8042	2	2,688
NC	BUCK	2720	5	59
NC	BUCK	2720	6	65
NC	BUCK	2720	7	69
NC	BUCK	2720	8	284
NC	BUCK	2720	9	300
NC	BUTLER WARNER GEN PL	1016	—1	40
NC	BUTLER WARNER GEN PL	1016	—2	40
NC	BUTLER WARNER GEN PL	1016	—3	40
NC	BUTLER WARNER GEN PL	1016	—6	42
NC	BUTLER WARNER GEN PL	1016	—7	40
NC	BUTLER WARNER GEN PL	1016	—8	40
NC	BUTLER WARNER GEN PL	1016	—9	103
NC	CAPE FEAR	2708	5	255
NC	CAPE FEAR	2708	6	361
NC	CLIFFSIDE	2721	1	67
NC	CLIFFSIDE	2721	2	73
NC	CLIFFSIDE	2721	3	95
NC	CLIFFSIDE	2721	4	107
NC	CLIFFSIDE	2721	5	1,180
NC	COGENTRIX-ROCKY MOUNT	50468	ST_unt	303
NC	COGENTRIX ELIZABETHTOWN	10380	ST_OWN	111
NC	COGENTRIX KENANSVILLE	10381	ST_LLE	102
NC	COGENTRIX LUMBERTON	10382	ST_TON	111
NC	COGENTRIX ROXBORO	10379	ST_ORO	166
NC	COGENTRIX SOUTHPORT	10378	ST_ORT	335
NC	CRAVEN COUNTY WOOD ENERGY	10525	ST_RGY	231

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
NC	DAN RIVER	2723	1	117
NC	DAN RIVER	2723	2	128
NC	DAN RIVER	2723	3	271
NC	G G ALLEN	2718	1	311
NC	G G ALLEN	2718	2	316
NC	G G ALLEN	2718	3	525
NC	G G ALLEN	2718	4	470
NC	G G ALLEN	2718	5	514
NC	L V SUTTON	2713	1	162
NC	L V SUTTON	2713	2	176
NC	L V SUTTON	2713	3	717
NC	L V SUTTON	2713	CT2B	2
NC	LEE	2709	1	129
NC	LEE	2709	2	142
NC	LEE	2709	3	414
NC	LEE	2709	CT4	1
NC	LINCOLN	7277	1	33
NC	LINCOLN	7277	10	31
NC	LINCOLN	7277	11	33
NC	LINCOLN	7277	12	31
NC	LINCOLN	7277	13	26
NC	LINCOLN	7277	14	26
NC	LINCOLN	7277	15	25
NC	LINCOLN	7277	16	25
NC	LINCOLN	7277	2	33
NC	LINCOLN	7277	3	31
NC	LINCOLN	7277	4	31
NC	LINCOLN	7277	5	29
NC	LINCOLN	7277	6	30
NC	LINCOLN	7277	7	24
NC	LINCOLN	7277	8	25
NC	LINCOLN	7277	9	32
NC	MARSHALL	2727	1	899
NC	MARSHALL	2727	2	940
NC	MARSHALL	2727	3	1,588
NC	MARSHALL	2727	4	1,570
NC	MAYO	6250	1A	893
NC	MAYO	6250	1B	875
NC	PANDA-ROSEMARY	50555	CT_ary	62
NC	PANDA-ROSEMARY	50555	CW_ary	47
NC	RIVERBEND	2732	10	266
NC	RIVERBEND	2732	7	193
NC	RIVERBEND	2732	8	200
NC	RIVERBEND	2732	9	253
NC	ROANOKE VALLEY	50254	1	440
NC	ROANOKE VALLEY	50254	2	140
NC	ROXBORO	2712	1	766
NC	ROXBORO	2712	2	1,426
NC	ROXBORO	2712	3A	792
NC	ROXBORO	2712	3B	785
NC	ROXBORO	2712	4A	778
NC	ROXBORO	2712	4B	733
NC	TOBACCOVILLE	50221	1	53
NC	TOBACCOVILLE	50221	2	53
NC	TOBACCOVILLE	50221	3	53
NC	TOBACCOVILLE	50221	4	53
NC	UNC—CHAPEL HILL	54276	ST_ill	14
NC	W H WEATHERSPOON	2716	1	76
NC	W H WEATHERSPOON	2716	2	86
NC	W H WEATHERSPOON	2716	3	161
NC	W H WEATHERSPOON	2716	CT-1	4
NC	W H WEATHERSPOON	2716	CT-2	3
NC	W H WEATHERSPOON	2716	CT-3	2
NC	W H WEATHERSPOON	2716	CT-4	4
NJ	B L ENGLAND	2378	1	353
NJ	B L ENGLAND	2378	2	417
NJ	B L ENGLAND	2378	3	114
NJ	BAYONNE	50497	1	139
NJ	BAYONNE	50497	2	143
NJ	BAYONNE	50497	3	140
NJ	BERGEN	2398	1101	152
NJ	BERGEN	2398	1201	157
NJ	BERGEN	2398	1301	155

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
NJ	BERGEN	2398	1401	152
NJ	BURLINGTON	2399	101	30
NJ	BURLINGTON	2399	102	34
NJ	BURLINGTON	2399	103	39
NJ	BURLINGTON	2399	104	47
NJ	BURLINGTON	2399	11-1	2
NJ	BURLINGTON	2399	11-2	2
NJ	BURLINGTON	2399	11-3	2
NJ	BURLINGTON	2399	11-4	2
NJ	BURLINGTON	2399	7	17
NJ	BURLINGTON	2399	9-1	4
NJ	BURLINGTON	2399	9-2	4
NJ	BURLINGTON	2399	9-3	4
NJ	BURLINGTON	2399	9-4	4
NJ	CAMDEN	10751	1	378
NJ	CARLL'S CORNER STATION	2379	1	2
NJ	CARLL'S CORNER STATION	2379	2	16
NJ	CARNEYS POINT (CCLP) NUG	10566	ST_NUG	527
NJ	CEDAR STATION	2380	1E&W	5
NJ	CUMBERLAND	5083	—GT1	40
NJ	DEEPWATER	2384	1	49
NJ	DEEPWATER	2384	4	5
NJ	DEEPWATER	2384	6	42
NJ	DEEPWATER	2384	8	195
NJ	EDISON	2400	1-1A&B	3
NJ	EDISON	2400	1-2A&B	3
NJ	EDISON	2400	1-3A&B	3
NJ	EDISON	2400	1-4A&B	3
NJ	EDISON	2400	2-1A&B	7
NJ	EDISON	2400	2-2A&B	7
NJ	EDISON	2400	2-3A&B	7
NJ	EDISON	2400	2-4A&B	7
NJ	EDISON	2400	3-1A&B	7
NJ	EDISON	2400	3-2A&B	7
NJ	EDISON	2400	3-3A&B	7
NJ	EDISON	2400	3-4A&B	7
NJ	ESSEX	2401	10-1A&B	10
NJ	ESSEX	2401	10-2A&B	10
NJ	ESSEX	2401	10-3A&B	10
NJ	ESSEX	2401	10-4A&B	10
NJ	ESSEX	2401	11-1A&B	11
NJ	ESSEX	2401	11-2A&B	11
NJ	ESSEX	2401	11-3A&B	11
NJ	ESSEX	2401	11-4A&B	11
NJ	ESSEX	2401	12-1A&B	13
NJ	ESSEX	2401	12-2A&B	13
NJ	ESSEX	2401	12-3A&B	13
NJ	ESSEX	2401	12-4A&B	13
NJ	ESSEX	2401	9	66
NJ	FORKED RIVER	7138	—1	17
NJ	FORKED RIVER	7138	—2	17
NJ	GILBERT	2393	03	47
NJ	GILBERT	2393	04	64
NJ	GILBERT	2393	05	63
NJ	GILBERT	2393	06	61
NJ	GILBERT	2393	07	63
NJ	GILBERT	2393	1	4
NJ	GILBERT	2393	2	4
NJ	GILBERT	2393	CT-9	61
NJ	HUDSON	2403	1	175
NJ	HUDSON	2403	2	884
NJ	HUDSON	2403	3	3
NJ	KEARNY	2404	10	26
NJ	KEARNY	2404	11	34
NJ	KEARNY	2404	12-1	8
NJ	KEARNY	2404	12-2	8
NJ	KEARNY	2404	12-3	8
NJ	KEARNY	2404	12-4	8
NJ	KEARNY	2404	7	35
NJ	KEARNY	2404	8	16
NJ	LINDEN	2406	11	16
NJ	LINDEN	2406	12	11
NJ	LINDEN	2406	13	20

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
NJ	LINDEN	2406	2	52
NJ	LINDEN	2406	6	2
NJ	LINDEN	2406	7	60
NJ	LINDEN	2406	8	70
NJ	LINDEN COGEN	50006	100	276
NJ	LINDEN COGEN	50006	200	280
NJ	LINDEN COGEN	50006	300	274
NJ	LINDEN COGEN	50006	400	272
NJ	LINDEN COGEN	50006	500	278
NJ	LOGAN GENERATING PLANT	10043	1	424
NJ	MERCER	2408	1	489
NJ	MERCER	2408	2	558
NJ	MICKELTON	8008	1	28
NJ	MIDDLE ST	2382	3	4
NJ	MILFORD POWER LP	10616	1	44
NJ	MOBIL NUG	n114	CT_NUG	40
NJ	NEWARK BAY COGEN	50385	1	9
NJ	NEWARK BAY COGEN	50385	2	9
NJ	NORTH JERSEY ENERGY ASSOCIATES	10308	1	19
NJ	NORTH JERSEY ENERGY ASSOCIATES	10308	2	19
NJ	O'BRIEN (NEWARK) COGENERATION, INC.	50797	1	8
NJ	O'BRIEN (PARLIN) COGENERATION, INC.	50799	1	8
NJ	O'BRIEN (PARLIN) COGENERATION, INC.	50799	2	8
NJ	PEDRICKTOWN COGEN	10099	1	13
NJ	PRIME ENERGY LP	50852	1	178
NJ	SALEM	2410	3A&B	3
NJ	SAYREVILLE	2390	07	40
NJ	SAYREVILLE	2390	08	51
NJ	SAYREVILLE	2390	C-1	16
NJ	SAYREVILLE	2390	C-2	13
NJ	SAYREVILLE	2390	C-3	11
NJ	SAYREVILLE	2390	C-4	13
NJ	SEWAREN	2411	1	42
NJ	SEWAREN	2411	2	45
NJ	SEWAREN	2411	3	58
NJ	SEWAREN	2411	4	91
NJ	SEWAREN	2411	6	2
NJ	SHERMAN	7288	CT-1	37
NJ	VINELAND VCLP NUG	54807	GT_NUG	40
NJ	WERNER	2385	04	14
NJ	WERNER	2385	C-1	7
NJ	WERNER	2385	C-2	6
NJ	WERNER	2385	C-3	7
NJ	WERNER	2385	C-4	7
NJ	WEST STAT	6776	1	10
NY	59TH STREET	2503	114	41
NY	59TH STREET	2503	115	32
NY	74TH STREET	2504	120	70
NY	74TH STREET	2504	121	80
NY	74TH STREET	2504	122	65
NY	ARTHUR KILL	2490	20	524
NY	ARTHUR KILL	2490	30	380
NY	ASTORIA	8906	30	557
NY	ASTORIA	8906	40	505
NY	ASTORIA	8906	50	561
NY	ASTORIA	8906	GT2-1	9
NY	ASTORIA	8906	GT2-2	9
NY	ASTORIA	8906	GT2-3	9
NY	ASTORIA	8906	GT2-4	9
NY	ASTORIA	8906	GT3-1	9
NY	ASTORIA	8906	GT3-2	9
NY	ASTORIA	8906	GT3-3	9
NY	ASTORIA	8906	GT3-4	9
NY	ASTORIA	8906	GT4-1	9
NY	ASTORIA	8906	GT4-2	9
NY	ASTORIA	8906	GT4-3	9
NY	ASTORIA	8906	GT4-4	9
NY	BOWLINE POINT	2625	1	749
NY	BOWLINE POINT	2625	2	566
NY	BROOKLYN NAVY YARD	54914	1	239
NY	BROOKLYN NAVY YARD	54914	2	220
NY	CHARLES POLETTI	2491	001	883
NY	DANSKAMMER	2480	1	34

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
NY	DANSKAMMER	2480	2	45
NY	DANSKAMMER	2480	3	229
NY	DANSKAMMER	2480	4	449
NY	EF BARRETT	2511	10	285
NY	EF BARRETT	2511	20	287
NY	EAST RIVER	2493	50	33
NY	EAST RIVER	2493	60	319
NY	EAST RIVER	2493	70	113
NY	FAR ROCKAWAY	2513	40	138
NY	GLENWOOD	2514	40	151
NY	GLENWOOD	2514	50	124
NY	GLENWOOD	2514	U00020	1
NY	GLENWOOD	2514	U00021	1
NY	HUDSON AVENUE	2496	100	162
NY	LOVETT	2629	3	74
NY	LOVETT	2629	4	304
NY	LOVETT	2629	5	380
NY	NISSEQUOGUE COGEN PARTNERS	4931	1	86
NY	NORTHPORT	2516	1	343
NY	NORTHPORT	2516	2	533
NY	NORTHPORT	2516	3	375
NY	NORTHPORT	2516	4	582
NY	O&R HILLBURN GT	2628	1	2
NY	O&R SHOEMAKER GT	2632	1	10
NY	PORT JEFFERSON	2517	3	270
NY	PORT JEFFERSON	2517	4	253
NY	RAVENSWOOD	2500	10	299
NY	RAVENSWOOD	2500	20	363
NY	RAVENSWOOD	2500	30	1,360
NY	RAVENSWOOD	2500	GT2-1	3
NY	RAVENSWOOD	2500	GT2-2	3
NY	RAVENSWOOD	2500	GT2-3	3
NY	RAVENSWOOD	2500	GT2-4	3
NY	RAVENSWOOD	2500	GT3-1	3
NY	RAVENSWOOD	2500	GT3-2	3
NY	RAVENSWOOD	2500	GT3-3	3
NY	RAVENSWOOD	2500	GT3-4	3
NY	RICHARD M FLYNN	7314	NA1	246
NY	RICHARD M FLYNN	7314	NA2	25
NY	ROSETON	8006	1	479
NY	ROSETON	8006	2	595
NY	TRIGEN-NDEC	52056	4	105
NY	WADING RIVER	7146	1	8
NY	WADING RIVER	7146	2	8
NY	WADING RIVER	7146	3	8
NY	WADING RIVER	7146	UGT013	1
NY	WATERSIDE	2502	61	84
NY	WATERSIDE	2502	62	91
NY	WATERSIDE	2502	80	208
NY	WATERSIDE	2502	90	208
NY	WEST BABYLON	2521	1	2
OH	ASHTABULA	2835	10	75
OH	ASHTABULA	2835	11	80
OH	ASHTABULA	2835	7	333
OH	ASHTABULA	2835	8	70
OH	ASHTABULA	2835	9	66
OH	AVON LAKE	2836	10	139
OH	AVON LAKE	2836	12	1,040
OH	AVON LAKE	2836	9	41
OH	AVON LAKE	2836	CT10	3
OH	BAY SHORE	2878	1	208
OH	BAY SHORE	2878	2	229
OH	BAY SHORE	2878	3	213
OH	BAY SHORE	2878	4	330
OH	CARDINAL	2828	1	1,030
OH	CARDINAL	2828	2	1,083
OH	CARDINAL	2828	3	1,079
OH	CONESVILLE	2840	1	214
OH	CONESVILLE	2840	2	203
OH	CONESVILLE	2840	3	212
OH	CONESVILLE	2840	4	1,119
OH	CONESVILLE	2840	5	731
OH	CONESVILLE	2840	6	736

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
OH	DICKS CREEK	2831	1	7
OH	EASTLAKE	2837	1	214
OH	EASTLAKE	2837	2	230
OH	EASTLAKE	2837	3	251
OH	EASTLAKE	2837	4	371
OH	EASTLAKE	2837	5	974
OH	EASTLAKE	2837	6	1
OH	EDGEWATER	2857	13	65
OH	EDGEWATER	2857	A	1
OH	EDGEWATER	2857	B	1
OH	FRANK M TAIT	2847	GT1	23
OH	FRANK M TAIT	2847	GT2	25
OH	GEN J M GAVIN	8102	1	2,744
OH	GEN J M GAVIN	8102	2	2,981
OH	HAMILTON	2917	9	110
OH	J M STUART	2850	1	1,054
OH	J M STUART	2850	2	1,228
OH	J M STUART	2850	3	1,074
OH	J M STUART	2850	4	1,106
OH	KILLEN STATION	6031	2	1,706
OH	KYGER CREEK	2876	1	471
OH	KYGER CREEK	2876	2	471
OH	KYGER CREEK	2876	3	478
OH	KYGER CREEK	2876	4	465
OH	KYGER CREEK	2876	5	455
OH	LAKE SHORE	2838	18	195
OH	MAD RIVER	2860	A	2
OH	MAD RIVER	2860	B	2
OH	MIAMI FORT	2832	5-1	35
OH	MIAMI FORT	2832	5-2	35
OH	MIAMI FORT	2832	6	398
OH	MIAMI FORT	2832	7	1,044
OH	MIAMI FORT	2832	8	1,015
OH	MIAMI FORT	2832	CT2	1
OH	MUSKINGUM RIVER	2872	1	309
OH	MUSKINGUM RIVER	2872	2	316
OH	MUSKINGUM RIVER	2872	3	347
OH	MUSKINGUM RIVER	2872	4	349
OH	MUSKINGUM RIVER	2872	5	1,105
OH	NILES	2861	1	212
OH	NILES	2861	2	160
OH	NILES	2861	A	2
OH	O H HUTCHINGS	2848	H-1	24
OH	O H HUTCHING	2848	H-2	37
OH	O H HUTCHINGS	2848	H-3	64
OH	O H HUTCHINGS	2848	H-4	68
OH	O H HUTCHINGS	2848	H-5	62
OH	O H HUTCHINGS	2848	H-6	69
OH	O H HUTCHINGS	2848	H-7	1
OH	PICWAY	2843	9	141
OH	R E BURGER	2864	1	0
OH	R E BURGER	2864	2	0
OH	R E BURGER	2864	3	0
OH	R E BURGER	2864	4	0
OH	R E BURGER	2864	5	14
OH	R E BURGER	2864	6	13
OH	R E BURGER	2864	7	337
OH	R E BURGER	2864	8	274
OH	RICHARD GORSUCH	7286	1	146
OH	RICHARD GORSUCH	7286	2	138
OH	RICHARD GORSUCH	7286	3	144
OH	RICHARD GORSUCH	7286	4	146
OH	W H SAMMIS	2866	1	402
OH	W H SAMMIS	2866	2	418
OH	W H SAMMIS	2866	3	400
OH	W H SAMMIS	2866	4	415
OH	W H SAMMIS	2866	5	631
OH	W H SAMMIS	2866	6	1,221
OH	W H SAMMIS	2866	7	1,259
OH	W H ZIMMER	6019	1	2,918
OH	WALTER C BECKJORD	2830	1	167
OH	WALTER C BECKJORD	2830	2	198
OH	WALTER C BECKJORD	2830	3	281

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
OH	WALTER C BECKJORD	2830	4	347
OH	WALTER C BECKJORD	2830	5	481
OH	WALTER C BECKJORD	2830	6	850
OH	WALTER C BECKJORD	2830	CT1	3
OH	WALTER C BECKJORD	2830	CT2	3
OH	WALTER C BECKJORD	2830	CT3	4
OH	WALTER C BECKJORD	2830	CT4	2
OH	WEST LORAIN	2869	1A	0
OH	WEST LORAIN	2869	1B	0
OH	WOODSDALE	7158	—GT1	30
OH	WOODSDALE	7158	—GT2	30
OH	WOODSDALE	7158	—GT3	39
OH	WOODSDALE	7158	—GT4	37
OH	WOODSDALE	7158	—GT5	40
OH	WOODSDALE	7158	—GT6	39
PA	AES BEAVER VALLEY	10676	032	144
PA	AES BEAVER VALLEY	10676	033	131
PA	AES BEAVER VALLEY	10676	034	133
PA	AES BEAVER VALLEY	10676	035	67
PA	ARMSTRONG	3178	1	363
PA	ARMSTRONG	3178	2	383
PA	BRUCE MANSFIELD	6094	1	1,657
PA	BRUCE MANSFIELD	6094	2	1,672
PA	BRUCE MANSFIELD	6094	3	1,636
PA	BRUNNER ISLAND	3140	1	568
PA	BRUNNER ISLAND	3140	2	718
PA	BRUNNER ISLAND	3140	3	1,539
PA	BRUNOT ISLAND	3096	2A	0
PA	BRUNOT ISLAND	3096	2B	0
PA	BRUNOT ISLAND	3096	3	0
PA	CAMBRIA COGEN	10641	1	155
PA	CAMBRIA COGEN	10641	2	161
PA	CHESWICK	8226	1	1,119
PA	COLVER POWER PROJECT	10143	1	291
PA	CONEMAUGH	3118	1	2,167
PA	CONEMAUGH	3118	2	1,995
PA	CROMBY	3159	1	377
PA	CROMBY	3159	2	201
PA	DELAWARE	3160	71	61
PA	DELAWARE	3160	81	56
PA	EBENSBURG POWER	10603	1	191
PA	EDDYSTONE	3161	1	565
PA	EDDYSTONE	3161	2	636
PA	EDDYSTONE	3161	3	207
PA	EDDYSTONE	3161	4	237
PA	ELRAMA	3098	1	214
PA	ELRAMA	3098	2	209
PA	ELRAMA	3098	3	208
PA	ELRAMA	3098	4	428
PA	FOSTER WHEELER MT. CARMEL	10343	AB_NUG	152
PA	GILBERTON POWER NUG	010113	AB_NUG	273
PA	GPU GENCO WAYNE	3134	1	8
PA	HATFIELD'S FERRY	3179	1	1,155
PA	HATFIELD'S FERRY	3179	2	1,029
PA	HATFIELD'S FERRY	3179	3	1,087
PA	HOLTWOOD	3145	17	246
PA	HOMER CITY	3122	1	1,471
PA	HOMER CITY	3122	2	1,553
PA	HOMER CITY	3122	3	1,437
PA	HUNLOCK PWR STATION	3176	6	131
PA	KEYSTONE	3136	1	2,154
PA	KEYSTONE	3136	2	2,133
PA	KIMBERLY-CLARK	3157	10	211
PA	MARTINS CREEK	3148	1	314
PA	MARTINS CREEK	3148	2	293
PA	MARTINS CREEK	3148	3	543
PA	MARTINS CREEK	3148	4	500
PA	MITCHELL	3181	1	10
PA	MITCHELL	3181	2	6
PA	MITCHELL	3181	3	9
PA	MITCHELL	3181	33	556
PA	MONTOUR	3149	1	1,560
PA	MONTOUR	3149	2	1,673

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
PA	MOUNTAIN	3111	1	5
PA	MOUNTAIN	3111	2	5
PA	NEW CASTLE	3138	3	190
PA	NEW CASTLE	3138	4	195
PA	NEW CASTLE	3138	5	245
PA	NORCON POWER PARTNERS LP	54571	1	103
PA	NORCON POWER PARTNERS LP	54571	2	109
PA	NORTHAMPTON GENERATING	50888	1	291
PA	NORTHEASTERN POWER	50039		188
PA	PANTHER CREEK	50776	1	134
PA	PANTHER CREEK	50776	2	130
PA	PECO ENERGY CROYDEN	8012	11	11
PA	PECO ENERGY CROYDEN	8012	12	9
PA	PECO ENERGY CROYDEN	8012	21	5
PA	PECO ENERGY CROYDEN	8012	22	11
PA	PECO ENERGY CROYDEN	8012	31	13
PA	PECO ENERGY CROYDEN	8012	32	6
PA	PECO ENERGY CROYDEN	8012	41	11
PA	PECO ENERGY CROYDEN	8012	42	9
PA	PECO ENERGY RICHMOND	3168	91	10
PA	PECO ENERGY RICHMOND	3168	92	9
PA	PHILLIPS POWER STATION	3099	3	0
PA	PHILLIPS POWER STATION	3099	4	0
PA	PHILLIPS POWER STATION	3099	5	0
PA	PHILLIPS POWER STATION	3099	6	0
PA	PINEY CREEK	54144	1	102
PA	PORTLAND	3113	—5	48
PA	PORTLAND	3113	1	266
PA	PORTLAND	3113	2	412
PA	SCHUYLKILL	3169	1	84
PA	SCHUYLKILL ENERGY RESOURCES	880010	1	289
PA	SCHUYLKILL STATION (TURBI	50607	AB_NUG	701
PA	SCRUBGRASS GENERATING PLANT	50974	1	124
PA	SCRUBGRASS GENERATING PLANT	50974	2	123
PA	SEWARD	3130	12	64
PA	SEWARD	3130	14	72
PA	SEWARD	3130	15	355
PA	SHAWVILLE	3131	1	295
PA	SHAWVILLE	3131	2	294
PA	SHAWVILLE	3131	3	380
PA	SHAWVILLE	3131	4	392
PA	SUNBURY	3152	1A	134
PA	SUNBURY	3152	1B	122
PA	SUNBURY	3152	2A	130
PA	SUNBURY	3152	2B	134
PA	SUNBURY	3152	3	263
PA	SUNBURY	3152	4	302
PA	TITUS	3115	1	161
PA	TITUS	3115	2	152
PA	TITUS	3115	3	151
PA	TOLNA	3116	1	3
PA	TOLNA	3116	2	4
PA	TRIGEN ENERGY SANSOM	880006	1	12
PA	TRIGEN ENERGY SANSOM	880006	2	10
PA	TRIGEN ENERGY SANSOM	880006	3	5
PA	TRIGEN ENERGY SANSOM	880006	4	6
PA	WARREN	3132	1	47
PA	WARREN	3132	2	32
PA	WARREN	3132	3	40
PA	WARREN	3132	4	42
PA	WARREN	3132	CT1	14
PA	WESTWOOD ENERGY PROPRTIE	50611	031	98
PA	WHEELABRATOR FRACKVILLE E	50879	GEN1	161
PA	WILLIAMS GEN—HAZELTON	10870	HRSG	16
PA	WILLIAMS GEN—HAZELTON	10870	TURBN	141
VA	BELLMEADE	7696	1	76
VA	BELLMEADE	7696	2	88
VA	BREMO BLUFF	3796	3	137
VA	BREMO BLUFF	3796	4	386
VA	CHESAPEAKE	3803	1	298
VA	CHESAPEAKE	3803	2	308
VA	CHESAPEAKE	3803	3	370
VA	CHESAPEAKE	3803	4	571

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
VA	CHESAPEAKE CORP.	10017	ST_rp.	59
VA	CHESTERFIELD	3797	—8	263
VA	CHESTERFIELD	3797	3	232
VA	CHESTERFIELD	3797	4	389
VA	CHESTERFIELD	3797	5	769
VA	CHESTERFIELD	3797	6	1,348
VA	CHESTERFIELD	3797	7	316
VA	CLINCH RIVER	3775	1	548
VA	CLINCH RIVER	3775	2	520
VA	CLINCH RIVER	3775	3	575
VA	CLOVER	7213	1	1,033
VA	CLOVER	7213	2	1,118
VA	COGENTRIX—HOPEWELL	10377	ST_ell	327
VA	COGENTRIX—PORTSMOUTH	10071	ST_uth	356
VA	COGENTRIX RICHMOND 1	54081	ST_d 1	299
VA	COGENTRIX RICHMOND 2	54081	ST_d 2	209
VA	COMMONWEALTH ATLANTIC LP	52087	GT_LP	35
VA	DARBYTOWN	7212	—1	29
VA	DARBYTOWN	7212	—2	28
VA	DARBYTOWN	7212	—3	30
VA	DARBYTOWN	7212	—4	29
VA	DOSWELL #1	52019	CA_#1	46
VA	DOSWELL #1	52019	CT_#1	94
VA	DOSWELL #2	52019	CA_#2	46
VA	DOSWELL #2	52019	CT_#2	94
VA	GLEN LYN	3776	51	101
VA	GLEN LYN	3776	52	110
VA	GLEN LYN	3776	6	487
VA	GORDONSVILLE 1	54844	CA_e 1	16
VA	GORDONSVILLE 1	54844	CT_e 1	33
VA	GORDONSVILLE 2	54844	CA_Xe 2	17
VA	GORDONSVILLE 2	54844	CT_e 2	34
VA	GRAVEL NECK	7032	—3	21
VA	GRAVEL NECK	7032	—X4	24
VA	GRAVEL NECK	7032	—5	14
VA	GRAVEL NECK	7032	—6	18
VA	HOPEWELL COGEN, INC.	10633	CT_nc.	102
VA	HOPEWELL COGEN, INC.	10633	CW_nc.	53
VA	LG&E-WESTMORELAND ALTAVISTA	10773	1	18
VA	LG&E-WESTMORELAND ALTAVISTA	10773	2	18
VA	LG&E-WESTMORELAND HOPEWELL	10771	1	17
VA	LG&E-WESTMORELAND HOPEWELL	10771	2	16
VA	LG&E-WESTMORELAND SOUTHAMPTON	10774	1	23
VA	LG&E-WESTMORELAND SOUTHAMPTON	10774	2	29
VA	MECKLENBURG	52007	ST_urg	234
VA	POSSUM POINT	3804	3	221
VA	POSSUM POINT	3804	4	528
VA	POSSUM POINT	3804	5	322
VA	POTOMAC RIVER	3788	1	203
VA	POTOMAC RIVER	3788	2	139
VA	POTOMAC RIVER	3788	3	232
VA	POTOMAC RIVER	3788	4	223
VA	POTOMAC RIVER	3788	5	222
VA	SEI BIRCHWOOD	12	1	90
VA	SEI BIRCHWOOD	12	2	2
VA	STONE CONTAINER	50813	ST_ner	68
VA	TASLEY	3785	10	6
VA	YORKTOWN	3809	1	386
VA	YORKTOWN	3809	2	419
VA	YORKTOWN	3809	3	764
WV	ALBRIGHT	3942	1	76
WV	ALBRIGHT	3942	2	71
WV	ALBRIGHT	3942	3	241
WV	FORT MARTIN	3943	1	887
WV	FORT MARTIN	3943	2	868
WV	GRANT TOWN	10151	ST_own	156
WV	HARRISON	3944	1	1,385
WV	HARRISON	3944	2	1,444
WV	HARRISON	3944	3	1,505
WV	JOHN E AMOS	3935	1	1,254
WV	JOHN E AMOS	3935	2	1,198
WV	JOHN E AMOS	3935	3	1,859
WV	KAMMER	3947	1	399

ST	Plant	Plant_id	Point_id	NO _x allocation for EGUs
WV	KAMMER	3947	2	418
WV	KAMMER	3947	3	447
WV	KANAWHA RIVER	3936	1	336
WV	KANAWHA RIVER	3936	2	323
WV	MITCHELL	3948	1	1,288
WV	MITCHELL	3948	2	1,191
WV	MORGANTOWN ENERGY ASSOCIATES	27	1	80
WV	MORGANTOWN ENERGY ASSOCIATES	27	2	80
WV	MOUNTAINEER (1301)	6264	1	1,952
WV	MT STORM	3954	1	1,048
WV	MT STORM	3954	2	1,127
WV	MT STORM	3954	3	1,236
WV	NORTH BRANCH	7537	1A	51
WV	NORTH BRANCH	7537	1B	53
WV	PHIL SPORN	3938	11	239
WV	PHIL SPORN	3938	21	215
WV	PHIL SPORN	3938	31	239
WV	PHIL SPORN	3938	41	230
WV	PHIL SPORN	3938	51	708
WV	PLEASANTS	6004	1	1,296
WV	PLEASANTS	6004	2	1,165
WV	RIVESVILLE	3945	7	38
WV	RIVESVILLE	3945	8	88
WV	WILLOW ISLAND	3946	1	79
WV	WILLOW ISLAND	3946	2	246

Appendix B to Part 97—Final Section 126 Rule: Non-EGU Allocations, 2003–2007

State	County	Plant	Plant ID	Point ID	NO _x allocation for non-EGUs
DC	Washington	GSA CENTRAL HEATING PLANT	0025	003	0
DC	Washington	GSA CENTRAL HEATING PLANT	0025	004	0
DC	Washington	GSA CENTRAL HEATING PLANT	0025	005	0
DC	Washington	GSA CENTRAL HEATING PLANT	0025	006	0
DC	Washington	GSA WEST HEATING PLANT	0024	003	13
DC	Washington	GSA WEST HEATING PLANT	0024	005	12
DE	Kent	KRAFT FOODS INC	0007	001	0
DE	New Castle	MOTIVA ENTERPRISES (FORMERLY STAR ENTERPRISE, DELAWARE CITY PLANT).	0016	002	102
DE	New Castle	MOTIVA ENTERPRISES (FORMERLY STAR ENTERPRISE, DELAWARE CITY PLANT).	0016	012	118
IN	Allen	MICHELIN NORTH AMERICA, INC	0008	001	39
IN	Elkhart	SUPERIOR LAMINATING, INC	0198	002	23
IN	Kosciusko	THE DALTON FOUNDRIES INC	0003	001	16
KY	Boyd	ASHLAND OIL INC	0004	061	23
KY	Carroll	DOW CORNING CORP	0004	0AA	18
KY	Shelby	ICHIKOH MANUFACTURING	0034	003	0
KY	Shelby	ICHIKOH MANUFACTURING	0034	004	0
KY	Shelby	ICHIKOH MANUFACTURING	0034	005	0
KY	Lawrence	KENTUCKY POWER CO	0003	004	0
KY	Scott	TOYOTA MOTOR MFG USA INC	0030	0AA	6
KY	Hardin	USAARMC & FORT KNOX	0022	013	3
MD	Baltimore	BETHLEHEM STEEL	0147	016	75
MD	Baltimore	BETHLEHEM STEEL	0147	017	75
MD	Baltimore	BETHLEHEM STEEL	0147	018	75
MD	Baltimore	BETHLEHEM STEEL	0147	019	75
MD	Allegany	WESTVACO	0011	001	289
MD	Allegany	WESTVACO	0011	002	373
MI	Wayne	DETROIT EDISON CO	B2810	0003	31
MI	Midland	DOW CHEMICAL USA	A4033	0084	19
MI	Midland	DOW CHEMICAL USA	A4033	0401	6
MI	Midland	DOW CHEMICAL USA	A4033	0402	0
MI	Wayne	DSC LTD	B3680	0006	30
MI	Genesee	GENERAL MOTORS CORP	A1178	0501	63
MI	Genesee	GENERAL MOTORS CORP	A1178	0502	47
MI	Oakland	GENERAL MOTORS CORP	B4031	0506	22
MI	Genesee	GENERAL MOTORS CORP	A1178	0507	20
MI	Oakland	GENERAL MOTORS CORP	B4032	0510	4
MI	Kalamazoo	GEORGIA PACIFIC CORP	B4209	0005	6
MI	Kalamazoo	JAMES RIVER PAPER CO INC	B1678	0003	90
MI	Wayne	MARATHON OIL COMPANY	A9831	0001	109
MI	Allegan	MENASHA CORP	A0023	0024	71

State	County	Plant	Plant ID	Point ID	NO _x allocation for non-EGUs
MI	Allegan	MENASHA CORP	A0023	0025	69
MI	Ingham	MICHIGAN STATE UNIVERSITY	K3249	0053	110
MI	Ingham	MICHIGAN STATE UNIVERSITY	K3249	0054	118
MI	Ingham	MICHIGAN STATE UNIVERSITY	K3249	0055	77
MI	Ingham	MICHIGAN STATE UNIVERSITY	K3249	0056	0
MI	Wayne	NATIONAL STEEL CORP	A7809	0201	97
MI	Wayne	NATIONAL STEEL CORP	A7809	0202	732
MI	Wayne	NATIONAL STEEL CORP	A7809	0203	66
MI	Wayne	NATIONAL STEEL CORP	A7809	0205	98
MI	Wayne	ROUGE STEEL CO	A8640	0218	35
MI	Wayne	ROUGE STEEL CO	A8640	0219	61
MI	Washtenaw	THE REGENTS OF THE UNIVERSITY OF MICHIGAN.	M0675	0001	40
MI	Washtenaw	THE REGENTS OF THE UNIVERSITY OF MICHIGAN.	M0675	0002	37
MI	Oakland	WILLIAM BEAUMONT HOSPITAL	G5067	0010	0
MI	Oakland	WILLIAM BEAUMONT HOSPITAL	G5067	0011	0
NC	Haywood	CHAMPION INT CORP	0159	001	98
NC	Haywood	CHAMPION INT CORP	0159	002	88
NC	Haywood	CHAMPION INT CORP	0159	003	200
NC	Haywood	CHAMPION INT CORP	0159	004	176
NC	Halifax	CHAMPION INTERNATIONAL CORP. ROANOKE RAP.	0007	001	340
NC	Guilford	CONE MILLS CORP—WHITE OAK PLANT	0863	004	50
NC	Cabarrus	FIELDCREST—CANNON PLT 1 KANNAPOLIS	0006	001	77
NC	Gaston	FMC CORP—LITHIUM DIV. HWY 161	0078	030	81
NC	Columbus	INTERNATIONAL PAPER: RIEGELWOOD	0036	003	90
NC	Columbus	INTERNATIONAL PAPER: RIEGELWOOD	0036	004	228
NC	Martin	WEYERHAEUSER PAPER CO. PLYMOUTH	0069	001	265
NC	Martin	WEYERHAEUSER PAPER CO. PLYMOUTH	0069	007	315
NC	Craven	WEYERHAEUSER COMPANY NEW BERN MILL	0104	005	205
NJ	Middlesex	BALL—INCON GLASS PACKAGING	15035	001	46
NJ	Hudson	BEST FOODS CPC INTERNATIONAL I	10003	003	27
NJ	Middlesex	CHEVRON U.S.A., INC	15023	001	17
NJ	Middlesex	CHEVRON U.S.A., INC	15023	043	55
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	001	3
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	038	11
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	039	11
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	040	11
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	064	38
NJ	Gloucester	COASTAL EAGLE POINT OIL COMPAN	55004	123	37
NJ	Middlesex	DEGUSSA CORPORATION-METZ DIVIS	15305	009	15
NJ	Union	EXXON CORPORATION	40003	001	57
NJ	Union	EXXON CORPORATION	40003	007	22
NJ	Union	EXXON CORPORATION	40003	014	98
NJ	Union	EXXON CORPORATION	40003	015	14
NJ	Middlesex	FORD MOTOR COMPANY	15025	013	115
NJ	Bergen	GARDEN STATE PAPER CO., INC	00014	001	70
NJ	Bergen	GARDEN STATE PAPER CO., INC	00014	002	30
NJ	Bergen	GARDEN STATE PAPER CO., INC	00014	003	29
NJ	Bergen	GARDEN STATE PAPER CO., INC	00014	004	76
NJ	Middlesex	HERCULES INCORPORATED	15017	001	38
NJ	Middlesex	HERCULES INCORPORATED	15017	002	37
NJ	Warren	HOFFMAN LAROCHE INC	85010	034	45
NJ	Passaic	HOFFMAN LAROCHE INC. C/O ENVIR	30374	007	12
NJ	Mercer	HOMASCTE COMPANY	60018	001	290
NJ	Mercer	HOMASCTE COMPANY	60018	002	312
NJ	Passaic	INTERNATIONAL VEILING CORPORAT	30098	001	22
NJ	Bergen	MALT PRODUCTS CORPORATION	00322	001	27
NJ	Atlantic	MARINA ASSOCIATES	70009	001	330
NJ	Atlantic	MARINA ASSOCIATES	70009	002	329
NJ	Atlantic	MARINA ASSOCIATES	70009	003	990
NJ	Union	MERCK & CO., INC	40009	001	66
NJ	Union	MERCK & CO., INC	40009	002	61
NJ	Union	MERCK & CO., INC	40009	003	56
NJ	Union	MERCK & CO., INC	40009	004	75
NJ	Union	MERCK & CO., INC	40009	005	89
NJ	Union	MERCK & CO., INC	40009	006	103
NJ	Gloucester	MOBIL OIL CORPORATION	55006	001	54
NJ	Gloucester	MOBIL OIL CORPORATION	55006	002	54
NJ	Gloucester	MOBIL OIL CORPORATION	55006	003	54
NJ	Gloucester	MOBIL OIL CORPORATION	55006	004	49
NJ	Gloucester	MOBIL OIL CORPORATION	55006	005	16

State	County	Plant	Plant ID	Point ID	NO _x allocation for non-EGUs
NJ	Gloucester	MOBIL OIL CORPORATION	55006	006	105
NJ	Gloucester	MOBIL OIL CORPORATION	55006	027	0
NJ	Gloucester	MOBIL OIL CORPORATION	55006	270	14
NJ	Monmouth	NESTLE CO., INC., THE	20004	006	13
NJ	Monmouth	NESTLE CO., INC., THE	20004	007	13
NJ	Middlesex	NEW JERSEY STEEL CORPORATION	15076	001	18
NJ	Gloucester	PETROLEUM RECYCLING, INC	55180	020	169
NJ	Atlantic	SCOTT PAPER COMPANY	70011	002	89
NJ	Atlantic	SCOTT PAPER COMPANY	70011	003	75
NJ	Atlantic	SCOTT PAPER COMPANY	70011	004	99
NJ	Mercer	STONY BROOK REGIONAL SEWERAGE	60248	001	55
NJ	Mercer	STONY BROOK REGIONAL SEWERAGE	60248	002	55
NY	Kings	HUDSON AVENUE	2496	B71	19
NY	Kings	HUDSON AVENUE	2496	B72	19
NY	Kings	HUDSON AVENUE	2496	B81	19
NY	Kings	HUDSON AVENUE	2496	B82	19
NY	Queens	RAVENSWOOD-A-HOUSE	CE03	B01	15
NY	Queens	RAVENSWOOD-A-HOUSE	CE03	B02	15
NY	Queens	RAVENSWOOD-A-HOUSE	CE03	B03	21
NY	Queens	RAVENSWOOD-A-HOUSE	CE03	B04	21
OH	Butler	AK STEEL (FORMERLY ARMCO STEEL CO.)	1409010006	P009	66
OH	Butler	AK STEEL (FORMERLY ARMCO STEEL CO.)	1409010006	P010	66
OH	Butler	AK STEEL (FORMERLY ARMCO STEEL CO.)	1409010006	P011	66
OH	Butler	AK STEEL (FORMERLY ARMCO STEEL CO.)	1409010006	P012	66
OH	Stark	ASHLAND PETROLEUM COMPANY	1576000301	B015	18
OH	Lucas	BP OIL COMPANY, TOLEDO REFINERY	0448020007	B004	39
OH	Lucas	BP OIL COMPANY, TOLEDO REFINERY	0448020007	B020	102
OH	Montgomery	CARGILL INCORPORATED	0857041124	B004	133
OH	Montgomery	CARGILL INCORPORATED	0857041124	B006	1
OH	Butler	CHAMPION INTERNATIONAL CORP	1409040212	B010	267
OH	Summit	GOODYEAR TIRE & RUBBER COMPANY	1677010193	B001	101
OH	Summit	GOODYEAR TIRE & RUBBER COMPANY	1677010193	B002	108
OH	Hamilton	HENKEL CORP.—EMERY GROUP	1431070035	B027	209
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B001	139
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B002	150
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B003	159
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B004	158
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B007	155
OH	Cuyahoga	LTV STEEL COMPANY, INC	1318001613	B905	14
OH	Ross	MEAD CORPORATION	0671010028	B001	185
OH	Ross	MEAD CORPORATION	0671010028	B002	208
OH	Ross	MEAD CORPORATION	0671010028	B003	251
OH	Scioto	NEW BOSTON COKE CORP	0773010004	B008	20
OH	Scioto	NEW BOSTON COKE CORP	0773010004	B009	15
OH	Hamilton	PROCTER & GAMBLE CO	1431390903	B021	72
OH	Hamilton	PROCTER & GAMBLE CO	1431390903	B022	296
OH	Lorain	REPUBLIC ENGINEERED STEELS, INC. (FOR- MERLY USS/KOBE STEEL—LORAIN WORKS).	0247080229	B013	159
OH	Lawrence	SOUTH POINT ETHANOL	0744000009	B003	107
OH	Lawrence	SOUTH POINT ETHANOL	0744000009	B004	107
OH	Lawrence	SOUTH POINT ETHANOL	0744000009	B007	107
OH	Lucas	SUN REFINING & MARKETING CO, TOLEDO REF.	0448010246	B044	47
OH	Lucas	SUN REFINING & MARKETING CO, TOLEDO REF.	0448010246	B046	34
OH	Lucas	SUN REFINING & MARKETING CO, TOLEDO REF.	0448010246	B047	18
OH	Trumbull	W C I STEEL, INC	0278000463	B001	113
OH	Trumbull	W C I STEEL, INC	0278000463	B004	142
PA	Northampton	BETHLEHEM STEEL CORP	0048	041	100
PA	Northampton	BETHLEHEM STEEL CORP	0048	042	66
PA	Northampton	BETHLEHEM STEEL CORP	0048	067	165
PA	Armstrong	BMG ASPHALT CO	0004	101	0
PA	Erie	GENERAL ELECTRIC	0009	032	16
PA	York	GLATFELTER, P. H. CO	0016	031	0
PA	York	GLATFELTER, P. H. CO	0016	034	137
PA	York	GLATFELTER, P. H. CO	0016	035	112
PA	York	GLATFELTER, P. H. CO	0016	036	211
PA	Clinton	INTERNATIONAL PAPER: LOCKHAVEN	0008	033	101
PA	Clinton	INTERNATIONAL PAPER: LOCKHAVEN	0008	034	90
PA	Delaware	KIMBERLY CLARK (FORMERLY SCOTT PAPER CO.).	0016	034	1
PA	Delaware	KIMBERLY CLARK (FORMERLY SCOTT PAPER CO.).	0016	035	345

State	County	Plant	Plant ID	Point ID	NO _x allocation for non-EGUs
PA	Allegheny	LTV STEEL COMPANY—PITTSBURGH WORKS ..	0022	015	25
PA	Allegheny	LTV STEEL COMPANY—PITTSBURGH WORKS ..	0022	017	15
PA	Allegheny	LTV STEEL COMPANY—PITTSBURGH WORKS ..	0022	019	29
PA	Allegheny	LTV STEEL COMPANY—PITTSBURGH WORKS ..	0022	021	55
PA	Montgomery	MERCK SHARP & DOHME	0028	039	126
PA	Westmoreland	MONESSEN INC	0007	031	0
PA	Bucks	PECO	0055	043	15
PA	Bucks	PECO	0055	045	32
PA	Bucks	PECO	0055	044	77
PA	Wyoming	PROCTER & GAMBLE CO	0009	035	187
PA	Allegheny	SHENANGO IRON & COKE WORKS	0050	006	18
PA	Allegheny	SHENANGO IRON & COKE WORKS	0050	009	15
PA	Delaware	SUN REFINING & MARKETING CO	0025	089	102
PA	Delaware	SUN REFINING & MARKETING CO	0025	090	163
PA	Philadelphia	SUN REFINING AND MARKETING 1 O	1501	020	49
PA	Philadelphia	SUN REFINING AND MARKETING 1 O	1501	021	83
PA	Philadelphia	SUN REFINING AND MARKETING 1 O	1501	022	105
PA	Philadelphia	SUN REFINING AND MARKETING 1 O	1501	023	127
PA	Philadelphia	SUNOCO (FORMERLY ALLIED CHEMICAL CORP).	1551	052	86
PA	Perry	TEXAS EASTERN GAS PIPELINE COMPANY	0001	031	0
PA	Berks	TEXAS EASTERN GAS PIPELINE COMPANY	0087	031	98
PA	Delaware	TOSCO REFINING (FORMERLY BP OIL, INC.)	0030	032	71
PA	Delaware	TOSCO REFINING (FORMERLY BP OIL, INC.)	0030	033	80
PA	Philadelphia	U.S. NAVAL BASE	9702	016	0
PA	Philadelphia	U.S. NAVAL BASE	9702	017	1
PA	Philadelphia	U.S. NAVAL BASE	9702	098	0
PA	Philadelphia	U.S. NAVAL BASE	9702	099	0
PA	Elk	WILLAMETTE INDUSTRIES (FORMERLY PENNTech PAPERS, INC.	0005	040	90
PA	Elk	WILLAMETTE INDUSTRIES (FORMERLY PENNTech PAPERS, INC.	0005	041	89
PA	Beaver	ZINC CORPORATION OF AMERICA	0032	034	176
PA	Beaver	ZINC CORPORATION OF AMERICA	0032	035	180
VA	Hopewell	ALLIED-SIGNAL INC	0026	002	499
VA	York	AMOCO OIL CO	0004	001	25
VA	Giles	CELANESE ACETATE LLC (FORMERLY HOECHST CELANESE CORP).	0004	007	148
VA	Giles	CELANESE ACETATE LLC (FORMERLY HOECHST CELANESE CORP).	0004	014	56
VA	Pittsylvania	DAN RIVER INC. (SCHOOLFIELD DIV)	0002	003	49
VA	Bedford	GEORGIA-PACIFIC—BIG ISLAND MILL	0003	002	86
VA	Isle Of Wight	INTERNATIONAL PAPER—FRANKLIN (FOR- MERLY UNION CAMP CORP/FINE PAPER DIV).	0006	003	272
VA	Isle Of Wight	INTERNATIONAL PAPER—FRANKLIN (FOR- MERLY UNION CAMP CORP/FINE PAPER DIV).	0006	004	262
VA	Hopewell	JAMES RIVER COGENERATION (COGE	0055	001	511
VA	Hopewell	JAMES RIVER COGENERATION (COGE	0055	002	512
VA	King William	ST. LAURENT PAPER PRODUCTS CORP.	0001	003	253
VA	Alleghany	WESTVACO CORP	0003	001	253
VA	Alleghany	WESTVACO CORP	0003	002	130
VA	Alleghany	WESTVACO CORP	0003	003	195
VA	Alleghany	WESTVACO CORP	0003	004	373
VA	Alleghany	WESTVACO CORP	0003	005	170
VA	Alleghany	WESTVACO CORP	0003	011	105
WV	Kanawha	DUPONT—BELLE	00001	612	37
WV	Fayette	ELKEM METALS COMPANY L.P.—ALLOY PLANT	00001	006	701
WV	Grant	NORTH BRANCH POWER STATION	00014	018	0
WV	Marshall	PPG INDUSTRIES, INC.	00002	001	140
WV	Marshall	PPG INDUSTRIES, INC.	00002	003	301
WV	Kanawha	RHONE-POLUENC	00007	070	8
WV	Kanawha	RHONE-POLUENC	00007	071	73
WV	Kanawha	RHONE-POLUENC	00007	080	7
WV	Kanawha	RHONE-POLUENC	00007	081	66
WV	Kanawha	RHONE-POLUENC	00007	090	8
WV	Kanawha	RHONE-POLUENC	00007	091	68
WV	Kanawha	UNION CARBIDE—SOUTH CHARLESTON PLANT	00003	086	66
WV	Hancock	WEIRTON STEEL CORPORATION	00001	030	23
WV	Hancock	WEIRTON STEEL CORPORATION	00001	088	22
WV	Hancock	WEIRTON STEEL CORPORATION	00001	089	1
WV	Hancock	WEIRTON STEEL CORPORATION	00001	090	79
WV	Hancock	WEIRTON STEEL CORPORATION	00001	091	182
WV	Hancock	WEIRTON STEEL CORPORATION	00001	092	149

State	County	Plant	Plant ID	Point ID	NO _x allocation for non-EGUs
WV	Hancock	WEIRTON STEEL CORPORATION	00001	093	144
WV	Brooke	WHEELING-PITTSBURGH STEEL	00002	024	0

Appendix C to Part 97—Final Section 126 Rule: Trading Budget, 2003–2007

ST	F126-EGU	F126-NEGU	Total
DC	207	26	233
DE	4,306	232	4,538
IN	7,088	82	7,170
KY	19,654	53	19,707
MD	14,519	1,013	15,532
MI	25,689	2,166	27,855
NC	31,212	2,329	33,541
NJ	9,716	4,838	14,554
NY	16,081	156	16,237
OH	45,432	4,103	49,535
PA	47,224	3,619	50,843
VA	17,091	4,104	21,195
WV	26,859	2,184	29,043
Total	265,078	24,905	289,983

**Appendix D to Part 97—Final Section 126 Rule: State Compliance supplement pools for the Section 126 Final Rule
(Tons)**

State	Compliance supplement pool
Delaware	168
District of Columbia	0
Indiana	2,454
Kentucky	7,314
Maryland	3,882
Michigan	9,398
New Jersey	1,550
New York	1,379
North Carolina	10,737
Ohio	22,301
Pennsylvania	15,763
Virginia	5,504
West Virginia	16,709
Total	97,159

[FR Doc. 00–20 Filed 1–14–00; 8:45 am]

BILLING CODE 6560–50–P



Federal Register

**Tuesday,
January 18, 2000**

Part III

Department of Education

**Office of Special Education and
Rehabilitative Services; National Institute
on Disability and Rehabilitation; Research**

**Notice Inviting Applications for a New
Award for a Rehabilitation Research and
Training Center for Fiscal Year (FY)
2000; Notice**

DEPARTMENT OF EDUCATION

[CFDA No.: 84.133B-9]

Office of Special Education and Rehabilitative Services; National Institute on Disability and Rehabilitation; Research Notice Inviting Applications for a New Award for a Rehabilitation Research and Training Center for Fiscal Year (FY) 2000

AGENCY: Department of Education.

ACTION: Correction Notice.

SUMMARY: On November 10, 1999 a notice inviting applications for a new award for a RRTC on rehabilitation of Minorities with Disabilities for Fiscal Year (FY) 2000 was published in the **Federal Register** (64 FR 61468). This notice corrects the "Maximum Award Amount Per Year" and changes the "Deadline for Transmittal of Applications" that were included in the notice. The published maximum award amount per year reads "\$500,000". It is corrected to read "\$600,000". Because

of this correction, the deadline for transmittal of applications is changed. The published deadline for transmittal now reads "February 4, 2000". It is corrected to read:

DEADLINE FOR TRANSMITTAL OF APPLICATIONS: February 18, 2000.

FOR FURTHER INFORMATION CONTACT: Grants and Contracts Service Team, 400 Maryland Avenue, SW, Room 3317, Switzer Building, Washington, DC 20202-2641. Telephone: (202) 260-9182. Individuals who use a telecommunications device for the deaf (TDD) may call the TDD number: (202) 205-8953. Internet: Delores__Watkins@ed.gov

Individuals with disabilities may obtain a copy of this notice in an alternate format (*e.g.*, Braille, large print, audiotape, or computer diskette) on request to the contact person listed in the preceding paragraph.

Electronic Access to This Document

You may view this document, as well as all other Department of Education documents published in the **Federal**

Register, in text or Adobe Portable Document Format (PDF) on the Internet at either of the following sites:

<http://ocfo.ed.gov/fedreg.htm>

<http://www.ed.gov/news.html>

To use the PDF you must have the Adobe Acrobat Reader Program with Search, which is available free at either of the previous sites. If you have questions about using the PDF, call the U.S. Government Printing Office (GPO), toll free, at 1-888-293-6498; or in the Washington, DC, area at (202) 512-1530.

Note: The official version of this document is the document published in the **Federal Register**. Free Internet access to the official edition of the **Federal Register** and the Code of Federal Regulations is available on GPO Access at: <http://www.access.gpo.gov/nara/index.html>.

Program Authority: 29 U.S.C. 760-762.

Dated: January 11, 2000.

Judith E. Heumann,

Assistant Secretary for Special Education and Rehabilitative Services.

[FR Doc. 00-1000 Filed 1-14-00; 8:45 am]

BILLING CODE 4000-01-U



Federal Register

**Tuesday,
January 18, 2000**

Part IV

**DEPARTMENT OF
TRANSPORTATION**

Federal Transit Administration

**Over-the-road Bus Accessibility Program
Grants; Notice**

DEPARTMENT OF TRANSPORTATION

Over-the-road Bus Accessibility Program Grants

AGENCY: Federal Transit Administration (FTA), DOT.

ACTION: Notice of Availability of Funds; Solicitation of Grant Applications.

SUMMARY: The U.S. Department of Transportation (DOT) Federal Transit Administration (FTA) announces the availability of funds in fiscal year (FY) 2000 for the Over-the-road Bus (OTRB) Accessibility Program, authorized by section 3038 of the Transportation Equity Act for the 21st Century (TEA-21). The OTRB Accessibility Program makes funds available to private operators of over-the-road buses to finance the incremental capital and training costs of complying with DOT's over-the-road bus accessibility final rule, published in the **Federal Register** Notice on September 24, 1998. The OTRB Accessibility Program calls for national solicitation of applications, with grantees to be selected on a competitive basis. FTA's FY 2000 Appropriation Act made Federal funds available for intercity fixed route projects at up to 90 percent of the project cost. All other projects will be funded at up to 50 percent of the project cost.

A total of \$24.3 million is available for the program over the life of TEA-21. The guaranteed level of funding available for intercity fixed-route service was \$2 million in FY 1999, and is \$2 million in FY 2000, \$3 million in FY 2001, and \$5.3 million in FY 2002 and FY 2003, for a total of \$17.5 million. The guaranteed level of funding for other over-the-road bus services, including charter and tour bus, is \$1.7 million per year from FY 2000 to 2003, for a total of \$6.8 million.

The FY 2000 Appropriation Act changed the Federal match ratio for intercity fixed route providers from up to 50 percent of the project cost to up to 90 percent of the project cost. All other over-the-road bus accessibility program projects will be funded at up to 50 percent of the project cost.

For FY 2000, \$2 million was appropriated for intercity fixed-route service providers and \$1.7 million was appropriated for other over-the-road service providers.

This announcement describes application procedures for the OTRB Accessibility Program and the procedures FTA will use to determine which projects it will fund. It includes all of the information needed to apply

for an OTRB Accessibility Program grant.

This announcement is available on the Internet on the FTA website at: [http://www.fta.dot.gov/library/legal/fr00toc.html]. FTA will announce final selections on the website and in the **Federal Register**.

DATES: Complete applications for OTRB Accessibility Program grants must be submitted to the appropriate FTA regional office (see Appendix A) by the close of business April 28, 2000. The appropriate FTA regional office is that office which serves the state in which an applicant's headquarters office is located. FTA intends to announce grant selections in July 2000, and it is anticipated that grants will be made by September 30, 2000, the end of the Federal fiscal year. FTA will accept comments on this notice until (30 days after date published). Based on input, FTA may provide amending or clarifying program information.

ADDRESSES: Comments and questions related to this notice can be mailed, faxed, or electronically submitted to the following: Sue Masselink, Federal Transit Administration, Room 9315, 400 7th Street, SW, Washington, DC 20590 (FAX (202) 366-7951, e-mail address: sue.masselink@fta.dot.gov).

FOR FURTHER INFORMATION: Contact the appropriate FTA Regional Administrator (Appendix A) for application-specific information and issues. For general program information, contact Sue Masselink, Office of Program Management, (202) 366-2053, e-mail: sue.masselink@fta.dot.gov. A TDD is available at 1-800-877-8339 (TDD/FIRS).

SUPPLEMENTARY INFORMATION:**Table of Contents**

- I. General Program Information
- II. Guidelines for Preparing Grant Applications
- III. Submission of Applications
- Appendix A FTA Regional Offices
- Appendix B Sample Project Budget
- Appendix C Certifications and Assurances
- Appendix D Application Checklist
- Appendix E OMB Standard Form 424, "Federal Assistance"

I. General Program Information**A. Authority**

The program is authorized under Section 3038 of the Transportation Equity Act for the 21st Century (TEA-21). Funds have been appropriated for this program under the Department of Transportation and Related Agencies Appropriations Act, 2000.

B. Background

Over-the-road buses are used in intercity fixed-route service as well as other services, such as charter and tour bus services. These services are an important element of the U.S. transportation system. TEA-21 authorizes FTA's new Over-the-road Bus Accessibility Program to assist over-the-road bus operators in complying with the Department's Over-the-road Bus Accessibility rule, "Transportation for Individuals with Disabilities" (49 CFR Part 37) published in a **Federal Register** notice on September 24, 1998.

Summary of DOT's Over-the-Road Bus Accessibility Rule. Under the over-the-road bus accessibility rule, all new buses obtained by large (Class I carriers, i.e., those with gross annual operating revenues of \$5.3 million or more), fixed-route carriers, starting in 2000, must be accessible, with wheelchair lifts and tie-downs that allow passengers to ride in their own wheelchairs. The rule requires the fixed-route carriers' fleets to be completely accessible by 2012. The buses acquired by small (gross operating revenues of less than \$5.3 million annually) fixed-route providers also are required to be lift-equipped, although they do not have a deadline for total fleet accessibility. Small providers also can provide equivalent service in lieu of obtaining accessible buses. Starting in 2001, charter and tour companies will have to provide service in an accessible bus on 48 hours' advance notice. Fixed-route companies must also provide this kind of service on an interim basis until their fleets are completely accessible.

Small carriers who provide mostly charter or tour service and also provide a small amount of fixed-route service can meet all requirements through 48-hour advance-reservation service. Small carriers have an extra year to begin complying with the requirements which apply to them starting in October 2001, compared to October 2000 for large carriers.

Specifications describing the design features that an over-the-road bus must have to be readily accessible to and usable by persons who use wheelchairs or other mobility aids required by the "Americans with Disabilities Act Accessibility Guidelines for Transportation Vehicles: Over-the-Road Buses" rule (36 CFR Part 1192) were published in another **Federal Register** Notice on September 28, 1998.

C. Scope

Improving mobility and shaping America's future by ensuring that the transportation system is accessible, integrated, efficient and offers flexibility

of choices is a key strategic goal of the Department of Transportation. Over-the-road Bus Accessibility projects will improve mobility for individuals with disabilities by providing financial assistance to help make vehicles accessible and provide training to ensure that drivers and others understand how to use accessibility features as well as how to treat patrons with disabilities.

D. Eligible Applicants

Grants will be made directly to operators of over-the-road buses. Intercity, fixed-route over-the-road bus service providers may apply for the \$2 million appropriated for intercity fixed-route providers in FY 2000. Other over-the-road bus service providers, including operators of local fixed-route service, commuter service, and charter or tour service may apply for the \$1.7 million appropriated in FY 2000 for these providers. OTRB operators who provide intercity, fixed-route service and another type of service, such as commuter, charter or tour, may apply for both categories of funds with a single application. Private for-profit operators of over-the-road buses are eligible to be direct applicants for this program. This is a departure from the other FTA programs in which the direct applicant must be a state or local public body.

E. Vehicle and Service Definitions

An "over-the-road bus" is a bus characterized by an elevated passenger deck located over a baggage compartment.

Intercity, fixed-route over-the-road bus service is regularly scheduled bus service for the general public, using an over-the-road bus that: Operates with limited stops over fixed routes connecting two or more urban areas not in close proximity or connecting one or more rural communities with an urban area not in close proximity; has the capacity for transporting baggage carried by passengers; and makes meaningful connections with scheduled intercity bus service to more distant points.

Other over-the-road bus service means any other transportation using over-the-road buses, including local fixed-route service, commuter service, and charter or tour service (including tour or excursion service that includes features in addition to bus transportation such as meals, lodging, admission to points of interest or special attractions). While some commuter service may also serve the needs of some intercity fixed-route passengers, the statute includes commuter service in the definition of "other" service. Commuter service providers should apply for these funds,

even though the services designed to meet the needs of commuters may also provide service to intercity fixed-route passengers on an incidental basis. If a service provider can document that more than 50 percent of its passengers are using the service as intercity fixed-route service, the provider may apply for the funds designated for intercity fixed-route operators.

F. Eligible Projects

Projects to finance the incremental capital and training costs of complying with DOT's over-the-road bus accessibility rule (49 CFR Part 37) are eligible for funding. Incremental capital costs eligible for funding include adding lifts, tie downs, moveable seats, doors and all labor costs associated with work on the vehicle needed to make new vehicles accessible. Retrofitting vehicles with such accessibility components is also an eligible expense. Please see Buy America section for further determination of eligibility.

Funds may be awarded by FTA for costs already incurred by the applicants. Any new wheelchair accessible vehicles delivered since June 8, 1998, the date that the Transportation Equity Act for the 21st Century was effective, are eligible for funding under the program. Vehicles of any age that have been retrofitted with lifts and other accessibility components since June 8, 1998 are also eligible for funding.

Eligible training costs are those required by the final accessibility rule as described in 49 CFR 37.209. These activities include training in proper operation and maintenance of accessibility features and equipment, boarding assistance, securement of mobility aids, sensitive and appropriate interaction with passengers with disabilities, and handling and storage of mobility devices. The costs associated with developing training materials or providing training for local providers of over-the-road bus services for these purposes are eligible expenses.

FTA has sponsored the development of accessibility training materials for public transit operators. FTA-funded Project Action is a national technical assistance program to promote cooperation between the disability community and transportation industry. Project Action provides training, resources and technical assistance to thousands of disability organizations, consumers with disabilities, and transportation operators. It maintains a resource center with the most up-to-date information on transportation accessibility. Project Action may be contacted at:

Project Action, 700 Thirteenth Street, N.W., Suite 200, Washington, DC 20590, Phone: 1-800-659-6428, Internet address: <http://www.projectaction.org/>.

G. Grant Criteria

FTA will award grants based on:

- a. The identified need for over-the-road bus accessibility for persons with disabilities in the areas served by the applicant;
 - b. The extent to which the applicant demonstrates innovative strategies and financial commitment to providing access to over-the-road buses to persons with disabilities;
 - c. The extent to which the over-the-road bus operator acquires equipment required by DOT's over-the-road bus accessibility rule prior to the required timeframe in the rule;
 - d. The extent to which financing the costs of complying with DOT's rule presents a financial hardship for the applicant; and
 - e. The impact of accessibility requirements on the continuation of over-the-road bus service, with particular consideration of the impact of the requirements on service to rural areas and for low-income individuals.
- These are the statutory criteria upon which funding decisions will be made. In addition to these criteria, FTA may also consider other factors, such as the size of the applicant's fleet and the approximate proportion of use the vehicle will get for the services eligible under the category of funds for which the applicant is applying.

H. Grant Requirements

The grant application must include documentation necessary to meet the requirements of FTA's Nonurbanized Area Formula program (Section 5311 under Title 49, United States Code). Technical assistance regarding these requirements is available in each FTA regional office. Federal requirements apply only to the incremental cost of adding the wheelchair accessibility features, either to new vehicles or when retrofitting existing vehicles.

Training costs are not subject to all requirements. For example, labor protections, Buy America, and school transportation are not applicable to training assistance.

1. *Buy America.* In the OTRB Accessibility program, FTA's Buy America regulations, 49 CFR Part 661, apply to the incremental capital cost of making vehicles accessible. Those regulations do not apply to associated labor costs. The following discussion relates to the contract between the grantee and the prime contractor.

The "General Requirements" found at 49 CFR 661.5 apply to that portion of the accessibility system being funded. That section requires that all of the manufacturing processes for the product take place in the United States and that all components of the product be made in the United States. A component is considered domestic if it is manufactured in the U.S.A., regardless of the origin of its subcomponents. The lift, the moveable seats, and the securement devices will all be considered components for purposes of this program; accordingly, a "General Requirements" analysis should be applied to each of these items individually. Should a recipient choose to request funding for only a specific component, such as the lift or the securement device, then the Buy America requirements would apply only to that item funded by FTA.

Three exceptions to the general requirements which can be found at 49 CFR 661.7: first, a waiver may be requested when the application of the regulation is not in the public interest; second, the general requirements will not apply if materials and products being procured are not produced in the United States in sufficient and reasonably available quantities and of a satisfactory quality; and third, a price differential waiver will be available under this program only if the grantee conducts a competitive procurement (see Competitive Procurement Section, below). FTA approval must be received by the recipient of FTA funds prior to the execution of contract.

It should also be noted that FTA has issued a general public interest waiver for all purchases under the Federal "small purchase" threshold, which is currently set at \$100,000. This waiver can be found in 49 CFR 661.7, Appendix A(e). In Section 3038(b) of TEA-21, Congress authorized FTA financing of the incremental capital costs of compliance with DOT's OTRB accessibility rule. Consistent with this provision, the small purchase waiver applies only to the incremental cost of the accessibility features FTA is funding. Where more than one bus is purchased, the grantee must consider the incremental cost increase for the entire procurement when determining if the small purchase waiver applies. For example, if \$30,000 is the incremental cost for the accessibility features eligible under this program per bus (regardless of the Federal share contribution), then a procurement of three buses with a total such cost of \$90,000, would qualify for the small purchase waiver. No special application to FTA would be required.

The grantee must obtain a certification from the bus manufacturer that all items included in the incremental cost for which the applicant is applying for funds meet Buy America requirements.

The Buy America regulations can be found at www.fta.dot.gov/library/legal/49661.htm.

2. Labor Protection. Before FTA may award a grant for capital assistance, 49 U.S.C. 5333(b) requires that fair and equitable arrangements must be made to protect the interests of transit employees affected by FTA assistance. Those arrangements must be certified by the Secretary of Labor as meeting the requirements of the statute. When a labor organization represents a group of affected employees in the service area of an FTA project, the employee protective arrangement is usually the product of negotiations or discussions with the union. The grant applicant can facilitate Department of Labor (DOL) certification by identifying in the application any previously certified protective arrangements that have been applied to similar projects undertaken by the grant applicant. Upon receipt of a grant application requiring employee protective arrangements, FTA will transmit the application to DOL and request certification of the employee protective arrangements. In accordance with DOL guidelines, DOL notifies the relevant unions in the area of the project that a grant for assistance is pending and affords the grant applicant and union the opportunity to agree to an arrangement establishing the terms and conditions of the employee protections. If necessary, DOL furnishes technical and mediation assistance to the parties during their negotiations. The Secretary of Labor may determine the protections to be certified if the parties do not reach an agreement after good faith bargaining and mediation efforts have been exhausted. DOL will also set the protective conditions when affected employees in the service area are not represented by a union. When DOL determines that employee protective arrangements comply with labor protection requirements, DOL will provide a certification to FTA. The grant agreement between FTA and the grant applicant incorporates by reference the employee protective arrangements certified by DOL.

Applicants must identify any labor organizations that may represent their employees and all labor organizations that represent the employees of any other transit providers in the service area of the project.

For each local of a nationally affiliated union, the applicant must

provide the name of the national organization and the number or other designation of the local union. (For example, Amalgamated Transit Union local 1258.) Since DOL makes its referral to the national union's headquarters, there is no need to provide a means of contacting the local organization.

However, for each independent labor organization (i.e., a union that is not affiliated with a national or international organization) the local information will be necessary (name of organization, address, contact person, phone, fax numbers).

Where a labor organization represents transit employees in the service area of the project, DOL must refer the proposed protective arrangements to each union and to each recipient. For this reason, please provide DOL with a contact person, address, telephone number and fax number for your company, and associated union information.

DOL issued a **Federal Register** Notice addressing the new TEA-21 programs, including the OTRB Accessibility Program, "Amendment to Section 5333(b) Guidelines to Carry Out New Programs Authorized by the Transportation Equity Act for the 21st Century (TEA-21); Final Rule, dated July 28, 1999."

Questions concerning employee protective arrangements and related matters pertaining to transit employees should be addressed to the Division of Statutory Programs, Department of Labor, 200 Constitution Avenue, N.W., Room N-5411, Washington, D.C. 20210; telephone (202) 693-0126, fax (202) 219-5338.

3. Competitive Procurement. Federal procurement requirements apply to FTA funds awarded to state and local governments and private nonprofit agencies under 49 CFR Parts 18 and 19. To the extent a direct recipient of FTA funds under this program is a private for-profit entity, the Federal procurement requirements do not apply.

4. Debarment, Suspension and Other Responsibility Matters. Pursuant to Executive Order 12549; 41 U.S.C. 701; and 49 CFR Part 29, grantees must ensure that FTA funds are not given to anyone who has been debarred, suspended, or declared ineligible or voluntarily excluded from participation in federally assisted transactions. The burden of disclosure is on those debarred or suspended. The U.S. General Services Administration (GSA) issues a document titled "Lists of Parties Excluded from Federal Procurement or Nonprocurement Programs" monthly. The list is available

on the GSA website (<http://www.gsa.gov/index>). If at any time the grantee or other covered entity learns that a certification it made or received was erroneous when submitted or if circumstances have changed, disclosure to FTA is required.

5. *Drug-Free Workplace.* Grantees must maintain a drug-free workplace for all employees and have an anti-drug policy and awareness program. The grant applicant must certify to FTA that it will provide a drug-free workplace and comply with all requirements of the Drug-Free Workplace Act of 1988 (Public Law 100-690) and U.S. DOT's implementing regulations, 49 CFR Part 29, subpart F. The grantee is required to provide a written Drug-Free Workplace policy statement notifying employees that the unlawful manufacture, distribution, dispensing, possession, or use of a controlled substance is prohibited in the workplace and stating specific actions that will be taken for violations. The ongoing drug-free awareness program must inform employees about the dangers of drug abuse; about any available drug counseling, rehabilitation, and employee assistance programs; about penalties that may be imposed; and that employees are to be aware that the recipient operates a drug-free workplace. An employee of an FTA grantee is required to report in writing any conviction for a violation of criminal drug statute occurring in the workplace, and the grantee/employer is required to provide written notice to FTA within 10 days of having received the notice. Within 30 days of receiving the notice of a conviction, the grantee/employer must have taken appropriate action against the employee or have required participation in a drug abuse assistance or rehabilitation program.

6. *Nondiscrimination Requirements.* 49 U.S.C. section 5332 states that "a person (defined broadly) may not be excluded from participating in, denied a benefit of, or discriminated against, under a project, program, or activity receiving financial assistance (from FTA) because of race, color, creed, national origin, sex, or age."

7. *Title VI.* Grantees must assure FTA that transit services and benefits obtained with FTA assistance will be provided in a nondiscriminatory manner, without regard to race, color, or national origin.

8. *Disadvantaged Business Enterprise.* Grantees must assure FTA that disadvantaged business enterprises (DBEs) are provided the maximum opportunity to compete for FTA-assisted contracts and procurements.

9. *Equal Employment Opportunity (EEO).* The grantee must assure that it will not discriminate against any employee or applicant for employment because of race, color, creed, sex, disability, age or national origin. The grantee agrees to take affirmative action to ensure that applicants are employed and that employees are treated during employment, without regard to their race, color, creed, sex, disability, age, or national origin.

10. *Americans with Disabilities Act and Section 504.* Compliance with the Americans with Disabilities Act of 1990 (ADA) (Public Law 101-336) and Section 504 of the Rehabilitation Act of 1973, as amended, are eligibility requirements for Federal financial assistance. Section 504 prohibits discrimination on the basis of handicap by recipients of Federal financial assistance. The ADA prohibits discrimination against persons with disabilities in the provision of transportation services.

11. *Restrictions on Lobbying.* Federal financial assistance may not be used to influence any member of Congress or an officer or employee of any agency in connection with the making of any Federal contract, grant, or cooperative agreement. The state, subrecipients, and third party contractors at any tier awarded FTA assistance exceeding \$100,000 must sign a certification so stating and also must disclose the expenditure of non-Federal funds for such purposes (49 CFR Part 20). Other Federal laws also govern lobbying activities. For example, Federal funds may not be used for lobbying congressional representatives or senators indirectly, such as by contributing to a lobbying organization or funding a grass-roots campaign to influence legislation (31 U.S.C. Section 1352). General advocacy for over-the-road bus transportation and providing information to legislators about the services a recipient provides are not prohibited, nor is using non-Federal funds for lobbying, so long as the required disclosures are made.

12. *School Transportation.* 49 U.S.C. 5323(f) prohibits the use of FTA funds for exclusive school bus transportation for school students and school personnel. The implementing regulation (49 CFR Part 603) does permit regular service to be modified to accommodate school students along with the general public.

13. *Environmental Protection.* Neither incremental capital costs associated with making vehicles wheelchair accessible nor training costs involve significant environmental impacts. Projects that do not involve significant

environmental impacts are considered "categorical exclusions" in FTA's procedures because they have been categorically excluded from FTA's requirements to prepare environmental documentation. (49 U.S.C. Part 622, incorporating 23 CFR Part 771)

14. *Planning.* Applicants are encouraged to notify the appropriate state departments of transportation and metropolitan planning organizations (MPO) in areas likely to be served by equipment made accessible through funds made available in this program. Those organizations, in turn, should take appropriate steps to inform the public, and individuals requiring fully accessible services in particular, of operators' intentions to expand the accessibility of their services. Incorporation of funded projects in the plans and transportation improvement programs of states and metropolitan areas by states and MPOs also is encouraged, but is not required.

II. Guidelines for Preparing Grant Application

FTA is conducting a national solicitation for applications under the OTRB Accessibility program. Grant awards will be made on a competitive basis. Although most FTA grant applications are now submitted electronically, paper applications for the OTRB Accessibility program will be accepted. An original and two copies of the application must be submitted to the appropriate FTA Regional Office. The OTRB operators should submit the application to the office in the region in which its headquarters office is located. The application should provide information on all items for which you are requesting funding in FY 1999. The application must include the following elements:

1. Transmittal Letter

This addresses basic identifying information, including:

- a. Grant applicant
- b. Contact name, address, fax and phone number
- c. Amount of grant request
- d. Type of services for which funds are sought, either intercity fixed route services, other services, or both
- e. If funds are being sought for intercity fixed-route service, please describe how the service meets the definition of intercity fixed route service, including how the service makes meaningful connections with scheduled intercity bus service to more distant points.

2. Project Eligibility

Every application must:

a. Describe the applicant's technical, legal, and financial capacity to implement the proposed projects.

b. Document matching funds, including amount and source.

c. Include OMB Standard Form 424, "Federal Assistance," which is a multi-purpose form which must be completed in its entirety. The forms are available from the FTA regional offices.

3. Project Information

Provide a summary of project activities for which you are requesting funds. The summary should include:

a. Description of the components included in request for funds, *i.e.*, lifts, tie-downs, moveable seats, etc.

b. Each project's time line, including significant milestones such as date of contract for purchase of vehicle(s), and actual or expected delivery date of vehicle(s)

c. Project budget (See Appendix B)

4. Project Narrative

Provide the information identified below to support your application. Grants will be awarded competitively based upon the following criteria:

a. The identified need for over-the-road bus accessibility for persons with disabilities in the areas served by the applicant;

b. The extent to which the applicant demonstrates innovative strategies and financial commitment to providing access to over-the-road buses to persons with disabilities;

c. The extent to which the over-the-road bus operator acquires equipment required by DOT's over-the-road bus accessibility rule prior to the required timeframe in the rule;

d. The extent to which financing the costs of complying with DOT's rule presents a financial hardship for the applicant; and

e. The impact of accessibility requirements on the continuation of over-the-road bus service, with particular consideration of the impact of the requirements on service to rural areas and for low-income individuals.

5. Fleet Information

Provide information on the number of over-the-road buses in your fleet, how many of those vehicles are accessible, and whether the vehicles for which you are seeking funds will be used to replace vehicles in your current fleet or to expand your fleet.

6. Service Information

a. If you provide both intercity fixed-route service and another type of

service, such as commuter, charter or tour service, please provide an estimate of the proportion of your service that is intercity fixed-route service.

b. Describe your service area.

7. Labor Information

a. Identify any labor organizations that may represent your employees and all labor organizations that represent the employees of any transit providers in the service area of the project. For each local of a nationally affiliated union, the applicant must provide the name of the national organization and the number or other designation of the local union. (For example, Amalgamated Transit Union local 1258.) Since DOL makes its referral to the national union's headquarters, there is no need to provide a means of contacting the local organization.

b. For each independent labor organization (*i.e.*, a union that is not affiliated with a national or international organization) the local information will be necessary (name of organization, address, contact person, phone, fax numbers).

c. Where a labor organization represents transit employees in the service area of the project, DOL must refer the proposed protective arrangements to each union and to each recipient. For this reason, please provide DOL with a contact person, address, telephone number and fax number for your company and associated union information.

III. Grant Review Process

Applications are to be submitted to the appropriate FTA Regional Office by the close of business on April 28, 2000. FTA will screen all applications to determine whether all required eligibility elements, as described in Section 2 of the application, are present. An FTA task force will evaluate each application according to the criteria described in this announcement.

A. Notification

FTA expects to notify all applicants, both those selected for funding and those not selected, in July 2000. Grants are expected to be made by September 30, 2000, the end of Federal fiscal year 2000. FTA is committed to obligating FY 2000 OTRB Accessibility program funds expeditiously. Therefore, FTA urges applicants to develop and submit with their applications complete documentation necessary to meet the

applicable FTA Section 5311 requirements.

Issued on: January 5, 2000.

Nuria I. Fernandez.

Acting Administrator.

Appendix A—FTA Regional Offices

Region I—Massachusetts, Rhode Island, Connecticut, New Hampshire, Vermont and Maine; Richard H. Doyle, FTA Regional Administrator, Volpe National Transportation Systems Center, Kendall Square, 55 Broadway, Suite 920, Cambridge, MA 02142-1093, (617) 494-2055

Region II—New York, New Jersey, Virgin Islands; Letitia Thompson, FTA Regional Administrator, 26 Federal Plaza, Suite 2940, New York, NY 10278-0194, (212) 264-8162

Region III—Pennsylvania, Maryland, Virginia, West Virginia, Delaware, Washington, DC; Sheldon Kinbar, FTA Regional Administrator, 1760 Market Street, Suite 500, Philadelphia, PA 19103-4124, (215) 656-7100

Region IV—Georgia, North Carolina, South Carolina, Florida, Mississippi, Tennessee, Kentucky, Alabama, Puerto Rico; Susan Schruth, FTA Regional Administrator, 61 Forsyth Street, S.W., Suite 17T50, Atlanta, GA 30303, (404) 562-3500

Region V—Illinois, Indiana, Ohio, Wisconsin, Minnesota, Michigan; Joel Ettinger, FTA Regional Administrator, 200 West Adams Street, Suite 2410, Chicago, IL 60606-5232, (312) 353-2789

Region VI—Texas, New Mexico, Louisiana, Arkansas, Oklahoma; Lee Waddleton, FTA Regional Administrator, 819 Taylor Street, Room 8A36, Ft. Worth, TX 76102, (817) 978-0550

Region VII—Iowa, Nebraska, Kansas, Missouri; Mokhtee Ahmad, FTA Regional Administrator, 901 Locust Street, Suite 404, Kansas City, MO 64106, (816) 329-3920

Region VIII—Colorado, North Dakota, South Dakota, Montana, Wyoming, Utah; Louis Mraz, FTA Regional Administrator, Columbine Place, 216 16th Street, Suite 650, Denver, CO 80202-5120, (303) 844-3242

Region IX—California, Arizona, Nevada, Hawaii, American Samoa, Guam; Leslie Rogers, FTA Regional Administrator, 201 Mission Street, Suite 2210, San Francisco, CA 94105-1831, (415) 744-3133

Region X—Washington, Oregon, Idaho, Alaska; Helen Knoll, FTA Regional Administrator, Jackson Federal Building, 915 Second Avenue, Suite 3142, Seattle, WA 98174-1002, (206) 220-7954

Appendix B—Sample OTRB Accessibility Program Inter-

Grantee: Hillsdale Intercity Services
Project: OR-38-0001

Scope		Federal share	Eligible project cost
111-01	BUS ROLLING STOCK		

Scope		Federal share	Eligible project cost
117-00	ACTIVITY 11.42.43 INCREMENTAL COST OF LIFT, SECUREMENT DEVICES AND LABOR QUANTITY: 1.	\$20,700	\$23,000
	ACTIVITY 11.44.43 RETROFIT VEHICLE WITH LIFT QUANTITY: 1	39,600	44,000
	BUS—OTHER		
	ACTIVITY 11.7D.01 TRAINING	18,000	20,000
	ELIGIBLE PROJECT COST		87,000
	FEDERAL SHARE (10%)		78,300
	APPLICANT SHARE (90%)		8,700

Appendix B—Sample OTRB Accessibility Program “Other” Project Budget

Project: SD-38-0001

Grantee: White Plains Charter and Tour

Scope		Federal share	Eligible project cost
110-01	BUS ROLLING STOCK		
	ACTIVITY 11.42.43 INCREMENTAL COST OF LIFT, SECUREMENT DEVICES AND LABOR QUANTITY: 1.	\$11,500	\$23,000
	ACTIVITY 11.44.43 RETROFIT VEHICLE WITH LIFT QUANTITY: 1	22,000	44,000
	BUS OTHER		
	ACTIVITY 11.7D.01 TRAINING	10,000	20,000
	ELIGIBLE PROJECT COST		87,000
	FEDERAL SHARE (50%)		43,500
117-0	APPLICANT SHARE (50%)		43,500

Appendix C—Certifications and Assurances

List of Certifications and Assurances for Federal Transit Administration Over-the-Road-Bus Accessibility Grants

This list is a comprehensive compilation of the certifications and assurances required by Federal law for the OTRB Accessibility program. At the end of this list is a single Signature Page on which the applicant and its attorney certifies compliance with all certifications and assurances applicable to the OTRB Accessibility program.

All applicants are advised to read the entire list of Certifications and Assurances to be confident of their responsibilities and commitments. The applicant may signify compliance with all categories by placing a single “X” in the appropriate space at the top of the signature selection page.

References

The Transportation Equity Act for the 21st Century, Pub. L. 105-178, June 9, 1998, as amended by the TEA-21 Restoration Act 105-206, 112 Stat. 685, July 22, 1998, 49 U.S.C. chapter 53, Title 23, United States Code, U.S. DOT and FTA regulations at 49 CFR, and FTA Circulars.

Over-the-road Bus Accessibility Program Certifications and Assurances

I. Certifications and Assurances Required of Each Applicant

Each Applicant for Federal assistance awarded by FTA must provide all

certifications and assurances in this category I. Consequently, FTA may not award any Federal assistance until the Applicant provides assurance of compliance by selecting category “I” Signature Page at the end of this document.

A. Authority of Applicant and Its Representative

The authorized representative of the Applicant and legal counsel who sign these certifications, assurances, and agreements affirm that both the Applicant and its authorized representative have adequate authority under state and local law and the by-laws or internal rules of the Applicant organization to:

- (1) Execute and file the application for Federal assistance on behalf of the Applicant,
- (2) Execute and file the required certifications, assurances, and agreements on behalf of the Applicant binding the Applicant, and
- (3) Execute grant agreements and cooperative agreements with FTA on behalf of the Applicant.

B. Standard Assurances

The Applicant assures that it will comply with all applicable Federal statutes, regulations, executive orders, FTA circulars, and other Federal administrative requirements in carrying out any project supported by the FTA grant. The Applicant acknowledges that it is under a continuing obligation to comply with the terms and conditions of the grant agreement issued for

its project with FTA. The Applicant understands that Federal laws, regulations, policies, and administrative practices might be modified from time to time and affect the implementation of the project. The Applicant agrees that the most recent Federal requirements will apply to the project, unless FTA issues a written determination otherwise.

C. Debarment, Suspension, and Other Responsibility Matters for Primary Covered Transactions

As required by U.S. DOT regulations on Government-wide Debarment and Suspension (Nonprocurement) at 49 CFR 29.510:

- (1) The Applicant (Primary Participant) certifies, to the best of its knowledge and belief, that it and its principals:
 - (a) Are not presently debarred, suspended, proposed for debarment, declared ineligible, or voluntarily excluded from covered transactions by any Federal department or agency;
 - (b) Have not, within a three (3) year period preceding this certification, been convicted of or had a civil judgment rendered against them for commission of fraud or a criminal offense in connection with obtaining, attempting to obtain, or performing a public (Federal, state, or local) transaction or contract under a public transaction, violation of Federal or state antitrust statutes, or commission of embezzlement, theft, forgery, bribery, falsification or destruction of

records, making false statements, or receiving stolen property;

(c) Are not presently indicted for or otherwise criminally or civilly charged by a governmental entity (Federal, state, or local) with commission of any of the offenses listed in subparagraph (1)(b) of this certification; and

(d) Have not within a three-year period preceding this certification had one or more public transactions (Federal, state, or local) terminated for cause or default.

(2) The Applicant also certifies that, if it later becomes aware of any information contradicting the statements of paragraph (1) above, it will promptly provide that information to FTA.

(3) If the Applicant (Primary Participant) is unable to certify to all statements in paragraphs (1) and (2) above, it shall indicate so in its signature page and provide a written explanation to FTA.

D. Drug-Free Workplace Agreement

As required by U.S. DOT regulations, "Drug-Free Workplace Requirements (Grants)," 49 CFR part 29, Subpart F, as modified by 41 U.S.C. 702, the Applicant agrees that it will provide a drug-free workplace by:

(1) Publishing a statement notifying its employees that the unlawful manufacture, distribution, dispensing, possession, or use of a controlled substance is prohibited in its workplace and specifying the actions that will be taken against its employees for violation of that prohibition;

(2) Establishing an ongoing drug-free awareness program to inform its employees about:

(a) The dangers of drug abuse in the workplace,

(b) Its policy of maintaining a drug-free workplace,

(c) Any available drug counseling, rehabilitation, and employee assistance programs, and

(d) The penalties that may be imposed upon its employees for drug abuse violations occurring in the workplace;

(3) Making it a requirement that each of its employees to be engaged in the performance of the grant be given a copy of the statement required by paragraph (1) above;

(4) Notifying each of its employees in the statement required by paragraph (1) that, as a condition of employment financed with Federal assistance provided by the grant, the employee will be required to:

(a) Abide by the terms of the statement, and

(b) Notify the employer (Applicant) in writing of any conviction for a violation of a criminal drug statute occurring in the workplace no later than five (5) calendar days after that conviction;

(5) Notifying FTA in writing, within ten (10) calendar days after receiving notice required by paragraph (4)(b) above from an employee or otherwise receiving actual notice of that conviction. The Applicant, as employer of any convicted employee, must provide notice, including position title, to every project officer or other designee on whose project activity the convicted employee was working. Notice shall include

the identification number(s) of each affected grant;

(6) Taking one of the following actions within thirty (30) calendar days of receiving notice under paragraph (4)(b) of this agreement with respect to any employee who is so convicted:

(a) Taking appropriate personnel action against that employee, up to and including termination, consistent with the requirements of the Rehabilitation Act of 1973, as amended, or

(b) Requiring that employee to participate satisfactorily in a drug abuse assistance or rehabilitation program approved for such purposes by a Federal, state, or local health, law enforcement, or other appropriate agency; and

(7) Making a good faith effort to continue to maintain a drug-free workplace through implementation of paragraphs (1), (2), (3), (4), (5), and (6) of this agreement. The Applicant agrees to maintain a list identifying its headquarters location and each workplace it maintains in which project activities supported by FTA are conducted, and make that list readily accessible to FTA.

E. Intergovernmental Review Assurance

The Applicant assures that each application for Federal assistance submitted to FTA has been or will be submitted, as required by each state, for intergovernmental review to the appropriate state and local agencies. Specifically, the Applicant assures that it has fulfilled or will fulfill the obligations imposed on FTA by U.S. DOT regulations, "Intergovernmental Review of Department of Transportation Programs and Activities," 49 CFR part 17.

F. Nondiscrimination Assurance

As required by 49 U.S.C. 5332 (which prohibits discrimination on the basis of race, color, creed, national origin, sex, or age, and prohibits discrimination in employment or business opportunity), Title VI of the Civil Rights Act of 1964, as amended, 42 U.S.C. 2000d, and U.S. DOT regulations, "Nondiscrimination in Federally-Assisted Programs of the Department of Transportation—Effectuation of Title VI of the Civil Rights Act," 49 CFR part 21 at 21.7, the Applicant assures that it will comply with all requirements of 49 CFR part 21; FTA Circular 4702.1, "Title VI Program Guidelines for Federal Transit Administration Recipients", and other applicable directives, so that no person in the United States, on the basis of race, color, national origin, creed, sex, or age will be excluded from participation in, be denied the benefits of, or otherwise be subjected to discrimination in any program or activity (particularly in the level and quality of transportation services and transportation-related benefits) for which the Applicant receives Federal assistance awarded by the U.S. DOT or FTA as follows:

(1) The Applicant assures that each project will be conducted, property acquisitions will be undertaken, and project facilities will be operated in accordance with all applicable requirements of 49 U.S.C. 5332 and 49 CFR part 21, and understands that this assurance extends to its entire facility and to facilities operated in connection with the project.

(2) The Applicant assures that it will take appropriate action to ensure that any transferee receiving property financed with Federal assistance derived from FTA will comply with the applicable requirements of 49 U.S.C. 5332 and 49 CFR part 21.

(3) The Applicant assures that it will promptly take the necessary actions to effectuate this assurance, including notifying the public that complaints of discrimination in the provision of transportation-related services or benefits may be filed with U.S. DOT or FTA. Upon request by U.S. DOT or FTA, the Applicant assures that it will submit the required information pertaining to its compliance with these requirements.

(4) The Applicant assures that it will make any changes in its 49 U.S.C. 5332 and Title VI implementing procedures as U.S. DOT or FTA may request.

(5) As required by 49 CFR 21.7(a)(2), the Applicant will include in each third party contract or subagreement provisions to invoke the requirements of 49 U.S.C. 5332 and 49 CFR part 21, and include provisions to invoke those requirements in deeds and instruments recording the transfer of real property, structures, improvements.

G. Assurance of Nondiscrimination on the Basis of Disability

As required by U.S. DOT regulations, "Nondiscrimination on the Basis of Handicap in Programs and Activities Receiving or Benefiting from Federal Financial Assistance," at 49 CFR part 27, implementing the Rehabilitation Act of 1973, as amended, and the Americans with Disabilities Act of 1990, as amended, the Applicant assures that, as a condition to the approval or extension of any Federal assistance awarded by FTA to construct any facility, obtain any rolling stock or other equipment, undertake studies, conduct research, or to participate in or obtain any benefit from any program administered by FTA, no otherwise qualified person with a disability shall be, solely by reason of that disability, excluded from participation in, denied the benefits of, or otherwise subjected to discrimination in any program or activity receiving or benefiting from Federal assistance administered by the FTA or any entity within U.S. DOT. The Applicant assures that project implementation and operations so assisted will comply with all applicable requirements of U.S. DOT regulations implementing the Rehabilitation Act of 1973, as amended, 29 U.S.C. 794, and the Americans with Disabilities Act of 1990, as amended, 42 U.S.C. 12101 *et seq.* at 49 CFR parts 27, 37, and 38, and any applicable regulations and directives issued by other Federal departments or agencies.

I. Certifications Prescribed by the Office of Management and Budget (SF-424B and SF-424D)

The Applicant certifies that it:

(1) Has the legal authority to apply for Federal assistance and the institutional, managerial, and financial capability (including funds sufficient to pay the non-Federal share of project cost) to ensure proper planning, management, and completion of the project described in its application.

(2) Will give FTA, the Comptroller General of the United States and, if appropriate, the state, through any authorized representative, access to and the right to examine all records, books, papers, or documents related to the award; and will establish a proper accounting system in accordance with generally accepted accounting standards or agency directives.

(3) Will establish safeguard to prohibit employees from using their positions for a purpose that constitutes or presents the appearance of personal or organizational conflict of interest or personal gain.

(4) Will initiate and complete the work within the applicable project time periods following receipt of FTA approval.

(5) Will comply with all statutes relating to nondiscrimination including, but not limited to:

(a) Title VI of the Civil Rights Act, 42 U.S.C. 2000d, which prohibits discrimination on the basis of race, color, or national origin;

(b) Title IX of the Education Amendments of 1972, as amended, 20 U.S.C. 1681, 1683, and 1685 through 1687, which prohibits discrimination on the basis of sex;

(c) Section 504 of the Rehabilitation Act of 1973, as amended, 29 U.S.C. 794, which prohibits discrimination on the basis of handicaps;

(d) The Age Discrimination Act of 1975, as amended, 42 U.S.C. 6101 through 6107, which prohibit discrimination on the basis of age;

(e) The Drug Abuse Office and Treatment Act of 1972, Pub. L. 92-255, March 21, 1972, and amendments thereto, relating to nondiscrimination on the basis of drug abuse;

(f) The Comprehensive Alcohol Abuse and Alcoholism Prevention Act of 1970, Pub. L. 91-616, Dec. 31, 1970, and amendments thereto, relating to nondiscrimination on the basis of alcohol abuse or alcoholism;

(g) The Public Health Service Act of 1912, as amended, 42 U.S.C. 290dd-3 and 290ee-3, related to confidentiality of alcohol and drug abuse patient records;

(h) Title VIII of the Civil Rights Act, 42 U.S.C. 3601 *et seq.*, relating to nondiscrimination in the sale, rental, or financing of housing;

(i) Any other nondiscrimination provisions in the specific statutes under which Federal assistance for the project may be provided including, but not limited to section 1101(b) of the Transportation Equity Act for the 21st Century, 23 U.S.C. 101 note, which provides for participation of disadvantaged business enterprises in FTA programs; and

(j) The requirements of any other nondiscrimination statute(s) that may apply to the project.

(6) Will comply, or has complied, with the requirements of Titles II and III of the Uniform Relocation Assistance and Real Property Acquisition Policies Act of 1970, as amended, (Uniform Relocation Act) 42 U.S.C. 4601 *et seq.*, which provide for fair and equitable treatment of persons displaced or whose property is acquired as a result of Federal or federally-assisted programs. These requirements apply to all interests in real property acquired for project purposes regardless of Federal participation in purchases. As required by U.S. DOT

regulations, "Uniform Relocation Assistance and Real Property Acquisition for Federal and Federally Assisted Programs," at 49 CFR 24.4, and sections 210 and 305 of the Uniform Relocation Act, 42 U.S.C. 4630 and 4655, the Applicant assures that it has the requisite authority under applicable state and local law and will comply or has complied with the requirements of the Uniform Relocation Act, 42 U.S.C. 4601 *et seq.*, and U.S. DOT regulations, "Uniform Relocation Assistance and Real Property Acquisition for Federal and Federally Assisted Programs," 49 CFR part 24 including, but not limited to the following:

(a) The Applicant will adequately inform each affected person of the benefits, policies, and procedures provided for in 49 CFR part 24;

(b) The Applicant will provide fair and reasonable relocation payments and assistance required by 42 U.S.C. 4622, 4623, and 4624; 49 CFR part 24; and any applicable FTA procedures, to or for families, individuals, partnerships, corporations or associations displaced as a result of any project financed with FTA assistance;

(c) The Applicant will provide relocation assistance programs offering the services described in 42 U.S.C. 4625 to such displaced families, individuals, partnerships, corporations, or associations in the manner provided in 49 CFR part 24 and FTA procedures;

(d) Within a reasonable time before displacement, the Applicant will make available comparable replacement dwellings to displaced families and individuals as required by 42 U.S.C. 4625(c)(3);

(e) The Applicant will carry out the relocation process in such a manner as to provide displaced persons with uniform and consistent services, and will make available replacement housing in the same range of choices with respect to such housing to all displaced persons regardless of race, color, religion, or national origin; and

(f) In acquiring real property, the Applicant will be guided to the greatest extent practicable under state law, by the real property acquisition policies of 42 U.S.C. 4651 and 4652;

(g) The Applicant will pay or reimburse property owners for necessary expenses as specified in 42 U.S.C. 4653 and 4654, with the understanding that FTA will participate in the Applicant's eligible costs of providing payments for those expenses as required by 42 U.S.C. 4631;

(h) The Applicant will execute such amendments to third party contracts and subagreements financed with FTA assistance and execute, furnish, and be bound by such additional documents as FTA may determine necessary to effectuate or implement the assurances provided herein; and

(i) The Applicant agrees to make these assurances part of or incorporate them by reference into any third party contract or subagreement, or any amendments thereto, relating to any project financed by FTA involving relocation or land acquisition and provide in any affected document that these relocation and land acquisition provisions shall supersede any conflicting provisions.

(7) To the extent applicable, will comply with provisions of the Hatch Act, 5 U.S.C.

1501 through 1508, and 7324 through 7326, which limit the political activities of state and local agencies and their officers and employees whose principal employment activities are financed in whole or part with Federal funds including a Federal loan, grant, or cooperative agreement, but pursuant to 23 U.S.C. 142(g), does not apply to a nonsupervisory employee of a transit system (or of any other agency or entity performing related functions) receiving FTA assistance to whom the Hatch Act does not otherwise apply.

(8) To the extent applicable, will comply with the Davis-Bacon Act, as amended, 40 U.S.C. 276a through 276a(7), the Copeland Act, as amended, 18 U.S.C. 874 and 40 U.S.C. 276c, and the Contract Work Hours and Safety Standards Act, as amended, 40 U.S.C. 327 through 333, regarding labor standards for federally-assisted subagreements.

(9) To the extent applicable, will comply with flood insurance purchase requirements of section 102(a) of the Flood Disaster Protection Act of 1973, as amended, 42 U.S.C. 4012a(a), requiring recipients in a special flood hazard area to participate in the program and purchase flood insurance if the total cost of insurable construction and acquisition is \$10,000 or more.

(10) Will comply with environmental standards that may be prescribed to implement the following Federal laws and executive orders:

(a) Institution of environmental quality control measures under the National Environmental Policy Act of 1969, as amended, 42 U.S.C. 4321 *et seq.* and Executive Order No. 11514, as amended, 42 U.S.C. 4321 note;

(b) Notification of violating facilities pursuant to Executive Order No. 11738, 42 U.S.C. 7606 note;

(c) Protection of wetlands pursuant to Executive Order No. 11990, 42 U.S.C. 4321 note;

(d) Evaluation of flood hazards in floodplains in accordance with Executive Order 11988, 42 U.S.C. 4321 note;

(e) Assurance of project consistency with the approved State management program developed pursuant to the requirements of the Coastal Zone Management Act of 1972, as amended, 16 U.S.C. 1451 *et seq.*

(f) Conformity of Federal actions to State (Clean Air) Implementation Plans under section 176(c) of the Clean Air Act of 1955, as amended, 42 U.S.C. 7401 *et seq.*;

(g) Protection of underground sources of drinking water under the Safe Drinking Water Act of 1974, as amended, 42 U.S.C. 300h *et seq.*;

(h) Protection of endangered species under the Endangered Species Act of 1973, as amended, Endangered Species Act of 1973, as amended, 16 U.S.C. 1531 *et seq.*; and

(i) Environmental protections for Federal transit programs, including, but not limited to protections for a park, recreation area, or wildlife or waterfowl refuge of national, state, or local significance or any land from a historic site of national, state, or local significance used in a transit project as required by 49 U.S.C. 303.

(11) Will comply with the Wild and Scenic Rivers Act of 1968, as amended, 16 U.S.C.

1271 *et seq.* relating to protecting components of the national wild and scenic rivers systems.

(12) Will assist FTA in assuring compliance with section 106 of the National Historic Preservation Act of 1966, as amended, 16 U.S.C. 470f, Executive Order No. 11593 (identification and protection of historic properties), 16 U.S.C. 470 note, and the Archaeological and Historic Preservation Act of 1974, as amended, 16 U.S.C. 469a–1 *et seq.*

(13) Will comply with the Lead-Based Paint Poisoning Prevention Act, 42 U.S.C. 4801, which prohibits the use of lead-based paint in construction or rehabilitation of residence structures.

(14) Will not dispose of, modify the use of, or change the terms of the real property title, or other interest in the site and facilities on which a construction project supported with FTA assistance takes place without permission and instructions from the awarding agency.

(15) Will record the Federal interest in the title of real property in accordance with FTA directives and will include a covenant in the title of real property acquired in whole or in part with Federal assistance funds to assure nondiscrimination during the useful life of the project.

(16) Will comply with FTA requirements concerning the drafting, review, and approval of construction plans and specifications of any construction project supported with FTA assistance. As required by U.S. DOT regulations, "Seismic Safety," 49 CFR 41.117(d), before accepting delivery of any building financed with FTA assistance, it will obtain a certificate of compliance with the seismic design and construction requirements of 49 CFR part 41.

(17) Will provide and maintain competent and adequate engineering supervision at the construction site of any project supported with FTA assistance to ensure that the complete work conforms with the approved plans and specifications and will furnish progress reports and such other information as may be required by FTA or the State.

(18) Will comply with the National Research Act, Pub. L. 93–348, July 12, 1974, as amended, regarding the protection of human subjects involved in research, development, and related activities supported by Federal assistance.

(19) Will comply with the Laboratory Animal Welfare Act of 1966, as amended, 7 U.S.C. 2131 *et seq.* pertaining to the care, handling, and treatment of warm blooded animals held for research, teaching, or other activities supported by FTA assistance.

(20) Will have performed the financial and compliance audits required by the Single Audit Act Amendments of 1996, 31 U.S.C. 7501 *et seq.* and OMB Circular No. A–133, "Audits of States, Local Governments, and Non-Profit Organizations and Department of Transportation provisions of OMB A–133 Compliance Supplement, April, 1999."

(21) Will comply with all applicable requirements of all other Federal laws, executive orders, regulations, and policies governing the project.

II. Lobbying Certification for an Application Exceeding \$100,000

An Applicant that submits, or intends to submit this fiscal year, an application for Federal assistance exceeding \$100,000 must provide the following certification. Consequently, FTA may not provide Federal assistance for an application exceeding \$100,000 until the Applicant provides this certification by selecting category "II" on the Signature Page at the end of this document.

A. As required by U.S. DOT regulations, "New Restrictions on Lobbying," at 49 CFR 20.110, the Applicant's authorized representative certifies to the best of his or her knowledge and belief that for each application for a Federal assistance exceeding \$100,000:

(1) No Federal appropriated funds have been or will be paid, by or on behalf of the Applicant, to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress pertaining to the award of any Federal assistance, or the extension, continuation, renewal, amendment, or modification of any Federal assistance agreement; and

(2) If any funds other than Federal appropriated funds have been or will be paid to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with any application to FTA for Federal assistance, the Applicant assures that it will complete and

submit Standard Form-LLL, "Disclosure Form to Report Lobbying," including the information required by the form's instructions, which may be amended to omit such information as permitted by 31 U.S.C. 1352.

B. The Applicant understands that this certification is a material representation of fact upon which reliance is placed and that submission of this certification is a prerequisite for providing Federal assistance for a transaction covered by 31 U.S.C. 1352. The Applicant also understands that any person who fails to file a required certification shall be subject to a civil penalty of not less than \$10,000 and not more than \$100,000 for each such failure.

III. School Transportation Agreement

An Applicant seeking FTA assistance to acquire or operate transportation facilities and equipment acquired with Federal assistance authorized by 49 U.S.C. chapter 53 or Title 23, U.S.C. must agree as follows. Consequently, FTA may not provide assistance for transportation facilities until the Applicant enters into this Agreement by selecting category "III" on the TEAM system certifications and assurances tab page or on the Signature Page at the end of this document.

A. As required by 49 U.S.C. 5323(f) and FTA regulations, "School Bus Operations," at 49 CFR 605.14, the Applicant agrees that it and all its recipients will:

(1) Engage in school transportation operations in competition with private school transportation operators only to the extent permitted by 49 U.S.C. 5323(f), and implementing regulations, and

(2) Comply with the requirements of 49 CFR part 605 before providing any school transportation using equipment or facilities acquired with Federal assistance awarded by FTA and authorized by 49 U.S.C. chapter 53 or Title 23 U.S.C. for transportation projects.

B. The Applicant understands that the requirements of 49 CFR part 605 will apply to any school transportation it provides, the definitions of 49 CFR part 605 apply to this school transportation agreement, and a violation of this agreement may require corrective measures and the imposition of penalties, including debarment from the receipt of further Federal assistance for transportation.

Over-the-Road Bus Accessibility Program Certifications and Assurances for FTA**Assistance**

NAME OF APPLICANT: _____

The Applicant agrees to comply with applicable requirements of Categories I-III.

(The Applicant may make this selection in lieu of individual selections below.)

OR

The applicant agrees to comply with the applicable requirements of the following categories it has selected:

- I. Certifications and Assurances Required of Each Applicant _____
- II. Lobbying Certification _____
- III. School Transportation Agreement _____

Over-the-Road Bus Accessibility Certifications and Assurances

Name of Applicant:

Name and relationship of Authorized Representative: _____

BY SIGNING BELOW I, _____ (name), on behalf of the Applicant, declare that the Applicant has duly authorized me to make these certifications and assurances and bind the Applicant's compliance. Thus, the Applicant agrees to comply with all Federal statutes, regulations, executive orders, and administrative guidance required for each application it makes to the Federal Transit Administration (FTA).

FTA intends that the certifications and assurances the Applicant selects on the other side of this document should apply, as required, to each project for which the applicant seeks FTA assistance.

The applicant affirms the truthfulness and accuracy of the certifications and assurances it has made in the statements submitted herein with this document and any other submission made to FTA, and acknowledges that the provisions of the Program Fraud Civil Remedies Act of 1986, 31 U.S.C. 3801 et seq., as implemented by U.S. DOT regulations, "Program Fraud Civil Remedies," 49 CFR part 31 apply to any certification, assurance or submission made to FTA. The criminal fraud provisions of 18 U.S.C. 1001 apply to any certification, assurance, or submission made in connection with any other program administered by FTA.

In signing this document, I declare under penalties of perjury that the foregoing certifications and assurances, and any other statements made by me on behalf of the Application are true and correct.

Signature _____

Date _____

Name _____

Authorized Representative of Applicant

Affirmation of Applicant's Attorney

For _____

(Name of Applicant)

As the undersigned legal counsel for the above name applicant, I hereby affirm to the Applicant that it has authority under state and local law to make and comply with the certifications and assurances as indicated on the foregoing pages. I further affirm that, in my opinion, the certifications and assurances have been legally made and constitute legal and binding obligations on the applicant.

I further affirm to the Applicant that, to the best of my knowledge, there is no legislation or litigation pending or imminent that might adversely affect the validity of these certifications and assurances, or of the performance of the project. Furthermore, if I become aware of circumstances that change the accuracy of the foregoing statements, I will notify the applicant promptly, which may so inform FTA.

Signature _____

Date _____

Name _____

Applicant's Attorney

Each Applicant for FTA financial assistance and each FTA grantee with an active capital project must provide an attorney's affirmation of the Applicant's legal capacity.

Appendix D—Grant Application Checklist

1. Transmittal letter
2. Project Eligibility
3. Project Information
4. Project Narrative

5. Fleet Information
6. Service Information
7. Labor Information 43

APPENDIX E

OMB Approval No. 0348-0043

APPLICATION FOR
FEDERAL ASSISTANCE

1. TYPE OF SUBMISSION:		2. DATE SUBMITTED	Applicant Identifier
Application ☐ Construction ☐ Non-Construction	Preapplication ☐ Construction ☐ Non-Construction	3. DATE RECEIVED BY STATE	State Application Identifier
		4. DATE RECEIVED BY FEDERAL AGENCY	Federal Identifier
5. APPLICANT INFORMATION			
Legal Name:		Organizational Unit:	
Address (give city, county, State, and zip code):		Name and telephone number of person to be contacted on matters involving this application (give area code)	
6. EMPLOYER IDENTIFICATION NUMBER (EIN): □□-□□□□□□□□		7. TYPE OF APPLICANT: (enter appropriate letter in box) ☐	
8. TYPE OF APPLICATION: ☐ New ☐ Continuation ☐ Revision If Revision, enter appropriate letter(s) in box(es) ☐ ☐ A. Increase Award B. Decrease Award C. Increase Duration D. Decrease Duration Other(specify): _____		A. State H. Independent School Dist. B. County I. State Controlled Institution of Higher Learning C. Municipal J. Private University D. Township K. Indian Tribe E. Interstate L. Individual F. Intermunicipal M. Profit Organization G. Special District N. Other (Specify) _____	
10. CATALOG OF FEDERAL DOMESTIC ASSISTANCE NUMBER: □□-□□□□ TITLE:		9. NAME OF FEDERAL AGENCY:	
12. AREAS AFFECTED BY PROJECT (Cities, Counties, States, etc.):		11. DESCRIPTIVE TITLE OF APPLICANT'S PROJECT:	
13. PROPOSED PROJECT		14. CONGRESSIONAL DISTRICTS OF:	
Start Date	Ending Date	a. Applicant	b. Project
15. ESTIMATED FUNDING:		16. IS APPLICATION SUBJECT TO REVIEW BY STATE EXECUTIVE ORDER 12372 PROCESS?	
a. Federal	\$.00	a. YES. THIS PREAPPLICATION/APPLICATION WAS MADE AVAILABLE TO THE STATE EXECUTIVE ORDER 12372 PROCESS FOR REVIEW ON: DATE _____	
b. Applicant	\$.00	b. No. ☐ PROGRAM IS NOT COVERED BY E. O. 12372 ☐ OR PROGRAM HAS NOT BEEN SELECTED BY STATE FOR REVIEW	
c. State	\$.00	17. IS THE APPLICANT DELINQUENT ON ANY FEDERAL DEBT?	
d. Local	\$.00	☐ Yes If "Yes," attach an explanation. ☐ No	
e. Other	\$.00	18. TO THE BEST OF MY KNOWLEDGE AND BELIEF, ALL DATA IN THIS APPLICATION/PREAPPLICATION ARE TRUE AND CORRECT, THE DOCUMENT HAS BEEN DULY AUTHORIZED BY THE GOVERNING BODY OF THE APPLICANT AND THE APPLICANT WILL COMPLY WITH THE ATTACHED ASSURANCES IF THE ASSISTANCE IS AWARDED.	
f. Program Income	\$.00	a. Type Name of Authorized Representative	
g. TOTAL	\$.00	b. Title	c. Telephone Number
		d. Signature of Authorized Representative	e. Date Signed

Previous Edition Usable
Authorized for Local ReproductionStandard Form 424 (Rev. 7-97)
Prescribed by OMB Circular A-102

INSTRUCTIONS FOR THE SF-424

Public reporting burden for this collection of information is estimated to average 45 minutes per response, including time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding the burden estimate or any other aspect of this collection of information, including suggestions for reducing this burden, to the Office of Management and Budget, Paperwork Reduction Project (0348-0043), Washington, DC 20503.

PLEASE DO NOT RETURN YOUR COMPLETED FORM TO THE OFFICE OF MANAGEMENT AND BUDGET. SEND IT TO THE ADDRESS PROVIDED BY THE SPONSORING AGENCY.

This is a standard form used by applicants as a required facesheet for preapplications and applications submitted for Federal assistance. It will be used by Federal agencies to obtain applicant certification that States which have established a review and comment procedure in response to Executive Order 12372 and have selected the program to be included in their process, have been given an opportunity to review the applicant's submission.

- | Item: | Entry: | Item: | Entry: |
|-------|---|-------|--|
| 1. | Self-explanatory. | 12. | List only the largest political entities affected (e.g., State, counties, cities). |
| 2. | Date application submitted to Federal agency (or State if applicable) and applicant's control number (if applicable). | 13. | Self-explanatory. |
| 3. | State use only (if applicable). | 14. | List the applicant's Congressional District and any District(s) affected by the program or project. |
| 4. | If this application is to continue or revise an existing award, enter present Federal identifier number. If for a new project, leave blank. | 15. | Amount requested or to be contributed during the first funding/budget period by each contributor. Value of in-kind contributions should be included on appropriate lines as applicable. If the action will result in a dollar change to an existing award, indicate <u>only</u> the amount of the change. For decreases, enclose the amounts in parentheses. If both basic and supplemental amounts are included, show breakdown on an attached sheet. For multiple program funding, use totals and show breakdown using same categories as item 15. |
| 5. | Legal name of applicant, name of primary organizational unit which will undertake the assistance activity, complete address of the applicant, and name and telephone number of the person to contact on matters related to this application. | 16. | Applicants should contact the State Single Point of Contact (SPOC) for Federal Executive Order 12372 to determine whether the application is subject to the State intergovernmental review process. |
| 6. | Enter Employer Identification Number (EIN) as assigned by the Internal Revenue Service. | 17. | This question applies to the applicant organization, not the person who signs as the authorized representative. Categories of debt include delinquent audit disallowances, loans and taxes. |
| 7. | Enter the appropriate letter in the space provided. | 18. | To be signed by the authorized representative of the applicant. A copy of the governing body's authorization for you to sign this application as official representative must be on file in the applicant's office. (Certain Federal agencies may require that this authorization be submitted as part of the application.) |
| 8. | Check appropriate box and enter appropriate letter(s) in the space(s) provided:

-- "New" means a new assistance award.

-- "Continuation" means an extension for an additional funding/budget period for a project with a projected completion date.

-- "Revision" means any change in the Federal Government's financial obligation or contingent liability from an existing obligation. | | |
| 9. | Name of Federal agency from which assistance is being requested with this application. | | |
| 10. | Use the Catalog of Federal Domestic Assistance number and title of the program under which assistance is requested. | | |
| 11. | Enter a brief descriptive title of the project. If more than one program is involved, you should append an explanation on a separate sheet. If appropriate (e.g., construction or real property projects), attach a map showing project location. For preapplications, use a separate sheet to provide a summary description of this project. | | |

SF-424 (Rev. 7-97) Back



Federal Register

**Tuesday,
January 18, 2000**

Part V

Department of Education

**Bilingual Education: Training for All
Teachers; Notice Inviting Applications for
New Awards for Fiscal Year (FY) 2000;
Notice**

DEPARTMENT OF EDUCATION

(CFDA No.: 84.195B)

Bilingual Education: Training for All Teachers; Notice Inviting Applications for New Awards for Fiscal Year (FY) 2000

Note to Applicants: This notice is a complete application package. Together with the statute authorizing the program and the applicable regulations governing this program, including the Education Department General Administrative Regulations (EDGAR), this notice contains all of the information, application forms, and instructions needed to apply for a grant under this program.

Purpose of Program: This program provides grants to incorporate courses and curricula on appropriate and effective instructional and assessment methodologies, strategies and resources specific to limited English proficient students, into preservice and inservice professional development programs for teachers, pupil services personnel, administrators, and other educational personnel in order to prepare such individuals to provide effective services to limited English proficient students. The program focuses on the development of coursework and curricula for professional development programs for currently practicing teachers and other educational personnel who provide instruction or support to LEP students, but who do not expect to become bilingual education or English as a second language specialists. Funds under this program may be used to provide for the development of training programs in collaboration with other programs, such as programs authorized under Titles I and II of this Act and under the Head Start Act.

Eligible Applicants: One or more institutions of higher education (IHEs); one or more local educational agencies (LEAs); one or more State educational agencies (SEAs); or one or more nonprofit organizations (NPOs) which have entered into consortia arrangements with an IHE, LEA, or SEA.

Applications Available: January 18, 2000.

Deadline for Transmittal of Applications: March 8, 2000.

Deadline for Intergovernmental Review: May 9, 2000.

Available Funds: \$8 million.

Estimated Range of Awards: \$150,000–\$250,000.

Estimated Average Size of Awards: \$200,000.

Estimated Number of Awards: 40.

Note: The Department of Education is not bound by any estimates in this notice.

Project Period: Up to 36 Months.

Applicable Regulations

The Education Department General Administrative Regulations (EDGAR) in 34 CFR 74, 75, 77, 79, 80, 81, 82, 85, and 86.

Description of Program

The statutory authorization for this program, and the application requirements that apply to this competition, are set forth in sections 7142 and 7146–7150 of the Elementary and Secondary Education Act of 1965, as amended by the Improving America's Schools Act of 1994 (20 U.S.C. 7472 and 7476–7480), Pub. L. 103–382, enacted October 20, 1994.

Activities conducted under this program must assist educational personnel in meeting State and local certification requirements for bilingual education and, wherever possible, must lead to the awarding of college or university credit.

Priorities*Competitive Priority*

The Secretary, under 34 CFR 75.105(c)(2)(i) and 34 CFR 299.3(b), gives preference to applications that meet the following competitive priority. The Secretary awards up to 3 points for an application that meets this competitive priority. These points are in addition to any points the application earns under the selection criteria for the program:

Projects that will contribute to systemic educational reform in an Empowerment Zone, including a Supplemental Empowerment Zone, or an Enterprise Community designated by the United States Department of Housing and Urban Development or the United States Department of Agriculture, and are made an integral part of the Zone's or Community's comprehensive community revitalization strategies.

Note: For a list of areas that have been designated as Empowerment Zones and Enterprise Communities go to: <http://www.ezec.gov/ezec/mainmap.html> and <http://www.hud.gov/pressrel/ezec/urban.html>.

Invitational Priority

The Secretary is particularly interested in applications that meet the following invitational priority. However, an application that meets this invitational priority receives no competitive or absolute preference over other applications (34 CFR 75.105(c)(1)).

Projects that incorporate training in family involvement into formal induction programs for beginning

secondary teachers or ongoing professional development programs for currently practicing secondary teachers.

Selection Criteria:

The Secretary uses the following selection criteria in 34 CFR 75.210 to evaluate applications for new grants under this competition.

The maximum score for all of these criteria is 100 points.

The maximum score for each criterion is indicated in parentheses.

(a) *Significance* (10 points). (1) The Secretary considers the significance of the proposed project.

(2) In determining the significance of the proposed project the Secretary considers the likelihood that the proposed project will result in system change or improvement.

(Authority: 34 CFR 75.210 (b) (1) and (2)(v))

(b) *Need for project* (10 points). (1) The Secretary considers the need for the proposed project.

(2) In determining the need for the proposed project, the Secretary considers the following factors:

(i) The magnitude or severity of the problem to be addressed by the proposed project.

(ii) The extent to which specific gaps or weaknesses in services, infrastructure, or opportunities have been identified and will be addressed by the proposed project, including the nature and the magnitude of those gaps or weaknesses.

(Authority: 34 CFR 75.210 (a)(1) and (2)(i) and (v))

(c) *Quality of the project design* (45 points). (1) The Secretary considers the quality of the design of the proposed project.

(2) In determining the quality of the design of the proposed project, the Secretary considers the following factors:

(i) The extent to which the goals, objectives, and outcomes to be achieved by the proposed project are clearly specified and measurable.

(ii) The extent to which the design of the proposed project is appropriate to, and will successfully address, the needs of the target population or other identified needs.

(iii) The extent to which the proposed project is designed to build capacity and yield results that will extend beyond the period of Federal financial assistance.

(iv) The extent to which the design of the proposed project reflects up-to-date knowledge from research and effective practice.

(v) The extent to which the proposed project will be coordinated with similar or related efforts, and with other appropriate community, State, and Federal resources.

(vi) The extent to which the proposed project represents an exceptional approach for meeting the statutory purposes and requirements.

(Authority: 34 CFR 75.210(c)(1) and (2)(i), (ii), (xii), (xiii), (xiv), and (xvi).

(d) *Quality of project services* (5 points). (1) The Secretary considers the quality of the services to be provided by the proposed project.

(2) In determining the quality of the services to be provided by the proposed project, the Secretary considers the quality and sufficiency of strategies for ensuring equal access and treatment for eligible project participants who are members of groups that have traditionally been underrepresented based on race, color, national origin, gender, age, or disability.

(Authority: 34 CFR 75.210(d)(1) and (2).

(e) *Quality of project personnel* (5 points). (1) The Secretary considers the quality of the personnel who will carry out the proposed project.

(2) In determining the quality of project personnel, the Secretary considers the extent to which the applicant encourages applications for employment from persons who are members of groups that have traditionally been underrepresented based on race, color, national origin, gender, age, or disability.

(3) In addition, the Secretary considers the qualifications, including relevant training and experience, of key project personnel.

(Authority: 34 CFR 75.210(e)(1), (2) and (3)(ii))

(f) *Quality of the management plan*. (5 points) (1) The Secretary considers the quality of the management plan for the proposed project.

(2) In determining the quality of the management plan for the proposed project, the Secretary considers the following factors:

(i) The adequacy of the management plan to achieve the objectives of the proposed project on time and within budget, including clearly defined responsibilities, timelines, and milestones for accomplishing project tasks.

(ii) The adequacy of the procedures for ensuring feedback and continuous improvement in the operation of the proposed project.

(iii) How the applicant will ensure that a diversity of perspectives are brought to bear in the operation of the proposed project, including those of parents, teachers, the business community, a variety of disciplinary and professional fields, recipients or beneficiaries of services, or others, as appropriate.

(Authority: 34 CFR 75.210(g)(1) and (2)(i)(ii)(v))

(g) *Quality of the project evaluation*. (20 points) (1) The Secretary considers the quality of the evaluation to be conducted of the proposed project.

(2) In determining the quality of the evaluation, the Secretary considers the following factors:

(i) The extent to which the methods of evaluation provide for examining the effectiveness of project implementation strategies.

(ii) The extent to which the methods of evaluation include the use of objective performance measures that are clearly related to the intended outcomes of the project and will produce quantitative and qualitative data to the extent possible.

(iii) The extent to which the methods of evaluation will provide performance feedback and permit periodic assessment of progress toward achieving intended outcomes.

(Authority: 34 CFR 75.210(h)(1) and (2)(iii), (iv), and (vi)).

Intergovernmental Review of Federal Programs:

This program is subject to the requirements of Executive Order 12372 (Intergovernmental Review of Federal Programs) and the regulations in 34 CFR Part 79.

The objective of the Executive order is to foster an intergovernmental partnership and to strengthen federalism by relying on State and local processes for State and local government coordination and review of proposed Federal financial assistance.

Applicants must contact the appropriate State Single Point of Contact to find out about, and to comply with, the State's process under Executive order 12372.

Applicants proposing to perform activities in more than one State should immediately contact the Single Point of Contact for each of those States and follow the procedure established in each State under the Executive Order. If you want to know the name and address of any State Single Point of Contact, see the list published in the **Federal Register** on April 28, 1999 (64 FR 22963) or you may view the latest SPOC list on the OMB Web site at the following address: <http://www.whitehouse.gov/omb/grants>

In States that have not established a process or chosen a program for review, State, area-wide, regional, and local entities may submit comments directly to the Department.

Any State process recommendation and other comments submitted by a State Single Point of Contact and any comments from State, area-wide, regional, and local entities must be mailed or hand-delivered by the date indicated in this notice to the following address: The Secretary, E.O. 12372—

CFDA# 84.195B, U.S. Department of Education, Room 7E200, 400 Maryland Ave SW., Washington, D.C. 20202-0125.

Proof of mailing will be determined on the same basis as applications (see 34 CFR 75.102). Recommendations or comments may be hand-delivered until 4:30 p.m. (Eastern Standard Time) on the date indicated in this notice.

Please note that the above address is not the same address as the one to which the applicant submits its completed application. *Do not send applications to the above address.*

Instructions for Transmittal of Applications

(a) If an applicant wants to apply for a grant, the applicant must

(1) Mail the original and two copies of the application on or before the deadline date to: U.S. Department of Education, Application Control Center, Attention: (CFDA# 84.195B), Washington, D.C. 20202-4725 or

(2) Hand-deliver the original and two copies of the application by 4:30 p.m. (Eastern Standard Time) on or before the deadline date to: U.S. Department of Education, Application Control Center, Attention: (CFDA# 84.195B), Room #3633, Regional Office Building #3, 7th and D Streets, SW., Washington, D.C.

(b) An applicant must show one of the following as proof of mailing:

(1) A legibly dated U.S. Postal Service postmark.

(2) A legible mail receipt with the date of mailing stamped by the U.S. Postal Service.

(3) A dated shipping label, invoice, or receipt from a commercial carrier.

(4) Any other proof of mailing acceptable to the Secretary.

(c) If an application is mailed through the U.S. Postal Service, the Secretary does not accept either of the following as proof of mailing:

(1) A private metered postmark.

(2) A mail receipt that is not dated by the U.S. Postal Service.

Notes: (1) The U.S. Postal Service does not uniformly provide a dated postmark. Before relying on this method, an applicant should check with its local post office.

(2) The Application Control Center will mail a Grant Application Receipt Acknowledgment to each applicant. If an applicant fails to receive the notification of application receipt within 15 days from the date of mailing the application, the applicant should call the U.S. Department of Education Application Control Center at (202) 708-9495.

(3) The applicant must indicate on the envelope and—if not provided by the Department—in Item 10 of the Application for Federal Assistance

(Standard Form 424) the CFDA number and suffix letter, if any, of the competition under which the application is being submitted.

Application Instructions and Forms

The appendix to this notice is divided into three parts, plus a statement regarding estimated public reporting burden, a notice to applicants regarding compliance with Section 427 of the General Education Provisions Act (GEPA), questions and answers on this program (located at the end of the notice) and various assurances, certifications, and required documentation. These parts and additional materials are organized in the same manner that the submitted application should be organized. The parts and additional materials are as follows:

Part I: Application for Federal Assistance (Standard Form 424) and instructions.

Part II: Budget Information—Non-Construction Programs (ED Form No. 524) and instructions.

Part III: Application Narrative.

Additional Materials

a. Estimated Public Reporting Burden.
b. Group Application Certification.
c. Project Documentation.
d. Program Assurances.
e. Assurances—Non-Construction Programs (Standard Form 424B) and Instructions.

f. Certifications Regarding: Lobbying; Debarment, Suspension, and Other Responsibility Matters; and Drug-Free Workplace Requirements (ED 80-0013) and Instructions.

g. Certification Regarding Debarment, Suspension, Ineligibility and Voluntary Exclusion—Lower Tier Covered Transactions (ED 80-0014) and Instructions. (**Note:** ED 80-0014 is intended for the use of grantees and should not be transmitted to the Department.)

h. Disclosure of Lobbying Activities (Standard Form LLL) (if applicable) and Instructions. This document has been marked to reflect statutory changes. See the notice published in the **Federal Register** (61 FR 1413) by the Office of Management and Budget on January 19, 1996.

i. Notice to All Applicants (GEPA Requirement) and Instructions (OMB No. 1801-0004). An applicant may submit information on a photostatic copy of the application and budget forms, the assurances, and the certifications. However, the application form, the assurances, and the certifications must each have an original signature. All applicants must submit

one original signed application, including ink signatures on all forms and assurances, and two copies of the application. Please mark each application as original or copy. No grant may be awarded unless a completed application has been received.

FOR FURTHER INFORMATION CONTACT:

Petraine Johnson@ed.gov or Cynthia Ryan (202) 205-8842 at U.S. Department of Education, 400 Maryland Avenue, SW., Room 5090, Switzer Building, Washington, D.C. 20202-6510.

Individuals who use a telecommunications device for the deaf (TDD) may call the Federal Information Relay Service (FIRS) at 1-800-877-8339 between 8 a.m. and 8 p.m., Eastern time, Monday through Friday.

Individuals with disabilities may obtain this notice in an alternate format (e.g., braille, large print, audiotape, or computer diskette) on request to the contact persons listed in the preceding paragraph. Please note, however, that the Department is not able to reproduce in an alternate format the standard forms included in the notice.

Electronic Access to This Document

You may view this document, as well as all other Department of Education documents published in the **Federal Register**, in text or Adobe Portable Document Format (PDF) on the Internet at either of the following sites:

<http://ocfo.ed.gov/fedreg.htm>
<http://www.ed.gov/news.html>

To use the PDF you must have the Adobe Acrobat Reader Program with Search, which is available free at either of the preceding sites. If you have questions about using the PDF, call the U.S. Government Printing Office toll free at 1-888-293-6498 or in the Washington, DC area at (202) 512-1530.

Note: The official version of this document is the document published in the **Federal Register**. Free Internet access to the official edition of the **Federal Register** and the Code of Federal Regulations is available at GPO access at:

<http://www.access.gpo.gov/nara/endex.html>

Program Authority: 20 U.S.C. 7472.

Dated: January 7, 2000.

Art Love,

Acting Director, Office of Bilingual Education and Minority Languages Affairs.

Instructions for Estimated Public Reporting Burden

According to the Paperwork Reduction Act of 1995, no persons are required to respond to a collection of information unless it displays a valid OMB control number. The valid OMB control number for this information

collection is OMB No. 1885-0545. (Expiration Date: 03/31/2002) The time required to complete this information collection is estimated to average 120 hours per response, including the time to review instructions, search existing data resources, gather the data needed, and complete and review the information collection. If you have any comments concerning the accuracy of the time estimate or suggestions for improving this form, please write to: U.S. Department of Education, Washington, D.C. 20202-4651. If you have any comments or concerns regarding the status of your individual submission of this form, write directly to: Office of Bilingual Education and Minority Languages Affairs, U.S. Department of Education, 400 Maryland Avenue, SW., Washington, D.C. 20202-6510.

Checklist for Applicants

Forms and Other Items for the Application

1. Application for Federal Education Assistance (ED Form 424).
2. Group Application Certification (if applicable).
3. Budget Information (ED Form No. 524).
4. Itemized budget for each project year.
5. Participant Data.
6. Project Documentation.

Section A—Copy of Transmittal Letter to SEA requesting SEA to comment on application

Section B—Documentation of Empowerment Zone or Enterprise Community (if applicable)

7. Program Assurances.
8. Assurances—Non-Construction Programs (SF 424B).
9. Certifications Regarding Lobbying; Debarment Suspension and Other Responsibility Matters; and Drug-Free Workplace Requirements (ED 80-0013).
10. Certification Regarding Debarment, Suspension, Ineligibility and Voluntary Exclusion—Lower Tier Covered Transactions (ED 80-0014) (if applicable).

11. Disclosure of Lobbying Activities (SF-LLL).

12. Notice to All Applicants (GEPA Requirement) (OMB No. 1801-0004).

13. Table of Contents.

14. One-page abstract (single-spaced).

15. Application Narrative (not to exceed 30 pages double-spaced, see instructions below).

16. One original and two copies of the application for transmittal to the

Department's Application Control Center.

17. One copy of the application to the appropriate State Education Agency.

18. One copy of the application to the appropriate State Single Point of Contact (if applicable).

Mandatory Page Limits for the Application Narrative

The narrative is the section of the application where you address the selection criteria used by reviewers in evaluating the application. You must limit the narrative to the equivalent of no more than 30 pages, using the following standards:

(1) A page is 8.5" x 11", on one side only with 1" margins at the top, bottom, and both sides.

(2) You must double space (no more than three lines per vertical inch) all text in the application narrative, including titles, headings, footnotes, quotations, references, and captions, as well as all text in charts, tables figures and graphs.

If you use a proportional computer font, you may not use a font smaller than a 12-point font. If you use a non-proportional font or a typewriter, you may not use more than 12 characters per inch.

The page limit does not apply to: The Application for Federal Assistance Form (ED 424); the Budget Information Form (ED 524) and attached itemization of costs; the other application forms and attachments to those forms; the assurances and certifications; or the one-page abstract and table of contents. The page limit applies only to item 14 in the Checklist for Applicants provided above.

If, in order to meet the page limit, you use print size, spacing, or margins smaller than the standard specified in this notice, your application will not be considered for funding.

Application Narrative and Abstract

The narrative should address fully all aspects of the selection criteria in the order listed and should give detailed information regarding each criterion. Do not simply paraphrase the criteria. Provide position descriptions for key personnel. Prepare a one-page single-spaced abstract which summarizes the purpose, design and expected outcomes of the proposed project.

Budget

Budget line items must support the goals and objectives of the proposed project and be directly applicable to the program design and all other project components. Prepare an itemized budget for each year of requested

funding. Indirect costs for institutions of higher education which are the fiscal agents for Training for All Teachers Programs are limited to the lower of either 8% of a modified total direct cost base or the institution of higher education's actual indirect cost agreement. A modified direct cost base is defined as total direct costs less stipends, tuition and related fees and capital expenditures of \$5,000 or more.

(Authority: 34 CFR 75.562)

Final Application Preparation

Use the above checklist to verify that all items are addressed. Prepare one original with an original signature, and include two additional copies. Do not use elaborate bindings or covers. The application package must be mailed to the Application Control Center (ACC) and postmarked by the deadline date.

Submission of Application to State Educational Agency

Section 7146(a)(4) of the Elementary and Secondary Education Act of 1965, as amended, requires all applicants except schools funded by the Bureau of Indian Affairs to submit a copy of their application to their State educational agency (SEA) for review and comment (20 U.S.C. 7476(a)(4)). Section 75.156 of EDGAR requires these applicants to submit their application to the SEA on or before the deadline date for submitting their application to the Department of Education. This section of EDGAR also requires applicants to attach to their application a copy of their letter that requests the SEA to comment on the application (34 CFR 75.156). A copy of this letter should be attached to the Project Documentation Form contained in this application package. Applicants are reminded that the requirement for submission to the SEA and the requirements for Executive Order 12372 referred to in the above notice inviting applications are two separate requirements.

Applicants that do not submit a copy of their application to their SEA will not be considered for funding.

Questions and Answers

May Training for All Teachers Programs Provide Training to Participants?

In addition to developing and revising courses and curricula for professional development programs for all teachers, applicants may implement training activities for currently practicing teachers and other educational personnel, including beginning teachers, who are not bilingual education or English as a second language specialists, but who provide

services to LEP students. The program addresses the need for teachers and other educational personnel to acquire the knowledge and skills necessary to provide appropriate and effective services to limited English proficient students and their families.

What Factors Should Be Considered in Designing a Training for All Teachers Program?

Applicants should consider the characteristics and conditions that foster high-quality professional development, including sustained intensive training activities that are focused on a manageable number of participants. In determining the number of participants to be served, applicants should consider the capability of the program to provide high-quality professional development for all participants and to effectively evaluate improved teaching and learning as a result of the program. Applicants should not propose programs that are so large in scope that they dilute the quality of training.

What Are the Certification Requirements for the Training for All Teachers Program?

The Title VII statute requires grantees to assist educational personnel in meeting state and local certification requirements. Courses and curricula developed, revised or offered must be part of a program, which would lead to State and local certification. However, it is not a requirement that participants trained under the program complete certification requirements during the course of the grant. Emphasis should be placed on the acquisition of the knowledge and skills necessary to meet the needs of limited English proficient students.

What Information May Be Helpful in Preparing a Narrative for Training for All Teachers Grant?

In responding to the selection criteria applicants may wish to consider the following questions as a guide for preparing the application narrative:

- What are the specific responsibilities of schools, districts, institutions of higher education and other partnership organizations in planning, implementing and evaluating the proposed program?
- How will the training curricula incorporate high standards for teaching and learning?
- How is the proposed program linked to a comprehensive school-wide plan to improve professional development programs for all teachers related to the needs of limited English proficient students?

- How will the products of the proposed program be integrated into professional development program activities for all teachers?

- How will the program assist in systemically reforming local policies and practices related to the training of teachers to improve instructional services for LEP students.

- What performance indicators will the proposed program use to support the effectiveness of the program? What are the expected outcomes for participant learning, improved teaching practices, improved student achievement, reform of professional development in the school or university?

- What professional development activities are planned for school staff development specialists, or for higher education faculty to ensure that they are effectively prepared to provide training

to prepare all teachers related to the needs of LEP students.

In addition, applicants may wish to consider the Department of Education Professional Development Principles in planning Training for All Teachers Program. The following are the Professional Development Principles:

Professional Development

- Focuses on teachers as central to student learning, yet includes all other members of the school community.

- Focuses on individual, collegial and organizational improvement.

- Respects and nurtures the intellectual and leadership capacity of teachers, principals, and others in the school community.

- Reflects best available research and practice in teaching, learning, and leadership.

- Enables teachers to develop further expertise in subject content, teaching strategies, uses of technologies, and other essential elements in teaching to high standards.

- Promotes continuous inquiry and improvement embedded in the daily life of schools.

- Is planned collaboratively by those who will participate in and facilitate that development.

- Requires substantial time and other resources.

- Is driven by a coherent long-term plan.

- Is evaluated ultimately on the basis of its impact on teacher effectiveness and student learning; and this assessment guides subsequent professional development efforts.

BILLING CODE 4000-01-U

Application for Federal Education Assistance

Note: If available, please provide application package on diskette and specify the file format.



U.S. Department of Education

Form Approved
OMB No. 1875-0106
Exp. 06/30/2001

Applicant Information

1. Name and Address		Organizational Unit	
Legal Name: _____		_____	
Address: _____		_____	
_____		_____	
City _____	State _____	County _____	ZIP Code + 4 _____
2. Applicant's D-U-N-S Number _____		6. Is the applicant delinquent on any Federal debt? ☐ Yes ☐ No (If "Yes," attach an explanation.)	
3. Applicant's T-I-N _____		Title: _____	
4. Catalog of Federal Domestic Assistance #: 84 _____		7. Type of Applicant (Enter appropriate letter in the box.) ☐	
5. Project Director: _____		A State H Independent School District	
Address: _____		B County I Public College or University	
_____		C Municipal J Private, Non-Profit College or University	
City _____ State _____ ZIP Code + 4 _____		D Township K Indian Tribe	
Tel. #: () _____ - _____ Fax #: () _____ - _____		E Interstate L Individual	
E-Mail Address: _____		F Intermunicipal M Private, Profit-Making Organization	
		G Special District N Other (Specify): _____	
		8. Novice Applicant ☐ Yes ☐ No	

Application Information

9. Type of Submission:		12. Are any research activities involving human subjects planned at any time during the proposed project period? ☐ Yes ☐ No	
—PreApplication —Application		a. If "Yes," Exemption(s) #: _____ b. Assurance of Compliance #: _____	
☐ Construction ☐ Construction		_____ OR _____	
☐ Non-Construction ☐ Non-Construction		c. IRB approval date: ☐ Full IRB or ☐ Expedited Review	
10. Is application subject to review by Executive Order 12372 process?		13. Descriptive Title of Applicant's Project: _____	
☐ Yes (Date made available to the Executive Order 12372 process for review): ____/____/____			
☐ No (If "No," check appropriate box below.)			
☐ Program is not covered by E.O. 12372.			
☐ Program has not been selected by State for review.			
11. Proposed Project Dates: _____			
Start Date: _____ End Date: _____			

Estimated Funding

14a. Federal	\$	.00
b. Applicant	\$	.00
c. State	\$	.00
d. Local	\$	.00
e. Other	\$	.00
f. Program Income	\$	.00
g. TOTAL	\$	.00

Authorized Representative Information

15. To the best of my knowledge and belief, all data in this preapplication/application are true and correct. The document has been duly authorized by the governing body of the applicant and the applicant will comply with the attached assurances if the assistance is awarded.	
a. Typed Name of Authorized Representative _____	
b. Title _____	
c. Tel. #: () _____ - _____ Fax #: () _____ - _____	
d. E-Mail Address: _____	
e. Signature of Authorized Representative _____	Date: ____/____/____

REV. 11/12/99

ED 424

Instructions for ED 424

1. **Legal Name and Address.** Enter the legal name of applicant and the name of the primary organizational unit which will undertake the assistance activity.
2. **D-U-N-S Number.** Enter the applicant's D-U-N-S Number. If your organization does not have a D-U-N-S Number, you can obtain the number by calling 1-800-333-0505 or by completing a D-U-N-S Number Request Form. The form can be obtained via the Internet at the following URL: <http://www.dnb.com/dbis/aboutdb/intlduns.htm>.
3. **Tax Identification Number.** Enter the tax identification number as assigned by the Internal Revenue Service.
4. **Catalog of Federal Domestic Assistance (CFDA) Number.** Enter the CFDA number and title of the program under which assistance is requested.
5. **Project Director.** Name, address, telephone and fax numbers, and e-mail address of the person to be contacted on matters involving this application.
6. **Federal Debt Delinquency.** Check "Yes" if the applicant's organization is delinquent on any Federal debt. (This question refers to the applicant's organization and not to the person who signs as the authorized representative. Categories of debt include delinquent audit disallowances, loans and taxes.) Otherwise, check "No."
7. **Type of Applicant.** Enter the appropriate letter in the box provided.
8. **Novice Applicant.** Check "Yes" only if assistance is being requested under a program that gives special consideration to novice applicants and you meet the program requirements for novice applicants. By checking "Yes" the applicant certifies that it meets the novice applicant requirements specified by ED. Otherwise, check "No."
9. **Type of Submission.** Self-explanatory.
10. **Executive Order 12372.** Check "Yes" if the application is subject to review by Executive Order 12372. Also, please enter the month, date, and four (4) digit year (e.g., 12/12/2000). Applicants should contact the State Single Point of Contact (SPOC) for Federal Executive Order 12372 to determine whether the application is subject to the State intergovernmental review process. Otherwise, check "No."
11. **Proposed Project Dates.** Please enter the month, date, and four (4) digit year (e.g., 12/12/2000).
12. **Human Subjects.** Check "Yes" or "No". If research activities involving human subjects are not planned at any time during the proposed project period, check "No." **The remaining parts of item 12 are then not applicable.**

If research activities involving human subjects, whether or not exempt from Federal regulations for the protection of human subjects, are planned at any time during the proposed project period, either at the applicant organization or at any other performance site or collaborating institution, check "Yes." If all the research activities are designated to be exempt under the regulations, enter, in item 12a, the exemption number(s) corresponding to one or more of the six exemption categories listed in "Protection of Human Subjects in Research" attached to this form. Provide sufficient information in the application to allow a determination that the designated exemptions in item 12a, are appropriate. **Provide this narrative information in an "Item 12/Protection of Human Subjects Attachment" and insert this attachment immediately following the ED 424 face page. Skip the remaining parts of item 12.**

If some or all of the planned research activities involving human subjects are covered (nonexempt), skip item 12a and continue with the remaining parts of item 12, as noted below. In addition, follow the instructions in "Protection of Human Subjects in Research" attached to this form to prepare the six-point narrative about the nonexempt activities. **Provide this six-point narrative in an "Item 12/Protection of Human Subjects Attachment" and insert this attachment immediately following the ED 424 face page.**

tion of Human Subjects Attachment" and insert this attachment immediately following the ED 424 face page.

If the applicant organization has an approved Multiple Project Assurance of Compliance on file with the Grants Policy and Oversight Staff (GPOS), U.S. Department of Education, or with the Office for Protection from Research Risks (OPRR), National Institutes of Health, U.S. Department of Health and Human Services, that covers the specific activity, enter the Assurance number in item 12b and the date of approval by the Institutional Review Board (IRB) of the proposed activities in item 12c. This date must be no earlier than one year before the receipt date for which the application is submitted and must include the four (4) digit year (e.g., 2000). Check the type of IRB review in the appropriate box. An IRB may use the expedited review procedure if it complies with the requirements of 34 CFR 97.110. If the IRB review is delayed beyond the submission of the application, enter "Pending" in item 12c. If your application is recommended/selected for funding, a follow-up certification of IRB approval from an official signing for the applicant organization must be sent to and received by the designated ED official within 30 days after a specific formal request from the designated ED official. **If the applicant organization does not have** on file with GPOS or OPRR **an approved Assurance of Compliance** that covers the proposed research activity, enter "None" in item 12b and skip 12c. In this case, the applicant organization, by the signature on the application, is declaring that it will comply with 34 CFR 97 within 30 days after a specific formal request from the designated ED official for the Assurance(s) and IRB certifications.

13. **Project Title.** Enter a brief descriptive title of the project. If more than one program is involved, you should append an explanation on a separate sheet. If appropriate (e.g., construction or real property projects), attach a map showing project location. For preapplications, use a separate sheet to provide a summary description of this project.
14. **Estimated Funding.** Amount requested or to be contributed during the first funding/budget period by each contributor. Value of in-kind contributions should be included on appropriate lines as applicable. If the action will result in a dollar change to an existing award, indicate only the amount of the change. For decreases, enclose the amounts in parentheses. If both basic and supplemental amounts are included, show breakdown on an attached sheet. For multiple program funding, use totals and show breakdown using same categories as item 14.
15. **Certification.** To be signed by the authorized representative of the applicant. A copy of the governing body's authorization for you to sign this application as official representative must be on file in the applicant's office.

Be sure to enter the telephone and fax number and e-mail address of the authorized representative. Also, in item 15e, please enter the month, date, and four (4) digit year (e.g., 12/12/2000) in the date signed field.

Paperwork Burden Statement

According to the Paperwork Reduction Act of 1995, no persons are required to respond to a collection of information unless such collection displays a valid OMB control number. The valid OMB control number for this information collection is **1875-0106**. The time required to complete this information collection is estimated to average between 15 and 45 minutes per response, including the time to review instructions, search existing data resources, gather the data needed, and complete and review the information collection. **If you have any comments concerning the accuracy of the estimate(s) or suggestions for improving this form, please write to:** U.S. Department of Education, Washington, D.C. 20202-4651. **If you have comments or concerns regarding the status of your individual submission of this form write directly to:** Joyce I. Mays, Application Control Center, U.S. Department of Education, 7th and D Streets, S.W. ROB-3, Room 3633, Washington, D.C. 20202-4725.

 U.S. DEPARTMENT OF EDUCATION BUDGET INFORMATION NON-CONSTRUCTION PROGRAMS		OMB Control Number <i>Draft</i>				
Name of Institution/Organization		Expiration Date: <i>Pending OMB Clearance</i>				
Applicants requesting funding for only one year should complete the column under "Project Year 1." Applicants requesting funding for multi-year grants should complete all applicable columns. Please read all instructions before completing form.						
SECTION A - BUDGET SUMMARY U.S. DEPARTMENT OF EDUCATION FUNDS						
Budget Categories	Project Year 1 (a)	Project Year 2 (b)	Project Year 3 (c)	Project Year 4 (d)	Project Year 5 (e)	Total (f)
1. Personnel						
2. Fringe Benefits						
3. Travel						
4. Equipment						
5. Supplies						
6. Contractual						
7. Construction						
8. Other						
9. Total Direct Costs (lines 1-8)						
10. Indirect Costs						
11. Training Stipends						
12. Total Costs (lines 9-11)						

Name of Institution/Organization		SECTION B - BUDGET SUMMARY NON-FEDERAL FUNDS					
Applicants requesting funding for only one year should complete the column under "Project Year 1." Applicants requesting funding for multi-year grants should complete all applicable columns. Please read all instructions before completing form.		Project Year 1 (a)	Project Year 2 (b)	Project Year 3 (c)	Project Year 4 (d)	Project Year 5 (e)	Total (f)
Budget Categories							
1. Personnel							
2. Fringe Benefits							
3. Travel							
4. Equipment							
5. Supplies							
6. Contractual							
7. Construction							
8. Other							
9. Total Direct Costs (lines 1-8)							
10. Indirect Costs							
11. Training Stipends							
12. Total Costs (lines 9-11)							
SECTION C - OTHER BUDGET INFORMATION (see instructions)							

Public reporting burden for this collection of information is estimated to vary from 13 to 22 hours per response, with an average of 17.5 hours per response, including the time reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding this burden estimate or any other aspect of this collection of information, including suggestions for reducing this burden, to the U.S. Department of Education, Information Management and Compliance Division, Washington, D.C. 20202-4651; and the Office of Management and Budget, Paperwork Reduction Project 1875-0102, Washington DC 20503.

INSTRUCTIONS FOR ED FORM 524

General Instructions

This form is used to apply to individual U.S. Department of Education discretionary grant programs. Unless directed otherwise, provide the same budget information for each year of the multi-year funding request. Pay attention to applicable program specific instructions, if attached.

Section A - Budget Summary U.S. Department of Education Funds

All applicants must complete Section A and provide a breakdown by the applicable budget categories shown in lines 1-11.

Lines 1-11, columns (a)-(e): For each project year for which funding is requested, show the total amount requested for each applicable budget category.

Lines 1-11, column (f): Show the multi-year total for each budget category. If funding is requested for only one project year, leave this column blank.

Line 12, columns (a)-(e): Show the total budget request for each project year for which funding is requested.

Line 12, column (f): Show the total amount requested for all project years. If funding is requested for only one year, leave this space blank.

Section B - Budget Summary Non-Federal Funds

If you are required to provide or volunteer to provide matching funds or other non-Federal resources to the project, these should be shown for each applicable budget category on lines 1-11 of Section B.

Lines 1-11, columns (a)-(e): For each project year for which matching funds or other contributions are provided, show the total contribution for each applicable budget category.

Lines 1-11, column (f): Show the multi-year total for each budget category. If non-Federal contributions are provided for only one year, leave this column blank.

Line 12, columns (a)-(e): Show the total matching or other contribution for each project year.

Line 12, column (f): Show the total amount to be contributed for all years of the multi-year project. If non-Federal contributions are provided for only one year, leave this space blank.

Section C - Other Budget Information Pay attention to applicable program specific instructions, if attached.

1. Provide an itemized budget breakdown, by project year, for each budget category listed in Sections A and B.
2. If applicable to this program, enter the type of indirect rate (provisional, predetermined, final or fixed) that will be in effect during the funding period. In addition, enter the estimated amount of the base to which the rate is applied, and the total indirect expense.
3. If applicable to this program, provide the rate and base on which fringe benefits are calculated.
4. Provide other explanations or comments you deem necessary.

PARTICIPANT DATA

Note: This form must be completed by applicants under the following programs:

- Teachers and Personnel Grants
- Career Ladder Program
- Training for all Teachers

Number of proposed participants in each of the following categories to be served each year of the grant.

Preservice Teachers _____
(who are not paraprofessionals)

Preservice Teachers _____
(who are currently paraprofessionals)

Inservice Teachers _____

Other Educational Personnel _____
(Specify type of personnel below)

Degree level(s) to be attained (if applicable) _____

Certification Type(s) to be attained _____

Language(s) of Participants _____
(other than English)

PROJECT DOCUMENTATION

Note: Submit the appropriate documents and information as specified below for the following programs.

- Teachers and Personnel Grants
- Career Ladder Program
- Training for All Teachers

Section A

A copy of the applicant's transmittal letter requesting the appropriate State educational agency to comment on the application.

Section B

If applicable, identify on the line below the Empowerment Zone, Supplemental Empowerment Zone, or Enterprise Community that the proposed project will serve.
(See the competitive priority and the list of designated Empowerment Zones in previous sections of this application package.)

PROGRAM ASSURANCES

NOTE: The authorizing statute requires applicants under certain programs to provide assurances. These assurances are specified below under the relevant programs. If your application pertains to any of these programs, this form must be completed.

As the duly authorized representative of the applicant, I certify that the applicant, in regard to the program relevant to this application:

- Teachers and Personnel Grants
- Career Ladder Program
- Training for All Teachers

Will include, if applicable, as part of the project implementing a master's or doctoral-level program, a training practicum in a local school program serving children and youth of limited English proficiency.

(Authority: 20 U.S.C. 7426(g)(3))

Authorized Representative

Name: _____

Signature: _____

Typed Name: _____

Date: _____

Applicant Organization: _____

ASSURANCES - NON-CONSTRUCTION PROGRAMS

Public reporting burden for this collection of information is estimated to average 15 minutes per response, including time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding the burden estimate or any other aspect of this collection of information, including suggestions for reducing this burden, to the Office of Management and Budget, Paperwork Reduction Project (0348-0040), Washington, DC 20503

PLEASE DO NOT RETURN YOUR COMPLETED FORM TO THE OFFICE OF MANAGEMENT AND BUDGET. SEND IT TO THE ADDRESS PROVIDED BY THE SPONSORING AGENCY.

Note: Certain of these assurances may not be applicable to your project or program. If you have questions, please contact the awarding agency. Further, certain Federal awarding agencies may require applicants to certify to additional assurances. If such is the case, you will be notified.

As the duly authorized representative of the applicant I certify that the applicant:

1. Has the legal authority to apply for Federal assistance, and the institutional, managerial and financial capability (including funds sufficient to pay the non-Federal share of project cost) to ensure proper planning, management, and completion of the project described in this application.
2. Will give the awarding agency, the Comptroller General of the United States, and if appropriate, the State, through any authorized representative, access to and the right to examine all records, books, papers, or documents related to the award; and will establish a proper accounting system in accordance with generally accepted accounting standards or agency directives.
3. Will establish safeguards to prohibit employees from using their positions for a purpose that constitutes or presents the appearance of personal or organizational conflict of interest, or personal gain.
4. Will initiate and complete the work within the applicable time frame after receipt of approval of the awarding agency.
5. Will comply with the Intergovernmental Personnel Act of 1970 (42 U.S.C. §§4728-4763) relating to prescribed standards for merit systems for programs funded under one of the 19 statutes or regulations specified in Appendix A of OPM's Standards for a Merit System of Personnel Administration (5 C.F.R. 900, Subpart F).
6. Will comply with all Federal statutes relating to nondiscrimination. These include but are not limited to: (a) Title VI of the Civil Rights Act of 1964 (P.L. 88-352) which prohibits discrimination on the basis of race, color or national origin; (b) Title IX of the Education Amendments of 1972, as amended (20 U.S.C. §§1681-1683, and 1685-1686), which prohibits discrimination on the basis of sex; (c) Section 504 of the Rehabilitation Act of 1973, as amended (29 U.S.C. §794), which prohibits discrimination on the basis of handicaps; (d) the Age Discrimination Act of 1975, as amended (42 U.S.C. §§ 6101-6107), which prohibits discrimination on the basis of age; (e) the Drug Abuse Office and Treatment Act of 1972 (P.L. 92-255), as amended, relating to nondiscrimination on the basis of drug abuse; (f) the Comprehensive Alcohol Abuse and Alcoholism Prevention, Treatment and Rehabilitation Act of 1970 (P.L. 91-616), as amended, relating to nondiscrimination on the basis of alcohol abuse or alcoholism; (g) §§ 523 and 527 of the Public Health Service Act of 1912 (42 U.S.C. §§ 290 dd-3 and 290 ee 3), as amended, relating to confidentiality of alcohol and drug abuse patient records; (h) Title VIII of the Civil Rights Act of 1968 (42 U.S.C. § 3601 et seq.), as amended, relating to nondiscrimination in the sale, rental or financing of housing; (i) any other nondiscrimination provisions in the specific statute(s) under which application for Federal assistance is being made; and (j) the requirements of any other nondiscrimination statute(s) which may apply to the application.
7. Will comply, or has already complied, with the requirements of Titles II and III of the uniform Relocation Assistance and Real Property Acquisition Policies Act of 1970 (P.L. 91-646) which provide for fair and equitable treatment of persons displaced or whose property is acquired as a result of Federal or federally assisted programs. These requirements apply to all interests in real property acquired for project purposes regardless of Federal participation in purchases.
8. Will comply, as applicable, with the provisions of the Hatch Act (5 U.S.C. §§1501-1508 and 7324-7328) which limit the political activities of employees whose principal employment activities are funded in whole or in part with Federal funds.

9. Will comply, as applicable, with the provisions of the Davis-Bacon Act (40 U.S.C. §§276a to 276a-7), the Copeland Act (40 U.S.C. §276c and 18 U.S.C. §§874) and the Contract Work Hours and Safety Standards Act (40 U.S.C. §§ 327-333), regarding labor standards for federally assisted construction subagreements.
10. Will comply, if applicable, with flood insurance purchase requirements of Section 102(a) of the Flood Disaster Protection Act of 1973 (P.L. 93-234) which requires recipients in a special flood hazard area to participate in the program and to purchase flood insurance if the total cost of insurable construction and acquisition is \$10,000 or more.
11. Will comply with environmental standards which may be prescribed pursuant to the following: (a) institution of environmental quality control measures under the National Environmental Policy Act of 1969 (P.L. 91-190) and Executive Order (EO) 11514; (b) notification of violating facilities pursuant to EO 11738; (c) protection of wetlands pursuant to EO 11990; (d) evaluation of flood hazards in floodplains in accordance with EO 11988; (e) assurance of project consistency with the approved State management program developed under the Coastal Zone Management Act of 1972 (16 U.S.C. §§1451 et seq.); (f) conformity of Federal actions to State (Clear Air) Implementation Plans under Section 176(c) of the Clear Air Act of 1955, as amended (42 U.S.C. §§7401 et seq.); (g) protection of underground sources of drinking water under the Safe Drinking Water Act of 1974, as amended, (P.L. 93-523); and (h) protection of endangered species under the Endangered Species Act of 1973, as amended, (P.L. 93-205).
12. Will comply with the Wild and Scenic Rivers Act of 1968 (16 U.S.C. §§1721 et seq.) related to protecting components or potential components of the national wild and scenic rivers system.
13. Will assist the awarding agency in assuring compliance with Section 106 of the National Historic Preservation Act of 1966, as amended (16 U.S.C. §470), EO 11593 (identification and protection of historic properties), and the Archaeological and Historic Preservation Act of 1974 (16 U.S.C. §§469a-1 et seq.).
14. Will comply with P.L. 93-348 regarding the protection of human subjects involved in research, development, and related activities supported by this award of assistance.
15. Will comply with the Laboratory Animal Welfare Act of 1966 (P.L. 89-544, as amended, 7 U.S.C. §§2131 et seq.) pertaining to the care, handling, and treatment of warm blooded animals held for research, teaching, or other activities supported by this award of assistance.
16. Will comply with the Lead-Based Paint Poisoning Prevention Act (42 U.S.C. §§4801 et seq.) which prohibits the use of lead-based paint in construction or rehabilitation of residence structures.
17. Will cause to be performed the required financial and compliance audits in accordance with the Single Audit Act Amendments of 1996 and OMB Circular No. A-133, "Audits of States, Local Governments, and Non-Profit Organizations."
18. Will comply with all applicable requirements of all other Federal laws, executive orders, regulations and policies governing this program.

SIGNATURE OF AUTHORIZED CERTIFYING OFFICIAL	TITLE	
APPLICANT ORGANIZATION		DATE SUBMITTED

**CERTIFICATIONS REGARDING LOBBYING; DEBARMENT, SUSPENSION AND OTHER
RESPONSIBILITY MATTERS; AND DRUG-FREE WORKPLACE REQUIREMENTS**

Applicants should refer to the regulations cited below to determine the certification to which they are required to attest. Applicants should also review the instructions for certification included in the regulations before completing this form. Signature of this form provides for compliance with certification requirements under 34 CFR Part 82, "New Restrictions on Lobbying," and 34 CFR Part 85, "Government-wide Debarment and Suspension (Nonprocurement) and Government-wide Requirements for Drug-Free Workplace (Grants)." The certifications shall be treated as a material representation of fact upon which reliance will be placed when the Department of Education determines to award the covered transaction, grant, or cooperative agreement.

1. LOBBYING

As required by Section 1352, Title 31 of the U.S. Code, and implemented at 34 CFR Part 82, for persons entering into a grant or cooperative agreement over \$100,000, as defined at 34 CFR Part 82, Sections 82.105 and 82.110, the applicant certifies that:

(a) No Federal appropriated funds have been paid or will be paid, by or on behalf of the undersigned, to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with the making of any Federal grant, the entering into of any cooperative agreement, and the extension, continuation, renewal, amendment, or modification of any Federal grant or cooperative agreement;

(b) If any funds other than Federal appropriated funds have been paid or will be paid to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with this Federal grant or cooperative agreement, the undersigned shall complete and submit Standard Form - LLL, "Disclosure Form to Report Lobbying," in accordance with its instructions;

(c) The undersigned shall require that the language of this certification be included in the award documents for all subawards at all tiers (including subgrants, contracts under grants and cooperative agreements, and subcontracts) and that all subrecipients shall certify and disclose accordingly.

**2. DEBARMENT, SUSPENSION, AND OTHER
RESPONSIBILITY MATTERS**

As required by Executive Order 12549, Debarment and Suspension, and implemented at 34 CFR Part 85, for prospective participants in primary covered transactions, as defined at 34 CFR Part 85, Sections 85.105 and 85.110--

A. The applicant certifies that it and its principals:

(a) Are not presently debarred, suspended, proposed for debarment, declared ineligible, or voluntarily excluded from covered transactions by any Federal department or agency;

(b) Have not within a three-year period preceding this application been convicted of or had a civil judgement rendered against them for commission of fraud or a criminal offense in connection with obtaining, attempting to obtain, or performing a public (Federal, State, or local) transaction or contract under a public transaction; violation of Federal or State antitrust statutes or commission of embezzlement, theft, forgery, bribery, falsification or destruction of records, making false statements, or receiving stolen property;

(c) Are not presently indicted for or otherwise criminally or civilly charged by a governmental entity (Federal, State, or local) with commission of any of the offenses enumerated in paragraph (2)(b) of this certification; and

(d) Have not within a three-year period preceding this application had one or more public transaction (Federal, State, or local) terminated for cause or default; and

B. Where the applicant is unable to certify to any of the statements in this certification, he or she shall attach an explanation to this application.

**3. DRUG-FREE WORKPLACE
(GRANTEES OTHER THAN INDIVIDUALS)**

As required by the Drug-Free Workplace Act of 1988, and implemented at 34 CFR Part 85, Subpart F, for grantees, as defined at 34 CFR Part 85, Sections 85.605 and 85.610 -

A. The applicant certifies that it will or will continue to provide a drug-free workplace by:

(a) Publishing a statement notifying employees that the unlawful manufacture, distribution, dispensing, possession, or use of a controlled substance is prohibited in the grantee's workplace and specifying the actions that will be taken against employees for violation of such prohibition;

(b) Establishing an on-going drug-free awareness program to inform employees about:

(1) The dangers of drug abuse in the workplace;

(2) The grantee's policy of maintaining a drug-free workplace;

(3) Any available drug counseling, rehabilitation, and employee assistance programs; and

(4) The penalties that may be imposed upon employees for drug abuse violations occurring in the workplace;

(c) Making it a requirement that each employee to be engaged in the performance of the grant be given a copy of the statement required by paragraph (a);

(d) Notifying the employee in the statement required by paragraph (a) that, as a condition of employment under the grant, the employee will:

(1) Abide by the terms of the statement; and

(2) Notify the employer in writing of his or her conviction for a violation of a criminal drug statute occurring in the workplace no later than five calendar days after such conviction;

(e) Notifying the agency, in writing, within 10 calendar days after receiving notice under subparagraph (d)(2) from an employee or otherwise receiving actual notice of such conviction. Employers of convicted employees must provide notice, including position title, to: Director, Grants Policy and Oversight Staff, U.S. Department of Education, 400 Maryland Avenue, S.W. (Room 3652, GSA Regional Office Building No. 3), Washington, DC 20202-4248. Notice shall include the identification number(s) of each affected grant;

(f) Taking one of the following actions, within 30 calendar days of receiving notice under subparagraph (d)(2), with respect to any employee who is so convicted:

(1) Taking appropriate personnel action against such an employee, up to and including termination, consistent with the requirements of the Rehabilitation Act of 1973, as amended; or

(2) Requiring such employee to participate satisfactorily in a drug abuse assistance or rehabilitation program approved for such purposes by a Federal, State, or local health, law enforcement, or other appropriate agency;

(g) Making a good faith effort to continue to maintain a drug-free workplace through implementation of paragraphs (a), (b), (c), (d), (e), and (f).

B. The grantee may insert in the space provided below the site(s) for the performance of work done in connection with the specific grant:

Place of Performance (Street address, city, county, state, zip code)

Check ☐ if there are workplaces on file that are not identified here.

DRUG-FREE WORKPLACE (GRANTEES WHO ARE INDIVIDUALS)

As required by the Drug-Free Workplace Act of 1988, and implemented at 34 CFR Part 85, Subpart F, for grantees, as defined at 34 CFR Part 85, Sections 85.605 and 85.610-

A. As a condition of the grant, I certify that I will not engage in the unlawful manufacture, distribution, dispensing, possession, or use of a controlled substance in conducting any activity with the grant; and

B. If convicted of a criminal drug offense resulting from a violation occurring during the conduct of any grant activity, I will report the conviction, in writing, within 10 calendar days of the conviction, to: Director, Grants Policy and Oversight Staff, Department of Education, 400 Maryland Avenue, S.W. (Room 3652, GSA Regional Office Building No. 3), Washington, DC 20202-4248. Notice shall include the identification number(s) of each affected grant.

As the duly authorized representative of the applicant, I hereby certify that the applicant will comply with the above certifications.

NAME OF APPLICANT	PR/AWARD NUMBER AND / OR PROJECT NAME
PRINTED NAME AND TITLE OF AUTHORIZED REPRESENTATIVE	
SIGNATURE	DATE

**Certification Regarding Debarment, Suspension, Ineligibility and
Voluntary Exclusion -- Lower Tier Covered Transactions**

This certification is required by the Department of Education regulations implementing Executive Order 12549, Debarment and Suspension, 34 CFR Part 85, for all lower tier transactions meeting the threshold and tier requirements stated at Section 85.110.

Instructions for Certification

1. By signing and submitting this proposal, the prospective lower tier participant is providing the certification set out below.
2. The certification in this clause is a material representation of fact upon which reliance was placed when this transaction was entered into. If it is later determined that the prospective lower tier participant knowingly rendered an erroneous certification, in addition to other remedies available to the Federal Government, the department or agency with which this transaction originated may pursue available remedies, including suspension and/or debarment.
3. The prospective lower tier participant shall provide immediate written notice to the person to which this proposal is submitted if at any time the prospective lower tier participant learns that its certification was erroneous when submitted or has become erroneous by reason of changed circumstances.
4. The terms "covered transaction," "debarred," "suspended," "ineligible," "lower tier covered transaction," "participant," "person," "primary covered transaction," "principal," "proposal," and "voluntarily excluded," as used in this clause, have the meanings set out in the Definitions and Coverage sections of rules implementing Executive Order 12549. You may contact the person to which this proposal is submitted for assistance in obtaining a copy of those regulations.
5. The prospective lower tier participant agrees by submitting this proposal that, should the proposed covered transaction be entered into, it shall not knowingly enter into any lower tier covered transaction with a person who is debarred, suspended, declared ineligible, or voluntarily excluded from participation in this covered transaction, unless authorized by the department or agency with which this transaction originated.
6. The prospective lower tier participant further agrees by submitting this proposal that it will include the clause titled "Certification Regarding Debarment, Suspension, Ineligibility, and Voluntary Exclusion-Lower Tier Covered Transactions," without modification, in all lower tier covered transactions and in all solicitations for lower tier covered transactions.
7. A participant in a covered transaction may rely upon a certification of a prospective participant in a lower tier covered transaction that it is not debarred, suspended, ineligible, or voluntarily excluded from the covered transaction, unless it knows that the certification is erroneous. A participant may decide the method and frequency by which it determines the eligibility of its principals. Each participant may but is not required to, check the Nonprocurement List.
8. Nothing contained in the foregoing shall be construed to require establishment of a system of records in order to render in good faith the certification required by this clause. The knowledge and information of a participant is not required to exceed that which is normally possessed by a prudent person in the ordinary course of business dealings.
9. Except for transactions authorized under paragraph 5 of these instructions, if a participant in a covered transaction knowingly enters into a lower tier covered transaction with a person who is suspended, debarred, ineligible, or voluntarily excluded from participation in this transaction, in addition to other remedies available to the Federal Government, the department or agency with which this transaction originated may pursue available remedies, including suspension and/or debarment.

Certification

- (1) The prospective lower tier participant certifies, by submission of this proposal, that neither it nor its principals are presently debarred, suspended, proposed for debarment, declared ineligible, or voluntarily excluded from participation in this transaction by any Federal department or agency.
- (2) Where the prospective lower tier participant is unable to certify to any of the statements in this certification, such prospective participant shall attach an explanation to this proposal.

NAME OF APPLICANT	PR/AWARD NUMBER AND/OR PROJECT NAME
PRINTED NAME AND TITLE OF AUTHORIZED REPRESENTATIVE	
SIGNATURE	DATE

Approved by OMB
0348-0046

Disclosure of Lobbying Activities

Complete this form to disclose lobbying activities pursuant to 31 U.S.C. 1352

(See reverse for public burden disclosure)

1. Type of Federal Action: a. contract _____ b. grant c. cooperative agreement d. loan e. loan guarantee f. loan insurance	2. Status of Federal Action: a. bid/offer/application _____ b. initial award c. post-award	3. Report Type: a. initial filing _____ b. material change For material change only: Year _____ quarter _____ Date of last report _____
4. Name and Address of Reporting Entity: _____ Prime _____ Subawardee Tier _____, if Known: Congressional District, if known:	5. If Reporting Entity in No. 4 is Subawardee, Enter Name and Address of Prime: Congressional District, if known:	
6. Federal Department/Agency:	7. Federal Program Name/Description: CFDA Number, if applicable: _____	
8. Federal Action Number, if known:	9. Award Amount, if known: \$	
10. a. Name and Address of Lobbying Registrant <i>(if individual, last name, first name, MI):</i>	b. Individuals Performing Services <i>(including address if different from No. 10a)</i> <i>(last name, first name, MI):</i>	
11. Information requested through this form is authorized by title 31 U.S.C. section 1352. This disclosure of lobbying activities is a material representation of fact upon which reliance was placed by the tier above when this transaction was made or entered into. This disclosure is required pursuant to 31 U.S.C. 1352. This information will be reported to the Congress semi-annually and will be available for public inspection. Any person who fails to file the required disclosure shall be subject to a civil penalty of not less than \$10,000 and not more than \$100,000 for each such failure.	Signature: _____ Print Name: _____ Title: _____ Telephone No.: _____ Date: _____	
Federal Use Only	Authorized for Local Reproduction Standard Form - LLL (Rev. 7-97)	

BILLING CODE 4000-01-C

Instructions for Completion of SF-LLL, Disclosure of Lobbying Activities

This disclosure form shall be completed by the reporting entity, whether subawardee or prime Federal recipient, at the initiation or receipt of a covered Federal action, or a material change to a previous filing, pursuant to title 31 U.S.C. section 1352. The filing of a form is required for each payment or agreement to make payment to any lobbying entity for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with a covered Federal action. Complete all items that apply for both the initial filing and material change report. Refer to the implementing guidance published by the Office of Management and Budget for additional information.

1. Identify the type of covered Federal action for which lobbying activity is and/or has been secured to influence the outcome of a covered Federal action.

2. Identify the status of the covered Federal action.

3. Identify the appropriate classification of this report. If this is a followup report caused by a material change to the information previously reported, enter the year and quarter in which the change occurred. Enter the date of the last previously submitted report by this reporting entity for this covered Federal action.

4. Enter the full name, address, city, State and zip code of the reporting entity. Include Congressional District, if known. Check the appropriate classification of the reporting entity that designates if it is, or expects to be, a prime or subaward recipient. Identify the tier of the subawardee, *e.g.*, the first subawardee of the prime is the 1st tier. Subawards include but are not limited to subcontracts, subgrants and contract awards under grants.

5. If the organization filing the report in item 4 checks "Subawardee," then enter the full name, address, city, State and zip code of the prime Federal recipient. Include Congressional District, if known.

6. Enter the name of the federal agency making the award or loan commitment. Include at least one organizational level below agency name, if known. For example, Department of Transportation, United States Coast Guard.

7. Enter the Federal program name or description for the covered Federal action (item 1). If known, enter the full Catalog of Federal Domestic Assistance

(CFDA) number for grants, cooperative agreements, loans, and loan commitments.

8. Enter the most appropriate Federal identifying number available for the Federal action identified in item 1 (*e.g.*, Request for Proposal (RFP) number; Invitations for Bid (IFB) number; grant announcement number; the contract, grant, or loan award number; the application/proposal control number assigned by the Federal agency). Included prefixes, *e.g.*, "RFP-DE-90-001."

9. For a covered Federal action where there has been an award or loan commitment by the Federal agency, enter the Federal amount of the award/loan commitment for the prime entity identified in item 4 or 5.

10. (a) Enter the full name, address, city, State and zip code of the lobbying registrant under the Lobbying Disclosure Act of 1995 engaged by the reporting entity identified in item 4 to influence the covered Federal action.

(b) Enter the full names of the individual(s) performing services, and include full address if different from 10(a). Enter Last Name, First Name, and Middle Initial (MI).

11. The certifying official shall sign and date the form, print his/her name, title, and telephone number.

According to the Paperwork Reduction Act, as amended, no persons are required to respond to a collection of information unless it displays a valid OMB control Number. The valid OMB control number for this information collection is OMB No. 0348-0046. Public reporting burden for this collection of information is estimated to average 10 minutes per response, including time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding the burden estimate or any other aspect of this collection of information, including suggestions for reducing this burden, to the Office of Management and Budget, Paperwork Reduction Project (0348-0046), Washington, DC 20503.

Notice to All Applicants

The purpose of this enclosure is to inform you about a new provision in the Department of Education's General Education Provisions Act (GEPA) that applies to applicants for new grant awards under Department programs. This provision is Section 427 of GEPA, enacted as part of the Improving America's Schools Act of 1994 (Pub. L. 103-382).

To Whom Does This Provision Apply?

Section 427 of GEPA affects applicants for new grant awards under this program.

All applicants for new awards must include information in their applications to address this new provision in order to receive funding under this program. (If this program is a State-formula grant program, a State needs to provide this description only for projects or activities that it carries out with funds reserved for State-level uses. In addition, local school districts or other eligible applicants that apply to the State for funding need to provide this description in their applications to the State for funding. The State would be responsible for ensuring that the school district or other local entity has submitted a sufficient section 427 statement as described below.)

What Does This Provision Require?

Section 427 requires each applicant for funds (other than an individual person) to include in its application a description of the steps that applicant proposes to take to ensure equitable access to, and participation in, its Federally-assisted program for students, teachers, and other program beneficiaries with special needs. This provision allows applicants discretion in developing the required description. The statute highlights six types of barriers that can impede equitable access or participation: Gender, race, national origin, color, disability, or age. Based on local circumstances, you should determine whether these or other barriers may prevent your students, teachers, etc. from such access or participation in, the Federally-funded project or activity. The description in your application of steps to be taken to overcome these barriers need not be lengthy; you may provide a clear and succinct description of how you plan to address those barriers that are applicable to your circumstances. In addition, the information may be provided in a single narrative, or, if appropriate, may be discussed in connection with related topics in the application.

Section 427 is not intended to duplicate the requirements of civil rights statutes, but rather to ensure that, in designing their projects, applicants for Federal funds address equity concerns that may affect the ability of certain potential beneficiaries to fully participate in the project and to achieve to high standards. Consistent with program requirements and its approved application, an applicant may use the

Federal funds awarded to it to eliminate barriers it identifies.

What Are Examples of How an Applicant Might Satisfy the Requirement of This Provision?

The following examples may help illustrate how an applicant may comply with Section 427.

- (1) An applicant that proposes to carry out an adult literacy project serving, among others, adults with limited English proficiency, might describe in its application how it intends to distribute a brochure about the proposed project to such potential participants in their native language.
- (2) An applicant that proposes to develop instructional materials for

classroom use might describe how it will make the materials available on audio tape or in braille for students who are blind.

- (3) An applicant that proposes to carry out a model science program for secondary students and is concerned that girls, may be less likely than boys to enroll in the course, might indicate how it intends to conduct "outreach" efforts to girls, to encourage their enrollment.

We recognize that many applicants may already be implementing effective steps to ensure equity of access and participation in their grant programs, and we appreciate your cooperation in responding to the requirements of this provision.

Estimated Burden Statement for GEPA Requirements

The time required to complete this information collection is estimated to vary from 1 to 3 hours per response, with an average of 1.5 hours, including the time to review instructions, search existing data resources, gather and maintain the data needed, and complete and review the information collection. If you have any comments concerning the accuracy of the time estimate(s) or suggestions for improving this form, please write to: U.S. Department of Education, Washington, DC 20202-4651.

[FR Doc. 00-843 Filed 1-14-00; 8:45 am]

BILLING CODE 4000-01-U



Federal Register

**Tuesday,
January 18, 2000**

Part VI

Department of Transportation

Coast Guard

**33 CFR Part 157
Oil Pollution Act of 1990 Phase-out
Requirements for Single Hull Tank
Vessels; Proposed Rule**

DEPARTMENT OF TRANSPORTATION**Coast Guard****33 CFR Part 157**

[USCG-1999-6164]

RIN 2115-AF86

Oil Pollution Act of 1990 Phase-out Requirements for Single Hull Tank Vessels

AGENCY: Coast Guard, DOT.

ACTION: Notice of proposed rulemaking.

SUMMARY: The Coast Guard proposes to clarify our regulations for determining phase-out dates for single hull tank vessels under the Oil Pollution Act of 1990 (OPA 90). This proposed rule would codify our policy published on April 21, 1999, that states that conversion of a single hull tank vessel to add only double sides or only a double bottom after August 18, 1990, will not change the vessel's scheduled phase-out date under OPA 90.

DATES: Comments and related material must reach the Docket Management Facility on or before April 17, 2000.

ADDRESSES: To make sure your comments and related material are not entered more than once in the docket, please submit them by only one of the following means:

(1) By mail to the Docket Management Facility (USCG-1999-6164), U.S. Department of Transportation, room PL-401, 400 Seventh Street SW, Washington, DC 20590-0001.

(2) By hand delivery to room PL-401 on the Plaza level of the Nassif Building, 400 Seventh Street SW, Washington, DC, between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. The telephone number is 202-366-9329.

(3) By fax to the Docket Management Facility at 202-493-2251.

(4) Electronically through the Web Site for the Docket Management System at <http://dms.dot.gov>.

The Docket Management Facility maintains the public docket for this rulemaking. Comments and material received from the public, as well as documents mentioned in this preamble as being available in the docket, will become part of this docket and will be available for inspection or copying at room PL-401 on the Plaza level of the Nassif Building, 400 Seventh Street SW, Washington, DC, between 9 a.m. and 5 p.m., Monday through Friday, except Federal holidays. You may also find this docket on the Internet at <http://dms.dot.gov>.

FOR FURTHER INFORMATION CONTACT: For questions on this proposed rule, please contact Mr. Bob Gauvin, Project Manager, Office of Operating and

Environmental Standards, Commandant (G-MSO-2), U.S. Coast Guard, telephone 202-267-1053. For questions on viewing or submitting material to the docket, call Dorothy Walker, Chief, Dockets, Department of Transportation, telephone 202-366-9329.

SUPPLEMENTARY INFORMATION:**Request for Comments**

We encourage you to participate in this rulemaking by submitting comments and related material. If you do so, please include your name and address, identify the docket number for this rulemaking (USCG-1999-6164), indicate the specific section of this document to which each comment applies, and give the reason for each comment. You may submit your comments and material by mail, hand delivery, fax, or electronic means to the Docket Management Facility at the address under **ADDRESSES**; but please submit your comments and material by only one means. If you submit them by mail or hand delivery, submit them in an unbound format, no larger than 8½ by 11 inches, suitable for copying and electronic filing. If you submit them by mail and would like to know they reached the Facility, please enclose a stamped, self-addressed postcard or envelope. We will consider all comments and material received during the comment period. We may change this proposed rule in view of them.

Public Meeting

We do not now plan to hold a public meeting, but you may submit a request for one to the Docket Management Facility at the address under **ADDRESSES** explaining why one would be beneficial. If we determine that one would aid this rulemaking, we will hold one at a time and place announced by a later notice in the **Federal Register**.

Background and Purpose

Section 4115 of the Oil Pollution Act of 1990 (OPA 90), (Pub. L. 101-380, August 18, 1990) amended Title 46, United States Code (U.S.C.), by adding a new section 3703a. This section contains the double hull requirements and phase-out schedule for single hull tank vessels operating in U.S. waters. It requires an owner to remove a single hull tank vessel from bulk oil service on a specific date, depending on the vessel's gross tonnage, build date, and hull configuration. The phase-out schedule allows more years of service for single hull tank vessels that have been configured to include double sides or a double bottom than for ones without these hull configurations.

The OPA 90 timetable for double hull requirements for single hull tank vessels is set out in 33 CFR part 157, Appendix G. Neither OPA 90 nor our regulations address if, or when, a vessel owner can convert a single hull tank vessel to include only double sides or only a double bottom to change its phase-out date. As a result, some vessel owners asked the Coast Guard to clarify the types of vessel conversions permitted and their associated effect on phase-out dates.

The Coast Guard published a request for comments on this issue in the **Federal Register** (63 FR 63768) on November 16, 1998. The notice encouraged interested persons to provide written comments, information, opinions and arguments on whether single hull tank vessels that were converted to add double sides or a double bottom should use the newer hull configuration for determining their OPA 90 phase-out date. The comment period ended on January 15, 1999, and there were 32 submissions to the docket.

After reviewing the comments received, the Coast Guard published a notice of policy in the **Federal Register** (64 FR 19575) on April 21, 1999. The notice stated that changing the hull configuration of a single hull tank vessel to a single hull tank vessel with only double sides or only a double bottom after August 18, 1990, would not result in a change to the tank vessel's original phase-out date required by 46 U.S.C. 3703a. The notice also stated that a rulemaking would be initiated to make appropriate changes to the double hull regulations in 33 CFR part 157 and that we would revise Navigation and Vessel Inspection Circular No. 10-94, consistent with this policy.

On October 9, 1999, the Department of Transportation and Related Agencies Appropriation Act of 2000 (Pub. L. 106-69 (113 Stat. 986) was enacted. Section 344 of the Act prohibits the Coast Guard from obligating or expending funds to grant extensions of existing single hull tank vessels' phase-out dates under 46 U.S.C. 3703a. This legislation is consistent with our April 21, 1999, policy statement and requires no change to that policy.

Discussion of Proposed Rule

The Coast Guard proposes to revise two notes to the regulations presently in 33 CFR part 157. The first note follows § 157.10d(a)(4). The second note is at the end of the phase-out schedule in 33 CFR part 157, Appendix G. Both notes would state that an existing single hull tank vessel's configuration (*i.e.*, single hull; single hull with double sides; or single hull with a double bottom) on

August 18, 1990, is the configuration to be used to determine the vessel's phase-out date under the statute. Conversion of a single hull vessel with no double hull attributes, by adding only double sides or only a double bottom after that date cannot be used to calculate a different single hull tank vessel phase-out date.

If a single hull tank vessel was originally constructed with only double sides or only a double bottom and you converted that tank vessel by adding a full double hull that met the requirements of 33 CFR 157.10d, the converted vessel would then be considered a double hull tank vessel. The new double hull tank vessel would no longer be subject to the phase-out requirements of 33 CFR part 157, Appendix G. A conversion to a double hull tank vessel which meets the requirements of § 157.10d, is not considered an exemption, exception, or waiver of the phase-out requirements of OPA 90 for single hull tank vessels.

The proposed notes do not change the affect of the definition of *major conversion* in 33 CFR 157.03. The alteration of a single hull tank vessel with only double sides or only a double bottom is not a major conversion. Nor do these types of conversions affect the original phase-out date of a single hull tank vessel in 33 CFR part 157, Appendix G. The alteration of a single hull tank vessel to be completely double hulled is not a major conversion. After conversion to a double hull meeting the requirements of 33 CFR part 157, the tank vessel would no longer be subject to the single hull tank vessel phase-out schedule of 33 CFR part 157, Appendix G.

The Coast Guard requests your comments on these proposed notes and your recommendations for other amendments to 33 CFR part 157 necessary to ensure clarity of this issue.

Regulatory Evaluation

This proposed rule is not a "significant regulatory action" under section 3(f) of Executive Order 12866 and does not require an assessment of potential costs and benefits under section 6(a)(3) of that Order. The Office of Management and Budget has not reviewed it under that Order. It is not "significant" under the regulatory policies and procedures of the Department of Transportation (DOT) (44 FR 11040, February 26, 1979).

Since this action clarifies the Coast Guard's existing regulatory requirements and does not alter our previous policy on OPA 90 phase-out requirements, we expect no economic impact from this proposed rule and a

full Regulatory Evaluation under paragraph 10e of the regulatory policies and procedures of DOT is unnecessary.

Small Entities

Under the Regulatory Flexibility Act (5 U.S.C. 601–612), we considered whether this proposed rule would have a significant economic impact on a substantial number of small entities. The term "small entities" comprises small businesses, not-for-profit organizations that are independently owned and operated and are not dominant in their fields, and governmental jurisdictions with populations of less than 50,000.

The Coast Guard reviewed the effects of this enforcement policy when publishing its notice in the **Federal Register** (64 FR 19575) on April 21, 1999. It is expected that this policy will not alter the impact to small entities or any other entity affected by the original OPA 90 phase-out requirements in 33 CFR part 157, Appendix G. No single hull tank vessel owned by a small entity or any other entity has been given an extension of its phase-out period by the Coast Guard after August 18, 1990, due to adding a double bottom or double sides to an existing single hull configuration.

Therefore, the Coast Guard certifies under 5 U.S.C. 605(b) that this proposed rule would not have a significant economic impact on a substantial number of small entities. If you think that your business, organization, or governmental jurisdiction qualifies as a small entity and that this rule would have a significant economic impact on it, please submit a comment to the Docket Management Facility at the address under **ADDRESSES**. In your comment, explain why you think it qualifies and how and to what degree this rule would economically affect it.

Assistance for Small Entities

Under section 213(a) of the Small Business Regulatory Enforcement Fairness Act of 1996 (Pub. L. 104–121), we want to assist small entities in understanding this proposed rule so that they can better evaluate its effects on them and participate in the rulemaking. If the rule would affect your small business, organization, or governmental jurisdiction and you have questions concerning its provisions or options for compliance, please consult with: Mr. Bob Gauvin, Project Manager, Office of Operating and Environmental Standards, Commandant (G-MSO–2), U.S. Coast Guard, at 202–267–1053, by facsimile 202–267–4570, or by email at rgauvin@comdt.uscg.mil.

Small businesses may send comments on the actions of Federal employees who enforce, or otherwise determine compliance with, Federal regulations to the Small Business and Agriculture Regulatory Enforcement Ombudsman and the Regional Small Business Regulatory Fairness Boards. The Ombudsman evaluates these actions annually and rates each agency's responsiveness to small business. If you wish to comment on actions by employees of the Coast Guard, call 1–888–REG–FAIR (1–888–734–3247).

Collection of Information

This proposed rule would call for no new collection of information under the Paperwork Reduction Act of 1995 (44 U.S.C. 3501–3520).

Federalism

We have analyzed this proposed rule under E.O. 13132 and have determined that this rule does not have implications for federalism under that Order. This proposed rule does not change the statutory phase-out dates prescribed by OPA 90 for single hull tank vessels. It clarifies the Coast Guard's policy on whether a vessel can change its category on the schedule for double-hull compliance under OPA 90, but does not change the substantive effect of the existing regulations. This proposed rule would effect no change in the current requirements on State or local governments, which are preempted by operation of law from regulating the design and construction of tank vessels. See *Ray v. ARCO*, 435 U.S. 151 (1978). This rule does not impose any direct cost of compliance on State or local governments.

Unfunded Mandates Reform Act

The Unfunded Mandates Reform Act of 1995 (2 U.S.C. 1531–1538) governs the issuance of Federal regulations that require unfunded mandates. An unfunded mandate is a regulation that requires a State, local, or tribal government or the private sector to incur direct costs without the Federal Government's having first provided the funds to pay those costs. This proposed rule would not impose an unfunded mandate.

Taking of Private Property

This proposed rule would not effect a taking of private property or otherwise have taking implications under E.O. 12630, Governmental Actions and Interference with Constitutionally Protected Property Rights.

Civil Justice Reform

This proposed rule meets applicable standards in sections 3(a) and 3(b)(2) of E.O. 12988, Civil Justice Reform, to minimize litigation, eliminate ambiguity, and reduce burden.

Protection of Children

We have analyzed this proposed rule under E.O. 13045, Protection of Children from Environmental Health Risks and Safety Risks. This rule is not an economically significant rule and does not concern an environmental risk to health or risk to safety that may disproportionately affect children.

Environment

We considered the environmental impact of this proposed rule and concluded that preparation of an Environmental Impact Statement is not necessary. The regulatory clarifications proposed by this rule do not change the original assessment to the environment completed when the OPA 90 phase-out regulations in 33 CFR 157 were published. The policy implemented by this proposal is consistent with the Coast Guard's actions of the OPA 90 phase-out schedule since its enactment on August 18, 1990. We are, therefore, relying upon that Environmental Assessment (EA) which together with a new draft Finding of No Significant Impact (FONSI) are available in the docket where indicated under

ADDRESSES. We request comments on our EA and draft FONSI.

List of Subjects in 33 CFR Part 157

Cargo vessels, Oil pollution, Reporting and recordkeeping requirements.

For the reasons discussed in the preamble, the Coast Guard proposes to amend 33 CFR part 157 as follows:

PART 157—RULES FOR THE PROTECTION OF THE MARINE ENVIRONMENT RELATING TO TANK VESSELS CARRYING OIL IN BULK

1. The authority citation for part 157 continues to read as follows:

Authority: 33 U.S.C. 1903; 46 U.S.C. 3703, 3703a (note); 49 CFR 1.46. Subparts G, H, and I are also issued under section 4115(b), Pub. L. 101–380, 104 Stat. 520; Pub. L. 104–55, 109 Stat. 546.

2. Revise the note to § 157.10d(a)(4) to read as follows:

§ 157.10d Double hulls on tank vessels.

- (a) * * *
- (4) * * *

Note: The double hull compliance dates of 46 U.S.C. 3703a(c) are set out in appendix G to this part. To determine a tank vessel's double hull compliance date under OPA 90, use the vessel's hull configuration (i.e., single hull; single hull with double sides; or single hull with double bottom) on August 18, 1990.

* * * * *

3. Revise the note at the end of Appendix G to read as follows:

APPENDIX G—TIMETABLES FOR APPLICATION OF DOUBLE HULL REQUIREMENTS

* * * * *

Note: Double sides and double bottoms must meet the requirements in § 157.10d(c) or (d), as appropriate. A vessel will be considered to have a single hull if it does not have double sides and a double bottom that meet the requirements in § 157.10d(c) and § 157.10d(d). To determine a tank vessel's double hull compliance date under OPA 90, use the vessel's hull configuration (i.e., single hull; single hull with double sides; or single hull with double bottom) on August 18, 1990. The conversion of a single hull tank vessel to include only double sides or only a double bottom after August 18, 1990, will not result in a change of the vessel's originally scheduled phase-out date.

The conversion of a single hull tank vessel to a double hull tank vessel meeting the requirements of § 157.10d complies with OPA 90.

Dated: January 10, 2000.
R. C. North,
Rear Admiral, U.S. Coast Guard, Assistant Commandant for Marine Safety and Environmental Protection.
[FR Doc. 00–1028 Filed 1–14–00; 8:45 am]

BILLING CODE 4910–15–U



Federal Register

**Tuesday,
January 18, 2000**

Part VII

The President

**Proclamation 7263—Establishment of the
Agua Fria National Monument**

**Proclamation 7264—Establishment of the
California Coastal National Monument**

**Proclamation 7265—Establishment of the
Grand Canyon-Parashant National
Monument**

**Proclamation 7266—Boundary
Enlargement of the Pinnacles National
Monument**

Presidential Documents

Title 3—

Proclamation 7263 of January 11, 2000

The President

Establishment of the Agua Fria National Monument

By the President of the United States of America

A Proclamation

The windswept, grassy mesas and formidable canyons of Agua Fria National Monument embrace an extraordinary array of scientific and historic resources. The ancient ruins within the monument, with their breathtaking vistas and spectacular petroglyphs, provide a link to the past, offering insights into the lives of the peoples who once inhabited this part of the desert Southwest. The area's architectural features and artifacts are tangible objects that can help researchers reconstruct the human past. Such objects and, more importantly, the spatial relationships among them, provide outstanding opportunities for archeologists to study the way humans interacted with one another, neighboring groups, and with the environment that sustained them in prehistoric times.

The monument contains one of the most significant systems of late prehistoric sites in the American Southwest. Between A.D. 1250 and 1450, its pueblo communities were populated by up to several thousand people. During this time, many dwelling locations in the Southwest were abandoned and groups became aggregated in a relatively small number of densely populated areas. The monument encompasses one of the best examples of these areas, containing important archeological evidence that is crucial to understanding the cultural, social, and economic processes that accompanied this period of significant change.

At least 450 prehistoric sites are known to exist within the monument and there are likely many more. There are at least four major settlements within the area, including Pueblo La Plata, Pueblo Pato, the Baby Canyon Ruin group, and the Lousy Canyon group. These consist of clusters of stone-masonry pueblos, some containing at least 100 rooms. These settlements are typically situated at the edges of steep canyons, and offer a panorama of ruins, distinctive rock art panels, and visually spectacular settings.

Many intact petroglyph sites within the monument contain rock art symbols pecked into the surfaces of boulders and cliff faces. The sites range from single designs on boulders to cliffs covered with hundreds of geometric and abstract symbols. Some of the most impressive sites are associated with major pueblos, such as Pueblo Pato.

The monument holds an extraordinary record of prehistoric agricultural features, including extensive terraces bounded by lines of rocks and other types of landscape modifications. The agricultural areas, as well as other sites, reflect the skills of ancient residents at producing and obtaining food supplies sufficient to sustain a population of several thousand people.

The monument also contains historic sites representing early Anglo-American history through the 19th century, including remnants of Basque sheep camps, historic mining features, and military activities.

In addition to its rich record of human history, the monument contains other objects of scientific interest. This expansive mosaic of semi-desert grassland, cut by ribbons of valuable riparian forest, is an outstanding biological resource. The diversity of vegetative communities, topographical features,

and relative availability of water provide habitat for a wide array of sensitive wildlife species, including the lowland leopard frog, the Mexican garter snake, the common black hawk, and the desert tortoise. Other wildlife is abundant and diverse, including pronghorn, mule deer, and white-tail deer. Javelina, mountain lions, small mammals, reptiles, amphibians, fish, and neotropical migratory birds also inhabit the area. Elk and black bear are present, but less abundant. Four species of native fish, including the longfin dace, the Gila mountain sucker, the Gila chub, and the speckled dace, exist in the Agua Fria River and its tributaries.

Section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431) authorizes the President, in his discretion, to declare by public proclamation historic landmarks, historic and prehistoric structures, and other objects of historic or scientific interest that are situated upon the lands owned or controlled by the Government of the United States to be national monuments, and to reserve as a part thereof parcels of land, the limits of which in all cases shall be confined to the smallest area compatible with the proper care and management of the objects to be protected.

WHEREAS it appears that it would be in the public interest to reserve such lands as a national monument to be known as the Agua Fria National Monument:

NOW, THEREFORE, I, WILLIAM J. CLINTON, President of the United States of America, by the authority vested in me by section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431), do proclaim that there are hereby set apart and reserved as the Agua Fria National Monument, for the purpose of protecting the objects identified above, all lands and interests in lands owned or controlled by the United States within the boundaries of the area described on the map entitled "Agua Fria National Monument" attached to and forming a part of this proclamation. The Federal land and interests in land reserved consist of approximately 71,100 acres, which is the smallest area compatible with the proper care and management of the objects to be protected.

For the purpose of protecting the objects identified above, all motorized and mechanized vehicle use off road will be prohibited, except for emergency or authorized administrative purposes.

Nothing in this proclamation shall be deemed to enlarge or diminish the jurisdiction of the State of Arizona with respect to fish and wildlife management.

The establishment of this monument is subject to valid existing rights.

All Federal lands and interests in lands within the boundaries of this monument are hereby appropriated and withdrawn from all forms of entry, location, selection, sale, leasing, or other disposition under the public land laws, including but not limited to withdrawal from location, entry, and patent under the mining laws, and from disposition under all laws relating to mineral and geothermal leasing, other than by exchange that furthers the protective purposes of the monument. Lands and interests in lands within the proposed monument not owned by the United States shall be reserved as a part of the monument upon acquisition of title thereto by the United States.

There is hereby reserved, as of the date of this proclamation and subject to valid existing rights, a quantity of water sufficient to fulfill the purposes for which this monument is established. Nothing in this reservation shall be construed as a relinquishment or reduction of any water use or rights reserved or appropriated by the United States on or before the date of this proclamation.

The Secretary of the Interior shall manage the monument through the Bureau of Land Management, pursuant to applicable legal authorities, to implement the purposes of this proclamation.

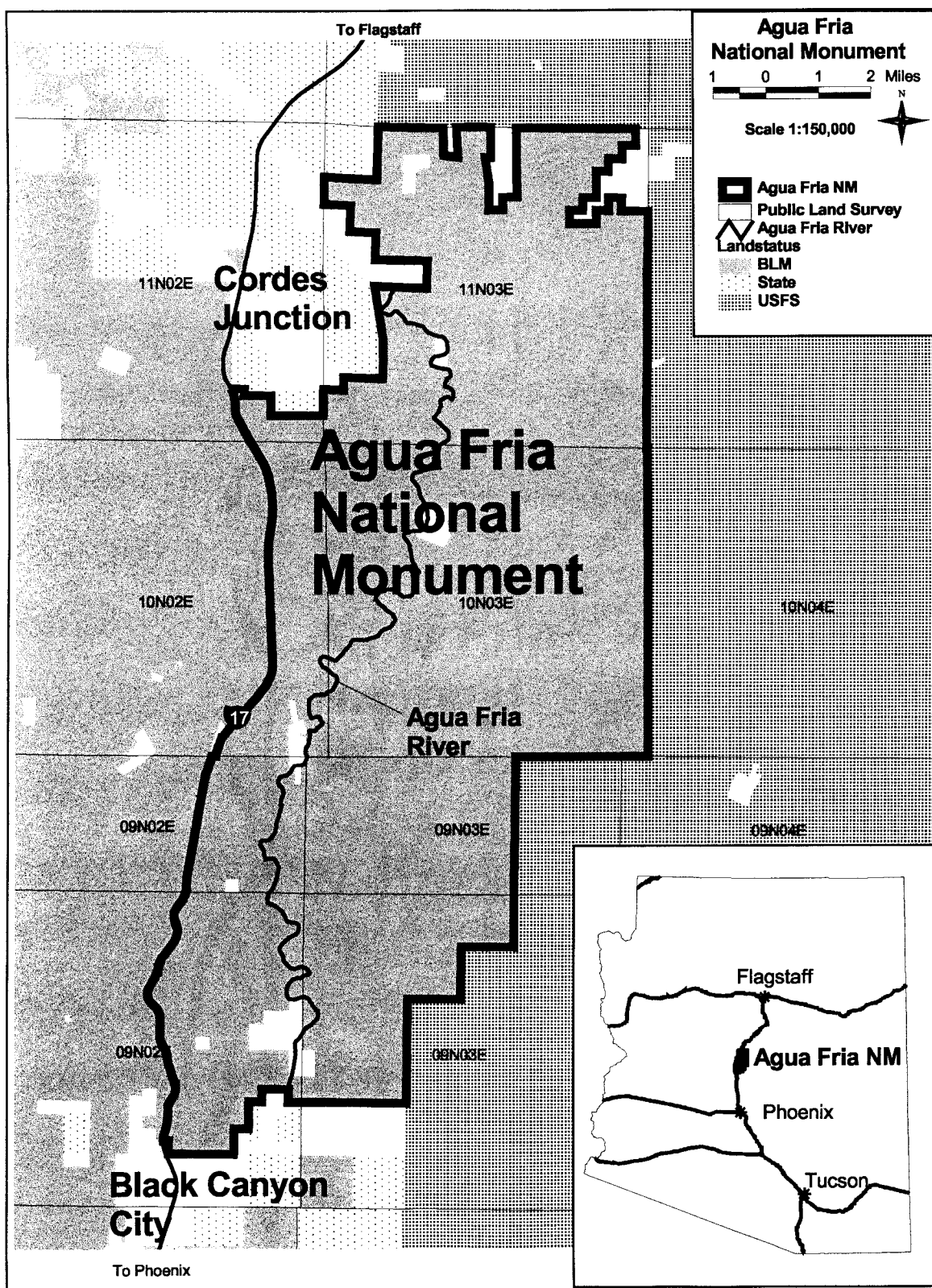
Laws, regulations, and policies followed by the Bureau of Land Management in issuing and administering grazing leases on all lands under its jurisdiction shall continue to apply with regard to the lands in the monument.

Nothing in this proclamation shall be deemed to revoke any existing withdrawal, reservation, or appropriation; however, the national monument shall be the dominant reservation.

Warning is hereby given to all unauthorized persons not to appropriate, injure, destroy, or remove any feature of this monument and not to locate or settle upon any of the lands thereof.

IN WITNESS WHEREOF, I have hereunto set my hand this eleventh day of January, in the year of our Lord two thousand, and of the Independence of the United States of America the two hundred and twenty-fourth.

A handwritten signature in black ink, reading "William Clinton". The signature is written in a cursive style with a large, stylized "W" and "C".



[FR Doc. 00-1294

Filed 1-14-00; 10:45 am]

Billing code 3195-01-C

Presidential Documents

Proclamation 7264 of January 11, 2000

Establishment of the California Coastal National Monument

By the President of the United States of America

A Proclamation

The islands, rocks, and pinnacles of the California Coastal National Monument overwhelm the viewer, as white-capped waves crash into the vertical cliffs or deeply crevassed surge channels and frothy water empties back into the ocean. Amidst that beauty lies irreplaceable scientific values vital to protecting the fragile ecosystems of the California coastline. At land's end, the islands, rocks, exposed reefs, and pinnacles off the coast above mean high tide provide havens for significant populations of sea mammals and birds. They are part of a narrow and important flight lane in the Pacific Flyway, providing essential habitat for feeding, perching, nesting, and shelter.

The California Coastal National Monument is a biological treasure. The thousands of islands, rocks, exposed reefs, and pinnacles are part of the nearshore ocean zone that begins just off shore and ends at the boundary between the continental shelf and continental slope. Waters of this zone are rich in nutrients from upwelling currents and freshwater inflows, supporting a rich array of habitats and organisms. Productive oceanographic factors, such as major ocean currents, stimulate critical biological productivity and diversity in both nearshore and offshore ocean waters.

The monument contains many geologic formations that provide unique habitat for biota. Wave action exerts a strong influence on habitat distribution within the monument. Beaches occur where wave action is light, boulder fields occur in areas of greater wave activity, and rocky outcroppings occur where wave action is greatest. The pounding surf within boulder fields and rocky shores often creates small, but important, habitats known as tidepools, which support creatures uniquely adapted for survival under such extreme physical conditions. Although shoreline habitats may appear distinct from those off shore, they are dependent upon each other, with vital and dynamic exchange of nutrients and organisms being essential to maintaining their healthy ecosystems. As part of California's nearshore ocean zone, the monument is rich in biodiversity and holds many species of scientific interest that can be particularly sensitive to disturbance.

The monument's vegetative character varies greatly. Larger rocks and islands contain diverse growth. *Dudleya*, *Atriplex-Baeria-Rumex*, mixed grass-herb, *Polypodium*, *Distichlis*, ice plant, *Synthyris-Poppy*, *Eymus*, *Poa-Baeria*, chaparral, and wetlands vegetation are all present. Larger rocks and islands contain a diverse blend of the vegetation types.

The monument provides feeding and nesting habitat for an estimated 200,000 breeding seabirds. Development on the mainland has forced seabirds that once fed and nested in the shoreline ecosystem to retreat to the areas protected by the monument. Pelagic seabird species inhabit salt or brackish water environments for at least part of their annual cycle and breed on offshore islands and rocks. Gulls, the endangered California least tern, the threatened brown pelican, and the snowy plover, among countless others, all feed on the vegetation and establish their nests in the monument. Both bald eagles and peregrine falcons are found within the monument.

The monument also provides forage and breeding habitat for several mammal species. Pinnipeds are abundant, including the threatened southern sea otter and the Guadalupe fur seal. The monument contains important shelter for male California sea lions in the winter and breeding rookeries for threatened northern (Steller) sea lions in the spring.

Section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431) authorizes the President, in his discretion, to declare by public proclamation historic landmarks, historic and prehistoric structures, and other objects of historic or scientific interest that are situated upon the lands owned or controlled by the Government of the United States to be national monuments, and to reserve as a part thereof parcels of land, the limits of which in all cases shall be confined to the smallest area compatible with the proper care and management of the objects to be protected.

WHEREAS it appears that it would be in the public interest to reserve such lands as a national monument to be known as the California Coastal National Monument:

NOW, THEREFORE, I, WILLIAM J. CLINTON, President of the United States of America, by the authority vested in me by section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431), do proclaim that there are hereby set apart and reserved as the California Coastal National Monument, for the purpose of protecting the objects identified above, all unappropriated or unreserved lands and interests in lands owned or controlled by the United States in the form of islands, rocks, exposed reefs, and pinnacles above mean high tide within 12 nautical miles of the shoreline of the State of California. The Federal land and interests in land reserved are encompassed in the entire 840 mile Pacific coastline, which is the smallest area compatible with the proper care and management of the objects to be protected.

The establishment of this monument is subject to valid existing rights.

All Federal lands and interests in lands within the boundaries of this monument are hereby appropriated and withdrawn from all forms of entry, location, selection, sale, leasing, or other disposition under the public land laws, including but not limited to withdrawal from location, entry, and patent under the mining laws, and from disposition under all laws relating to mineral and geothermal leasing, other than by exchange that furthers the protective purposes of the monument. Lands and interests in lands within the proposed monument not owned by the United States shall be reserved as a part of the monument upon acquisition of title thereto by the United States.

The Secretary of the Interior shall manage the monument through the Bureau of Land Management, pursuant to applicable legal authorities, to implement the purposes of this proclamation.

Nothing in this proclamation shall be deemed to revoke any existing withdrawal, reservation, or appropriation; however, the national monument shall be the dominant reservation.

Nothing in this proclamation shall enlarge or diminish the jurisdiction or authority of the State of California or the United States over submerged or other lands within the territorial waters off the coast of California.

Nothing in this proclamation shall affect the rights or obligations of any State or Federal oil or gas lessee within the territorial waters off the California coast.

Warning is hereby given to all unauthorized persons not to appropriate, injure, destroy, or remove any feature of this monument and not to locate or settle upon any of the lands thereof.

IN WITNESS WHEREOF, I have hereunto set my hand this eleventh day of January, in the year of our Lord two thousand, and of the Independence of the United States of America the two hundred and twenty-fourth.

A handwritten signature in black ink, reading "William J. Clinton". The signature is written in a cursive style with a large, stylized "W" and "C".

[FR Doc. 00-1295

Filed 1-14-00; 10:45 am]

Billing code 3195-01-P

Presidential Documents

Proclamation 7265 of January 11, 2000

Establishment of the Grand Canyon-Parashant National Monument

By the President of the United States of America

A Proclamation

The Grand Canyon-Parashant National Monument is a vast, biologically diverse, impressive landscape encompassing an array of scientific and historic objects. This remote area of open, undeveloped spaces and engaging scenery is located on the edge of one of the most beautiful places on earth, the Grand Canyon. Despite the hardships created by rugged isolation and the lack of natural waters, the monument has a long and rich human history spanning more than 11,000 years, and an equally rich geologic history spanning almost 2 billion years. Full of natural splendor and a sense of solitude, this area remains remote and unspoiled, qualities that are essential to the protection of the scientific and historic resources it contains.

The monument is a geological treasure. Its Paleozoic and Mesozoic sedimentary rock layers are relatively undeformed and unobscured by vegetation, offering a clear view to understanding the geologic history of the Colorado Plateau. Deep canyons, mountains, and lonely buttes testify to the power of geological forces and provide colorful vistas. A variety of formations have been exposed by millennia of erosion by the Colorado River. The Cambrian, Devonian, and Mississippian formations (Muav Limestone, Temple Butte Formation, and the Redwall Limestone) are exposed at the southern end of the lower Grand Wash Cliffs. The Pennsylvanian and Permian formations (Calville Limestone, Esplanade Sandstone, Hermit Shale, Toroweap Formation, and the Kaibab Formation) are well exposed within the Parashant, Andrus, and Whitmore Canyons, and on the Grand Gulch Bench. The Triassic Chinle and Moenkopi Formations are exposed on the Shivwits Plateau, and the purple, pink, and white shale, mudstone, and sandstone of the Triassic Chinle Formation are exposed in Hells Hole.

The monument encompasses the lower portion of the Shivwits Plateau, which forms an important watershed for the Colorado River and the Grand Canyon. The Plateau is bounded on the west by the Grand Wash Cliffs and on the east by the Hurricane Cliffs. These cliffs, formed by large faults that sever the Colorado Plateau slicing north to south through the region, were and are major topographic barriers to travel across the area. The Grand Wash Cliffs juxtapose the colorful, lava-capped Precambrian and Paleozoic strata of the Grand Canyon against the highly faulted terrain, recent lake beds, and desert volcanic peaks of the down-dropped Grand Wash trough. These cliffs, which consist of lower and upper cliffs separated by the Grand Gulch Bench, form a spectacular boundary between the basin and range and the Colorado Plateau geologic provinces. At the south end of the Shivwits Plateau are several important tributaries to the Colorado River, including the rugged and beautiful Parashant, Andrus, and Whitmore canyons. The Plateau here is capped by volcanic rocks with an array of cinder cones and basalt flows, ranging in age from 9 million to only about 1000 years old. Lava from the Whitmore and Toroweap areas flowed into the Grand Canyon and dammed the river many times over the past several million years. The monument is pocketed with sinkholes and breccia pipes, structures

associated with volcanism and the collapse of underlying rock layers through ground water dissolution.

Fossils are abundant in the monument. Among these are large numbers of invertebrate fossils, including bryozoans and brachiopods located in the Calville limestone of the Grand Wash Cliffs, and brachiopods, pelecypods, fenestrate bryozoa, and crinoid ossicles in the Toroweap and Kaibab formations of Whitmore Canyon. There are also sponges in nodules and pectenoid pelecypods throughout the Kaibab formation of Parashant Canyon.

The Grand Canyon-Parashant National Monument contains portions of geologic faults, including the Dellenbaugh fault, which cuts basalt flows dated 6 to 7 million years old, the Toroweap fault, which has been active within the last 30,000 years, the Hurricane fault, which forms the Hurricane Cliffs and extends over 150 miles across northern Arizona and into Utah, and the Grand Wash fault, which bounds the west side of the Shivwits Plateau and has approximately 15,000 feet of displacement across the monument.

Archaeological evidence shows much human use of the area over the past centuries. Because of their remoteness and the lack of easy road access, the sites in this area have experienced relatively little vandalism. Their good condition distinguishes them from many prehistoric resources in other areas. Prehistoric use is documented by irreplaceable rock art images, quarries, villages, watchtowers, agricultural features, burial sites, caves, rockshelters, trails, and camps. Current evidence indicates that the monument was utilized by small numbers of hunter-gatherers during the Archaic Period (7000 B.C. to 300 B.C.). Population and utilization of the monument increased during the Ancestral Puebloan Period from the Basketmaker II Phase through the Pueblo II Phase (300 B.C. to 1150 A.D.), as evidenced by the presence of pit houses, habitation rooms, agricultural features, and pueblo structures. Population size decreased during the Pueblo III Phase (1150 A.D. to 1225 A.D.). Southern Paiute groups replaced the Pueblo groups and were occupying the monument at the time of Euro-American contact. Archeological sites in the monument include large concentrations of ancestral Puebloan (Anasazi or Hittsatsinom) villages, a large, intact Pueblo II village, numerous archaic period archeological sites, ancestral Puebloan sites, and Southern Paiute sites. The monument also contains areas of importance to existing Indian tribes.

In 1776, the Escalante-Dominguez expedition of Spanish explorers passed near Mount Trumbull. In the first half of the 19th century, Jedediah Smith, Antonio Armijo, and John C. Fremont explored portions of this remote area. Jacob Hamblin, a noted Mormon pioneer, explored portions of the Shivwits Plateau in 1858 and, with John Wesley Powell, in the 1870s. Clarence Dutton completed some of the first geological explorations of this area and provided some of the most stirring written descriptions. Having traversed this area by wagon at the request of the territorial legislature, Sharlot Hall recommended it for inclusion within the State of Arizona when it gained Statehood in 1912. Early historic sawmills provided timber that was hauled 70 miles along the Temple Trail wagon road from Mt. Trumbull down the Hurricane Cliffs to St. George, Utah. Ranch structures and corrals, fences, water tanks, and the ruins of sawmills are scattered across the monument and tell the stories of the remote family ranches and the lifestyles of early homesteaders. There are several old mining sites dating from the 1870s, showing the history of mining during the late 19th and early 20th centuries. The remote and undeveloped nature of the monument protects these historical sites in nearly their original context.

The monument also contains outstanding biological resources preserved by remoteness and limited travel corridors. The monument is the junction of two physiographic ecoregions: the Mojave Desert and the Colorado Plateau. Individually, these regions contain ecosystems extreme to each other, ranging from stark, arid desert to complex, dramatic higher elevation plateaus, tributaries, and rims of the Grand Canyon. The western margin of the Shivwits Plateau marks the boundary between the Sonoran/Mojave/Great Basin floristic

provinces to the west and south, and the Colorado Plateau province to the northeast. This intersection of these biomes is a distinctive and remarkable feature. Riparian corridors link the plateau to the Colorado River corridor below, allowing wildlife movement and plant dispersal. The Shivwits Plateau is in an arid environment with between 14 to 18 inches of precipitation a year. Giant Mojave Yucca cacti proliferate in undisturbed conditions throughout the monument. Diverse wildlife inhabit the monument, including a trophy-quality mule deer herd, Kaibab squirrels, and wild turkey. There are numerous threatened or endangered species as well, including the Mexican spotted owl, the California condor, the desert tortoise, and the southwestern willow flycatcher. There are also candidate or sensitive species, including the spotted bat, the western mastiff bat, the Townsend's big eared bat, and the goshawk, as well as two federally recognized sensitive rare plant species: *Penstemon distans* and *Rosa stellata*. The ponderosa pine ecosystem in the Mt. Trumbull area is a biological resource of scientific interest, which has been studied to gain important insights regarding dendroclimatic reconstruction, fire history, forest structure change, and the long-term persistence and stability of presettlement pine groups.

Section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431) authorizes the President, in his discretion, to declare by public proclamation historic landmarks, historic and prehistoric structures, and other objects of historic or scientific interest that are situated upon the lands owned or controlled by the Government of the United States to be national monuments, and to reserve as a part thereof parcels of land, the limits of which in all cases shall be confined to the smallest area compatible with the proper care and management of the objects to be protected.

WHEREAS it appears that it would be in the public interest to reserve such lands as a national monument to be known as the Grand Canyon-Parashant National Monument:

NOW, THEREFORE, I, WILLIAM J. CLINTON, President of the United States of America, by the authority vested in me by section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431), do proclaim that there are hereby set apart and reserved as the Grand Canyon-Parashant National Monument, for the purpose of protecting the objects identified above, all lands and interests in lands owned or controlled by the United States within the boundaries of the area described on the map entitled "Grand Canyon-Parashant National Monument" attached to and forming a part of this proclamation. The Federal land and interests in land reserved consist of approximately 1,014,000 acres, which is the smallest area compatible with the proper care and management of the objects to be protected.

For the purpose of protecting the objects identified above, all motorized and mechanized vehicle use off road will be prohibited, except for emergency or authorized administrative purposes.

Nothing in this proclamation shall be deemed to enlarge or diminish the jurisdiction of the State of Arizona with respect to fish and wildlife management.

The establishment of this monument is subject to valid existing rights.

All Federal lands and interests in lands within the boundaries of this monument are hereby appropriated and withdrawn from all forms of entry, location, selection, sale, or leasing or other disposition under the public land laws, including but not limited to withdrawal from location, entry, and patent under the mining laws, and from disposition under all laws relating to mineral and geothermal leasing, other than by exchange that furthers the protective purposes of the monument. Sale of vegetative material is permitted only if part of an authorized science-based ecological restoration project. Lands and interests in lands within the proposed monument not owned by the United States shall be reserved as a part of the monument upon acquisition of title thereto by the United States.

This proclamation does not reserve water as a matter of Federal law nor relinquish any water rights held by the Federal Government existing on this date. The Federal land managing agencies shall work with appropriate State authorities to ensure that water resources needed for monument purposes are available.

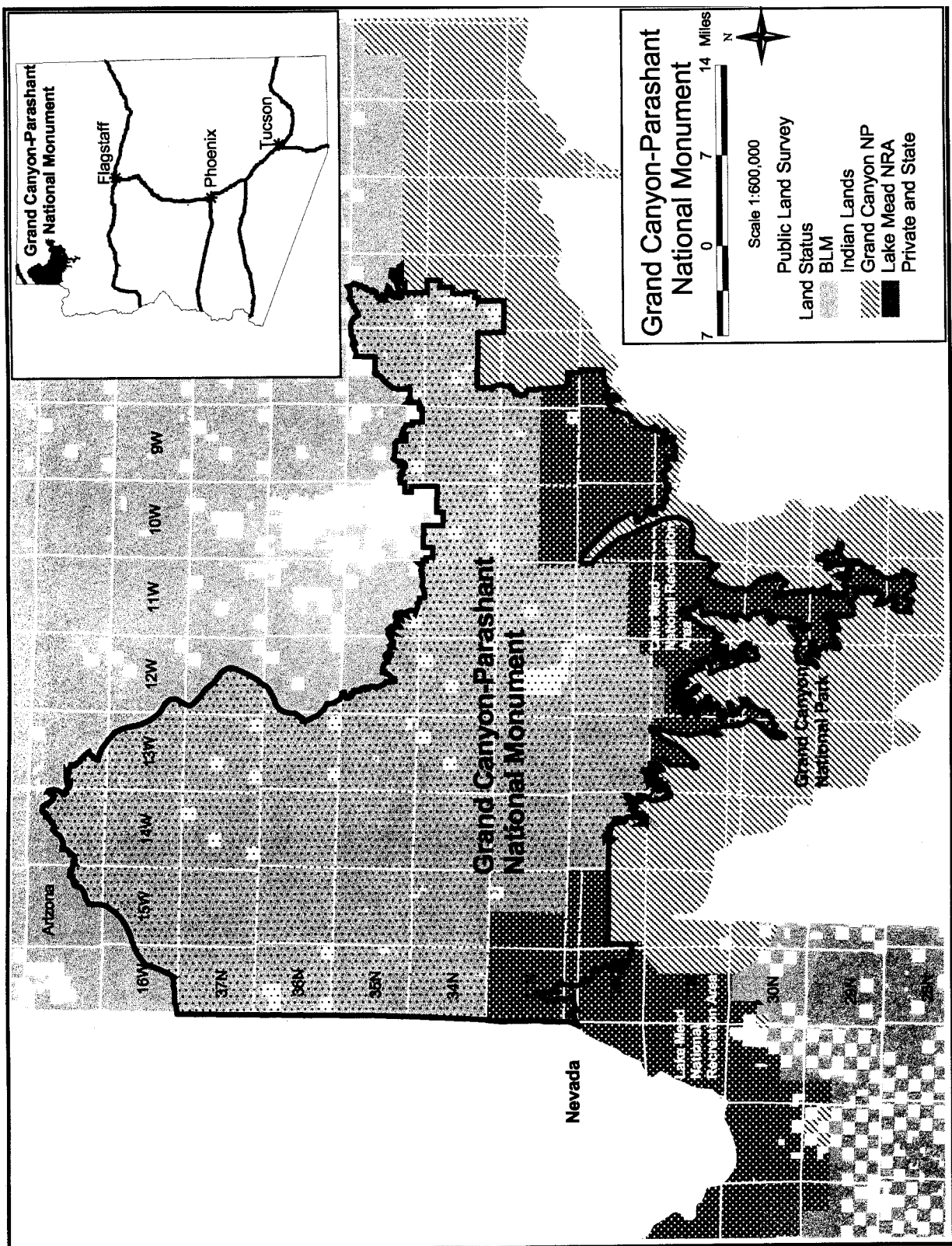
The Secretary of the Interior shall manage the monument through the Bureau of Land Management and the National Park Service, pursuant to applicable legal authorities, to implement the purposes of this proclamation. The National Park Service and the Bureau of Land Management shall manage the monument cooperatively and shall prepare an agreement to share, consistent with applicable laws, whatever resources are necessary to properly manage the monument; however, the National Park Service shall continue to have primary management authority over the portion of the monument within the Lake Mead National Recreation Area, and the Bureau of Land Management shall have primary management authority over the remaining portion of the monument.

The Bureau of Land Management shall continue to issue and administer grazing leases within the portion of the monument within the Lake Mead National Recreation Area, consistent with the Lake Mead National Recreation Area authorizing legislation. Laws, regulations, and policies followed by the Bureau of Land Management in issuing and administering grazing leases on all lands under its jurisdiction shall continue to apply to the remaining portion of the monument.

Nothing in this proclamation shall be deemed to revoke any existing withdrawal, reservation, or appropriation; however, the national monument shall be the dominant reservation. Warning is hereby given to all unauthorized persons not to appropriate, injure, destroy, or remove any feature of this monument and not to locate or settle upon any of the lands thereof.

IN WITNESS WHEREOF, I have hereunto set my hand this eleventh day of January, in the year of our Lord two thousand, and of the Independence of the United States of America the two hundred and twenty-fourth.

A handwritten signature in black ink, reading "William Clinton". The signature is written in a cursive style with a large, stylized "W" and "C".



[FR Doc. 00-1296

Filed 1-14-00; 10:45 am]

Billing code 3195-01-C

Presidential Documents

Proclamation 7266 of January 11, 2000

Boundary Enlargement of the Pinnacles National Monument

By the President of the United States of America

A Proclamation

Pinnacles National Monument was established on January 16, 1908, for the purpose of protecting its natural rock formations, known as Pinnacles Rocks, and the series of talus caves underlying them. The monument sits within one of the most complex and fascinating geologic terrains in North America, an area where rock masses have been sliced apart, transported for up to hundreds of miles, and then reassembled into a fantastic geologic mixture. The monument holds only half of an ancient volcano; the other half is found 195 miles to the southeast in northern Los Angeles County. The volcano was split apart and transported north by an early strand of the San Andreas Fault, known as the Chalone Creek Fault, which lies within the monument. The pinnacles inside the monument are composed mainly of volcanic breccia, a mixture of angular blocks of volcanic lava, pumice, and ash. The occurrence of the pinnacles within the monument is unusual, as some of these volcanic rocks also contain marine fossils.

Since 1908, the boundaries of the monument have been enlarged on five occasions by presidential proclamations issued pursuant to the Antiquities Act (34 Stat. 225, 16 U.S.C. 431). Proclamation 1660 of May 7, 1923, added 562 acres to include additional natural formations with a series of caves underlying them. Proclamation 1704 of July 2, 1924, added adjoining lands that included a spring of water and valuable camping sites. Proclamation 1948 of April 13, 1931, added 1,926 acres that held additional features of scientific and educational interest and for administrative purposes. For these same purposes, the boundary was later expanded on July 11, 1933 (Proclamation 2050). Proclamation 2528 of December 5, 1941, added additional lands adjoining Pinnacles National Monument in order to protect more objects of scientific interest in the monument area. The boundary of the monument was further expanded by statute on October 20, 1976 (Public Law 94–567, 90 Stat. 2693).

The boundary enlargement effected by this proclamation is central to the continued preservation of the Pinnacles National Monument's unique resources. In addition to containing pieces of the same faults that created the tremendous geological formations throughout the monument, the expansion lands hold part of the headwaters that drain into the basin of the monument. Over millions of years, flash floods and stream currents have helped to sculpt the land's natural features. Additionally, these lands contain a biological system that must be protected if the wild character and ecosystem of the monument are to be preserved. The geologic formations provide a stellar habitat for important and sometimes fragile biological resources. For example, raptor populations, including prairie falcons, golden eagles, red-shouldered hawks, Cooper's hawks, harriers, white-tailed kites, long-eared owls, and red-tailed hawks, nest on the rocky formations and forage in the broad watershed. The lands within the expansion area contain steep, rugged slopes surrounding small canyons. Shallow rocky soils, gravel creek beds, and steeply rising topography combine to create a dynamic flood environment. The lands preserve a complex association of plant communities characteristic of the chaparral. Along the watercourses, live-oaks, buckeyes,

and sycamore grow. Blue oak woodlands and grasslands occur on the deepest soils. Creeks that flow in and out of the existing monument and the expansion lands provide highly valuable riparian habitat for wildlife. The western pond turtle, two-striped garter snake, silvery legless lizard, threatened California red-legged frog, and California horned lizard inhabit these lands. By expanding the monument, these unique biological resources can be afforded more complete protection to maintain and enhance the ecosystems of the monument.

Section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431) authorizes the President, in his discretion, to declare by public proclamation historic landmarks, historic and prehistoric structures, and other objects of historic or scientific interest that are situated upon the lands owned or controlled by the Government of the United States to be national monuments, and to reserve as a part thereof parcels of land, the limits of which in all cases shall be confined to the smallest area compatible with the proper care and management of the objects to be protected.

WHEREAS it appears that it would be in the public interest to reserve such lands as an addition to the Pinnacles National Monument:

NOW, THEREFORE, I, WILLIAM J. CLINTON, President of the United States of America, by the authority vested in me by section 2 of the Act of June 8, 1906 (34 Stat. 225, 16 U.S.C. 431), do proclaim that there are hereby set apart and reserved as an addition to the Pinnacles National Monument, for the purpose of care, management, and protection of the objects of scientific interest situated on lands within the said monument, all lands and interests in lands owned or controlled by the United States within the boundaries of the area described on the map entitled "Pinnacles National Monument Boundary Enlargement" attached to and forming a part of this proclamation. The Federal land and interests in land reserved consist of approximately 7,900 acres, which is the smallest area compatible with the proper care and management of the objects to be protected.

The enlargement of this monument is subject to valid existing rights.

All Federal lands and interests in lands within the boundaries of this monument are hereby appropriated and withdrawn from all forms of entry, location, selection, sale, leasing, or other disposition under the public land laws, including but not limited to withdrawal from location, entry, and patent under the mining laws, and from disposition under all laws relating to mineral and geothermal leasing, other than by exchange that furthers the protective purposes of the monument. Lands and interests in lands not owned by the United States shall be reserved as a part of the monument upon acquisition of title thereto by the United States.

There is hereby reserved, as of the date of this proclamation and subject to valid existing rights, a quantity of water sufficient to fulfill the purposes for which the monument is established. Nothing in this reservation shall be construed as a relinquishment or reduction of any water use or rights reserved or appropriated by the United States on or before the date of this proclamation.

The Secretary of the Interior shall manage the area being added to the monument through the National Park Service, under the same laws and regulations that apply to the rest of the monument, except that livestock grazing may be permitted in the area added by this proclamation.

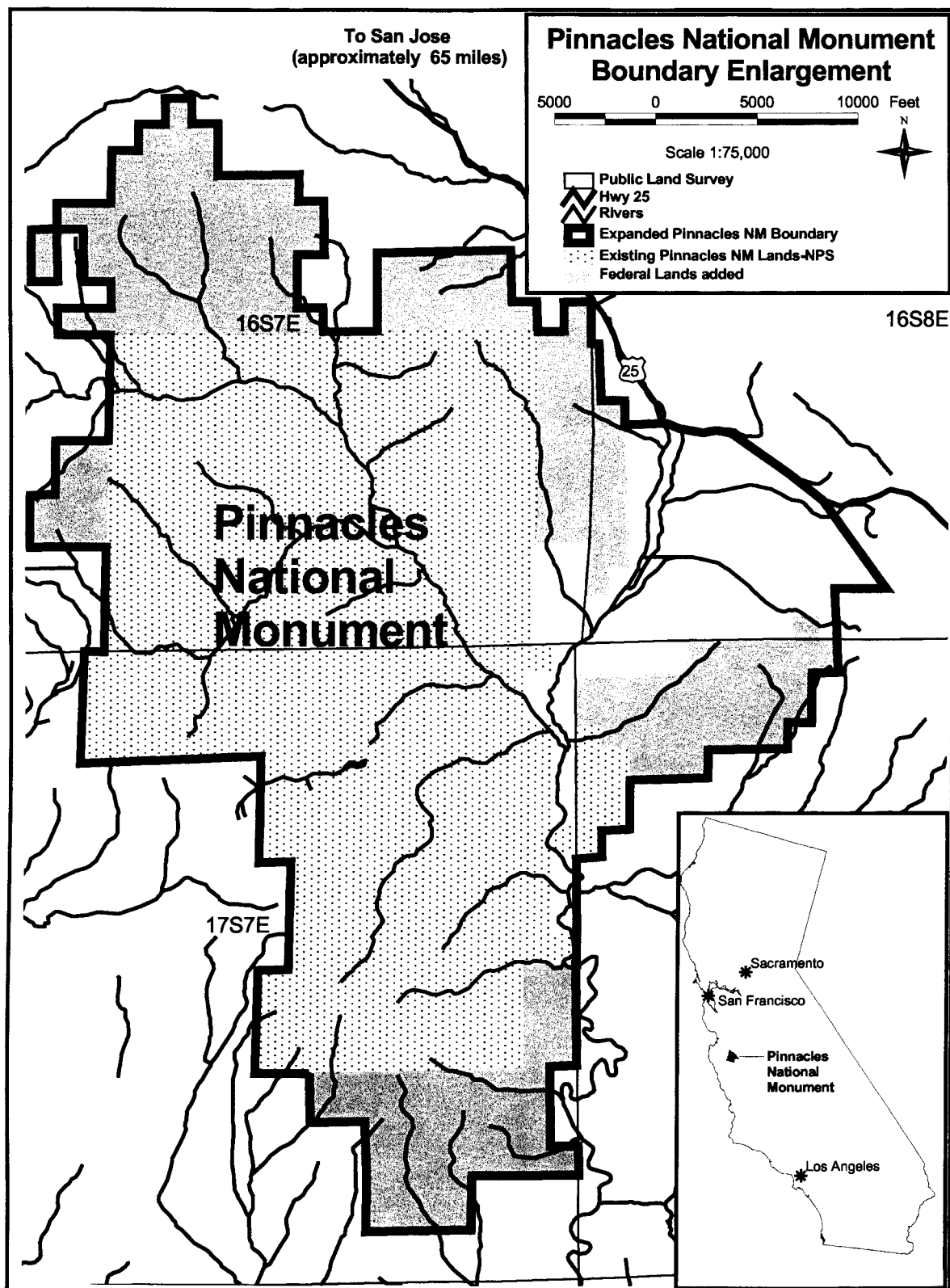
Wilderness Study Areas included in the monument will continue to be managed under section 603(c) of the Federal Land Policy and Management Act of 1976 (43 U.S.C. 1701 *et seq.*).

Nothing in this proclamation shall be deemed to revoke any existing withdrawal, reservation, or appropriation; however, the national monument shall be the dominant reservation.

Warning is hereby given to all unauthorized persons not to appropriate, injure, destroy, or remove any feature of this monument and not to locate or settle upon any of the lands thereof.

IN WITNESS WHEREOF, I have hereunto set my hand this eleventh day of January, in the year of our Lord two thousand, and of the Independence of the United States of America the two hundred and twentieth.

A handwritten signature in black ink, reading "William Clinton". The signature is written in a cursive style with a large, stylized "W" and "C".



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Note: The List of Public Laws for the first session of the 106th Congress has been completed and will resume when bills are enacted into law during the second session of the 106th Congress, which convenes on January 24, 2000.

A Cumulative List of Public Laws for the first session of the 106th Congress will be published in the **Federal Register** on December 30, 1999.

Last List December 21, 1999.